

Apar Inds. (APARINDS)

Conference call transcripts, oldest-first. 25 call(s). Generated 2026-08-02.

Call: Aug 2022

HAPAR Tomorrow's solutions today

E-filing

SEC/2208/2022 August 22, 2022

National Stock Exchange of India Ltd.

"Exchange Plaza",

C-1, Block G,

Bandra- Kurla Complex,

Bandra (E),

Mumbai — 400 051.

Scrip Symbol : APARINDS

Kind Attn.: The Manager, Listing Dept. BSE Ltd.

Corporate Relationship Department,

27th Floor, Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn.: Corporate Relationship Dept.

Sub. : Submission of Transcript of Investor Conference made on August 16, 2022

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir,

Kindly refer to our letter no. SEC/1608/2022 dated August 16, 2022 w.r.t. submission of link of Audio Recording of Investor Conference — August 2022.

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith the transcript of the Investor Conference — August 2022 of the Company made on August 16, 2022.

The aforesaid transcript is also made available at the website of the Company at www.apar.com.

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)

Company Secretary

Encl.: As above

APAR Industries Limited

corporate Office: APAR House, Corporate Park, V N Purav Marg, Chembur, Mumbai 400 071, India

+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd Office: 301/306, Panorama Complex, RC Duff Road, Alkapuri, Vadodara - 390007, India

+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN. L91110Gj1989PLC012802

Page 1 of 15

"APAR Industries Limited Investors Conference Call "

August 16, 2022

MANAGEMENT : MR. RAMESH IYER – CFO, APAR INDUSTRIES LIMITED .

NIRMAL BANG SECURITIES PVT. LTD.: MR. HITESH :

Apar Industries Limited
August 16, 2022

Page 2 of 15

Hitesh: Good morning , everybody. On behalf of Nirmal Bang Institutional Equities, I welcome you all to the session with the Management of APAR Industries, as part of our virtual investor conference.

The company is represented today by Mr. Ramesh Iyer, who is the CFO . At the outset I would like to thank him for taking the time out for the conference. And I would request him to commence the session with some of his opening remarks and presentation on the business environment as it stands today. After which we can open up the floor to question and answers. So, thank you so much. And over to you, sir.

Ramesh Iyer : Thank you Hitesh. Good morning to everyone. I will give you a brief background about the Company. We have our corporate presentation that we had put on our website. And I would like to take you through the website presentation , to get you an introduction into the Company.

So, a brief background about APAR Industries , we are a six-decade old company which was founded by the grandfather of current promoters. We basically are into three basic segments, which is , Specialty Oil and Lubricants, Conductors, and Cables. We have a small division of Polymers and Automotive solutions, but basically the Oil , Conductor and Cable division, predominantly takes care of most of the business that we are in. So, we broadly are into the electricity transmission stage, our products are designed for electricity transmission. and the conductors and cables are for that purpose , about a third of our oil business also gets into transformer, which actually helps in the transmission stage.

We are amongst the largest in terms of global aluminium and alloy conductors manufacturer. We are amongst the largest manufacturer of transformer oil , we are third largest globally. And in terms of renewable space that's there in India, we are about number one, when it comes to cable products.

Our consolidated revenue stood at about Rs. 9,346 crores for FY'22, over the period of 5 years our CAGR grew at about 14.1%.

So, basically our vision is to be global leader in the energy, infrastructure , transportation and telecommunications sectors, by providing the best solutions and value creations for our stakeholders. We believe in innovation, because that's a core to our business . And success of our Company has been largely the innovation led, we want to be ahead of the curve when it comes to the competition and be able to understand the customer needs and service them in better innovative products.

Very briefly are our 60 years of legacy, it's actually started from 1958 in the conductor business , and over a period of time we diversified into multiple businesses , oils, auto lubes and slowly we started manufacturing at our plant at Rabale . And over a period of last 60 years, we have been able to get into three very big business divisions .

Apar Industries Limited
August 16, 2022

Page 3 of 15

So, we are the only Company in this space at such a scale to have three kinds of divisions that is there basically Conductors , Cables and Specialty Oils . Each of the business division has its own strengths. And it's well diversified within the product category itself , there are multiple kinds of product lines within the conductors , within the cables and also within oils and lubricants that helps to serve our customers .

This slide shows our brands for our different product categories. We have about eight plants in all. We have three plants for our oil divisions , two conductors and two for cables. One of the oil plant is located at Sharjah in the Free Trade Zone .

CONDUCTORS

So, in terms of conductors, we are one of the largest global manufacturers having strong leadership and competitive edge in the marketplace , FY'22 revenue stood at about Rs. 4,200 crores for 5 years CAGR stand at about 13.3 % . We have in

vested about close to Rs. 350 crores

over the last 6 years. And that has basically helped to innovate our products and maintain strong leadership position in the market .

Our EBITDA per metric tonne stands at a high number of 17,095, which is historical high in FY'22 . Key driver of the business has also been our focus on high -value products, which we call

as a premium products, which, as of FY'22, it's close to half of our value, which has risen from about 25% to 30% way back in FY '19, FY'20 and FY21. So, that's been a key focus for this particular division.

Some credentials on our conduct or business is presented in the next slide.

OIL & LUBRICANTS

We are third largest in the transformer oils globally. FY22 revenue stood about Rs. 3,500 crores growing about 16% CAGR over the last 5 years. We have a capacity of about 5.5 lakh kL per annum basis. Here also we have invested about Rs. 230 crores over the last 6 years to setup capacity in this division.

CABLES

We are the largest domestic player in the renewable space --. We kind of have a 60% share in Wind sector. We have a very high share in the Solar segment as well in India. Our FY'22 revenue was close to about Rs. 2,000 crores, we are growing about 18% CAGR over the last 5 years. FY'22 has been very strong year from a cable perspective.

Apar Industries Limited

August 16, 2022

Page 4 of 15

Also, this was a year where we could venture into new geographies from an export perspective. And that has helped to increase our revenue during FY'22. We have invested about Rs. 300 crores in the last 6 years into this division.

So, we have looked at LDC as a business vertical, and we want to grow in this space. It is the Light Duty Cables business within the Cable division, and that's a business where you want to grow and lots of efforts have been put within the Company in terms of developing channels, in terms of having complete, separate team who will be catering to this business. We recently roped in a new Brand Ambassador, Sonu Sood as the face of APAR Industries, and over the next six to eight months we have a film production which will be soon on air with our Light Duty Cable range of products.

So, clearly our focus is on revenue growth with increased efficiencies, enhancing operational efficiencies, increasing penetration in high growth markets, boosting customer revenue for the India business and continue to invest in R&D Design, and Engineering.

Our unique capabilities are the diverse businesses across the product portfolio, market segment customer base and geographies. We seem to be well-positioned to capture the industry trends, both globally as in India. We have a strong competitive position and attractive growing markets coupled with lower costs and strategically located manufacturing footprints, our stronger financial performance sustained over the years, robust in-house technology, innovation and R&D capabilities, and an experienced management team, and technically skilled and motivated employees.

FINANCIAL PERFORMANCE

Our financial performance continues to be strong. If you at last 6 years the growth has always been on an increasing curve. Exports stands at a good, close to about 40% of the revenue in FY'22. EBITDA is strong at Rs. 574 crore, close to about single digit percentage. All the three divisions have been consistently growing in terms of value over the last several years.

BALANCE SHEET

Balance sheet continues to be strong we have very less debt on our books. And ROE stands at a 16.5% in FY '20.

We export to about 140 plus countries across our three product lines, and the export revenue has been up 35% YoY and actually contributed to about 38% of FY'22 revenues. This is a number which we want to increase further and in cable business, once exports starts picking up more during FY '23, you will see the percentage actually going up in this

particular year.

Apar Industries Limited

August 16, 2022

Page 5 of 15

A little brief details about the industries that we cater to, and a brief details of our customer mix.

So, basically we export 38% and then 21% to various industries and corporate groups like Cosmetics, Pharma, Rubber, Plastics, Lubricants etc. There are 11% that goes to specific industry groups, which includes Rail, Defense, Shipping, Mining and Telecom. 6.4% goes to OEMs. Another 6% goes to EPC transmission companies and there are utilities transmission companies about 6%. There are products on the renewable space that goes there about 4%. About 1.5% goes to the utilities which are basically the Electricity Distribution Boards, and about 1.5% to EPCs which a diversified customer base across other verticals and the rest are balances.

So, with overall change in our customer mix, there has been limited exposure to the state-owned electricity distribution boards. The key growth drivers will continue to be driven by the segments that is happening because of global level with more and more electrification rise in power

spending, new transmission , distribution system globally will be helpful for our business to grow in the future.

Clearly, China Plus One strategy will help us as customers want to have an increase vendor beyond China so risk is diverse in manufacturing capabilities . There is more focus on carbon neutrality, green energy will actually help us adopt many of our renewable products that we have in the pipeline. So, these are all plusses that will help us to grow in future. And also consolidation of supplier base with more organized business and higher compliance will be a boon for our industry.

We believe in product diversification and innovation that will be core for us. The renewable energy power infrastructure -- significant increase in product capacities for solar , wind and power telecom convergence, exploring new markets with exports lead focus, B2B, wider distribution network B2C, implementing supply chain and production process and innovation and digitalization.

On ESG based on CRISIL report , we ranked third among the industrial sectors. So, we have ESG champions across our locations to look at ESG and areas where we can improve our ESG scores. A few slides here on how we do good for the society.

So, I am not going to cover the financial overview , I am sure you would have looked at this earlier. So, I just thought of covering the brief background of the Company and I am willing to take on any questions that you may have on this front.

Hitesh: Now we will open the floor for question and answers. If you want to ask a question you can use the Raise Hand function of Zoom or you can come in directly introduce yourself and your company name and go ahead.

Prasheel : Hi, Prasheel here. I had a question on, there is a movement of China Plus One that's happening.

So, are we seeing any traction on that front? Are we seeing some interest from other companies?

Apar Industries Limited

August 16, 2022

Page 6 of 15

Ramesh Iyer : Actually, yes, so this will actually benefit companies especially located in India, which has good capital availability, low cost manufacturing capabilities, etc. So, if you look at overseas countries, a lot of their imports has been from China, and they really want to have alternate supplier base over there . And therefore, markets like India, which are kind of having this capability definitely would be an advantageous position. And actually, we are also seeing a lot of demand coming in from countries like U.S. and Europe, because of this China Plus One policy. So, yes, that's actually going to be as I mentioned, a key growth driver for us, and it will be a boon for us as well as so many other companies in India .

Prasheel : What would be the typical acceptance period for you to regularly supply to them ? Could you

throw some light on that, like you become a regular supplier to your customer. So, what would be typical acceptance cycle ?

Ramesh Iyer : So, our image is well -known in the market, and we have been in this business for the last 60 years or so. And we have that kind of legacy in terms of demonstrating our product capabilities to existing as well as new customers. What also happens in this kind of business is that, before the kind of product gets finally sold, there are detailed specification based on which we need to first manufacture the product after that there is a period of inspection, and the customers themselves, with their representatives come and inspect the products , to ensure that it falls within all the parameters of the specification. And only after, then the kind of sales, invoicing and billing happens there.

So, basically, once a product is inspected, when it is in -line with the specification, then you already get the acceptance over there. And we have had quite a good kind of image from our customers in terms of our quality , approved products and our innovative capabilities. And therefore, the product acceptance happens with the quality parameters and then you successfully invoice the product.

Prasheel : My second question is regarding the demand prospects. So, we have seen this Ukraine /Russia conflicts , so how is demand in Europe ? And it would be very helpful if you could give us kind of a segment wise demand scenario for the Europe region ?

Ramesh Iyer : We don't have direct impact of the Russia /Ukraine War, because our exposure to Russia and Ukraine is essentially negligible, but it actually throws a lot of opportunities from Europe continent perspective and they are different looking at alternative forms of energy and renewables going to be the more of the demand requirements . And with the renewables going up or potential of getting into the solar and wind will actually help us . And therefore, our cable business would grow because of that.

And also with increase in renewable what happens that you will need more of your transformers and transformation capacity. And therefore, one part of our oil business which is basically transformer oil, that requirement will also go . So, our transformer oil business is about one-third

Apar Industries Limited

August 16, 2022

of our oil business actually gets into the transformer and with increase in the renewable sources of energy requirement, you will need more transformers and therefore it will help us to kind of have more volumes on our T oil business.

So, over a long period of time, I would say definitely this will throw a lot of opportunities for companies like us. And we feel that at this stage having a wide basket of products with us, it will help us to kind of meet the challenges or the requirements of the customer that comes around.

Prasheel : Moving our questions to cables like even during our conference call we were very optimistic on the cable business and we were expecting to be the largest contributor of revenues going ahead.

So, if I were to look at a 7 to 8 year kind of and outlook. So, how would I be seeing cables business as being your driver of the growth, so what are the key growth drivers, could you highlight that?

Ramesh Iyer : So, the growth drivers will actually come from key things that I kind of talked about in the presentation, basically is about the level of infrastructure spend s that happens globally, as well as in India, with urbanization and electrification, the requirement of electrification would just increase over a period of time. And also China Plus One would be a key growth driver for us. And from a cable perspective mode all the se kinds of renewable energy would be a kind of growth driver for us.

So, the reason why now we have kind of feel that cable would kind of be our largest business segment, because I have already mentioned i

n our earnings call, the addressable market is huge potential there, it's kind of much more than the combined market of oil and conduct or business. And that is where the opportunity lies for us as well as many other pla yers around. And if we are able to tap that market we will be able to definitely have kind of good volumes over a period of 7 to 8 years, as you mentioned.

So, that's a key thing for us, to be able to service to the renewable sector, to be kind of a supplier from a China Plus One perspective, and also to tap the opportunities that happens on a global platform when each of the countries are getting into the infrastructure spending.

Prasheel : So, a question regarding to Indian market, so there has also been a big power push from the government, but considering the discoms financial health is not much better, so would that have a impact on demand, if I were to look from a medium term perspective ?

Ramesh Iyer : Not that significant because as I was mentioning, in my slide, our exposure to kind of distribution compan y is just about 1.5%. So, that's a mix that we have. And therefore the advantage for APA R is that we are widely spread across our three businesses. So, our customers this Distribution Electricity Board, which is about 1.5%, besid es we cater to a wide range of industries, corporate, we cater to special industry groups like Railways, like the Mining sector, the Shipbuilding and Defense. We cater to a lot of transmission companies, when it comes to Apar Industries Limited

August 16, 2022

transmitting the electricity part, we cater to a lot of EPC companies which in turn do work for transmission over there. So, we have a wide range of basket there.

And post -COVID the spends on infrastructure will be increasing, slowly, definitely it's will be on a higher side. And these actually present us a good opportunity. So, there could be a moment ively kind of ups and downs, but I think clearly a medium to long term perspective, we really see the kind of spend s happening on infrastructures. And therefo re, those things will actually help us more. Also, what happens is that with lot of urbanization and requirement of electrification, these things are kind of have a tendency to increase over a period of time.

Prasheel : Second, we are rolling out our B2C ki nd of cable and we are coming out with a very differentiable aspect in terms of higher power capacity. So, could you throw a light on that, how differentiated is the product versus our current typical players like a Havells or a Polycab kind of thing? And second ly on the replicability aspect, if someone w ere to look at how replicable they would take, could they easily replicate our wires ?

Ramesh Iyer : So, I think the key thing, as people like us would even consider as very important thing that we need as part of ho use wiring is protection and safety. And the product that we have on our basket, which already we are marketing in Kerala, and also we are expanding further South southern area, is to increase that shock absorbing capacity, by about 50%. So, from an average wire that you see in the market, the unique and differentiated product that we have, actually increases the shock resistant capacity by about 50%. And therefore, it's much more shock resistant, so to say. And it's our key feature, because once you do a wiring, which actually happens once in many years, and you want to be sure that the wiring is all int act, you don't want to get into removing the wiring and then relaying the wires etc. So, this has a larger flame retarda nt and melt resistant capacity. And therefore we call it as a very unique and differentiated product.

The product is already there in the Kerala market, it's there for the last three years in Kerala and

Gujarat. And we are expanding to many other southern states and also in the western part, that's our plan. And in terms of

the technology, basically, currently, we are the only player in this industry to kind of use this technology, we haven't seen any other competition using this technology so successfully as we are, because, that's the way it is. So, we are actually using this thing very successfully. We already have three E-Beam machine which actually help us to do this kind of a product, not only on our LDC segment, but also in our some of the B2B segment and the fourth E-Beam machine is likely to be commissioned by the 3rd Quarter of this financial year.

Prasheel : Just to follow up on that, if there is a sudden power surge, that wouldn't affect the appliance. Is my understanding correct?

Apar Industries Limited

August 16, 2022

Page 9 of 15

Ramesh Iyer : So, this wire will have a higher shock absorbing capacity than the normal wire. So, it will be higher by about 50%, the normal wire has a kind of 70 degrees capacity to absorb shock, this will be 50% higher, it is 105 degrees.

Prasheel : But if our product starts gaining a lot of traction, so let's say Havells or a Polycab kind of a player would look at, so can they easily replicate this?

Ramesh Iyer : It won't be easy to replicate that, it definitely needs a lot of efforts and technical capabilities to be doing that thing. But it's not impossible at the same time, but if you see on the market, there are no other products with that technology, which is there.

Prasheel : On the price differential front, how would be the price differential versus a typical wire, so are we on the higher end or it would be a similar kind of pricing?

Ramesh Iyer : So, pricing, basically, in our case would depend on a lot of market competitive forces, we are at a very nascent stage in this category. And it's also subject to our raw material price, which is copper, which kind of now keeps on moving. So, we would like to be about around the range of the price at which it's operating in the market. Current our focus is to kind of develop channels, and have a proper distribution and retail channel there, have a proper team in place do proper branding, and more importantly, do a lot of demonstrations of our products, because unless this product is understood by consumers like you and me, nobody would like to go and buy that thing. So, it's important for us to kind of communicate our uniqueness and differentiated product abilities. And that is where there has been a focus here and the more awareness that it kind of creates, it will ultimately get more traction as we go along.

Prasheel : What would be our typical target like, it's not clearly the consumer that would be driving, it's more like to you kind of outsource your decision to a typical electrician. So, are we targeting a electrician kind of crowd or are we targeting kind of a consumer or a B2B builder kind of a market?

Ramesh Iyer : So, it can be both, definitely as you rightly said, these products are influencer based. And so therefore it's very important for us to influence electricians who are there because the consumer actually outsource this part to the electrician. And therefore it's very important for us to work on the electrician to explain them how important, how safety this product is at. At the same time we are also into the project business for this product. And we will also be doing an awareness with the consumers. And therefore you see Brand Ambassador getting signing up, and also we will have our films and advertisement there. Because it's also important that beyond the electrician, the consumer is also aware that such kind of products exist in the market. So, we will push from all directions, not only the consumers, but also influencers, like electricians, we have a lot of Electricians meets, Nukkad Meets that happens, wherein we will be able to demonstrate our product, and its uniqueness to the influencers.

Apar Industries Limited

August 16, 2022

Page 10 of 15

Prasheel : So, just a small follow up. So, on the project side, so is that part of business more price sensitive? So, what is unique USP to sell over there?

Ramesh Iyer : Project business, will always be more price sensitive, but there also our messaging is clear in terms of this protection that is there. And clearly even if you look at a project, once they are able to showcase this project and buildings are made of wires, which are 50%, more shock absorbant definitely it will have a great significance and the kind of approach. So, our USP is going to be the same thing, which is flame retardant and melt resistance, and having a more shock resistant capacity than the other players that are available in the market.

Moderator: A reminder again to the participants, if you want to ask a question, please come in directly introduce yourself or you can use the Raise Hand function of Zoom or if you want, you can also

put the question to us on chat window.

Abhijeet : Good morning this is Abhijeet from Lucky Investment Managers, pardon my ignorance, I haven't tracked the company for the last couple of quarters. But from what I recall, when I used to track the company is , we used to have a very volatile EBITDA margin based on the raw material prices. So, if you can just throw some light on what steps you have taken to reduce the volatility across the segments? And how should we look at it going forward?

Ramesh Iyer: So, volatility Abhijeet is there mainly because the raw material that gets into our products are volatile. If you look at oil, base oil, which actually gets extracted from the crude oil and that gets into the raw materials. And then if you look at conductors, we have aluminum and copper, which again, it's so volatile that it actually changes by the hour. And also for our cable business, a large part of the raw material is from aluminum and copper.

So, basically, the volatility would remain in the system. And therefore, the EBITDA, if you look at it as a percentage it will keep on changing , because it is a function of your bottom -line as compared to your top -line where the top line can change depending on our raw material pricing there. So, what we do is that we kind of hedge our raw material purchasing wherever it is possible, say, for example, the aluminum and copper, it is possible to hedge that thing. So, the moment we get an order we immediately back to back hedge the same for the raw material so that our margins are kind of protected on the day when we accept the order. So, that when we finally go on to execute the order and sell the order, which could be a couple of months down the line, or maybe later, our margins do n't get disturbed. And therefore, we use this hedging as a very strong risk management tool within our company, to hedge the raw metal that are possible to hedge .

From oil perspective, we cannot hedge the oil because that's something it's not possible to do. It's not available to do hedging, but we hedge our foreign exchange. So, partly to the extent of forex, it kind of gets hedged.

Apar Industries Limited

August 16, 2022

Page 11 of 15

So, the volatility would be there. And therefore we kind of also measure our profitability on a per unit measurement , because if you are able to pass on the high cost of raw materials to our customers , as well as even the cost comes down, the customer actually benefits with that . We don't want to get more benefit nor we want to lose because of the fluctuation in the price of raw materials. So, basically the increase or decrease in the raw material component, the final hit or loss is getting taken by our customers directly. And we kind of ensure that the price at which we have accepted the order is what we are able to get the raw materials from our suppliers, mainly because of our hedging strategy that will take place.

Hitesh : Thank you, Abhijeet. So, in

the interest of time Prasheel do you have any more questions to continue?

Prasheel : Yes, I have a few. Taking questions from our previous participant , so basically, our EBITA per ton, if I were to look, since we are targeting some post interest level so this is why our EBITDA per ton is increasing. So, going ahead with commodity prices falling and interest costs are rising. So, how would our EBITDA per ton would typically look like.

Ramesh Iyer: This EBITDA per ton, especially when it comes to post interest , it's a function of many items like interest itself is a combination of multiple items, for example one is the interest rate itself you know SOFR rates kind of increasing will have an impact there. Then also the exchange rate increases, that also has an impact on interest, because now, from an accounting perspective, you can actually put a part of the exchange difference as part of our interest cost . Then you have your the value of the purchase itself, if you look at aluminum , and copper, the price either goes up or goes down, and therefore your absolute value of purchases actually go up or down. And therefore the interest costs will also go up to that extreme.

So, there are really a multiple elements in interest. And also these behave differently for different businesses. And depending on the situation that prevails at that point of time the interest can go up or come down, say for instance, this particular quarter your interest in April to June as well as from last quarter, they would have gone up because the exchange rate has gone up. The kind of rate that's from 75 to 80. And gradually, if you see the SOFR rates are going up. But also if you see now your aluminum price is coming down, its come down by about 30% odd.

So, on one hand, you see that the rates are going up on one hand, you see that the prices are coming down. So, that actually it's a kind of a moving parts to determine the interest costs. But you see that as your rates goes up, typically your interest costs will go up and also depending on your underlying cost of raw materials, it will keep on fluctuating at that. So, from an EBITDA point of view that's what we measure it on a per unit basis. And we also propose that from a Q2 perspective, we would like to build in the EBITDA post-interest and call it more as an EBITDA. And the reason is that whatever be the interest costs, we are able to price it to our customers . For us interest on working capital is like any other raw material, or any other factor of production,

like labor, power, etc. and it's very material amount, and therefore, it's very important for us to
Apar Industries Limited
August 16, 2022

Page 12 of 15

factor that interest into the customers pricing structure. Sometimes you see actually see the EBITDA going up when interest rates are high. And that is the reason because the EBITDA actually factors the increase in the prices that we charge to customers due to increase in interest cost and whereas the interest line is appearing below and therefore, your EBITDA can go up your interest line also go up and therefore the resultant EBDTA would be a pure basis for us to look at the number.

Prasheel : So, if we are to look at this EBDTA number so that would be largely stable, in my understanding correct over a long time.

Ramesh Iyer: So, actually, that's also it's not right to say it would be stable, because if you see for our conductor business, clearly we are focusing on high premium products. And therefore, the mix is clearly shifting from low margin products to high margin products. And if you see that kind of mix changing, your profitability will improve. Again for business like us it's not right to do a quarter wise comparison. It's better to the longish point of view so that the consistency is maintained. For instance, if you look at the 1st Quarter of this year, the oil profitability has been very high

and

and as we already mentioned during the earnings call it is a function of high prices for oil at the same time the lower cost that has got sold and as the time progresses, the weighted average cost will improve, and there will be tightening in terms of the selling price over there.

So, the businesses, basically, we actually look at it on a longish period of time, so that you are able to get a sense of the direction where it is going. So, our EBITDA would kind of move up depending on how we are able to execute the premium products in the market, how we are able to capture more of renewable products that is there in the cable market, and how from oil perspective, we are able to match the timing of the oil pricing as well as the cost of raw materials.

Prasheel : So, on the conductor part of business, so would it be possible kind of, to give a differential margin on how our premium product margin would be versus our normal product would be?

Ramesh Iyer: That's actually been difficult, because there is a multiple kind of conductors that are prevailing and it caters to different product formulation, different designs. So, there is not a kind of something which is normal, something which is premium and that you have a spread between the two, because it all depends on your formulation, it depends on the contents that get into the product, customer specifications are there, it also depends on the exchange rates which are prevailing, depends on your price at which you are able to book the aluminum and copper etc. So, very difficult to get that kind of spread between the two, the only thing you can get is a direction. If you look at the last entire full financial year, our EBITDA per metric ton has been in the range of about 17,000 per MT. If you go back, let's say one or two years before, it will be much lower than that. So, over a 12 month period is where you kind of get the trend and based on that you will be able to see how the numbers kind of go from there.

Apar Industries Limited
August 16, 2022

Page 13 of 15

Prasheel : And on the export side, so is there a differential between export margin and domestic margin? And if there is could you give a color on that also?

Ramesh Iyer: Yes, so the export conventional conductors is definitely much more profitable than the domestic one, that's clearly happening. And therefore we are also looking at the opportunities where our margins are increasing on the export conventional conductors. So, one we have a premium products and one we have the normal products as you say, and within the normal product, which is a conventional conductors, the export margin is a bit higher. And we are actually seeing a lot of export orders coming in or rather we kind of taking more of export orders there, because we also want to look at utilizing our capacity with products which have higher margins. And with infrastructure spending higher in some of the U.S. market, we are able to tap some of those customers and get those orders in our pipeline.

Prasheel : So, would it be possible to give some color on the margin differential, let's say for a conventional conductor, which is an export order versus domestic orders, so would it be possible to give some color on that?

Ramesh Iyer: That can be difficult, as I said, because it depends on a lot of moving parts. And the specifications are very different for each and every order. So, we basically are into the make to order business. So, depending on the order that comes in, and the price that we are able to capture at that point of time, the customer's need, the customer's urgency, etc, all plays its roles. So, it's very difficult to kind of put a kind of number into this differential margin.

Prasheel : Final question on the conductor side. So, if you are looking at a longer term picture, so our share of exports and our share of high value products have been increasing

sing. So, is there a particular number we are targeting for any of this criteria that it should be this much percentage of our order book or something like that?

Ramesh Iyer: We want to get into more profitable businesses and that's the key of our diversification strategy that we have done. And these are actually conscious attempts to get into that space. Because if you look at why six years earlier, it was largely the conventional conductors. And those markets are a lot of competitive in nature. So, how do we kind of be ahead of the curve, being different from our competitors, being able to develop products to suit our customers, and also having a more profitable margin that we have. So, from the capacity that we have, we would like to allocate it to products running higher margins.

So, in terms of targets, well, we don't have a target there, but we really focus on all these premium products as far as possible to kind of get into our pipeline, both from a premium product point of view as well as from tapping the export potential.

Apar Industries Limited

August 16, 2022

Page 14 of 15

Prasheel : A question on the cable said, we are also seeing our Defense push in India. So, how would that help us in terms, especially for our cables business, so, could you throw some light on how that Defense push is likely to help us.

Ramesh Iyer: So, our products are catering to various industries, we are into Railways, we are into Defense, we are into Solar, Mining, navy, etc. And, supplying cable products for Defense sector is also an important area of our business. And the more the spends are there on these fronts from the Government of India, these kinds of business will be more for us. And we have successfully proven our record in terms of servicing these kinds of sectors. A lot of things are available on our social networking site and publicly available information. And we are kind of very hopeful to be able to service these customers. And that is where we also are ahead of the curve in terms of competition to be able to have this product ready in our basket. So, there are a lot of in-house R&D that keeps on happening parallelly as we look at the year down the line, the future years in terms of potential customer requirements, customer visit, etc. And so that when the opportunities are there, we kind of are ready with the product that we have on our basket. So, all kinds of infrastructure spends and spends more on Defense actually be a boon for our business and in times to come.

Prasheel : What would our typical R&D spend as a percentage of sales, could you throw some light on that?

Ramesh Iyer: R&D spend are all expensed out, we don't kind of look at it separately. The thing is that we have that kind of R&D available with us and the key thing is that if you look at our journey, in the last few years, we would actually know how the products have been evolved. And more than looking at the number of spends that we have in R&D, if you look at the kinds of products that we have developed over the last so many years, that will give us a feel of how the R&D as a function is operating within the company.

So, we have new products in all our divisions, basically oil, conductor and cable. And over the last so many years, a lot of innovation, product diversifications has happened, which actually will give you a better picture than looking at the percentage or the number of spends that we do on R&D.

Prasheel : But then if you are looking at that and our R&D has been quite good, so what would be a typical attrition in the R&D team? Would it be high or it's very minimal? Because it would be some key person, so is there some key person risk on the R&D side of things?

Ramesh Iyer: No, we don't have those kinds of attrition levels. In fact generally in APAR attrition levels are very low. So, we don't have those risks

that we foresee.

Apar Industries Limited

August 16, 2022

Page 15 of 15

Prasheel : And final question, we are also into that auto lube segment. So, what are we doing there, kind of incentivizing again, because the main target would not be a typical customer, but a mechanic or someone like that. So, how are we looking at that segment?

Ramesh Iyer: So, again, here the influences are these mechanics. And in order to motivate them, we have very recently implemented a Mechanic Loyalty App Program. So, the mechanics don't need to kind of submit their claim to the retailer and the retailer gets to distributor and from the distributor, it comes to the company. So, they do not need to do all those things. They just need to comply with certain formalities in the app and the money gets transferred directly from the company to the mechanic instantly. So, it's actually helping the mechanics to kind of get their kind of rewards immediately and not kind of wait for various procedure to happen.

So, here also we look at developing our influencer community, which is basically the mechanics and that's what we do incentivizing mechanics.

Prasheel : Just a final question from my side. So, are we looking over a medium have to separate our three businesses and kind of list them as individual entities or something like that ?

Ramesh Iyer: So, nothing of this , we have kind of talked about anywhere as of now. If there is anything, definitely it would be available publicly. But as of now, we have not kind of talked about anything till now.

Hitesh : So, I think we are out of questions now. So, we will close the session here. On behalf of Nirmal Bang Institutional Equities I once again thank Mr. Rame sh Iyer, for joining us and sharing all the details with us and to all the participants who join t and ask ed the questions. Thank you, everybody, and have a good day.

Call: Aug 2022

HAPAR Tomorrow's solutions today

E-filing

SEC/0408/2022 August 4, 2022

National Stock Exchange of India Ltd.

"Exchange Plaza",

C-1, Block G,

Bandra- Kurla Complex,

Bandra (E),

Mumbai — 400 051.

Scrip Symbol : APARINDS

Kind Attn.: The Manager, Listing Dept. BSE Ltd.

Corporate Relationship Department,

27th Floor, Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code: 532259

Kind Attn.: Corporate Relationship Dept.

Sub. : Submission of Transcript of Investors Earnings call on Un-audited Financial Results (Standalone & Consolidated) for Q1 FY23

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir,

Kindly refer to our letter no. SEC/2907/2022 dated July 29, 2022 w.r.t. submission of link of Audio Recording of Investors Earnings Call on Un-audited Financial Results (Standalone & Consolidated) for Q1 FY23.

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith the transcript of the Investors Earnings Call on the Un-audited Financial Results (Standalone & Consolidated) of the Company for the Q1 and Three Months period ended June 30, 2022 made on July 29, 2022.

The aforesaid transcript is also made available at the website of the Company at www.apar.com.

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

Sanjaya Kunder

(Company Secretary)

Encl.: As above

APAR Industries Limited

Corporate Office: APAR House, Corporate Park, V N Purav Marg, Chembur, Mumbai 400 071, India

+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd Office: 301/306, Panorama Complex, RC Duff Road, Alkapuri, Vadodara - 390007, India

+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN L91110GJ1989PLC012802

Page 1 of 38

"Apar Industries Limited

Q1 FY 23 Earnings Conference Call "

July 29, 2022

MANAGEMENT : MR. KUSHAL DESAI - CHAIRMAN , MANAGING
DIRECTOR , APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI - MANAGING DIRECTOR ,
APAR INDUSTRIES LIMITED
MR. RAMESH IYER - CFO, APAR INDUSTRIES
LIMITED
MODERATOR: MR. NIHAR MEHTA - S-ANCIAL
TECHNOLOGIES

Apar Industries Limited
July 29, 2022

Page 2 of 38 Moderator: Ladies and gentlemen, good day, and welcome to the Apar Industries Limited Q1 FY'23 Earnings Conference Call. As a reminder to all participants line will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is recorded.

I now hand the conference over to Mr . Nihar Mehta from S - Ancial Technologies. Thank you, and over to you, sir.

Nihar Mehta: Hi, very good afternoon to everyone. This is Nihar Mehta from S-Ancial Technologies. On behalf of the management of Apar Industries, I would like to thank all of you for participating in the earnings conference call for the first quarter of FY'23 for Apar Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, who is the Chairman and Managing Director; Mr. Chaitanya Desai, who's the Managing Director; and the CFO, Mr. Ramesh Iyer.

I would now like to hand over the mic to Mr. Chaitanya Desai.

Chaitanya Desai: Thank you. Good afternoon, everyone, and a very warm welcome to the Q1 FY'23 earnings call of Apar Industries. I will start with an overview of our performance, followed by a quick industry update and then get into details on the segmental performance, post which we can open the floor to questions.

For Q1 FY'23, the consolidated revenue came in at INR 3,093 crore, up 71% year -on-year driven by both volume growth and price increases from commodity values across segments. Export revenues is up 76% year -on-year, contributing to 42% versus 41% in the previous year. EBITDA is up 73% year -on-year to INR 239 crore at a margin of 7.6%. PAT came in at INR 122 crore, up 97% year -on-year with 4% margin versus 3.4% in Q1 of FY'22. All 3 divisions contributed to the performance, which is the highest reported quarterly profit till date. I will now cover a few industry highlights.

Total outstanding dues owed by electricity distribution companies, the discoms , to power producers rose by 4% year -on-year to INR 1,32,432 crore in June 2022. On a sequential basis, total dues in June increased from INR 1,30,139 crore in May of 2022 . India is poised to add 27,000 circuit kilometers of interstate power transmission networks by 2024, as it has

Apar Industries Limited
July 29, 2022

Page 3 of 38 already added 6,500 circuit kilometers or almost 1/4 of the target.

The power transmission network expansion has been planned, keeping in mind the ultimate goal of having 500 gigawatts of non-fossil fuel -based electricity generation capacity in the country. The Power Ministry official also said that in addition to 27,000 circuit kilometers by 2024, India would need to build transmission lines to evacuate 180 gigawatt generation capacity, which will ultimately help the country to realize its goal of having 500 gigawatts of renewable energy by 2030.

According to the latest report released by the Central Electric Authority, the overall target for substation transformation capacity addition for FY'23 has been set at 95,659 MVA. This is 17.3% higher than the comparable target of 81,545 MVA for FY'22. In terms of voltage plants, the bulk of the target, 44.5%, will come from 400 KV substations. The 765 K V class will account for 28.2% of the target, while the 220 KV category will make up the remaining 27.3%. The current geopolitical environment has forced India to further expand its defense capabilities and it has cleared the purchase of indigenous military hardware worth INR 76,390 crore to sharpen combat capabilities with next -generation warships, wheeled armored fighting vehicles with anti -tank guided missiles, radars to locate weapons and tanks to lay bridges. All these infrastructure investments will lead to increased demand for our products and services. I would like to now cover segmental highlights.

Conductors revenue in Q1 FY'23 grew 128% year -on-year to reach INR 1,548 crore with 64% year -on-year growth in volumes, mix improvement and increase in commodity prices. Exports grew 120% year -on-year, contributing 42% to revenues. The premium product contribution increased to 47% from 44% in Q1 of FY'22. The EBITDA per ton post adjustment was at INR 21,933. This is a historical high, and it contributed due to an improved mix of premium products. New order inflow came in at INR 2,017 crore, up 30% year -on-year.

In Q1 of FY'23 , our oil revenue was INR 1,068 crore, up 28% year-on-year. Exports contributed 43% to revenue. The EBITDA per KL post adjustment came in at INR 9,712. Margins were elevated in this quarter as the weighted average cost of inventory was comparatively low. There have been supply chain issues with the higher priced base oil deliveries getting delayed by several weeks resulting in lower cost basis in Q1, but will be followed by a very sharp increase in Q2. This
Apar Industries Limited
July 29, 2022

Page 4 of 38 will affect margins in Q2 for sure. Lubricants revenue was INR 217 crore, up 36% year -on-year, driven by volume growth in industrial oil business.

In Q1 of FY'23, our cables revenue reached INR 638 crore, up 60% year -on-year with strong growth across all sub -segments except optical fiber cable sales, which were impacted by muted telcos business. Power cables revenue was up 60% year -on-year and elastomeric cables revenue was up 84% year-on-year. Exports contribution at 43% versus 19% in Q1 of FY'22 was the main contributor to the increase in power cable sales. Sales into the renewable energy installations, railways for both locomotives and coaches and increased purchase by the defense factories all resulted in the higher sales of elastomeric cables.

We are running all 3 E -beam machines at full capacity. The fourth E -beam machine, a new plant to produce wind mill cables, are at an advanced stage of installation with commercial production in both units likely to start in Q3 of FY'23. These expansions are well -timed and will increase overall sales in H2 of FY'23.

The EBITDA post forex adjustment came in at INR 49 crore with 7.6% margin, up 95% versus Q1 of FY'22 with improved order and product mix.

Overall, we remain optimistic on our conductor and cable business as the level of infrastructure is expected to be high, both in India and overseas. However, our oil volumes may be affected from high product prices in Q2. For the company, our growth drivers remain strong.

With this, I come to the end of my comments. I would like to thank everyone for joining our conference call and open the floor for questions.

Moderator: The first question is from the line of Pujan Shah from Congruence Advisers. Please go ahead, sir.

Pujan Shah : Yes. First of all, sir, congratulations for a great set of numbers. So my first question evolve around this our conductor business, right? So our conductor business has made a high EBITDA margin of, you can say, roughly close up to 22,000 metric tons. And if we say we have improved, you can say, product mix, which is a better margin product from like say 44% to 47%, so which is a 3% incremental change in the revenue side. So my question is what can be the alpha between the normal product Apar Industries Limited
July 29, 2022

Page 5 of 38 EBITDA and the high EBITDA generating EBITDA? It's a difference between 1,000 or something like that? Can I assume that?

Ramesh Iyer : So it's difficult to have a straight answer to this, because it's not one conductor that we have in normal and one conductor that we have for the premium product, because it's mostly a made -to-order business and there are sort of variables that come into the play in order to determine the margins.

Also, the price is also influenced with the commodity prices that keeps on changing. And therefore, there's no kind of a thumb -rule that we can establish between a normal and in this conductor. The other reason is that in addition to the commodity prices, we see a huge impact having with the interest cost also. So one of the reasons why we have high EBITDA is, of course, due to high proportion of premium products. But in addition, as the interest cost increases, this gets factored into our customer prices. So your EBITDA, which is your earnings before interest, captures that sales price, but the cost appears below EBITDA, which is on the interest line.

Pujan Shah : Okay, sir. Got it. Sir, I was going through your annual report. And actually, I just incurred something like we are expanding into batteries of 3 wheeler, 2 wheelers and specifically car products and such like that. So can you just give me a broad outlook, so why we made such a decision to diversify in such businesses? And what is the perception in, let's say, 3, 4 kind of years of horizon?

Kushal D esai: So the whole target is to actually get a higher wallet share of the mechanic. So all of these products are very influencer driven. And by selling through the same channel, which is distributed retailer and mechanic, we are in a position to actually leverage the total business that is being done in terms of sales to the influencer, which is the mechanic.

So the primary product will remain lubricants, but they also buy these products. And on one of the previous earnings calls last year, we mentioned that we've also launched a mechanic loyalty program, which earns quite successfully. So these products have been added to the mechanic loyalty program. So as the mechanic buys more products from us, the loyalty points increase and this whole system is completely seamless. It's a paperless process.

Apar Industries Limited
July 29, 2022

Page 6 of 38 So automatically, the credit of these points go into the distributors wallet, and the distributor can then encash those points. So in short, the answer is that we are looking at basically improving the whole supply chain and getting a larger portion of the mechanics wallet. Also over a period, if you see some of the lubricant demands could fall as electric vehicles increase. And having access to a range of batteries and wheels, we are agnostic to whether it's an IC engine or electric engine. So that's how we've looked at adding these. The sales team remains pretty much the same. So it's really a leverage in terms of the whole supply

supply

Pujan Shah : So there will not be a much often extra spending cost on developing and spreading this product? But it would be an add-on advantage to Apar, right? That is my understanding.

Kushal Desai: Yes. So there's not a huge amount of product development cost. There is a certain amount of operating costs because we have a warranty program. Again, it's the first digital warranty program that was developed in India 2 years ago to run along with MLP for batteries. So we've used all that sort of technology and it's slowly, slowly continuing to grow. There's no real major thrust is there. But as we deal with the mechanics and as we engage more on our platform, all of these products are starting to increase.

Pujan Shah : Okay, sir. And my third question would be, if I could squeeze in. Third question would be, we are developing a brand on light-wire cable, which is Anushakti brand. So any views on that? Like how much we need to spend or sort of any glance over this Anushakti brand to developing a state scale of 10, just give a ballpark number of revenue contribution in, let's say, 3 to 4 years, any such ballpark number if you can give us, sir?

Kushal Desai: So in the LDC, which consists actually of the building wires as well as light-duty cables because there's a range of them, with the building wire being the largest single SKU in that particular group. So our target is to get to INR 500 crore 3 years from today in that product category. So we were INR 20 crore. And the next year, we did INR 60 crore. Last year, we crossed INR 100 crore. This year, the operating plan is to look at INR 200 crore .

The product that we have is an extremely unique product. Nobody else offers the product. And it has 2 fundamental

advantages, which is what helps us differentiate against everybody, including Havells, Polycab and all the other major
Apar Industries Limited
July 29, 2022

Page 7 of 38 established players. One is that it has a much higher current carrying capacity. It can carry 50% more current. And secondly, the insulation is such that it's very highly short circuit resistant. So the short circuiting will not happen quickly.

So when you combine these 2 aspects, it really has a technical performance. So most of the investment which we are doing today is in frontline salespeople who are going and demoing the product to various influencers as well as to small builders, projects, et cetera. The spending that will be there on advertising and promotions, et cetera, we'll pretty much capture that within the margin of the incremental sale that is coming on.

Pujan Shah : Okay. And sir, as I read your call in that you told us that in defense, there is a difficult to get the entry. Once we get the entry, we get a scale up in the business. So I think we have got something like INR 70 crore, INR 80 -odd crore of revenue from defense, I think last year also. So are we seeing any traction in defense side getting, you can say, doubling the revenue in defense? Or we are still pretty much the similar line on the defense?

Kushal Desai: So our expectation this year on the defense side is that, fundamentally, today still a very large portion of the defense equipment is still made by the government facilities, especially with our main area within defense is really warships or ships, submarines and reconnaissance vessels. So it's mostly with the Navy. And there is a steady growth that we will see. It's just that it takes a fairly long gestation period to completely build and wire one of these carriers. So for example, if you had read in the papers in the last few months and it's there on our social media and LinkedIn, that 2 of the warships, the frigates, which got commissioned in the last few months, both

of them had a significant portion of wiring from Apar. So we expect that this year, we will probably get closer to INR 100 crore, but it all depends on the manufacturing schedule that comes out finally from Mazagon Docks and GRS E and all these players.

But the trend, as Chaitanya bhai mentioned, the trend is absolutely positive because more and more is happening locally. There are also shipyards which have come in, in the private sector. L&T has one significant shipyard out of the South, near Chennai. So they are also starting to get more business. The wiring goes in towards the second half of the ship's preparation, so we'll see continuously this defense side increase. There are more competitors coming in, but then there are more and more requirements coming in. So we are ahead of
Apar Industries Limited
July 29, 2022

Page 8 of 38 the curve. And therefore, we expect that the total volume coming in from these type of cables will continue to rise.

Moderator: Next question is from the line of Pratiksha Daftari from Aequis Investments. Please go ahead

Pratiksha Daftari: Pratiksha here. So my first question was with regards to conductors. So we're seeing some dip-in realizations here on Q-o-Q basis. Despite which we've got EBITDA further increasing. So just wanted to understand if there's some amount of

inventory gains in this segment as well.

Ramesh Iyer: Inventory gains are not going out there in conductor as a lot of these back-to-back order based. But as I said, one of the reason is definitely, these premium products and also there are multiple products within the premium products that the mix of it changes and the mix of it can increase the EBITDA. So one of those things has happened in this particular quarter. And the second thing is that, as I was explaining earlier, there is an increase in the interest cost. And therefore, if you look at Q1 itself, the incremental interest cost had also been into EBITDA, but when you look at the earnings post interest, it will be slightly less than the 21,900 number there. If you look at Q4 to Q1, the amount of interest cost in the conductor business has risen by about INR 2,000 per metric ton.

Pratiksha Daftari: Okay. INR 2,000 per metric ton, the same, just for Q3?

Ramesh Iyer: Incremental interest cost from Q4 to Q1.

Pratiksha Daftari : Okay. And generally with commodity prices increasing, do we expect our realizations to decrease in coming quarters, especially for cables and conductors?

Ramesh Iyer: The realization will actually depend on the commodity prices. As the commodity prices come down, the realization will come down at the same time and conversely, if the commodity price goes up our sales will go, but it will not impact the bottom line in terms of a per unit level. And therefore, we kind of measure our business also in terms of per unit, because if you look at percentage and there'd be too much wavering depending on how the commodity prices goes here.

Kushal Desai: So I can just add to what Ramesh has mentioned here that we have both aluminum and copper are down between 25% and 30% from their all-time high. So there will be obviously an impact in terms of per kilometer cost or per ton cost of the
Apar Industries Limited
July 29, 2022

Page 9 of 38 product. However, we will also see steady revenue coming in on these products. And as Ramesh has mentioned, that we calculate an EBITDA per ton for operating costs, and then we adjust that for interest. So the interest cost also will marginally could come down because the billing value will come down. So over the years, I don't

think you will see, yes, you will see some movement on the top line. But I think the bottom line will continue with this sort of level.

Pratiksha Daftari: Okay. Sir, the last time our commentary mentioned that we probably expect the share of conventional conductors to go up. But with 54% of our order book right now being high-margin business, do we expect these EBITDA per ton level, per unit level to sustain?

Ramesh Iyer: So we expect our EBITDA level to be in the range of about around INR 17,500. That's the kind of number we expect, around INR 17,000 to INR 17,500. And of course, the quarterly numbers will actually depend on the level of execution that happens because these are all make-to-order business, where sometimes, it takes longer gestation period to manufacture and then there's a lot of inspection involved. So we look at it from a long-term perspective, 3 months perspective, maybe very short to kind of conclude that the particular level of EBITDA will continue. But then we do expect that for high premium

products have more than close to 50% shares. The EBI TDA are likely to be on the range of about INR 17,000 to INR 17,500 per metric ton.

Kushal Desai: Also I can add to what Ramesh is saying that the gestation cycle for the execution of the orders is getting a bit faster. So even the HTLS, which is reconductoring jobs, compared to what the cycle was pre-COVID and then, of course, during COVID it got really messed up because of various project-related issues. But going forward, the gestation cycles are also getting better. So I think that should also help improve some of the ratability that we have.

Pratiksha Daftari: Okay. Sir, what would be the execution period for our current order book of INR 3,600 crore?

Ramesh Iyer: It should be about a year, close to about a year.

Pratiksha Daftari: Okay. And on Cable division, the new E-beam machine that we are commissioning, expected to commission in Q3. So if this was to run at optimum capacity, what would be the revenue potential from this one as the current scenario?

Apar Industries Limited
July 29, 2022

Page 10 of 38

Kushal Desai: So I don't have a straight answer for that, but the product really depends on the product mix that we have, because it will be used both for the locomotives and railways, as well as for some of the bigger cables that are required in the ships. But our expectation is that you'll probably get somewhere in the range of around INR 5 crore to INR 6 crore on this front and then certain other cables will be manufactured on this at a faster speed, opening up our services revenue. So probably somewhere in the range of around INR 7 crore to INR 8 crore per month.

And it also depends very heavily on the mix of cable, because for some of these specialized cables, the insulation is very, very different. So even though the copper and aluminum, most of them are copper, that copper is standard in terms of its performance requirements. The insulations vary very dramatically. So essentially, what will happen is that most of the cable which we make are made 2.5 machines are used for cable and half our machine is used for services. So when you add the third, it'll become equivalent to 3.5. And our sense is that within a year, we will be completely loading this machine.

Also we make solar cables on this. So at the moment, we have not been taking a lot of solar orders because the 3 machines are running flat out. And solar cables, compared to railway and defense, are low margin. So when this machine comes up, then we'll be able to do that. We've also started exporting solar cables into Europe, and that's a big opportunity that's opened up, given the very high cost of power there. More and more European m

anufacturers are looking at supplies coming from India.

Pratiksha Daftari: Okay. And how do they look at OFC market? Like, are we seeing any improvement in the near future? Do we foresee the demand to pick up, especially because prices seem to be rising?

Kushal Desai: So just recently, the government has made some announcements, where they will recapitalize BSNL and

MTNL. And so as they roll out more networks, there could be a possibility of this growing. The OFC order book will probably grow in the next 2, 3 years from today. But our major thrust is actually on export of power cables and on the elastomeric cables, and we are actually moving faster away from the rest of the pack.

Apar Industries Limited
July 29, 2022

Page 11 of 38 So for example, in the North American market, we have 18 U.S. approvals, which is the highest amongst all manufacturers in India. And with our UL approval, it has to be marked on the cable, you cannot supply it. So we've focused on those markets where we think there will be a steady demand coming up year-on-year. The optical fiber, it's a completely separate unit. It has a separate team. They'll continue to push for as much business as they can get. But the fortune of the company will not depend on what happens to OFC.

Pratiksha Daftari: Okay. Understood. Last question, what was the capacity utilization in Hamriyah this time, this quarter?

Kushal Desai: So we've just gone through with an increase of almost 30% in terms of debottlenecking storage and some of the bulk blending there. But as I said, particularly the capacity utilization for transformer oil and white oil, et cetera, one can speed it up. We don't run the plant on 3 ships, it's runs currently only on 2 ships. So there's a lot of room there. It's really a function of getting the right customer and order flow.

Pratiksha Daftari: Okay. And currently, it is the transformer oil where we are confident of demand sustaining, right?

Kushal Desai: Yes. The transformer oil side, I think everywhere, there is a resurgence that's happening even in countries and GCC, where they are a very large producer of crude and petroleum products, they are also putting in extremely large installations being part of this whole ESG pledges, which have been made. And most of these countries have a lot of sunshine. So the solar installations are coming up, which will be very, very large in size. So our sense is that the requirement for transformer oils and cables mostly are produced locally, will continue to increase in that region. In the case of white oil, as we mentioned in some of the comments of our investor update, is that oil commodities have come down between 20% and 40% pretty much. But petroleum products have not come down that much.

Diesel has just corrected in terms of premium over crude by about \$100 -odd. So base oil prices haven't come down. So today, substitute products to base oils have gotten cheaper. So you can, in certain formulations, reduce the amount of white oil and increase the amount of hydrogenated veg oil. So veg oil have become cheaper than white oil. So there will be a little bit of adjustment that happens there, but we are quite bullish on the transformer oil side going forward. Both domestically, now we
Apar Industries Limited
July 29, 2022

Page 12 of 38 are seeing increases happening as you heard in the opening remarks also. A lot of transformation capacity is coming in and is right down our back alley, which is 400 KV, 765 KV.

Pratiksha Daftari: Right. Understood, okay. And lastly, do we expect our interest costs to remain elevated given tha

t we have basically high volume prospects ahead?

Kushal Desai: Yes. Our expectation of interest remaining high, because if you compare it to a year ago, there have been multiple hikes from the fed. The whole oil business and even to some extent, the conductor and cable business does have a component of U.S. dollar funding, because customers open 90 days or 180 days letters of credit or in some cases, the transaction is on a DDP basis. We have to deliver the product to the customer.

So there are lines of credit by which you can discount your documents and get the money. Even then, the discounting rates also have gone up. So I think interest costs are now here to go. The period that we had in the last few years was at an artificially low level. They're now getting to a level which is actually what we had seen prior to COVID kind of coming in. So they're going to be here to stay. And that's why Ramesh here mentioned that it's an integral part of the EBITDA. So we have been adjusting our prices considering the number of days outstanding as well as the rate of interest that will be associated with that type of business.

Pratiksha Daftari: Okay. So essentially, this will more or less become a pass-through cost for us?

Kushal Desai: Well, it's sort of pass through, but it'll be negotiated in. And fortunately, most of the competition that we have also around the world, everybody is being subjected to that. So it's not a unique cost which we are picking up.

Pratiksha Daftari: Okay. And how about freight cost? We had a serious concern about it. How do we look at it in next few quarters?

Kushal Desai: So freight costs have started coming off for containerized freight, and I think most of the hit on freight has been pretty much absorbed by us, other than 1 or 2 contracts. In some cases, there will be a small freight gain because when those orders were taken, now the current rate is a little lower than the previous rate. So overall, we don't see freight today on the containerized cargo actually being a big hit or a drag on earnings.

Apar Industries Limited
July 29, 2022

Page 13 of 38

On the other hand, bulk freight rates have gone up very, very substantially. And the reason for that is that we buy directly from refineries and refineries get into long-term contracts with the shipping companies. So most of this increase happened in 2021, and they already have signed contracts. So that's limited the amount of increases that the bulk shipping companies could make.

So now in the contract that were renegotiated, they are at a much higher level. So that has also added actually to the landed cost of the base oils, not only in India but everywhere around the world. But to your point that whether it's going to actually affect the conductor cable side, which is where we were more concerned in the previous calls, we have specifically highlighted that. I think we are kind of over the hump on that one.

Moderator: The next question is from the line of Maulik Patel from Equirus Securities. Please go ahead.

Maulik Patel: Sir, questions have already been asked. You have given on

conductor side, you are mentioning that EBITDA per ton will be in the range of around INR 17,000 to INR 17,500. But if you see the last 2 quarters, we have been consistently doing better. And is that clear, it's coming back to why you were guiding the INR 17,000 to INR 17,500 is likely due to this inventory loss we may have in the coming quarter because of the correction in copper and aluminum price? Or is it that you want to be more, like, conservative, which has always been as an operator management and you want to continue to follow the practice?

Ramesh Iyer: Here, there is no element of inventory loss because we are

completely back-to-back hedging the contract. And every order is backed by a proper risk-managed framework of hedging strategy. So we don't expect price falling down in any way to kind of hurt our EBITDA there. The only thing is that as the execution and inspection period takes time, it really depends on the mix of the products that is finally getting sold and accounted as revenue in the financial statement. That is what we'll determine the EBITDA on a metric ton basis.

Maulik Patel: And you expect to execute large amount of HEC and copper conductor in overall volume going forward compared to what you've been doing since last 2 quarters?

Apar Industries Limited

July 29, 2022

Page 14 of 38 Ramesh Iyer: The proportion possibly can change. So if the proportion changes, our EBITDA will change. And secondly, as I mentioned, that this also has a factor of interest cost. So depending on the interest cost, this EBITDA can go. For instance, if you see, the aluminum price and copper price come down in this quarter, your interest component may come down. And therefore, your selling price may be lower and that means our EBITDA level, it may be coming down. So it depends on multiple factors in terms of interest cost, in terms of your proportion of premium product getting sold, depending on the level of execution and inspection that happens and the consolidated view of that will determine your EBITDA. And therefore, if you look at a larger time period, that would be a proper indication of the EBITDA as that is there in the business.

Maulik Patel: On the TSO segment, you have an additional huge jump in EBITDA per KL probably because of a supply chain distribution disturbance. But you also mentioned that the upcoming cargoes, which will come at a much higher price and this will normalize your EBITDA per KL in this segment. Is this a similar situation, what you had 1 year, 1.5 years back, when the oil was in shortage, and that led to the 2, 3 quarters of very high EBITDA per KL, and subsequently it came down to the range of around INR 5,000, INR 5,500 per KL. So are we in a similar situation?

Kushal Desai: To some extent, Maulik, that is the case. So typically, what you would do is, you take a weighted average price based on the commitments that you have of delivery coming in for the quarter. And because there have been supply chain issues, bad weather around Korea and with the lockdowns in China, the vessels which have called on China have automatically got delayed and then they do the rotation and come back. So there is a little bit of that element. What you are saying, fundamentally the trend will happen. The INR 9,700 per KL come down to equalize somewhere in between INR 5,000 and INR 6,000 a KL. And then hopefully, it should start getting steadied going forward.

Maulik Patel: And on cable side, about this retail business, Anushakti wire, right? The investment we have made in terms of building an brand, building an team which executes the project, and in particular, this one, what kind of our product launch we have, some highlights on that will be really helpful.

Kushal Desai: So at the moment, most of our expense has been in terms of getting people on the ground. Because as I mentioned earlier, Apar Industries Limited
July 29, 2022

Page 15 of 38 it's a very unique wire and the best way to sell the wire through demonstrations. So if any customer brings a wire and puts it on a machine, when you increase the current, the Anushakti wire will remain standing much, much longer than after the insulation on any other wire has melted. So most of our work right

now has been focused on that.

We signed up Sonu Sood as a brand ambassador. So towards the second half of the year, you'll see some limited advertising going on. So we really expect to making sure that certain prerequisites are met. Your distribution is in place, et cetera, then you can step up advertising. So the margins which are coming out of that product line are pretty much feeding into years recycling that entirely back into distribution and brand building. But cable business, otherwise, given the way we expect business to increase on the elastomeric side, as we've already seen for wind mills, for solar, for defense, et cetera, that will take care of ensuring that the cable numbers, both top line and bottom line will remain good.

We have a runway of a couple of years. At least these other products growth will not really impact the amount that you spend on the LDC side and the wire side. So it should help us. And as I said, our target is that last year, we did a little over INR 120 crore. This year, we are targeting over INR 200 crore, and next year between INR 400 crore and INR 500 crore.

Maulik Patel: Okay. And so I think that's a pretty large target. I'm sure that you will achieve it. This is the second launch of Anushakti, right? We did one launch probably 4, 5 years back.

Kushal Desai: So no, we have not really launched the product. It was really being sold only into the projects segment. We hadn't really focused on doing retail offering. We then took on a target market, which was Kerala, 2 years ago, and to see whether on the retail side, we could end up getting good traction on it. And we found that moment to do the demo, especially to any independent house owner or someone who is redoing their own apartment, it is absolutely a no-brainer to use this, because the amount of electrical intensity in any house is just increasing.

You don't know today, after 5 years, how much power you're going to consume. And the worst thing for you to do is to rewire the house because it will be a complete mess. All the paint and everything will get peeled off and all these things. So literally, like a wire that you take and forget, and the life on the Anushakti wire is already tested to be 50 years because it uses
Apar Industries Limited
July 29, 2022

Page 16 of 38 the same fundamental technology as goes into locomotives and ships. So it's basically a wire and forget kind of application. So I would not think that growth of the Anushakti will make a

huge dent in terms of the cable profitability. On the contrary, the brand will continue to get built.

Maulik Patel: So I was not worried about the profitability part. I'm more interested in knowing how fast you can scale up. And that's what I wanted to know that the people you have hired on the product side, on the branding side, the distribution side.

Kushal Desai: So we've taken the help of a top management consulting firm to sit and work out the entry strategy and stuff. So all that's already done, and it is being rolled out. That's how the numbers, we expect them to show some good growth.

Maulik Patel: And in terms of people hiring. Whom you have hired to drive this?

Kushal Desai: We've hired people who have primarily been in the trade, not necessarily just from wires, but in the electric straight. So you've got a whole slew of products, which include switches, it includes lighting products, switch gears, et cetera. So we have obviously worked on selecting good people, because without investing in that, nothing can actually grow. There are 7 states in the South, which we have already started. The people on ground and the business is starting, which are the 4 Southern states. And

then to that is added Maharashtra and Gujarat. And in the North, we've basically started in UP, and then we'll be adding Haryana and the NCR region.

Maulik Patel: Sure. Just to the last question and it's a book-keeping question. What kind of Capex we are looking for this financial year? And in which areas we will spend?

Ramesh Iyer: So our total Capex in this year, we expect about INR 150 -odd crore, roughly about 2/3 we expect to be in the cable division.

Kushal Desai: A lot of this is actually a carry forward of projects which were announced earlier. Like, so for example, if you take the fourth E-beam machine we have and the CCV lines, which is a state-of-the-art line for making these cables for wind mills, those will get commissioned this year. So all kinds of part issues were there, all machinery delivery is also running 6 months behind schedule because of electronic parts and things like that. So it will be a carry-forward of allocations which were done in previous periods, which will get completed this year.

Apar Industries Limited
July 29, 2022

Page 17 of 38

Maulik Patel: I think we are setting fourth E-beam machines, right?

Kushal Desai: Yes.

Maulik Patel: And that will come in which quarter?

Kushal Desai: In the third quarter.

Moderator: Next question comes from the line of Pawan Nahar, an Individual Investor. Please go ahead.

Pawan Nahar : It seems we are pretty much on track for the 20% ROE number, so congratulation. Second was, I just wanted to understand how much would that be inventory gain being in this quarter for the oil business?

Kushal Desai: So I would call it a margin gain. So the margin gain actually,

typically, you would have had between 5,000 and 6,000. So the difference between the 2, which is about 3,000 -odd KL is part of the lower cost structure being in place. So in the following period, you'll see a big step function increase. So in some cases, you've already increased prices or partly increased prices to customers. So the unit margin is showing higher in the month of June. In the month of July, August, that unit margin will fall until we are able to make another price increase to rationalize the whole thing.

So we are looking at a levelized number in the range of typically INR 5,000 a KL. And as Ramesh mentioned, we've been quite cognizant of adjusting that, taking interest as a variable cost. The rest of it is, like, pretty much a pass-through, right, in terms of blending and other areas which you refix from time-to-time. But as the interest rates move up, we've been factoring that to the cost which we have.

Pawan Nahar : In fact, that would be a lovely way to look at it because I was myself wondering if we could look at both the oil business, the conductor business, EBITDA after the interest costs, like you simplify it for us as outsider.

Kushal Desai: So we have that working, which is there. And Ramesh was contemplating introducing that as an additional measure. It's just that most analysts and most of the people who are on this call, they are used to a certain metrics, but we can obviously provide both.

Apar Industries Limited
July 29, 2022

Page 18 of 38 Pawan Nahar : It will be really very, very nice. Because I -- right now, in the screen, I have data for the last 13 years in terms of spreads for both the businesses and margins for cable. Okay, before I get there. I mean, I wanted to ask you, now what would be the volume growth outlook for the oil business for the full year? Last year, it was 460,000 KL earlier, I think we spoke about 6.5% volume growth. So would you,

like, say that all part
490,000, 500,000 KL would be the number, volumes?

Kushal Desai: So our expectation is and the business plan that we've made is looking at almost constant volume over the previous year and this year, simply because there has been so much of increase. And if you see in terms of the mix of product that's coming out from a crude barrel, it is just diesel and aviation fuel, which is above the watermark. Even gasoline is right at the price of crude or in some markets, even slightly below that, naphtha is \$25 below. So it's been a standout and not come down, where all other products have come down. So wherever you have substitution, like in white oil, that volume will get affected. And we've mentioned in our comments also that the white oil business has grown very substantially over the last couple of years.

Pawan Nahar : And in that case, Kushal, I mean, given that I would imagine white oil would be less in terms of the spread versus the other businesses, the big businesses. Then we should be looking at a higher EBITDA per KL number for this year.

Kushal Desai: Pawan, not necessarily because the last couple of years, we made very good margins on white oils, both technical grade and pharmaceutical grade, which we're seeing kind of tapering off right now. We've been seeing even demand falling off. Like Africa is a very large market where they use these products,

and there is an affordability issue. And the beauty of the third world is that people are very elastic in terms of how they adjust demand. So we've gone with a conservative plan on this front. The oil business has done a lot of heavy lifting in the last few years. And I think our conductor and cable business will actually come into their own now over the next few years. And I guess that is the beauty of having this mix of businesses. It's not that the oil business will not be profitable as well, but the profit increase delta coming from conductors and cables will be much more sizable as we go forward.

Pawan Nahar : Sure. So right now, let's say we've done INR 9,700 per KL in the first quarter. And for the full year, do you still want to say
Apar Industries Limited
July 29, 2022

Page 19 of 38 INR 5,500, which means that it will be much lower than INR 5,500 in the balance 3 quarters? That wouldn't be the case?

Kushal De sai: Our target is to still do between INR 5,000 and INR 6,000 a KL for the year, weighted average for the whole year.

Pawan Nahar : Weighted average for the whole year. Okay. So in that case, I'll just take INR 6,000 maybe.

Kushal Desai: Take INR 5,500, which is the average.

Pawan Nahar : Which will be lower than last year's?

Kushal Desai: Yes. There is every effort to sell more premium products, sell it into more premium markets. So there is a little bit of leeway that you have. It's not that you can't do anything. But 2 factors in that before it happens is, I think, a little non-conservative.

Pawan Nahar : Sure. Then the second thing was, Chaitanya, I mean, congratulations on the conductors business. Now 2 questions here. One would be the full year volume number. Like, I think we had INR 130,000 is what we have spoken about for the full year. If you could just revisit that and the spread for the full year?

Chaitanya Desai: Yes. So basically, we are looking at a similar kind of volume, because our concentration has been more how to push for more value-added premium products. So our concentration has been more rather than tonnage, it has been more in terms of adjusting the product mix so that we can optimize our bottom line.

Pawan Nahar : So should we stay with the INR 130,000 number for the full year?

Ramesh Iyer: It'll be a little more than that because things are looking up right now. Between 130,000 and 140,000 is our sort of expectation for this financial year.

Pawan Nahar : Sure. And if I were to ask you, like you said that about INR 2,000 is the interest cost per ton. And when you talk about INR 17,500, for the parts, INR 17,000 to INR 17,500, this is, again, only marginally higher than last year's INR 17,000. And given that interest is now INR 2,000, which is below this INR 17,500.

Chaitanya Desai: The INR 2,000 what we had mentioned is an incremental interest cost from Q4 of FY'22 to Q1 of FY'23.

Apar Industries Limited
July 29, 2022

Page 20 of 38 Pawan Nahar : Sure, I understand. So what I was saying was INR 17,000 was the EBITDA per ton last year full year. And we are talking about INR 17,500, given that interest itself has gone up by INR 2,000 per ton, right? And given that overall, even after the interest numbers are so buoyant, wouldn't the EBITDA per ton be higher actually than INR 17,500 given the high interest cost?

Ramesh Iyer: Well, as of now, we have visibility for Q1 because now really, this number of interest will depend on whether how the interest percentage will pan out during the rest of the year as well as the price of the commodity prices. If you see aluminum in the last 1 month has come down by about 20% to 30%. So the interest will actually depend on the value of the products. So this is an indicative range that we have, and INR 17,500 has been our average in the last 4 quarters. As I said, a larger period of time, 1 month, it lasts, then we'll be much more confident in terms of the EBITDA that can be given as the guidance going forward.

Kushal Desai: The sense is clearly that the profitability for the year in FY'23 will be higher than FY'22. So adjusting for all the interest, you'll still be at that INR 17,000 kind of range. So the bottom line for this year will be equal to or better than the previous year.

Pawan Nahar : Sure. So basically, the INR 17,500 is after the interest cost? Did I understand it correctly?

Kushal Desai: Yes. But Pawan, what happens is that where we get into a little bit of trouble is that the premium range of products includes HTLS, it includes OPGW, it includes different types of products that go into railway electrification. It goes into steel copper, post conductors, a whole range of stuff. So when that mix changes, in this automatically kind of gets a little bit affected. So I think it would suffice by saying that this year, the bottom line for the conductor business will be higher than what it was for the last year.

Pawan Nahar : Yes. Now this is much more clear to me. Basically, you are saying INR 17,500 is after factoring in the interest cost?

Ramesh Iyer: No, no. We want to clarify that. So INR 17,500 will not be after factoring the full interest costs that we have. But of course, some part of the interest cost, we would be affecting that. But it may not be right to say that we will get INR 17,500 post 100% of the interest cost. We can share with you the working which you have suggested, that is EBITDA.

Apar Industries Limited
July 29, 2022

Page 21 of 38 Kushal Desai: That slide actually can be added to the investor deck in the next week and put up there. So then the working becomes relatively clear in terms of what happens on giving an additional Slide, it gives an idea in terms of what happens post this.

Pawan Nahar : Sure. And on the cable business, we should just continue to assume INR 2,400 crore of revenues for the full year and about 8.5% margin?

Kushal Desai: So our expectation on the cable side is to grow by 30%. So last year was about INR 2,000 crore net sales. So this year, we are looking at 2,600 plus.

Pawan Nahar : And 8.5% margin is an okay number to go with?

Ramesh Iyer: Yes, it should be in that range.

Pawan Nahar : Okay. And sorry, but if you can guide a little bit on the interest cost. It's INR 60 crore this quarter. It was INR 108 crore or INR 50 crore, INR 46 crore prior to that. What should we assume as a full year finance cost? Should we, like, assume 20% drop next quarter and then maybe, like, INR 200 crore, INR 210 crore of interest cost for the full year?

Ramesh Iyer : So I'll tell you what happens in this interest cost. There are basically 2 components. One more price is toward interest rate, which is SOFR based on our LC that gets factored into overall interest costs. The second component is that since we have an import creditors, a lot of mark-to-market on our overseas creditors also get factored into the interest cost because that's the way the accounting regulation needs to show you that. And therefore, if you see our EBITDA numbers, we have 2 kinds of EBITDA. One is the EBITDA and one is the EBITDA post hedges and that we call post For ex. So there are multiple variables here. And I think once we put up this slide on EBDTA, which will be clear in terms of after adjusting for all sorts of interest cost, what is the net margin that we have made in Q1 of FY'23, as well as what was the trailing 4 quarters of FY'24.

Because of multiple variables, it will be difficult to project that interest, because it's not only the interest rate, it also depends on the price of oils, aluminum as well as the exchange rate that's happening. So it's difficult to give a particular number as to how this interest lines in there.

Apar Industries Limited
July 29, 2022

Page 22 of 38 Pawan Nahar : No, so, I got it. Ramesh . So basically, if I were to look at finance costs after removing the adjustments, which gets knocked off from the EBITDA per ton or unit calculation, how much would that be? So INR 60 crore would drop to how much, if I remove those adjustments? Because that is captured in the EBITDA line. We've reduced EBITDA per unit.

Ramesh Iyer : So out of INR 60 crore, about INR 20 crore would be your ForEx adjustment, which we kind of report EBITDA post ForEx. Out of the INR 40 crore would be your pure interest cost on LCs, which is supplier's credit. So when we put up this annexure, we'll give a breakup of the INR 60 crore across the 3 categories. It should clearly show you how much is the EBITDA and then the interest cost and also the total finance cost so that you can measure on the EBDTA number, because all our interest costs are actually factored into the pricing. So that will move up or down, depending on the interest rate movements.

Pawan Nahar : Got it. And for today, as we stand, INR 40 crore is the number for Q1 and commodities that we deal with are down about 20%. So we can assume maybe like, let's say, around INR 30 crore, if we were to just simplify it for a moment going ahead?

Ramesh Iyer : Yes, I think we'll have to do the math of it. But once this slide is put up, and possibly then we can be in touch to see how that number goes.

Pawan Nahar : Looking forward to that 20% -plus ROE number.

Ramesh Iyer : Yes. Thank you.

Moderator: Next question is from the line of CA Garvit Goyal from Nvest Research. Please go ahead, sir.

Garvit Goyal : So basically, my first question is what are your views on the sustainability of this transformer oil segment in long term? And what would be the impact of basically the renewable energy on this particular segment going forward?

Kushal Desai: So in the case of transformer oil, as the renewable energy increases, the num

ber of transformers and the transformation capacity will increase. It's a linear function. So it will continue to grow. And in fact, earlier in the call, I mentioned that over the next few years, transformer oil seems like one of the product lines that we would expect to grow, not only in India, but also overseas.

Apar Industries Limited
July 29, 2022

Page 23 of 38

Garvit Goyal : So what kind of cadence do you expect going forward for this particular segment in revenue and profitability terms?

Kushal Desai: It just depends on the rollout. So all Governments around the world have shown up very aggressive numbers. And when you have such an aggressive number, it's anybody's guess what the final delivery will be like. But there will be a steady growth on the transformer oil side. That's all I can say, and it will continue for a few years as the infrastructure gets built out. There's no real substitute for mineral-based transformers, especially in the transmission networks.

Garvit Goyal : Okay. Understood, sir. And from our conductor side, basically, I was going through your previous con call transcript summary. And there was mentioned that you will be having a volume of around 130,000 by financial year '23 and the EBITDA per ton were getting somewhere between INR 14,000 to INR 15,000. Now is there any revision in this kind of guidance for financial year '23 for the conductor business?

Chaitanya Desai: As was discussed earlier just now by another question, we said that we are hopeful to improve the quantities. So it should be between INR 130,000 to INR 140,000 this year. And with regard to the EBITDA, as was also clarified, since these interest rates are going up, we are adjusting the EBITDA per ton, so that at least the profit after interest is remaining intact. I hope that clarifies.

Garvit Goyal : Okay. Understood. And basically, I can assume going forward also and despite of the fact that the commodity prices increases or decreases, we are on the growth trend for all the 3 segments, right?

Kushal Desai: Yes. In fact, we have been talking for several years about the U.S. infrastructure market opening up. And finally, it has opened up. So if you look at the mix of exports that are there and the growth in the exports, which has come for the cable business and for the conductor business, the U.S. is the single largest end market now. If you take the aggregate of these 2, it is by far the largest market where products are starting to go.

Garvit Goyal : Okay. One more question from me on production which you are talking about. Actually, in the last con call, I think you were mentioning that in this particular quarter from conductor business side, there shall be growth more from the conventional conductors, right? Am I right?

Page 24 of 38

Kushal Desai: To clarify. Actually, last few years, due to COVID, there was a big dip in the volume. So what we had mentioned is that we are expecting the business on the conventional conductor to come back on pre -COVID track. So because of that ratio of the business, which had happened last 2 years, may get slightly modified. So there will be a growth in all these new products. But at the same time, whatever dip that had happened on the conventional side will get sort of changed and come back on track. I hope that explains.

Moderator: Next question is from the line of Pravin Agarwal, an Individual Investor. Please go ahead, sir.

Pravin Agarwal : Congratulations on an excellent set of numbers. Most of my questions have already been answered. I have just a couple of qu

estions. One, you mentioned that for your cable division, we're looking at 30% growth this year. So if you were to go over the next 2, 3 years, I mean, will you maintain these growth levels? And in some of the previous calls, our aspiration was to get to double -digit EBITDA number, which we used to do earlier from '17/'18. And will we get to double -digit EBITDA number on that?

Kushal Desai: Okay. So let me answer both of them. One is that in terms of growth going forward, in this year, you will see at least a 30% growth, because also, the base was affected from some of the COVID -related issues, freight issues, et cetera, et cetera. But our plan is to continue to grow and I think we have multiple growth drivers in the cable business, which is the export, if you keep a track of all the railway expansions, which will happen in terms of locomotives and coaches, there's an upgradation that's happening in terms of speeds that will take place. So there's a whole lot of things which are going on.

So I think the growth will be there. And as these plans are announced, we will continue to keep on ensuring that the products and all those things are available. There's also a step function that has happened this year in terms of business that's in the U.S. market. So the U.S. market is to pass -through. The larger portion of it is the infrastructure side. The smaller portion of it for us is the homebuilding side. So the homebuilding side will probably taper off a little bit. The infrastructure side will grow.

So without hazarding a number of whether we'll grow 30% a year, et cetera, we see that for the cable business, we will have

Page 25 of 38 a steady growth taking place over the next few years. And as the electric vehicle rollouts happen across the world, there will be more and more of this cable required. Because if you take any building in Mumbai, for example, and if every alternate car park requires an electric charging system, then the entire locality will have to be rewired. It's not just the building. So it's a little difficult to say what speed it will happen in, but the direction is very clear.

On the second front, where you are talking about the EBITDA percentages, so yes, our aspiration is to get into double -digit. And the more we get into some of these elastomelectric, like

wind and defense and all these things, those carry fundamentally higher margins. So this year, we are targeting this 8%, 8.5%, but the aspiration is to get into double-digit.

Pravin Agarwal : That's great. So would it be fair to say that of the 3 segments, the cables is the one which is more faster or likely to grow the fastest?

Kushal Desai: Absolutely. Because the addressable market is multiple times the size of the conductor market and even if you take the entire specialty oil segment. Domestic market is over INR 60,000 crore. With the largest company, Polycab, being below INR 10,000 crore if you look at just pure wires and cables on a net sales basis.

Pravin Agarwal : That's good to hear. And in terms of our capacity, current capacity, what would be the roughly capacity utilization at a very broad level for this segment? So what I'm trying to look at is what is the incremental Cap ex would require to grow, let's say, 25%, 30% per annum for the next 3, 4 years ?

Kushal Desai: So most of the growth, which we are expecting in FY'23 and FY'24, we have 65%, 70% of it has already been committed. Equipment orders that are coming in, et cetera, et cetera, it's wrapped within the number that Mr. Ramesh has given, about INR 100 crore coming on the cable side. And the formats which go into the U.S. market also are a little bit different. So some equipments have been ordered for th

at, because that business also, we continue to see growing as the infrastructure needs get added up. And if the freight rates come down, then it makes India that much more competitive also. And which they will come down, because you've already seen that consumer products are slowing down in the U.S. They carry a huge amount of huge amount of the container inventory which is there.

Apar Industries Limited
July 29, 2022

Page 26 of 38

And one thing is container inventory, but it's also the ability to take the containers from the port and deliver it because it's a large country. So when that comes down, then automatically, it opens up for other products, and hopefully, the pricing also should improve.

Pravin Agarwal : That is great to hear. So one other correlated question to this is, in one of the earlier calls when you were mentioning on the conductor side, I remember, when you're dealing with Australia, there was a double taxation issue, which Chinese companies used to enjoy, and we had a 5% disadvantage compared to them. How does that compare in this for the U.S. market? Are we at par with our other countries counterparts from a double taxation perspective?

Kushal Desai: Europe does not have any special tax advantage to the Chinese cable suppliers.

Pravin Agarwal : So we are at par with anybody else?

Kushal Desai: So they laid a level playing field on that front. In Australia, the Chinese products are still at a lower tax level than Indian products. But there's a conscious move to reduce the amount of product which is being purchased from China to increase the spread of the supplier base. And in the U.S., at the moment, it's completely inverted because the Chinese duties are more than

20%. The Indian duty is 5%.

Moderator: Next question is from the line of Gunit Singh from CCIPL.
Please go ahead.

Gunit Singh : I would like to add my questions, and most of them would be forward-looking. So if we look at the margins, margins have been quite stable at around 6% to 7% since the last 10 years or so, I would say. But I see that we achieved margins of around 9% in, I think, FY 2017. So is it appropriate to say that we have passed any efficiency improvements or any improvements in terms of improving the margins? So is this the peak margin that we can achieve? Or the company is consciously taking steps to improve the margins over anything of that sort? And what kind of margins can we expect, like, going forward for this year or maybe down the line 2, 3 years?

Kushal Desai: So I wouldn't say that these are peak margins. But given the large product profile and a little complexity of different product lines that we have, our endeavor has been to improve
Apar Industries Limited
July 29, 2022

Page 27 of 38 premiumization, and that is now evident across all the 3 businesses. And this premiumization is both in terms of products and in terms of geographies. So I think what we've achieved here is the EBITDA margin is 7.6% for the quarter. And the endeavor will be to grow that. It all depends finally which products, which markets, et cetera. I think the number that we are really focused on is the return on equity, which we think we have a better handle on in terms of being able to deliver. And that number, we are still focused on delivering 20% ROE. We are, right now, in the 17-odd percent range.

Gunit Singh : All right. So for this financial year, can we expect, like, to maintain the margins of around 7.6% or around 8%?

Kushal Desai: So I think we'll be able to maintain these margins. There will be a reduction in whatever is seen on the specialty

oil and lubricant side. But there will be some improvement that comes from the cable side because of the increase in terms of the volume that'll come. I think overall, we will still see something in this range on a higher volume number.

Gunit Singh : Perfect. So in terms of the growth drivers for the company, like you mentioned that you're working 2 shifts right now. So would there be any capacity expansion? Or do we require that? And assuming across all our segments, if we run on full capacity, that is say 3 shifts, what kind of revenue can we reach in that sense? And also, if you have any plans for capacity expansion or any capacity expansion, can you please point those out as well and how they will impact our revenues?

Kushal Desai: So I had spoken about the 2 shift running at the Hamriyah facility in the UAE, and that theoretically, can be scaled up. So as a consequence, just volume is not constrained. If we actually have the product and the business coming in from customers. The oil division is not going to have any very significant Capex, because we do have capacity in place. So it's just debottlenecking the investment going on in this industry, in terms of improving digitalization and all those sort of things. But they are not very heavy-ticket Capex items. It's really the cable business that as we start, as we continue to grow, most of these projects, which are going will take care of what we want to achieve in FY'23 and to some extent, FY'24. If the market

continues to remain strong in that business, we will continue to invest in it.

Moderator: The next question is from the line of Akshay Kothari from Envision Capital. Please go ahead.

Apar Industries Limited
July 29, 2022

Page 28 of 38

Akshay Kothari: Sir, I wanted to note that you did mention that we got solar cables order from Europe, and there was a good traction from that side. Despite that, our margins in cables business have been on the lower side whereas other players are doing somewhat close to double-digit margins. So what would be the reason for this?

Kushal Desai: So players that have a higher margin profile are largely selling product in the branded wire segment. In fact, if you look like -to-like for the kind of margins that they carry on, the B2B products that they have, I think we are ahead of them with the mix of products that we have. So I think that comparison is not a fair comparison. It's not an apples-to-apples. I would look at the business mix that we have and then measuring ourselves year-on-year in terms of top line, bottom line on that.

Akshay Kothari: Okay. And sir, I wanted to know regarding the capital allocation. You did mention, at the start about the battery business, which we are doing and the dealer network of which we will be having in terms of mechanics. And going forward, how do we plan to scale our distribution network in terms of cables and Anushakti? Could you give a sense of that?

Kushal Desai: So most of it is actually an Ope x cost by increasing the feet on the ground to recruit more mechanics. And then parallelly, as we reach critical mass, we will launch an electrician loyalty program on similar lines. It's not very capital intensive. It's more Ope x related. And the beauty of this is that you do need to invest ahead of the curve, but you can phase out your investments, keeping in mind the amount of business which is coming through. So we've been maintaining that sort of pace. So as moment the productivity of the sales force goes up, then we're bringing in and moving to the next step.

Akshay Kothari: Okay. And sir, lastly, on the hedging strategy. Could you elaborate more on how are we hedging? Is it through some embedded derivatives? Or how is that?

Ramesh Iyer:

It's a plain vanilla hedging for the products that qualifies for hedging, basically aluminum and copper. We do their hedging base for once we get an order from the customer. So immediately, we'll do a back-to-back hedging at the LME, and that's how it happens.

Kushal Desai: Just to add to what Ramesh has said. The conductor business, because it's a make-to-order and each order is of a certain size,
Apar Industries Limited
July 29, 2022

Page 29 of 38 you pretty much hedge everything back to back. Other than in the case of steel, where there is no hedging mechanism. Fortunately, steel has also started coming off.

In the cable business, the larger orders which are there, there also we actually hedge back to back. So for example, Siemens Gamesa places an order on us or Nordics or any of these

windmill guys, we will only go back to back on them. Where you have a little bit of open is when you're servicing their dealer, distributor market where it's not possible to predict how much quantity will be involved. So to a very large extent, the requirement is hedged. It is a small portion, which remains open because of the lack of being able to assign a customer to the metal.

Moderator: The next question is from the line of Pujan Shah from Congruence Advisers. Please go ahead.

Pujan Shah : I just wanted to ask because partly, Apar has been pioneer and been leader in conductor, and all this conductor in cable, actually, cable. I just wanted to ask one thing. Like, in the previous, like, I take 3 years back, the con call, you have said, we always been into this developing new programs and new products, which has been a fire line, the target, which is currently now we are seeing that OPGW is the product which has been currently into this chain. So what are the current visions which can be lined up in next 5 years where there is a little bit ahead of the curve for the competition? That's my question .

Kushal Desai: So I'll take that question. So we've constantly been working on innovation. So a lot of the conductor lines which you are talking about, we started working on it 7, 8, 10 years ago. Now OPGW is picking up because data is the new oil. The railways, we have developed a whole lot. We've also developed a range of copper magnesium. Now the entire basic electrification is of pure copper. But moment you start going to high speed, you need copper magnesium. Apar is the only company that has a full product line ready.

So we are constantly in touch with customers and the planners that are there of these large customers to understand in which direction they're moving. But because there is regulation involved and all these things, it's difficult for you to determine when it will come. Like, we were already with copper magnesium conductors 3 years ago. But now we see that as they start signing up higher speed lines, we will need that.
Apar Industries Limited
July 29, 2022

Page 30 of 38

So we continue to keep on investing in terms of this. Generally, you will find that HTLS type of conductors, OPGW, even the CTC, whatever products we have classified as premium, those products today are at the relatively cutting edge of what can be used by a customer and will remain for the next few years. And then as and when they keep coming up with more requirements, we will keep adding to it. So it's like a moving target. It's not something where you have an end destination here. As time passes by as requirements keep improving and changing. So for example, with the Indian Navy, they themselves don't know the specification of what they want 3 years ahead.

At any point in

time, if you go to the Apar Khatalwada plant, you will find senior guys from the Navy there, who are talking to our chaps to see how it can be redesigned and different prototypes are being made, et cetera, et cetera. So it's a moving target. But the key here is that if you are the first part of call for customers when they have new requirements, then that is the right positioning for the company to be in.

Moderator: The next question is from the line of Amit Anwani from

Prabhudas Lilladher . Please go ahead.

Amit Anwani: My first question is on the conductors business. As we have been saying, there is good contribution increase from the premium products, which is happening. Just wanted to understand what is contributing to this, I mean, largely between domestic and global market, what sort of contribution is there for the premium products?

Ramesh Iyer: So overall, proportion of exports in Q1 was about 42% .

Amit Anwani: As a percentage to premium products?

Kushal Desai: Honestly, we don't want to get down to giving granular breakups of this.

Amit Anwani: No, no. I just want to understand what actually is driving the premium products. So if you could just highlight?

Kushal Desai: So what is driving the premium products on the conductor side is as follows, the HTLS, which is a high efficiency and the conductors with the low sag, what is driving that demand is increased transmission corridors. Mainly, the transmission corridors need to increase. Power is accelerated on. Yes. So it's being driven by the increased electricity requirement in urban
Apar Industries Limited
July 29, 2022

Page 31 of 38 areas or in concentrations. That's what is driving the HTLS business. What is driving the OPGW is, has the railway lines and all the other lines, which are coming up today instead of just having a plain vanilla steel core, there is a OPGW, which is an optical ground wire cable, which is on running, so that it can transmit data.

And today, the 2 companies that translate the largest amount of data in India are the Indian Railways and Power Grid Corporation of India. So all their lines, they are starting to specify now with more and more of the core coming in. Then you've got the CTC or the copper transports conductor. So that improves the quality and consistency of the core of our transformer. So slowly, customers have started specifying that because they want a better quality, the core of the transformer determines finally the life of the transformer. If something goes wrong with the core, you have to take the transformer offline and then spend a huge amount of money to refurbish it. And in the meantime, you need to have a spare one so that the circuit continues to run.

So there are different drivers to these product lines. But what I can say is that each one of these is in an area where the utilization or the usage of these conductors is growing. And that's the reason why we've classified that into the premium product. The conventional conductors have been around from the time before I was born, which is in late '50s.

Moderator: We'll move to the next question from the line of Sachin Kasera from Svan Investment. Please go ahead.

Sachin Kasera: Congrats for a very good set of numbers. I just had 2 questions, and they are a little bit more from a medium to long-term perspective. So you did mention that one of the key things that you are looking to achieve by doing all the premiumization is to try and target a 20% ROE. You're already at some 17% -plus right now. So if you could tell us that, I think the way we are going, I think we should do that in the next few quarters, but

something like from a more medium perspective, a 3 to 5 -year perspective, do you think that we are investing in

to enough new products, new premiumizations, new brands, new type of businesses, where there could be life, where we could look at even maybe a 25% ROE, say 5 years down the line? Or you think the type of business we are, we will meet over 20%?

Kushal Desai: I think aspirationally, obviously, we want to go beyond 20%. But realistically, hitting that 20% number also has been a
Apar Industries Limited
July 29, 2022

Page 32 of 38 moving target. Because I think, even in reinvesting in the business, we don't dividend out all the profit, some of the profits, 65% to 70% of the profits remain within the company. So to keep achieving a 20% ROE also is a moving number. So I think we will probably want to comment on that once we hit this at anywhere between the 17% and 20%, the company will have a very healthy cash flow. And that's something that we haven't been able to achieve after we bought the cable business and have been continuously investing to grow it.

So just to put things in perspective, in 2008, '09, the cable business was INR 100 crore business. Last year, we did the net sales of around INR 2,000 crore. And this year, we plan to look at INR 2,600 crore plus. So there's a huge amount of investment which has gone in. The opportunities continue to remain looking good. So what would you invest then? Your ROE actually does take a little bit of a knock ing. But the market according to us, the market on the cable side continues to look interesting. And we have fairly good internal systems for asset allocation. And then based on that, you just seeing the turnover of the company going up and the ROE going up. So I think first milestone is to get to 20%. And beyond that, as we come closer to 20%, we'll start brainstorming on taking it further.

Sachin Kasera: Sure. And the second question was on the cable segment. You mentioned that the market is very, very large, INR 60,000 crore. And right now you mentioned that, that will be on the cable business. So what would be your aspirations in this overall INR 60,000 crore in the next 5, 6 years?

Kushal Desai: So I'd just like to correct that, INR 60,000 crore is the domestic market. And then when you start looking at markets like North America and all there are many -fold larger and a couple of times the size of the Indian market just simply because of the size of the country, which requires to be wired up. So we don't have a market share target as much as continuously wanting to grow. I think in the cable business, you want to play what Simon Sinek says is the infinite game. So because there is a long runway, you keep on working on new products, new markets, keep investing in it and it'll continue to grow.

Sachin Kasera: And you did mention that probably this is going to be the fastest driver in terms of the growth and probably, also one of the biggest contribution to your both top line and bottom line.

Apar Industries Limited
July 29, 2022

Page 33 of 38 Kushal Desai : So ultimately, I believe that in the next 3, 4, 5 years, the cable business will become the largest business. And it's true only because of the size of the addressable market, more domestic and overseas. So we will want to continuously keep on making

investments where it makes sense. As I mentioned, we have a good system internally of asset allocation. So the asset allocation doesn't deliver a certain level of return, then we would then hold back that sort of investment. But I think in the next few years, the opportunity seems to be there.

Sachin Kasera: Sure. And just one last thing regarding, you mentioned that you always aspire to become bet

ter and we also focus a lot on premiumization and new products. Normally seen that, for that becoming need to invest a lot in terms of R&D. So now that once we achieve, say 20% ROE, maybe for the next leg of journey where you want, your users, you're hungry for more. Do you think that as a company, we will need to substantially scale up in R&D, invest a lot in technology? And if, yes, what are the type of steps you are doing to do something like that?

Kushal Desai: So we have R&D facilities in each of the 3 businesses. And we have people who are constantly working on this. We don't capitalize, we just expense our own because in some of these cases, you don't know when the products will actually hit the market. So I'll just give you an example. We've developed this medium voltage covered conductors. We've been desperately trying to sell those in the Himalayan region within India. And now some business has started coming up. But we pitched this to the Nepal Electricity Authority and the Asian Development Bank. And they said that this is the number one problem that's there because as the snow settles on conductors, the conductor snaps.

So Nepal is now converting 5% of its conductors every year into MVCC. So we've got 3 years in a row, we are supplying that. Of course, it's a competitive global bid. The Chinese companies, everybody bids on it. The bottom line is what that as you keep developing products, you keep showing it to customers. You don't know where finally and which customer will actually end up observing it.

Now today, if you see Uttarakhand is in the worst shape in terms of power deliveries in the mountains. And the solution is to use the same MVCC. So now I believe that they are in touch with us trying to figure out how much money is required, what allocation. So it's like a moving target to do all these specialized products. We expense the development cost and
Apar Industries Limited
July 29, 2022

Page 34 of 38 then we also expense the cost of actually the sales. So people traveling, making presentations, pushing all that. So it's all written off in the year in which it has been incurred. Our competition doesn't know how much money we put into these products basically.

Sachin Kasera: Sure. But will you be able to quantify how much we spend in R&D every year in terms of OpEx? Any number that you can share with us?

Kushal Desai: We don't want to share that number. It's been increasing year - on-year. And as you can see from the finished product, because by saying that we spent XYZ number, it doesn't mean anything. Our company motto is tomorrow solutions today. Unless the customer buys a solution, all this is an expense. So whatever it takes for us to find the right solution for the customer, we incur it and we expense it. That is our philosophy.

Sachin Kasera: Fine. Is it increasing much higher than overall company? You

say you're spending X percentage of revenue in R&D.

Kushal Desai: Yes, yes. Absolutely. Because as I mentioned, the R&D actually has 2 portions. There is 1 portion, which is actually sometimes the lower portion is to develop the product. The bigger portion is what takes significantly more time is to spec the product, because all these electrical companies are regulated. So finally, no matter who does it, if Mr. Adani wants to put something in, he will have to get approval from the Central Electricity Authority to use that format. So it's difficult to put timelines to it, et cetera. So that's why we end up just expensing it, and it's an infinite game. We just keep on working on it.

I'll give you another example so that it puts it in perspective. So the Navy has something called pressure tied cables, which they use. So they started of

f with a PT10. And today, in 6 years, we are now graduating them to PT72. So that they can withstand 72x the pressure of water, so as submarines get larger and as requirements go up. So this is something which we work. And the moment the Navy says, I want to now graduate from 10 to 15, 15 to 20. We just get to work and start working with them to figure out how that can be delivered.

Moderator: The next question is from the line of Gunit Singh from CCIPL. Please go ahead.

Apar Industries Limited
July 29, 2022

Page 35 of 38 Gunit Singh : I would just like to know what is standing today? What is the peak capacity revenue that we can expect, like, if we are operating at a peak capacity with our current capacity?

Kushal Desai: So in our oil business, we can increase the lubricant side, we are running basically the entire lubricant complex on 2 shifts. We can run a third shift to the same equipment in place. As far as white oils and all the bulk oils are concerned, we can easily match that sort of a number or more by making debottlenecking investments. On the conductor side, as Chaitanya mentioned here, and of course, it depends very largely on the mix of product. But we have headroom to go from 130 to 145, maybe 150 depending on the product mix that is available. And again, over here, our whole focus has been more, we would rather drop some conventional conductor business and concentrate on the premium product.

So in that sense, you can still increase your top line and your contribution margins, et cetera without really increasing capacity too much. So if you say, basically, you've got a room of around 10%, 15%, 20% in physical volume, but in terms of mix of product, et cetera, it could have a larger impact on the top line. And in our cable business, basically, the power cable and the elastomeric cable and the high tension cables are running at around 40%, 50% capacity. The LV cables, which are going into a lot of U.S. infrastructure, solar, et cetera, et cetera, that's running right now at 100%. And we have some expansions that are going in place.

The elastomeric mix of cables, when you put the E-beam in there, basically, that will increase by 33% compared to now because that's the capacity increase that one more machine will bring it for the cable side. The optical fiber, we have at least 50% capacity available with us, and that is just driven by market demand.

Gunit Singh : Right. Sir, can you give at least any conservative guidance for the year FY'23?

Kushal Desai: There are a lot of moving parts there. But in short, we are looking at a 25% kind of increase over what we had in the previous year. That's something that we think is possibly achievable.

Gunit Singh : All right. My last question is can you just throw some light on the INR 3,000 crore plus other liability items in the balance sheet. So can you throw some light on that?
Apar Industries Limited
July 29, 2022

Page 36 of 38
Ramesh Iyer: This is largely part of trade payables, which line item you are talking of? Which particular line item?

Gunit Singh : don't have it open in front of me right now, but it's supposed to be Page 22.

Ramesh Iyer: Trade payables, it's part trade payables. So if it's a such a big number, it has to be part of trade payables. Maybe you can let me know separately from which source you are taking, and then we can connect on that.

Moderator: We have the next question from the line of Ritika Gupta, an Individual Investor. Please go ahead.

Ritika Gupta : I just had 1 question. Is there any update on the MOU that we signed with the Saudi Aramco base oil company?

Kushal Desai: So there is a certain laid -down process, which exists in Saudi Arabia. So it's at a very early stage. But the reason why Saudi Aramco and its loop subsidiary are talking to us is that we have the largest market share of transformer oil in Saudi Arabia, and it's part of their localization program. So it's a fairly long run out, very formal process. So you sign an MOU, then only will they entertain you to sit and meet and show you land parcels and stuff like that. So it's a process that'll take at least over a year before it can be closed.

Ritika Gupta : But do we have any, like, revenue targets that we expect in case this rectified ?

Kushal Desai: So today, we do business in Saudi. During this last 4, 5 years, Saudi Arabian business actually was very badly affected. So from its peak, it was down almost 60% because of infrastructure not going in. With the current price of crude and with the current ruler there, who is pushing these programs, they have some very ambitious programs in terms of setting up manufacturing in Saudi Arabia, which is hydrocarbon or electricity -based. And so depending on how that goes, you will see. The beauty of our transformer oil and facility is that it's not very capital intensive. So our strategy would be to secure and once the MOU is done, then they'll go to the next step of allocating land and providing you on-tap utilities, et cetera. It will be right in the vicinity of the refinery.

A very advantageous situation to have if the business actually starts going up. Also, Saudi Arabia has come up with a marketing
Apar Industries Limited
July 29, 2022

Page 37 of 38 system that the local content ends up giving you a weightage in terms of the competitiveness of your price. So if you're 100% import, then you will have a penalty of almost 15%. So it's like a very structured system to enable companies to come and start manufacturing in Saudi Arabia. So I think it's a strategically interesting step. It will take some time, and it's not going to skew the transformer oil numbers in a very big way. But then when you get aligned to the largest oil company in the world, then I think there are benefits that come out of it.

Moderator: We will take the last question from the line of Harsh Deokar from HT Investments LLP. Please go ahead.

Harsh Deokar : First of all, congratulations to the management for a good set of numbers. Sir, this is regarding exports. We see, if you can give in the past, from an aspiration standpoint, are we focusing our exports more than to the 25% percent to the management in 1?

Kushal Desai: So I think to sort of answer that question, our focus is actually not just in terms of what percentage of our revenue should come from exports. We wanted to be something in the range of between 40% and 50%. Given the fact that many, many markets have opened up with this China Plus One, et cetera. So if you wind back in time 5 years ago, there was no cable is really worth talking about going to the U.S. market or going to the Australian market. And the European market was completely shut to Indian players. Now they are coming in here and a whole lot of approvals and discussions are happening, inspections in the last 3, 4 months, you had people visiting who have not been able to visit in the last few years, flying in from overseas, having meetings in the factory, et cetera.

So I think if you look at that, the quality of the companies or the countries we want to focus on, those are now open for doing business. And in fact, I mentioned earlier, I think in the last or the last, last earnings call saying, all these countries are now open to doing business with India, which was not actually something that was that easily available. And

and if you see the destinations that our product is going, it's largely going to the United States, Europe and Australia, which are fairly advanced and sophisticated markets.

We don't have a percentage, but I think we will strike the right balance between domestic and export. On power cables, we get better realizations from the U.S. market than from the domestic market, especially on the light, on the LV cables; light voltage cables. So we are really looking at where you get the best
Apar Industries Limited
July 29, 2022

Page 38 of 38 netback, where customers are laying an emphasis on quality. And accordingly, we are targeting the different markets. I'll tell you one thing that you will see over the next few years, that the export percentage of the overall pie will remain strong and it'll be in this range or maybe slightly higher.

Moderator: Thank you. I would now like to hand it over back to the management for closing comments.

Chaitanya Desai: Thank you very much for taking time out from your busy schedules and joining us in the quarterly update call today. We wish everyone the very best of health and look forward to continued participation and interaction in future quarterly update sessions. Thank you very much.

Kushal Desai: Thank you. Goodbye.

Moderator: Thank you. On behalf of Apar Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Sep 2022

E-filing

SEC/3009/2022 September 30, 2022

National Stock Exchange of India Ltd.
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: The Manager, Listing Dept.
BSE Ltd.
Corporate Relationship Department,
27th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Dept.

Sub. : Submission of Transcript of Analyst / Investor Conference Call made
on September 23, 2022

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations,
if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to
time

Dear Sir,

Kindly refer to our letter no. SEC/2409/2022 dated September 24, 2022 w.r.t. submission of link of Audio
Recording of Analyst / Institutional Conference Call made on September 23, 2022.

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith the transcript of the
Analyst / Institutional Conference Call organized by Equirus on September 23, 2022.

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.
Thanking you,

Yours faithfully,

For APAR Industries Limited

(Harishkumar Malsatter)
Deputy Manager

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India
+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panoram a Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India
+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

Page 1 of 36

"Apar Industries Limited Analyst/Investor Conference
Call"

September 23, 2022

MANAGEMENT MR. CHAITANYA DESAI – MANAGING DIRECTOR ,
APAR INDUSTRIES LIMITED
MR. RAMESH IYER – CHIEF FINANCIAL OFFICER ,
APAR INDUSTRIES

Apar Industries India Limited
September 23, 2022

Page 2 of 36

Moderator : Thank you, everyone, and thank you for joining in such a volatile day. We have Chaitanya Desai, Managing Director of Apar Industries; and R amesh Iyer, CFO of Apar Industries on this Apar Industries virtual Conference on September 23, 2022 organised by Equirus . First, management will spend some time on giving the business outlook and the strategy on Apar Industries. And after that, we will have a Q&A. Over to you, sir.

Chaitanya Desai : Thank you. I'd like to first thank all the participants for joining. And if I may start with a quick overview of the company products. First division I'd like to mention about is the conductor division, where we are making the conventional conductors, we are making the high temperature, low SAG or the high -performance conductors. We are making the optical fiber ground wire, and then copper railway conductors and the conductors used in the transformers called the CTC and some of these products we are tak ing on our turnkey solution basis.

Over the years, we have been concentrating on more value -added products and made significant investments in this division. We also have a factory next to the Hindalco for the molten aluminum supply. And over the years, we have also moved into the Services segment, particularly for the high -performance conductors and the OPGW.

Apar Industries India Limited
September 23, 2022

Page 3 of 36

In the last 2 years, there has been the railway electrification work. So, we have entered into the copper railway business. And now there is new products for the high-speed trains, the copper, magnesium and the copper alloy types. As far as the CTC for the transformer industries, we are relatively new in this business, but this is also one of the more value-added products used in the substations. These transformers are used in the substation in the power sector. And currently, we are selling in the domestic market. And gradually, our intention is to bring some of these newer products, including the CTC and the copper railway products and OPGW in the export market.

We're already doing a fair amount of export business of the HTLS and the high-performance conductors, and that will continue. We're also seeing a fair amount of growth in some of the Western markets, with this China plus strategy. So, that is also helping in improving the margin levels for the conductor business overall and also is the case for the cables.

For the oil business, our main bread and butter product over the years has been the transformer oil. But over the years, we have also diversified there into white oils, which are used in pharmaceutical and care applications. We also make the various industrial and process oils, including the process oils used in the tire industry. Then we make industrial and auto lubricants, which is a B2C type of

Apar Industries India Limited
September 23, 2022

Page 4 of 36

business. And then we have other premium products that we have introduced in the transformer industry with the ESG initiative and also petroleum jelly products. We also have a factory in the Middle East besides the ones in India. The Middle East is the Hamriyah plant, where we are making the transform oil, white oils etc. So, those products we are catering to in the GCC market and the African market primarily.

Moving on to the cable business, which we acquired some 15 years ago approximately. We have the power cables, HT and LT. And also recently, we have launched the electron beam-based house wires, which we have called the Apar ANUSHAKTI brand. We also have the elastomeric cables, which are used in the renewables like wind and solar in a big way, besides, of course, other applications in railways and defense.

We also have the electron beam as a service for various other industries. So, they bring their products

and we do electron beam and do it as a service for them. Then another product line is the optical fiber cables. And because we have both power and other various type of cables, telecom, instrumentation, we are able to make various specialty hybrid cables.

So, a lot of emphasis we have been putting for the cable division, and we have been investing a fair amount. And even in the years to

Apar Industries India Limited
September 23, 2022

Page 5 of 36

come, we see a lot of traction on this front. Here, again, there is a China Plus strategy going on where a lot of exports to the Western part of the world is helping us to increase our business for the cables. We are setting up more E-beams and also CCV lines to cater towards the renewable energy sector, and that is one of the major focus for us. So, this is a nutshell about our various products in the company.

And with this, if I may open up for question and answers, please.

Participant: Yes. Thanks, Chaitanya. If anyone have any questions, we can go ahead. Please raise your hand for the questions. Yes, Mihir, you can go ahead.

Mihir Manohar : Thanks for giving the opportunity and thanks for the presentation, sir.

Sir, I largely wanted to understand on the profitability side, I mean, how is the profitability different in the high -value segment in the conductors versus the normal products that you are having? And also a related question to that was, I mean, how to understand the profitability, the EBITDA per metric ton for the conductors and in the oil and lubricant division from here on? I mean, how does the pricing mechanism work? Or what kind of number should we have confidence on? Is it more related to commodity prices and something like that, sir? So, largely in that context.

Chaitanya Desai : Yes. So, in the conductor business, almost all the business is going on the basis of the London Metal Exchange pricing. And then on top

Apar Industries India Limited
September 23, 2022

Page 6 of 36

of that, we are charging the premium or the conversion cost plus profit. So, that is the model which we use for our various pricing. Of course, in a lot of the businesses, we just have to declare a final price. We don't have to give the breakup. And in some cases, we have a price variation formula where we use the LME as a base for the pricing.

And in terms of the margins, definitely the conventional conductors has been relatively lower margins compared to the various value - added products that I covered, whether it is the high -performance conductors or the copper -related products like railways and the CTC and also the OPGW. So, these, in terms of volumes are much smaller metric ton wise, it is smaller. But the rupees per metric ton margins is much more.

So, over the years, we have been giving like a weighted average figure for the EBITDA per ton basis. And recently, we were discussing also that since the interest rates have been increasing, we have been increasing our prices accordingly. So, another method for measurement could be the earnings before depreciation, tax and amortization. And that figure, we have been talking about is in the tune of Rs. 12,000 to Rs. 14,000 and is gradually increasing because what we have been trying to do is reduce our emphasis on the conventional conductors and concentrate more towards the

Apar Industries India Limited
September 23, 2022

Page 7 of 36

export and the value -added products. So, that is bringing our weighted average EBTDA to a higher level.

Ramesh Iyer : Correct. So the EBDTA metrics, we are planning to start from Q2 onwards as we feel that interest for our type of business is like any other factors of production. And the way we look at raw materials and labor costs and power costs in the same way we look at interest cost, the refore, we try start to look at the EBTDA as a measure, hopefully from Q2 onwards.

So, coming back to you

r question, it's difficult to get to an exact differential between the conventional and the premium conductors because we are into order business, and these are all design specific orders that we get from customers. So, it's not a fixed thumb rule that you can apply for arriving at a difference between the conventional and the premium conductors.

Also, what is happening is that over a period of time, our export in

conventional conductors is also increasing. So, that also gives us a better margin than the domestic conventional businesses. So, there's a combination of many factors that gets into the EBTDA. And a full time period of 12 months is what could be good relevance to see what could be projected in future.

Apar Industries India Limited
September 23, 2022

Page 8 of 36

Mihir Manohar : So, just an extension to that, should we see the normalized numbers will be higher than what they were historically, given the fact that share of premium products is going up?

Ramesh Iyer: Yes. As you see this trend going up, you will see the margins going up. At some point of time, once the trend stabilizes, then the margin also will get into a more stability mode.

Chaitanya Desai : We are in a state of flux in that sense because we have invested a lot in various products, new products. And while there are some parts of the factory which is fungible, so our concentration is how to load our plant with more value-added products and reduce out the proportion of the less valuable product. So, accordingly, the rupees per ton figures will increase, but the overall absolute term figures also should increase. And our concentration is not so much in terms of the volume as much as the profit margin part.

Mihir Manohar : And on the oil side, I mean, how is the profitability over there? I mean, does the pricing happen and how should we see the EBITDA per metric ton over there?

Ramesh Iyer : So, the overall oil business has been having high profitability and margin over the last 2 years. Even if you look at the first quarter, it has been a very high number. Of course, we had already mentioned during the first quarter earnings call that there could be pressure

Apar Industries India Limited
September 23, 2022

Page 9 of 36

going forward as we see oil prices increasing and also customers putting resistance due to an increase in oil prices.

So, overall, to give a guidance about Rs. 5,000 to Rs. 6,000 per kiloliter for oil margins that we believe should be from a 12-month perspective. Of course, during some of the quarters you will see high margins, some of the quarters you see low margin because the oil price itself is very volatile, and there's no way to hedge the oil price. Therefore, you may see a quarter-on-quarter movement. But on a 12-month period, we expect about Rs. 5,000 to Rs. 6,000 per kL as our EBITDA.

Mihir Manohar : And just lastly, one question. I mean before I enter back to the queue. And on the cable side, you mentioned about some of the approvals that you have got specifically in the U.S. and for the renewable energy side. If you could throw some light, I mean, how will the revenue pan out here? How big is the opportunity? And how are we targeting this particular segment, especially, I mean, renewables energy or Western World?

Ramesh Iyer : So, a couple of things we are seeing happening on a global thing. One is the infrastructure spends generally across the globe is increasing, and that gives us opportunity for us to tap these markets there. And also the space in the renewables is going up with a focus on clean energy and green energy. It's giving a lot of opportunities

Apar Industries India Limited
September 23, 2022

Page 10 of 36

for us. And we happen to be in a good position because in India, we are the #1 when it comes to the renewable space, the solar and wind. So, our ability to tap these opportunities appear much better

than some of the other players. Also, since the last year, mostly by the second half, our share in the exports within the cable division has gone up. So, we do see good potential coming in from our overseas geographies for our cable business.

Hitesh Joshi : If anyone have any questions, please raise your hand. Meanwhile, I will ask a few questions. Basically, on cable side, where we have entered into this consumer business, B2C business over the last couple of months and also strengthened the team, you have a couple of hires from the industry. Now it is going up. And what are the specific targets you have in the mind for achieving a certain revenue? How we are doing it?

And in terms of the profitability, the profitability of ANUSHAKTI is significantly higher at a less gross margin because we understand the business is still currently in the buildup phase. So, you have a lot of overhead right now. But on the gross margin side, is it significantly higher than the overall profitability of the cable business?

Ramesh Iyer : So, overall, I think this particular segment there is a unique reason where we are into this business. And as we see this particular segment, there's a gap in the customer expectations that we see

Apar Industries India Limited
September 23, 2022

Page 11 of 36

currently. And for us, our product is a very unique and differentiated product. It basically has 2 fundamental advantages that helps us to differentiate against other players in the market.

One is that it has a much higher current carrying capacity. It can actually carry 50% more current than the existing players. And secondly, the insulation is such that it's highly short circuit resistance. So, when you actually combine these 2, it has a good technical performance and gives us a very unique and differentiated product to capitalize upon. And it actually runs through our E-beam process, and we are the only player in this segment having E-beam-based product for this LDC segment here.

So, we were already there in the Kerala and Gujarat market over the last 3 years or 4 years or so. And we have been seeing good responses in that limited geography we are in. And this year, we are actually expanding to more southern states than more north and eastern part of the country. And over a period of time, we'll see our presence actually going up across the country.

And in terms of margins, yes, we like to keep the price a bit competitive as well as a bit higher than competition because of the advantage that we have. But initially, we'll see a lot of spends going on at the local level to create awareness about the product, meet with the electricians to communicate how this product is superior than the

Apar Industries India Limited
September 23, 2022

Page 12 of 36

other available products. So, we'll see a fair amount of upfront investments going up in BTL as well as advertisement over there. But over a longer period of time, this would catch up with the overall profitability, which we'll get from this segment.

Participant: So, I understand that in the last call, Kushal bhai has mentioned about that current run rate is around 150 crore, I mean for the FY '22, right? This year, you're targeting is close to Rs. 250 crore or around Rs. 300 crore and the next year, it's around Rs. 500 crore target for this product. Are you on track on that number?

Ramesh Iyer : So, we are targeting about Rs. 500 crore by FY '25 -'26 , that's the number we give.

Participant: Okay, '25 -'26. Not the next year. Okay. And in terms of the cable business, the highest margin at an EBITDA level, I think 11% margin we achieved in FY '19 and '20, and then there a dip in over the last 2 years because of the pandemic and the copper pricing moving much higher where we took some of the hit on our fixed price contract.

But now because of this B2C business, which is again picking up for that, w

hat kind of margin we are envisaging in the next 3 years? I mean will it go to the 11% and much more than that? Or is it like because we're investing significantly in a brand right now. It will be still around 10% to 11% kind of in the range?

Apar Industries India Limited
September 23, 2022

Page 13 of 36

Ramesh Iyer : So, our aspiration is to get into this double -digit EBITDA for o ur cable business, and we have achieved it in the past. So, there's no reason that we couldn't get into that thing. Of course, the COVID pandemic because of that, our margins reduced. But if you see the last year, we were about 5 -odd percentage. And if you break that into quarters by quarter 4 FY '22, we were close to 7 percentage. Quarter 1 FY '23, we were about 7.5 percentage. So, it's kind of getting settled at 7, 7.5 percentage.

We expect that this year, we will be close to about 8 to 8.5 percentage bas ed on what we see coming for the year. And maybe over the next couple of years, we see that getting into double digits easily. That will increase our margins. And also, the upfront investment on LDC will not be a big dent on an entire cable business point of view because the volumes are still small as compared to the overall B2B business that we have. And also, as you see good export opportunities where the margins may be better. Overall, my profitability would be much higher than the upfront investment tha t we are doing on the LDC business.

Participant: And on conductor business, Chaitanya, sir. We have seen like this business has always been very volatile from a volume perspective. There were the years that we grew 30%, probably next year, it was down 20%. If you look at the number, I think FY '18 or FY '19, Apar achieved around 1.8 lakh ton kind of volume on an annual basis. This

Apar Industries India Limited
September 23, 2022

Page 14 of 36

year, probably the guidance which you gave that in the previous con call was around between 1.3 to 1.4 lakh.

At the same time, t he focus has been more on the profitability and value-added products and not more on the volume. Our EBITDA per ton has seen significant jump from Rs. 10,000, Rs. 12,000 to Rs. 17,000, Rs. 18,000 right now. And we understand that you continue to focus on t he value side. But is the market for the values expanding at a much, much faster pace than the traditional, number one? Number two, we have seen a lot of this government making some initiatives on reducing the deficit or I think that I would say that improving the power sectors finances, do you see any scope for the distribution companies or the SEBs to start doing some kind of Cap ex on the conductor side or the transmission line side? And are they doing to go to more on the traditional or is it going to be more on the value -added products which we have developed over the last many years?

Chaitanya Desai : Yes. So, on your first point, I agree there has been a fair amount of

volatility on the volume side in the conventional conductors in the past. And definitely, during COVID, things were hit because a lot of infrastructure spend was getting diverted to attend to the medical front. And also projects were getting delayed and procedural tender-related things were getting delayed.

Apar Industries India Limited
September 23, 2022

Page 15 of 36

So, that is one thing which had happened. But now all that sort of pent-up demand is coming back on track because all projects people are working all over the world and want to finish their projects. So, that is one part of it. Then as was discussed earlier, the renewable energy is a big driver to both the conductor and the cable business and actually transformer oil also. So, definitely, we see a sustained demand going forward. Hopefully, there should not be any such pandemic going forward or any such disruption.

So, assuming that on one hand. And on the other hand, the products

ucts

that we have introduced in the last few years where we are starting off with a low base and definitely, we have a lot of scope to grow in India and then outside India as well. So, that will also sustain the demand in terms of metric tons. And another part is that the demand for the type of conductors is also growing a little bit more on these value-added products, particularly where the clients are looking for a solution as opposed to simply a supply because they are not just putting up new lines, they are also doing reconductoring of old lines to feed more power with the right -of-way issues.

So, these are some of the things which we are confident of that demand will be sustainable and also of the value-added products with the trend which is going on with the urbanization and more power requirement in the cities. So, that will also require the

Apar Industries India Limited
September 23, 2022

Page 16 of 36

governments to do a lot of things in terms of augmenting the power supplies to the urban areas. This is one area.

Secondly, on the renewable energy front also, it requires the grid connection. So, that will also drive the demand. And also in terms of the type of products that the renewable energy requires will be more robust type of products because they need to take care of the surge requirements as more solar parks and the wind farms are added to the system.

So, instead of building up at every point, a new infrastructure to connect to the grid, a lot of these developers are seeing this as a long-term investment to put up a connection to the grid, which has the robust connectivity and which can take care of the future demand. So, the nature of the product also, the requirement is also having a larger component of more value-added conductors like the high-performance conductors.

In terms of the OPGW also, there is a fair amount of sustainable demand we see because of the digital initiatives and the connectivity to various parts of the villages, et cetera, in India. And also similar phenomena is going all over the world with more transfer of data requirements. So, they are finding it more convenient to kind of replace the earth wire with the OPGW, which gives a very good connectivity for various companies which are not only in the telecom

Apar Industries India Limited
September 23, 2022

Page 17 of 36

providers, but also other major corporates, which need to have transfer of the data going from one city to another city.

So, OPGW is one of the best ways to actually have the least attenuation losses. This is one sustainable demand we see there. Similarly, in some of the other products as well, where we have a low base currently, we see that the odds are that it's only going to increase in volume. We have built up the capacity. So, definitely, we'll be in a position to cater to those things as more approvals come through. Definitely, in COVID, some of those new products took a little longer time to get approvals because the plant audits, et cetera, could not be done. But now those things are coming in place. And gradually, we have got all the approvals from Power Grid, including the 765 KV approvals as well.

So, this is one question that you had with regard to demand. We see a very sustainable demand. And also, I would add to that, even in the export markets, with the geopolitical situation and India being favorable in terms of supplies to the western part of the world, we see a lot of increased interest to buy from us and also, we have already been established in those countries. The country's requirements there are not just on price. They buy also keeping in mind the quality, service, deliveries, and they are very thorough in all their documentation requirements. So, it's more holistic kind of approach that these buyers abroad have as opposed to an India

Apar Industries India Limited
September 23, 2022

Page

18 of 36

where it's a tender-driven simply on L1 type basis, the decision is taken for purchase.

So, what we can say that is this move from China and also some of the European local players, even some of the American players, they are not equipped to take care of this sudden surge in demand, which has come about. So, the delivery schedule also for them is moving to after 1 year and therefore, these utility companies are forced to look at other options. And therefore, they find in India already, there is an existing good amount of capacity available. So, they are coming more and more towards buying from people like us.

So, I see this as a sustainable demand actually for the conductor business and also the move towards a more value-added products that will continue. We are gradually reducing our emphasis on the local market. We had put up the factory in Orissa keeping in mind the local demand, but some of that capacity also will be going in catering to the export market. We are generally agnostic as to where we will sell. We are trying to simply improve our margins by catering to the various geographies where we may improve our margins and also various products, which can give better value addition compared to the conventional local business. So, this is, in short, I think, on the question on the demand side. You also asked something else, if you don't mind repeating that?

Apar Industries India Limited
September 23, 2022

Page 19 of 36

Participant: So, only one thing, my question was on overall this SEB situation. Are you seeing any improvement on that side?

Chaitanya Desai : So, on the SEB, the Government of India, Central government has brought out this RDSS scheme, which will be a very huge investment, but it will benefit our cable business for sure because a lot of it is for underground cables and a little bit is overhead type of conductors.

And it will be for strengthening the state electricity boards for the distribution segment. It will not result in the high -performance conductor demand. That is being catered to by the state transmission companies. And this RDSS scheme is for the distribution companies only.

Participant: And you mentioned about is there a lot of shifting on orders from China to India? I mean obviously, you are being competitive on the cost side compared to the Chinese one, but is that the shift which we have seen in the last couple of months? And what you said about the new geographies are getting open and customers are coming up, is this across the players in India? Maybe there are others who are also doing export of the some of this conductor. Or is this specific move to Apar?

Chaitanya Desai : There are some percentage of export going by others, but we have the main business. And because we were already in this for a long time, we have built up certain credentials in those markets. And as I

Apar Industries India Limited
September 23, 2022

Page 20 of 36

mentioned, those countries, they don't go just on price. Price is an important consideration, but actually, it's not the most important. There are other aspects which they look into. So, therefore, to get entry into some of these markets, customers take a lot of time. But once you're in, then they don't kind of change.

So, other parties, whether they're in India or China or elsewhere in the world also, we see this as sustainable kind of demand going forward. Also, I'd like to mention that some of the geographies where we have not yet penetrated, we see a good potential in some of those markets as well besides, of course, the ones where we're already entrenched in. So, there is a lot of scope. And everywhere in the world, we are seeing people slightly moving out of dependency on Chinese conductors and cables.

So, this phenomena, I think, will continue, and we will benefit from that. That also we have been wondering whether it was sustainable or not. And

our feeling by talking to some of these clients is that the chances are that actually they want to consciously reduce their dependency on China. So, earlier, if they were buying 100% from China now they started buying at least 10%, 20%, 30% from other countries and they want to gradually sort of reduce their further dependency on China as well. And if possible, bring it down to 0.

Apar Industries India Limited
September 23, 2022

Page 21 of 36

We are also encouraged that some countries like Australia where China and Australia have a 4% advantage because they have an FDA. Still, the Australian customers are finding that buying from India is overall cheaper option and more value proposition, not just from a price point of view, but also if they have to make the timely supply for their projects, then they cannot depend on supplies from China if there are disruptions in the supply, which may happen . So, even from that angle, we find that they prefer to buy it from India and from Apar more specifically.

Participant: If I understood very simple that we are just entering into a very long - term trend where a lot of geographies, particularly Europe and others start diverting their import from China to India and some of the countries. And we have just seen probably, let's say, 10% or 20% of the demand shift from China to other nations. And still, there's a long way to go. Is it the right understanding?

Chaitanya Desai : Yes, because some of these clients are systematic in their approach.

They will go gradually up. They do not sort of put all their eggs in like a new vendors basket. They would want to test out and see how the overall experience with the vendor is, and then build that further to so that they can have a very sustainable secure supply for their own requirements. So, that is a trend which we are seeing, and we foresee that the percentage of business coming from these clients also will grow in year -to-year basis.

Apar Industries India Limited
September 23, 2022

Page 22 of 36

Participant: Great. And they are all likely in a value -added products, right, largely?

Chaitanya Desai : Both actually, conventional as well as value -added. Even in those countries, there is a similar trend of renewable energy and same issues of right -of-way, et cetera. So, depending on their own planning, they have been buying some part of conventional and some part of value -added products.

Participant: We have a next question from Manoj Bahety. Manoj Please go ahead.

Manoj Bahety : So, I have 2 questions. Just a follow -up to the question which was earlier asked. So, both on oil side and conductor side, we have seen significant increase in margins. And as you explained that on the conductor side, part of this margin increase is also attributed to the product mix stage. But even on the conventional side, is there a short -term margin jump? And what kind of normalized margin would you see on the conductor side? And oil side, I think you have already mentioned that 5,000 to 6,000 would be a normalized margin, right?

Chaitanya Desai : Yes. Actually, what I can say is that in the past, we have envisaged how this situation is based on the current situation. And every quarter, we have been seeing actually improvement, at least on the conductor and cable side. So, it's like a moving situation, and we

Apar Industries India Limited
September 23, 2022

Page 23 of 36

are just sharing with you the way we see the marketplace. And it is very encouraging to say the least especially what I just explained on the various export markets and even the move away from China and a very big push also on renewable energy everywhere.

So, some part of it is on account of these trends. And of course, a little bit is on account of this Russia and Ukraine situation, which is causing a difficulty to the European producers and therefore, the customers in Europe are a

are now off late looking more actively. But of course, we are in the process of getting more penetration there. It's not happened in terms of actual big business, but we see this is another big market, which we were not having much presence in, but there is a possibility we may enter in a much bigger way in times to come there also.

So, we see that these opportunities are there, and maybe the situation on the Russia, Ukraine may stabilize. But once we are in, then we may have some decent market share going forward. And earlier, we were not getting much chance to get into those markets. But now once being entrenched, we may have a better sustainable demand. So, as I mentioned, these Western clients are not the type who give opportunity to many vendors. But when you do get a chance, then you're kind of in for a much longer period.

Apar Industries India Limited

September 23, 2022

Page 24 of 36

Manoj Bahety : And these are like once you enter into that, these are long-term contracts or these are like the spot contracts as soon as they get their original supplies plant, again, they can switch back?

Chaitanya Desai : So, the nature of the businesses are 2 types. One is the EPC, which is a project like type of business. So, the EPC companies, again, they -- once they have a comfort level with particular vendors, then conductor manufacture, cable or oil suppliers, then they would continue to buy certain percentage of business from them. So, somebody has to do something very wrong to kind of come out of that business later on. That is the nature of the relationship that continues on with these type of clients.

Manoj Bahety : So, you expect the margins on the conductor side will continue, right? Or even it can improve on year because of the product mix change, which is likely to continue, right?

Chaitanya Desai : Yes. Product mix and geography mix, both. Same for the cable also, the same thing.

Manoj Bahety : And my second question is if you can elaborate a little bit more on your retail cable strategy, like how you're going to penetrate geographically? How we're going to build your distribution, the brand awareness? And secondly, how difficult is to copy the superior features of our product, which we have introduced for the retail consumers?

Apar Industries India Limited
September 23, 2022

Page 25 of 36

Ramesh Iyer : So, as I explained earlier, in terms of difficulty to compete with the other players, in our case, we have a very unique and differentiated product that I talked about just a while ago, which is an E-beam-based product, and it has a higher current carrying capacity and therefore to that extent, it's completely different product than what is available in the market. The way approach what we are trying to do is to educate and bring awareness about this uniqueness to our consumers. And we have been doing that successfully in the Kerala and Gujarat market until now. And now we're expanding to other southern states, North and Eastern states. And our strategy is to educate the consumers through various iteration means that we have been doing that.

To bring this awareness to them that how our product is different than other products available in the market. Basically, this has a high short circuit resistant and is able to carry 50% more current than the product that is available in the market. So, our strategy would be to improve our reach in different states. We've commissioned a separate team within the Apar Cable division, who will exclusively look at this particular market, a lot of ongoing BTL activities and brand awareness activities are going on. We recently signed up a new brand ambassador, Sonu Sood, for promoting these products in the market. And we'll see a lot of activities around this particular

Apar Industries India Limited
September 23, 2022

Page 26 of 36

segment that will help us to improve the reach and penetration across the markets.

Participant: We have a next question from Siddharth. Siddharth please go ahead.
Siddharth: Sir, as you said, your contracts are priced based on the prices in LME. So, is it fair to assume that we don't carry any inventory like risk of any inventory on our book? And also, is it that despite very

sharp volatility in metal prices also our EBITDA per ton will be the current trend. So, is it fair to assume that? Because last couple of months, we have seen very sharp unpredictable move on both the sides.

Ramesh Iyer : Yes. In the conductor and cable, there is no risk of inventory because all the orders are back-to-back completely by our hedge. That we take on the LME. And to that extent, there is no inventory loss that we do. We have a very strong risk management strategy, wherein we are able to completely hedge the aluminum and copper prices in the market.

In terms of volatility, the price of aluminum is volatile and so is the case with copper, and that's the reason this hedging strategy helps us because it actually ensures that we are able to procure the material at the rate at which we accepted the order. And as we take this hedging position once we accept the order, we are able to source the material exactly at that price. And therefore, even though if there

Apar Industries India Limited
September 23, 2022

Page 27 of 36

are price volatility that happens, we, as a company, don't end up absorbing the gains or losses because it's all hedged in the LME.

Siddharth : So, is it fair to assume that the current EBITDA will be the new like a benchmark for you for like coming like in multiple years?

Ramesh Iyer : So, we have given our guidance, and we keep on revisiting our guidance depending on opportunities that we see, the recent guidance you've already given as the end of Q1, that's what we expect going forward. But however, depending on how the situation pans out in the future quarters and the future years, we will keep on revising depending on what we see as a realistic EBITDA margins.

Participant: We have next question from Levin. Levin, please go ahead.

Levin : Sir, I had a question on the cable division. So, we say that we have a 60% market share within the wind power. So, what would be our market share into solar? And what kind of opportunity do you see both in domestic as well as exports market for the solar cable?

Chaitanya Desai : In terms of the solar cable market share, actually, there have been new entrants and our concentration has been also not to sort of just sell it as a commoditized kind of product. So, our share in terms of market may have gone down because earlier, there were like 3 players, now there may be a couple of more players.

Apar Industries India Limited
September 23, 2022

Page 28 of 36

So, we are in the vicinity of about 20-odd percent market share in the case of the solar cables in the Indian market, but we are now trying to export a lot of these products also. And there, we have basically just touched the tip of the iceberg, and we feel there is a huge scope. And as we discussed earlier, our concentration is how to improve our overall net bank as opposed to be committed to only Indian market, which may not give us that kind of margin that other geographies may allow us to do so.

So, our concentration is not just to increase our market share in India, but to grow in the world markets. And also, we are putting a lot of new investments for some of these products, which have a little differentiated requirement with other type of certification, which is a barrier of entry to those markets. So, even the compounding is a very special type for these markets. So, we have been actually concentrating on building our business in those markets as opposed to the Indian, which is a little commoditized case. Like in the case of the conductor also, we have a conventional typ

e conductor. Same

way, there is a commoditized type solar, which is in the Indian market. So, our concentration has been how to increase our share outside India.

Siddharth : Sir, and will it be fair to assume that within the cables division and the elastomeric as well as the solar cable, the margins would be better than the segmental margins overall that we report?

Apar Industries India Limited
September 23, 2022

Page 29 of 36

Ramesh Iyer : Yes. Relatively, that will be better than the other segments.

Siddharth : And sir, lastly, just to understand the kind of opportunity that we might see in renewables both domestic as well as exports, what kind of cables are required per megawatt of installation, any thumb rule so that can give us some sense about the opportunity?

Chaitanya Desai : So, what we are seeing generally is in big projects, the cable part is roughly 5% or so of the project cost. So, if suppose the RDSS scheme of Maharashtra is, say, Rs. 40,000 crore investment, then maybe 5% of that will be cable requirement.

Ramesh Iyer: Also these are all design specific special application products. So, it's difficult to actually get on to exact number because there is a huge amount of industry that we cater to and different products have different applications. So, depending on the requirement of the customer, your design actually gets finalized. So, it's actually a bit difficult to put exactly a number how you can get into that. But yes, it depends on the specification and the design requirements.

Siddharth : What I generally meant is that if you look at the exports opportunity, like everybody is talking about big numbers in terms of renewables over the next 3, 5 years, be it the U.S., Europe and like you also said that we have just started to look at those markets or just started supplying, there is going to be a huge requirement of cable over

Apar Industries India Limited
September 23, 2022

Page 30 of 36

there as well in the exports market. So, just wanted to understand what kind of opportunity size we may have in next 3 to 5 years?

Ramesh Iyer : Yes. So, if you look at overall, the global market is much, much times bigger than the Indian market. And with all this China plus one strategy, all the spends of infrastructure that is going to increase over the years and all the renewals put together, the opportunity in the market is much more. Now companies are becoming ready to adapt to this product requirement, the customer specifications, the customer approving the company's technical specification, et cetera, will play a role in terms of how do we gradually grow the business from here. And that will be true for many other players as well. But different companies will have uniqueness in terms of how to tap these opportunities that is coming through.

Participant: We have a next question from Mihir. Mihir Manohar, please.

Mihir Manohar : I had 2 questions. First was on the Cap ex. I mean, are we looking at any capacity expansion in these verticals? And second thing was on the payables side. I mean, out of the Rs. 4,000 crore payables that we are having, are they completely interest funded, interest bearing? Or how is it? I mean I wanted to understand the working capital funding.

Ramesh Iyer : So, the CAPEX, we already have given our number for FY '22, it's about Rs. 150 -odd crore that we plan to spend in FY '23, about 2/3

Apar Industries India Limited
September 23, 2022

Page 31 of 36

will be coming in the cable division. And in terms of your payables, the way we look at payables is that it's completely for working capital purposes and if I'm not wrong, about Rs. 2,000 crore or Rs. 2,500 odd crore and we look upon interest as any other cost of production. So, for us, what happens at all this interest gets into the price of my customers, we actually calculate the interest for our suppliers outstanding and then

accordingly price it to our customers. So, in a way, your interest is looked upon as any of the cost of production and that is the reason even earlier that we talked about, whether for our company, whether EBITDA or EBDTA should be a better basis because barring the fixed interest bearing loan that we have on the borrowing, there are no other loans on the balance sheet. And all this are working capital, which completely gets into our pricing when we build it to our customers.

Mihir Manohar : So, is it like the payables become interest-bearing after 3 months? Or how does it work?

Ramesh Iyer : Yes, correct. That's after 3 months, it becomes.

Mihir Manohar : And just lastly, I mean you gave the CapEx for FY '23. But anything on FY '24, I mean, for the last 5 years combined, we have done Rs. 880 crore kind of in CapEx. So, I mean, any indication over the next 3 to 5 years, how are we looking at this number?

Apar Industries India Limited
September 23, 2022

Page 32 of 36

Chaitanya Desai : As the opportunities are surfacing, we are also investing to avail of those opportunities and build the capabilities with the more value-added offerings from our side. So, it may be difficult to give you a number, but it looks actually that there is a lot of potential for us to grow and with marginal investment and to take avail of our infrastructure and a good access to certain markets and to grow them in a much bigger way.

So, accordingly, I think the investment trend, the way that things are going right now in the western part of the world and also the renewable push and the China plus one type strategy and even with the European high cost of energy, et cetera. So, those things are encouraging and would suggest that there is a good potential for us to grow even beyond our existing years plans. And accordingly, we will keep on debottlenecking wherever necessary to avail of those opportunities.

Mihir Manohar : That's it from my side. Thank you very much for the answer and thanks for giving the opportunity.

Participant: I have 1 question. So, I mean there are 2 trends. One is that the LIBOR is moving up. So, will that increase our interest cost? The second trend, the commodity prices are coming down, particularly copper, aluminum and also the oil in the last couple of weeks also.

Apar Industries India Limited
September 23, 2022

Page 33 of 36

So, that also reduces our working capital. So, given this one, will we see an increase in our overall interest cost going ahead?

Ramesh Iyer : Yes. In fact, there is one more vertical to that, even the exchange rate also is going up. So, our interest cost is a combination of, as you rightly said, SOFR going up. The prices of aluminum and copper being volatile and also exchange rate going up and also the quantum that we procure in a particular quarter. So, it's a mixture of all these 4 variables that actually end up determining the interest cost. So, all this will influence interest costs.

And therefore, it's difficult to see which will weigh more than the

other because it's so many moving parts to that. But directionally, we really see that interest costs will be on the higher side, rates are going up and also exchange rate is going up and we are actually seeing a higher interest cost in times to come.

Chaitanya Desai : But when we are pricing our product, we are factoring these costs and our competitors are also in the same boat, so to speak. So, everyone will be considering the same cost of the commodity or the interest costs.

Participant: That's what I think you mentioned it earlier also that because it's in a very long cycle, right, from the product, the raw material procurement to the dispatch and the billing, it's in a long cycle to that. So, probably, I think it's a good way to look at the numbers that

Apar Industries India Limited
September 23, 2022

Page 34 of 36
in our EBITDA

way rather than an EBIT way. And that can give probably a better picture to the investors from looking in the business on a trend long-term perspective.

Chaitanya Desai : Correct. We agree.

Participant: One more question. So, not many people have spoken on oil segment per se. I think the more excitement is currently one on the cable and the conductor business. But I mean given that and also Kushal bhai in earlier con call gave a commentary that TSO did a lot of job of heavy lifting in the last 2, 3 years, where the conductor and cable were surprised because of the COVID pandemic and other things.

Now in the coming years, 1 or 2, the TSO settlement will probably go on a relatively small lower growth compared to the last 2, 3 years of growth. Is it because of the market is saturated? Or is it because of we are run out of the capacity at UAE where we are running it in a full and not looking to add the capacity? Or is it something that the focus of the company is much more to grow on the cable and conductor and we don't want to chase the opportunity in the oil segment?

Ramesh Iyer : No, there's nothing about capacity. In fact, we have enough capacity to grow our oil business clearly. So, that is definitely not a constraint. Also, what is happening there with the increase in oil prices, you

Apar Industries India Limited
September 23, 2022

Page 35 of 36

may find customers postponing their orders or pushing their deliveries because oil prices being high, it also affects their cost because finally, we pass on the increase in oil cost to our customers. So, that's where we felt that the volumes could be coming under pressure for the year as a whole.

Also, we are being very careful in terms of the customers to whom we want to sell. So, our products are approved across all the customers there which we have, but we want to be very careful in terms of who we want to service so that we don't want to end up chasing them for payments. And over the last 2, 3 years, we have actually removed about 30 -odd percentage of our customers. And so that our DSO in the oil business has come down from 100 to 70-odd days. So, we want to be very specific in terms of the customer profile, which we are servicing. And given that the comments that you said will be valid. But also, I would like to say that as the level of infrastructure increases, as more transmission capacity getting added, and that the more and more transformers will be needed. And out of our oil business, about 1/3 is for transformer oil. And you will see a high requirement for the transformer oil business to

cater to these increased infrastructure spending and also the new transformers that will be coming.

Apar Industries India Limited
September 23, 2022

Page 36 of 36

Participant: That's it. Any other questions any participants have? I think that's all. Thanks, Chaitanya Bhai. Thanks, Ramesh, for participating in our conference. Apar has always been in a great health in Equirus and it's been privileged to track the Apar for the last almost 10 to 12 years since we have been tracking it. Thanks for coming. Thank you. And thank you all the participants. We may end the call now.
Chaitanya Desai : Thank you, everybody.

Call: Sep 2022

SEC/0209/2022 September 2, 2022

National Stock Exchange of India Ltd.
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: The Manager, Listing Dept.
BSE Ltd.
Corporate Relationship Department,
27th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Dept.

Sub. : Submission of Transcript of Analyst Institutional Investor Meet
on August 25, 2022

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations,
if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to
time

Dear Sir,

Kindly refer to our letter no. SEC/2508/2022 dated August 25, 2022 w.r.t. submission of link of Audio
Recording of Analyst Institutional Investor Meet.

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith
the transcript of the Analyst Institutional Investor Meet organized by Phillip Capital on August 25,
2022.

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.
Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India

+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India

+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802J1989PLC012802

Page 1 of 20

APAR Industries Ltd.

Investor /Analyst Group Meeting

Organized by Phi Ilip Capital

August 25, 2022

M

MANAGEMENT : RAMESH IYER - CFO

SANJAY LAD - GENERAL MANAGER

Apar Industries Limited

August 25, 2022

Page 2 of 20

Phillip Capital: I hope everybody have a fair idea about Apar if you want we can have a 5 mins of brief.

Management: We have our Corporate Presentation which we can run you through some of the slides.

Moderator: Ok 5 -10 mins.

Let's introduce each one of us.

Participant: I'm Dhiral Shah from Phillip Capital, I'm Levin from Value Quest we have PMS as well as

family office and we look probably from an investment point of view from career point of view,

we have family investment office, I represent Ud it capital we are basically sell side broker we

look at all this institutional clients, Rohan from Atva investment we have family office, Raj Sha

I'm from pioneer wealth pear PMS, Akshay Kothari from Envis ion capital we have pear PMS,

Alisha Mahaviya from Envision capital , Vrushali Jadav from MIV Investment PMS, Jiraj Shah

managing my own funds, Pratiksha from Aequitas Investments, Priyankar from F amycare

family office, Pawan Bharaddia from Equitree capital we are also from PMS, even I'm from

Equitree capital, I'm managing a family office based out of Dubai , Anmol Sekhari family office.

Thank you.

Management: From the management here, I am Ramesh and I am joined by Sanjay Lad . I'm sure you must

have seen this corporate presentation which we have posted on the website . It is the same

presentation, I will take you with some of the slides to give you an introduction of the business divisions in which we are in.

So largely we are into 3 divisions Conductor, Oils and Cable division.

Conductor Division: We are one of the largest global manufacturers of conductors and in India

we are the largest manufacturers. Over the years, there have been a lot of change in the way the

conductors division has shifted , so if we look at the last few years it has been domestic or more

technically AC SR conductors but in last 3 -4 years the shift has happened to a more premium

category conductors what you call as HTLS high efficiency conductors, OPGW type conductors,

CTC and lot of turnkey solutions and lot of copper based conductors. They account for about 50% of revenue if you look at

FY22 wherein the margins are much more higher than margins in

terms of conventional conductors. If you look at our trend of EDITDA per MT you will see the highest number. Our revenue in

FY 22 stood at Rs. 4200 Cr. and the CAGR over 5 years grew

by about 13. 3%. Our plants are located at Orissa , and also at Silvasa. It is also one of the oldest

business that we have. The key thing about this business is that the shift towards the premium

products continues to grow, as we see a lot electrification infrastructure requirement increasing. Our premium category of product lines help to transmit high volume of electricity within a small corridor which the conventional conductors or old conductors need more Right of Way which is becoming more and more small in urban cities . Again due to railway electrification that you are seeing lot of conductors are supplied to Indian Railways these copper conductors also plays a

Apar Industries Limited
August 25, 2022

Page 3 of 20

big proportion in our premium category of products that falls under the bracket. The turnkey solutions which you see is more about EPC work that you see in conductor business, where we design the entire transmission line not only just supplying the conductors but conceptualizing the design , working with customers for laying down the entire line end to end basis.

Oil and Lubricants : We are 3rd largest transformer oil on a global stage. Our revenue was 3500 cr. in FY22 and the 5 year CAGR about 16%. We have a wide variety of oil products . Transformer oil is used in the transformer and finally gets into the transmission of electricity . We have white oil that is used in industries, corporates and pharma industries. Industrial and process oil also part o

f the oil division . Our Auto lubricants business that started around 2008 and it has been going constantly year -on-year and we have a small petroleum jelly business and a new product which is Natural Esther transformer oil that is developed and is on trial basis with utility companies more from a ESG perspective. So these are the ranges of oil business we have. If you see from a transformer oil perspective, it depends on the infrastructure levels , therefore, more transmission requirement will result in more of transformer oil product volumes . Here, we have factories in New Bombay as well as In Silvasa and one in Sharjah.

Then we have our Cable business. We are the largest domestic player in renewables in India. Our revenue was close to 2 000 Cr. in FY22 and CAGR growing about 18% in 5 years . We entered this business somewhere in 2008 and here also we cater to wide variety of cables which is power cable, house wiring cable which is the wire that you see in the house , We have a range of elastomeric cables within this category basically cables that gets into solar, wind, our speciality cables that gets into the mining industry , defense etc. From a house wire perspective, this is a unique and differentiated category that we have, so in terms of product, it is more melt resistant and have a 50 year life, once you put in your house it stays for long duration. That is the differentiated product. We already had this product, but in one of the states, now we are ramping up in many other states , we have a new brand ambassadors for this product . So that was just a brief introduction about the business that we are in. Now, I can answer some of the questions that you may have.

Participant : The conductor here will clients are PGCIL or others ?

Management: PGCIL earlier was forming a high share, now there are lots of other transmission companies that we deal with .

Participant: Will you take a subcontract, as you said you are on EPC that you take a complete turn key contract for laying the lines ?

Management: So that is also one part of our business which is EPC as well as the supply conductors. Wherever it is re-conducting of the lines, we take EPC. That is something that if you look at EPC and other premium products that we are talking about it accounts to about half of our total sale there. These collectively we call as the premium products.

Apar Industries Limited
August 25, 2022

Page 4 of 20

Participant: In the oil business, can you help us with little bifurcation of how much percentage or what application?

Management: So about one third goes into transformer oil. Another One third will be for White oil

Participant: That is for FMCG part

Management: Yes, likely pharma, cosmetics, like that.

Management: Our lubricant business would be about somewhere around 20% comprising of industrial oil & auto oils

Participant: That is the combo of industrial and automotive?

Management: Yes, industrial and automotive.

Participant: On the oil business, what has changed in the last couple of years, the margins have really moved up from like 6% to almost about 13- 14% kind of growth ?

Management: Here, what you see is that our whole oil business as well as conductor business , we don't look at EBITDA as the percentage, as it depends on the commodity price . The commodity price, keeps on going up or coming down, however our margins will not, as a percentage to sales. We measure more in terms of per unit rather than the percentage per sales. The right way what we feel is to measure for oil and conductors in per unit basis . It can be measured on percentage but

then you have to be cognizant about how your denominator is moving, as the oil price can go up and then the percentage looks less. The oil prices are down similarly in the conductor business when aluminum prices are down, the percentage will

look big and therefore because what we do is that we pass on the increase in the raw material cost to the customers, therefore we talk about per unit, which is more relevant.

Participant: In your speech, you said your EBITDA margin is less fixed in terms of absolute terms?

Management: Absolute is the better way to measure that.

Participant: How has that been trending in the last couple of years?

Management: If you look at the last two years, the oil business has been very high. Last two years, I think there has been historical high, in volume as well as profitability, but then if you look at the current oil prices being so high, there may be resistance from the customers to accept the price, therefore there will be pressure on the margins.

Participant: How is the mix change driving this?

Apar Industries Limited

August 25, 2022

Page 5 of 20

Management: So essentially the main product was always transformer oil two decades ago and that too in India. Over the years, we have diversified into many different kinds of oils. Close to 45% of our transformer oil goes for export and overall our oil export has been close to 45%.

Participant: Would you say one category is more profitable meaningfully and how should we look at the mix going forward and what to?

Management: So I think the mix side is that I guess now it is established unlike the conductors where you have seen the premium products increasing recently. For oils, I don't see that suddenly it would have changed, it has changed over a period of two decades.

Participant: All three have similar growth similar and has similar in terms of profitability or it is what?

Management: No, we can't measure exactly because it depends on the oil price at that point of time. As far as margins that you can expect because there is so much volatility in oil price.

Participant: No I just meant oil versus transformer versus other oils meaningful difference in that?

Management: Yes, I think if you look at percentage the auto oil would be high, but in absolute basis the transformer oils will be higher.

Participant: Who are the global competitors in the conductor business?

Management: South wire & cables

Participant: With the Forex volatility, how do you deal with that?

Management: On Forex we take hedges. We have exports as well as imports so to that extent we have natural hedge. And then any surplus or deficit as we take hedge.

Participant: Sir, in the oil business, there was a margin pressure, so how the condition is now, is it changing or it is in the same level?

Management: So the margin pressure will be there when the prices are high and when the customer push for lower prices because if the overall oil price being high, the cost for the customers also really high. If we look at our first quarter and also the earning call transcript we indicated that first quarter was a very high profitability, the reason being that we had a high selling price and also as you buy materials your weighted average cost in the system also kind of increases slowly, so therefore you have a very high number in the first quarter, however, the cost will actually go up and if you see the crude oil is already around \$105 -110, so you will see pressure on margins on this.

Apar Industries Limited

August 25, 2022

Page 6 of 20

Participant: How can volume growth are we seeing in our oil business, product you are talking from one quarter or two quarter or 2-5 year what kind of volume could be seen?

Management: If you look at a longish period of time, it could be about 5 to 6%. It depends on how the infrastructure spends are, as I said the one third of the business is from transformer oil. In this as you see lot of electrification and transmission lines being set up, you will have more of these products sold.

Participant: Is that goes slightly conservative because

we have lot of transmission lines yet to be put up and once that happens, the growth should be higher, or do we seen at the requirement of the oil in the new lines and replacement demand to a certain extent, but the new lines the growth could not be that great.

Management: So we are approved in almost most of the customers, we are in this business for the last 5 decades. Historically, we have actually cut down on customers that we wanted to deal with so that we don't have to sell products and chase for money. We would like to pick and choose our

customers, we want to see that our customer mix is good and our sales quality would be good . If you look at couple of years ago , we have almost shelved about 30% of our customers, the volumes that you see now here is after this . Having a good customer is what actually we are looking at.

Participant: How easy or difficult it is to you breaking our new customer of transformer or white oils?

Management: It is not difficult for us because we have been here in this industry for as I said 5 decades. People know us, our products are accepted. We have about 400 grades of oil . Acceptability is not an issue for us.

Participant: So there would be equal amount of competition also, right, so from a customer, to trade Apar or somebody else, what goes into that decision making , like this relationship ?

Management: One is relationship, one is quality . We also want that our product to be quality product. There are organized and unorganized players . Here we actually select our customers to ensure that we get good quality customers

Participant: Do you have any sense of whatever like macro opportunity for each of those literal segments, transformer or the white oil in terms of what quantity is consumed on yearly basis to the market you are into?

Management: at least in India we would be about 40% share of the transformer oil. For white oil the market would be about 5 lakh KL in India , we would be about 15-20% share.

Apar Industries Limited

August 25, 2022

Page 7 of 20

Participant: There are two types of transformers, oil type and dry type, so do you see any structural change in the industry where people are only oil type dry type because dry type transformers are not reached, any change in that?

Management: Dry type actually we do not supply in the oil it is only transformer oil where the oil is there.

Management: This dry type was used in actually more in bikes.

Participant: Sir, how much revenue contribution you are expecting from the defense opportunity?

Management: We can't give the numbers.

Participant: Then how much, do you have any targeting your money with?

Management: Both with defense kind of business , it depends on the specific ations and requirements . From a cable business, we have been talking a good amount of revenue in the last couple of years and in elastomeric cables , there is no order book that you said, but we work with them and depending on the solution that we give and depending on the requirements of the m.

Participant: It is may be cable?

Management: Yes, defense is in cable.

Participant: Cable itself like we have a big share to renewables, but that predominantly on the with side, so are we present on the solar side what kind of cable would be provided and what is the application for that?

Management: In solar also we have 40 % market shares wind would be 70%.

Participant: So solar 40% , whatever the cables are required 40 % of that is our market share so last year we have seen that have been solar installation that is happening and now make sure that there would be and even bigger so what kind of growth on contribution from that you are seeing in the cable segments?

Management: We continue to press orders from all the customers , we don't have a goal as such , but we also get orders and then we kind of execute t

hem , but now we know that the opportunity is big and we have product available there for solar and wind and we kind of push the customers and see how best we can capitalize

Participant: Or any ballpark number for solar, how much cables will be required, or similar for wind?

Management: is technical

Apar Industries Limited

August 25, 2022

Page 8 of 20

Participant: Because what is going to happen is that solar installation which is to be 10-12 GW will be 20 - 30 GW so are we ready for that kind of growth that we see that.

Management: What we do is that we have an R&D , and with experienced people and then we kind of evaluate further where is the opportunity . Here also, if you look at it, the kind of diversified products that we have, that all come from looking at the customer's requirement, look at Apar's tagline itself , we talk about Tomorrow's solution today and that is something which is ingrained with all the employees in terms of looking at the requirements of the customers , future plans and are you ready . So definitely when we talk with the customers and understand their plans etc., we look at all these requirements that keeps on coming and we actually provide that opportunity, I don't have that number of calculation that you said, but definitely we are future looking and wanting to be having the product today to be able to deliver it tomorrow .

Participant: So I think within cable there were 2000 Cr. Is our cables business roughly how much would it defense and renewables of total?

Management: I have a slide for the company on the renewable side it reached about 4%, it's another slide that we put in the corporate presentation. For renewables share, for Apar as a whole it is 4% and cable is about 20% of our business.

Participant: Sir who are the competitors in solar cable?

Management: we have Polycab, KEI.

Participant: But you have limited capacity, so that is why you are just extending yourself for supplying for solar cable this is what I understand?

Management: Capacity is something that you can always increase. Capacity is never a constraint, if you see that requirement is there in future then we are always going to get the capacity. Even today we already talked about in our earnings call CAPEX plans, two-thirds is for the cable business, so now capacity is never a constraint if you clearly see demand coming in that business as we already spoken in our earnings call earlier, this is the business that we expect to grow faster in future as well, so we always see capacity kind of building up. If you look at last 5 years, we spend good amount of CAPEX that we continue.

Participant: Sir, in conductors business, the new orders that we booked in this last quarter, majorly were from exports or which?

Management: It is the mix of everything.

Participant: So how much of exports are there and Indian Railway?

Apar Industries Limited

August 25, 2022

Page 9 of 20

Management: It was typically about, I don't know about the new order number, but exports in conductors was about 45%

Participant: That would remain even in the new orders?

Management: There could be some changes but largely is around that.

Participant: Sir, utilization rates on capacity?

Management: Capacity utilization if you look at you don't have any capacity constraint as well because it is not capital intense. Even today in our oil plants we just have double shift running over, so it is not a constraint from oil perspective. From conductor perspective, we talked about 1,80,000 metric ton capacity, that also includes the conductor that we send to the cable division and currently we are about 1,10,000 MT's. That also doesn't seem to be constraint. But over a period of 2-3 years if you see the infrastructure spending going up and business going up you need to build up capacity.

Participant: Cables

?

Management: Cables also I think we are actually putting up line to increase our manufacturing capacity for our elastomeric cables but at the current prices that we have, our capacity will be about 30-40% more than current business

Participant: So that much headroom we have

Management: around 70 to 80% is utilization.

Participant: In all the categories this is fungible between say the oil is the white oil

Management: up to a certain process, after that actually the final product is different.

Participant: So formulation would be different?

Management: Yes, that is the process.

Participant: When I look at people performance in last 5 to 7 years, in terms of margins they are higher, but if I look at the last 2-3 years performance, the margins have almost double digit, either outlook on the margins on the cable segment particularly, how much housing wire and cable contributing the overall revenue?

Management: This if you see the network, it typically happened post COVID and there was this COVID related issue that happened. Even last year, if you see overall the full year has been about 5% in FY22

Apar Industries Limited

August 25, 2022

Page 10 of 20

and in the last quarter it was 7.6%, if you look at quarter 1, 2, 3, 4, if I am not wrong q1 it was around 6% if I see q4 it came back to 7% so it is getting stabilized now at 7% and if you look at Q1 FY23 it is about 7.5%. It is getting into that construction is about 7-7.5%, our ambition as we have talked about earlier in the earning call it is also getting about 8.5% to 9%. That is our ambition there to get it and we need to see how we are able to secure to lot of products with the margins that we have and now earlier if you see pre covid we were also in the double digit. Our aspiration is to get into that level, but if you see that somewhere about 8 to 9% this year would be our guidance.

Participant: Sir, what led for the margins to go down double digit, though single digit is it the product mix?

Management: So if you look at basically COVID and kind of disruption that was there in general and we were also not have an exception and what else coming in, the utilization level of the factory and have changed our overall margins.

Participant: So this 7 to 8% , the aspiration will also be simply with the utilization better operating leverage?

Management: Yes, once the product category, product mix, lot of things goes into Rs. 2000 crore business of cable that we have so many raw materials at this copper is there , aluminum is there, polymer prices are there, now we are looking at an exports market aggressively for cable business. The product mix is different. In the slide , I have just put down 5 categories but if we step down, there will be numerous product line, looking at the requirements, specifications and all are order based also. It is not a standard kind of a margin that you typically see in some of products , ours is all tailor made. The other question on house wires, we were in FY22 about 100 or 120 odd crores , part of cable. That is something we are consciously attempting to increase the share and lot of initiatives being taken in the company. There is a separate team who manages this kind of business. We recently hired a new CEO who will look at the institution of this particular category .

Management: We have a different distribution in it, of what you are doing right now.

Management: Yes, it will be a different distribution, the more of a retail thing . We have a new brand ambassador viz., Sonu Sood. So it is spreading , instead of only Kerala and Gujarat, we have lot of other states. Three is going to be a focus here.

Participant: so you will be competing directly with Polycab, Havells on the same segment house wire?

Management: Yes, with a possibly much better differentiated product.

Participant: Sir, what is the price differentiator

on between E beam and conventional ?

Management: Price would be depending on your competitor , but the pricing is simply higher

Apar Industries Limited

August 25, 2022

Page 11 of 20

Participant: Just about 5-10%, 15%?

Management: 5%.

Participant : What is your plan for next 3 years, 5 years in this particular period?

Management: As I said we are already in Kerala and Gujarat, we would expand to many other Southern states , in Maharashtra and states over there, so closely we aspire to get into Rs. 500 crores by FY 26 that is our aspiration, so today we are at about Rs. 120 crores, so we see that kind of happening over the period and of course initially we will need investments in terms of our advertisement , brand building, channel deployment and those kind of fund investment could be needed.

Participant: So kind of annual expenditure do you have on brand building?

Management: We don't expect to be material if you look at entire Apar as a whole.

Participant: For cable section ? From the quantum , how much would it be?

Management: We have modes of advertising which we are currently evaluating and once it is finalized , it will be made known.

Participant: What is the vision for the cable division, any management was ready for the cable division for the next 4 -5 years where do we see cable division in terms of revenue ?

Management: If you look at cable division, we are also becoming bullish because we see the market and market is being so huge and lot of external developments happening . We are into renewable energy, there is China plus one policy . If you look at some of our overseas countries that we export our products to, infrastructure building has been happening which is giving us the confidence of becoming bullish. As we already talked about it in the earnings call, we look to about 20-30% growth in the numbers when it comes to cable .

Participant: What kind of ROE would you expect in the cable business?

Management: ROE for company as a whole we want to get into the 20% . The ROE is a function of your profitability as well as your equity and today we are about 16% but our aspiration is to get into that particular number. In terms of cable business, we need to see lot of investments that was happening in initial period because the building capacity is here and therefore the ROE is pretty less compared to other divisions.

Participant: On the stable basis, 3 years down the line, the cable business, what kind of ROI are you looking at in terms of capital appreciation?

Apar Industries Limited

August 25, 2022

Page 12 of 20

Management: 5 years we don't have that kind of numbers because currently we are focusing on getting the product right and being able to address the opportunities that are coming because of the external environment .

Participant: Can I understand the 16% at the company level which is incremental capital allocation for a new kind of business that should at least bring you that kind of an ROE or substantially higher, so

you would be taking a kind of a call , right?

Management: Yes.

Participant: So if I am trying to get that number what is having in your mind?

Management: So if you see we have aspiration to get into 20% ROE at the company level

Participant: Do you expect to get to there by next 3 years time?

Management: As I said that is actually a function of two things, you need profitability and also the amount of profit that we retain in the business. So we don't have a number when we will get into it, but if you see in the last 3 to 4 years , ROE has been increasing from 11 % to 16%, but now I cannot tell you by when we will actually get into that number

Participant: Your exports in cables are mainly power or even OFC?

Management: No, OFC largely in India, there is power as well as solar.

Participant: Power and solar and we are seeing a great market in US.

M

Management: We are seeing because there are multiple reasons, one is spends there itself is increasing, the infrastructure level activity is much increased . They want to relay their old lines , they want to have alternate supplier base from China, the focus is more on renewable things , because the external macros which is actually there in this geography.

Participant: So globally we are competitor on this ?

Management: Prysmian group and Nexans

Participant: And is it Nexans?

Management: Yes

Participant: Any plans on expansion on the oil business?

Apar Industries Limited

August 25, 2022

Page 13 of 20

Management: Oil as I said we have sufficient capacity as such. We think would be to kind of grow volumes over there and CAPEX point of view we do not expect any significant amount.

Participant: Any new products that you are looking at your oil side or otherwise?

Management: We have a natural based product which is under trials in a few utility companies

Participant: Segments like drilling fuels or rubber, oil, if we plan to enter those segments?

Management: No nothing is there on public domain so we can't share anything which is not there in public.

Participant: In terms of working capital, how does cable division like compared to the other two and since that is the demand how do we look at working capital days going ahead?

Management: Working capital for the company would be in the range of 40 to 45 days and on cable would be low followed by oil and conductors. We expect it to be that range itself .

Participant: In the JV, so what kind of saving should we expect now?

Management: This savings we will actually materialize over a period of time, this depends on the consumption, but would not be so material when it come at Apar level.

Participant: So do we have another capital allocation plans, what other CAPEX, how do we plan to do our capital allocation?

Management: This year, largely capex will go into the cable business which we are growing because we have a good capacity already in oil , conductors we have a good amount of capacities at this time, debottlenecking that keeps on happening in the Conductor division. As we already talked in the earnings call about two thirds of our CAPEX will be on the cable business.

Participant: Cable are we looking at export as an opportunity ?

Management: Yes, the export is the key thing that is driving the business up .

Participant: What was the export size on cable?

Management: around 30%, it used to be around 12%

Participant: Going forward, this can move even higher , so the export growth would be higher than the domestic growth is what we are?

Management: Looking at the infrastructure spending that is there in the market.

Apar Industries Limited

August 25, 2022

Page 14 of 20

Participant: Do we work on order booking in this business or is it that it is a short cycle product and you don't have any order booking?

Management: Yes, we don't kind of monitor from an order perspective because unlike other business it don't have long cycle it has sort cycle of 3-4 month.

Participant: Sir, in the oil segment, you said that the differentiation would be the quality, so how is the quality determined like, is it the base oil that separates us in terms of quality or the technical, because Indoil it is like commodity product, right, so what differentiates the quality, is it the quality of the base oil that you sold?

Management: It is the niche product. Finally , we need the transformer oil to be good quality, we don't want transformer oil which is not of the superior quality therefore you see if quality product is not

used then the transformer can even blast and you will have out ages.

Participant: What differentiates us in terms of the quality ?

Management: Superior quality is what we look at especially if you compare with the unorganized

players

Participant: Is it the base oil that we saw strong from a particular country?

Management: The finished product, if you look at the organized players , you may not see that differences , but if you look at the organized with unorganized players you will see the difference.

Participant : Where we do source our base oil ?

Management: We source from Saudi, South Korea.

Participant: In conductor business EBITDA per metric ton has from almost 10,000 or 11,000 as per FY22 22,000, so writing of the raw material and how much is the total mix we are focusing more on value added conductor side?

Management: As we have been saying also in our earnings call, all our raw material for conductors are hedged, so raw material pricing typically doesn't make that big difference. What makes difference is your product that you make for the customer and also your premium product . Your conventional products will have x margin and the mix changes from HTLS, OPGW, copper based margin and very difficult to kind of put one number over there . It depends on the requirements of the customer, content of aluminum , copper etc.

Participant: So what is the sustainable EBITDA margin in the conductor ?

Apar Industries Limited

August 25, 2022

Page 15 of 20

Management: So it is always better to look at the 12 months perspective, because sometime you may get good orders executed during 3 months and your margins will be high or low , but you need to see in a 12 months period. If you look at our margins for FY 22, this could have been 17,000 odd per metric tons, therefore we increased our guidance in the earnings call from 12,500 to 17,000 because you also want to believe that once we kind of achieve that performance then only we are also hopeful of that EBITDA level .

Participant: But sir, in terms of EBITDA margins, I would say not EBITDA per MT EBITDA margin

Management: If you look at your value from the aluminum price going up, to achieve X amount of margin on the lower base that percentage would be that higher and on a higher base, the percentage would be lower .

Participant : Also when EBITDA per metric ton have risen by 12,500 to 17,000 margins in terms of percentage?

Management: That percentage depends on the denominator . If you look at Q1 FY23 versus Q1 FY22, the aluminum price would have gone up by 20 odd %, so the gain or loss will pass on to the customers, it gets included in our costing and finally my customers take that similarly when the price goes down the customers are not going to allow me to retain that. We also hedge the material. So we don't get any gain or loss in aluminum , it finally gets to my customer so what happened at the EBITDA which is constant and my denominator which is sales will change depending on prices and therefore the percentage varies .

Participant: You have mentioned on the earnings call that EBITDA per MT is a better measure of measuring, so how do we get those numbers ?

Management: We will be publishing that by Q2 and the reason behind that is because of what we discussed at length during this earnings call is that one of the reasons of EBITDA is also going up because of interest costs. Interest costs for us is like raw material / labour costs and if interest goes up EBITDA also goes up and so is the case with interest costs.

Participant: What is the sustainable EBITDA that we see?

Management: We will talk about it when we publish it.

Participant: In the conductor business we have a order book of 3600- 3700 Cr against the raw material this you will have the raw material hedged and that is why the company feels it will be 17500 per MT.

Management: That is depending on the order book execution that will happen over a period of time.

Apar Industries Limited

August 25, 2022

Page 16 of 20

Participant: About 1 year?

Management: Yes, close to one year, 8 to 12 months

depending on the kind of the product.

Participant: It probably depend on execution because we anyway hedge?

Management: Once we get an order today, the customer may need the product 3 months, 4 months, then accordingly manufacturing will start. The P&L will impact as and when we are going to execute them .

Participant: The margins of this order book is fairly protected, is what I am trying to understand?

Management: Yes, these are raw material, aluminum and copper which are hedged. What happens is that you get new orders during the month, which it is not necessary that you sequence your order book in that particular months, it depends on the requirement of the customer.

Participant: We focused on experts in like all three divisions, how are the payment s terms from customers, are they like longer than the India customers or how does it?

Management: It should be longer. Transit type in some cases, the US the credit term become much lower, they have only 30 days, but what happens the transit time, when you look at transit time plus this, overall it will be slightly higher

Participant: Low?

Management: Slightly higher than domestic. For different product categories, the credit terms would be different. There are some EPC works, we will have a higher number of days higher than for direct product supply so there is no one magical answer to that.

Participant: And sir, in the oil how we should see the EBITDA per kiloliter?

Management: We talked about this in the earnings call, we are continuing with the same.

Management: Yes, with that in the first quarter also if you see the earnings call, we clearly we talked about this was the profitable India for the oil business high selling price and coupled with the weighted average cost in the system which has been gradually improving and therefore when you see our costs going up, you may see some pressure on the margins.

Participant: The sustainable number you are saying is about?

Management: 5000 to 6000.

Apar Industries Limited

August 25, 2022

Page 17 of 20

Participant: I think even it is exports is better margin than domestic

Management: Not generally to say because it depends. But if when we look at exports business for conductors and cables the margins are different. In conductors our export margins is better than domestic

Participant: And just housing business our cable wires that also been better margin?

Management: Initial period you have upfront investment.

Management: So once we reach the 400 -500 crores, our blended margins would reflect that upward trajectory.

Participant: Cables and conductors, do we see a greater opportunity from Europe?

Management: Actually, both because US clearly we have seen the opportunity. In Europe there is focus on renewables and you need a specialized set of cables for wind and solar and you actually need some conductors to carry power from one source to another. So US we are already seeing and Europe in future.

Participant: And this US demand is from the wind side or solar side?

Management: Solar, power and wind.

Participant: Because the US market the solar installation last year was very slow

Management: US is a very big market.

Participant: And you have competitors in US for cable business?

Management: Prysmians and Nexans

Participant: We hedged aluminum, copper, but what about oil price. Oil cannot be hedged. So how is management this volatility?

Management: Oil cannot be hedged. We keep low inventory. If you look at oil this kind of peak and decrease, this is not the first time this is happening, in the past also it has happened. Therefore we look at margins over a longer period of time to get a sustainable margin. Therefore we cannot take 9000 per kl as sustainable. We cannot hedge oil and the only hedge is the foreign exchange part of it because of dollar but then we keep

low inventories we ensure that we are able to quickly pass on that price changes to customers.

Participant: Where do you buy this aluminum copper where do you sourcing of this?

Management: Sure, domestic as well as imported.

Apar Industries Limited

August 25, 2022

Page 18 of 20

Participant: Sir, because the domestic we don't have to hedge?

Management: Yes, the prices are always dependent on metal exchange.

Participant: But what could the proration of sourcing?

Management: The ratio of 45% odd depending on the domestic and exports

Participant: 50% shock absorbing capacity which are cables increased capacity per shock absorbing, it is because of E beam?

Management: Yes it is only because of E beam.

Participant: So sir, I was just reading an interview or some any article where in Polycab promoter told that Ebeam is a very good product but the market in India is not developed right now and we

mentioned that they are not going into this because of this so is the market actually ready though we have developed the product for tomorrow? What is the market actually ready?

Management: Market is already ready, we have our product in Kerala. A lot of education is actually required, that also we do.

Participant: I think Finolex is also coming up with Ebeam facility. Going forward do you see any competitive intensity rising because they are also moving?

Management: If they come up, definitely there will be competition but today we are already in Ebeam last several years and now we are the only player today for this. Tomorrow if any competitor comes up there will be competition. Till now we have not seen any established player in this.

Participant: How are you B2B business, how do you see domestic demand for cables?

Management: So, power cables, domestic is more of a commodity and competitive business. We also look at areas where we can maximize our margins of the available capacity, so this is the area which is the most competitive in nature and margins are affected.

Participant: Sales for dealers also?

Management: Yes.

Participant: What will be the difference between the power cables and the renewable cables, the product like?

Apar Industries Limited

August 25, 2022

Page 19 of 20

Management: It is completely different, solar, wind and power products. The wind cable products goes into the wind mill and you have different types of cables that is inside the wind mill and that takes the energy from wind mill to the ground.

Participant: Margins would be very different?

Management: Yes different and better.

Participant: Sir, what are the reasons behind the improvement in the gestation period in the defense segment? You have mentioned that in the concall that in the defense opportunity, the gestation period for the order side had improved.

Management: we talked about conductor business, gestation would have improved.

Participant: So, what are the reasons behind it?

Management: Product mix basically and applications of the products.

Participant: Is fiber availability a challenge in optic fiber?

Management: Fiber cable for us is a very small scale is more challenge.

Participant: With this 5G CAPEX and 5G now CAPEX do we see any opportunity over that? Because I remember 3, 4 years back telecom used to be big segment for us.

Management: It will be so, this kind of products will have opportunities for us. The coming years will actually see the intensity of data going up and what actually carries the data is all these fiber and the cables. Optic fiber and also look at in some cases you actually having some business have power and optic fiber also it is called a hybrid cables. Each application would be different. But yes with 5G coming up we will see more opportunities for the industry as a whole.

Participant: Sir, what is the market share in the value added copper conductor which you

have HPC or higher

conductor or zinc conductor what is the market share and opportunity size.

Management: Largely we are there and only Sterlite power is there as established players on the premium HTLS

Participant: Has Sterlite have a bigger capacity?

Participant: Our capacity is fungible to manufacture this CTC and high efficiency.

Management: CTC is different. CTC gets into our transformer.

Apar Industries Limited

August 25, 2022

Page 20 of 20

Participant: Sir, what is the reason for the fall in the volumes and conductor dependent they are focusing on the treatment side so is it a conventional business they are losing up and that is why the overall volume?

Management: What has happened is that the product mix has changed and the metric ton to kilometer conversion. So the machines runs on kilometers and then you have output as metric tons and now your overall product mix has changed, the product was different and now with all this premium products coming in and the less volume is needed and high capacity, high transmission efficiency therefore you don't need that same volume to transmit that capacity. Carrying capacity is much higher there is absolute volume in much less actually seeing our reduction in volume but improving the profitability with half of it getting into a premium products, you don't need the same amount of volume that you used to sell earlier.

Participant: In oil segment only the white oil had a substitute is available. You mentioned that as the base oil prices increases, people start taking using the substitute for the white oil.

Management: The earnings call you are saying? What was mentioned is comparison with vegetable oil. It is when we use vegetable oil and white oil together so, currently I think in earnings call what was mentioned is that the white oil price vs the vegetable oil. When people will use vegetable oil is the substitute to use.

Participant: So, only for the white oil?

Management: Yes.

Participant: The quality doesn't matter in this from white oil to the vegetable oil?

Management: That is up to them actually where the application is used. They use a cheaper oil overall to save a cost on it.

Participant: If there was a same price which would they?

Management: Then the basic oil should be used

Participant: So, sir that is a secret ?

Management: But yes people use that comparison

Participants: Thank you for your time.

Management: Thank you.

Call: Nov 2022

SEC/ 1011/2022 November 10, 2022

National Stock Exchange of India Ltd.
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: The Manager, Listing Dept.
BSE Ltd.
Corporate Relationship Department,
27th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Dept.

Sub. : Submission of Transcript of Investors Earnings Call made on Un-audited Financial Results (Standalone & Consolidated) for Q 2FY23

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir,

Kindly refer to our letter no. SEC/ 0411/2022 dated November 4, 2022 w.r.t. submission of link of Audio Recording of Investors Earnings Call made on Un-audited Financial Results (Standalone & Consolidated) for Q 2FY23.

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith the transcript of the Investors Earnings Call on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 2 and Six Months period ended September 30, 2022 made on November 04, 2022.

The aforesaid transcript is also made available at the website of the Company at www.apar.com.

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

Harishkumar Malsatter
(Deputy Manager - Secretarial & Legal)

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India
+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com
Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India
+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

Page 1 of 22

"APAR Industries Limited
Q2 FY '23 Earnings Conference Call "
November 04, 2022

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR – APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI – MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED
MR. RAMESH IYER – CHIEF FINANCIAL OFFICER –
APAR INDUSTRIES LIMITED

Apar Industries Limited
November 04, 2022

Page 2 of 22

Moderator: Ladies and gentlemen, good day and welcome to the APAR Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Nihar from S-Ancial Technologies . Thank you, and over to you, sir.

Nihar Mehta: Good afternoon, ladies and gentlemen. I welcome you to the second quarter FY '23 earnings call for APAR Industries Limited. From the management side, we have Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director ; and the CFO, Mr. Ramesh Iyer. I would now pass on the mike to Mr. Kushal Desai.

Kushal Desai: Thank you, Nihar. Good afternoon, everyone and I'd like to take this opportunity to wish all of you happy Diwali and good wishes for the rest of the year. Let me start off with an overview of our performance and follow that up with a short industry update. Then we can get into details on the segmental performance of the three major businesses. And post that, we can open up the floor to questions.

During Q2 FY '23, the consolidated revenue came in at INR 3,235 crores up 43% year-on-year. This was largely driven by volume growth , there was a certain amount of increase that happened in commodity prices, especially oil -related products and we have substantial growth in the export business. Export revenues grew by 85% year -on-year, contributing to 47% of the overall company's revenues compared to 36% a year ago.

EBITDA is also up 82% year -on-year to INR 237 crores at a margin of 7.3%. PAT came in at INR 103 crores. So that is 80% higher than the previous year. It is at 3.2% versus 2.5% in the year ago period. So in short, Q2 witnessed a very strong performance. And if you look at the H1 revenues and the H1 profit after tax is at a historical side. The H1 consolidated revenue came in

at INR 6,328 crores. So that's up 55% year -on-year. Export revenue grew by 65%. And in both cases, this was led by the cables and conductor divisions.

The EBITDA for the half year is up 77% year -on-year. And we could attribute this to premiumization of products and better product mix, also a good geographic mix with exports kicking in to a much higher extent and a better client profile.

Now coming to each of the individual division -- sorry, I'll cover first just the industry brief. So in September 22, actually, power demand grew to about 126.9 billion units. So that's about 11% higher than the period previous year. There is a growth of about 10% in the Western region, 3% in the Southern region. Residential and industrial consumptions were key factors that spurred this demand growth.

The peak demand grew by 11% to approximately 200 gigawatts. Generation increased by 12% year-on-year, while the peak deficit reduced to about 0.5% compared to 0.7% in August. The

Apar Industries Limited

November 04, 2022

Page 3 of 22

renewables came in at around 13% of the overall generation. The thermal plant load factors improved by almost 6.3% and came at 60.5%. So we expect over the next few years, India's power sector to be one of the key beneficiaries of a significant amount of capex as well as reforms, whereas electricity has now reached to even the remotest of villages, there is still an issue in terms of the quality of power that is being delivered there.

In addition to this, India targets to have 50% of its generation coming from non -conventional energy sources, including solar and wind by 2030. So this is a delta of nearly 37%, because we are at 13% today with a target of going up to 50%. The outstanding dues of electricity distribution companies

towards GENCO's remains at over INR 1,00,000 crores, which is still a little bit of a worry. The government has converted the total outstanding dues of discounts towards GENCO's into an equated monthly installment plan.

The default utilities have been barred for trading at power exchanges under the electricity under late payment surcharge and related matters, which was notified by the ministry in June 2022.

This should help improve discipline amongst the distribution utility. India's power consumption grew 1.64% to 114.64 billion units in October compared to the year ago period.

The national grid transmission system has added transmission lines of 1,71,149 kilometers since 2014 -15 and a transmission capacity of approximately 6,04,000 MVA since that period of 2014 -15. At present, the installed capacity of the national grid is 404 gigawatts with a peak demand of around 216 gigawatts.

Now coming to the individual business highlights. The conductor businesses revenue in Q2 FY '23 grew 33% year -on-year to reach INR 1,439 crores. This had a much better mix in terms of clients as well as significant increase in exports. The export revenue grew by 97% year -on-year contributing to 46% of the division's overall revenues. The premium products contributed to 44% of the revenue mix. EBITDA per metric ton post forex adjustment came in at INR 39,108 per ton, which is at a historic high.

And as I mentioned, the two main factors is an improved mix of premium products. There was also a lower cost of logistics, steel and aluminum premiums. So some of the hits which we had a year ago period have actually reversed and that has also helped boost the bottom line. New order inflow came in at INR 1,468 crores, which is up 67% year -on-year.

If you look at the half year picture for the conductor division, revenues came in at INR 2,987 crores. So that's up 70% year -on-year with higher volumes. The volumes are up 29% year -on-year. And the EBITDA per metric ton for the half year period came in at INR 29,786. So that's 87% higher than in the previous year. The total order book is at INR 4,065 crores with 55% of that share coming from premium products. So overall, the conductor division has had an excellent quarter as well as a very good half year.

Apar Industries Limited

November 04, 2022

Page 4 of 22

Coming to the oil division. Q2 FY '23 revenues came in at INR 1,176 crores, which is up 31% year-on-year. This was driven by higher base oil prices. The volumes remain flat compared to the previous period. Exports contributed towards 47% of revenues. EBITDA post forex adjustment came in at INR 4,550 per kL. The lubricant revenue was INR 207 crores with a volume of INR 16,595 kL.

If you look at the half year FY '23, the oil revenue is up 30% year -on-year at INR 2,244 crores. But again, the volumes remained flat in H1 compared to the previous period. EBITDA for forex is at INR 7,154 per kL and this was largely because of a much higher margin in the first quarter.

Going into Q3 FY '23, we've seen some major challenges on the inventory cost versus market realizations for this division. The strength of the US dollar versus other currencies has not only affected cost in our case, but also the ability of various customers and countries to be able to import products.

We've also seen a demand compression taking place across all segments in the market, not only in India, but also globally. And our sense is that the stability in the market will take some time until the fourth quarter of FY '23 and the earliest.

On the other hand, in second quarter FY '23, the cable revenue grew by 79% year-on-year to reach INR 762 crores with a significant increase coming in our elastomeric products as well as exports.

Strategic focus on exports continues to deliver rich dividends. It contributed towards 50% of the sales in Q2 versus 29% a year ago. The elastomeric cable revenue

was up 55% year-on-year.

We see robust business in the renewables energy space. The railways, defense and the trend of all these segments also seems to be in the upward direction in the future. We have two pieces of major equipment getting commissioned in this quarter. We have our fourth electron beam machine which should get commissioned in Q3.

We also have a CCV line, which is dedicated to produce higher voltage elastomeric cables, which largely go into windmill installations and some of the higher-end oil drilling and mining applications. And this is likely to also be commissioned in Q3. If you take the EBITDA post forex, it came in at INR 70 crores, which is about 9.2% of revenues. So that's up 5.1% compared to the same period in the previous year.

If you look at the overall first half, cable revenues are up 70% year-on-year at INR 1,399 crores on the back of increase in the elastomeric cable and export business. The overall export business contributed to a 47% of sales in H1. The EBITDA post forex came in at 8.5% versus 5.1% in the previous period. The business is set to hit a target of approximately INR 3,000 crores in revenues for the year.

So overall, we believe that the current geopolitical and macro environment is providing a better platform for our industry and specifically for a company like APAR. Funds are being infused in

Apar Industries Limited

November 04, 2022

Page 5 of 22

infrastructure, both in India and overseas. There is a strong push towards renewable energy. Due to these reasons, we are quite optimistic on our business growth over the next few years to come. The main growth drivers will remain a further improvement in premiumization and a product mix the clients and the geographic mix is exports playing an increasingly important role as growth in the infrastructure spending globally takes place and the world is adjusting towards the new ESG norms.

I would also like to specifically mention that there is both an updated corporate presentation with significantly more detail on the company profile and performance that has already been uploaded on our website. And our second ESG report, which is a fairly intense effort at providing a very comprehensive picture of our ESG status and movement in the company has also been loaded on our corporate website. And I would encourage and request you all to please go through the thing. I'm sure to provide in sight and status into the company and the direction in which it's headed in the future.

So with this, I'd like to come to the end of my comments. Thank you, everyone, for joining this call. And can we now open up the floor to questions please.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone phone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets, while asking a question. Ladies and gentlemen we will wait for a moment while the question queue assembles, thank you. We take the first question from the line of Mr. Maulik Patel from Equirus Securities. Please go ahead.

Maulik Patel: A good set of numbers. A few questions. In the past con call, you mentioned that TSO segment which is did a very heavy lifting for overall company in the previous couple of years will be a muted one. And it seems that it's going to be or more like in the consideration phase?

And also the margin, which you said that it will come down, because there was some abnormal event in the previous quarter? So margin has come down, is there going to be more pain in margin? Or is it like more steady margin when we have reached on the TSO segment?

Kushal Desai: So actually, the real impact of the inventory costs versus market prices is going to actually hit in Q3. That's why I mentioned in my opening remarks that Q3

is where we will see a big impact in

this. And I had sort of entailed a few of the key reasons for the same where there has been a

demand compression. There's an expectation in the market that prices are going to fall and actually that is not happening.

So customers are being vectorized and in many cases, instead of finalizing longer -term contracts even for a month or three months. The negotiation is happening almost by every lower container or a week for that matter. So the situation is a little bit disturbed. I think it will play itself out

Apar Industries Limited

November 04, 2022

Page 6 of 22

also in the short term when something has just happened and there is panic in the market, contract prices lagged spot prices.

There are spot prices, you end up traders and some of the players who are shorter term in terms of their deliveries where they tend to gain. So there is one phase of Q3 where I expect a major drop in the profitability of the oil division. And then as we get into Q4, I think it will start getting start stabilizing. The volumes have remained flat, also partly because we chosen it to be that way. Where you see that profitability is declining, and so you stay away from some of the business, which is actually a drag. So I think my concern would not be on volumes as much as on ensuring that the margins -- the unit margins are restored.

Maulik Patel: And for Conductor, I think it's contributing surprise. I know you have given this time a number with adjustment for forex, the interest component, but still at this INR 27,000 per ton. Even if I adjust the forex interest component, do you want to be a higher side? I mean because you have been historically given the guiding that it has been range INR 17,000 to INR 20,000 per ton, but it's surprise.

So are you moving on a new normal profitability or this again, so many moving variables in the business, so for the quarter or two, it's good business, revenue mix is in favour of high profitability margin product. It is just a two or three quarters of high margin and then it will come down?

Kushal Desai: So I think the margin profile is gradually on a steady -state basis also going up. So we -- at once upon a time, INR 12,500 of the guidance, we looked at INR 17,500. We are now on a wicket where we can see INR 21,000, INR 22,000 per ton being a long -term sort of profitability that's pretty much in place. There are a few factors that have helped us in this case.

One is that the premium product sales has been actually continuing to grow, and we see that it will further grow in the next six months and in the years to come. We also had quite a lot of export business that has been going out of India, the profitability around that also has been a bit more favorable. We have three factors, which I mentioned in the opening remarks, which have -- there were headwinds for us a year ago now they are tailwinds in this period where the premium on aluminum has come down. The logistics costs also have reduced. They're not back to what they were pre-COVID levels, but they have corrected quite substantially from the peak levels that they were at.

And also steel prices have corrected downwards. And the steel is remaining at a lower level as one goes forward. So there have been a few tailwinds, but our expectation is that the Conductor business is going to be on a very solid wicket over the next for the second half as well as for the next year or two to come. In fact along the work which happened in the year pre -COVID are now really starting to pay dividend.

Apar Industries Limited

November 04, 2022

Page 7 of 22

Maulik Patel: And also your investment in value -added products are now reflecting into this margin also because you invested a lot in the pre -COVID also -- then we could go in the over the COVID time. That's going to be...

Kushal Desai: The Americas right across North, South

th America, where a lot of investment is going in on the infrastructure side. So that's why I think we expect that demand will continue to remain strong.

Maulik Patel: On cable side, can you just share some numbers of how much of the revenue we have from this Anushakti product for the quarter? And what has been the growth in the product compared to previous quarter or the previous year.

Kushal Desai: We are running at 100% growth year -on-year. And I think that -- but the base is lower. That number will continue to grow. We expect to hit our light -duty cable revenues this year between INR 180 crores and INR 200 crores.

Maulik Patel: Sure. which was around INR 123 crores last year, right?

Kushal Desai: Last year, it was yes, about INR 120 crores, where it has quite a lot of solar cables and other things in it. There is a mixture has moved -- also towards the 90mm, which is the retail pack.

Our distribution continues to increase our coverage of state increases. And we've also started

increasing our advertising presence state by state, depending on the distribution that has input in place. So we've already gone on the air – ATS spending has started in Kerala, where we have a good distribution setup. So this is the space where I think we will grow considerably over the next 24 to 36 months. You'll see big lot of investment going in and a lot of growth happening. Maulik Patel: Okay. And just on the balance sheet number. So out of the total payable that we have at the end of the first half of FY '23, how much of that is acceptance -- so we have around INR 4,700 crores was the payable. How much is an acceptance out of that?

Ramesh Iyer : Interest-bearing LC outstanding is about INR 3,400 crores.

Maulik Patel: INR 3,400 crores.

Moderator: Thank you sir. We take the next question from the line of Mr. Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar : Congratulations on a good set of numbers. Sir, lastly, I wanted to understand the profitability on the conductor side and the profitability has been quite strong. I mean INR 32,000 per metric ton.

Sir we just wanted to guess are we choosing -- we understand the percentage of premium products are going up. But I just wanted to understand from a business angle, I mean, are we start catering to -- how should we consider the normal profitability when the raw material prices will pull off?

Apar Industries Limited
November 04, 2022

Page 8 of 22

And is there a permanent nature change of business -- that is what I wanted to understand. And second question was on the -- I mean, on the inventory side, I remember, especially the oil division that you mentioned. So I just wanted to understand, I mean, what is the inventory that we are getting currently on the books. And what is the difference in the market price? Or what is the carrying cost, which is there on the books?

Ramesh Iyer : To answer the -- so on the conductor's thing, two reasons that is happening from the market point of view. One is that as we talked about, the share of premium products has been going up. And even in this quarter, we saw higher premium products as compared to the conventional conductors, which is now leading to higher margins. In addition to that, even within the conventional conductors, the export mix is going up.

We have seen that the proportion of exports in the conventional conductor has been much higher in quarter two. These two factors have actually led to an increase in the EBITDA numbers. And in addition to that, as Mr. Kushal Desai was mentioning, we have been getting favorable costs in logistics steels as well as low aluminum premium. And the combination of all these things is where we have seen the EBITDA post forex to be about INR 39,000 per metric ton in quarter two.

Kushal Desai : You -- the second question that you had was on the inventory on the oil side. So there -- actually,

the price is still evolving. In the sense that right now at a level which is lower than what it should be relative to the cost of the inventory. But there's obviously a conscious action to sort of raise the price level. But if you just go pretty much on a per kL sale basis, you're looking at around maybe INR 2,500, INR 3,000 per kL on an average where the price mismatch is taking place. Our sense as you get into the fourth quarter because keep in mind that diesel or gas oil is still at very good price level. So refineries will start moving the product mix more towards diesel and reduced base oil production at base oil remains low. And in that case, what happens that spot cargo starts disappearing.

So people like us who are on contract, we end up actually getting material and the spot players actually get a bit scare. So that's why my sense is that in the fourth quarter, it will stabilize. And thereafter, it will move in the opposite direction. Diesel remains strong. And we have every reason to believe that diesel consumption worldwide has remained pretty strong. And with the Russian sanctions getting harsher, as you get into 2023, that's the way it probably will be as you get into the next year. So this is more as a one quarter sort of effect as opposed to something that will carry forward.

Mihir Manohar : Sure, sure, sure. So the pricing is matched to the tune of INR 2,500, INR 3,000.

Kushal Desai : Yes, approximately.

Apar Industries Limited
November 04, 2022

Page 9 of 22

Mihir Manohar : Sure, sir. And just lastly, on the conductor side, you mentioned that share of premium products are going up. But last time, we were expecting some 17,000 kind of a normal number, I mean with business profitability improving. How should we see a normalized the range scenario and if you could just throw some light on the applications of this premium conductor, which are

there ? Thus, that was the last question. Now fully consider normalized profitability for the conductor business ?.

Kushal Desai : So our order book also has been going up. So if you see this quarter, we -- 44% of the revenues came from premium products. The order book is 55% so it's clearly moving in a positive direction. The premium products are all high -efficiency conductors, HTLS conductor and we are also doing copper for the railways, OPGW, which is for scanning the base data road across the country. And then we have specialty rods. And then we have the CTC which goes into transformers.

So that's the bunch of -- and we've also launched a new product range, which is busbars, which are, again, copper -based products. As we see over the next couple of years, the railway demand coming off, then CTC and busbars, which are all the copper products should start picking up. So if you look at a longer term, we believe that now the sustainable EBITDA can be at least in that INR 21,000 to INR 22,000 per metric ton range. You may have shorter periods where it will be higher, whether our tailwinds. But if you take a longer period of time going forward, we expect that we will hit those numbers.

Moderator: Thank you very much sir. We take the next question from the line of Mr. Nemish Shah from Emkay Investment Managers Limited. Please go ahead.

Nemish Shah: And congratulations for a great set of numbers. So I also had a question on our order book on the conductor side. So if you could just help us understand the -- like you mentioned, the 55% of the order book now is premium products. So what geographies or if you could just help us, is it largely export led or domestic led what will be the breakup on that front? And which geography specifically you are seeing the demand coming from?

Chaitanya Desai : Yes, it is primarily a domestic market. And also, there is some component of export. And the export is spread out to various countries.

Kushal Desai : The concentration in the Americas,

North South. The premium products as Chaitanya mentioned are mostly domestic. It's in South Asia. So India, Bangladesh in South Asia. The export is concentrated in the Americas, as I mentioned earlier.

Nemish Shah: And just to understand a bit further. So the order books are -- is it largely new capex driven? Or is it -- what are the type of orders like. Is it new investments in the infrastructure side? Or is it replacement of conductors you could just understand that.

Apar Industries Limited
November 04, 2022

Page 10 of 22

Chaitanya Desai: The export part is largely new blend. So it's infrastructure -driven. And the domestic part is a mix of both. The new infrastructure spend as well as some component of the replacement.

Nemish Shah: Yes. And just 1 data point, if you could just share the debt figures for the quarter?

Ramesh Iyer : Yes. Long -term debt is about INR 184 crores. Short -term current portion is about INR 150 odd crores. And we have cash in hand about INR 330 crores.

Moderator: Thank you very much sir. We take the next question from the line of Mr. Rajesh Kothari from AlfAccurate Advisors. Please go ahead, sir.

Rajesh Kothari: Congratulations on a good set of number. So just trying to get a little bit further into the previous participant question. What are the basically if you can give a little bit more insight into how sustainable this new order inflow? How do you see that? Is there any way to track that? And how basically from the competitive landscape, what are the competition when you do exports, how it gets driven. Do they have tariffs on the imports from other countries compared to India? If yes, what are the tariffs? Some maybe bit more detail on that would be useful.

Kushal Desai: Yes. So the competitive intensity -- see, I mentioned about this geopolitical considerations. So in many of these countries, there is a clear move to look at suppliers ex -China. And so that is helping. The sustainability of the infrastructure spend it looks quite solid. The US has just passed a major set of bills around infrastructure. And all countries, including India, have all made certain commitments in COP26 in terms of taking forward renewable energy and reducing the carbon footprint.

So our expectation is that demand will remain strong over the next several years as this unfolds. So we don't change is like a short -term phenomenon. In some segments like OPGW as data is a new oil, there is more and more every new line that's coming up, the Earth wire is actually now in OPGW with a fiber cord. So -- and that's the backbone of carrying data. As you move towards 5G, -- you require more OPGW lines because of the quality and the quantity of data both that need to be fit.

Rajesh Kothari: So on Chinese product, currently, do they have any input tariffs?

Kushal Desai: Yes, they have the tariffs in the -- United States are at 35%. There's many countries where the tariffs for Chinese products have not changed. But the buyer doesn't want to have all the rates from the Chinese basket or doesn't want to buy products from Chinese players.

Rajesh Kothari: So if you basically put more industry, the segment in which you are present, any basically

statistics where how much basically with China exports to the world and what is India share ?

What is China share, the top 5 companies from China.

Kushal Desai: There is no published report.

Apar Industries Limited

November 04, 2022

Page 11 of 22

Rajesh Kothari: But this basically category -- I'm sure -- I mean, because US published the monthly data of their imports. This category must be coming under the right? So from there...

Kushal Desai: Yes. But it's not at a granular level where you can then build broad category. So for example, the US imports \$20 billion worth of cables this year. Just gives you an idea in terms of the category of cable, but there is no breakup available

of which country and which type of cable as

far as we know. It's mostly data has been picked up from being in touch with EPC players with infrastructure investors, etc .

Rajesh Kothari: And just last question from my side. So since the raw material headwinds a tailwinds do impact your business, do you enter into long -term contracts or it is like a spot as soon as you get the order , you lock the required raw material, how it works?

Kushal Desai: So both the cable and the conductor side as far as metal is concerned, we run a completely hedged book, where moment in order comes, the metal is immediately booked, so that there's no speculation on the metal. There are certain commodities where like steel and polymers, etcetera, there is no hedgeable situation. So we typically don't price for a very long period, wherever, there's no hedging. In terms of the oil business, we have 75% of our purchase is under long -term contracts.

Rajesh Kothari: So basically, therefore, these tailwinds, what you talked about, particularly the premium on aluminum steel price correction. Do you think this tailwind can also further add from here on to your EBITDA per ton ...

Kushal Desai: So these are not hedgeable. So we have MJP a premium, which is over and above LME and that captures logistics cost and warehousing costs. And since both of them are sort of declining, the overall premium has also come down. So it's not something that the bigger, it has gone up to a certain level. Now it's come down to a more manageable level. The same thing with logistics. There are certain DD P contracts were in place. So we saw the other side of the problem and suddenly the freight rates went up. Now when the freight rates have come down, we are seeing some benefit, which is coming on account of that. So when you remove all of these factors, and on a steady -state basis, you go, we feel that we can be at that INR 21,000 to INR 22,000 per metric ton EBITDA. On the conductor business, with the product mix that we are looking at today.

Rajesh Kothari: You mean E -B-D-T-A, which is right now INR 20,000 about that, right?

Kushal Desai: No. E -B-I-D-T-A. EBITDA. First half -- INR 29,000.

Rajesh Kothari: So I think that you are seeing that INR 21,000, INR 22,000 Okay. So why that decline you are saying ?

Apar Industries Limited

November 04, 2022

Page 12 of 22

Kushal Desai: Because we just explained to you that there are certain factors which have been tailwinds that have added to this -- and so a little bit of fluctuation will always happen. The longer -term situation, when you look at it over a year, four quarters, six quarters, that's the steady state that we can expect.

Moderator: Thank you very much. We take the next question from the line of Mr. Vignesh Iyer from Sequent Investments . Please go ahead sir.

Vignesh Iyer: Congratulations a good set of numbers. I just want to know , we have done around in conductor division. Yes, we've done around 66,000 volume and then 66,000 metric ton for the first half.

Can we expect still to do around like 1 .3 lakh, 1.4 lakh tons for the entire year?

Kushal Desai: Yes. The target is to do about 140,000 tons. So second half volume will be higher than in the first half.

Vignesh Iyer: We're still on track as we have thought about it in the first quarter one, right? Year online...

Kushal Desai: 140,000 tons for the year. So 66,000 tons is what we've done in the first half. So second half, we expect to do closer to 70,000 -- 75,000 tons. Something that may happen is that you may have, in some cases, the volume going up, the EBITDA per ton may be a bit lower. But that's the reason why the steady pace 21,000 , because a little bit of it moves up and down to the mix of the product also. So looking at we have about 75,000 tons, which we expect to execute in the second half of the year.

Vignesh Iyer: But as I said, like two points on t

the EBITDA side of the conductor division, it is like firstly if I

am not wrong the current ly quarter two, the premium mix is around 44% and your order book premium mix is around 55% and we have got also, I expect that the 75,000 tonnes which has executed might have more of a premium share of the product, right? So can you see that addition of EBITDA per ton kicking in?

Ramesh Iyer: Yes. So -- as we explained, there are some multiple reasons that accounted for this Q2 EBITDA, and we saw premium share going up. Secondly, you see that even within the conventional, I think the export mix is going up.

Vignesh Iyer: Adjusted for the aluminum and logistic part, keeping that aside can we see that a bit of upside because of the premium mix, solely because of premium mix?

Ramesh Iyer: Yes. So anything continues, we see a similar kind of momentum that we saw in H1, but it will also depend on the macro environment and how the external costs are there. Also, as you see the interest costs are likely to go up. If the interest cost goes up, it could also have an impact on the EBITDA level and the EBDTA number.

Apar Industries Limited

November 04, 2022

Page 13 of 22

Kushal Desai: In short, because these businesses, see what you need to understand is that, there are two layers that are there ahead of us who actually call the shots. One is the developer of the ultimate infrastructure. The second one is a set of EPC players that are involved in terms of actually putting our clients and building this infrastructure. So, all of these things don't sit in our hands. So there are some movements that happened back and forth.

But what we can explain here is that, as the premium products keep increasing the baseline of your EBITDA will also keep on moving up. So, as we were concluding at 17,500, we are now almost INR 3,000 to INR 4,000 a ton higher on a steady-state basis given the mix that's in place. So you will always find some positive noise. There could be some quarters with a negative noise, but the median line will keep rising as the premium product category grows. So that's the point which I just wanted to make.

Vignesh Iyer: I got it, thanks. So yes, on the cable division side sir, are we now seeing a new, I think you more of has revised your target. If I'm not wrong, you had given a target of around INR 2,600 crores sales for the entire year. But in the management commentary, right now, you gave it, it could be around INR 3,000 crores. So keeping that in mind, can you say that we may in the end of clocking around INR 750 crores to INR 800 crores every quarter?

Kushal Desai: Absolutely. Our expectation is to do INR 3,000 crore for the full year. So it will be a little over INR 1,500 crores in the second half. We have order books to kind of support and also our visibility. Not all of it is order books, but we have the visibility to support.

Vignesh Iyer: So sir, our cable division is quite big and a lot of products involved in, I'm here catering to a different division as well. So, do we think it is the right time where we start giving the mix of business under cable as to what comes from elastomeric, what comes from -- what caters to specifically could have defense or what comes from the export for renewable or etcetera? Because we are looking at the division which is growing quite fast. So, it would give us a better idea as to which part of the business is expanding and how much?

Kushal Desai: So given -- one thing that we do need to be cognizant of is that a lot of cable business in the B2B space undergoes competitive bidding or negotiation. And there's only a certain level of granularity, which we would like to have in the public domain because buyers use their information also, they probably go through reports, -- carefully any analyst does before he negotiate.

So there is only a certain amount beyond that we draw a line. We don't have a plan or

actual ly

crossing it right now. But the point here is that, again, if you look at the mix of products, which the cable division is doing, we are investing more and more on that elastomeric renewable energy side. We put a fourth team in place. It goes towards ANU SHAKTI wires, it goes towards solar cables, etcetera.

Apar Industries Limited

November 04, 2022

Page 14 of 22

We put the CCV line in place, which is going to be dedicated largely towards wind mills and cabling that goes into wind mills. So that whole segment is going to grow. The windmill side with this new addition coming in also enables us to go and start exporting the product. So all the major windmill players in the world are pretty much present in India. And we established, we have over 70% market share in the Indian market on windmill.

And with this investment going in, we've got global approvals from many of these players, which I had mentioned in call maybe six months ago and so that will also start playing out. So that

segment will definitely grow, the whole elastomeric side. Also the ANUSHAKTI wire business to grow as we roll out the wire and cable through our distribution center .

Vignesh Iyer : So 1 final question on my side. I just wanted to know, considering this wind mill cable export I just want to know which part of the world getting more traction from like from Europe or the US at such? If you could just give us an idea?

Kushal Desai: So we haven't started exporting yet in a big way. Currently, whatever exports have been going out, they've been going both to Europe and the US. It depends because there are certain players who are much stronger in the Americas, which is General Electric, Nordics, etcetera. There are other players like Siemens, Gamesa and etcetera, who are stronger in Europe.

In both places, when you start something new as in the export going out, it's not easy to sort of predict the trajectory. But our sense is that business will start going to all these major players who are also present in the Indian market .

Vignesh Iyer : Actually, my question was more from the side of, who is showing interest, at least the preliminary talks, because Europe is sort of facing crisis because of the conventional way of energy, right? So they might be more reluctant, interested actually to shift to the nonconventional?

Kushal Desai: So you're absolutely right that there is definitely a crisis in Europe, both in availability of power as well as manpower. Both the powers are an issue at this stage. So, we've got approval from the 2 largest, which is Vestas and Siemens, Gamesa in Europe. And then we also have approvals in place from Nordic and General Electric. GE is the largest now windmill producer in the world.

So we have approval from all of these four players and a few other smaller ones.

So our sense is that, the line is getting commissioned in this quarter. So in FY '24, you will start seeing volumes going out to the player. And in the Northern Hemisphere, there is a lot of wind capacity coming in, just given that they have lesser number of sunshine days.

Moderator : We'll take the next question from the line of Mr. Sujan Shah from Congruence Advisors please go ahead sir .

Apar Industries Limited

November 04, 2022

Page 15 of 22

Sujan Shah : My first question would be, as we have talked in the previous quarter that we have been in defense, we are focusing INR 80, INR 100 crores of the revenue, so currently, are we trajectorying any better revenue conversation from defense? And could you just give us the split between the railway division, how much order has been from railway specifically mixing of conductors and cables , if you can give that split?

Kushal Desai : So. We don't want to get into too much of detail in terms of each of the subsegments. But on -- the two are going in different trajectories. The cable side is going into locomotives as well as

coaches.

And this is whole Vande Bharat, you will see increasing requirements happening on the cable side. We have two channels. One is, direct supply to the coach factories. The other one is through the harness manufacturers, of which one we are also a harness manufacturer, but that are like 20 -odd. So the volume is growing there as the locomotives and coaches are being added. On the other hand, if you see the conductor side, there the railway electrification project is -- has progressed now on at a very advanced stage of its completion. And so we will see over the next 1.5 years or so, the volumes starting to fall off, unless they start upgrading some of the electric lines to higher speed line. So that part of the program is being talked about, but the exact details and numbers still need to come out. So there you will have to upgrade the lines to copper alloys as opposed to copper.

Sujan Shah : And sir, for the defense, we are eyeing any specific better contribution of INR 80-100 crores?

Kushal Desai : So we are right now at that level of about INR 80 -odd crores. We've been continuing to build -- they are looking at higher and higher indigenous content. So our expectation is that over the next few years, that volume also will grow. The defense business can be a little lumpy in the sense that once the ship is done, then the in the second -- I guess, in the last trimester of the ships deliver the cabling work starts. So -- and most of it is going into the Indian Navy because that's where it's very instrument heavy and the sizes are quite large. My expectation is it will grow. I don't know to what extent it will grow from the current level, but it's in that positive direction.

Sujan Shah : My second question would be on the cable EBITDA margin. On our trajectory side, we have said that we would be around 8% to 9% and currently, we are at 9%. So are we seeing a better improvement going forward for the EBITDA margin in cable side because there is a strong demand in the specific in the industry as a consumption in the household and all that ?

Kushal Desai : So the stronger demand is there for the specialty cables, and there is a good demand, which is there, I say that there is premiumization happening in the house wire and building wire where because of the ESG impact and various other things, branded goods are selling more as opposed to lesser players who don't carry brands.

The overall volumes are not growing at some very, very high level yet. So, there is an

overcapacity in the general power cable side. The results which APAR has shown has fundamentally come on the power cable side, from focusing on exports. The domestic market
Apar Industries Limited
November 04, 2022

Page 16 of 22

still remains very competitive on the standard power cable. Now having said that, you asked specifically what our guidance is on the margin. So we are at about 8.5% for the first half. We expect to do the full year at about between 9% and 9.5%.

Sujan Shah: Ok. And sir, we have initiated the B2C lubricant, which we wanted to get into that space. So what are the current situation and how you are eyeing for that thing specifically, retail part, B2C part of the oil and lubricant?

Kushal Desai: So the oil and lubricants, the B2C part is actually reasonably established because it's been around for over a decade. So we continue to grow by introducing new products and winning new distribution, but it's a steady growth. There's no meteoric growth that you will see on that front. On the other hand, the B2C growth in the wire and cable side will be at a much, much higher pace and the total there that will be involved also will be much, much higher than in the oil lubricant because the addressable market is much larger.

If you see the total cable market of around INR 60,000 crores, 50% of it is coming from your light-duty cables and building wire. So it's a INR 30,

000 crore sort of market which is out there.

So we have -- as I mentioned, we will be about INR 180 crores to INR 200 crores on the LDC this year. The last year was for INR 120 crores. Going year, we should have a similar sort of growth percentage.

Moderator: Thank you very much. Ladies and gentlemen, in order to ensure that the management is able to address questions from all the participants in the conference please limit your questions to two per participant. Should you have a follow-up question we would request you to re-join the question queue. We'll take the next question from the line of Mr. Amit Anwani from Prabhudas Lilladher.

Amit Anwani: My question is sir, with respect to the recent parliamentary committee, which announced that there are plans of setting up a renewable energy zones for 66 giga watts and I think additional 185 giga watts by 2030. So any thoughts sir, what kind of market it can create for us? What kind of products and assessment if you would have that?

Kushal Desai: So fundamentally, the products of us which go into this is when solar grows then there are two sets of cables which go in. One is for the solar panel wire and the other one is from the electric panel into the network. So it linearly will grow with the addition of solar capacity. Similarly, in the case of windmill, you have a certain amount of cabling that goes inside the windmill. So that also is linear to the kind of wind mills that are getting executed.

And then you have evacuation from the windmill installation into the grid. So in both cases, a grid portion will determine or the conductor demand will come up for that. So I'm not sure whether we will be able to meet that target by 2030 because we are at 13% and to go to 50% on an increased base in a span of 17 years is a huge -- sorry, 7 years is a huge ask.

Apar Industries Limited
November 04, 2022

Page 17 of 22

So I'm not sure at what time frame it will get executed. But one thing is I can guarantee is that the demand for products will remain for quite a while to come. And this is just in India. It's also happening all over -- globally all over the world. And that is one of the primary reasons that I mentioned also in my closing paragraph that we expect demand to continue for a while because as countries try to meet their COP26 and now COP27 is coming up. There are new commitments and increased commitments which are coming in from the various national leaders around the world. And as I get executed, I think our infrastructure is in a pretty good position.

Amit Anwani: Right, sir. So my next question is on the Cables business, where you mentioned that we are on the words of achieving INR 3,000 crores. Any outlook you would like to give for FY '24, '25 on the cable sales and how the margin projection will look like?

Ramesh Iyer: Yes. So as we explained that this year, FY '23, we're likely to cross about INR 3,000 crores. And given that the development is happening on the overseas global front as well as in India, we expect about 20%, 25% growth happening on an annual basis.

Amit Anwani: My last question on the conductor side. Just for my understanding, if you could just explain how this is the conductor market globally in value terms and in India.

Ramesh Iyer: The global market share for the conductor is about 1.5 million metric tons.

Amit Anwani: In India?

Ramesh Iyer: Globally.

Amit Anwani : India, sir?

Ramesh Iyer : About 150,000 tons.

Moderator: We take the next question from the line of Mr. Pratik Shah from Aeq uitas. Please go ahead, sir .

Pratik Shah : Just two questions, how do we see this new lines that we are commissioning in Q3? What would be the ramp -up plan for this year and what kind of ramp can we expect to the full of next year?

Kushal Desai : So our sense is that actually, the line should get loaded within a span of 12 to 18 months and if the initial shipments to so

me of the customers, especially in Europe, go through well, then it could even get accelerated sooner than that because there is a serious at least at the moment in energy as well as our manpower crises in Europe. I can tell you that the line is coming in at the right time. And if the initial product that goes on the line is well accepted, then its ramp -up can be pretty fast. But otherwise, our plan was to get it fully loaded in a 12 -month to 18 -month time frame.

Pratik Shah : And what would be the full revenue potential of both these lines put together at current price?

Apar Industries Limited

November 04, 2022

Page 18 of 22

Chaitanya Desai : Around INR 250 crores approximately.

Pratik Shah : Okay. So -- and when we say that we improve our guidance for cable division of INR 3,000 crores, there is not much contribution that we're expecting from this line right now, right?

Because...

Kushal Desai: Once again, that INR 250 crores is from -- just from the CCV line. The e -beam -- the 4th E beam , there's a whole mix of products that will run through the e -beam, including solar cables.

Pratik Shah : Right. But this year, there wouldn't be a very substantial contribution from these lines, right?

Kushal Desai : Yes. You have some contribution coming in Q4, but it will be quite small compared to the total INR 3,000 crores.

Ramesh Iyer : So we have baked in those numbers also in this total of INR 3,000 crores and the next year numbers that I just mentioned about.

Pratik Shah : Okay. My second question is on interest cost. So I understand that we started factoring in our product pricing and our EBITDA numbers reflect that. But just if I want to look at our interest costs, if you could elaborate a bit on the forex fluctuations and interest costs going ahead?

Ramesh Iyer : So as you see, over has been increasing on a steady basis. and also forex has been almost increasing continuously. So these two will have an impact going forward. The current quarter still does not factor the full impact of this increase, especially from SOFR rate point of view because we have LC that keeps on building over a month -on-month basis. But yes, this is one area that will see an increase. Fortunately, the commodity costs are on the lower side, especially the aluminum and copper that is helping us to reduce the impact of the increase in SOFR and foreign exchange rates.

Pratik Shah : Sir, working requirement is expected to remain low?

Ramesh Iyer : It depends on the commodity prices on aluminum and copper rates are much lower, the requirement will be low, on oil front , it will be higher. But yes, in the volumes, as you see, are going higher, the overall impact will be high. So it's actually a mixed bucket of many factors that will determine whether it will be how significantly its proportion would account for. So you see interest rates going up, forex going up that will be requiring more working capital. The volumes are going up, it will be high, but the commodity prices come down, then to that extent it will be lower.

Pratik Shah : And if you could just tell me in the conductor division, the order book, how much would be export contribution from export and contribution from HEC conductors?

Ramesh Iyer : Export would be about 50% of the total pending order book.

Apar Industries Limited

November 04, 2022

Page 19 of 22

Pratik Shah : Okay. And HEC.

Kushal Desai : It's around 35%. Yes, about 35%.

Moderator: We take the next question from the line of Mr. Vikram Sharma from Niveshaay.

Vikram Sharma : Sir, what is overall renewable energy contribution in overall business of the company?

Ramesh Iyer : We have put this part of our slide in the corporate presentation about 4 to 5 percentage for the company as a whole.

Vikram Sharma : And sir, one you mentioned about the busbar product, so what is it and what is the opportunity size in this product?

Kushal

Desai : So actually, busbar going to a whole lot of electrical installation. So the market size is fairly large runs it to several thousands of crores, there are a number of players in this, it's a product which can go complementary with some of the cables that we have in some of the other products, which we are going to sell. And fundamentally, as the railway business comes off. Some of the infrastructure with some minimal investment is being redirected towards this product. It will not be a flagship product like how you would have HTLS and now you're getting OPGW and things. But this is a good addition to the basket.

Moderator: Thank you very much. We take the next question from the line of Mr. Pawan Nahar, Individual Investor. Please go ahead sir

Pawan Nahar : Thank you, gentlemen, once again, congratulations. I want to for simplification, say, I want to focus on EBITDA after the interest right? Last time we have discussed that is the better way to communicate. And before I get there, I just -- we've done INR 55 EPS in the first half. There are positives for two segments. One segment will have impact, basically inventory effect, which I would imagine is not generally more than one month, am I right?

Kushal Desai : No, I think it is probably it will affect the quarter. So you have an overall effect in the quarter.

Pawan Nahar: So Kushal, my simple question first to start with the H1, INR 55 EPS -- H2, can it be similar, higher, lower as things stand today, and of course, things can change.

Kushal Desai : It should be in the similar range. It could be a little bit lower depending on what the impact is on the oil side. But on the cable and conductor side will actually be a bit higher. So it's a question of how much the other two will be able to offset whatever Q3 problem we have. But if you look at it broadly, it should be in the same range.

Pawan Nahar: Okay. And the oil thing actually could even end up in a gain because it's only the inventory right and who knows. We leave it at that. I mean, for now we leave it at that.

Apar Industries Limited

November 04, 2022

Page 20 of 22

Kushal Desai : Q3 is quite clear that there is a challenge. But then as we see, after going through a difficult period, sometimes the rebounds are the surprise on the positive side. So keeping my fingers crossed for Q4 and into FY '24.

Pawan Nahar: So we'll stay with broadly 55 again for the second half, right? And okay, the next question was on the EBITDA after interest. So should I call it EBIT as a better metric to look ahead because it simplifies a lot of things for outsiders like us.

Ramesh Iyer : Yes. And that's the reason we started reporting that from this quarter onwards. Call it EBDTA.

Pawan Nahar: Yes, I was surprised. I was hoping you all would guide the conversation into that but never mind. So what I want to ask is what would be, let's say, in the conductor business, we've done INR 20,000 as the EBIT number, INR 20,240 or something for the EBIT, right? What would be our guidance for the full year in terms of EBIT.

Ramesh Iyer : We've just mentioned our guidance on EBITDA to be about 20,000 to 22,000 per metric tons. Now depending on how the external environment pans out, if this kind of EBITDA achieved, our EBDT would be in the range of 7,000 to 8,000 per metric ton reduction from EBITDA.

Pawan Nahar: So 22,000 it will become 14,000.

Ramesh Iyer : Yes.

Pawan Nahar: Right? Okay. And then what about the -- for the cable business, we've done about EBIT of 7%, what we've given.

Ramesh Iyer : Yes, the cable business, we are seeing a guidance of about 9 percentage. The EBDT will be in the range of 6.5 to 7 percentage.

Pawan Nahar: Right. 7% is what it is in the first half. So can we then assume similar in the second half?

Ramesh Iyer : Yes.

Pawan Nahar: Okay. and the third is on the oil business. Here, we've done -- I want to ask both the volume

number and the EBIT number. So we've done about EBIT number is about INR 6,000 round figures for the first half. Yes, it is lower in the second quarter. For the full year, what kind of a number we should expect?

Kushal Desai : So the first half EBITDA has been 7,150. I wouldn't want to add a guess in the Q3 because I don't know how bad this Q3 is going to be. Q4 will go back to an EBITDA of closer to 5,500 kind of level. And the gap between the two is in the range of about INR 1,500 -odd so that will remain between the interest components will be around that INR 1,500 per KL.

Apar Industries Limited

November 04, 2022

Page 21 of 22

Pawan Nahar: Okay. And how much inventory do we have right now where you think will impact the Q3 numbers? How many months generally, sorry.

Kushal Desai : It's about two months of carry. So you see what happens is that we follow SAP where is

weighted average cost. So there is a historical effect, where it drags on a little bit because every part of that comes average is down cost. So fundamentally, it will hit this Q3. As you get into Q4, I think it should have got itself levelized because most of this would have got sold out. Pawan Nahar: Okay. So let's leave Q3, let's leave, what is the new number we should assume for EBIT, right? INR 6,000 is first half, not -- I'm not saying FY '23. Generally speaking, what is the number to resume for EBIT in the oil business?

Kushal Desai : That is something that is not ready to commit because I don't know what the situation is. When you go into a war, you don't know how much you're going to lose. So this quarter is the one where there is a hangover the irrational behavior coming from players -- difficult to tell. But even like the overall for the company as a whole, that guidance is pretty much in place, which would mean that the second half would be something relatively close to the first half, including the issue that you will see in the oil business in the Q3.

Pawan Nahar: So Kushal, I'm not asking -- understood. Oil business, I'm not asking you for FY '23. What I'm asking is, let's say, FY '24 once oil prices normalize. Whatever happened. What should be the normal EBIT number to take. Earlier, we used to buy INR 6,000 as EBITDA? And you are saying INR 1,500 of interest cost?

Kushal Desai : Yes. So we were guiding INR 5,500 And the interest right now is at close to around INR 1,500. But with the increase in the in SOFR and some of these rates, if that's not passed on another maybe INR 200 -odd is something that one could look at.

Pawan Nahar: About, let's say, INR 4,000 is possible as an EBDT number. Not for this year when things normalize, not for this year.

Kushal Desai : Exactly.

Pawan Nahar: And what about volumes for this year in the oil business, you've done INR 230,000 round figure. Can we assume INR 460,000 for the full year or...

Kushal Desai : Yes. It will be in that range. Yes.

Pawan Nahar: So basically, to conclude, we are on track with our ROE number of 18% to 20%. Probably even higher.

Ramesh Iyer : Yes, that's our ambition, but we need to work out the math to see that.

Kushal Desai : But fundamentally, it's moving in that direction.

Apar Industries Limited

November 04, 2022

Page 22 of 22

Pawan Nahar: Yes, because 55 first half, 55 second half, 110, it is more than 20% or close to 20%.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for closing comments.

Kushal Desai : Thank you, everyone, for patiently hearing us through the opening remarks and the Q&A on this earnings call. And just in terms of closing remarks, even though we see a short-term issue in our oil business, overall, we are quite optimistic in terms of the way business will unfold. -- not only in the second half but also in FY '24 and some of the years to come. T

he fundamental drivers to

the business remain intact and are actually accelerating which is, i.e., the infrastructure that's going into the electrical space. So with that, I'd like to close the call, and thank you very much for your time.

Moderator: Thank you very much. On behalf of APAR Industries Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

E-filing

SEC/ 2202/2023 February 22, 2023

National Stock Exchange of India Ltd.
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: The Manager, Listing Dept.
BSE Ltd.
Corporate Relationship Department,
27th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Dept.

Sub. : Submission of Transcript of Investor Conference organized by Nirmal Bang on
Wednesday, February 15, 2023.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations,
if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"),
as amended from time to time

Dear Sir,

Kindly refer our letter no. SEC/ 1502/2023 dated February 15, 2023 w.r.t. submission of link of Audio
Recording of Investor Conference made on Wednesday, February 15, 2023.

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are now submitting
herewith the transcript of the Investor Conference made on Wednesday, February 15, 2023 which was
organized by Nirmal Bang .
The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take a note of this.
Thanking you,

Yours faithfully,

For APAR Industries Limited

(Harishkumar Malsatter)
Deputy Manager - Secretarial

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India
+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com
Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India
+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

Page 1 of 28

APAR Industries Limited
Investor/Analyst Meeting

February 15, 2023

"Nirmal Bang Investor Conference Call"

MANAGEMENT : MR. RAMESH IYER – CHIEF FINANCIAL OFFICER

Apar Industries Limited
February 15, 2023

Page 2 of 28

Moderator: Good afternoon, everyone. On behalf of Nirmal Bang Institutional Equities, I welcome you all to this session with -- with the Apar Industries as part of our week-long investor conference. At the outset, I would like to thank the management of Apar Industries for giving us the opportunity to host them at our conference. The management of a part is represented by Mr. Ramesh Iyer, CFO. I would request the management to commence this session with some opening remarks on the business environment as it stands today, further to which we will open the floor to the investors for the Q&A session. Thank you, and over to you, Mr. Iyer.

Management : Good afternoon, and thank you for this call. To begin with, I'd like to give a macro overview of the environment that is shaping up in that we see in recent times. And overall, where do we see growth opportunities for Apar Industries, followed by a deep dive into each of our division's performance in this year and how do we look forward in the future years. So overall, if you see the current macro environment and geopolitical issues there are prevailing globally is favouring our industry and our businesses in fundamentally many ways to specific, there are three broad areas that we see that is benefiting us.

The first area is clearly in terms of pushed towards the renewable energies. We are actually seeing a lot of solar installations mean with solutions coming up globally in several parts. And this actually is helping our businesses and all the three divisions because all the products in our

divisions who actually needing has a role to play in this new energy sources. You will need the cables for the power generation that happens in the solar panels, in the wind mills, where you need different types of cables going into these installations.

Apar Industries Limited

February 15 , 2023

Page 3 of 28

And also if you see some renewables point of view, the place for generation and the place of consumption is different. So you'll see a lot of generation happening at place X and the consumption happening at place Y. So you need actually to transmit this power from X to Y. And there where there is opportunity for the transmission network to come in. And for that, we have our conductor division and the conductor products that actually helps in transmitting power from one place to the another place.

And as you see, a lot of transmission network being laid down across the globe for all these projects, you will actually see a lot of transformers also getting stabilized. And once we -- for all the transformer, you will actually need to transform oil also. So in our oil business, about 1/3 of our product goes into transformer oil. And as we see more transmission line setting up more transformers needing, you will see an increase in the requirement of a transfer oil. So the entire area on the push towards renewables into solar into wind, we'll actually see a good amount of opportunities in -- across all the three divisions that we have.

The second big area, which you see as a growth driver in future times to come, is the spend that is happening on the infrastructure across the globe. And even on the infrastructure, there are specific areas like public transportation, where we basically see a lot of momentum getting picked up. We see railways are spending a lot of money on railways. It is a lot of metro work that happens in India and also in some of the overseas geographies.

A lot of electrical vehicles push towards that, that will happen. And you will need a completely different infrastructure, you need the charging station, the power to get into the different charging station. And then from a charging station to the vehicle cabling solution that you need and also

Apar Industries Limited

February 15 , 2023

Page 4 of 28

with

in the vehicle you need different cable solutions. So the area of public transport and infrastructure spending is clearly something that we see opportunities coming up in times to come, particularly in some of the advanced countries where the transmission lines were late, way back four to five decades old and early for it changes there. So that's clearly another area where we see a lot of developments and a lot of expansion happening many times to come.

And the last area is on this the space that is happening on the 5G rollout from countries like US is nearly passed in terms of rolling out this 5G and you'll see a broad area of telecom networking solutions really coming up there. So that's another piece that we see in future times to come. And if you look at all this in perspective, clearly, we see this is not country specific, geography-specific or continent specific spends or an opportunity that is coming, it's actually going to happen on a pan global basis world over, you will see developments happening. So it's not restricted to some part of the geography where we see spend coming up high. In some years, there could be higher spends in one. But clearly, as you progress, you'll see expense increasing in other parts of the world as well.

So clearly, we see it as not only it's India-centric phenomenon, but it's going to be a global debt phenomenon. And also what we see is not going to be a one to two years kind of horizon and we are actually able to see July over the next 5 years to 10 years, it's going to be a decade-long thing because you'll never see all the spends happening in 1 year or a basket of years. But globally, over a period of next decade, we clearly see these

opportunities coming up in all these three areas. So that's a very macro overview of what we see as opportunities coming up.

Apar Industries Limited

February 15 , 2023

Page 5 of 28

Now I'll quickly get on to each individual divisions, deep dive into the three divisions that we have and then open over to question and answer. I do have the presentation extract that we have rolled it on to website. So maybe some of those slides are relevant yet, which is sharing in this. The first division that I like to start this conductor division -- and if you see the conductor division, basically, what has happened over the -- for the last decade, there has clearly been a transformation journey in our division over the last decade.

What started as an ACSR conductor division even in 2004 the division was set up in 1958 to originate to the company was incorporated with this division. And by 2014, we had largely developed one particular conductor, which is a conventional conductor ACSR -type conductor. Over the years, we have been seeing a lot of competition in this particular space with the price becoming a competitive force, a lot of players coming in to the market, and we felt the need to diversify our portfolio...

If need to diversify this product portfolio from what used to be an ACSR -type conductor back in 2014. And as you see, a lot of urbanization happening out of cities where more populations are walking into the city and the requirements of electricity going up. The current transmission line has led capacity to transmit power from one place to another space. And therefore, a lot of these premium products, which is our HTLS premium product or OPGW and also copper conductors, more being developed over the years and have started reaping the fruits very recently.

So we have HTLS project which has the capacity to transmit high transmission and with a low sag so that the requirement in the city is being high, we're able to transmit high electricity requirements in the same infrastructure, the same corridor that is there. So we don't have to know

Apar Industries Limited

February 15 , 2023

Page 6 of 28

spend additional amount of infrastructure building new towers, creatin

g

new right -off pay. But the existing lines, you do a reconductor pull down the current conductor and you re-conductor a wire and you are able to transmit a much higher electricity over the same corridor.

Now it's a bit technical and also it's all design specific depending on the requirement of the conductor customers in terms of reducing the transmission losses in terms of ensuring the conductors for a long period of time. And also, there are specific nuances which are needed in terms of trading the labor to reconductoring -- you'll have the reconductoring line going around mountainous ranges or the railways and those difficult parts where it needs very specialist gangs of manpower, design and technology, which actually we have been pioneering it and using indoor products.

So this is not only a product that we supply, but it's also solution-oriented, looking at the design requirements of the customer. And that's how we have this premium product in our basket. So this year we've been seeing a good amount of traction in the last 2 years. One reason to which our margins have been consistently on the higher side in distribution. Similarly, we have OPGW as a product and solution.

Typically, all these conductor lines having earthing wire, we are able to have this not only a earthing but also put an optical fiber into it. So it helps us to generate not only the earthing part but also in terms of a data transmission -- and for our railways, we've been leading the core conductors, we have been supplying conductors to Indian railways, having a higher share in to that thing. And most of the electrification on the Indian railways has been happened with the copper conductors that our industries have supplied. And beyond the Indian railway electrification, once you see

a lot of advancements in railways in terms of far high -speed trains, bullet
Apar Industries Limited
February 15 , 2023

Page 7 of 28

trains, Vande Bharat trains, metro rails coming up, you will see a different type of conductors that will be needed for this railway expansion.

And we already have a product, which is a copper magnesium that we have been supplying to this Delhi Metro. And once we see this electrification happening up, then we'll see another round of product usage for under railways , if you look at the end of 2022, our premium products, which is HTLS , OPGW and copper conductors was close to about 50 percentage of the business even as of the end of '22, and we see margins kind of going up from what it used to be 10 years ahead to 2022.

Now in the last 9 months, what has fundamentally changed in this particular division is that not only 1/2 of the product has the premium, but the other half, which is a non -premium product that margin results expanded exponentially because our opportunities in overseas markets have been increased. So this -- in the last 9 months, we have been looking at export market aggressively for our non -premium products as well, mainly to the Americas and in Australia. And if you see in FY '23, not only my premium product has increased the share, but the non -premium product has also increased the share.

So suddenly , in this year, you are actually finding that the entire conductor business has not only been profitable, but highly profiting largely because of the orders that we've been getting from overseas market. And to that extent, to the extent our domestic conductors business, which has been already competitive with price becoming an issue. We have been reducing our exposure there and concentrating more on overseas market, which is giving us a high margin there. So on the premium part of it, we are largely into India and recent countries which is sold at a high margin.

Apar Industries Limited
February 15 , 2023

Page 8 of 28

And on the non -premium part because of the export opportunities that is coming up, we are able to get a high

margin there. And if you look at from an export point of view, they not only look at the price , they look at several other factors like the quality of the product and the reputation of the suppliers, the adherence to the delivery time, the element, the intensity to which we do risk management within the company.

So there's a whole lot of things that we see over there beyond the price and for which our margins has been on a higher side there. So that was quickly on the conductor division. I'll move to the -- so if you look at this particular side, this talks about our competitive advantage in the conductor division. So as I talked about on the premium products, it's not only the product, but it's also the design and the technology and the know -how involved that acts as a barrier to enter for the competition. There are special streaming mechanism with sophisticated equipment to protect the carbon pole which is inside of this HTLS product.

Customers say not only look at the price, you look at the life cycle cost to reduce the transmission losses and they need a lot of re -specifications for purchases. And it's our entire solution -oriented ecosystem of training manpower gangs required to do complex task with minimal power outages involved. So these are some of the competitive advantages that we have on the premium products of our conductor division.

If you look at the non -premium, which is the convention products and largely in the exports market, which has increased a lot in the last 9 months, they not only look at the price, as I have mentioned, they look at capacity, delivering large volumes in a short period of time, quality and reliability. They prefer parties where they can depend upon companies that have a very strong risk management framework, especially in the area of aluminum

and copper hedging. They don't want to deal with people who don't get into all the hedging and thereby, they postpone their delivery for aluminum and copper price to come at the right time. So that's something we prefer. So we have a very strong risk management than we do 100% aging of aluminum and copper for all the orders that we get. And some of these requirements actually help us to make some weak players ineligible and that's here have a competitive advantage on the conduct or division. Quickly moving on to the cable division. Europe, we are the largest domestic player in the renewable segment. We have power cables. We are there into house wire and cables. We are there to elastomeric cables, which are all the specialized application cables going into railways, locos, coaches, gets into shipping defense line solar and wind cable all gets into elastomeric cable.

We also have this E-beam irradiated cable we use for some of our elastomeric cable as well as housewire. And we have this OFC and special hybrid cables over there. So cable also, if you see, fundamentally, what has seen in the last 12 months or so is our exports share has significantly gone up obviously which was about 25% odd in earlier years. If you see quarter 3 is already standing at about 50% share. And here also, we are able to see momentum coming up from the structural growth drivers that you talked about in the opening remarks in terms of requirements of cables from overseas geographies and the infrastructure spend.

China plus 1 strategy is it's also helping us with the duty difference between China and India, it's helping us. And our exports there to US has increased substantially from what it used to be almost nil in the first half of the last year. So here also, if you look at the domestic cable is what gives us a low margin. And we are also looking at markets which are giving us a high

margin products. And if you see the trend in EBITDA has consistently

increased from mid -digits last year to about 12 percentage in the quarter 3.

And YTD November, December basis, we are close to about 10 percentage or there -- so cable market, we see opportunities even going forward as we see the requirements of infrastructure renewables, increasing in developed markets and developing markets, this is going to be our fastest -growing business in times to come. So branding on housewares is increasing. As you also know in our earnings calls, you've been seeing, the light -duty cable business, which was largely into 2 states by March 22, is now on to 13 states. We have increased our distributor presence from about 19 to close to about 100.

Our Retail account presence has gone up from 300 to about 1,500. We are increasing our product awareness in terms of demos, electrician needs that happens as we have been talking earlier. We have 3 basic unique proposition when it comes to our LDC business. It has some 50 -year life. It can carry 50% more current than the other cables that are available in the market, and it is melt resisted. So it takes a long time before the installation gets melted and it has much more ability to withstand all the short circuits over there. So these are some of the 3 unique advantages that we are creating awareness through our DEMOs and electrician needs.

And this business is something that we'll see growth every year, close to about INR 120 crores last year. This year with INR 200 crores going up to about INR 500 crores in 2 years' time. And the expansion is going to this growth coming in future years. Again, we have a competitive advantage in Cable division. In terms of E-Beam technology. We are the only company with E-beam on the house wiring thing, which actually adds to the first more

February 15 , 2023

Page 11 of 28

advantage for us to give this unique USP than that I mentioned about. We are the lead ing player in the renewable space in India on the solar and the wind segment.

In terms of US market, we have the highest number of certificate of compliance for India for sale of cables in the United States gives us a competitive advantage in terms of tapping the market there in the US . We have a wide range of cables for an industry that we serve, steel base, locomotive coaches shipping, defence , and etcetera . So some of these advantages are there on our Cable division that we feel given the structural changes also happening, this is something which is going to be a fastest - growing segment in times to come. Quickly on to o il and lubricants. This is a business that will grow about we're talking about a 5%, 6% volume growth in the future.

Again, here, 1/3 of the business is transformer oil , which will actually grow as your transmission network goes up as you pu t more spend on transformers and infrastructure going up, we will see this transform oil business also going up in line with those transmission networks. Here, we talk about our EBITDA margin, which is in line with the threshold margin, the 9-month EBITDA is about INR 5,000 per kl. That's the number that we look at continuing in the future years -- we do have competitive advantage in the oil division as well.

We have the third largest global player coming to transfer oils. We have approvals in -- with most large OEMs and transmission companies. We have at UE as well as a plant in India, where we are able to deliver the product side at low cost to the customers. Telecom, as I talked about, it's something that is going to be in the future, we have the vision t o increase our toll in

Apar Industries Limited
February 15 , 2023

Page 12 of 28

telecom as well. And with all this 5G and rollout coming up, this is also an opportunity that we see increasing in the future times.

This is just a broad mix of our customers where we are selling about exports account for about 47% o f our mix various ind

ustries, specific industry

growth around for 16 and 9 percentage. -- load goes through the transmission companies, the EPC as well as utilities companies, about 5 plus 8 percentage. And we're just about 1.5% share that goes in benefit distribution companies, both government and private. So that's a broad revenue mix that we have. In terms of quality of receivables, about 45% of our receivables are secured under various means that is available in the market. About 22% goes to transmissio n companies and sector -specific companies.

And the rest 33% is unsecured, of which about 60% are with entities where we are having business relationship over 3 years. Risk management framework that I mentioned, we have a very strong risk ma nagement frame when it comes to customer credit risk assessment in terms of valuating the customers and their background practices for setting up credit limits, et cetera, now is business legality to understand and align the contracts with terms and conditions. We have a very strong m etal risk management framework. So we are insulated with the volatility in the price of aluminum and copper because the increase and decrease gets passed on to my customers.

And also on the forex and interest rate management, we have processes and metrology pace to hedge the forex and interest rate. And this actually forms an integral part of the customer pricing to ensure that costs are completely passed on to the customers. So these are the few extracts, which I thought were relevant. Of cour se, the detailed presentation is already

Apar Industries Limited

February 15 , 2023

there in the website, but some of these can help you to send the floor for this call. So with that, I open the floor to questions from your end.

Moderator: Sir, we have a question from Mr. Dhiraj Sachdeva from Roha...

Dhiraj Sachdeva : Just wanted to do your conductor business had probably one of the highest margins EBITDA per ton at 50,000. And you mentioned about the premium products at 44%. So basically, what is this driven by? And whether the export market is stronger and whether it is sustainable or the correction in steel prices has led to this kind of number in the quarter gone by or just an element of softer freight cost as well?

Management: There are multiple things that is happening in this new conductor division, especially in the 9 months of FY '23. One is that our premium product range has been close to half of the business. And it always used to be there in the last 2 years also. But the other fundamental change that has happened is that the non -premium product, our share of exports is high. So we have been exporting most of our non -premium product to the market, as I said.

And that also is happening because the structural growth drivers are happening in some of the developed countries in terms of spend on infra, spends on renewables. China plus one strategy act to be helping us, people need a reliable repudiate vendor apart from the China market there. And suddenly, what we've been saying is that there's a good amount of opportunities in the export market. So we are actually tapping those opportunities and giving us a much higher pricing and margin advantages. Of course, there are some tailwinds in terms of freight and steel, but the larger part of this increase in margin is basically due to the exports going up in this division, which is actually giving us a higher margin there.

Apar Industries Limited

February 15 , 2023

Now going forward, what we feel is that on some of the structural changes that is happening globally, it's not going to be a temporary phenomenon, especially when you look at signable and no infra spends and your China plus one , etcetera. So these largely as we see here, it's going to be there for a considerable period of time. So as long as these drivers, these geopolitical issues than macro

environment continues, definitely, this is going to be benefiting for us, and we will see margins are now at a healthy number, which is not only my premium product giving a higher margin but also my non -premium product giving good margins.

Now to what extent the margins will get driven by each of these structural changes, we'll actually time will tell. But clearly, we feel that on the short term, this moment and definitely will continue. And even for a long term, because of our transformation that's happened and the product mix has changed, clearly, we are seeing that EBITDA, which used to be about INR 10,000, INR 12,000 per metric ton now a couple of years ago. That base definitely would have gone back now to about 25,000 close to per metric tonne. Plus as and when we see this structural changes and those tailwinds coming up in terms of orders from overseas market faster delivery times, China plus 1.

That will be an incremental to this baseline margin of 25,000 per metric ton. The only thing is that we can't give the so high margin that we've been getting now in future because in future , we don't know how the policies are going to change. But as you see today, with some of the structural changes are likely to continue. These are not likely to completely turn the reverse way in the short term. So as long as these structural drivers continue, our EBITDA margin would be consistently on a higher side.

Apar Industries Limited

February 15 , 2023

Dhiraj Sachdeva : Yes. So what should we assume? I mean broadly as a rough range on a

per ton basis.

Management: So if you see TD December, we are close to about 40,000 per metric ton.

And in the very short term, which would be about a 3 months, 6 months, we expect the margins to continue about 30,000, 35,000 per metric ton.

And even in the long term, we feel that, as I said, if you're going to put a model for 5 years, 10 years, now the baseline would definitely be 25,000.

But now as these structural changes are going to happen overseas, our margins will definitely be on a higher side that we have been now getting on a YTD basis or not short-term basis that is there. But we clearly look at the baseline, and then we see that how all these structural changes will impact our EBITDA. So directionally, we'll see that momentum continue the long-term point of you.

Dhiraj Sachdeva : So this first 25,000 has become INR 40,000 can we say that because of the structural changes that you mentioned?

Management: No. So I would say that because of the transformation journey that has happened 10,000, 12,000 that used to be there, that has been on 25,000.

And because of all the structural changes that we've been seeing here, my EBITDA in the 9 months has been close to about 40,000 there. Of course, it has some tailwinds in terms of the freight and steel as you see, but also a large part is because of the customer mix has changed, my export proportion has gone up, my premium products has gone up.

So those all have been they're driving the business for the last time. And as you see things going up in the future, it depends on all these tailwinds here also the stratas that is happening. And therefore, we feel that the baseline EBITDA, we can safely assume to be about INR 25,000 per metric ton.

Apar Industries Limited

February 15, 2023

Page 16 of 28

And then some of these benefits coming up, it would be add-on to this number.

Dhiraj Sachdeva : Okay. Sir, on the Cables business, again, we had a very strong growth in the export market. Again, given what is happening on the export market, can we see that this is also sustainable as a trend in terms of growth or the sales volumes that you're talking about?

Management: Yes. So cables, we feel it would be sustainable in the future also because our addressable market in the cable is much higher. And we are looking at about 25% to 30% growth

in value terms over the next 5 years or so.

Clearly, we will have that visibility there. And what is also driving this business is always US market and Australian market for metro projects and all the infrastructure spend there, which is clearly driving this market.

Clearly, we are able to see that momentum continue. If you look at last 2, 3 years, we are about 1,200 2 years ago, gone to INR 2,000 crores. This year, we'll be close to about INR 3,200 crores. And from there, we're also looking at about 25% growth year-on-year basis consistently...

Dhiraj Sachdeva : So margins should stabilize around 11% in Cables business?

Management: Margins, we feel it will be double digits. So it used to be double digit, even pre-COVID times. During COVID times it came back to mid-digits and if you see every quarter is consistently increasing. Q3 had closed about 11.8 percentage and YTD is about 9.8%. So we feel that it will clearly be in the double digit early double-digit numbers. And with all economies of scale, a long term, it should clearly look at from that level.

Dhiraj Sachdeva : And just last thing on the -- did we have experience on the specialty oil realization and some inventory losses?

Apar Industries Limited

February 15, 2023

Page 17 of 28

Management: So specialty oils, you actually have to see the number over a 12-month period because oil is the only commodity in our basket that cannot be hedged. So what happens is that in terms of high oil prices, depending on what costs you procure the inventory, the margin change. So if you look at the first quarter of this year, we had a very high profit. So though we talk

about INR 5,000 to INR 6,000 per kl, in the first quarter, we have close to about INR 9,000 per KL because oil price selling prices were high and the costs were low. As oil prices costs went on to increase. Your second quarter and third quarter selling price actually came on the cost for size. So you see just about lower margin in the Q2 and Q3. Now as you liquidate all this high cost inventory, again, you come back to your normal average about INR 5,000 to INR 6,000 per kl. So if you see YTD December, we have close to about INR 5,000 per kl, which is what we have been guiding. And in future also, we look at 12-month guidance about INR 5,000 to INR 6,000 per kl.

Prasheel Gandhi : Sir, first a very basic question. So could you highlight the difference between a conductor cable and a wire...

Management: So conductors are without insulation when you look at some of the highways and road outside. If you look at all the towers, it gets connected with a black string, that's what is called conductor, which is without insulation. So it's just aluminum conductor made from aluminum ingots, and there's no insulation over there.

Cable is where there's an insulation. So on the cable -- every cable as a conductor, it could be at the aluminum or copper. And on that conductor, if you do an insulation, then you get all these cables. So you can see cables are for some of the high-end applications like specialized, all these industry

Apar Industries Limited
February 15, 2023

Page 18 of 28

power cables, which go underground or are shipping or defense or railway where different kinds of cable application goes over there.

Wire is something which is now you use inside your house and building wire, which is a very thin wire which is there, which also has an insulation. So every cable will have insulation, which actually the products perform or this current and over there. So even if you touch a cable, you don't feel that shock or something, but the conductors never has an insulation. This is a bare conductor. So for long distance transmission and if you look at over the mountains or the railways, which are overhead, everything goes through the conductor there.

So you don't need to protect that because it's beyond the

reach of human

person or the traffic that goes by. But all the cable would be all your underground and now even if you touch, there is no risk. So that's the very broad difference between conductor, cable and wires.

Prasheel Gandhi : Question on volumes of our conductor business. So our volumes were somewhere around 183,000 during FY '19, but they have dipped to somewhere around 107 during FY '22. And this year, we are most likely to cut somewhere around 140 kind of a mark. So first thing is why there was a dip. And second thing is what is the outlook in terms of volumes for the conductor business?

Management: The dip has actually happened because the product mix has actually changed. So what used to be that ACSR conductors, it used to be very heavy conductor. So the conductors can be measured either in kilometers or metric ton. So you need so much kilometers to cover like from one tower to another tower if you take X amount of kilometers. The earlier type of conductors had a higher weight. So the weight of the conductors was much higher as compared for the kilometer which is there.

Apar Industries Limited
February 15, 2023

Page 19 of 28

As we have been premiumizing our portfolio as we have been diversifying our product mix to much profitable products, the weight to kilometer ratio is much less. You don't need for the premium products, you don't need the same amount of weight for the same kilometers as was needed in the old conventional conductors there. So over time, as we've been premiumizing, diversifying, the weight that is needed for this conductor is much less than what it used to be earlier.

At the same time, these premium products are having a much higher margin than what the old product used to have. So even if you see the volume getting dipped from what it used to be 1,80,000 to 200,000 earlier to 110,000 last year. My proportion of premium products has gone up. And therefore, even with that less volume per volume tons, you are able to get a higher margin per metric ton. That was the first part of the question.

The second part, in terms of going forward, we are looking at about 10% to 15% growth in the conductor volume over the next few years.

Prasheel Gandhi : So sir, secondly, in the opening remarks, you highlighted that a lot of demand for non-conventional -- sorry, conventional is coming from the export region. Is there a possibility of exporting high premium products into these export regions? And thus, our realizations could go even higher?

Management: So we -- so as of now, we are getting good demand from the non-premium products there as we see the requirements of customers, if there are opportunities, we would even be exporting the premium products over there. Currently, largely, we have been exporting premium products to neighboring countries to India. But if there is demand potential coming up, we will be even doing that...

Apar Industries Limited
February 15, 2023

Page 20 of 28

Prasheel Gandhi : Question was regarding the cable segment. So is it possible to give a broad revenue of subsegment of the cables in terms of, let's say, LDC and the other, what would be the revenue? And what was the margin profile for each subsegment of cables would look like?

Management: So LDC is something that we are focusing a lot now currently, it is very less about this INR 120 crores both last year and this year, we're talking about INR 200 crores, but it's going to be a very specific focus area as you saw in some of the slides that I presented earlier channels that we're developing our distribution present retail presence that we're developing. So they still grow from INR 200 crores in this year to about INR 500 crores a couple of years down the line.

And then broadly, we have the elastomer cable, which is all the specialized cable, which is about some 25% to 30% of our total cable business. OFC business

is about 10-odd percentage and the rest would be largely this power cable, which is there for domestic as well as exports. Now the margins, probably what happened is that because these are all specific order base depending on requiring the customer, the margin profile in different things would be a different.

So each of this, it all depends on the requirements of the customer, the application which it is used. So it's very difficult to give a particular view about how much the margins will be for each of these business verticals.

Prasheel Gandhi : A question in the LDC part of the pie. So we highlighted that we have expanded to 13 states and our reach has been increasing exponentially. But during the call, we are still guiding for an annual addition of around 1.5 billion of top line. Don't you think there should be some proportional increase in the top line from the LDC?

Apar Industries Limited
February 15, 2023

Page 21 of 28

Management : LDC, you are talking about INR 120 crores going to INR 200 crores this year as we have been expanding this. So this increase is happening only this year. Earlier, we used to be only in two states, and largely the increase in other 13 states largely happened at the beginning of this calendar year. So as we see the channels getting up, channels getting established, the numbers will grow in the future.

Prasheel Gandhi : But don't you think I'd be higher than kind of a 1.5 billion annual addition. So that is what we have been guiding, right, on the call. Annually, we would be adding 1.5 billion of top line on the Cable so, don't you think

the growth would be higher?

Management : So we are working on all the fundamentals. So we never had these channels in other states, apart from these two states. So a lot of building blocks needs to be created. Once you have that in place, then you'll have a good feel of how the turnover will happen and you need to select the right distributor, the schemes and the promotion, the awareness has to grow up. So it cannot be just a push. As I said, we have a unique proposition in this LDC thing, which the other players in the market don't have on this e-beam thing. So all this has to go in sync. The customers in the demo should increase, the presence should increase. And the collective view is what will drive that business. So we are looking at about INR 100 -odd crores.

And now if you're able to do well better than this. So it will happen. But once you create all this infrastructure in place that is a building block for the numbers to grow. But clearly, we are focusing a lot on this. As you've seen, we have a brand ambassador. We are going on air in terms of ad that is happening. There's a special specific team within Apar who are looking at the LDC business. So all these fundamentals will help us to drive growth in the future as well.

Apar Industries Limited
February 15 , 2023

Page 22 of 28

Prasheel Gandhi : So just a follow-up on that. So we are in 13 states. So is there a target of adding more states by end of FY '23 or end of '24?

Management : Yes, we will, our intention is to go beyond that as well also to ensure that the 13 states where we are, we'll increase our foot presence over there. So broadly, we look at increasing that presence in the next year as well.

Prasheel Gandhi : And the focus would be largely in the urban or the Tier 1 cities of the state and not the Tier 2, Tier 3 cities?

Management : Initially, yes, but of course, as we want to focus this so everything will just progress once in that -- Kerala will then go into much more stage. We have already present for a long time. So initially, it would be the -- this phase and then over a period of time, we would be increasing out there.

Prasheel Gandhi : And secondly, on the acceptance side. So you have done a decent enough sales, and you are so how is the customer acceptance for this e-beam

house

wires? Is it better than your normal housing wire? And second, on the pricing front, so how would the pricing be compared to a normal wires pricing differential? And is customer willing to accept that?

Management : Yes. So clearly, customer response has been very positive, because the customer look at safety. And they say that this is a wire – it can carry 50% more current. It has a 50-year life, its melt resistance. So, would not like to buy, consumer who looks at safety. I know once the buyer wants nowadays and all your housing wires are concealed. If anything happens, the wire, no one is going to break your walls and everything and relay all the wire. So he's going to put just wire once a time. So you'd like to put the best wire there.

And if it has these three unique propositions for safety point of view, everybody would be keen to do that, knowing that your electricity

Apar Industries Limited
February 15 , 2023

Page 23 of 28

requirement the house will go up with work from home coming out with all these robots and all this technology coming up, the requirement will go up. So if the wire has a 50% more current carrying capacity as compared to other wires, we feel that acceptance is much higher end, for the demos and the electric needs that we do. And if we show this to the ultimate consumer, there are clearly 9 out of 10 chances that the consumer will end up buying this product. So that has been our feedback based on the demos that we have been showing to them.

Prasheel Gandhi : And secondly, is the focus will be more of a B2C or a B2B kind of like, would you be open to providing to this big residential projects? And hence, you would go for the -- or what would be the smaller B2C kind of

an approach?

Management : It will be both. Both will be there.

Prasheel Gandhi : Secondly, on the defense cable, so could you throw some light on the defense pie? Because, and is there an export opportunity in the defense cable possible?

Management : So we don't give out those numbers specifically how much it is. But now that is something which we will be doing in this Indian market as well.

Largely, it is India currently, and that will be our focus in future as well.

Prasheel Gandhi : On the demand side from the defense and the Navy, so how has the demand outlook been? Could you throw some light on that?

Management : It has been increasing and also the application has been increased. So there are very specific requirements about all this cabling that gets into specialized applications. So it's not a product, but it is a solution around it. So we work with all these sectors to get this product as per their requirement and which has been our motto as tagline is Tomorrow's

Apar Industries Limited

February 15 , 2023

Page 24 of 28

Solutions Today, which shows that we are not only supplying the product but also help to give the entire solutions to them. So we will see this demand going up in future years as well. Now we are getting good traction on all the specialized sectors as well.

Prasheel Gandhi : Sure, sir, you have also highlighted that you are trying to grow your presence in the nuclear cable space. So what is that? And could you throw more light on that?

Management : So we look at all the sectors. As I said, if you look at the sectors, we are there into nuclear, we are there into mining, shipping, defense, wind mills, sail ways. This all comes under the bucket of elastomeric cable, which is all flexible cable. Which is different from power cables, which is there. So we look at all this, we don't have any restriction in terms of application. We have the widest range of cables available and nuclear is also forming part of now the clean energy thing under the renewable thing. So we have a presence there also. And depending on the applications and customer requirements, we will be able to design the product and service.

Prasheel

Prasheel Gandhi : So on the competitive intensity, so do you find competitive intensity far less in these categories of, let's say, defense and nuclear cables? Or is the competitiveness similar? And where would be your competitive edge from the APAR?

Management : So in the elastomeric cables, clearly, we see competitive intensity less over there. We are there into wide sectors that are there. And also, as we've been saying that it comes to solar and wind, we are the market leaders here in India. So wind we have close to about 70% market share, Solar will be close to about 40 -odd percentage. So on the specialized elastomeric cables, the intensity is less, competitive intensity is less.

Apar Industries Limited

February 15 , 2023

Page 25 of 28

Prasheel Gandhi : And the export, so you were also -- we have been highlighting that we have got a lot of UL approvals, I think, 18 or 19 odd UL approvals and our export contribution in the elastomeric cables has been close to nil. So now post this approval, what is the outlook, particularly for this elastomeric cables. Could you throw some light on that?

Management : So we are exporting this solar cables there. It's also elastomeric cable. So that's something we are exporting to US, and as we're saying that this is the highest, we are highest from India, and this actually takes a long time to get this approval. They're stringent audit and other checks mechanism before we get this approval. So we are very betterly placed when it comes to tapping some of these overseas opportunities or on elastomeric when it comes to the US market.

Prasheel Gandhi : And this would be margin accretive, right? The export pie?

Management : Yes, obviously.

Prasheel Gandhi : Sure. Sir, one thing, if we look at APAR, so, we have been in the high capex phase from FY '16 to FY '22. So what are the benefits that are we reaping? And secondly, any major kind of a capex outlay that we are going to do going ahead?

Management : We're already seeing the benefits of all this capex that has been done in the last several years, the transformation of these conductors, the expansion of cables into the overseas market are all the result of several capex that have been thought much earlier in time. And now we are actually reaping the fruits of all this investment that has happened earlier. In terms of forward -looking capex, we feel that the cable market and the conductor division will need capex for us also, we are looking at close to about INR 300 crores to INR 350 crores of capex over the next year of FY '24 or first
Apar Industries Limited
February 15 , 2023

Page 26 of 28

half of FY '25 to cater to the increased demand that we are seeing in the overseas market and Indian market.

Prasheel Gandhi : Just questions, a couple of questions on lubricant side. So we have done a partnership with a global brand, any. And would you throw some light on what color is the partnership, what partnership is there? And what are the benefits that we are getting out of this partnership?

Management : The market is brand ENI, which is licensed from Italy. And we have this retail presence in auto lubricants with them. So we supply all our ENI products under all our vehicles, engine, oil and lubricants under the brand name of ENI.

Prasheel Gandhi : And sir, what would be our market share here? And which state would we be present in in the auto lubricants side?

Management : We are present across India on the thing. We have a pan -India presence there, but our market share will be less because lot of these other big players are also there. So we'll be way behind some of the other leading players in the industry.

Prasheel Gandhi : And secondly, on the exports, is there a possibility that we -- for export of this auto lubricants?

Management : We are exporting even currently.

Prasheel Gandhi : So what percentage would be the export?

Management :

Currently, it could be about, I need to check the number exactly. I don't remember it offhand. Maybe I'll get back to you separately on this.

Prasheel Gandhi : Sure, sir. And sir, just a final question from my end. For APAR, if we want to look, if you want to see APAR from next five, seven or even a 10 -year
Apar Industries Limited
February 15 , 2023

Page 27 of 28

horizon, so where do you think the next leg of growth will come? Is it for the cables? Is it from more premiumization of conductors, or is it some more demand for the oil?

Management : So clearly, we see growth coming from cable and conductor division. I have talked about those structural changes that is happening overseas, which will need a lot of cable requirements lot of conductors as well. So we clearly see growth talking about 25% to 50% value growth in cables talking about 15% growth in conductors, do you still have a premium share will export share, which is highly profitable for the business as a whole. Clearly, these two divisions would be the fast -growing divisions for us. And even if you look at oil division, the transformer oil which is about 1/3 of the business will also grow in line with the transmission networks and infra-spending, because you need to transform oil for all the transformers and you need transforms wherever you want to put the transmission line. So clearly, there is two out of three divisions and maybe 1/3 of third division all stand to benefit with all this macro level, geopolitical and the structural changes that is happening in the global in the present times?

Prasheel Gandhi : So just a follow -up on that. So basically, if we are seeing more cable division growing faster than the company, so two things could happen if

my understanding, correct? Our overall business would become a very margin accretive. And secondly, would it be safe to assume that share of cables could go north of 50% somewhere five, seven years down the line?

Management : Yes. And sure, so you've now put all these growth numbers there, you'll be able to know how the mix changes, both in terms of top line and bottom line. And if you look at our investor presentation, which is there on the website, we have included some more parameters within oil, cable and conductor, there EBITDA to PAT ratio and EPS, how it is coming. So once

Apar Industries Limited
February 15 , 2023

Page 28 of 28

you're able to put that numbers in place, you will see that the share of cable, how much it is going from now and five years down the line?

Prasheel Gandhi : Sure, sir. Thank you very much, sir, for patiently answering all my questions, and I wish you the very best.

Management : Yes. Thank you.

Moderator: As there are no further questions, we shall now conclude this call. I shall once again thanks the management of Apar Industries. Mr. Ramesh Iyer and all the participants for giving us their time. Thank you so very much, sir.

Management : Thank you so much. Thank you.

Call: Feb 2023

SEC/1502/2023 E-Filing February 15, 2023

National Stock Exchange of India Ltd.
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: The Manager, Listing Dept.
BSE Ltd.
Corporate Relationship Department,
27th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Dept.

Sub. : Submission of Transcripts of Nuvama India Conference 2023 made on Wednesday,
February 8, 2023.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations,
if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"),
as amended from time to time

Dear Sir,

Kindly refer our letter no. SEC/0802/2023 dated February 08, 2023 w.r.t. submission of link of Audio Recordings of Nuvama India Conference 2023 made on Wednesday, February 8, 2023.

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are now submitting herewith the transcripts of the Nuvama India Conference 2023 made on Wednesday, February 8, 2023 (Session 1 and Session 2).

The aforesaid transcripts are also made available at the website of the Company at www.apar.com.

Kindly take a note of this.
Thanking you,

Yours faithfully,

For APAR Industries Limited

(Harishkumar Malsatter)
Deputy Manager - Secretarial

Encl. : As above

APAR Industries Limited
Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India
+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com
Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India
+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

"APAR Industries Limited
Investor/Analyst Group Meeting

"Nuvama Conference Call "

February 08 , 2023

MANAGEMENT : MR. RAMESH IYER – CFO
MR. VIVEK DIWADKAR – EX. CFO &
FINANCIAL ADVISOR

Apar Industries Limited
February 08 ,2023

Page 2 of 31

Management : Good morning, everyone. Welcome everyone here. To begin with I will just give a brief overview of the growth drivers and the couple of things I will just spend some time in terms to see where growth opportunities are there for the company as a whole followed by division specific deep dive in each of the division that we have. So, fundamentally we look at there are three broad growth opportunities that we see in current times. One is this spent that is happening across the globe on renewable space. So, there is a huge amount of focus on solar installation, from the wind installation and clearly we are able to see a high amount of spent happenings on the renewable space.

For us how does it impact us is that if you look at this solar or wind installation you need cables, you need conductors and also you need part of the oils that we have. The cables are largely used for generation at different places during the solar panels and also in the wind installation and the way the renewable happens is that the place of generation is one and the place of consumption is different. So, you need to transmit the power from one place to another place where you need enough conductors in place. So, that is other division that we have and with all this transmission lines being setup for this kind of electricity transmission you need transformers the step up the transformer and the step-down transformers and one of the ingredients of the transformer is also your transformer oil so we are present in the transformer oil.

So, the entire space of renewable is likely to create good amount of opportunities for our business for the product lines that we operate into it and in India we are the largest when it comes to the renewable space so poised to tap opportunities coming our way from the global front as well . The second big area of growth developing infrastructure spent that it is

Apar Industries Limited
February 08 ,2023

Page 3 of 31

increasing. We see many countries have increase their spent on infrastructure and wherever you see more infrastructure happening you will see lot of power getting consumed, you need lot of electricity consumption that is happening, you see lot of places where public transport is getting upgraded, we are able to see metro line coming up in countries India for example Australia for example we have been the supplier of cables for the Sydney metro and other areas Brisbane, Adelaide metro is coming up that also we see an opportunity going forward.

So, the space of public transport and infrastructure spent is also in big area giving us a good amount of growth opportunity. We see the act signed recently in the US on inflation reduction, it also talks about infrastructure spent that also plays a good opportunity for our business and division that we have. The third one as we are also looking at is some of the 5G rollout across the globe. 5G and the data centers and the network requirements and safety related issues these actually present us a good amount of opportunity for our cable businesses and not only needs the fiber optic, cable but also need a hybrid cable and copper with it. So, our range of cables and as we deep dive into our cable division how spread it is and how it is able to tap the opportunities coming our way.

So, these are very broad high-level opportunities that we see impacting us, giving us a positive upside into the future. I just take a deep dive into each of our division we have, its data is already shared in the corporate presentation, which is part of our website, but just to take you through we broadly have three divisions, we have the conductor division and we the cable division and all division. If we see on the conductor division what has happened is that we have clearly seen a transformational journey of this division of the last decade. If we l

ook at the division actually started

Apar Industries Limited

February 08, 2023

Page 4 of 31

way back in 1958 as a first division of this company and if you look at even 2014 you are close to about 1,800 crores largely operating in one type of conductor which is the ACSR type conductors and now predominantly in the domestic market.

What we are seeing over the years is that this product was getting too much commoditized with lot of domestic players there and competition pricing there and therefore we felt a need to diversify our product lines and as you see in this transformational journey we have introduced a premium products over the next several years. One of the premium products talk about is the HTLS which is the high transmission and low sag. So, just for a layman to understand what happens is that as the electricity passes through the conductor if you need more amount of electricity to pass through the same electric towers you need a high transmission and places like Mumbai, Delhi, etc., where there is lot of population coming into the city, the requirement that it is increasing now having difficulty write off way because you cannot keep on adding infrastructure for the towers and space is a constraint.

So, how you can use existing infrastructure of towers to transmit high amount of electricity. So, we have specialized into that particular type of conductor which is HTLS conductor which helps us to transmit high amount of electricity within the limited towers that we have and also low sag; low sag is that even if there is a high transmission the conductor does not appear like a U shape because it is down then only you need ground clearance since the people and the transport will be going so it still be straight there,

Analyst : And what about the weight of the cable.

Apar Industries Limited

February 08, 2023

Page 5 of 31

Management: Low sag weight and also the composite core which is there inside so there is a composite core in the whole conductor there.

So, despite a high transmission it is able to remain flat so that is something is one of our key product there and this particular product not only we supply the product we also give a solution to our customers and by solution I mean that the requirement be just to have this transmission line from place 1 to place 2 what will be the design of that thing, how much power outage we need to minimize because in places like Mumbai you cannot go for power outage. So, without disturbing your electricity how do you design the entire system it is all part of the turnkey project.

So, we get into this EPC or power product lines where we are specialist into the developing of the product, the design phase and also we handle

the turnkey solutions for that, managing the labor who are there, who could be about 100 kilometer, 150 kilometers of lines to be laid, it could be above mountains or terrain, it could be about railway station, it could be of highway, etc. So, we have been specializing this particular turnkey solutions for the product that where our product is going to be useful so we do not do other turnkey solutions, but wherever this kind of product is involved that is where we are specializing effective streaming of conductor over transmission.

Analyst: Ideally that was earlier the scope of transmission line it is a ways to procure.

Management : Specialized and the EPC players who are there.

Analyst: Now it is being carved out separately by.

Management : Yes, because we are specializing the product so we do not only supply the products we are also telling them what kind of requirement need. So, for

Apar Industries Limited

February 08, 2023

Page 6 of 31

instance, you need to make sure the transmission losses are minimized and what kind of life that conductor need whether they need 10 years, 15 years, 20 years, 30 years. So, depending on the requirement we design the product and w

e also help them to do that in EPC.

Analyst: And many of these projects are coming up from the private sector or PGCIL also has sort of bifurcated.

Management : For the state electricity transmission company PGCIL and the state here all the states they are not electricity transmission company. So, most of these goes to transmission companies of the state, Maharashtra State Electricity Transmission Company.

Analyst: Because the PGCIL is no longer sort of bringing that up it is a composite contract even that is under TBCB it gives aEPC players so I am just trying to understand then it is largely this EPC capabilities largely given to state.

Management : State Electricity Transmission Company that is where all this contracts were. So, we supply all this products to the transmission companies and the state transmission companies. So, this is not only a product, but also a solution.

Analyst: What is the mix of products and solution revenue in that division.

Management : So, the products we export also to countries like Bangladesh, Nepal and in India we do lot of research. So, a large part of it is service.

Analyst: And you exports these products.

Management : Exports these products, yes.

Analyst: How much would exports be?

Apar Industries Limited

February 08, 2023

Page 7 of 31

Management : Exports overall for the conductor division got 45 %. So, this particular aspect HTL accounts for about 20%, 25% of our total conductor.

Analyst: This 45% of revenue.

Management : 45% would be total exports of the total conductor division.

Analyst: Within conductor division one have to look at your revenues, so how does the revenue how much would exports be roughly?

Management : 45%.

Management : Similar to this HTL as we also have this thing called OPGW. So, for each of this electricity lines it has an earthing wire. Now what also we do is that we put an optical fiber there. So, not only serve the purpose of earthing wire, but also has been data transmission and this product was there by 2017, but recent year in the last two years last year also we have been getting more orders earlier it used to be dominated by China now we have been applying this, this and third element of this premium category of conductors is all your copper conductors and we have been the major suppliers for Indian railways on the copper conductors. So, that has also increased the amount of premiumness which is there in this conductor division. So, this three put together account is what is called the premium portion of the conductor which is about 45% to 50% of the overall conductor. What has also happened in this particular year is that the standard conductors which is our on premium conductors we are seeing a good opportunity in overseas markets. So, in India as I said that ACSR

conductors was getting commoditized and price was an issue and we are not able to get that margin and profit, but if you look at overseas they not only look at the price they also look at the quality, they look at the risk

Apar Industries Limited
February 08 ,2023

Page 8 of 31

framework that we have how are the hedging, aluminum, copper whether we have adequate capacity to meet their requirements, what will be our delivery times, how is the company reputed. So, they not only look at short term pricing, but they look at a whole quality and other parameter aspects and there the nonstandard product the non-premium products which is the conventional conductors we have been exporting in this financial year and therefore what you see in this year if you look at FY22 this entire conductor division has become completely high margin profitable. So, now what used to be only premium products till even last year the non premium products become exported you are seeing the entire margin actually going through what you see in Quarter 3 49,000 per metric ton, 30,000 and 40,000. So, that is what

has completely transformed this conductor division in this financially.

Analyst: So, earlier this standard product you were not exporting?

Management : Earlier standard products were not now we are actually able to tap that opportunity.

Analyst: And how would be the profitability of standard product in domestic versus export?

Management : Domestic is very competitive margin is very less, but overseas as I said what happens not only the product, but also depending on your delivery requirements, the specification, the margins are much higher than domestic.

Analyst: Any reason we just started this year and we have been present in this.

Management : So, as I said this is a transformation journey. So, we are actually seeing opportunity there and also if you see in US as I talked about the global

Apar Industries Limited
February 08 ,2023

Page 9 of 31

infrastructure spent we are actually seeing lot of demand coming up from US, in terms of infra spent going up, in terms of their lines, they have put their lines way back five to six decades old. So, they are also feeling a need to change the transmission lines, they want China plus one that is also helping our country and our business because they want a partner besides China. So, this kind of all policies and therefore what we have been seeing that some of this macroeconomic, macro environment and geopolitical thing are actually benefitting us, look at any renewable spent increasing now. Again, the Russia -Ukraine war will also see lot of demands from European countries when it comes to renewable sources there. So, we feel this as opportunity for us globally with all this infra, renewable spent and over a long period of time it is not going to be around one year or two-year horizon it is typically this kind of cycle of infra spent and we will actually see over a 5 year and 10 years point of view.

Analyst: And from a cost perspective , how do you compare globally say versus China?

Management : So, we are competitive in terms of China the prices are most competitive. The only difference used to be on a duty rates, but with all this FTAs that is being signed in different countries we are almost at parity. Today, Chinese imports into US will be much higher than what India imports. So, apart from that from cost point of view used to be parity, but what used to make difference is on the duty with all this China Plus One and FTA that is getting more price.

Analyst: The domestic business a China exports do they come into India or they can just sit?

Management : No, they cannot.

Apar Industries Limited
February 08 ,2023

Page 10 of 31

Analyst: Why is that?

Management : In terms of China , Indian products are not there. So, Modi Government wherever India can participate in overseas country that is where they can also participate.

Management : They are not competitive also; they will not be able to compete with us actually . The scale with which we are having actually as far as the conductors are concerned.

Analyst: Typically, 45% of sales is exports . How much of that is standard products?

Management : Current year almost about 85% would be standard products.

Analyst: This is in 9 months or FY22?

Management : Maybe 25 % to 80%.

Analyst: Because most of the standard products good for export it is just that few proportion or HTLS goes to that too also goes to Asia, Bangladesh in supplying?

Management : Bangladesh and Nepal.

Analyst: This is a function of the market making effort that you have done over the last few years or this is you think that there is this a one off sort of two year kind of opportunity?

Management : We had worked on this market not that conductors were not getting exported, but they were getting exported to Africa and these type of countries actually and now we were working on North America for long

Apar Industries Limited

February 08 ,2023

Page 11 of

31

time actually. First we got the break in the Canada two years back actually we exported to Canada and now this year the US market has opened up.

Management : But this product if you see if you look at this journey what has changed is that we have always been thinking ahead of time so now things like HTLS, OPGW copper railway conductors the transformation journey has started much before so that when opportunities are there we have the product available for high transmission because this like Mumbai you need high transmission there, fewer products which is already ready. So, even if you look at electrification of Indian railways most of the electrification has happened, but what we already have a product ready is for our fast bullet trains, high speed trains. So, we have been working on this much before and therefore if you look at our motto which is tomorrow solutions today it says that what is going to be anticipated in customer requirement, solutions meeting it you be ready today. So, whenever there is an opportunity you have that product over there. So, all this innovations has been there in the culture of Apar and as we have seen in some of the earnings call it has been happening over the last decades. So, we look at customer requirements, design the product based on that and ensure that our product actually needs the requirements of the customer.

Analyst: What is the key difference between your cables and conductor business versus what a KEI or Polycab were during that space?

Management : So, the mix would be different Polycab and KEI they are completely in cables and they are also they are in the power cables. If you look at Polycab they are largely into power cables part of it, but if you look at our range of products not only in power cables and we are also into the specialist cables which is now wind cables are there, the cable which goes into special power industries like mining, shipping or defense , etc. Polycab also has a

Apar Industries Limited

February 08 ,2023

Page 12 of 31

high share of light duty cables which for our cable we are just small player it is about 100 crore.

Management : They are more into house wire actually Polycab is more into house wire Polycab, KEI , etc., and they are not into conductors and they do not have these elastomeric cables, flexible cables. So, we have elastomeric cables plus we have the E-beam technology also, electron beam technology.

Analyst: Can you talk about margin technologies space since you have more premium than more standard products?

Management: That is something it is very difficult to put a number because it all depends we are completely into mid to order requirements, it depends on the specification of the customers, the delivery times, the component of aluminum, copper, etc., that actually determines things. So, it is very difficult to get a thumb rule. So, within this division there could be no 100s of different product lines which are completely, but if you look at a 12-month horizon you will get an indication of what the margin profile is there. This year we have seen a fundamental shift in the few of the products, not only the premium products contributing a share, but also your exports gaining. So, if you look at a couple of years earlier we were looking at some 10,000 to 12,000 per meter which now we are looking at some 40,000 per metric ton.

Analyst: What could be the sustainable number in your sense?

Management: So, what we feel is that the momentum is likely to continue clearly in short term basis it is likely to continue with all this geopolitical macroeconomic, tailwinds actually benefitting us. Now what we are guiding is that even if you look at a long term point of view if you eliminate all your tailwinds

Apar Industries Limited

February 08, 2023

Page 13 of 31

which is macro geopolitical, etc., because of the way our product mix has changed clearly

we are looking at 20,000 to 25,000 per metric ton on a pay scale basis and all these favorable macros and geopolitical things if it continues where this China Plus One and your infrastructure spent globally there, delivery times for us clearly it will all be an upside and now looking at the current thing we feel that some of these things are likely to continue because all this micro economy.

Analyst: So, out of this 4,900 -crore order book in conductor business how much would be service versus product and what is generally the execution period for this?

Management: Service will be in the same ratio like service would be about 20 odd % will be that HTLS product range which we have out of that some of it gets it service, some of it goes with a product.

Management: 44% is premium products and service goes with two things actually one is the high efficiency conductor and another is OPGW their execution is also there project is also there.

Analyst: But an execution timeline would be like say FY23 order book?

Management: It is a continuous process it is not that you will get the end of it. So, they are all milestone basis.

Analyst: I am generally saying if you get a 1,000 -crore order what is the typical execution period you get a 12 month, 15 months

Management: That depends on the area, now what happens is that from here to let us say you go to 150 kilometers and then for each line you need to remove the

Apar Industries Limited

February 08, 2023

Page 14 of 31

conductors and put the HTLS and get your write off, ensure power outage is not there and then it keeps on happening.

Management: Roughly 8,400 crores will be 7 months order.

Management: But service level will take its own different time, but overall, this should be 7 to 8 months. So, that is what we see on the conductor addition and then you go to this cable division here as you see in this slide we are there into power cables, we are there into house wire and cables, we are there into elastomeric cables which is all the special application cables going in to solar, wind as I said defense, shipping, etc., rolling stock, railways and then we have this EB and irradiated cables, so we have OFCs and we have a specialty hybrid cables. So, here we see multiple growth driver within this cable division. First is as I was talking about this the renewable space where the largest domestic player when it comes to renewable.

Analyst: Who would be the other competitor?

Management: On wind we have this universal cable, in solar they would be other players wind is entirely universal and now we are having somewhat 70%, 75% market share on the wind segment and we have approvals from global

customers who are there in investment.

Analyst: And is there an import here or it is largely offshore domestically?

Management: No major requirement.

Analyst: And in terms of solar what would be our market share in other players?

Management: About 40 odd %.

Analyst: And other domestic player here?

Apar Industries Limited

February 08, 2023

Page 15 of 31

Management: Should be around I do not have the exact number.

Analyst: Can you just help us with some names?

Management: Solar would be a Polycab, but we have still have 40% market share in solar in India.

Analyst: Do we see any imports or again it is domestic?

Management: Domestic only

Analyst: You have Polycab or KEI entered later or they were there all along, but you had a first mover advantage ?

Management: They entered later till they are not having the E-beam Technology.

Analyst: And advantage of E-beam Technology?

Management: So, this E-beam how it works is that there are actually three advantages of this E-beam . One is that it has a 50-year life. So, we have this E-beam for our power cables, for solar cable and also for the house wire. So, in the house wire what we say that it has a 50-year life of the product

which means

that throughput install in your room and 50 year you do not have to worry about it. It has as capacity to carry extra current by 50 % which means if the normal wire can carry 70 degrees this wire can actually take a load of 105 and this actually we tested and as part of various demos to our customers and third thing is melt resistance which means the insulation takes much more time, much hours longer to melt.

Analyst: It will not get short circuit.

Apar Industries Limited

February 08, 2023

Page 16 of 31

Management: Short circuit resistance and this technology we are the only company to have in the house wire segment which currently we are expanding. So, we have hired a brand ambassador to promote this particular product. We have been having this product only two states in India Kerala and Gujarat. Now we are expanding to others Southern states we are expanding to West, we are spending North and the East and the unique differentiated proposition we have is this E -Beam product.

Analyst: In terms of pricing how different we would be?

Management: It would be about 4% to 5% higher than that is it, but in terms of safety features it is multiple rights.

Analyst: So, any reason why other players has not been able to crack this product?

Management: We do not have as of now.

Analyst: There is E-beam Technology, they are not having the E-beam Technology.

We were already having E-beam Technology.

Management: And they develop that sort.

Management : People are trying actually in India anybody is successful actually 10 more people will be after it and nothing is secret.

Analyst: So, this technology actually helps us to become a differentiated?

Management: But it takes time we will have the first mover advantage so they have the approach.

Analyst: What they have is E-Beam?

Apar Industries Limited

February 08, 2023

Page 17 of 31

Management: So, E-Beam and radiation thing which the radiation happens and when pass on the cable the properties of the cable gives this differentiated benefit that we have, but we have 50 year life.

Management: Inside there is a conductor and on top there is an insulation is there. So, for insulation there are two technologies, but the original technology is the

steam technology through steam technology actually they will compress the insulation which is there and now this through electron beam actually the electrons will be bombarded and the cable will be pass through that actually. So, through electron beam the insulation will be made because of which what he said that three properties which are there, melt resistant or we can carry 50% more power.

Management: To consumer what it comes since the complete safety I can show you a demo that of a normal cable claim happens, melt happens and this wire will not happen. Clearly 9 out of 10 people will opt for this because you just do wiring once in about 10 years, 15 years and you do not want to change this structure of your room because of something happening and if this property is giving this benefit everybody would like to run and therefore if you see our we have been giving all this demos to various electrification doing difference that you see here. The idea is that if people understand the benefits of this it is a high probability that they would buy it.

Management: What happened when we took over this UniFlex cable which was a sick company way back in 2008. So, that time we had an option the turnover of the company was only 100 crores and it was having power cables, elastomeric cables , etc., then the most of the competitors like Polycab, KEI , etc., they were going for the EHV side actually the high voltage side. So, we said that lot of players are going on that side we will go on the specialty
Apar Industries Limited
February 08 ,2023

Page 18 of 31

product side. So, that is why we went into this elastomeric cables actually

which was being used by railways and railways were using elastomeric product cables with the old technology and they were just shifting to E-beam Technology. They wanted the E-beam Technology to come and they were just shifting. So, we thought that we would set up the E-beam and so that is how we set up first two E-beam and now there are four E-beam are there actually electron beam machining. So, we bought it for elastomeric cables actually and now we are using this for other products also.

Analyst: People can elastomeric cables?

Management: They are flexible cables.

Analyst: Are there other Indian players who are competing with us?

Management: Radiant is there actually. It is a closely held company.

Analyst: And what are the revenues now from this E-beam Housing segment and when did you start and how will we scale up with?

Management: We were about started three years ago started with 20 crores it went to 40 crores, 60 crores last year we were about 120 crores again it was largely into Kerala and Gujarat. This year we are able to see about 200 crores.

Analyst: This year we will be doing 200 crores next year we will be doing 350 crore.

Management: This is the house cable business.

Management: If you see from March 22 my distributor presence has gone from 19 to close to 100 retail from 300 to 1,500 we were largely into two active states in March now we are into 13 states. So, we are actually setting up all this
Apar Industries Limited
February 08 ,2023

Page 19 of 31

infrastructure teams, channels has been getting expanded and this will be a continuous journey over the next three, four years to build this channel and then supply the product.

Analyst: Large margin difference between like normal cable versus E-beam you see the pricing difference is 4% to 5%, but is there all coming?

Management: It will come to the bottom line, but currently we are also into this expansion mode you will have your teams getting separate team for LDC, but eventually the top line difference is actually will go to the bottom.

Management : And we are trying to give differentiated products .

Analyst: It will be showing not including the EBITDA, but it will be gross margin.

Management: So, even with the EBITDA what happens a lot of this variable cost will come down and the scale goes up. Today this segment is of 100 crores I am talking about 500 crores and possibly few years later it will be 1,000

crores. We will actually get economies of scale.

Analyst: Sir your scale up on your cable division has been very strong and outside conductor and business, so would you differentiate between first of all how sustainable this is and regarding how much of this is one-off because of some projects that would have come on stream because it is pedigree and how much of this it will keep on flowing because for once we know that there are a lot of projects that are going to come in the segments that you focus on renewable and solar, so I just wanted to understand why the sudden jump?

Management: So, you know the cable if you see there is nothing one-off in the entire cable business and we are growing continuously there. What is happening

Apar Industries Limited

February 08, 2023

Page 20 of 31

is that we were just a very small proportion when it comes to exports one year or a couple of years before. Now we are actually seeing a huge opportunity in the export market of cable and there also as I said largely because of we practice on renewable, in infra spends, etc. We are actually seeing a good opportunity there in the export. So, we are the largest from India when it comes to the certificate of compliances for supply of cables in the United States because there is a UL approval you need and we have the maximum certificate of compliances for supply of cables. So, we were almost negligible supplying in US even till last year half year one which is H

1 of FY22 and now we have been the highest in terms of supply to the United States. So, that is where we see the opportunities clearly growing and we are adding capacities for cable business. So, this run up that you see is all because there is no one-off here, but it is completely because the market and if you look at all the three divisions the addressable market in cable is much higher than even the combined of oil and conductors. The cable you are actually as we have been talking in earlier calls the United States imports about 20 billion cables in a year and if you look at our size it is just about 1,200 crores. So, the opportunity is immense and we have a wide range of products there to tap this opportunity. So, we do not see this as a one-off we are seeing this journey over the next decade and that is the reason behind stepping up CAPEX independently.

Analyst: Could you just help me with the CAPEX how was it and how is it going for utilization?

Management: CAPEX if you see couple of year earlier used to be average around 100 crores, 125 crores at a company level and now this year it is going to be over 150 crore and likely to be about 300 crore to 350 crore with the next one year to set up facilities for cable and conductor division.

Apar Industries Limited

February 08, 2023

Page 21 of 31

Analyst: In terms of volumes like how many cables can we produce that ways?

Management: So, our asset turnover would be about 7 x to 8x depending on the type of cable and conductor.

Analyst: It is company level asset?

Management: Company, but largely it will go into the cable and conductor. For our oil business you are not likely to spend a big CAPEX already have capacity and we maintain, but large part will go into the cable followed by the conductor division.

Analyst: This 350 crore will be spent at FY24 or spread over a couple of years?

Management: Large amount will happen in FY24 and the capacity will be ready by end of FY24 and 25.

Analyst: And what would be our current capacity utilization in cables and conductor?

Management: Current cable will be about 80 %-odd.

Analyst: And peak can be?

Management: Peak can go to 100. So, now when talk about peak is 100 they know that is where ET will come. We have very comfortable at least for this FY23 and '24 by this time we incur the money on CAPEX it will be helping us for FY24-25.

Analyst: And here what % of our revenue is cables overall?
Apar Industries Limited
February 08 ,2023

Page 22 of 31

Management: Cable if you see this quarter has been 50% and it was just about 25 %, 30% last year, but it dumped to 50 % and that trend is what we are seeing going forward.

Management: Demand is driven by the renewable what has happened actually everywhere the renewable is happening because of the ESG program and to bring down the carbon footprint earlier we were not having any market in the developed countries because there the set up was already ready, but these developed countries also they are now moving away from the conventional power generation to renewable. So, everywhere because of the renewable lot of demand is coming up plus the US as you said they are not spent for almost 50 years, their infrastructure was made about 50 years back and we always used to people used to say that now it will come and anything in US has a very big scale. So, that is what is happening US is they had spent five decades ago plus they are also renewable work is going on.

Analyst: Is it fair to say that this jump from 25%, 30% of sales to 50% that incremental 25% is all North America?

Management: Largely America, Australia as I said supplying cables to metro.

Management: You can say around 80% America.

Analyst: In there how do we sort of get our product so while we have the certificate so is it a B2B channel or you directly interact with?

Management : See there the problem is like there are ab

out 3,000 utilities in US out of
that 30 utilities are big utilities and balance 2,970 utilities are small utilities.
So, small utilities actually they take from the distributors. So, we are working with and at present we are working with two or three distributors who are
Apar Industries Limited
February 08 ,2023

Page 23 of 31

there, who are taking product from us and they are stocking in their godown and supplying.

Analyst: And we are not planning to work with large utilities directly?

Management : We will be in second place actually we will be working with large utilities.

Management : Utilities as well as....

Analyst: And how is the profitability overall say domestic versus US like in conductor we saw....

Management : Here also profitability really very big difference is there.

Management : The domestic power part is the same like the conventional conductors of domestic, you know, with competition, price and all those, but some of this domestic specialized application will have a better margin like shipping, navy, defence, rail, locomotives, etc., which comes from the elastomeric range because the domestic part of the power cable would be competitive.

Analyst: How we see overall blended profitability here in this segment?

Management : So, overall cable if you see has been just gradually increasing. Before COVID we already used to be double digit. After COVID it came to mid-single digits and now if you see Quarter 1.

Analyst: 19-20 we were at around 10%.

Management : Yes we were already there now if you look at Quarter 3 we are already at 12% and YTD for 9 months we were about 9.8 %.

Management : Long-term guidance is around 11 % that is what we are seeing.

Apar Industries Limited

February 08 ,2023

Page 24 of 31

Management : We have seen that we should be in double digit.

Analyst: And here how is the hedging policy generally orders are make to orders?

Management : Largely make to orders except for the house wire which is retail that is a little thing.

Analyst: Is all make to order ?

Management : Everything is make to order even domestic orders also other than house

wire they make to order.

Analyst: Here is there any concept of order book , etc., in this order?

Management : We are not giving order book actually. Order book will be close to 1,000, 1,200 crores but we are not giving orders.

Analyst: What is the split between traditional power cables to elastomeric?

Management : It will be elastomeric and will be around 30%.

Analyst: Because this is about two years back as a pre COVID?

Management : Not much of a difference actually it was 25 percent you can say. Now the power cable what has happened export has gone.

Analyst : Finally it should have gone up because all of this is exported to the North American.

Management : What is also been exported is the power cable goods. It is not that only elastomeric is exported more of power cable is exported.

Analyst : So, what goes into the renewable is elastomeric or the power cables.

Apar Industries Limited

February 08 ,2023

Page 25 of 31

Management : Both are equal.

Analyst: Solar renewable, but you also export lot of power cables?

Analyst: From an application perspective so if we have to think it through there in the wind turbine business service elastomeric or power cable go or is it for the end when the transmission lines for these project come up.

Management : Windmill actually goes into inside the windmill is the main area. There are various cable application, but this our product goes right inside the windmill.

Management : See elastomeric cables are flexible cables so wherever you require flexibility like suppose windmill is there and some cable is attached to windmill and it is moving then you require flexibility to that cable then the elastomeric cable is required. The purpose of the cable is to carry the powers, but only flexibility is required.

Suppose you are doing some work

in the mine and for that you want to take the cable then you require an elastomeric cable because it requires flexibility so that is the difference.

Analyst: Typically, how is the pricing done so typical power cable is sold by?

Management : Kilometer.

Analyst: So, what is the price differential between a power cable and an elastomeric cable in terms of per kilometer cost. It is make to order I understand but just for a rule of thought.

Management : Elastomeric cable is costly actually it will have around 20% more price the real elastomeric cable actually.

Apar Industries Limited

February 08 ,2023

Page 26 of 31

Analyst: And the reason that makes it more expensive because you rubberize it and end application.

Management : It goes for a specialized application.

Management : So, here also it has a lot of designing it just not only product if you need any cable let us say for the defence, warships , ships, wind base , railways, locomotives , etc. It all has a little bit of design; it is not just a plain vanilla product that you can produce and sell. So, it is all for the customer for some specific purpose there. It needs either higher current passage or reducing losses or protection from safety or flexibility, it could be various parameters so that is what causes this premium margin now.

Analyst: On the raw material side the incremental cost over a power cable elastomeric will be the braiding that is done over the cable.

Management : And also, the price for your design and technology that you bring it because this is something that unlike the normal power cable which can be commoditized these are all special application cable. So, there is an element of specific design and those things.

Analyst: How is the pricing done is it project -to-project or volatility in copper prices get?

Management : For us there is no volatility because we completely work on a back to back as you see this slide it is a well-defined risk management framework that we have. One of the thing is clearly on the metal hedging risk.

Analyst: How do you do the hedging?

Management : We do not take any risk on the metal part the moment we get an order depending on the terms of the contract the firm variable or variable contract

Apar Industries Limited

February 08 ,2023

Page 27 of 31

we have policy for hedging th is metal, we completely back-to-back hedge all the metals 100 %. So, we do not speculate nor we take any risk on the metal prices, price goes up or goes down it will just get transferred to the customer because we have a back-to-back hedging.

Analyst: And what would be our debt so interest bearing basically so reported debt looks less, but it sits in I think payable as a.....

Management : We have that acceptances.

Analyst: So, what would be that number today debt plus acceptance put together?

Management : 300 crores or something like that is you see suppliers credit.

Analyst: And how we see that moving that number moving?

Management : That is just time we do not even take it as a debt for our internal thing.

Management : That will go with the working capita l.

Analyst : But that is interest bearing.

Management : It is charged also to the customer so we know that when we has this order what will be my interest and everything, what is the period of this thing.

Analyst: So, our margins we should look adjusting t his cost?

Management : Yes if you look at some of this recent thing we also been recording EBDT because sometimes what happens because all this interest rate going up EBITDA will go up, interest cost will also go up. The best way to see our business is on E BDT level because then it show you a true value of business profitability because in rising interest cost your interest will prepone.

Apar Industries Limited

February 08 ,2023

Page 28 of 31

Analyst: It is a pass through?

Management :

Interest is a complete pass through or aluminum copper is a complete pass through.

Analyst: In terms of working capital days overall I will say receivable plus inventory because payable again would be bit?

Management : Net working capital about 40 days we have crossed three decade.

Analyst: Only if I hav e to understand inventory and receivable how it behaves generally what is the inventory days we carry and receivable?

Management : So, it is different for different business, but on average be about receivable would be about 100 odd days.

Management : Recei vable will be 87 days, but if you say cable business actually the inventory will be around 80 to 85 days and receivable will be close to 90 days, conductor inventory will be around 60 days, 65 days and receivable will be closer to 100 days.

Analyst: On th e margin side I think you mentioned 11% long term guidance for cables versus, same for conductors and oils?

Management : Conductors as I was saying we feel that the short -term momentum definitely can continue, but on a long-term basis we feel that even if w e remove all the tailwinds baseline we should be about 25,000 per meter.

Analyst: Oil will be 60 days inventory?

Management : And on top of this we see all now tailwind continue in terms of geopolitical things. We feel that some of these things is likely t o continue, which should

Apar Industries Limited

February 08 ,2023

Page 29 of 31

increase your faster delivery times, you are able to get a high margins 75,000 per inventory line can go up depending on your requirement of conductor which are there. So, some of those tailwinds if you continue this geopolitical t ensions if it continues it is actually benefit for our business.

Analyst: So, the conductor side could be a 10% margin going forward?

Management : So, at 25,000 is the base thing from a medium term per ton basically.

Management : EBITDA margin we measure in terms of per ton for conductor and for oil

also per kl.

Analyst: Conductor utilization would be how much?

Management : Conductor is almost it is a 90 % would be utilized there, but we are also increasing capacity, but we would not be short term capacity for servicing, conductor we are using capacity.

Analyst: So, if I just wanted to understand over next two, three years on this FY23 whatever we would have achieved what kind of growth we envisage in conductor, power, telecom, base case growth should be how much?

Management : See conductor will grow around 15% you can say the cable will grow more than 25% to 30% and oil will grow around 5% to 6%.

Management : Oil I think we should just focus on that EBIT number because top line might be.

Analyst: Similarly for conductors therefore we measure on a per metric tons. So, conductor when we say per is 10%, 15% is on volume terms.

Apar Industries Limited

February 08 ,2023

Page 30 of 31

Management : Volume term because it is not value because value will depend on your aluminum and copper.

Analyst: The cable is value.

Management : It is difficult to give quantity in cable.

Analyst: And oil you said 3% to 5%?

Management : 5% to 6%.

Analyst: In oil just quickly if you can summarize the way you would have discussed?

Management : Oil if you see about one-third of our business is in this transformer oil which also goes into the transformer which is used in transmission things. So, the more the requirement of electricity transmission this business we will keep on growing there. So, that is definitely we are very buoyant on that particular business. Apart from the fact that we are also into industrial oils, our industrial activity in the country will result in high industrial oils wherein rubber process oil, we were there in the auto lubes thing and we are also supplying white oil and the process oil.

Management : So, overall, we feel about 5 odd% increase of course auto lubes in a very long term could c

ome under pressure because of getting into EV segment

and all, but that is a very about 10 odd % of our total oil portfolio is there, but some of the other businesses we never take that things is a transformer oil.

Analyst: And here what should be your capacity utilization?

Management : Here in terms of capacity we have enough capacity because this plant is completely fully automatic. There will not be capacity issues.

Apar Industries Limited

February 08 ,2023

Page 31 of 31

Analyst: We can take a last question now is there any inorganic opportunities you would be looking for and is there any in our place?

Management : There is enough thing already there in this organic thing if you look at all the three divisions so many things already happens here and we have been putting CAPEX and a lot of opportunity we are already seeing the current.

Analyst: Thank you.

Page 1 of 37

"APAR Industries Limited

Investor/Analyst Group Meeting

"Nuvama Conference Call"

February 08, 2023

MANAGEMENT : MR. RAMESH IYER – CFO
MR. VIVEK DIWADKAR – EX. CFO & FINANCIAL
ADVISOR

Apar Industries Limited
February 08,2023

Page 2 of 37

Management : Maybe I will give a very brief overview of growth opportunities that we see at APAR couple of minutes and then I will deep dive into each of these divisions that we have , followed up with any questions that you have. Broadly , we see 3 main areas of growth for APAR in things that is happening . The first one is focused on the renewable space that is happening across the globe with lot of this solar installations and wind installations coming up. You actually need a lot of products for this solar and wind and if you look at our divisions, you had a poised for the benefits coming from these opportunities because you need cables for generation solar and wind thing. You also need conductors for the transmission part of it because it gets generated at one place and get s installed at some other place, so you need conductors for the evacuation and transmission of these power and you also need oil because a lot of these transmission wherever it is there , you need transformers and you need the step up and step down of transforme rs, so you need transformer oil which goes into the transformer space. So, overall for this renewable space , you will need products that we have across our 3 division and we feel that is boost in renewable that we have been seeing since the last few years is going to be beneficial for us and in terms of space that we operate , in India we are the largest when it comes to the renewable space , we are the highest market share in the wind sector and we are big player when it comes to the solar business there, so that is one of the growth drive rs on the renewable thing . The second thing is that generally you see that the level of infrastructure across the globe has increased , now post-COVID we have seen a lot of spends happening on the infra space if you look countries like United S tates are signing of this Inflation Reduction Act which is a step towards building more and more infrastructure. Some of the lines that they have laid is 5 to

Apar Industries Limited
February 08,2023

Page 3 of 37

6 decades old and is due for changes in the line, so there are a lot of infra spends that is likely to happen across the world. People are moving to metro rails and electrification in the rail networks , you see countries like Australia having lot of metros in place. So, some of these electrifications and public transport and met ros getting in and also if you look at India, it has lot of avenues for this metro things. This has also presence with very good amount of opportunity for the business that we have . The third thing clearly that we see is all this Telecom and 5 G roll out . These kind of initiatives happening also needs a lot of cabling and networking solutions and we feel that is also going to present us with a good opportunity and in terms of cable , as we deep dive into this cable division we see how the telecom will complement our other products that we have in the conductor division as well as the copper cable thing . So, very broadly and a very macro level , these are the clear 3 growth opportunity that we see and this is something that we are able to se e not from a short - term point of view, but we see as a long journey as we are looking at a decade long opportunities because this is not a country specific or continent specific , it pans across continents and in some countries we will have high, some countries we will have low, but over a period of next decade , we clearly see this an opportunity that this happening. Also some other things are renewable and this public transport , we see it is not only in India, but it is a global phenomenon . We see this opportunity

happening on a worldwide basis . So, this was just to give a very brief overview of where we see growth opportunities . I will just quickly deep dive into our 3 divisions

at we have which is conductors, cable and in the oil division.

Apar Industries Limited

February 08,2023

Page 4 of 37

Starting with the conductor division, as we have been seeing this , we already have this slide in our website in which we have updated our presentation in January 2023. Look at Slide # 5 which is there we see a transformation that has actually happened in this conductor division over the last one decade. This division was started way back in 1958 and even until 2014 we were largely dealing with one particular type of conductor which is ACSR type conductors largely in the domestic segment. Over the years, what we have seen is that this product getting too commoditized with lot of local players in the market and pricing competitive there and margins getting shrink and also we found the need of a higher efficiency conductors to be needed besides this ACSR conductors.

As you look at places in urban areas in Mumbai where the requirement of electrification is increasing with more and more population are coming into the cities , you need higher transmission of electricity to come into this , either you setup similar infrastructure like the towers which are there as you see outside , create another towers having more transmission or in the same towers if you are able to transmit higher amount of electricity through the conductors.

Now the existing conductors cannot carry a high transmission because they were designed for a specific purpose decades earlier, but we in developing this product which is HTLS High Transmission Low Sag which has capacity to transmit high current within the same towers without the need for adding more and more towers over there, so that is one of the premium product that falls part of our premium segment . These are HTLS and we are seeing this traction a lot in recent years with urbanization happening in the cities and you will not be getting more demand in the tier 2 cities. So, this we not only supply that product , but in some places

Apar Industries Limited

February 08,2023

Page 5 of 37

we also do the entire turnkey solution there which is giving entire solution to our customer through largely transmission companies because the requirements for transmission to reduce the losses to have the longer life is different for different orders that we get and so we not only supply this product, but we also give a design , we implement that thing and we do the reconductoring for the customers and therefore for the solution is where we are able to charge the premium and a margin because besides supply of the product the entire solution comes to .

Similar to HTLS, we also have this OPGW for every conductor there is this earthing wire which is needed. Earlier it was used to serve the purpose of earthing , now it is also doing the objective of data transmission. We put optical fiber into that OPGW conductors and it serves earthing plus data transmission. This is sector which we are seeing high demand in the recent last 1 -2 years and that is also contributing to the premium part of the conductor portfolio.

Third premium portfolio that we have is on the copper conductors which has been supplying high to the large amount of copper conductors to the railways for electrification thing having the majority of the suppliers there and most of the electrification is coming to end by 2024. We have new products in the offering which is your products for high-speed trains which is this bullet trains and we already have a product in place .

If you see the presentation , we have talked about copper magnesium product to get it to a high -speed train , we have bus bars that helps copper metal for the starting of various electric pumps over there. So, the premium part of the portfolio , clearly we see dominance over there and it is close to about 45 % to 50% of the entire conductor portfolio. What has also

change d in thi

s year FY23 in the start of this year is that on the non -premium
Apar Industries Limited
February 08,2023

Page 6 of 37

part of it, we are able to see tap opportunities from the overseas market. So, even earlier we use to supply to the overseas market, but now the product mix and the geography mix has changed and due to , as I talked about some other growth drivers on infra spends , spends on renewable thing, China Plus One policy , this is all helping us to tap the overseas markets for our non -premium products which is a product which has less margin in India, the standard conductors having less margin in India that we are able to apply to overseas customers and we are able to get a good margin because they not only look at the price, they look at various other aspects , the appetite of the company, the reputation of the company, the commitment to delivery schedule, the risk management framework that we have within our par to hedge aluminum and copper, so they look at a holistic thing , they look at lifecycle cost of the conductors, so unlike in India where it is a price gain, in overseas market it is much beyond, so in terms of organized players we are better poised to tap the opportunities that is coming . So, this is what has dramatically changed this conductor division this year, so you see that entire portfolio , all the product mix of this division getting not only profitable, but high margin profitable in FY23. In terms of the guidance that we have been talking on this thing is that we clearly see on a short -term basis this momentum to continue because nothing is going to change in the short term , you see this demand and no requirement coming . Even in the long term , because of the way we have changed the product mix of this division, we feel that clearly without any tailwinds and by tailwinds we mean that not only the freight and steel cost, but also geopolitical advantage also we call as a tailwind. We call China Plus One also is a tailwind. We talked about the delivery times that the customer expects is also a tailwind. Even without those tailwinds clearly we would be in the range of Rs. 22,000 to Rs. 25,000 per metric ton
Apar Industries Limited
February 08,2023

Page 7 of 37

profitability on EBITDA alone and with these tailwinds coming up , it could not be higher depending on how it pans out for us. So, that is what we have been guiding on the conductor division in terms of the growth. In terms of volume, we talk about 10% of volume growth coming year basis . That was on the conductor division, I will quickly move to the cable division . Here, we have a wide range of products when it comes to the cable division , we supply cables for the power cables we have. Analyst: Last month we had done CAGR of conductor business in terms of volumes ? Management: Volume would have seen de -growth in the last 5 years because what has changed is that the mix has changed. Some of these high efficiency conductors , you don't need that much quantity of metric tons to do this. Some other premium conductors are metric ton requirement is very low. The kilometer to metric ton conversion is very low in the case of premium products, so you would see a reduction in the volume, but at the same time the profitability has gone, so despite higher value add, so CAGR for the last 5 years. Management: The volume CAGR will be around 14% . Management: Volume will be done . Analyst: So, that is value added CAGR with price inflation ? Management: Yes. Management: Yes, on conductor you can ask , then I will move for cable. Analyst: In conductor , I just want to understand your growth has been in the last 2 years, 2022 and 23 obviously is a phenomenal year that way , if you could
Apar Industries Limited
February 08,2023

Page 8 of 37

help us understand how has been similarly the volume growth CAGR for 4

parts basically ,

firstly they are conventional domestic and conventional export and similarly premium domestic and premium export , basically I am just trying to understand the nonconventional versus conventional conductor as a breakup of domestic versus export because the next driver for you is conventional export ?

Management: Yes, so what has come down is the conventional conductors for the domestic business because that is something that used to be the least margin and with premium conductors and the export conductors going up, this is something that this would have come down. So, if you see even in the current year, just about your 5% -10% of the current quarters , I think would be a part of conventional and domestic conductors.

Analyst: Volume wise?

Management: Volume wise also and what has gone up on the conventional part is the export part, so almost all of 80%, 85%, 90% of the conventional which is the non -premium part would be my export conductors.

Analyst: How much is the total premium say FY23 and how much would be?

Management : Premium would be about 45% to 50% premium products .

Analyst: Of which how much will be domestic and export ?

Management: Of the premium , largely it is domestic and around Asian countries like India, Nepal.

Management: Export will be about 15%.

Management: Will be less .

Apar Industries Limited

February 08,2023

Page 9 of 37

Management: So, premium mainly domestic and conventional mainly exports . That is the current situation.

Analyst: In conventional , what is the broad mix between domestic and export?

Management: Conventional will be around 10% to 15%.

Analyst: In domestic?

Management: In domestic .

Analyst: And the remaining 90% is export ?

Management: Yes.

Analyst: So, similarly for the growth trajectory , could you help us understand across these 4 elements what is the volume growth are you expecting ?

Management: Within this , we expect this mix to continue because we see this opportunity coming up as we see export opportunities more and I will say it is not only price gain, it is a ll this entire ambit is there where we feel good position there, so we feel that mix is likely to continue unless some of the US, China thing and all changes dramatically which as of now we don't feel it is not going to happen, but we feel like this particular mix will grow.

Management: We can do more of conventional domestic actually, but we are not taking the orders actually because there the orders are not profitable . It doesn't make any sense for doing that, so just to keep in touch with the customers we are doing the orders and mainly we are focused on export actually because the export margins are substantially higher than the domestic as far as conventional is concerned and the premium part of we are mainly

Apar Industries Limited

February 08,2023

Page 10 of 37

doing in domestic and some part of it getting exported to Bangladesh, Nepal , etc.

Analyst: Next question , again you highlighted , how much is your EBITDA per ton , so if I see in terms of overall conductor, we had almost 30,000 odd tons per ton?

Management: 40,000 average, I think 9 months average is 40,000.

Analyst: Sir if you could help me understand across these 4 ?

Management: We are not giving breakup actually .

Analyst: But broadly in terms of how much is your conventional versus premium, the differentiate between the conventional and premium ?

Management: It changes depending on the product mix, it is very difficult to put that that because within this segment there are numerous products and each are this in MTO base, so it just depends on them and the product mix and

things, so it is very difficult to generalize that. What you can look at is over a 12-month period where do we stand, so within each 6 months you have one conductor of standard, one conductor of premium these are completely make

to order business.

Analyst: I don't want to go deeper in that, but just trying to understand because incrementally your growth is coming in one from exports from the premium product and secondly of this conduction exports broadly, how much is the differential not to the last one, I don't understand what was the last one?

Management: Even, it is very difficult to get that number which can tell you that premium would be how much and this export how much because products line are different. In the premium, it is not only the product, it is also the service
Apar Industries Limited
February 08, 2023

Page 11 of 37

side and in case of export of convention is a product over there, so now the metric tons, the conversion is lot more dynamics involved and putting up thumb rule on this number there.

Analyst: But large part of this jump in EBITDA per ton which has almost doubled more than doubled and it is because of the conventional exports.

Management: Conventional export as well as the premium. Earlier, conventional because we were not exporting actually and the EBITDA was very low actually, so just to bring down the EBITDA overall EBITDA.

Analyst: And how much is the China factor here where though now as much China is not exporting that the markets have opened up for you and now the China is opening up, how much do you see that over the period would come?

Management: What we see is that this demand is going to be high.

Management: US countries like the infra spend is going to just go up.

Analyst: That was always there, I am just asking the China factor, let us say last 9 months and your sense I mean you came around for decades, so your sense of how China element could play out? How much of it is one of and how much could be sustainable?

Management: It is said that in calendar year 21 US imported cables to the extent of \$21 billion, so the size is very big over there and the conductor export which are there which are now happening because of the renewable program which is happening over there and the existing infrastructure getting refurbished because the infrastructure was built about 60 years back which we use to tell, in the earlier if you have met me actually we use to say that
Apar Industries Limited
February 08, 2023

Page 12 of 37

the US spend is going to come and all this things, so exactly we were not able to put in which year it will come, so now it has started there.

Analyst: Actually, a guidance of let us say we have done 50,000 in a quarter, 9 months 39,000, but our guidance is 20,000 -25,000, so are being too conservative or?

Management: Which is what I was saying, this 25,000 guidance is a baseline guidance without taking any of this tailwinds and in tailwinds I am including all these, geopolitical, China Plus One and all the infrastructures spend in US which is all likely to go on. With those things going up, this baseline guideline will also stream up. This 25,000 is just

Analyst: So, third quarter in the guidance, so?

Management: As it is a short term we are likely to be a better margin. Is it that the long term, all this geopolitical thing, how it will pan out, we don't know and as I said the 25,000 is because we have changed the product mix. Now if in the US demand goes up keeps on happening that way, the US exports keep on continuing, then we will see much better margins there.

Management: What was it last time FY22 between premium and convention it is about 45%.

Analyst: Now is 45%?

Management: Now is 45 actually last year I think it was around 35.

Analyst: 35 was premium?

Apar Industries Limited

February 08,2023

Page 13 of 37

Management : 35 was premium and this 25,000 guidance is for a long -term basis actually if you want to do a model for 5 to 7 years , then that 25,000 guidance is there.

Analyst: Mr. Diwakar h istorically because I had ups and downs

over the last year or

decade , I remember just may be 2 years back your returns on equity had come down to the single digits and your goal was to get back to 20% return on equity , now you are vastly exceeding that , what do you think is normal or normal return on equity in a normal environment , can you think of 3 years?

Management : So, around 25% actually.

Analyst: 25?

Management : 25%, going forward we feel like 25% should be possible.

Analyst: And so just again this is China Plus One thing apples -to-apples the cost of ownership of you versus the Chinese people today , how different is it?

Management : On cost wise actually we compete with them actually. So, what was happening earlier , the Chinese products were not having any duty in US whereas Indian product was having a duty , now it is other way around actually , they are having duty of about 25% and we are having a duty of about 4% .

Analyst: Now you are better than China.

Management : We are better than China plus the discussion we are having actually, we see that they are not very happy with China, they want to go away from China.

Apar Industries Limited

February 08,2023

Page 14 of 37

Management : We will phase out over a period of time . They can't phase out immediately, but over a period of time we will see that phasing .

Analyst : Correct, and if you are seeing that phasing out happens

Management: For them is more opportunity will be there. So, as you say actually these numbers are conservative , so in that case , as we go ahead actually, we will be able to understand actually.

Analyst: So, in that scenario your returns on equity will be above 25% ?

Management: Yes, definitely.

Analyst: If China is de -emphasized , for the US at least very lightly ?

Management: Correct, which is what you are saying that short term we feel this momentum will be there, but if you want to put a model for 5 years, 10 years then that is where your baseline would be there and you get added with all this .

Analyst: If you look at other industries like textiles is the opposite. Indian textile manufactures pays the duty you know whatever, Bangladesh has an advantage and so Indians are losing out with quick tariffs, but you saying in competing with China this is helping ?

Management: This is helping us. The entire global phenomenon that you see is actually favoring us completely with focus on renewables which is what I said the overall growth drive rs focused on renewables, infrastructures spends, China Plus One, it is all favoring us.

Analyst: For how long you have been with the company?

Apar Industries Limited

February 08,2023

Page 15 of 37

Management: Me just last year, one year and four months. I just succeeded Mr. Diwakar .

Analyst: How is spread out this 55% export , geographically how is it spread out?

Management: It is largely to the Americas; we also have in Australia and Africa .

Analyst: A large part of this is America?

Management: Yes.

Analyst: And where is the manufacturing for Americas happen?

Management: It is in our plant .

Analyst: I think Silvassa ?

Management: Yes, Silvassa.

Analyst: Currency depreciation that all comes to you hedge it?

Management: We hedge it . So, whatever is possible to hedge , we hedge it, like we hedge aluminum , we hedge copper, we hedge foreign currency thing. So, our objective is that we don't want to take any risk on these metals and currency based on around our margins . The moment we get an order, we have a hedging mechanism that we hedge on the LME and then that price is quoted to the customer, so if aluminum price goes up or goes down doesn't affect us, we completely pass it on to our customers . We have a completely hedge mechanism.

Analyst: Just a couple of years ago , there was a problem with respect to commodity input and a lag in terms of your ability to price, now that has changed?

Apar

Industries Limited

February 08,2023

Page 16 of 37

Management: No, it has completely changed . We have a complete mechanism, so whatever is possible to hedge we have hedge.

Management: It is not in TBCB orders, we are not taking any TBCB orders anymore .

Analyst: So, you are not doing any more , so now you have stronger position ?

Management: Yes.

Analyst: Earlier oil prices used to be a big factor also?

Management: Oil cannot be hedged, so that is why I was saying it cannot be hedged .

That happen and we try to keep our 2 months inventory that keeps on changing. If you look at oil , another quarterly EBITDA keeps on fluctuating and oil price is lower depending on how much inventory you have , profit margin changes, but if you look at 12-month period , then we will be aware we are about 5,000 to 6,000 per kiloliter when it comes to around....

Management: So, that was on conductors and moving on to the cable division that .

Analyst: Taking by your export client my questions, so talking of China Plus One given that for example if you take Rs. 100 of imports that US does from China with how much is the ballpark change that they are doing , is it 50 - 50 or 70 -30 which is the incremental opportunity for you going forward ?

Management: No, actually we don't have exact number to answer that, but you know , it will a gradual increase that we can say . That proportion is something is very difficult to say how much we need to look at again the statistic or how much they have imported from which country, but what I can say is that when it comes to exports out of India or the US markets on cable , we were almost negligible till half year of FY22 and now end of Q3 we would be the highest largest from amongst the different competition when it comes to export of

Apar Industries Limited

February 08,2023

Page 17 of 37

cables for US . Also, in US you need an approval which is called UL approval to supply and sell any cable in the US market and from India, we have the highest number of certificate of compliances for the UL approvals for any other players so we started applying for this during COVID times that time this all takes about 6 months to 8 months with all this testing, rigorous audits and every thing, so we have the large number of UL approvals when it comes to India.

Management : Will we continue on the cable front , in the cable we are the largest domestic player when it comes to renewables and in terms of range of products in cable if you see we are the by far the widest range of cables , serving the power cables, we have house wires, we have elastomeric cables and this elastomeric cables they are flexible cables that gets into solar, wind, gets into railways, shipping, defense, mining industry you know all this kind of specialist industries where this elastomeric cable gets into it. We also have optical fiber and telecom cables for us .

This cable division has also seen a change in the last year with 50% of the products getting exported which was just about 25% to 30% couple of years ago and again that demand is coming up with all this infrastructure and renewable things in place. Also , we have stepped up on our house wire segment which is our Light Duty cables that we sell in India. Lastly, we were there in Kerala and Gujarat selling about since last 3 years and here we have very unique and differentiated product with E-beam irradiated

cables which means that it has 3 specific advantages , one is that it has a 50-year life we claim it on the product we have 50-year life backed by our testing . It is able to carry 50% more current . In the house , you will shortly you see more and more things getting electrified with work from home is there and then you will have robots , you will have a ll the air -condition going

Apar Industries Limited
February 08,2023

Page 18 of 37

up across the country, so need more and more

current , so this E-beam

cable has 50% more current capacity as compared to any other competitor product which is there. And the third advantage is it is melting resistance which means that the insulation will take hours more longer to melt as compared to some other cables . These 3 unique propositions is what we have been now spreading awareness to consumers, so consumers will feel it completely safe to have such kind of product . Once you put inside the house , you don't need to change the wiring for the next 50 years . And if you see Slide # 10 that talks about how we have expanded its presence from March to December, o n March 22 we had about 19 odd distributor s and now it is already close to 100 . In terms of retail count , we were about 300 , now it has gone to 1,500 . We were just about 2 states by March 22 , now we are gone to 13 states. This is one area where we will see that growth s coming in . We have a separate team who is going to cater to this particular business. We have taken Sonu Sood as a brand ambassador and gone on air in the last month in Kerala state s and there is a potential for us going forward with this unique and differentiated product that we have .

And once this channel is there in place then you can able to promote some of the other related pro ducts also thro ugh this channel. So, our effort is all growing into building this channel in this cable business . We are likely to touch about Rs. 200 crores this year, Rs. 350 crores by next year and then Rs. 500 crores by FY25 -26. That was on the cable .

In terms of mar gin, clearly, we see the margin is increasing steadily . If we were about double digit pre-COVID , quarter 3 we have already reached about 11.8% gradually , in last year about 5 odd percentage was there and every quarter we are actually seeing an increase in our EBITDA margin . By

Apar Industries Limited
February 08,2023

Page 19 of 37

all the 3 division , we feel that the cable division would be the fastest growing for us. We are looking at 25% to 30% value growth year-on-year, mainly because we feel that the market for cables is much higher than oil and conductors and you need the cable in most of the applications , whether in India and overseas. The Indian government is promoting schemes like RDSS which is improving the distrib ution setup in India. That is going to help the cable divisions a lot because they have a budget of some Rs. 300,000 crores and about one third goes into the cable business there, so clearly we see that ramp up happening and in this entire supply chain , the distribution link is the weakest, so the efforts are there to improve the distribution infrastructure in the country . So, clearly we see that momentum also happening in India.

Analyst: Exports, how the mix has again seeing an increase in the current year we had almost ?

Management: We were not present in the United States as I said until half year of FY22 and now we started inc reasing our presence over there or even supplying this PV cables there , supplying telecom cable over there and that market is as usual as Mr. Diwakar was saying that US import is over 20 billion annually and currently we are just about Rs. 3,000 odd crores , so that potential is huge and our export mix has gone up from 25% to 50% .

Analyst: But w hat is the maths , so you saying incrementally the growth will be majorly coming from exports, all this 25% done?

Management: Exports as well as India if you see light duty cables the growth happens , schemes like RDSS will help to improve this thing and Elastomeric 's application as I said for all the warships, defense, EV, etc., this business is

growing , so there are multiple growth levers if you only look at the cable
Apar Industries Limited
February 08,2023

Page 20 of 37

business itself . Leaving aside the conductors and other division , for only in cable we see multiple growth work

happening there.

Analyst: Just to understand the mix of 25% -30% kind of overall value growth, in terms of export , how much this value growth would be for over the medium - term?

Management: Exports clearly will be in that 50% or even slightly higher than that mix going forward, so it will be much higher than the domestic .

Analyst: And how much is the benefit do we get in terms of margins majorly in the cable business ?

Management: It is an application base, so some of the specialized cables will have better margin like now cables get into solar, PV cables that will be having a higher margins . So, across different cables the margins will be different and again it will be depending on whom you sell to and with the delivery times that you need . All these factors come into play so if you need cable quickly , then you are able to now get a higher margin than you need cable that is cheaper .

Management: Highest margin will be defense cable . Cables which are going into defense , we get the highest margin, but getting into defense is quite tough actually . For that you will need to do a lot of R&D with defense. Atmanirbhar program is there actually , they are trying to indigenize so many things actually, so cable is one of the item s which they have identified actually and they are working on these cables with cable companies.

Analyst: I am asking these questions because we are seeing multiple other cable companies where they have done export , so where you see a lot of vagaries where export is the major driver for growth and then few years, there are

Apar Industries Limited

February 08,2023

Page 21 of 37

no revenue from that, so how do you think balancing out these kind of vagaries with this export , possibly if I say in our cables?

Management: We are present both in exports and domestic . In our capacity, whichever market gives us highest margin we are there. We are not going to substitute one to other , we will just see that which actually gives a highest margin . So, if you look at the power cables in the domestic , it is the weakest margin similar to if you look at conductors, the convention for the domestic is the weakest margin there, so whatever mix and whatever markets are going to give us margins , we will be there.

Management: And earlier , all the exports were in the underdeveloped countries like Africa etc. They are all dependent on the World Bank , that type of things, so that is why the vagaries were there. Here there is nothing actually , in US lot of money is there and there every program is a very big program actually . US program , if you are able to participate in that program , the Inflation Reduction Act also is normally in trillion dollars actually they are going to spend.

Analyst: In terms of domestic , are we seeing incremental competition coming in on the cable side for us ?

Management: The competition is already there , yes in domestic , so many players are there, so many cable players are already there, but where is the competition is not there is Elastomeric cables which are flexible cable , there competition is not there.

Analyst: So, basically to understand the 5% kind of margin in terms of domestic will continue and then accretion of margin will come in from the

Management: See, for domestic some other special application margins will be higher .

Apar Industries Limited

February 08,2023

Page 22 of 37

Management: And domestic demand is also going to grow because of this RDSS scheme etc., see at present distribution is the weakest link in our India setup . Lot

of losses are there actually , thefts are there, so government is focused on improving distribution through this RDSS scheme and in that 30% will be cable. Whatever work will be done in RDSS scheme , 30% will be cable. So, lot of demand will be there, so when the demand is there , the competition it will get observed. S

o, the overall margin level will improve actually , even the domestic margin level should improve .

Analyst: Can you say this RDSS scheme in this case the products which you sell are at higher margin or low er margin?

Management: It can be high margin .

Analyst: Then margin move from like 3% to 12% in cables, so what is the outlook here?

Management: 3% was not a real margin , let us say pre -COVID , we were already around 11% or something like that . Then, we came down . See, during COVID both these businesses suffered , conductor and cable both suffered , oil was favorable . COVID was favorable for oil and these other 2 businesses they were suffering and now it is the other way round actually. There is issue on oil, but the other 2 businesses are good like anything , so...

Analyst: So, it is sustainable?

Management: Sir, we have been guiding about 10% going forward, but already Q3 we are about 11.8 and with economies of scale , margins will improve , so we have also seen that scale economies giving us better margins .

Apar Industries Limited

February 08,2023

Page 23 of 37

Analyst: In terms of capacity utilization , where are we from both these conductors and cables as of now?

Management : Cables about you know 80 to 85% should be the capacity and we are increasing capacity there, so we now have sufficient capacity for FY23 and may be for the first half of FY 24, but as we speak we are increasing capacity. In the current year, spending were a bout Rs. 150 odd crores till now and two thirds will be going to cable. Next year , our plan is to spend about Rs. 300 crores to Rs. 350 crores largely getting to cables and conductor division. As we see demand and opportunity coming up in this 2 division , our CAPEX will go.

Analyst: How does your asset turns for cable versus conductor?

Management : Cable would be high and even within cable , this Light Duty Cable will be much high . On average , we are expecting about 7 x to 8x asset turnover ratio.

Analyst: On an average?

Management : Yes.

Analyst: What would be your asset capacities in cable once you do th ese capacities ?

Management : So, we would always be ahead of in terms of spending CAPEX.

Management : These CAPEX will take us to close to about Rs. 6,000 crores cable.

Management : During the current year, we are looking at conductors, if demand is going up then conductors increasing the capacity there. So, it is going to be a

Apar Industries Limited

February 08,2023

Page 24 of 37

continuous thing as we see demand going up, demand your debtor will keep on adding.

Management : And conductor idea is premiumization actually, not to go for just volumes.

Earlier , we were focused on volumes because the other products were not there. Now with these other products coming in as we listed out in the beginning, high efficiency conductor, then OPGW , then copper conductor s, so all those new premium products which we ha ve added actually , we are not focused on volume anymore actually. We are not taking order s, we can do more. In these 9 months also , we could have done more actually, but we are not taking orders .

Analyst: Rs. 6,000 crores annual turnover you said?

Management : For cables.

Analyst: Cables, so 1,500 quarterly versus 900 you can do 1,500 ?

Management : CAPEX will give us that cable.

Management : That additional.

Analyst: So, more than 50% jump?

Analyst : Also, this CAPEX will give you Rs. 6,000 crores of revenue .

Management : All CAPEX put together .

Management : This will go up to Rs. 6,000 crores , we are already Rs. 3,000 crores , more than Rs. 3,000 crores, so another Rs. 3,000 crores we will be able to add through this additional CAPEX.

Analyst: Only cable?

Apar Industries Limited

February 08,2023

Page 25 of 37

Management : Only cable because we feel that the opportunity for cable is going to increase like anything and we have to be ready

with the capacity.

Analyst: Conductors where do we need new CAPEX ?

Management: 40,000 is per metric ton is our current capacity , we will get to 1 lakh seventy eight odd percentage and then if you put more CAPEX further it will go.

Analyst: 1.40 lakh per month ?

Management : One lakh forty thousand metric ton is current CAPEX, 170 odd we will do .

Analyst: Price will depend upon

Management : Yes.

Analyst: We just grow in this Rs. 550 odd crores of CAPEX, then it will be normal maintenance CAPEX?

Management : Yes, it will be. Again, we will see more demand ...

Management : Again, if we are doing more and more CAPEX because we are seeing the opportunities .

Management : Opportunity to invest again.

Management : And this time , we want to be ahead of the curve actually because today we are not able to supply.

Analyst: And, so on this CAPEX, in cables what kind of payback do you see ?

Management : Our payback is very fast actually , less than 3 years.

Apar Industries Limited

February 08,2023

Page 26 of 37

Analyst: Less than 3 years, what run rate are you taking? 9 months run rate or steady state FY22 run rate what?

Management : Steady state will be this 11% EBITDA margin we are saying.

Analyst: So, basis that you say.

Management : That basis.

Management : The renewable program is running everywhere actually , globally , everywhere people are putting up the renewables.

Management : Mandatory.

Management : Yes, it is mandatory to reduce the climate change and this urban footprint everywhere this program is running. Earlier, we were not having any market from the developed countries because their infrastructure was already ready and we were dependent on this Africa and all this type of places, but now because of renewable everywhere this action is happening.

Analyst: In India we think the traction on renewables will match with the plan or it will fall short?

Management : It will fall short , but you have a vision , then you will work for that actually, so you have a vision for 100 actually you work for that , then you will reach may be 70 -75, that is also good.

Analyst: With rising exports , your working capital will get further stretched ?

Management : It is not that significantly, but yes may be because of the US there will be high....

Apar Industries Limited

February 08,2023

Page 27 of 37

Analyst: Your working capital cycle as of 30 years September was close to 30 odd days?

Management : Around 40 days we were around , average 40 odd days it may get little bit

stretched .

Analyst: So, that will further strain short -term borrowing further ?

Management : To some extent yes, but we are also working on having to see how we can speed up on the working capital. We have found a subsidiary in US, currently it is not operation, but in times to come , we will see how to manage that part.

Management : But that interest i s covered in this EBITDA margin , the amount of EBITDA margin which y ou are getting that covers all the increase interest cost etc., everything.

Analyst: Going forward any plans on reducing your overall volume levels in terms of at least the long -term borrowings?

Management : Long-term borrowing is not much. This is long -term borrowing, it is hardly Rs. 250 crores , out of that Rs. 50 crores will be paid off which is Rs. 200 crores . Rs. 200 crores is not much actually. We have the working capital borrowing there actually and working capital borrowing will continue . That whatever interest is there , the EBITDA is able to take care of that interest. There is no issue on that.

Analyst: Just one question in terms of this CAGR again 25%, 30% is financed for value growth, how much of this will be volume ?

Management : It is difficult to answer. Different types of cables are there actually . Value is different.

Apar Industries Limited

February 08,2023

Page 28 of 37

Analyst:

But this year will be different in terms of value right in terms of the price for Cable segment ?

Management : So, even the aluminum price came down. If you see aluminum price came down , copper price came down . Earlier, in the beginning of the year and the end of the last year , the prices had gone up actually, now they have come down .

Management : Cable is all a volume game because exports and all going up is pure volume game.

Management : So, volume has increased actually.

Management : We are hardly present in the US a year ago where sizeable amount of exports is from US.

Analyst: What is the guidance that me ntion for conductor and special ty....

Management : Conductors volume we look up of 10% volume increase and value we don't give because it all depends on aluminum and copper pricing. Then we talked about margins EBITDA margins which is at baseline about 25,000, but then all th ese tailwinds which looks more realistic will push up the number .

Analyst: Cables we don't share volume , is difficult or not

Management : No, it is difficult because of the wide range of SKUs.

Analyst: So, one quick question on the RDSS scheme you mentioned about, the opportunity of 800 and 30% will be cables , is it going to be doubled transformer oils ?

Apar Industries Limited

February 08,2023

Page 29 of 37

Management : Will be yes, it will .

Analyst: What is going to be opportunity size?

Management : So, what will happen is that it will all need transmission setup RDSS . When you think to do a transmission setup, we need transformers and for that you will need transformer oil, so that is not even included in this Rs. 300,000 crores . It is pure about cables which is there and you will also need little bit of conductors also because there will be some level of evacuation and transmission .

Management : We are not focused on the distribution conductors, they are smaller conductors.

Management : In the oil space , we feel that the transformer oil w ill grow because all this transmission will have all the rub-off effect on the transformer oils. Some other variants of oil may degrowth, especially auto oil part as things getting into mobility and in electric vehicles and all. Auto oil possibly could be

low, but the transformer oil would overtake the growth s.

Management : Another opportunity which is there which has not yet come in the replacement of oil . See, whatever transformers are there which are owned by these utilities. The oil which they are supposed to replace they are not replaced for long time because they don't have money, so once this program is there, so all this will happen and because of which they are not able to means the power is there, but they are not able to distribute the power and in rural areas there is no power for 10 hours, 12 hours, 10 hours, 8 hours like that different areas actually, because the transformers are failing . So, that opportunity is there and this government is having that program of improving the power distribution . RDSS scheme is mainly for Apar Industries Limited
February 08,2023

Page 30 of 37

improving the distribution system of power, so that all that replacement demand which is there actually which has not yet come . If that comes as I said actually that were not able to say , in which year it will come, so similarly we are not able to say in which year it will come, but when it comes actually , there will be huge demand for transformer oil because population of transformer which is there actually, so you will require top -up requirements will be there.

Analyst: Exports in US is there, how is our client concentration , is it like

Management : We are having 3 distributors actually, so we are distributing through these 3 distributors and conductor is having about 4 -5 distributors are there actually because we are not directly dealing with utilities. About 3,000 utilities are ther

e in the US total, out of that 30 are big utilities and balance are 2,970 are smaller utilities . So, this smaller utility is there taking presently from this distributors. So, we are working through distributors and as we said actually , we have set up a subsidiary company over there. Our idea is that in the long run, we will have our warehouses over there actually and we will stock t he material because these utilities want material immediately. They don't have that they can wait for 3 months, 6 months or something like that , so our distributors take the material and keep it in their warehouse and keep on supplying to these utilities.

Analyst: It have a significant supplier for the distributors or they also source from multiple people ?

Management : They are sourcing from multiple people actually. Multiple means they will keep 2 -3 supplies they will keep.

Apar Industries Limited
February 08,2023

Page 31 of 37

Management : If you look at one slide, it talks about our competitive advantage on conductor is that they look at simple with reputed suppliers, they look at people who have enough capacity. They look at people who can supply cables on the to the delivery schedule , who have a good risk-management techniques like all th ese hedging and all those things , so they don't look at players who are small-time player , so this slide is there on our website and it talks about for the premium products where do we see our competitive advantage , for the conventional product where do we see the competitive advantage . So, they may be taking from other player s, but there are some advantages that APAR has over some of the smaller players there .

Analyst: Is it minimum volume have they guarantee ?

Management : No, it actually comes in huge quantity, so there is no minimum guarantee , we don't have any such contract s.

Analyst: For how long are the contracts?

Management : It is a flow business, contract is only an understanding that you will work for us actually, but then it is a flow business.

Analyst: What is the typical security deposit in any new contracts which you get?

What is the proportion of the project cost?

Management : What is security deposit mean ?

Analyst: You will have to keep certain security deposit ?

Management : We have to keep.

Analyst: Yes, is it so?

Page 32 of 37

Management : No, only in case of this project type business actually , last 10% remain s for long tenure actually like HTLS conduct or or OPGW where we do the turnkey contract . We supply the material also, we bring down the existing conductor, we put up the new conductor and handover the new line to them.

Analyst: So, sir second question is regarding your cash , we have around Rs. 313, Rs. 314 odd crores of cash balance , so what is the committed amount of that 10% in that cash flow balance?

Management : No, I have not understood your question , committed amount means?

Analyst: This 10% which you have ?

Management: No, 10% will remain in debtors.

Analyst: Correct, so that.

Management: Cash balance is separate actually. Cash balance is Rs. 350 crores.

Analyst: I got your point, so what is that addition that can be generated in next 3 -4 years which you will get , so wh at can be that addition cash?

Management: Even that 10%, we have an opportunity of giving a bank guarantee after sometimes we give bank guarantee and get the money , so it is not a big deal actually as far as that 10% is also concerned . After some time , you are able to give a bank guarantee for 10% and get the money .

Analyst: Is a government project , right, 10%?

Management: Yes, these are government projects , actually transmission.

Analyst: Otherwise, they release to what period if you don't give a bank guarantee?

Apar Industries Limited
February 08,2023

Page 33 of 37

Management: Then that will be

12 months, 18 months after the project is over.

Analyst: Last question is around split where now conductor was almost half of the profit followed by cables, followed by oil , let us say 50, 30, 20, 9 months number I am just taking, tubes and obviously oil was higher last 2 years disproportionately, but this new shade you think this could stabilize where we have half roughly coming from conductors and balance from oil and cables?

Management: No, what you will have to see may be this guidance that we are giving , 10% volume growth and that EBITDA and cable we are talking about 30% value growth and 10% EBITDA and oil 5% growth .

Management: All 3 businesses are independent businesses, we are not restricting any business actually. All the business , whatever opportuni ties are there , all these businesses will be taking those opportunities .

Analyst: oil will not be anywhere close to?

Management: Yes, CAPEX program is not there for oil . CAPEX program is there mainly for cable and then conductor and then the oil will be very limited CAPEX program .

Management : But oil will actually give you cash flows to help the CAPEX for cable and conductors, yes completely cash, you will need CAPEX completely free cash flow you can fund for your cable and conduct or business . From among the 3 divisions, the fastest growing would be cable.

Analyst: So, in terms of capital allocation , the return on capital on conductors and cables would be far higher than oil, is it right to say even now?

Apar Industries Limited
February 08,2023

Page 34 of 37

Management: No, even oil if you see last 2 years oil was performing like anything actually. We have stopped the return ratio .

Management : Yes, EPS breakup you have worked out what you are Rs. 20 for oil . That is what you are looking.

Analyst: No, I am just saying simple return on capital on the 3 divisions in the last 9 months how has that been?

Management: Last 9 months, conductor will be highest actually , second will be cable and third will be oil last if you talk about 9 months.

Analyst: Last 2 years if you see oil was the highest and now we see other divisions are picking up. Oil we feel that if we look at this quarter is low, but if you look at 9 months we are in line with a threshold margin which we have been saying about 5,000 ?

Management: Oil will also come back actually.

Analyst: It is sustainable that 12 months if you look at oil, it will always be about 5,000 per it is just that if you look at quarter -on-quarter is aberration otherwise on that 5,000 to 6,000 we feel that will continue?

Analyst: Extension to this question, how is the working capital different from each of the 3 businesses?

Management: Not bad, if we look at net working capital, it will be about, all 3 divisions would be in the range of 35 to 45 days.

Analyst: Asset turn is highest for cables ?

Apar Industries Limited

February 08,2023

Page 35 of 37

Management: Asset turns will be higher for cable and also for oil also. Oil, we don't need CAPEX only just keeps on adding.

Management: Oil is around 11.

Analyst: What will drive your 40,000 EBITDA per ton back to 25,000 which you are guiding?

Management: So, it is not be that way, so as I said that the short-term momentum looks high, it is not going to come.

Analyst: Short term means?

Management: Short term means if you look at near term to quarters it was not likely that is going to fall, even long term we feel that it could be that level. It is just that from planning if you look at it.

Analyst: what is like driving that,

Management: here what number we have given that is for preparing a model for 5 years.

Management: It is like China Plus One not happening, if suddenly in another US-China will come to normal and US is not preferring India, the custom import duty is changed between China and India comparatively

ears. Those kinds

of things happening, then that is where we fear.

Management: What happened when the realizations comes down.

Management: Even then we feel that our 25,000 would be there because our product mix has changed, so we will be at 25,000.

Management: based on history you are saying then these are unusually good circumstances here.

Apar Industries Limited

February 08,2023

Page 36 of 37

Analyst: And some whole number if do the numbers so whatever your project thing what will happen around Rs. 11 crores EBITDA of this year that will remain

Rs. 11 crores only for the next 3 years if what you are saying in the model.

Management: But then if you add all this payments and all which as of now looks slightly then it will be high and look at the guidance with the guidance is with the rider that some of these things will not turn and you need to see if that going to be realistic or not. If you look at the present thing, these things are likely to happen, but I know US, China and all this anyway bill proportion first spends, we see all these are tailwinds, not only the freight that we call as tailwinds all these are tailwinds and as we see it is like.

Analyst: US is not going to change its position with China anytime certain it going problem worse.

Management: Yes, that we have to factor the guidance along with this thing, then we be realistic where we are going to stand.

Analyst: What was the price difference earlier when China was having a lion market share and we were not there in US? What was the price gap?

Management: No, price gap means they were not having any duty. There was nil duty for Chinese cables in US.

Management: We were having some 4 to 5% duty. Now we are having 4 to 5%, they are having 25%.

Management: Straight away they are out actually

Analyst: And in conductors, what is the?

Management : Similar state condition in conductor .
Apar Industries Limited
February 08,2023

Page 37 of 37

Analyst: Straight away the 20%?

Management : Yes.

Analyst: So, at this import duty , we are at par or China has become better.

Management: Now even cost wise also cost price we are able to compete with China.

Analyst: At a 10% expensive rise even if it is anybody outside China, so in term ?

Management: Cost price also we are able to compete with China. In China there is no conductor or cable manufacturer reaching out this scale actually and their main advantage was aluminium actually. The 50% of global aluminium is manufactured in China and they give a lot of benefits because it is all government, then they want to promote exports.

Analyst: What is inter segment revenue, so what is that like?

Management: All the cables has conductor and they supply the aluminium rods to the cable division and then cable makes the conductor specific .

Analyst: Mainly it is conducted to cable .

Management: Largely that. Intersegment.

Management: Yes. Thank you.

Analyst: Okay, thank you.

Call: Feb 2023

E-filing

SEC/ 1302/2023 February 13, 2023

National Stock Exchange of India Ltd.
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: The Manager, Listing Dept.
BSE Ltd.
Corporate Relationship Department,
27th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Dept.

Sub. : Submission of Transcript s of Antique's Annual Investor Conference made on Monday,
February 6, 2023.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations,
if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"),
as amende d from time to time

Dear Sir,

Kind ly refer to our letter no. SEC/ 0602/2023 dated February 06, 2023 w.r.t. submission of link of
Audio Recording s of Antique's Annual Investor Conference made on Monday, February 6, 2023.
Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are now submitting
herewith the transcript s of the Antique's Annual Investor Conference m ade on Monday, February 6,
2023 (S ession 1 and Session 2).

The aforesaid transcript s are also made available at the website of the Company at www.apar.com .

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

APAR Industries Limited
Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India
+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India
+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

APAR Industries Limited
February ,06 2023

“APAR Industries Limited
Investor/Analyst Group Meeting
Organized by Antique Stock Broking

February 0 6, 2023

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING DIRECTOR
MR. RAMESH IYER – CFO

APAR Industries Limited
February ,06 2023

Management: If it's okay with you all, maybe I can spend the first 10 minutes please.

So, I can just first give you just a really quick overview of where we see the opportunities kind of brought it up on earnings calls and stuff, but I can kind of just cover that. So, if you look at the three businesses that we have, there are some common links to the opportunities that are there. So. Bec ause we supply a lot of building blocks that go into the power infrastructure, supply chain. It starts off really with the whole lot of addition is happening in renewable energy around the around the world. Solar installations, wind installations. Also, nu clear power plants are starting to come up because they are now classified as a clean energy. And we have a presence in India. We're trying to build that presence outside India. So that's one area where -- so you've got basically generation. So, you have c ables going into generation. You have conductors going into evacuation. From there because from each of these locations you have to evacuate power that wasn't working. And then you have transformer oil that goes into every transformer that's there. You hav e one transformer, a step-up transformer. You know at the site, but going to the grid and step-down transformers, you know it's part of the grid. So that's how these three major areas will benefit from the addition of this. Of the solar wind, etcetera. The energy generation. Then you got transmission networks that are being strengthened all over the world and in most cases, what's happening is that the locations where you can get this renewable energy is quite different than where the consumption is taking place. For example, if you take solar, the cost of real estate plays a very important role. If you want to set up very large parts. So, then the transmission line is therefore that much longer.

The second area were seen the growth coming from is public tr ansportation. So, on the public transport side , you got a lot of metros and railway which is going in because that's again a cleaner form of transportation in terms of emissions. So, in India the networks have become from diesel to electric and if you see the amount of assets which are being added in India for rolling stock, which is both locomotives as well as passenger. That again actually is quite cable intensive because you have a lot of cables and for instrumentation

APAR Industries Limited
February ,06 2023

in the locomotive and then you have the last point wiring that goes through the coaches. And in all in all cases you end up having this generation at one point in the train , and then the power getting transferred through that. So, you have longer trained and trains at more electric points. The intensity of wiring is going up. So that's another major area of growth.

The third one that we see, which we've not realized fully yet, but it's coming up, is this whole 5G rollout happening around the world. And that's where the

interesting part is that in 5G, you don't not only do you need fiber optic, but you also need hybrid fiber optic with copper. Because the power intensity is also quite different and the number of sites is 5 x 10x of what it is, and quality. So the intensity of the density of towers is much higher and you need this cabling to run through. So for example, some of the cable going into the US have started going into that. Because there's a 5G rollout is happening quite rapidly, so that's another major area of growth.

So, and then finally in our cable business, one of the opportunities that we see is, we've taken our electron beam technology and converted

into a house wire.

Today we're the only player that actually has that. I think people like Polycab and all can also come into making wires in that manner and the whole market will expand. But these wires are the last mile building wires that would go into a building, but they carry three really significant USPs. One is it has a 50-year life because the technology that we used to make the polymer the same as what we use for the defense and the nuclear power plants. So, once you wire it, 50 years, we have data to prove that the wire can last for at least 50 years. Secondly, it can carry 50% more current. Then a conventional wire and I guess it's becoming important in today's context because you don't know what power you're going to consume. In five years down the line, you have robots for cleaning. I don't know what else the electrical will have in the house. And the third thing is it's melted resistant, so it becomes almost short circuit proof. The short circuit happens when the insulation of a wire when is overheated, it falls off and then two naked wires touch each other and there is a fire. Sparking fire etc etc. In these wires, they are melting resistant. So, it will if even if there is smoke, it will be hours before which the insulation will melt off the wire. So, you can prevent a short circuit fire taking place because the smoke would get

APAR Industries Limited

February ,06 2023

detected and put off the installation. It has higher safety, it has longer life and it has much higher capacity.

So, we started seeing good traction for it. We started in two states Kerala and Gujarat. Wherever we have been able to show a demo of this wire versus another wire, of any wire, the customer, especially if they are the final decision maker, 90% of the time they choose because it costs only INR 1,000 a square foot, extra INR 1,000. It costs an INR 1 a square foot. To increase the wire, so take a 1,000 square foot flat, you'll spend INR 1,000. In selecting if you if you choose this wire above a discounted wire that's available. So, these are the areas where we see. You know our growth taking place. Fortunately, the most of these areas that growth is not only restricted to but at the same time everywhere in the world the same effects are there. This is non-conventional energy getting added everywhere and especially in developed markets. So, in these markets, earlier our products didn't find any and there wasn't enough capex going on for our products. Right now, it's the exact opposite. If you are able to deliver faster, you can get a premium price for it.

Secondly, this whole railway thing is not again restricted to India. Every city is expanding their subways, metros, because again, the emission is much lower in an urban concentrated area. The third thing is that one of the things we've done also along with the house wires is that we made auto cables and we've been focusing on a niche of actually buses. Because they require much larger harnesses compared to a passenger car. They already have Motherson Sumi, so many other big companies already there. So, we have we are supplying to Electra, we are supplying to JBM and all these buses. So that business also slowly -slowly is becoming more meaningful. Mumbai will be the first city to switch entirely to electric. I think it should happen sometime in 2024. Entire BSP fleet will be electric. So, our wires are going into all of these. So, these are the broad areas where we see the good thing is that this whole infrastructure build up is not something that's going to happen in a couple of years. It will take five years, 10 years for it to happen around the world and because it is happening with such a broad base, we feel much more confident that year-on-year the business will come when it's v

ery constant. When your

buyer is very concentrated, then you are the wagonies of the buyer, right?

APAR Industries Limited

February ,06 2023

They suddenly don't want to spend capex. Your business reduces whereas you're the base itself is so huge that and so many customers are there around the world requiring these products. That's why we have the confidence that it's going to be a year-on-year growth. So that's a very high-level overview.

I can spend a few minutes on each of the segments which are there. So, if you see on the conductor segment, I would say that there are two major things which have happened because you see the profitability has increased substantially. And if one were to boil it down to tell you in two minutes. What it actually changed. So, what has changed are two things. One is that there is a set of premium products which we've been working on for years, which have now found a market. So, we have these high efficiency conductors which are now increasingly being used for getting power into cities. So, it first started with a mega city like Mumbai and Delhi. Delhi still there was more space, but Mumbai there is absolutely no space coming in. But it's now started going into the second-tier cities. Because the electrical consumption there is growing at a much faster pace than even in the Metro, so you have the Pune, Nagpur, Mangalore again this requirement is coming up.

Second thing is this OPGW which is really an earth wire. So, in a conductor you have an earthing wire at the which is the last wire that you see. So that used to be just a made out of steel, galvanized steel. Now it has a fiber optic cord in it because every opportunity that you have where you can carry data is going in. Because data is the new oil and it's just going to explode. So, and the most reliable form of transmitting data is on a fiber. So, this OPGW is growing and we see during this COVID period there was a lot of delay in awarding contracts and executing contracts, but now it's clearly catching up and for any new transmission line the earth wire is pretty much being specified as an OPGW wire.

The third product line that we've that we've been working on is, copper-based products. So erstwhile, our entire conductor business direct only with aluminum and aluminum all alloys. Whereas today we started off with this railway electrification. When we developed the catenary wire and contact wire to India now that electrification program, the basic electrification program is getting over. It will get over and by the end of the bulk of the money would be APAR Industries Limited

February, 06 2023

spent. But the interesting thing is that actually when this electrification was coming on, APAR presented to the railway board and RDSO, the specifying authorities there, to use an alloy and copper alloy. Because that can carry much more power and you can use it to run the high-speed trains.

But at that point in time there were two problems. One is A, the railway didn't want to spend more money. B, we would have been the only supplier of that because we had developed the technology ourselves and none of the other suppliers could produce that. So, all the wiring which has gone in the conductor ring which has gone in is just standard copper catenary wires and contact wires. Now India is starting to speed up the trains. So, the demand for that is now going to come up. So hopefully because of that this business with the railway electrification business also will continue. In addition to that, we added copper transpose conductors which conductor windings that go into the core of a transformer. And we also added. We've just recently added

copper bus bars. When you go into any installation, and the meter rooms or any of these will find one big bus bar of copper from which then you know all the tapings are taken for the various meters. So that's kind of building into the copper capability that we have.

And finally, the icing on the cake actually for the conductor business is that our turnkey business has been growing. And what we've done is that our turnkey business is actually very focused around the specialized products that we manufacture. So we have no intention of competing against Kalpataru or KEC or Tata Power or any of these guys on normal transmission lines. Our focus is around high efficiency conductors, OPGW, all these where there is an element of working with the end client on specifying the product, designing the network, and then delivering the product as well as the supply. Our supply portion or our manufactured product needs to be a significant part of the total turnkey. The advantage that is brought is that A, we are much closer to the customer so we can come up with the right solution for them. We are directly in touch. B, you're eliminating a very important layer that was resulting in

deflating our prices.

The EPC guys would take the order and then they'll try to compete three, four companies against each other. In this case, we have more expertise than the APAR Industries Limited

February ,06 2023

EPC companies. Especially, when you are doing re-conducting of line. So, the combination of these things is what has helped the conductor business. So, the premium products have started coming from these five areas.

Analyst: Just to understand the impact of the community cycle out there, on a conventional conductor like -to-like basis, what would be change in your spread for quarter basis say two years ago and now?

Management: So, before we had this range of products right, if you just took conventional conduct, I'll answer your question by just completing one last sentence. So, what has happened here is that 44% of our revenues are coming from these five. So, you take the order book which is there, which is about INR 4,800-odd crores, 44% of that is coming from these five product lines and you've got CTC and bus bars and a II which are ordered on a month -to-month basis. So, it doesn't actually carry a long-term order book like OPGW or HEC or these turnkey projects. So, we feel that this 40 %-odd is something that's here to stay for a while.

Second thing is that the commodity or the standard conductors which were there, which we were selling in India and not making much margin or making no margin on that entire portfolio we have now started exporting. And just to explain in a very simple language, the problem in India is that everything goes by a two-bit process. So, once you clear a technical specification. Then no matter how good or bad your product is, you are at whoever the cheapest gets the order. So, in short, 41 on 100 and 100 on 100, is equated to the same price. And so, as a consequence, if you're putting in a lot of more effort in terms of process quality EO error, none of that is actually getting captured in the form of the customer appreciating or paying for it.

Today what's happened is that the overseas markets have been opened up especially the United States, Australia, Europe etc etc, we've taken this, we are selling premium products in India and we've taken our standard products and started exporting it. So, in fact if you take the last part of the order book, I think standard products is less than INR 5 crores. Order intake negative.

Analyst: So here just you can give an idea about the competitive scenario in -- your standard user India is very competitive and because of heavy margin all things APAR Industries

Limited

February ,06 2023

all. But globally, how are we compared to other global players who might be supplying.

Management: So, in -- you take for example the US market. So, the US also has conductor manufacturers, but they have some limited capacity and over the years these networks are not being built at all. So, the capacity has come down to a very large extent. Now today for people to set in new capacity, A. it is quite expensive, B. manpower is not available. So, you build the plant but then it needs to be staffed. So as a consequence, what we are finding is that for products like ours, local manufacture is not something that's happening or is very easy to do at a very large scale.

Analyst: But your Indian competitor, you are in the standard conductors, can he not go to the...

Management: Yes, so the thing is what that -- the so here it's supporting the pass mark is 40 on 100 in for many of these customers this path the pass mark starts from 70 and go up to 90. So as a result of the people who you have to compete with or the kind of product that they have to deliver in order to satisfy that clients requirement is significantly higher, and the main reason for that is that these guys look at a lifecycle cost of the product. The product last for it's supposed to last for 35 years, 40 years but can last for 50 years. So, we are looking at the life cycle cost. Whereas here what is happening that people look especially many of the government buyers that they have a certain budget they want to make sure that they maximize usage of that budget. That doesn't take into account the life cycle cost. What are the losses on the line? How long will it last? Those sorts of things.

Analyst: Sir, Indian competitors won't have similar quality as yours ...

Management: So, Sterlite is the one company that we compete with all over the place. Sterlite

Power, they have almost a comparable range of products as we have, except that they are less focused than we are on this business.

Analyst: The other smaller ones, not.

Management: One is that other is that they also look at companies having very strong risk management framework. So, some of the smaller players, they don't have so APAR Industries Limited

February ,06 2023

much, no all their septets for having hedging and all they end up they may end up trying to speculate the price of aluminium which we don't do at all.

Analyst: Chinese globally would be more competitive than us but because they don't want to be more competitive.

Management: We were facing a big problem with China because of the FTAs that China had. We are as competitive as the Chinese in terms of all of these products pretty much. So, on like-to-like field we were always able to compete. So, in Canada, where the Indians had zero duty, Chinese had zero duty, we were competing against them. Australia, China had a 4% advantage. In the US, Australia meaning, China and Australia had 4% advantage and the US had 5%. But now Chinese product you have to pay 25 to 30% duty so it's completely out of the game. Even if both of us had the same price point, I think we are in a position to compete.

Analyst: So, there is a big macro turnaround for us that the US wants to...

Management: And I think the Chinese-US relationship, I mean you know better, is not the shorter balloon. Now again, there is a problem. So, I think from that standpoint and one of the good things that the current Modi government is doing is that they are really working on getting FTAs in place. So, we have an FTA signed with Australia. We have an FTA signed with the UAE. In the US, fortunately India is slightly better off than China, but there are di

scussions going on and

just recently Mr. Goyal had a specific meeting with the top 50 exporters from India. And that he mentioned a number of FTAs which are at various stages of negotiation. And one with Europe, I think is something that he feels will happen. That's another big ticket one which will happen. The UK is on its way. So basically, it's allowing Indian exporters, our export will go up only if we are not at a disadvantage relative to another big player like China.

Analyst: In export market, the only query for you would be US should spend money on the grid infrastructure and second you should get all the certifications and...

Management: We already have the certifications in place. That's something that we've invested like anything over the years. We're doing a lot of business development. We are not feeling the result because the spending only was not happening. So, whatever spending they were doing, the local guys were able APAR Industries Limited

February ,06 2023

to meet that requirement. And the US mentality generally, for maintenance is one where I want product in 48 hours or 24 hours. No, unless we start stocking our product layer without an order, it was too risky a proposition. What's happening today is a lot of the orders are project orders. You don't need 24-hour delivery. You have to organize when the panels are coming in, when the windmill is coming. It's like a two year or an 18-month project. So, they tell you what window you need delivery in, so we can plan out and deliver the product.

Analyst: At the company level for a conductor business, do you think the current kind of profit profile per ton basis will sustain? Because that is almost like 2x to 3x of what you used to do in years.

Management: More than that. So, see what, that's why we've been even guiding that if you look at this current product mix that we have, that base level which used to be INR 8,000 to INR 12,000 per metric ton that we are comfortable that base itself has moved up to INR 22,000 to INR 24,000 per metric ton, just because of the product mix that has changed. In addition to that, if the more premium offerings are there, so for example you take high efficiency conductors, there are different types of conductors. So, if you take the very high-end ones, you can carry 2x the power, 3x the power, obviously we make more margin on because there's much more engineering that's gone into that.

So currently what's happening is that we have a lot of good tailwinds in there. We have some benefit which is of the freight. We were heard before we have benefited from that currently. So if you take out all these factors and you say you bare bone, there is no tail, there is no wind at all, that itself has gone up now to this 22,000 to 25,000 and moment anything else comes in which is

favorable, you can expect that to go up working your way above that.

Analyst: But this is significantly lower than your current number.

Management: Yes, well if you take the nine months it's at INR 40,000 a ton. A little bit of the EBITDA also increased because the interest costs have increased so that we are factoring in. So you have to look at not only EBITDA, but if you look at because the interest also has gone up. So when you look at earnings after interest, then automatically that also has been adjusted. Because where you had in the export business, even domestic may, but export may have been quite

APAR Industries Limited

February, 06 2023

stark. We used to get funding at 11.25% including premium. Today, you are closer to 5% with all the increases that have happened. So that has also been factored into the cost. So the EBITDA has

got a little boost from that.

Analyst: In the tailwind, when we say not only includes things like freight and steel, but also things like customer requiring order much earlier or in quick span of time.

So, all those also actually gets into the tail end ...

Management: And if the US continues to buy, if some of these countries continue to buy, see today we are seeing some customers who are so pissed off with China that they are taking an undertaking from us. You will not use a single Chinese component in the manufacture of the product. Nothing, no metal, nothing. They would give an undertaking. Now if these undertakings continue then obviously you stand to benefit. So, but politics is politics and I don't think I want to make a call on that. The point here is that if all of these things disappear, you're still at a level which will be a double award, 2x to 2.5x award you were three, four years ago.

Analyst: So, this RDSS is now exports, you explain very well, but on the domestic part, RDSS is going to be a big deal and then we want 300 megawatts of renewable energy. So, when we put say 300 megawatts of -- gigawatts over next seven years, how much will be the opportunity for conductors and how much for cables? Because as ...

Management: RDSS is actually much more on the -- so there are two sets of products there. You have your power cables. So they start off with the low volt, I'd say LV cables, going up to 66 kV. That's the range. Bulk over to be 33 kV and below. And then we have a product which we have pioneered and is now included in this, which is the Medium Voltage Covered Conductors, these MVCC. So basically it's a conductor where it has a very specialized insulating covering on it. And so it increases safety dramatically of the product because you can be much closer and not have radiation even if you touch the wire. Because that in Mumbai, you don't see it because it's been mostly underground, but if you go to any place you go to Bangalore and you go outside anybody's bungalow, you see a cobweb of wires over there. So that's where it has some play.

APAR Industries Limited

February, 06 2023

Secondly, it can go into increase safety in any of these places like, you take a forest or you take a wire, conductor that is running along the highway because you have a lot of tree planting happening. There's a branch of the tree goes across two phases again; you'll have a shot. So, all that gets eliminated. So, we've pioneered that, in India. We've been educating all the and they've included it in the RDSS now.

So, I think I mean the rule of thumb if you go 3 lakh crores is what I used to say. RDSS about 30% of that is your cable conductor portion of which I say 90% is cable and 10% is conductor. So, the conductor demand is going to come from another funding altogether. This is called reconditioning, augmenting transmission networks. That's what it is.

Analyst: That is over and out.

Management: RDSS is fundamentally focused on improving two things. One is the losses in the distribution setup and secondly, improving the architecture of the distribution. If you take today, you go into the rural areas in Maharashtra, you still have eight to 10 hours of load shedding happening. Not because power is not available, but because there is no way in which they can distribute that power.

Analyst: Then this 300 gigawatts whenever it comes the solar parks, wind parks, it will need a lot of cables and conductors. So, do we see some opportunity there for us?

Management: Yes, we see that opportunity there. Problem in India is that again that same 4,100 and then there are some of the big developers are there. They don't care a damn about quality. They just want to flip the asset. Even big names are there so we are supplying to them. W

e have orders that go in even today into

Adani and some of the other big solar guys. But increasingly we are finding that as the solar demands are coming up in the US and Europe, they are finding their specifications and standards are much higher. We are very clear, whatever gets me the higher margin, x the plant, right? T he world is my market.

Analyst: Going from your talk, maybe five years later you will be a much larger exporter. You are still sitting on 40% exporter. What you may go to 60 %, 70% is that possible or not?

APAR Industries Limited

February ,06 2023

Management: Yes, it's possible. Depends on who pa ys me more money and values of our products more. It's quite possible. See, two years ago we were nobody in cable exports and F Y '23 we will be the largest exporter of India. You know leap from all the other cable manufacturers. I think what we've tried to do here is that any product that we've developed, we try to develop it not only for the Indian market but looking at a global standard. And maybe we did it because we have any engineering driven kind of company and we believe in tomorrow solutions today w hich is our motto. But now it is being divided because suddenly when everyone is buying all over the world our products are getting accepted more easily.

Analyst: Sir in the cables business you guided for 25% CAGR, so does this division we do a much faster growing. So, within the cable division, there are two parts.

One is the retail which you are trying just like Havells or Polycab . The second part which is a low medium voltage high voltage industrial or the great cables.

Management: I don't know but besides that we just go to the cable side. Basically, on the cable side , there are multiple there are five major areas of the business. So, you have one. The first one is what you're talking about with the whole power cable. So, in terms o f construction complexity, the low end of the building wire, which is what we have come out with the building wires that I spoke about. Then you have instrumentation control cables. You have LV cables, MV cables, HV cables, right? So that's one stream.

The second stream is your elastomeric cables, which are going into windmills. It's going into your mining segment, etc etera. So that we have a very strong market share. Windmills, we have 70% share. And the beauty is today that all, solar is not the only way to grow, right? Because in the monsoon you don't get any solar, you get a lot of wind. So now, in fact, our own hybrid which we are, which we have set up with a company called CleanMax to supply clean power into our own cable plant. Because now people are asking for carbon emission footprint on your production in all these markets. So, we have already maxed out the solar which we can do in our facility. All the rooftops are maxed in terms of what we are doing. So, we've now signed up with CleanMax and we have a joint venture company which they are going to install and run. But we part invested in which will supply clean power in here. So, if you want power

APAR Industries Limited

February ,06 2023

on the air it has to be wind and solar. So, we have a good position on the wind side and we have a glo bal approval in place on most of the wind companies.

We have GE, Nordex, Vestas, Siemens Gamesa . All these champs and there are two Chinese companies are there .

Analyst: What would be our content roughly average? Megawatt of installation , what would be ou r cabling content?

Management: So, it varies between solar and wind. In the case of solar, see there's one cabling which is the string cabling. It's on the panel, which is why we have a lot of strength becaus

e of electron beam and the construction of that, it's

simple, but we need a high q uality. The other one is actually much, there's a lot of more cable involved just in the panel wiring, wiring to the panel, etc etera, which is just a regular LV cable. So there everybody can complete. String cabling is where we end up having a stronger pos ition. So, it's about, I'd say about 10 %-12% of -- in the case of solar is more. In the case of wind, the wind tower itself is very expensive. So, it's much lower, maybe 5%.

Analyst: Sir, total value chain put together per megawatt can we take 1 crore we sub-cabling would be involved sir?

Management: No, much less than that because if suppose you take INR 6 crores, INR 7 crores per megawatt because wind is little costlier than solar. So, in the case of wind, it's hardly, it's a single digit. Whereas in the case of solar it's like, maybe 12%, 14% from here. That's what it is.

Analyst: So, these elastomeric cables are mainly into the renewable energy.

Management: Yes, then the next one is this electron beam -based cables. That's going into rolling stock, railways. So, locomotives as well as coaches. It goes into all these defenses which is largely Navy. Because the warships require huge amount of instrumentation, submarines, frigates, all these. And so that's the other major area of growth for us. And then you have optical fiber. And here upon the OFC side is not only OFC, but it's the specialty hybrid, which is a combination of. And then there is a separate specialty cables which are being used niche products by the defense particular. Again, which require in every instance, telecommunication and power. For example, you have a balloon. What is Chinese? Right? You can have a floating balloon or you can have a balloon

APAR Industries Limited

February ,06 2023

which is actually connected at a point. There was a plan that India had and we developed a tether cable for that, which is to have these balloons in about 75 kilometers inside of India's border. That can carry cameras that can oversee activity that's happening in 200 kilometers into across the border. So in any military movement, any other movement can be detected. But I think now they are not going through with that with that only. But these are the products which are there. It takes you four or five years to develop the product. If it works, you make a lot of money. If it doesn't work, it's okay.

Analyst: And these except for the power, the other four cables would be what proportion of revenue and profit say? Because power would be the lowest margin like the power cables.

Management: Power cables is the lowest margin. So, if you exclude, house wires, what power cables is what about 40, next to your 25.

Management: We'll see about 10 %.

Management: The last would be 25, the optical fiber would be 10 %. And then electron beam and specialty would be another 10 %.

Management: It's actually part of all this. So, the elastomeric business this year will be around 700 odd crores out of the 3,200. But you see on the power cable side where our margin has increased or improved is the export of product has not happened. They don't give what they say. That's not in our DNA to know what to do. So, you go to a market where people expect you to supply what your specification says. We were finding it difficult to do that now. The markets have opened up. So, we have trouble supplying a metro in India, but we are very well placed in Australia for example. We got 50% of the Sydney metro job. It's a really huge job. 100+ crores of cable. Same thing here.

Analyst: Sir, this elastomeric, electron, optical, competition will be less in all this. Are we the only one there?

Management: There is competition but slowly people are getting into it but t

hen the market

is also growing, the applications also are growing. So, for example elastomeric cables, none of the other players are really the big players have come in.

Universal is the only one that's there. We take Polycab, Kei, Havel Is they are

APAR Industries Limited

February ,06 2023

not really much in the elastomeric, big elastomeric cables. On the electron beam side, Polycab has set up e-beams and Universal has set up beams, but they are focusing only on solar cables at the moment. There are others from niche players that are there in this business.

Analyst: And because in the demand environment for cables and conductors both is so good, are we seeing any capacities coming?

Management: We mentioned on our call also that we have a plan of adding about 350.

Analyst: But other because even when the whole ...

Management: Yes, will add.

Analyst: And then three years later we again region over capacity.

Management: Well in certain areas, if someone is going to focus on only a very narrow part of the product range you can easily add that and power cable it doesn't take very much for you to add capacity for LT cables and stuff like that. But now the

moment you US , you have a U L cable requirement. The conductor portion is standard, but the polymer is totally different. And it requires UL approval and UL is just like FDA. Then take a sample of the shelf of a CBS and it will go for testing. And the full traceability there, right? FDA approval number, everything is there. Same thing on the cable. You have to print your UL approval number. They don't talk to you. They just pull a cable from some construction site and send it for testing. And if that cable fails, then UL is cancelled . You get a letter by email saying , here's the report with. Use of your cable is suspended. UL. So, I think , even guys who are here and doing various kinds of things, they will also be a little bit more circumspect, but the market itself is going to expand, so we will see a lot of -- I think our protection is basically two fold. One is you have the range of product. Secondly, you don't design and make products only for the Indian market , or it should be available for a global audience. If you do these two things, then it will help secure both growth and profitability. That's what our mantra is that. And we see the developed markets like US, Europe, Australia and all these. There was nothing, we could hardly supply anything from here. Now today the requirement itself has gone up so much and in Australia there is hardly any manufacturing left of cables.

APAR Industries Limited

February ,06 2023

Analyst: So apart from India like when you compete in developed markets who are the other, which are the other countries which are involved like So China is now out of the way for various reason. Apart from...

Management: So, Chinese cables are there in some places , but you've got some European manufacturers, you've got manufacturers or local also. So, for example Sydney Metro, Brisbane which manufacturers locally the largest cable company in the world. So, they had 50% of the orders we got 50% of the order. They placed the order and they made a premium to us. Because of local supply, they had then supplied to all those installations for many years. So, there will be some competition will come with local or regional players. And you will have competition from India also. You have Polycab , you have Havells , all of these guys are also looking at exporting, but the market is huge. FY '21, the US imported \$19 billion worth of cables.

Analyst: The capex over next three years, what would be the thousand crores capex you think?

Management: So, we are looking right now at what we really planned out is about INR 350 crores . That should -- see the ratio is around anywhere between 7x to 10x approximately . So, you put in this INR 350 crores of capex , you can get INR 3,000 crores of revenue . So that's the plan . On the cable side , we are looking at a Greenfield site which is not very far from our existing manufacturing location so that you can then keep expanding at that site , as the demand increases and the demand has been changing. So, for example in the US , there is very strong requirement of the building wires going into real estate. Now the housing is reduced, but the infrastructure spend is increased. The cable construction is also slightly different.

You have to have that flexibility in terms of configuring your equipment. Once you have the basic place infrastructure, etc etc, then you can keep dropping production lines.

Analyst: How big is it Greenfield site which you are planning, sir?

Management: It's about . It's spread out on about 45 -odd acres of land . So, it can accommodate, I would -- see we are occupying currently about 40 acres for producing this. We can produce about 4 ,500 crores . Typically, with that I

APAR Industries Limited

February ,06 2023

mean if I just extrapolate you can go to about 9 ,000 crores, 10,000 crores .

On the cable side we plan it out properly. So, there's sufficient for the next few years sufficient then after that if the house wires and all pick up then one has to see whether you want to set up manufacturing and other parts of the. Thank you.

Analyst: But there you can spend about INR 500 crores, INR 600 crores of capex?

Management: No, more than that. Right now, we have planned INR 350 crores. It will build up maybe 30% of that. Some of it is going into existing -- some of the capex is going into existing locations. Because anything in Greenfield India means it's 1.5 years , two-year project. Power connection, this, that, land clearances, all that.

Analyst: So land is completely acquired sir?

Management: No, it's in the -- we've signed the MOU and all that. Finally, all the transfers of -- all that is happening. Hopefully, it should get done in the next couple of months.

Analyst: Sir, in EHV anything we have taken the initiative, sir....

Management: Well, I mean, I think, I mean, if you put a good EHV plant today, it will cost you about INR 250 crores. I'd rather put INR 250 crores on these other product lines where I already have an established product, market. There are already four or five major players are there in EHV. And as the UAE thing comes down, we've got multiple players in the UAE. This free trade agreement comes in. That's the only cable that they can compete with. K ei and Universal in India. We find Ducab and all these chaps coming in. So, we would rather concentrate on where we've proved ourselves and our differentiation.

Analyst: You have so many products, better quality than what India needs. So, you can just talk a little bit about your R&D base and how do you get intelligence to make these? You will also have a great sales team to do all these exports and take these approvals in the foreign countries ...

Management: So, we so what we've what we've invested in. Fortunately, you know the company has been right under the third generation. Yo u know we've been very engineering focused. It's only now that we've added people to do

APAR Industries Limited

February ,06 2023

branding and all that sort of stuff. The thought process in the company was give me you make good products and demonstrate your customer and they'll approve it and star t buying it. So

, we've always had all right from the last 50

years, we've had always a team that has been focusing on the company's motto when the company started was called tomorrow's progress today. So that was the mindset. When we rebranded the logo and all of apart at that time when we did that exercise reason changed it to tomorrow solutions today. Because ultimately what we found is all our growth is happening by sitting with the customer and understanding what problem they have and what solution they are looking for. You provide that solution then you become, that much more valuable to the customer. So, all of these products are actually come by looking at some expertise which we think we can develop in house and our customer requirement. Be clear. So, we have teams in and all the plants, every plant has an R&D center which is DSIR approved. Department of Science and Technology. And we don't capitalize any R&D spending. Whatever is spent is expensed. In some of these cases you don't know, like for exam ple, this Navy stuff, you develop so many different types of cables for the Navy. So, you develop 50 cables, maybe 10 of them will actually get up , because they themselves are also experimenting until you develop this, then they change the spec. But it helps enhance your total capability.

The same thing with export. We saw in our oil business when we started going out of the country for transformer oil, similarly for conductors. The standards which people put on you when you go overseas is very, very much higher than. Here we also meaning people are ready to overlook issues there. It's a go no go. We don't need all this. Please take it back. It doesn 't matter how much it costs. You can't even sit in front of them and take it away. I'll reduce the price by 5% and take it. So go no go.

Analyst: Any project product adjacencies you will be looking at in terms of cables and connectors you have like meteri ng or anything you will look at a bit ?

Management: We have so much of room to go. This business can be more INR 10,000 crore business in five years. So. Just I think the focus has helped us. No need to look here and there.

APAR Industries Limited

February ,06 2023

Analyst: The gross book capital any reduction will happen with B2C coming into play or working capital days gross and inventory plus receivables can it come down directionally lower, sir?

Management: So, as the B2C part grows, ye s, obviously it will. But then when you have the turnkey side of the business growing, then that eats up a bit of money . Because what happens is that a certain portion that last 10% is generally kept for you to complete demonstrating all the requirements which are there. We've been quite good in terms of getting that released, but that may take several more months. What happens if a line has to be completed , only 10% of the line is

left. But that retention is there, until that 10% line is completed, you can't leave hands on it. The whole line has to run. So, that's one of the reasons why we want to focus on the, and plus the branded side of the business, we see the whole wires market getting far more organized. You see all the branded players; their largest market share is taking away from the unorganized sector. The Polycabs, Havells, R.R., Finolex, Kei. It's not that the wires market is growing at the same pace that they are going.

Analyst: But don't we extend they have become organized as the next 70 %-75% market would have become organized as like three years GST and everything got implemented. So now an organization will be very small ?

Management: There is not that much differential in the price available. You pay GST on copper; you pay GST on your polymer and the number of avenues and as the IT setup improves the GST, they are able to

to trace who's evading GST so many raid are happening. So, I think, that phenomena is only going to increase, there small guys will do well if they provide the right quality of the product, if it is based on evading taxes then you are having a problem today.

Analyst: So, this distribution is based on cable wire?

Management: You know in FY22 we did about 100 cr. And this year we will do 180 cr. And our target for next year is to do 350 cr. So basically it is a function of setting up distribution etc. so if you see on FY22 market given in our earnings call we had 19 distributors as of March 22 whereas today we have 97 and our retail counter presence we had 276 that we were accessing in March and today we

APAR Industries Limited
February, 06 2023

have 1543. So it is still 10% of what Polycab would have, may be more than 10 times also, but it is growing at a very rapid pace, in the quarter itself we have 40 odd distributors, we had 600 -700 retail counters because our team has started now getting added and expanded.

Our sense is that we can add from 180 to 200 which we will do this year to 350 next year and year after that 500, that seems very much possible, we have the whole plan in place and we have just started our advertising actually so whatever we have grown is without it, only last month in Kerala we have started this ATL, advertising by march we have enough distribution to start in other locations. And the good thing is we have grown this building wire business with EBITDA positive, we haven't lost money in single month.

Analyst: Sir, I think your export will cross so much cash flow so you can spend a little more money here from this is the place where markets really.

Management: Yes, we have a plan. But you know the thing is that you've got to make a fundamental call of whether you want to go through a wholesale, semi-wholesale strategy or you want to go through with a distribution-led strategy. And our sense is that if we go through with a distribution-led strategy then like, if you take all the companies, Havells is the only one that is really got, if you take Polycab also 10% of their sales is non-cable sale. If you take Kei, there is nothing which is non-cable. Havells is the only one that has really and they have wherever they have very strong distribution, they have the full product basket they have. So, I think if we build a distribution, it may take a couple years longer. Other product extensions can also then be stored better. I think that seems like a. The strategy we want to do right now.

Analyst: Yes, thank you.

APAR Industries Limited
February, 06 2023

“APAR Industries Limited
Investor/Analyst Group Meeting
Organized by Antique Stock Broking

February 06, 2023

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR

MR. RAMESH IYER – CFO

APAR Industries Limited

February ,06 2023

Management: 10 more minutes just giving you a quick overview of where we see the main demand and growth drivers that are there. And then we can discuss it little bit more granular ly on segment basis. Please feel free to ask questions as we run through this.

So, you see fundamentally in terms of growth drivers for us, it's really being driven -- so the largest portion is coming from -- new infrastructure has been stepped on the renewable energy side. It's happening not only in India, but it's happening in most pa rts of the world. So you have renewable energy coming in the form of solar and grid.

In addition to that, there is a revival of nuclear power, which has also been considered as clean energy from today, because the emission is relatively very low, and so th ere, your cables going into the generating assets itself. So solar panels in the sensor farm cables going to the wind mills. A lot of cables go into any nuclear plant. So there's one portion that's in the plant itself.

Then there is a second piece, which i s an evacuation from that into a grid. So either it goes into a regional grid or a national grid depending on the country and the format that's in place. So that's one really big driver. Transformer volume is very linear with whatever infrastructure goes i nto the transformation, stepping up, stepping down, etcetera right? So that's one big driver.

APAR Industries Limited

February ,06 2023

Second driver that's coming is from public transportation. So you got every major city in the world is adding to subway's, metro's rail transportation, because it 's a much cleaner form of transport. So that's another portion coming in. In India, the railway spends are very high. You see the budget allocation is also Vande Bharat and all these. We can discuss in a little bit more detail when we come to the cable conductor segment. So that's another driver.

The third driver is basically in terms of data, data movement. So on the conductor side, we have a range of, we have a product called OPGW, which is earlier you had on transmission line just a ground wire. Today you have a ground wire with a fiber optic cord and these are high-capacity fiber optics cables that run inside of that wire. And that's the backbone of national movement of data.

So even today, the two largest data transporters are POWERGRID and the Indian r ailways across the country. You never hear that name, because we are actually buying from Reliance, or from a broadband Airtel or a broadband operator, but these are the guys who are carrying it. So every transmission line new going in is coming in with this optical function.

Also this 5G requires a huge increase in the amount of cabling and it's not only fiber optic but it's also copper, and for saving space and right of way, these are coming out in the form of hybrid product , so same cable in both fiber o ptic and copper. So that's the third area of growth.

APAR Industries Limited

February ,06 2023

The fourth area of growth really is just basic increase in electr

ical

consumption happening at the last mile. So electric car coming in, more usage of electrical appliances, and as far as usage is concerned, last mile wiring is increasing. House wires, low tension cables, etcetera. So these are four major areas of growth that we see across the company.

The good thing is that growth is coming not only in India, but in most cases it's coming across the world at the same time. And, therefore, companies that have the products and have the approvals in place to service these markets are seeing an automatic jump, not only in terms of sales but also in terms of profitability.

So that's just a macro view. Now if you come down to the three business segments that we have, I'll just have to summarize in a nutshell where the conductor business actually stands. So, if you -- if I just dial back 10 years ago, most of the business came only from just plain vanilla conductors. The aluminum conductors, they were used for transporting power from point-to-point and a single specification in terms of the type of product running across the country. POWERGRID doing a lot of -- POWERGRID and electricity was being the main implementers of it.

From that, today we have got five different verticals that we have brought into the conductor business, which are what we would call premium offerings. So, besides the standard conductors, we have a whole range of these high efficiency conductors, which they do two

APAR Industries Limited

February, 06 2023

things. One is they carry a higher amount of current. So on the same tower, you can replace a conductor, put a new one in place, you can carry anywhere upwards from 25% percent to 300% more power on the same line. So that's one area that's come up.

The second one I already mentioned is OPGW. And there the advantage we have is our cable plant produces the fiber optic cable and that gets encapsulated in the conductor plant. The conductor team then sells the finished OPGW product.

Analyst: Can you explain that again?

Management: So, every transmission line has at the bottom a ground wire, which is an earth wire. For example, if you take a three-pin plug, the big thing on the top is an earth wire, right? It's for earthing. So, same thing the conductor line also has an earthing wire in it. So, previously it was just a steel wire, galvanized steel wire. Today it's a galvanized steel wire with a fiber optic core. So it's a natural product for us. So that's how we have Apar and Sterlite are the two major producers of OPGW in the country.

The third area that we got into was a range of copper-based products. So one of the things that happened for Apar was that once we got into this cable business and started growing it, cable has a good share of both aluminum and copper. So, aluminum is where Apar already had a lot of expertise because of the conductor division. But copper also, you know, expertise started developing from the cable side. So, we

APAR Industries Limited

February, 06 2023

brought it into conductors and developed a range of copper-based products.

So, it coincided with the whole rewiring of the Indian Railways, converting from diesel to electric. So, we then got in the catenary wires and the contact wires and became the largest producer of contact and catenary wires. There were a number of existing players,

but they had

limited scale. We saw the opportunity, we had the technology and capability in place in-house, so we put in the largest capacity.

So that program is now pretty much coming to an end. In 2024, it will pretty much come to an end. But besides that, we also came out with a range of copper transposed conductors, which are used in the core of any transformer. The core winding, you require this type of copper conductors in there. And we've added a range of busbars. So, any

electrical installation will have a copper busbar from where you then draw and connect meters and all this other equipment that goes finally into house s. So, whether it's an industrial undertaking, whether it's a house or building, anything has that. So that's the next offering that we had.

And finally, we added a team that was doing turnkey projects. And that was very important for us to deliver high efficiency conductors and OPGW , because you have to work with the end client to customize a solution, especially in high efficiency conductors. So there what's happening is, that the right of way being limited coming into urban areas when a particular transmission line is getting saturated in terms

APAR Industries Limited

February ,06 2023

of how much power it can carry, it needs to be re -conducted. So, you can carry a significantly higher amount of power.

So, we saw that opportunity 20 years ago , saying that the amount of electrical consumption going up is increasing and this problem is going to happen. So, we invested in our own R&D, came out with the whole range of products. But the problem in India is that the spending will happen only when you have to spend and that time has come. So, first round you start seeing these projects getting executed in mega cities like Mumbai, Bangalore, Chennai, Delhi, etcetera .

But today it started percolating in to the next tier cities where actually the electrical consumption growth is even higher as a percentage growth. You take a city like Bangalore , for example, where people didn't have air conditioners. You didn't need air conditioners. Now with all the popul ation, density pollution and commercial space coming in, air conditioning has gone up in a huge way. Same thing when you go to Pune and explore it .

So, the reconditioning jobs are coming in for power lines going into all these cities also. And so w hy we de cided on this turnkey is that you actually work with a customer for a customized solution. You look at the infrastructure that they have, you look at how much power they want to transmit, then there are other technical requirements of SAG, how much conduct or can SAG , etcetera . You take all these parameters in place and come up with different models in terms of cost benefit and work with the client in terms of finally what the client wants.

APAR Industries Limited

February ,06 2023

So, usually in India because they are government owned or CEA insist s on tendering, it still goes through a tender process. But if you sit with them and design the whole line, you know inside and out, right, in terms of what products, where it 's going to go, how it 's going to happen. So, you tend to bid much more efficient ly and effectively on it. So, as a result you need this turnkey business.

Also, there are specialized skills when you, these are all live wire. So, they

give you an outage, there is current running on the line, they give a shutdown for some hours. And in that period, you start rewiring or re-conductor in certain sections. You ne ed a different skill set, a lot of certified re-conducting engineers, etcetera , etcetera .

So, it's a different ballgame compared to what a typical project that KEC or Kalpataru or Tata Power or L&D would do. So, by looking at this, you know, so we classifi ed this set of offerings as premium offerings that we have. And we've been measuring how much we are able to push and grow this. So, from practically single digit numbers in five years ago, five, seven years ago, it is now 44% of our revenue and our order book also. You take about the 4,800 -crore order book , which we have in our earnings call, 44% of it is coming from these law firms.

Analyst: Sir, w hat is the EBITDA per ton normalized , because of the spinning off? What is the volatility in this and probabl y it will take to monetize ?

APAR Industries Limited

February ,06 2023

Management: So, the volatility is actually just depends finally on the mix of the product , which comes in , because all of these products are at different margin.

Analyst: What is the premium segment?

Management : No, no, no, it's much ...

Analyst: The volatility, you mean?

Management: Yeah, absolutely. Especially when you do turnkey jobs , because then you -- most of them are fixed price. The moment we get it, we cover the metal immediately. And a lot of it then is in services. And we have tie ups, we have our own team, we have dedicated contractor teams , which are there.

But just to complete, so 44% is coming from this. The remaining portion is really conventional conductors , which are there. And I think the big change that has happened is that rather than selling it in India where we were hardly making any margin, we are exporting these products outside India. So the strategy has been to concentrate more domestically on the premium products , so that you get the right kind of margin mix.

And then the moment you've taken standard products and exported them out, again the profitability is much higher on those. And the logic is very simple. India follows a two -bid process generally , whether it's public sector or it's private , because a lot of the private guys also come

APAR Industries Limited

February ,06 2023

from the PGCIL and NTPC s of the world. So once you technically clear the product then they want the cheapest commercial offer , irrespective of where you stand on the quality rating .

So 4,100 is equated to 100 on 100 . There is really very little different, they may want to purchase preferencing , I'll rather buy from you but at X, Y, Z cost. So unfortunately , that doesn't work , because usually if you produce a far superior product, there is much more that goes into manufacturing of the product. In fact, even sometimes the tolerances that you have , etcetera . etcetera .

Moment you go outside India, there is a totally different way in which people are looking at the product. They look at the life cycle cost of a product, and not the supply cost of the product. So it's a paradigm shift. Moment you go into that, the quality rating people want, the fast rating which is 40, it will move to 70, 80 or 100 or 90, 100, depending on how sophisticated the modeling

is of the buyer. This is a big change.

So the competition level goes down, the expectation of quality is significantly higher. So we've just moved most of our supplies out into these customers who tend to have much higher standards.

Analyst: So ideally are these players who are bidding under T BCB private players and then they are putting up the transmission lines , and so ideally are these such players who are probably buying the premium products , or solutions from you?

APAR Industries Limited

February ,06 2023

Management: No, so TBCB guys are not. The ones who buy the -- whom it was the turnkey today , largely is de -bottlenecking in certain lines of PGCIL and state transmission. Because the state transmission companies are the ones who are bringing power into the cities. So we have to work with those entities .

Fortunately, the state transmission companies are actually very well with good cash flow , because nobody wants to mess with the transmission company. Because you have a generator and you have a receiver, the distribution guy. The cost of transmission is very low comparatively. So suppose the guy is paying INR 5, you may be paying 10 paise, 15 paise as a viewing cost. If you don't pay that, transmission company shuts you out, you're going to get nothing at the end.

Transmission company is paid off first, so the guy who suffer is the

generator. That's how you find the dues of generators, which are a problem. And the transmission companies are very strategic in nature , because if you don't fix this at the right time, it takes time, right? It's a live wire. So it will take several quarters for you to slowly, slowly change each section by section and the power is still being transmitted. It means we have an outage for a certain period of time.

Analyst: What is the scope of this reconducting?

Management: Ultimately, every line that's gone into -- and the problem in India is that people are only looking at a very short -term in terms of -- may be I need this much then today's my requirement 100 is so I'll plan for 105,

APAR Industries Limited

February ,06 2023

unlike in other places where they would look at the next the life of the line is 35 , 40 years. What will I need in 35 , 40 years or 50 years time? So that's where the whole life cycle cost and all these other things come in, which is what we've been pushing CEA, but they're moving in the right direction but it's not completely come into the future. So what happens and the consequence is that the lines , which have gone into the bringing the power into the cities all over the country , they just don't have enough spare capacity on them.

Analyst: So within cities like Mumbai and all these places , you see underground cabling increasing and the overhead ?

Management: Mumbai has always been underground cabling.

Analyst: But are we seeing such trends in other cities?

Management: In other cities also it will happen , because it's far more expensive and the right of way is also very , very expensive and the cost of laying is also significantly higher. So within a city if you don't want a premium building , you don't want a wire running across the building , some aspect safety becomes an issue.

But we've come up with a solution where we have something called a medium voltage covered conductor, which is part of our cabl

e

offering, where you have a conductor with insulation on it. So it completely eliminates the safety issue, it becomes zero. And in fact,

APAR Industries Limited

February ,06 2023

we got -- we were able to convince Maharashtra MSEDCL , placed an order on us for about a INR 100 crores for that.

We've been supplying in Bangalore, Odisha , many other places with MVCC . And it's now been included in the RDSS. This whole RDSS -- because Mumbai is not a good example , but even if you go to a city like Bangalore and you go outside anybody's house, bungalow, you will see a cobweb of wires.

So if you want to clean all that up and if you want to increase the safety you need to move to this. Also it has a special purpose , if you if it goes through a forest area and you take a large bird or a large animal. An elephant trunk can go across two phases. It will get electrocuted instantly. The same thing with a bird, you take a flamingo, you take a peacock , they are big bird, right? So they can easily cross two wires, two phases. It will be burned in a fraction of a second , it will be finished , because the transmission is happening at, starting at 132,000 volts. What you have here is 220 volts and you get a shock. You can imagine what happens there when you go walk across two phases.

So once you go to MVCC this is eliminated. Also a lot of last mile wire conducting is along the highways or the roads and in India we have planting trees along that. So you go on a road and you see trees on either side. So when the branches grow , again , it can short the wire. So in our own plant in Kathalwad in the monsoon, we have every 15 days we have a crew that take permission from the -- and we pay for

APAR Industries Limited

February ,06 2023

the pruning of the trees. And now finally they are putting an MVCC solution into it. Once you put it in place, the problem is eliminated.

Analyst: On the premiumization, we have done well in wire and conductor and some of this you will research much. If you look at specialty oil and lubrication, just what's the outlook there and what is the possibility of premiumization?

Management: So actually the company originally started with trying to premiumize products in the specialty oil business. And the first area, which we really managed to get global acclaim in is in transformer oil, moving up in terms of the voltage levels, which were there.

Then on the automotive side, we were looking at various, first, I'll just tell you the competitive landscape. What happened in the specialty oil side is that other than transformer oil where we reached to be the third largest in the world, when you look at lubricants, you are dealing with really with gigantic companies. Each company is a, if you've taken the GDP ranking, they all rank in the top hundreds in the world. You have ExxonMobil, you have Chevron, you have Shell, you have Valvoline, you have Total Energy. All of these, folks, which is the largest industrial oil and specialty lubricant manufacturing in the world out of Germany, every one of them is present in India.

So, not that we are not growing and not that we are not taking market share, but when you want to take market share from somebody like this and then you have the three PSUs, IOC, HPC, BPC, where the APAR Industries Limited

February, 06 2023

lubricants sale, they are not measured on profitability, they are measured on volume. Because they run a refinery, they need to evacuate X-amount of product and lubricants are more valuable generally than selling a raw material-based oil.

So to gain share there is much more difficult. If I have to grow turnover by INR 100 crores in lubricants, it is far more difficult than from to grow turnover of INR 100 crores in conductor and conductor is more difficult than growing the INR 100 crore in cable, because the cable is addressable market, Indian market is INR 65,000 crores.

If you look at the entire lubricant market, you're looking at INR 15,000 crores and you're looking at who are you competing within the cable market. So the cable market you have very entrenched players on the LT house wire side. You have Polycab, which is the largest. Then you have Havells, which is very well-branded. Then you have RR cables, you have Finolex, and now you have KEI, which is --so these are the top five players in there.

But they are mostly growing and focused on the power cable and the house wire side. So we saw the field being opened on specialty cables. Just like how we grew our specialty lubricant business basically trying to find solutions for clients. The same thing we saw here. So there were products in the mining side, railways, navy, defense. The renewable energy when it came up new, we were the first guys to get approval for panel wiring, what they call string cables for the solar panels. Then solar evacuation, it's an LT cable only, but slightly modified.

APAR Industries Limited

February, 06 2023

Then we invested in manufacturing cables for the inside of windmills. Today, we have about 75% market share. We invested money on the E-beams for getting into rolling stock for locomotives and coaches. That area, none of these five guys were -- their focus was a power cable, so all of them put EHV capacitors, extra high voltage. We said forget extra high voltage, these guys are already there. We concentrate on what we are comfortable with. So today we are INR 3,000 crores revenue. Polycab is I think whatever INR 12,000 crore or something in the cable side INR 12,000 crore or INR 14,000 crore on the cable side. But our range of cable is at least 5x of their range, because that is not solution based.

Analyst: INR 65,000 crore market that is there for the segments that you offer. What is your addressable market?

Management: We have products now other than EHV, which is a small fraction of that. It's a couple thousand.

Analyst: That's what focus area.

Management: It's bulk of the INR 65,000 crores by getting into this house wire range and stuff. These house wires are about half the market, remaining cables is half the market. So, we were first addressing only half the market. Now, we have started a range of light duty cables, which is the other half of the market. Besides this, what we see is that for all the specialty cables, windmills, solar, rolling stock, the world is our market.

Why do we have to -- because when we developed our products, we

APAR Industries Limited

February ,06 2023

didn't develop it based on only Indian specifications. So we developed it looking at IEC, looking at ESDM, all these factors.

Analyst: So most of the products are now approved with all global ...?

Management: Many of them, our entire windmill range is approved by all the top 10 windmill manufacturers including two in China. So we have approval from all 10 of them. If you take solar, we have -- there's a TUV, which is the standard, German standard, which is accepted all over the world. So from day one we made sure that our cable met the TUV standards.

So then the US requirement is something called Underwriters Laboratory. Every cable requires a UL certification. So it takes about six months and it costs anywhere between INR 20 lakhs, INR 25 lakhs at the low end and to about INR 40 lakhs, INR 50 lakhs at the high end for one approval. So we have the largest number of UL approvals in the country amongst the cable manufacturers.

So that's what has allowed us on the cable side, because of this strategy we've been able to leapfrog from being nowhere in terms of export to now in FY '23 I think we'll be the largest exporter of cables in India.

Analyst: What's the number? In crores, what's that number be?

Management: About -- it's almost close to 50% of our revenue. So it will be about INR 1,500 crores. If you take, two years ago we are not even doing INR 150 crores. So big jump and I think it's not that we didn't want to do it. Two things, one, is that we improved the product profile to meet

APAR Industries Limited

February ,06 2023

what the market is requiring. But it took some time to get the certification and once we got the certification in place the immediate demand was not there. Today electricity is the only way in urban areas for you to reduce your pollution, because the problem is what, it's a very simple problem.

You have a very high population density. So if you use devices in that high density, which are polluting, the pollution concentration is very high. That's why Beijing, Mumbai, Mexico City, Delhi, high concentration of people driving cars, doing this, that and all that pollution level high. The simplest way is you take away these polluting devices, you'll have a dramatic reduction in the emissions, bad quality air, all those problems, it will just go away. So with this whole carbon emission footprint, that is happening.

Analyst: You said this INR 1500 crores export revenue, what was it two, three years back you said?

Management: Just couple hundred crores from the cable division.

Analyst: Okay.

Management: INR 1500 crores is only cable.

Analyst: No, I got your point. From which sector we are getting so much amount; solar, wind?

Management: From solar, wind, from the railways, from -- because every metro requires...

APAR Industries Limited

February ,06 2023

Analyst: So from this INR 1500 crores is export we are talking about. And that also it's...?

Management: The largest market we have for export today is the United States. So if you take cable and conductor, after India, number two is US, and the story has just begun there.

Analyst: You have also got some tailwinds due to the UP structure, right? So can you just talk about how sustainable that is?

Management

t: So, I think , the tailwind has come right now only from the US. India is in the process of changing F TA. We've just got an F TA that's become effective in January from Australia , and I think UAE is becoming effective now , I think if I'm not mistaken either March or April or something. But the US is still the same. They're working on it. EU is still the same. We still pay 3.8%.

What's happened is that some of these guys have really taken seriously this China -Plus-One. And in the US, the Chinese duty has shot up from 0% to 25%, 30%, 35% depending on the product , which is there. But we are finding some of our customers, they take an undertaking from us. You will not use a single Chinese product. Five countries , they won't use any product, you give an undertaking. One of them is China, the other one is Iran, who is popularly known. The third one now is Russia. You have to give an undertaking. So we cannot use Russian aluminum, even though in India you can buy Russian aluminum . We can't use it in India.

APAR Industries Limited

February ,06 2023

Analyst: So if I remove the duty structure parity on a just pure cost basis, what is the differential between ours and maybe same quality Chinese today? So if the duty structure goes away, we might be still -- so just efficiency then cost efficiency is if you could put some light on that ?

Management: So in terms of cost efficiencies on the conductor side and even in some of the cables, we have pretty much today at par. I'll give you an example , three years ago our conversion cost, average conversion cost, whatever cables we produced, right? We were at about 11% of the sales value. Today we are at 5.5%. So some of it has come because of the type of cables , but a large portion of it has come because of efficiency that we've driven.

So it comes from scale as well as producing more product out of the productivity of the equipment and we've started a major F.O industry , F.O program where we are starting to get the automated , capturing 24x7 of data because that's the starting point for productivity, right? You know exactly where you are running faster, slower, change over times.

By focusing on all that, so I think efficiency wise we are pretty much there. We have a level playing field. We can compete , but in countries like the US and Australia, these two places particularly, they are really wanting to diversify out of Chinese products.

Analyst: Okay. Sir, do you think this could rather than being a temporary, it could be a far longer scenario ?

APAR Industries Limited

February ,06 2023

Management: It could be a far longer scenario. So when we, however , in our guidance because conductors what will happen you've seen , basically we were running at INR 8,000 to INR 12,000 a ton if you took rewind to about three years ago , and then you take the three years, eight, 19 years, we are always in that bracket.

Today by looking at the mix of products we have that itself can take you to that INR 22,000 to INR 25,000. In addition to that, there are certain tailwinds , like, what you're talking about, where a preference is given to buy a non -Chinese product if an FTA comes in place, now two of them, we've got orders from Australia. Now the profitability on that will increase by 4% , because some of it -- our customer because they were taking it

on FOB basis , they will benefit.

But whatever we are delivering to Sydney Metro to -- Sydney is over now. We are bidding on Brisbane and Adelaide Metro , etcetera . We become 4% more competitive. And anyway we are meeting the price point to win the job. So now our profitability goes up by 4%. So, some

of these tailwinds, if you don't count them then you are looking at that INR 22,000 to INR 25,000 per ton , because fundamentally the business has changed.

Now if you take more ACCC , for example, the upper end of the of the high efficiency conductors, the margin is higher than if you supply one of the more standard type of high efficiency.

Analyst: So the market is also shifting to the premium ?

APAR Industries Limited

February ,06 2023

Management: It is shifting over there. But the format finally depends on my customer.

I may try to push for any format , but see it's a regulated industry at the end of the day and it's a concentrated industry. So the utility has to finally decide. What we are trying to educate people to make sure that we can maintain a higher profitability in our conductor business and to some extent even the cable business is to look at the life cycle cost of a product , which is a very established system that exists outside India and has been existing for decades.

If you take the US, if you take the standard there, it is called ASTM. It's an Australian Military Standard . So all these products we went in after World War II basically, you know, from 1945 , after the great depression if you study your economics or whatever, this huge boom was there , right? It was an investment -led boom and huge infrastructure went in. So that was from the late 1940s up to 1970 until that oil shock took place. That was the bulk of the infrastructure going in .

The military set the standards. ASTM is such a high standard they set.

That's why the life of these products is expected to be 35 years , but they still not changed it. Now it's reaching end of life. What is gone in 1950, you are looking at now what 70 -odd years. It was supposed to last 35 years, it has already lasted double. That's the life cycle costs , which our people are still not -- they are not understanding.

And if suppose you change a line, you look at the cost of aluminum in rupees. Five years ago, look at the cost of aluminum in rupees today, there is a huge inflation, labor inflation. So, if your line last less towards

APAR Industries Limited

February ,06 2023

the end of the life cycle of the product , the cost of risk management is like astronomically high compared to what you would have – premium you would have paid if you took that into account on day one.

So Bangladesh , for example , is going with very high-level specification. Why? Because Asian Development Bank is lending them the money. They don't have the money. The payment is over a period of 25, 30 years. The World Bank or Asian Development Bank wants to make sure that they don't have to fund another line until this line is paid for. So they are bound to look at the life cycle cost of the product.

Here we are working on our own balance sheet , so people are doing their own championship game , save 5% here, 4% there. But in a life cycle you end up hurting from it.

Analyst: With current realizations 2025 that you say and whatever capacities are, what are

the peak revenues that we can do with current capacity?

Management: So you know right now we are running pretty much flat out on our conductor side. Cable is running at 90 -plus percent capacity today overall. Power cable is running flat out. Elastosteel is running flat out.

So we are going through with a capex of around INR 350 crores and if you look at the just a rule of thumb at a macro level what would be the sales to -- asset to sale ratio, it's anywhere between -- depending on the mix anywhere between maybe about seven times to 10 times. You can easily go up to an addition of about 3500.

APAR Industries Limited

February ,06 2023

Analyst: What is the commencement?

Management: So we've already started ordering equipment , because today the delivery times have become extremely long for capital goods. We have

already ordered it. It will get commissioned in the, you know, starting up from March, April onwards it will start getting commissioned. So whatever is going into our existing premises will get commissioned in the next few months. What is going into new sites that will take about seven, eight months, nine months starting from that point on.

Analyst: By FY25 should we complete commissioning?

Management: By 25 continuously, because there's stuff going in within our existing place. Part of this capex is also productivity capex. Because today we've reached, see when it was set up, you didn't know what the mix was going to be. We have a saying in our company saying the maximum fiction in the world that has been written is on Excel spreadsheets. So you plan something out and then the market goes in some other direction, customer requirement.

So when you're setting something up initially, you have to build lot of more flexibility, because you don't know, which way the market is going to grow. Today we have so much more predictability that now you can change some of the old equipment and make it dedicated to certain products and get maybe 40%, 50% more productivity. And then you use that equipment somewhere else.

APAR Industries Limited

February, 06 2023

So a combination of all this is going in. But I think in two years time, the entire 350 -- between 18 and 24 months, it's entire 350.

Analyst: This is for cable.

Management: Cables and conductors put together, because you see cable also, the upstream is the same. Like, for example, the US market requires a specific alloy. If we buy that alloy from Hindalco or from Vedanta, they don't alloy it as well as we do, because they don't produce a finished product. They don't have that feedback cycle. It's natural. When you're doing end-to-end, you keep on fine tuning your product to meet those requirements. So we are putting in rolling mills, we are putting in wire drawing, anything, stranding the whole. So the conductor can also use it and the cable also can use it.

Analyst: The oil business, oil side of the transformer?

Management: The oil side has got a lot of capacity available. So for our lubricant side, which is your industrial automotive, we run on two shifts. So basically you can entire third shift is available. And on the speciality also, we have lot of expansion room, because what we have done over the last...

Analyst: Capex should not be required then?

Management: No. And I'll tell you what happens here and why. Because what we

have done is that we have dramatically improved our process ability of products. So we no longer blend products, let's say for transformer

APAR Industries Limited

February, 06 2023

oil, white oil, we can blend products in 2,000 kl tanks. You can blend two million liters in a tank. We've developed air blending, a whole lot of processes that are in. So, capacity is not a big problem. So in fact, out of this INR 350 crore, hardly INR 25 crore, INR 30 crore is going to go into the oil side.

Analyst: Your current order book, INR 4,800 crore.

Management: That's only cable.

Analyst: That's only cable?

Management: Sorry, INR 4,800 crore is conductor.

Analyst: Okay. So do you build your order book for your cables as well?

Management: So you know the cable order book is it rolls much more. You don't have longer, you don't have such a long lead time. But even then if you see, I don't have the exact number. It's about 1200 to 1500 crore -- yeah, but the deliveries are pretty quick. So that order book other than for nuclear power and all would be all within three, four months.

Analyst: So what was this number like three, four, five years back? This INR 4,800 crore pitch on a backlog that you have, typically on a year-on-year basis how much of order book you used to book maybe four, five

years back at what rate?

Management: So if you take a number of months actually the number of months where the order book hasn't gone up. In fact in some cases it has gone down ,
APAR Industries Limited
February ,06 2023

because in POWERGRID used to place orders , they would place orders for straight 18 months delivery schedule. So these are much shorter delivery schedules and particularly the EPC guys , they have to deliver a fixed price. And we don't take any speculation on the metal. So our customer has to tell us then we will back-to-back block the metal.

Analyst: Normally, what's the delivery time sir?

Management: So it depends. Today most guys want shorter delivery , because there is so much volatility on metals and stuff like that.

Analyst: What's the number of days or months?

Management: Yeah. So it will vary. So some cases it is three months, going up to maybe six months, seven months.

Analyst: You're talking about the conductor side?

Management: Yeah, conductor only I am talking , much faster delivery. And they are ready – the customer s are ready to pay a premium for delivery.

Analyst: Sir, if you can just give us perspective on the margins front in the three businesses. Earlier there was lot of volatility and now we probably have a much better revenue mix. So what should we keep in mind like ...?

Management: So if you take up -- we sort of discussed it in the last call also. For cable business, we are seeing a double digit , 10% EBITDA , and then depending on more specialty products, it can go upward from that.

APAR Industries Limited
February ,06 2023

And we are currently at around that level for this year. Last quarter was almost 12% .

Analyst: YTD at 10%.

Management: 10 point something, 10.4 or 9.8 , and if you take the last quarter it will go a little over 10 for the whole year. And then that becomes like a base case for us to go forward. If you then come to the conductor business, if you take away all these tailwinds , I mentioned you know INR 22,000 to INR 25,000 metric ton that's what we've given earlier. That's what is a steady base case. Any tailwinds are there , it will help you go above that.

Analyst: INR 25000 per ton real average in conductors.

Management: EBITDA per ton . Cable is 10%, conductor is INR 22,000 to INR 25,000 per metric ton. That's EBITDA per ton. That's the base case , which used to be earlier INR 12,000, INR 8,000, INR 12,000. It's clearly doubled because of ...

Analyst: Is 44% prime number?

Management: Yeah, 44% right now we have , it's much higher itself. It's at if you take the nine months we are almost 40,000. It's because we are able to export the product to the US and all these markets. My sense is that it will continue. But we are getting good pricing from these markets relative to what you're getting over here.

APAR Industries Limited
February ,06 2023

Nine months at 40,000 per ton. So some of it is because there is a tailwind on freight. Wherever the DDP contracts were, we had got screwed when the freight rates went up , because the customers are saying DDP is DDP, your look out. Now we are gaining from the other side of the cycle. So at the end of the period actually we may end up gaining as opposed to losing , because there is much more value of contracts.

During the COVID period , people didn't want to take on big jobs , because there was not enough predictability.

Analyst: And similarly if you think you should change on the...?

Management: And then on the oil side, the speciality oil side, we have been around 5,000 to 5,500 is what we are running at. We will continue to run at that.

Analyst : This is what INR 3,500 crore kind of run rate?

Management: We have been actually closer to 5,000 for some time now. There may be some periods where it has gone down and gone up. During this COVID period, the oil business had a lot of tailwinds. We have gone up to 7,000, 8,000. It's 5,000 to 5,500 per kilo litre.

Yeah, if you model it for five years, seven years, you can take overall on an annual basis. If you build a five-year, seven-year model, you can easily take these. That's what at least we do our own internal modeling ,

APAR Industries Limited

February ,06 2023

because you plan for the worst and hope for the best , right . So that scenario is basically this.

Analyst: Sir conductor now, today you are doing 14,000. What should we look... ?

Management: 40,000.

Analyst: 40,000 sorry. So what should we look forward ?

Management: That only I'm saying on an absolute steady state basis , rain or shine take away all the tailwinds , which are there , etcetera . we should be between INR 22,000 and INR 25000 is like a absolute base case.

Analyst As you said there's no point in competing , because there are many ...

Analyst : So, we're not competing , but it's a difficult market.

Analyst: So if I come to transformer oils , is there something like a conductor or wires in place that , or it's via third largest will it be demand led or there could be a moment wherein ...?

Management: So here

transformer oil is the only demand , right, because whatever transformer you put in there, there is a certain percentage of oil that goes into it. So if you take the entire oil basket, transformer oil is one place where you will continuously see growth, because you know as the electrical infrastructure grows, the amount of transformation of electricity required will proportionately increase , and therefore the oil requirement will go up.

APAR Industries Limited

February ,06 2023

Analyst: There could be a solution of new installation or there could be a lot of replacement oil or that's not all ?

Management: It's normally led by new installations, but there is also a certain amount of replacement that goes in. 3 %, 4% of the installed base is the replacement on an average that's go in . But it's really led by new infrastructure. A lot of new infrastructure is going in worldwide. We also have the largest manufacturer, Nippon's out of Sweden, which went into bankruptcy; they've changed three owners in the last three years. So that has also helped to some extent. We've been able to push and grow. But this kind of, you know, so we see about 5% growth in that segment.

On our lubricant side, we see growth on the industrial, where we are growing and continuously doing well. We're getting more and more approvals. And as India is getting more sophisticated in manufacturing, automatically the lubricant, you put more machinery, you need more lubrication. So it's a straight function of that.

The automotive side is where you will start seeing a lot of changes happening. And our sense is that the effect is going to come of this whole electrification, this EV hybrid business in two major areas. One is public transportation. All CNG will become EV basically, all your rickshaws, buses, taxis all that ultimately, they move from diesel and petrol to electric.

APAR Industries Limited

February ,06 2023

Second area is in personal mobility in urban areas , because you can build a network within Mumbai. So if you have a scooter , you are not going to use that scooter to go from here to Surat , but you will use it to travel within Mumbai and you can get that hundreds , this kilometer will go up to 100, 200 kilometers. Already the government here in

Mumbai, public parking or any new building, every fifth, 20% has to have an electric charging point under new law, which are there. So your two-wheeler will actually get affected quite a lot because that's the easiest to switch. And the ticket size also is -- and the government will give incentives. They're already giving. The second one that will get affected is your four-wheeler mobility. Cars. But we see that your trucks and that's cargo movement and agriculture will take a long way. So that's why we have been focusing a lot on agriculture, because it's not really the government's great incentive. The farmer wants it for free. So the more the government gives power to these guys that much more free power will go. So the equation doesn't fit. And secondly, the farms are all spread out to create that infrastructure, you need a full cabling infrastructure and all that. It's a big, very long. So the quick gains on emissions and all that isn't, isn't urban route. So this is I mean is our \$0.02 opinion on it. So that's where our strategy is, you know, focused around that.

APAR Industries Limited
February ,06 2023

So we've been building a portfolio here, one of the largest suppliers today into the agri-tech sector. So we supply TAFE Eicher, which is the second largest. We don't have any business with Mahindra. We have a problem with their model. They basically want lubricant supplier to become a toll manufacturer.

So if you have to toll, why would you toll for you? We will toll for some other companies that can get a higher margin. So there is TAFE Eicher, then we supply Sonalika. We just got approval now for all the products that Sonalika wants to export, because they are exporting. They are planning to export even into Europe and all that, the lower end tractor, etcetera. We are covering Escort. So we cover two, three and four. We are not doing two and five, which is -- and then a lot of smaller people are there in that pre-owner. So we cover all these guys. So we have a good -- and we have the best product for oil-immersed brakes. UTT and oil-immersed for brakes, for tractors, we have the best product in the market. So that's how we've been gaining share in that area.

Rest, we are trying to grow our, you know, the industrial is growing, we are trying to improve our distribution footprint for the automotive. But there is going to be a lot of change here. You will see mobility side coming down for sure.

Analyst: When do you say on the export side, when ever you're doing exports its directed to OEM or tyre one or tyre two, or it's to distributor s?

APAR Industries Limited
February ,06 2023

Management: So the US market is actually split. We do certain amount of supply to EPC companies directly. So if you take the utility market in the US, it's very strange. Most people may not understand it. It has about 3,000 plus utilities, of which 30 of them are of gigantic size and the remaining 2,970 are really small. So to service those 2,900 odd utilities you need a distribution setup, because those guys don't want to stock anything. They want 24-hour service on any replacement or whatever.

So because of that you have its distribution led for standard. So what we do is we follow two strategies. We have relationship with -- out of the top 10 importers, we are working with three of these top 10 importers who we supply their stock and we sell. And then we work with EPC players where we supply them direct.

Analyst: And the payment?

Management: Payment is generally not a problem. We take ECGC cover, so that covers 90% percent, because the US doesn't work on LCs, they work on all direct. But so far, we are quite careful in terms of who we deal with, and we've tried to keep ourselves within the ECGC limits. In fact, ECGC has been a major positive surprise.

When we started growing the US business, obviously, we didn't have the ECGC. ECGC normally goes on historical data. But now what to do? Suddenly, the requirement has gone up two -fold, three -fold. So we asked for a meeting with the senior management there and to our APAR Industries Limited
February ,06 2023

pleasant surprise, I think about 15 top people of ECGC came for the meeting . They wanted to understand what's happening in the US markets and global markets and after we presented, almost an hour long presentation, an hour long Q&A. And then they have been quite fast in looking. Not that they give it to anyone and everyone, but we've not seen them act with so much of speed compared to the ...

Analyst: So this is for which product you mention ?

Management: For cables and conductors both. See in oil what happens is that as a company we have a blanket approval of US\$2 million per customer.

So most of the customers are falling under a \$2 million.

Analyst: For billing or annual number ?

Management: No, no. So this is at any given time. So if you have a 30 days , it will rotate once a month, if you have 90 days , it will rotate four times like that. For India to export, you need all this sort of stuff to follow. It's not just ports and it's the banks. So now we've got increased lines from banks. There are more banks today willing to do factoring or forfeiting as they call it. Otherwise they wanted some ridiculous prices. You have big ticket factorings , so all that is coming in.

Analyst: And should we have debt for the books?

Management: Yes, some debt is getting minimal, but we have working capital.

Analyst: And this INR 350 crore capex would be mostly in terms of loan , or you take some... ?

APAR Industries Limited

February ,06 2023

Management: So we plan to take a borrowing for it , because we really don't have any long -term debt on our books. We have less than INR 200 crore, INR 50 crore will get paid in this quarter. So a loan of INR 150 crore. So it works out well and we want to keep the strength of our company is to always maintain some headroom in the balance sheet , because you know working capital -- if you are going to grow at this pace the banks look that when they give you working capital funding , or certain portion of it is contributed by the company.

Analyst: What's the internal target like in case of three year, four years, what are you... ?

Management: So our sense is that the conductor business can grow at 25% a year , sorry, the cable business. The conductor business will grow in double digit, because of premiumization as well as volume. And the oil business we expect growth of about 5% per year approximately.

Bottom line can easily grow at 25%. For this year it's like a huge jump up.

But if you take an average of the last two years and then extrapolate then that's the more -- yeah, it's a more -- actually to really look at our business you need to look at rolling 24 months then you'll get a -- you can really then see the trend.

Analyst: Yeah, agree. Doesn't the high base present a challenge for you for the next year? It's a tremendous base , which you have got.

APAR Industries Limited

February ,06 2023

Management: Because , you know, yes, so I'm not so sure that you will get a 25 % growth over what . This year we have already done close to INR 400 crores PAT. I mean , the last quarter, we said on the call also, if you extrapolate it, it will be INR 130 crore approximately, INR 125-odd crore.

So next year to expect a 25% growth on that is very difficult. It may not happen. But if you take a long -term, you know, you average out the last two years a

nd then take a trend line, you can see a 20 -odd percent growth.

Analyst: Thank you, sir. Thanks.

Management: Okay. Thank you. We have actually upgraded our presentation on our website, so you will have a lot of more information.

Call: Feb 2023

SEC/ 0602/2023 February 06, 2023

National Stock Exchange of India Ltd.
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: The Manager, Listing Dept.
BSE Ltd.
Corporate Relationship Department,
27th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Dept.

Sub. : Submission of Transcript of Conference Call made on Un-audited Financial Results
(Standalone & Consolidated) for Q3FY23.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations,
if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"),
as amended from time to time

Dear Sir,

Kindly refer to our letter no. SEC/3101/2023 dated January 31, 2023 w.r.t. submission of link of Audio Recording of Conference Call made on Un-audited Financial Results (Standalone & Consolidated) for Q3FY23.

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith the transcript of the Conference Call made on Tuesday, January 31, 2023 on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q3 and Nine Months period ended December 31, 2022.

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India

+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India

+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

Page 1 of 29

"APAR Industries Limited

Q3 FY2023 Earnings Conference Call "

January 31, 2023

A

NALYST : MR. AMBESH TIWARI - S-ANCIAL TECHNOLOGIES

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR – APAR INDUSTRIES LIMITED

MR. CHAITANYA DESAI – MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED

MR. RAMESH IYER – CFO – APAR INDUSTRIES
LIMITED

APAR Industries Limited

January 31, 2023

Page 2 of 29 Moderator : Ladies and gentlemen, good day and welcome to the Q3 FY2023 Earnings Conference Call of APAR Industries Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator

by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ambesh Tiwari from S -Ancial Technologies. Thank you, and over to you, sir.

Ambesh Tiwari : Good afternoon, everyone. This is Ambesh Tiwari from S -Ancial Technologies. I welcome you all to the third quarter FY2023 earnings call for APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer. I would now pass on to Mr. Kushal Desai. Thank you and over to you, sir.

Kushal Desai : Thank you, Ambesh. Good afternoon everyone and welcome to APAR Industries Q3 Earnings call. Let me start by giving an overview of our performance and follow that up with a short industry update. I would then like to get into more details on the segmental performance of the three businesses and post that we can open up the floor to questions. So during Q3 FY2023, the consolidated revenue came in at 3942 Crores, which is 77% higher than the previous year. This was largely driven by volume growth across all divisions. Our export revenue grew by 144% year-on-year and is today contributing 49% of the overall company's revenues. This is compared to 35% a year ago.

The EBITDA is also up by 174% year-on-year to 349 Crores at an EBITDA margin percentage of approximately 8.8%. Profit after tax for the quarter came in at 170 Crores, which is 210% higher than the previous year. It is at 4.3% versus 2.5% in the year ago period.

Nine months consolidated revenue stands at 10270 Crores, which is 63% higher than a year ago, and our export revenues have grown by 105% for the nine month period. In terms of

some of the key industry highlights, India's power consumption logged a double digit growth of over 11% to 121.19 billion units in December 2022 compared to a year ago. The robust growth of the power consumption indicates sustained momentum of economic activities through the month of December. The peak power demand met, which is the highest supply in the day, rose to 205.03 gigawatts in December 2022 while the figures for APAR Industries Limited

January 31, 2023

Page 3 of 29 the previous year at the same period where 183.24 gigawatts and it was 182.78 gigawatts in December.

Power deficit in the country rose slightly to 0.6% in the April, November period. India's power consumption logged a high of 9.6% to 343 billion units in Q3 FY2023 compared to a year ago. So these are all robust growth indicators and clear sustained momentum in the economic activities that are a reflection of the amount of power consumption that the country is observing.

The central government, as most of you may already know, has announced a very ambitious RDSS scheme, largely around improving power distribution of approximately 3 lakh Crores. Of this, about 30% spend is approximately allocated towards cables and conductors. It will largely be cables and to a smaller extent conductors. This spending

is expected to be deployed in a period of approximately 5 years.

Also, the total outstanding dues owed by the electricity distribution companies to power producers, that is to generation company has nearly halved to 675 billion as of December '22 compared to 1210 billion as of December 2021. This can be attributed largely to the various steps taken by the government, such as implementation of late payment surcharge rules and provision of a facility for equated monthly installments to utilities.

So if this trend continues, then it is a good sign of more discipline coming in terms of distribution sector, which so far has been the Achilles heel of the entire power infrastructure of the country.

I would now like to specifically talk about the business highlights by each segment.

Our conductor business revenues in Q3 FY2023 grew by 103% year-on-year to reach 1912 Crores for the quarter with a volume growth of about 99%. The export revenues grew by 288% year-on-year, contributing to 53% of the division's overall revenues. The premium products in our basket of conductors contributed towards 44% of the revenue mix. The EBITDA per metric ton post Forex adjustment came in at 49942 per ton, which is a historic high. The conductor division has seen a transformational journey in the past decade, and I think today we are reaping the fruits of all those investments and decisions that have been taken and invested during the past several years. The improvement in the EBITDA is mainly due to the higher share of premium products. The higher share of exports in the conventional conductors, where our realization is better than in the domestic markets. There have been also a couple of strong tailwinds where we have seen the price of steel having

APAR Industries Limited
January 31, 2023

Page 4 of 29 reduced as well as the container freight costs having come down to most destinations as the pre-COVID levels.

During the nine months revenues, they came in at 4899 Crores. So they are up 81% year-on-year. Volumes are up 51% year-on-year. The EBITDA per metric ton for the period came in at 37900 which is 125% higher than the previous year.

Our current order book stands at 4885 Crores with 44% of the share coming from premium products. So overall, our conductor division has had a very good quarter and in fact, it is the best quarter that it has had in its all-time history.

Coming to the oil division, there the situation has been little bit more difficult. In Q3 FY2023, revenues came in at 1245 Crores, which is up 38% year-on-year. Volumes have grown by 9% in the quarter, backed by growth in the transformer oil business, both domestically as well as overseas. Exports contributed towards 43% of revenues. EBITDA post Forex adjustment came in at Rs. 1646 per KL, and this is in line with the guidance, which was given earlier, where there was a clear expectation of lower profitability given certain inventory corrections and price corrections, which were expected.

The lubricant revenues came in at 238 Crores with a volume of 17063 KL. Looking at the nine month period, the oil division revenues are up 33% year-on-year at 3489 Crores. The volumes grew by 3% in the nine month period. EBITDA post Forex came in at INR 5190 per KL.

Looking at the cable division, in the third quarter of FY2023, revenues grew by 89% year-on-year to reach 921 Crores. There were significant increases coming from the sale of our elastomeric products as well as exports. Our exports contributed towards 49% of the overall sales in Q3 versus 35% a year ago.

The elastomeric cable revenues are up 29% year-on-year. We continue to see a robust business in the renewable energy space, both domestically as well as overseas. So EBITDA post Forex for the quarter came in at 109 Crores, which is 11.8% of revenues compared to 8.7% year ago.

Looking at the nine month period for cables, revenue

s are up 77% year -on-year at 2320

Crores, and again, the elastomeric business and the export business is what has contributed to the growth. The overall export business is around 52% of sales in the nine months period. The EBITDA post Forex is at 9.8% for the nine month period compared to 4.4% the previous year.

APAR Industries Limited

January 31, 2023

Page 5 of 29 Our business is expected to hit the target which we had mentioned in our guidance of 3000 Crores revenue for this segment.

So overall, we continue to be quite optimistic about the growth prospects of the company.

All the key growth parameters seem intact. We are well placed to tap into the benefits of power infra led spends, both domestically and overseas in key markets like the United States, Australia, Europe, and Latin America, especially as there is this push towards renewable energy as well as the China plus one benefit or opportunity for India continues.

I would also like to mention that we have an update corporate presentation with significantly more details on the company profile and performance, which has already been uploaded on our website, and specifically, I would like to highlight that it carries more information not only on customer mix, but also on receivables and receivables funding that we have for the business.

So with this, I would like to come to the end of my comments. I appreciate the time all of you have taken out for joining this call, and I can open up the floor to questions now, please.

Moderator : Thank you very much. We will now begin the question and answer session. We have the first question from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre : Thank you so much the opportunity. Sir, there is a dramatic improvement at our EBITDA per ton for this quarter. So we are hitting around 49000, now last year we were anywhere between 15000 to 20000. So why this improvement has happened.

Ramesh Iyer : Yes. So as we explained in the opening remarks, the conductor division has seen this transformation journey and the higher margin is actually the result of two things. One is that the share of premium products is going up which gives us a higher margin and secondly even on the non- premium products , the proportions of our overseas business has increased.

Both has resulted in higher margins, and also, we have seen some tailwinds in the form of steel prices as well as freight, which has come down since the last one year, which has increased this margin to about 49000 per metric ton.

Mahesh Bendre : So, if you set aside the benefit of steel prices and the trade cost, transportation costs, so what will be the sustainable EBITDA per ton we could see going forward?

Kushal Desai : So, in the short -term, which is for the next couple of quarters, you will still see EBITDA per ton, which is relatively high in the 30000 kind of range. But we have given a guidance that

APAR Industries Limited

January 31, 2023

Page 6 of 29 sustainably, if you take a longer period of time, just with the structural changes that have happened due to the premium products, we have given a guidance of 22000 to 24000. As these premium products are growing, the EBITDA per ton will continue to edge upwards. See, one fundamental mix which has changed. So Ramesh has already given you that 44% of the revenue has come from premium products, but when you look at the balance 56% of the revenues, a large portion of that is actually conventional conductors which have gone overseas as opposed to have been sold in the domestic market, where we have been seeing better realization. The domestic market still realizations are quite poor because the standard itself expected from many of the EPC players are laid at a very low level. Whereas as you go into the more developed markets, which I mentioned in my opening comments, which are countries like the United S

tates, Europe, Australia, Latin America, standards expected

are much higher from suppliers. So we look at the market on a global basis, wherever we see the best netbacks in terms of profitability is when we focus on servicing those contracts.

So in the current situation, we are seeing good opportunities in these overseas markets for standard products, and we are focusing on the domestic market largely for the premium value added products. So that mix is what is helping drive this.

Of course, the tailwinds, as Ramesh mentioned, there are two specific tailwinds which are there, which is that from the time that some of these prices are quoted steel prices have moved down, and some of the contracts are DDP contracts. We saw the brutal side of it last couple of years. But in the last two quarters, these freight rates have been coming down, so we have been seeing now the benefit of that. So I hope that kind of holistically answers your question.

Moderator : Thank you, sir . We have the next question from the line of Amit Anwani from Prabhudas Liladher. Please go ahead.

Amit Anwani : First of all, congratulations for the great set of numbers. So first question for the conductor's business. Just wanted to understand in more detail. You mentioned that the non-premium products are seeing higher exports and HEC, we are largely focusing on increasing the volumes in domestic market. So any color on two, three key geographies where you are seeing the higher traction for standard products or any two, three geographies where you are seeing higher traction for HEC products. Some color on that sense how the market is affecting your production of conductors business and which markets are affected.

Kushal Desai : So I am not sure whether we understand your question exactly. But see, the order inflow for high efficiency conductors and the copper products and all continue in the domestic market, and as I mentioned earlier 4% of our 4800 Crores order book, 4885 Crore order book is these products. But the standard products, which are the standard conductors, we have been

APAR Industries Limited

January 31, 2023

Page 7 of 29 increasingly getting opportunities to supply overseas where the profitability is better than in the domestic market. So that is the mix that we are

Amit Anwani : The question was like you said standard products. Just wanted to understand the major two, three geographies where the standards products...

Kushal Desai : As I mentioned earlier, the United States is the largest market, and following that, Australia and some markets which are in Latin America.

Amit Anwani : So can we assume like these are contributing more than half of the exports for standard products.

Kushal Desai : Yes, absolutely.

Amit Anwani : Sir my question for cables. Are we still sticking to 20%, 25% CAGR for the next two years in that, and second thing is you mentioned the elastomeric cables contribution is going up, so if you can just highlight now much percentage it contributed in this quarter.

Ramesh Iyer : Yes, so we continue our guidance about 25% to 30% on the cable business, as we have been talking earlier also, and sorry, what was the next question.

Amit Anwani : Contribution in the quarter.

Ramesh Iyer : So the total growth is coming from our HT cable, LT cables as well as elastomeric cables, and it is a combination of domestic as well as exports. What has happened in the cable business is that our share of exports has gone up considerably. So if you look at the quarter three, we are close to about 50% in terms of exports, which was just about 35% last year. So the share of exports has gone up, which is what has resulted in the growth of this cable business.

Kushal Desai : The growth rate we are seeing it is a smaller growth, but our growth has also come from our what we call light duty cables and the business, which is a distribution based business.

s. So

we started off. First year, we have 20 Crores and 60 Crores and last year was 100 Crores. This year, we should be close to 200 Crores, and the following year, we are targeting 350

Crores in that segment. So that business is also growing parallelly with exports, and then you asked for the growth on what is driving the growth on the elastomeric side. So that

growth is being driven by the renewable energy space, the expansion happening.

Amit Anwani : Domestic.

APAR Industries Limited

January 31, 2023

Page 8 of 29 Kushal Desai : So, until two quarters ago the business was all purely domestic. But now we have some of the increased capacities, which I had spoken about even in previous quarters for cables that go into both windmills as well as solar, and so now the export of those products has also started. So you will see actually, as we get into FY2024, more and more export of these renewable cable is also happening. Cables going to renewable energy space.

Amit Anwani : And this elastomeric is a higher margin business.

Kushal Desai : Yes, the elastomeric cables are very specialized cables, and therefore they carry a higher margin. We are also one of the few vertically integrated players where we do our own insulation, the polymers that are used for insulation. So we do our own formulation and mixing of those.

Amit Anwani : So my last question on RDSS scheme, which you mentioned in your opening remarks, and you highlighted that 30% might be allocated to cable and conductors over 5 years, which gives me about 18000 to 20000 each year. So if you could just highlight on the addressable market for APAR and how much APAR as an entity can grab out of this.

Kushal Desai : So theoretically, we have products that cater to the entire basket of what is required. So these are low voltage and medium voltage cable. It is a combination of underground cables and overhead cable/ conductors. So we are in a position to actually address all of these requirements, which are there from a product standpoint. Now it all depends and finally in terms of who the counterparty is and what are the terms and conditions. But my main point

of bringing this up is that there is going to be a good growth in the requirement of cables both domestic as well as export, and usually when we say five years, it may take still another year or two, but the market is going to expand because of this RDSS in addition to whatever else is already there in terms of market segments. So therefore the overall bullishness on the cable side is also quite high.

Amit Anwani : Sir last if I may squeeze in. So can we assume that we are seeing a sustainable hike, we will continue to see sustainable high growth in exports markets at least in near-term across conductors and cables.

Kushal Desai : Yes, absolutely. We expect the current momentum on the export side to continue not only for the next quarter, but also whatever we can foresee in FY2024 as of now, and as you may be knowing that even in the United States, the infrastructure bill and all is already on its way to get approved and executed. So the benefits of some of that have still not come in. This is pre infrastructure bill spend actually taking place, and on the renewable side, as more assets are coming up, it requires not only cabling at the site and then evacuation to the

APAR Industries Limited

January 31, 2023

Page 9 of 29 grid, but then the grid is basically a conductor grid that evacuates the power as to whatever is the grid in that particular country through its distribution to customer's takes place. So in short, there may be ups and downs in terms of quarters. But if you look at the trend over the next three to five years, the trend is very positive because globally power infrastructure is being added.

Amit Anwani : Thank you very much, all the best.

Moderator : Thank you. The next question is from the line of Gopal Agrawal

from HDFC Mutual Fund.

Please go ahead.

Gopal Agrawal : Sir, just wanted to understand your outlook on the lubricant business. Because generally, this quarter had a negative impact of currency and inventory. So how is the trajectory on this.

Kushal Desai : So let me address specialty oil and lubricant two separately. In the case of the specialty oil side, which is your transformer oil, white oil, etc. The transformer oil volumes have been reasonably good both domestically as well as export. We have had a bit of a cost pressure, which is there. Part of it has come basically from base oils having fallen at a very rapid pace. Some of it is due to the lack of purchase from China, which is the largest importer of base oils in the world. All of us know the recent quarter problems, which they have had and that has continued into January of this year because of COVID spreading and many establishments and factories not running fully normally. So as a consequence, there was a big drop that took place in spot availability, meaning pricing of spot cargos of various base oils. Also the public sector refineries had a lot of surplus base oil for two reasons. One is the overall demand of lubricants has been a bit soft, especially the retail side has been a little bit on the soft side, and I guess this resulted in an untimely or unplanned increase in base oil inventory, which the public sector oil companies had. In addition to that, we have also had record production of base oils compared to previous periods. This put together resulted in them having excess product. Base oil is a very tricky item to store because you can only store it in specific tanks or specific quantity. So the volume is getting produced faster than you can evacuate, the only option is to crash the price so that people end up buying it, and that is precisely what happened. We were expecting a little bit of that to happen, but what actually ended up happening was much more brutal than had been envisaged.

Now as we go into Q4, that situation is getting normalized, and my sense is that by the end of this year, that is by March, the situation should come basically closer to normal because I do not think fire sales will continue. There is also an industry view that Chinese demand may come out stronger and that is the reason why none of the refineries around the world

APAR Industries Limited

January 31, 2023

Page 10 of 29 have actually cut production. So it seems like a bit of a short-term problem and by the end of the year, I think you should start seeing more normal economics. Lube companies which keep very low inventory of base oil than they buy on a just in time basis, obviously they have benefited because they could take advantage of the spot prices. Companies like us run 70% of our purchase on longer-term contracts, and therefore it has taken longer to get cleaned out in terms of the inventory.

Gopal Agrawal : Very happy to see the volume growth and profitability, and just wanted to understand your focus on B2C side on the cable business, because your cable quality is quite good, how do we penetrate market, just your strategy on that.

Kushal Desai : So on the B2C side of the cable business, we have taken a strategy of wanting to build that on a step by step basis, I mentioned earlier that from revenue of approximately 100 Crores as we did last year, we will be at close to 200 Crores this year, and we have a target of

hitting 350 Crores in FY2024. So that is largely coming up. Products are very well received. They are of best quality that is there in the country by a margin. The key is actually adding distribution and so we have been going about that. Today we have the distribution in the 5 southern states. We have added Uttar Pradesh. We have also added West Bengal and Bihar, so you know the rollout is happening, and our expectation is that this is slowly increasing on a step by step basis.

If there are some basic numbers you like, if you look at March 2022, we had about 20 distributors. As we hit December 2022, we have close to 100 distributors. If you take our presence in retail counters we were at 275 retail counters in March, we are at about 1550 retail counters at the end of December. So that spread is increasing, and our product, the way we sell the product is by conducting demonstrations to electricians and specifiers. So we were at around 6000 demos per quarter in the March quarter. We have increased to 25000 demos in the September, December quarter. So all of these is at grass root level.

For example for electrician meets we were at about 450 meets in the March quarter, we are at about 2500 meets in the December quarter. So we went to grow this on a grass root level basis with good distribution. So you will see every year about 100 to 150 Crores getting added in this segment year-on-year.

Gopal Agrawal : Correct, sir. Thank you very much.

Moderator : Thank you. The next question is from the line of Charanjit Singh from DSP Mutual Fund.

Please go ahead.

APAR Industries Limited

January 31, 2023

Page 11 of 29 Charanjit Singh: First of all, congratulations on great set of numbers. So my first question is regarding the exports market. So while these markets are pretty large and our opportunity size is pretty strong from the growth perspective in the export segment, how we can see from the next two to three years perspective, and do you see the overall mix of export versus domestic increasing further going forward in the next two years timeframe. That is my first question.

Kushal Desai : So in terms of overall growth, we expect that the domestic market will grow because of RDSS as well as industry growth and just general GDP growth. The good thing about wire and cable is that any establishment that builds requires some wire and cable just because of the electricity that needs to be distributed. So the domestic side, you will definitely see growth. That growth will allow us to do a little bit of cherry picking in terms of who we want to service on the domestic side. Our sense is that for us export sales will grow faster than domestic. We have actually invested a lot of money in approval. For example the United States requires what is called underwriters laboratory approval, UL approval. So we have the highest number of UL approvals in the addressable segments out of all the Indian manufacturers as of today. We are still working on more approvals. We have now penetrated the European market for cables that go into solar and wind. We already supply a fair amount of cables into Australia, for example, that covers solar, wind, and there, there is a big expansion happening on metros, underground metros and train lines. So we have been a major supplier of the Sydney Metro. Now we are bidding on all the other metros over there. So the overseas business, I think, will also continue, and my sense is overseas business will grow at a faster pace than the domestic business.

Charanjit Singh : Sir the other thing is like you talked about a lot of these distribution reforms and what we are also seeing on the ground, re-conductoring. If you can touch upon that aspect, how these distribution reforms can add to the overall growth for the conductor's business and even for our transformers oil business.

Kushal Desai : Yes. So as far as distribution reforms are concerned, it is much more cable intensive than conductor intensive. So you will see the cable business being able to address a large portion of that opportunity. These are a certain class of conductors called medium voltage covered conductors where you really make a conductor and then you provide an insulation on it. So it is actually produced by our cable division, even though the alloys and conductors were originally designed by our conductor division, but the finished product is sold by cable division.

So largely this will be addressed by the cable division. In terms of transformer oil, you will have more and more distribution transformers going in, and you will also end up having some amount of power transformers, which will bring in power to the grid, and then from that substation connecting to the next level of distribution. So transformers oil demand

APAR Industries Limited

January 31, 2023

January 31, 2023

Page 12 of 29 will be kind of linear with the number of transformers which are being supplied, and most of these transformers, almost all of these transformers in the RDSS will be oil filled

transformers.

Charanjit Singh: Sir, last question from my side is on telecom and convergence business, we have seen some ramp up from your side with new business head. So how is that opportunity shaping up. Maybe it may not be in one year timeframe, but in a longer -term, do you think that will be getting bigger for us.

Kushal Desai : It is definitely getting bigger. We have created a separate team within the company, with a separate business leader who is working across the synergy of the divisions that we have focused on this. So there we have OPGW which is a big play for us, and you will see within the conductor division more and more of this OPGW turnkey work which we are doing. In addition to that, the 5G rollout will give a lot of impetus normally the fiber optic side and but also the copper side and hybrid products, and so the 5G rollout is going to happen in India, but it has already started happening in the United States and in some of the overseas markets. So we have a set of products which are addressing this. We are in the process of getting a whole series of products, which are under approval from some of the big players in these overseas markets. So you will see this particular vertical also growing over a period of time, and it is pretty much going to be new growth that is there. Even though it involves conductors and cables, but it is a different vertical and you are addressing a different market segment, which is basically telecommunication and 5G infrastructure.

Charanjit Singh: Got it, sir. Thanks a lot for taking my questions, all the best for the future.

Moderator : Thank you. The next question is from the line of Chirag Setalvad from HDFC Mutual Fund.

Please go ahead.

Chirag Setalvad : Sir congratulations on a fantastic result. Just a few questions in terms of profitability. You mentioned on the conductor front that the improvement in mix, steel prices and lower freight all contribute. I missed those numbers. So I know third quarter profitability came in at Rs.40000 a ton. What do you think is a sustainable level in the near future, and what do you think is the sustainable level in the long -term. You mentioned it, but I missed those numbers.

Ramesh Iyer: Yes. So in the short -term, the momentum can continue. Of course, the exact number will depend on the exact kind of products that we execute. Also depending on how much orders that we get during the period. But we expect in the short -term, it could be in the range of

APAR Industries Limited

January 31, 2023

Page 13 of 29 about Rs.30000 per metric ton, but on a sustainable basis, we clearly see to be in the range of about Rs. 22000, Rs.24000 per metric ton.

Chirag Setalvad : And what caused it to drop. Is it a mix that will change? How much of this 40000 can be attributed to the steel prices and low freight.

Ramesh Iyer: So the way may be to say is that it really depends on your macro and geopolitical situation prevailing. So currently, these situations are all favoring us, and if this kind of situation favours for us possibly, we could see this high momentum going forward. But now we are able to give a visibility depending on what we can clearly see as of now.

Kushal Desai : Chirag just to sharpen the sort of numbers or to

he view here, do you see what has been the

transformation in terms of the margin per ton is that domestic business, South Asia, which is India, Nepal and Bangladesh has seen a lot of high efficiency conductor supplies as well as copper as a premium product, and that is contributing towards about 44% of the revenue.

The balance 56% today is largely going towards exports and good realizations into fairly developed markets like the United States, Australia and to some extent, Latin America. So the realizations that are possible there and the kind of competitive intensity is very different compared to the domestic Indian market because the expectations on the customer also is significantly higher. So this mix is what has given that boost. If this mix continues, you will be in the 30000 range. But if things are getting fully normalized, there is also some China plus one advantage which we have. So if some of these things disappears, then just because of the product mix that is available today, you will still be in that Rs.24000, Rs.25000 per ton range simply because we are selling higher value added products. So if you were to model it over the short -term, you will be in the 30000 odd range. If you model it over a longer period of time, Rs. 24000, Rs.25000 a ton can be taken as a base number, and then whatever favorable situations are there will be a top up on that.

Chirag Setalvad : Perfect. That is very helpful, and similarly, the cables business, where do you see sustainable profitability.

Ramesh Iyer : Cable business, you see in the last few quarters our margins have gradually increased, and this quarter we had 11.8% as EBITDA. We see that on a long -term basis, double digit of 10% would be sustainable with the product mix improving with our geography mix improving and also getting high economies of scale. At this point of time, we are able to maintain the guidance of about 10% on the cable business.

Chirag Setalvad : Thank you very much and all the best.

APAR Industries Limited

January 31, 2023

Page 14 of 29 Moderator : Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar : Thanks for giving the opportunity, and congratulations on a great set of numbers. Sir, actually I wanted to understand around the premium conductor side and given the kind of premium conductor, our percentage is going up and even exports is taking incremental focus which is leading to higher profitability, I just wanted to understand, is not the competition putting the focus over here, given the fact that this part of the business is turning out to be a big profitability business. So how do you see competition largely from Indian players who are looking at exports and even the local player in these geographies. So if you could throw some light around that. Are there any incremental capacities which are turning up from competition or there is some movement around that. That was my first question. Second question on the copper prices. Of late around the month, we have seen copper prices going up by 10%. So how do we see that impacting our profitability on the revenue runoff, which has happened on the copper prices, and my third question was on the US infra side. I mean given the incremental focus which will come on the US infra bill. So what is our strategy here? What is our on-ground people that we have put. What is the GPM strategy, and what kind of business are we possibly looking at over the next two to three years, specifically from the US infra bill side of the things here.

Ramesh Iyer : So I will take the first question first. The competitive advantage as you mentioned on the conductor division, if you look at this, our updated presentation, we have a separate slide that talks about our competitive advantage on conductor cable and oil division. But just to talk about it, w

hat we feel is that our products which are premium products as well as conventional products, we have some competitive advantage as compared to the competition. Basically, in terms of technology and the know how that is involved in this product and design, which actually acts as a barrier to entry for the competition, and it involves a special shrinking mechanism as well as there is a lot to do with the design of the product, which is something that cannot be easily copied, and it is just not a product supply, but it is the entire turnkey solution that is what we give for some of the premium products, which actually adds a barrier to competition over there. Also in terms of conventional products in the exports, if you see a lot of requirements that the customer demands is not only the product, but also in terms of reliability, quality and also in terms of the risk management exercise. So you look at the holistic things instead of only looking at the product and the pricing there, and based on the years of experience that we have in this business, we are at a very advantageous position when it comes to supplying these products in the overseas market. Could you repeat your second question? I just missed out.

APAR Industries Limited

January 31, 2023

Page 15 of 29 Mihir Manohar : Yes, sure sir. My second question was on the copper prices. I mean off late, we have seen copper prices going up by 10% of the last month. So how would that impact our profitability, and if you could throw some light, what is our hedging strategy. Can you throw some color around that.

Kushal Desai : So the copper price, there would not be any impact because the entire B2B side, we hedged the product on a back to back business. So moment we have orders, just like we were running the hedging strategy on aluminum, we run a similar hedging strategy on copper so you will not see any major or impact due to the movement of copper prices as and such.

Ramesh Iyer : If the prices are high or low are getting passed on to the customer.

Kushal Desai : In many cases, it is actually fixed because your order has come at a fixed price and the metal as well is booked back to back on that. So for example, all the delivery duty for solar cables, windmill cables, for your defense, for the railways, we follow the same strategy, where the moment the order comes, the forward cover is taken or the forward booking is taken and the metal is hedged. Where you are open is to some extent, on the wire and cable side through the distribution network. But there, we have been all the major players, they increase and decrease prices on a very regular basis, and their stakes are much higher. So we are just a follower in terms of those changes, which happens. So the Polycab, Havells, Kei and RR Kabel are the ones which move the price up and down based on copper movement, and so we will just follow based on the same proportions. So there would not be a major impact from the copper.

Mihir Manohar : Yes. The third question was on the US infra side. I mean, given the fact that US have come out with an infra bill.

Kushal Desai : On the US infra side, the fundamental growth is coming from 3 areas. Number one, cable requirements, which are going into the installations of solar farms and wind farms. Second is evacuation that is happening from that into the grid, which is where the conductor comes

into play and the third piece is the actual strengthening of or replacement of old transmission networks, which are there. So we are in a position to actually participate in all these three.

Mihir Manohar : Sir, and just lastly an extension to the earlier question, which was on the premium conductor side. So are you seeing competition putting up capacity for the premium conductor space? I mean is industry putting on incremental capacity on that offering.

APAR Industries Limited

January 31, 2023

Page 16 of 29 Kus

Kushal Desai : So we have competitors who are also adding some capacity on that. But here, it is just not a question of adding capacity like in the conventional conductor because most of these are part of a solution that is provided. So there is a design element of the conductor involved. This is a design element of the network that is involved when you do re-conductoring, and then there is also stringing technology, which needs to be in place. So as a turnkey operator, we actually have the most advantageous position because we have all these three elements with us. We have the product, we have a design of the network, and we have the ability to string and deliver the reconductoring or new conducting projects involving these special products.

Mihir Manohar : Okay sir, that is it from my side. Thank you very much and best of luck for the future.

Thank you.

Moderator : Thank you. The next question is from the line of Maulik Patel from Equirus Securities. Please go ahead.

Maulik Patel : Thanks for the opportunity and fantastic set of numbers. I think what you were discussing earlier, I think it is finally taking place for the conductor segment, and good to see that you are still having the confidence that this business will continue to grow. A couple of questions, I think, more on the balance sheet side and on the Capex side. What is the acceptance as on Q3 FY2023?

Ramesh Iyer: So our interest bearing acceptance is about 3400 Crores as on December end.

Maulik Patel : That will be other than the normal debt, working capital debt.

Ramesh Iyer: So, we have a long-term debt of about 200 Crores, and current maturities of long-term debt is about 50 Crores.

Maulik Patel : What kind of Capex in this year you are spending more on the cable side and not on the other businesses. So how much you have spent and what is the outlook for the next year.

Kushal Desai : So the Capex spend over the next 15 months, we expect to spend close to about 300 Crores odd between the cable division which is the lion share of it and the conductor division.

There will be very little Capex on the oil side, and our plan is that not only do we want to put in Capex to meet the current growth, but now look at ensuring that we have some excess capacity or surplus capacity in place a little bit earlier when the demand comes in and hits.

Because as we are going around the world and getting approvals, and more and more projects are getting approved, we continue to see the growth taking place. So it is more

APAR Industries Limited

January 31, 2023

Page 17 of 29 prudent we believe to actually put the capacity a little bit ahead of time so we look at a new Greenfield site for cable, and in conductors, we have acquired some land right adjacent to one of our plants at Silvassa area and machineries are going in there. So about 300 Crores odd over the next 15 months is what we expect the Capex to be in. That should help keep the momentum going in terms of growth both with cables and conductors.

Maulik Patel : Out of 300 Crores large part I assume that it will be spent over the next 12 months right.

Kushal Desai : Yes, the whole thing will go in the next 15 months. What is happening today is that the reason why the number looks a little higher and the period also is about 15 months is that if

you place an order for equipment today, the equipment delivery times have substantially gone up whether it is because of manpower or it is because of electronics and many critical components for these still coming from overseas markets for Europe and the United States.

So delivery times have gone up substantially. So that is why we do not, if we want to make sure we do not miss opportunities, we need to invest a little bit ahead of the curve.

Maulik Patel : Sure got it thanks.

Moderator : Thank you. The next question is from the line of Vivek Gautam from GS Investments .

Please go ahead.

Vi

Vivek Gautam : Congratulations on an excellent set of numbers. Few questions is about due to Ukraine crisis and now China opening up after three years of COVID, it is now instead of the China plus one policy prevailing has been told that exports to Europe and US are suffering because China is able to supply at a competitive price. So how come we are getting so good performance in exports, and secondly, is there a transformer oil shortage in India leading to

high prices. Even black marketing have been told that transformer oil, which is helping us a lot.

Kushal Desai : Well, let me address the two questions separately. So in terms of the China plus one, I think it is a really strategic decision that many utilities and countries have taken. So it is not related to COVID being there for the last three months and COVID going away. We have seen customers who have taken undertaking from us there is not a single component that goes into whatever we supply to that country will have a product coming in from Russia or China, for example. So I do not think that China plus one is something in our industry at least that is going away in a hurry. It is here to stay, and Indian companies actually like us stand to gain because it is part of our strategic vision that buyers are having. As far as the second question, there is no shortage of transformer oil. We can deliver any quantity of transformer oil. There is no black marketing of transformer oil happening. So I do not know

APAR Industries Limited
January 31, 2023

Page 18 of 29 where this has come from, but there is no shortage of transformer oil either in India or anywhere here in the world at this stage. The growth which we have seen has largely been in volume because we have been able to address. We are approved pretty much everywhere wherever the demand is taking place. But on the contrary, because the raw material costs have fallen very sharply, as I mentioned earlier, people like us who work on longer-term contracts have been hit in the short-term because we have had to adjust our prices lower than what the supply chain reduction would have normally allowed us, and that trend will start reversing in this quarter, probably normalize in the first quarter of next financial year.

Vivek Gautam : Sir, how is the opportunity side and what CAGR we can grow and how sustainable it has been in the performance over the last two quarters.

Kushal Desai : So in terms of sustainability, especially in cables and conductors, cables especially, we can see a 25%, 30% growth to come for the next several years. In terms of conductors, we have seen at least for the next two to three years, we will continue to see a good momentum as all these transmission network continue to be built. So this is not a short-term phenomenon. I think it is a big structural play and depending upon how much infrastructure is replaced in countries like the US, you have to keep in mind that a lot of infrastructure they went in between 1945 and 1970 before the oil shock took place. So as that infrastructure gets replaced, so far people are some or the other pulling on, but this is a finite life that all these products have. They are designed to last for 30 to 35 years. Already in many places, they have lasted for over 50 years. So they will finally give way. So depending on that, you will start seeing conductor demand growing. But if you exclude any major, just a steady growth, you will see at least for the next two to three years clear visibility is available.

Vivek Gautam : How has been the B2C performance and branding and how are we getting the response under Sonu Sood's brand ambassador.

Kushal Desai : Our B2C response has been good. I have actually thrown up many specific numbers against one of the earlier questions. But bottom line is that the business has grown last year it was about 100 Crores. This year, we will be at about 200 Crores. Next

year, we are targeting
350 Crores.

Vivek Gautam : Thank you, sir.

Moderator : Thank you. The next follow-up question is from the line of Amit Anwani from Prabhudas Lilladher. Please go ahead.

APAR Industries Limited
January 31, 2023

Page 19 of 29 Amit Anwani : Just a couple of questions on any targeted debt level which you are looking in the medium-term, and I can see interest costs and financial is at 225 Crores for nine months, significantly higher than the last four years. So any elaboration on that? How should we model the interest cost in coming quarters.

Ramesh Iyer: So I think rates have actually increased over the last seven and eight months, and if you see every quarter, our interest cost is going up. In terms of the rate increase, almost Q3 would be maxed out unless any further rate increases are there, and also, it is a function of improvement in the business. If you see the business is growing you will see the interest cost also going up in line with the volumes there. But these will all be taken into consideration when we price our products to the customers because we take the recent exchange and the recent interest rate at the time when we price to our customers. So you will see an increase in EBITDA as well as you will see an increase in finance cost as our volumes and interest rates goes up. But Q3 would be a good approximate at this level of business.

Kushal Desai : So on a unit basis. I think we are already at nearing the max depending on whatever the FOMC meeting results are, and the number of days for modeling purposes, the number of

structure of the receivables, inventory, etc. , is reasonably steady. So that is what can be used. In terms of long-term debt, we have the balance sheet that has a capacity to borrow. We have 250 Crores of long -term at 50 Crores we have repaid in this quarter. So we intend to take some borrowings for the 300 Crores odd of expansion. That is in place so that the retail earnings are available for working capital requirements, etc. But for modeling purposes you can take the current NOD, number of days for each of these, and they should be reasonably representative of what will happen in the days to come.

Amit Anwani : Got it, sir. Thank you.

Moderator : Thank you. The next question is from the line of Himanshu Upadhyay from O3 Capital.

Please go ahead.

Himanshu Upadhyay : Congrats on good set of numbers. My question would be on capital allocation . So from here on, we have already stated that 350 Crores is going for Capex, okay. Can you elaborate how much capacity will increase through this 350 Crores of Capex.

Kushal Desai : So the ratio for most of these is 1: 4, 1:5 in terms of the amount of products that can come out. Plus, part of this is a whole Greenfield site, which will be 40 plus acres of land. So that there is room to then keep adding machinery as the business continues to grow. So the key thing here is to look at what will be the return on equity that you are able to maintain

APAR Industries Limited

January 31, 2023

Page 20 of 29 through this period. So we are already close to about 18.5% to 20%. I think if you take the nine months it is actually 21%. But our idea is to not allow the ROE to drop substantially, and most of these projects have a reasonably good payback because the market is already there and most of the market development activities have already been done. So as you ramp up the production we are already working on customers and channels to be in place.

Himanshu Upadhyay : Okay see, if I break our return on equity, so there are three sides. Revenue to gross block which has been always very good for the company. The revenue to working capital, which has been generally on the higher side, and EBITDA margins on conductor, where we have seen a lot of work which has gone and improvements are visible and cables also. Is there some scope to improve EBITDA margin

argins on the transformer sustainably , not just the transformer in the oils business, and with economies of scale, which is coming, is there something you can do to improve working capital further on. What can be the bigger driver of sustainable ROE for you from here on in the working capital side and the EBITDA margin side.

Kushal Desai : Let me specifically address the specialty oil segments. So the specialty oil segment, you are not seeing any spectacular growth. Growth will be there 5%, 7%. In transformer oil, the growth maybe higher than that as transformer capacities get added both in India as well as overseas. But you have got white oil and some of these other segments where you may see even lubricants, particularly automotive lubricants and electric vehicles start getting rolled out, so the growth on some of that may slow down, but where the company's real growth is going to come is on the cable and conductor side , where you can clearly see a lot of infrastructure getting added. Now in terms of the working capital, there is a slide in the deck which gives you an idea in terms of secured receivables that we have, because wherever we end up giving extended credit to customers it is usually backed by a letter of credit on the other side. You may end up getting payables for some of your raw materials, which is extended, but on the other hand, you also have a whole lot of letters of credit or secured payments on the receivables side. So both payables and debtors are both, we are working on both sides of it, and there are interest costs associated with the extended credit days, they are factored into the pricing of the product. The customer usually has a certain number of days of interest free, and then they add the interest for the extended days of credit.

Himanshu Upadhyay : One more thing. Generally, our dividend payout has been between 20% to 30%. With the higher growth rate what we are visualizing , do you think the dividend payout ratios will remain the same or do you think more cash will be required.

Kushal Desai : The board has to decide, but as of now, the ratio that we have is between 25% and 30%, and given if there is continued growth taking place, and I think we probably would still remain

APAR Industries Limited

January 31, 2023

Page 21 of 29 in the same range having a bias towards reinvesting back. Because as I mentioned earlier we do not see this growth as being a short -term and market momentum not being short -term. This is a clear opportunity for a company like us to grow not only domestically , but overseas, and it does require the right investments to be made and those investments if made correctly will have a good payback.

Himanshu Upadhyay : The growth what we are expecting is in those segments where my return on equity and capital employed would be upwards of 20%. So that is what we are trying to get. Because commoditized business you can

get anytime.

Kushal Desai : ROE is in that range, I mean, it has taken a lot of effort to get it to the 20% mark. Every time you have a capital block going on, you can have a short-term drop because it takes a few quarters to ramp up the production and realize the full volumes. But I think we are at a momentum today where it is possible to be in that 18% , 20% range through all the

expansions, etc. There is a clear economy of scale available both in the cable and conductor business. So as the volumes go up, there is an efficiency which will clearly kick in.

Himanshu Upadhyay : See, my question is the segments where we are seeing growth currently, because of high demand it can be a good ROE. But even in the commoditized business sometimes the ROEs can be high because of demand supply. Our focus remains on high margin or high ROE businesses only for growth also that should remain on track.

Kushal Desai : Yes, I do not think you will see a big change in the mix of what we bought from today. The

target or the idea would be to keep improving the mix i.e. , which more value added products or premium products and then where there are standard products moving to more premium buyers.

Himanshu Upadhyay : In Europe also, are you seeing growth.

Kushal Desai : Fundamental things. So I will put it in perspective. You see when you supply to Indian buyers, they really go essentially on a 2 bid process. So once you clear a technical specification, then it becomes only price. So if you are 41 on 100 or 99 on 100, you are almost equated. Whereas when you go into the overseas market, that at 41 on 100 itself is in

the 70s. So the bar itself is much, much higher in terms of what they classify as pass or fail.

So that is where I say that you are looking at premium products and for standard products, you are looking at more premium buyers.

Himanshu Upadhyay : One last thing . We are speaking about the US where a lot of growth is visible. So what is your sense on Europe. Because a lot of other capital good companies on the power side are

APAR Industries Limited

January 31, 2023

Page 22 of 29 extremely optimistic on the Europe because of waste heat and so many, with the energy transition, which is happening, and the business growth, which is happening, what is your exposure.

Kushal Desai : In Europe, we are also seeing demand in place. We have been successful in starting to supply cables, particularly into the nonconventional energy space, which is both largely solar and also some amount of wind. So our expectation is, as I mentioned earlier, that Europe is one of the target markets which we have, and with the current issues that they have on both power and manpower in Europe, it bodes well for India. Recently, there was an industry meeting that our Commerce Minister Shri Piyush Goyal had with the top exporters of the country, and in terms of laying out what is expected over the next few years, they already have a free trade agreement in place now with Australia. They have put an agreement in place with UAE. There is a free trade agreement under negotiation with the EU. So if that happens, then Indian products have 3.8% to 4% custom duty, which if that comes off, then that makes us that much more competitive.

Himanshu Upadhyay : Thank you and best of luck for the future.

Moderator : Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri : Thank you so much for taking my question and congratulations on a great set of numbers.

So sir, I am a bit new to the company, so pardon for some basic questions. So as you said, our EBITDA margin in the conductor businesses, which are at around 40000 they will come down to 30000. So could you just help me with how that works , so we would see a decline in our EBITDA margins.

Ramesh Iyer: So what we feel is that depending on the order book that we get, the margins could change.

We have got some tailwinds in this particular period. But definitely, the profitable product mix has changed, and that is the reason you see higher EBITDA margin on the conductor division. Now how exactly these orders will get executed, it will depend at the end of Q4.

But what we are saying is that if we want to build a model for a long period of time two years to three years, we do not know how the macroeconomic and geopolitical things will pan out in the future, and from that perspective, we feel that a conservative estimate of about 24000, 25000 per metric ton would be there in the model. That is what we intend to say, but definitely, in the short-term we expect good order and profitability continuing in the near future.

APAR Industries Limited

January 31, 2023

Page 23 of 29 Darshil Jhaveri : In terms of our revenue growth, what can we expect next year. Any target that we have that we want to reach that number or something that could help me.

Ramesh Iyer

er: The cable business we are talking about 25% to 30%. In our conductor business, you should see at least a 15% to 20% growth between this year and the coming year. The oil business will be closer to about 5% to 7%.

Darshil Jhaveri : So that helps a lot, and with regards to the fluctuation in finance cost, I understand correctly that we pass it on in our EBITDA and that is why we have a higher finance cost. So as the revenue increase, the finance cost would be a similar figure will be dependent on that.

Kushal Desai : As I mentioned earlier, if you take the number of days for outstanding, inventory, all the components that contribute towards the business as a model is reasonably set. So we do not expect any major change to be there in that. So really the movement will be up and down depending on where the interest rates are. So I guess in the shorter term, you will have higher interest rates when inflation and things come off, then maybe the interest rates will also start coming off, we are factoring into our business that higher interest rates are being taken into account as part of the cost cycle.

Darshil Jhaveri : So that helps and our new Capex, so what kind of an asset turn can we expect from it.

Kushal Desai : On the cable side, you have, depending on the product, anywhere between 4x to 6x. If you go to house wires, then it can be as high as about 8x to 10x, and in conductors also, it is around 5x to 6x, depending on the nature of the product.

Darshil Jhaveri : Sir, if I may squeeze in one more question, so what would be our capacity utilization currently.

Kushal Desai : So currently, most of the cable and conductor products are running pretty much flat out, and that is the reason why this Capex is being incurred and more equipments are coming in to support the growth.

Darshil Jhaveri : Thank you so much for your time and all the best for next quarter.

Moderator : Thank you. Our next question is from the line of Ca Garvit Goyal from Nvest Research . Please go ahead.

Ca Garvit Goyal : Good evening, sir. Sir, my question is from EPS side. In last conversation from quarter two, you were mentioning that the halfway EPS will be in line with the half one EPS. But now for the nine months it is 103. So where do you see the EPS laying out for entire FY2023.

APAR Industries Limited

January 31, 2023

Page 24 of 29 Ramesh Iyer: So we have given overall guidance. If you build that model, we will be able to know how much will be the EPS. Specifically, we cannot comment on exactly what will be the number in the next quarter. But based on the division top line and bottom line profitability, you will be able to work out the EPS how it will pan out. Because each of the divisions have different growth rates. So you need to put that math to see how the EPS will move going forward.

Ca Garvit Goyal : Because you are saying conductor business is 15%, 20%. Oil 5%, 7% and cable 25%, 30%. So this seems to be a little bit conservative considering your first nine months growth and one side you were also saying that this high growth momentum will continue. So that is why it is little bit confusing regarding the growth guidance.

Ramesh Iyer: Yes, so we are looking at the long-term guidance that is what if you want to put that in the model, those are the guidance numbers that you need to build into that.

Kushal Desai : If you look at FY2023, you can pretty much extrapolate whatever in the first nine months. The first nine months carry forward into the fourth quarter. We are looking specifically at what is expected in this financial year.

Ca Garvit Goyal : It is basically you are saying nine months, this nine months will continue in the ...

Kushal Desai : Prices is given in the new deck that addresses what the current structure is. EPS by business is indicated also.

Ca Garvit Goyal : So kind of momentum we witnessed in nine months, we can expect it in the ne

xt one to two

quarters, you are saying.

Kushal Desai : For the next quarter, I mean, we are talking about this current quarter which we average that you see over the first nine months will continue further. I mean, that is the visibility which we have as of today.

Ca Garvit Goyal : Understood that is all from my side sir. All the best.

Moderator : Thank you. The next question is from the line of Yogesh Bathia from Sequent Investments . Please go ahead.

Yogesh Bathia: Congratulations sir, on a very good set of numbers. I wanted to know that do you think the worst in the base oil business is behind us, what we saw in Q3, high-cost inventory, etc. Do you think it is behind us?

APAR Industries Limited

January 31, 2023

Page 25 of 29 Kushal Desai : At least in the current situation, I think the worst is behind us clearly.

Yogesh Bathia : That is it, sir. Thank you.

Moderator : Thank you. The next question is from the line of Saurabh Patwa from Quest Investment

Advisors. Please go ahead.

Saurabh Patwa: Thank you for taking my question. Congratulations on a great set of numbers, I think a lot of my questions have already been answered. Just two things, one on the conductor side, for a very long time, we used to give a guidance of sustainable margins of around 12000 to 14000 basis of higher margins in HEC, which used to be around 25000, 26000, so is there any possibility of going back to that situation.

Kushal Desai : No, I do not think we will go back to the 12000 to 14000 because if you also look at the product mix that existed in that 12000 to 14000 period , it was largely a) conventional conductors and b) it was being largely sold in the domestic market, which is very competitive. So right now, there is a structural shift in terms of the mix of product, and at least as I have been saying over the last hour we see more premium buyers coming forth to buy standard conductors.

Saurabh Patwa: Do we need to make any adjustments to our plants to have a higher share of these products.

Kushal Desai : No we made manufacturing fungible. So as a consequence, as the more premium products need to come on board, we already have capacity on the aluminum side. On the copper side we have been making adjustments and additions as the copper side the capacity has been going up. In terms of quality or premiumness of the products that we can produce, that has always been built into our system. So I think we are just getting more premium buyers who have a much higher standard of what they require especially when you go overseas the minimum bar for passing is significantly higher than in the domestic one. Domestic market anything that conducts a current is good enough.

Saurabh Patwa: In the past, you used to highlight that there has been not a lot of conducting in US and other North American market, and that is why the competition, there would not be any actually lot of players left there. So now when we see that opportunity actually rising there, is the same true now as well or some Chinese or other players have started getting into that business.

Kushal Desai : So I think that is holding true that local manufacturing there is not able to keep pace, and I do not think we see investments going in for now capacity to be added at any huge

APAR Industries Limited

January 31, 2023

Page 26 of 29 appreciable pace in North America, Europe, any of these places. Because they are fundamentally not so cost competitive in terms of the operating cost over there. In terms of these Chinese players, we do not expect anything sudden to happen because many of these buyers are actually quite strategic in their purchase and they have laid down quite clearly the policies. I mean we would be surprised if it changes dramatically from what we have laid it out to be.

Saurabh Patwa: Just one last question, if I may add. The capacity which we are adding in the conductor side, I

know you mentioned it in Gujarat, but in Orissa where we have another conductor plant, we have some arrangement that we could get a liquid metal module. So can you give the capex .

Kushal Desai : So the capacity for rods that we are adding is being added in Orissa. But the conductor making capacity we are adding in Silvassa simply because if you see a higher and higher percentage of exports taking place, we are today exporting from both the Silvassa plant as well as the Orissa plant and export logistics out of Orissa are not the best, whereas we are getting more and more options for export out of Silvassa, because you have the ICD which has now been taken over by Adani Logistics. They are increasing capacity there. There are more ports coming up in and around Gujarat. So Silvassa is a very good location for manufacturing for exports.

Saurabh Patwa: How is our Al-Hamriyah plant doing. We had plant with bulk exports from there.

Kushal Desai : Al-Hamriyah plant has been doing quite well. In fact their volumes have been consistently growing. We are at almost 18% above the same period previous year for this particular quarter. The Middle East has been doing better because of the current oil prices, etc., and we hold energy situation also better. So our expectation is that growth from that plant will continue to come, especially on the transformer oil side. The white oil, etc., is in trouble because the three largest countries that buy in Africa do not have foreign exchange, which is Egypt, Nigeria, and Ethiopia. But the transformer oil side is coming from the more industrialized countries and we have the whole GCC, you have Latin America, Europe, everywhere power conductors going in distribution contractors and transformers going in. so the transformer oil side seems quite good.

Saurabh Patwa : Thanks a lot and all the best, sir.

Moderator : Thank you. The next question is from the line of Dhavan Shah from Alfaccurate Advisors . Please go ahead.

APAR Industries Limited

January 31, 2023

Page 27 of 29 Dhavan Shah : Thanks for the opportunity. I have a question on the conductor side. In the slide, you mentioned the revenue mix between exports and premium products, so would it be possible to share the volume number, volume mix between exports and premium out of the overall 44500 tons for this quarter.

Kushal Desai : So you see, if you take premium products are 44% and if you take exports, that is also almost 50%. So the amount of standard conductor sold in the domestic market is very, very low.

Dhavan Shah : Volume wise, it will be the same. The revenue mix will be the same.

Kushal Desai : It is difficult to tell you volume because there are so many different types of products, shapes and sizes. Basically, I think the value mix will give you an idea of what is happening, and in fact that would have been one of the major reasons why the profitability has also been a bit higher.

Dhavan Shah : In terms of the EBITDA per ton, can you please share the differentiation between the exports and premium products against the Rs. 49900 a ton, what we have done.

Kushal Desai : We do not want to go down to such a granular level because along with you, we have competitors who are looking for that information. So I think to the extent that is possible for us to give information, I think, we have already displayed.

Dhavan Shah : Suppose, let us say, I think you also mentioned that some input inflation resolved and lower freight cost, which has helped to include EBITDA per ton. So, if you exclude these two things, then what could be your EBITDA per ton against the 49900.

Kushal Desai : We put a base case of 24000 to 25000 per metric ton, and then we have also given what could be tailwinds which are there, which is i.e., standard product export continues at a higher pace. If steel prices remain steady then that helps. So our expectation is that in the short-term

we will be around in the 30000 in terms of value addition. In terms of longer period you can take 24000 to 25000 per ton. That forms the base number going forward.

Dhavan Shah : So against the base number, would it be fair to assume that the premium product EBITDA per ton would be roughly 1.5x to 2x against the base.

Kushal Desai : So depending on the product, we have classified a basket of products, if you look at that range of products, and if you compare it to domestic transformer conductor, it is at least 2x of that. In terms of the overseas conductors, it is somewhere in between, it will be order to

APAR Industries Limited

January 31, 2023

Page 28 of 29 order country to country, etc. So that is why we try to simplify it by giving EBITDA per ton considering a certain product mix.

Dhavan Shah : So this premium product is entirely for the domestic market, right. 44%.

Kushal Desai : Yes, largely going into India, Bangladesh and Nepal mostly, because it has been done largely on a turnkey basis.

Dhavan Shah : What is our overall market share in this segment.

Kushal Desai : So on the premium, depending upon, of course, so if you look at the copper products, we may be in the 15%, 20% range. The railways we are much higher, we are at about 40%, 50%, and if you look at HEC, high efficiency conductor, etc., we would be at least 40%,

45% market share. Because it is dominated currently by APAR and Sterlite Power, there are obviously, over a period of time more players will come in but so far, we have been able to hold a fairly good market share.

Dhavan Shah : Got it, sir. Thank you.

Moderator : Thank you. The next question is from the line of Bobby Jayram from Falcon Investments . Please go ahead.

Bobby Jayram : Do you do EHV cables.

Kushal Desai : We do not do EHV cables. We basically go up to 66 KV. So that is actually considered as medium voltage or in some cases high voltage, but not extra high voltage.

Bobby Jayram : Any plans to get into that.

Kushal Desai : Not at the moment. Because the products which we have at the moment where we have the approvals, we have the expertise in place, we see a fairly large addressable market there and our current focus is to address extra high voltage situations by medium voltage covered conductors or by conductors.

Bobby Jayram : The other thing, you said the US is a major market for exports, right. But I was wondering, these countries have a lot of local procurement rules. So how is this going to impact you.

They all want it locally manufactured, right, ideally. So how is that going to impact your export trajectory?

APAR Industries Limited

January 31, 2023

Page 29 of 29 Kushal Desai : I do not see any emphasis on local manufacturing coming from, for example, the United States because there just is not enough local manufacturing and if you look at the unit cost of production there relative to a place like India, it is much cheaper to produce here and

ship. There is some pressure in terms of having availability of stocks. So we do have many large distributors who buy and stock our products and then resell them to utilities there. We have also been investigating, looking at setting up a manufacturing facility at some point, which is nearer to the United States, to service the US, Latin America, etc. So once you have a site there, then you can have some production going from there and then also production coming in from India, but at the moment for whatever our immediate plans are we can easily service them from our plants in India. You see a lot of the project sites which are there, they do not need overnight delivery. They have a planned project delivery schedule. So when a solar plant is being built or a wind farm is being built, there is time available to manufacture and deliver the product to the site within the window that the customer defines.

Bobby Jayram : No, that is perfect

because I thought the Inflation Reduction Act specifically asked for products to be locally manufactured.

Kushal Desai : So right now, it is not hurting us. We are examining manufacturing in geographies like Mexico, Colombia these sort of places where Mexico of course has an advantage because it falls under NAFTA, and it is considered as a local manufacturer. But most of these cases just the physical availability of product itself is not there, and the cost of manufacturing there is relatively very high compared to what would happen over here.

Bobby Jayram : Right, thank you very much.

Moderator : Thank you. As that was the last question for today, I would now like to hand the conference over to Mr. Kushal Desai for closing comments. Over to you, sir.

Kushal Desai : Yes. Thank you very much for being on this earnings call. Just in conclusion, I would like to say that the opportunities that we see in our business will present itself not only in the short-term, but also in the medium-term and we will continue to remain focused on the products and markets, which we have established ourselves in because we see good growth coming in from those areas and with that our objective and aim would be to continue to sustain good momentum as we go forward. So thank you very much for being on this call, and look forward to interacting with you all in the future. Thank you.

Moderator : Thank you, sir. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

E-filing

SEC/1205/2023 May 12, 2023

National Stock Exchange of India Limited
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: The Manager, Listing Dept.
BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Dept.

Sub. : Submission of Transcript of Investors Earnings call on Audited Financial Results
(Standalone & Consolidated) for Q4 and Financial Year ended March 31, 2023 (2022- 23)

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable
Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as
amended from time to time

Dear Sir,

Kindly refer our letter dated May 08, 2023 under Ref. no. SEC/0805/2023 w.r.t. submission of link
of Audio Recording of Investors Earnings Call on Audited Financial Results (Standalone & Consolidated) for Q4 and Financial
Year ended March 31, 2023 (2022 -23).

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting
herewith the transcript of the Investors Earnings Call made on May 08, 2023 on the Audited Financial Results (Standalone &
Consolidated) of the Company for Q4 and financial year ended
March 31, 2023.

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com .

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

APAR Industries Limited
Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India
+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com
Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India
+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

Page 1 of 39

"APAR Industries Limited
Q4 FY '23 Earnings Conference Call "
May 08, 2023

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR – APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI – MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED
MR. RAMESH IYER – CHIEF FINANCIAL OFFICER –
APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

APAR Industries Limited
May 08, 2023

Page 2 of 39

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of APAR Industries Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Ambesh Tiwari from S -Ancial Technologies. Thank you, and over to you, sir.

Ambesh Tiwari : Good afternoon, everyone. This is Ambesh Tiwari from S -Ancial Technologies. I welcome you all to the fourth quarter FY '23 earnings call for Apar Industries. To discuss the business

performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer.

I would now pass on the mic to Mr. Kushal Desai for the opening remarks. Thank you, and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone. I will start off by giving a quick overview of our performance and follow that up with a short industry update. We can then get into more details on the segmental performance of our three major businesses and post that, we will open up the floor to questions.

So, during the fourth quarter of FY '23, the consolidated revenue for APAR came in at INR4,089 crores, which is 36% higher than the previous year. We witnessed volume growth across all the three divisions and in particular, export of conductors and cables, which are the major contributors to this overall growth. Exports grew by 85% year-on-year, contributing to 53% of the company's revenues for the quarter compared to 39% a year ago.

APAR Industries Limited

May 08, 2023

Page 3 of 39

The EBITDA for the quarter is up 146% to INR445 crores at a margin of 10.9%. PAT came in at INR243 crores, which is 194% higher than in the previous year. The PAT percentage is 5.9% versus 2.7% a year ago. If you look at a full year consolidated basis, the revenue came in at INR14,352 crores, carrying a growth of 54% year-on-year. PAT at INR638 crores is 148% higher than the previous year.

Export for the full year contributed towards 49% of the total revenues, which is 97% higher than in the previous period. This has been an all-time high, top line and bottom line for the company as well as for export revenues.

Coming to the power sector, I would like to just update a couple of major areas. The power generation in India grew at the fastest pace that it has

in the last three decades with a jump of about 11.5%. This was led by actually the intense summer heat wave from the last summer and colder than usual winter in Northern India. There was also an economic

recovery that led to a jump in electricity demand. This forced the cranking up of output from coal plants as well as solar farms as well this scramble to actually avoid power cuts. So, the output from plants running on fossil fuels grew by 11.2%, which is actually the quickest growth that has happened in the last 3 decades.

There was a 12.4% surge in electricity production from coal and that offset a decline that had happened from gas-fired plants basically due to

the spike in LNG prices. So, if you look at the total power supply during the last fiscal, it is at 1.5 trillion kilowatt hours, which is 8.4% higher than in the previous year.

India still faced a power deficit of 6.69 billion units and this is the widest deficit that it has had in the last six years. So even though power production was 8.4% higher, the deficit was still the widest in the last six years. In the new fiscal that began last month, Indian power plants are expected to increase power generation from coal by about 8%. The acceleration of coal-fired

output to address a spike in power demand

APAR Industries Limited

May 08, 2023

Page 4 of 39

highlights the challenges which are being faced by India as we try to wave off the usage of carbon and ensure energy security for our population.

On the renewable side, India solar capacity additions have grown by about 20% during the just ended fiscal year of FY '23, boosting the renewable energy output to 33 billion units or approximately 22% of the total power being generated. The green energy output helped prevent 32.5 million tons of CO2 emission, that would otherwise have been produced from coal. The share of renewables in power generation, excluding big hydro and nuclear power.

So essentially, this is small idle solar and wind has increased to 11.8% compared to 10.8% in the previous year and the main increase has come from solar, which is 35% higher than in the previous year.

I would now like to spend a few minutes to cover the business highlights. Our conductor business as revenues in Q4 FY '23 growing by 41% year-on-year to reach INR2,121 crores with a volume growth of 46% in the quarter. The export revenue grew by 81% year-on-year, contributing towards 58% of the division's overall revenues.

The premium products contributed to 45% of the revenue mix. EBITDA per metric ton post forex adjustment came in at INR 58,000 a ton, which is a historic high. As we have been mentioning earlier, the conductor division has seen a major transformation in its journey over the past decade and the various investments which we have made in R&D has helped us to tap opportunities both in the domestic as well as the overseas markets.

Looking at a 12-month picture, the conductor division revenues came in at INR 7,013 crores, which is up 67% year-on-year. The physical volumes of conductor manufactured is up 49%. The EBITDA per metric ton for the full year period came in at INR 44,114 per metric ton, which is 158% higher than in the previous year.

APAR Industries Limited
May 08, 2023

Page 5 of 39

The total order book that we have as of 31st March stands at INR 5,124 crores for the conductor division. So overall, the division has had an excellent quarter as well as the best 12 months in its history. The division's higher profitability can be attributed to a much higher share of premium products as well as a high share, a historic high for exports in the non-premium products.

Also, the market conditions in FY '23 were the most favourable than we've seen during the post-COVID period, where customers paid a premium for reliability and quality and also there were substantial freight gains as the container freight rationalized over the year. The losses from FY '21 and '22 due to freight, were to a very large extent, actually compensated in FY '23.

Having said that, the competitive dynamics in this division have intensified including from Chinese suppliers who have started pricing sharper and also are trying to find ways around the higher tax regimes that have been applied on them from the United States. We also are seeing an inventory adjustment taking place as customers reduce the higher level of inventories that they had built up to insulate against supply chain bottlenecks. So, this has resulted in a lower level of orders, which have been coming in, in the short term.

Coming to the oil division. Q4 FY '23 revenues came in at INR 1,179 crores, which is up 28% year-on-year. The volumes grew by 12% in the quarter, driven by a higher base oil price. Export contributed towards 45% by revenues and 47% by volume. EBITDA post forex adjustment came in at INR 3,697 per kl, which is in line with the guidance which we had given earlier. The lubricant revenue for the quarter was INR231 crores with a total volume of 18,370 kl.

So, during the 12-month period, oil revenues were up 31% to INR4,656 crores, the volume grew 5% in the period. EBITDA post forex

came in at INR4,781 per kl. And this was largely due to a much higher margin
APAR Industries Limited
May 08, 2023

Page 6 of 39

in the first quarter and then a revival of bringing margins back closer to normalcy in the February, March months.

Transformer Oil, which accounts for about 1/3 of the oil division grew at a faster pace than the other categories. And with the developments that are happening in the infrastructure space, we expect a steady

demand to continue for transformer oil, both domestically as well as overseas. Towards the end of the year, the margin pressures, which were there from the mismatch in cost versus selling prices have also eased and we should see better profitability and consistency in performance even on the lubricant side, which includes 3 industrial and automotive lubricants.

Now coming to our cable business. Our cable business revenues grew 38% in the fourth quarter to reach INR943 crores with a significant increase coming from our elastomeric cables as well as exports. Exports contributed towards 54% of sales in Q4 versus just 27% a year ago. The elastomeric cable revenue grew by 20%. We see robust business continuing to come in the renewable energy space, especially from solar installations. The EBITDA post forex came in at INR117 crores, which is 12.4% of revenues. So, this is a good 7% higher than what it was in the same period previous year.

Looking at the 12-month picture, FY '23 had cable revenues increased by 64% year-on-year at INR3,263 crores. The elastomeric and export business were the 2 main drivers with export contributing towards 52% of the annual revenues of the division. The EBITDA for the year came in at 10.3% versus 5.3% for the previous 12 months.

So overall, we had a very strong FY '23, and this has, of course, been the all-time high performance across all the 3 major divisions combined, robust growth, not only in the top line but also on the bottom line. We are quite optimistic about growth prospects of the company as the domestic and global macro environment continues to remain favourable

APAR Industries Limited
May 08, 2023

Page 7 of 39

with the thrust on infrastructure and renewables, which we expect will continue for the next few years.

We also recognize that in FY '24, the post-COVID demand and premium on quick and reliable delivery, as well as some of the strong tailwinds may taper to some extent, but we are overall quite positive about the prospects of business over the next 3 to 5 years.

I would also like to point out that we've updated our corporate presentation to make it current. It's already up on the website, and it carries a lot of detailed information much beyond what I was able to summarize earlier in the call. I would also request you all to go through the latest APAR ESG report, which was put up a couple of months ago in the Sustainability section of our website. And that updates all the company-wide initiatives in this most important area.

So, with this, I'd like to come to the end of my comments. I also like to thank all of you for joining this call, and we can open up the floor to questions, please.

Moderator: Thank you very much. The first question is from the line of Garvit Goyal from Nvest Research.

Garvit Goyal: Congratulations for a good set of numbers. My question is particularly on the conductor segment side. Like you mentioned in quarter 1 FY '23 call, you guided for EBITDA per ton, somewhere around INR17,000 to INR18,000. So, my question is what exactly driving the change in EBITDA per ton, like, I think, 3 quarters before you mentioned INR17,000 to INR18,000, in this particular quarter, that is around INR55,000 per ton. This is a significant change.

So, if this is a permanent change like because of the sectoral changes you are mentioning product mix and geographical mix. So, then I think the investor community should assume these kind

of realization going ahead, right? I'm asking this because from here realization has come

APAR Industries Limited
May 08, 2023

Page 8 of 39

down, then we will not be able to grow our EBITDA in particular segment, even if the volume growth come in.

Ramesh Iyer: There are multiple reasons for this increase in EBITDA. One of the key reasons and we have elaborated in our

investor corporate presentation

also is the transformation shift that has happened in the conductor division for the last 2, 3 years. Earlier, it was largely the conventional conductors catering to the domestic market where the margin used to be less because of competition intensity. But over the last 2, 3 years, we have been executing more of premium conductors due to which our margin profile has changed considerably as compared to the earlier period.

What has also happened in FY '23 is that not only we have been servicing the domestic market, but also opportunities are coming in the export market. So, what we've seen in FY '23 is that not only our conventional conductors that caters to the export market has increased in margins, but -- and also the premium conductors have also been having a higher margin. So overall, put together, we have seen a high margin in FY '23. And also, some of the macroeconomic and geopolitical environment has favoured us, that has also helped us to increase the margin in this year.

Garvit Goyal: So, my question is -- still not answered, right, going ahead, whether these kind of margins -- realizations are sustainable for this particular segment.

Kushal Desai : So we have been increasing our guidance continuously over the last 1 year, and we continue to keep a guidance of about INR25,000 per metric ton EBITDA at this stage also, plus some of the tailwinds that may come in the future, which as of now, it's difficult to predict because it depends on various macroeconomic and geopolitical situations. Even last quarter, we have been guiding about INR25,000 per metric ton. So, at this stage, we feel that on a long-term basis, we expect the

APAR Industries Limited

May 08, 2023

Page 9 of 39

EBITDA to continue at about INR25,000 per metric ton. Any tailwinds that arise in future would be added on top of this margin.

Garvit Goyal: You are paying this macroeconomic environment and part of the reason you mentioned is freight. So, freight rates are coming down. So that will be reflected in your EBITDA realization, right, in the coming quarters?

Ramesh Iyer: Yes. Freight rates has been coming down and accordingly, we pass on the freight benefit also to the customers unless there are some prices which are already locked in the pending orders, but largely, we pass on the cost to our customers.

Garvit Goyal: Okay. And what about the volume growth in FY '24, on the conductor and this particular oil segment prices?

Kushal Desai: Can you repeat the question because the voice was a little muffled.

Garvit Goyal: I was asking for the volume growth guidance for...

Kushal Desai: We expect approximately a 10% growth in volumes to 175,000 to 180,000 metric tons. Also, further to what Ramesh mentioned that in FY '23, there were a couple of very helpful tailwinds where we had taken freight hits in FY '21 and '22, which turned positive in FY '23, wherever the freight rates have been fixed. Now going forward, as we get into FY '24, the rates obviously are more current, and we don't expect any gain coming from there.

The second thing is that as supply chains were quite broken leading up to FY '23, customers in the United States and many of the export markets

who actually bought a brunt of this, were prepared to pay a premium to suppliers who had high quality and high reliability. Because their projects were already delayed.

And as a consequence, the negotiations really or the premium that you got on the price was relatively easy to pull during FY '23. Now having

supply chains, having got normalized, obviously, there is more

APAR Industries Limited

May 08, 2023

Page 10 of 39

discussion, negotiation and pressure on prices and margins, which is more in line with the normal scenario.

And what Ramesh also mentioned in here is that because of the premiumization of products, you will see a long-term change

in the

EBITDA from INR 10,000, INR11,000 a ton, which is what we had for several years, increasing to the INR25,000 plus, of course, if there are any tailwinds which come in, but a steady state of INR25,000 per metric ton.

Garvit Goyal: And sir, you mentioned the supply chain is getting normalized. So, whether they have been normalized or they are going to be normalized in coming quarters?

Kushal Desai: So, the supply chains have all got normalized now. So today, getting containers is not a problem, not only in India but anywhere in the world.

There's enough capacity of liners. There is no congestion at ports which is landing up with hundreds of vessels wanting to berth. So that whole

thing has got cleaned up in the United States and in most parts around the world. So, the supply chains are now pretty much normal.

Garvit Goyal: Okay. And on the oil segment, like, sir, what will be the volume growth guidance in the EBITDA realization?

Kushal Desai: So, on the -- in the oil vertical, we are looking at about a 5% volume growth. And our guidance on EBITDA will continue within the

INR5,000 to INR6,000 per kl. Last year, we came in at a little over INR4,700.

But with the situation having pretty much normalized in terms of unit margins, especially for the lubricant side of the business, our guidance

is around INR5,000 to INR6,000 per kl with a 5% increase in production. Now if you ask for the third division, which is the cable

division, there we are expecting about 25% to 30% growth and EBITDA between 10% and 12%.

APAR Industries Limited

May 08, 2023

Page 11 of 39

Garvit Goyal: Okay. And one last question is, you mentioned in your opening remarks regarding FY '24 taper off or kind of muted. So, is it like to be muted going forward?

Kushal Desai: Again, I couldn't hear your question. Could you repeat that, please?

Moderator: Sorry to interrupt Mr. Goyal. There is any disturbance coming from your line, sir, request you to use the handset mode, please.

Garvit Goyal: Sir, in your opening remarks, you mentioned like FY '24 to taper off or kind of -- so can we take, is this going to be a muted one?

Kushal Desai: Muted in the sense that both -- we expect both the oil division and the cable division to have a higher revenue and profit number. In the case of conductors, you will see a higher growth, but the profitability, which is averaged 44,000 for the year is something that's not easy to repeat. So, because there were a number of favourable wins. So, our guidance for that is 25,000 plus, there could be some tailwinds that actually come in. But that would be clear only once you start closing orders, we're right at the beginning of the year, and there's still a lot of uncertainty that's running.

Moderator: The next question is from the line of Pratiksha Daftari from Aequitas Investments.

Pratiksha Daftari: I was saying that with the -- I know you mentioned that competition has intensified and freight benefit would also probably not -- carried be

sustainable in next year. What about our raw material prices with metal prices being in a range bound fashion, would that also impact our

profitability going ahead?

Kushal Desai: So, as we've always mentioned in the past, we don't really take a call on raw material prices. We just hedge. Premiums have gone up slightly the MJP, which is one of the key benchmarks in terms of measuring premium. They were steady at around \$80 to \$90 a ton, which have now increased about \$120 a ton. But that is being factored into the pricing of

APAR Industries Limited

May 08, 2023

Page 12 of 39

our products. So, we don't really see any major impact from the metal side because it's all back-to-back hedged.

Pratiksha Daftari: Okay. Got it. And in terms of the order book that you mentioned about, I think, INR5,200- odd crores, how much would be premium products

and how much would be export?

Ramesh Iyer: About out of INR5,000 crores, about 40% will be premium products.

Pratiksha Daftari: Okay. And exports?

Ramesh Iyer: Exports, out of INR5,000 crores, could be about 60%.

Pratiksha Daftari: Okay. And what I understand is that we had some share of railway orders in conductors. Do we see that plateauing considering that the railway electrification target is newly achieved or at least a good amount of what was done.

Kushal Desai: So, there are -- they are following sort of phenomena that's happening

that there was program 1 was converting diesel to electricity in terms of running the locomotives. So that program is at a very advanced stage. You'll only see about another year or so in which that target will be met.

However, what's happened is that the lines which have been set of both contract and catenary lines are not high capacity or high ampacity lines.

As there's limitations in terms of the amount of current that it can carry to run Vande Bharat train and high-speed trains at its full capacity. So

therefore, there will be a certain level of reconducting that will come up if these trains are supposed to reach their full potential. So, I guess the

program will get over and then there could be a gap. And then the reconducting have to be done. Otherwise, you've got trains that can run

at 160, 180 kilometres and are running at only about 100 kilometres an hour.

Pratiksha Daftari: Okay, understood.

APAR Industries Limited

May 08, 2023

Page 13 of 39

Kushal Desai: Just by the way, APAR has been ready with this from day 1. We've been

-- we have the alloys, the R&D was done several years ago and products

are already ready and commercialized. But at that point in time, Indian

Railways didn't want to use high ampacity product. So as these tenders

come up, we are already ready with the products.

Pratiksha Daftari: Wonderful. That's really nice to hear. Okay. In terms of order pipeline, if you could share some color on that.

Ramesh Iyer: Sorry, what was your question on...

Pratiksha Daftari: Order pipeline for both cables and conductors.

Kushal Desai: For conductors, we've seen about INR5,000 crores is the pending order book.

Pratiksha Daftari: No, I just mentioned the tenders that are opened because we are seeing a lot of T&D orders that are getting announced for the EPC companies.

So just wanted to understand what are the -- how does the orders that are in process look like?

Chaitanya Desai: Yes, those are going on in a full-fledged way right now. They are in the process of placing orders on domestic parties such as ourselves. And those will be executed in this financial year. And then next round of

TBCB tenders are expected, which will help us to feed the supplies in the next financial year.

Pratiksha Daftari: Okay. All right. One question on cable, just update on the capex plan.

And also, what is the execution period of the order book?

Kushal Desai: So, the order book, which as we've spoken about is the order book for conductors

Ramesh Iyer: and cable, we have given an order book of about INR1,200 crores should be just over a quarter's order books.

Pratiksha Daftari: Okay. All right. And the capex for cable?

APAR Industries Limited

May 08, 2023

Page 14 of 39

Kushal Desai: So is the total capex that we are planning to invest is about INR400

crores to INR450 crores over the next 12 to 18 months because some of

these are now longer lead items for increasing capacity. So, of that, the

cable portion is approximately INR260 crores to INR270 crores. And that include

s actually us acquiring a new greenfield site which is close

to where the current plants are located.

So our plan on the cable side is to do this capex and invest a little bit

ahead of the curve because for example, while talking to all the major

customers that we have in the United States, their projection is that their

execution of solar installations today is running at about 15 gigawatts

per annum. And in two years' time, they expected to run at 30 gigawatts per annum. So also, if you see in India every year, the implementation of renewable energy has been growing. So that's the reason why our plan

is to invest the total capex of the company about INR400- odd cro res.

Conductor division will be about INR100 crores, cable will be about INR260 crores to INR275 crores. And the oil division is much smaller

at about INR20 crores to INR25 crores.

Pratiksha Daftari: Okay. But we had some capacity that was expected to be commissioned sometime around this quarter or next, right?

Kushal Desai: So, we have one phase, of this, which is getting commissioned in end of June, beginning of July. So that capacity will be available from the third quarter. But there's a whole lot of new equipment that's been ordered.

And continuously through the year, we will see it coming in and getting installed. There is a -- the greenfield side, of course, has some amount

of upfront investments, the acquisition of the land and getting the greenfield site ready. But then once the initial site is ready, then it allows

us to again modularly keep on expanding capacity on the site.

Pratiksha Daftari: Understood. And in terms of our interest cost, how do we look at that -- look at that going ahead? Would that be increasing in tandem with the volume growth?

APAR Industries Limited

May 08, 2023

Page 15 of 39

Ramesh Iyer: Interest costs have almost peaked now in quarter 4, quarter 3, quarter , quarter 2 also. Depending on further increase in interest rate, it could further go up. But we feel that about quarter 4 numbers could be what we expect for the rest of the year, unless there are further increases. Of course, it will go up in line with the volume increases. But in terms of the rate, quarter 4 captures most of it.

Pratiksha Daftari: Okay. Okay. All right. Congratulations for good set of numbers.

Moderator: The next question is from the line of Charanjit Singh from DSP Mutual Fund.

Charanjit Singh: Congratulations on a good set of numbers. So, sir, especially, I wanted

to touch on the export side. In terms of overall contribution, we have

seen rising to almost around 49% exports. And if you can just give us more color in terms of the different geographies, like you touched

about U.S. basically. And I think you were also working on other geographies, maybe like Australia and all. How we can see these

exports, can we see it going further up? What's the kind of growth on these highways we can see in the exports overall opportunity? That's my first question.

Kushal Desai: Okay. So, on the export front, the growth is really being led basically by the addition of renewable energy. And the largest market that we have currently is North America -- is the United States. But cable sales into

Europe has also started increasing, mostly going into against solar installations. We've seen a steady growth in a steady set of orders

coming in from Australia, where we are seeing basically 2 areas. We're seeing solar and wind installations. Again, that's the renewable energy

generation, plus the metros that are being built in all the major Australian cities.

So, because we supplied to -- we were 1 of 2 major suppliers into the Sydney Metro, we are getting an opportunity to also bid on metros that are being developed in all the other major Australian cities. Besides this,

APAR Industries Limited

May 08, 2023

Page 16 of 39

there are opportunities that are coming up even in Latin

America,

countries like Colombia, Chile, etc.

And in Africa, we've been supplying products largely to Ethiopia, which has been either Asian -- sorry, African development bank funded or other multilateral agencies funding electrical infrastructure there. So,

these are the principal geographies where we are seeing the growth, and we expect that for the next 3, 4 years, the growth will continue from these geographies. There are on and off demand from many others, but these are the 5, 6 major markets from where we see the business coming for both our

conductors as well as cables. In terms of the oil side of the business, the supply overseas is quite steady. Again, any electrical installation needs a transformer and these transformers are all oil field. So, there's steady growth taking place even on the transformer oil side.

Charanjit Singh: And sir, you talked about this Chinese now manufacturers also at looking at these markets. So how do you see China opening up impacting and their supplies now getting back into the market? And you

also highlighted that they are trying to overcome some of the duties and all. So, can that impact these export numbers to any extent?

Kushal Desai: So, I don't think it will affect necessarily the volume of exports that we have because the market itself is expanding. But there could be an influence on the unit pricing. And there are 2 things that Chinese companies are generally doing. One is that they have been involved in M&A activity, buying out players located in favourable geographies and not changing the name of the company or anything and continuing to supply in those companies' names. They've also set up manufacturing or are looking at setting up manufacturing in other geographies, which are greenfield.

And finally, some of the companies are setting up finishing facilities. So, the conductor and various other parts of the cable will be coming in from China. And just the final step is done in a country like Vietnam, or

APAR Industries Limited

May 08, 2023

Page 17 of 39

Korea, one of these, which don't have any -- or do carry some favourable duty structures with respect to the United States, etc. So however, who all of this, there is a cost increase that takes place. They're not just as competitors manufacturing in China and exporting.

But it saves the money relative to paying the higher U.S. duties, for example. So, we see that the pricing may come under some amount of

margins may come under some amount of pressure. But the volume itself is growing. I hope that answers your question.

Charanjit Singh: Yes, sir. That's very helpful. Sir, if you can just also give the numbers for acceptances, how acceptances have moved?

Ramesh Iyer: Yes. So, our interest-bearing acceptances is about INR3,600 crores.

There are letters of credit. Is that the number you wanted?

Charanjit Singh: Yes, sir. And how do you see now acceptances going forward? Any thoughts on...

Ramesh Iyer: This is usual creditors for us for acceptance is now if we take the credit period for the maximum period. And it will go up in line with the volume

of the business and the rates of the key raw materials.

Charanjit Singh: Okay, sir. Sir, just lastly, from my side if I can squeeze in another question. You have also talked about industries and corporate as one of the segments, which is almost around 17% of our revenue. And this is having a very significant industries like railways, defence, shipping.

And so, if you can touch upon how these industry segments are operating? And do we see a significant uptick coming in these segments?

Kushal Desai: So, from the cable perspective, the railways will be a major segment going forward because as you can see, there is a very large amount of locomotives that are being ordered. In fact, Siemens received an order for 1,200 locomotives to be delivered over 10 years. Similarly, there all

the Vande Bharat

trains are going in, which consists of the locomotive

APAR Industries Limited

May 08, 2023

Page 18 of 39

and the bogie. It's a full integrated train. So as a consequence, cables into the railways are definitely increasing. There is also capex that's happening in the Industrial segment. So, manufacturing plants coming up, etc.

So, the good thing is that no matter what plan you're agnostic to manufacturing plant, you need cables to be able to deliver power to run the equipment's etc. So that's where we are seeing this -- the industrial side picking up, the railways. As far as defence is concerned, there is a steady increase taking place. It's nothing dramatic. But you'll see a step-up on the railway side because of the large locomotive and Vande Bharat expansions that are happening.

Charanjit Singh: Got it, sir. Sir, just one thing on Anushakti wire, because wires is another segment where we had -- just last question from my side, sir, just a second. Yes. So just on Anushakti wire, sir, because we had started doing significant branding exercise, channel expansion and a lot of team building on that side as we can see. So, if you can just touch upon that initiative. This is the last question.

Ramesh Iyer: Yes. Yes. So that is going very fine for us. If you see, we have a slide on that, that shows how much progress we have done over the last 1 years in terms of increasing our channel expansion, distributor presence, active state presence as well as various demos and electrician meets. So, it is progressing as per our internal estimates on the overall sales.

Kushal Desai: Essentially, we have -- I mean, if you look at the channel, almost a 70% growth from last year to this year, and then we will see an equal growth from this year to the next year. So, we are adding almost a little over INR100 crores a year from FY '23 to FY '24 as far as that channel is concerned. So, it's basically the anchor product there is Anushakti wires, which are the best in class. And then along with that, there are other LT cables and 3 core flat and a whole bunch of other products that go along with that through that distribution channel. So that part of the business is growing. If you go to the corporate presentation that has been

APAR Industries Limited
May 08, 2023

Page 19 of 39

put up on the website, there is a slide that actually details dealer addition, retailer addition, etc.

Moderator: Next question is from the line of Koushik Mohan Ashika Stock Broking.

Koushik Mohan: Congratulations for the great set of numbers. I just wanted to understand your order book and what is the total size of the order book currently? And for how many years is that order book is there for?

Ramesh Iyer: So, conductor order book is about INR5,000 crores, and typically expedite about 6 to 7 months -- 7 to 8 months of execution. This is a cable, our order book is INR1,200 crores, it will be just over a quarter.

Koushik Mohan: Okay. And I also wanted to understand another thing. What is your revenue guidance for the coming next 3 years?

Ramesh Iyer: So, we have given guidance on the case of conductors volume would be for about 10 to 15 percentage. In the case of oil, it would be 5 percentage on volume and cable value would be about 25% to 30%.

Koushik Mohan: Okay. And sir, is this the net profit currently, which is around 4%, 4.5%. Is this a sustainable margin going forward?

Ramesh Iyer: So, we don't see guidance on the profit percentages because the values and the percentage will depend on the raw materials and the price movements. Therefore, we give an EBITDA guidance, which has already been shared.

Koushik Mohan: Sure. I can see that in the presentation. And the presentation is really fantastic, sir. And the last and final question, what is your conversion of cash flow from operations to EBITDA or EBITDA to cash flow from operations?

Ramesh Iyer: It's actually there in the cash flow statement, you can see that -- probably the cash flow statement where you will be able to see the conversion.

APAR Industries Limited
May 08, 2023

Page 20 of 39

Koushik Mohan: For the future year because normally it is starting at a 50 percentage on an average. I just wanted to understand in the coming years, or so will it be the same?

Ramesh Iyer: Well, it should be in line with the sales growth that should happen unless if there are any abnormal changes in working capital, which we don't expect at the moment.

Koushik Mohan: Okay. Sir, another capex of INR450 crores is what you are speaking about. INR450 crores. So, it is going to be in the duration of next 1 year to 18 months. Sir, this major capex of this one will be in the cable segment. Am I -- is my understanding, right?

Kushal Desai: Yes, about INR260 crores to INR275 crores will be in the cable segment, about INR100 crores in conductors. And around INR20 crores to INR25 crores in the oil business.

Koushik Mohan: Okay. So, sir, what can be the incremental assets on this cable side, only on the cable segment?

Kushal Desai: Between 8 to 10x.

Koushik Mohan: 8 to 10x. And congratulations for the fantastic numbers. And I expect same kind of presentations in the future.

Moderator: The next question is from the line of Mihir from Carnelian Capital.

Mihir: Congratulations on a good set of numbers. Sir, largely wanted to understand, I mean will we see the share of premium products. So that's like a 49% last time and has gone to 44% this time. So, it is the exports plus of rate benefit, which is driving the overall profitability on the conductor side of the business.

So, I just wanted to understand, I mean, given right now Chinese players coming into picture, how are you seeing the incremental orders getting priced in? So, the INR5,000 crores order book that you are having, what

APAR Industries Limited

May 08, 2023

Page 21 of 39

is -- what could be the pricing of those -- that order book? And when you -- when one should expect the normalization of margins to happen? Do you expect that to immediately happen in first quarter, second quarter? Or do you expect that to be more back ended in second half of the year? And I also wanted to understand on the freight cost. I mean, currently, we have posted INR58,000 kind of profitability. So, what

could be the element of freight cost benefit that one should consider that this number, which will not be there in the normalized number? Yes. So just wanted to understand that.

Ramesh Iyer: Yes. So freight cost for us, actually, it depends on the execution of orders because we -- the order book, you may have a long pending orders and

the execution of that may take -- some of the execution may take more than 3 months, 6 months or so there could be some orders in the pending order book that may get executed in FY '24. It's very difficult to say an exact number of how much could be the freight because they are various factors, there could be freight saving. There could be steel cost savings, etc, which could be included there.

And there could be some carry forward from the pre-COVID, COVID times order that is coming into this execution. So, it's very difficult to give a number that we can say that x amount of savings per metric ton is included in INR58,000, which may or may not recur in the future. And therefore, we are actually giving our guidance for the future profitability, which is INR25,000 per metric ton plus the tailwinds that can come in various forms which includes macro environment and Chinese competition intensity, etc.

Mihir: Sure. Sure, sir. And just on the order booking that you are having INR5,000 crores of order book, I mean just to understand it qualitatively,

let's say, one building new orders over the last 3, 4 months, given the fact that Chinese competition is coming back, are we bidding --

I mean

projects at comparatively lower margins than what we were bidding, let's say, 6 months back?

APAR Industries Limited

May 08, 2023

Page 22 of 39

Kushal Desai: So, let me just comment on that. So, the -- as far as the domestic market is concerned, of course, the Chinese don't have a role to play. There --

as the TBCB contracts or other tenders keep growing, there's been one major change in that. So, from FY '25 onwards, we will see benefit that a higher -grade conductor is being used, which is an HTLS conductor, which is called AL5 9. So, there is one change that's happening in that. It's like an in between conductor. It's not HTLS but it's an upgrade on just normal conventional conductor. As far as the export markets are concerned, the U.S. still continues to carry a higher duty on the Chinese products.

So, if the Chinese want to get product in, they cannot produce the product. We can't sell a Chinese -produced product. So, if it goes through any of these other channels, there is a bit of an increase in price. But as they go into projects in Europe or into Latin America and some of these other countries, there is no punitive tariff or duty on that. So, with China having also got stabilized post all the COVID -related issues, etc, there is increased competition coming from these locations.

In any case, the most profitable market that we had outside of India was the U.S. or is the U.S. market. But even there, there is competition coming in besides Chinese from other -- Chinese indirectly, but from other locations, because if you see all of her geographies, including Southeast Asia, etc, the Middle East, these supply chains have all started. They are all now today in a normal state. They're pretty much equal to what it was in the pre -COVID period.

Mihir: So, the normalization...

Kushal Desai: There is a little bit of an intensity of competition. And that's why our sense is that long -term guidance that we can maintain is 25,000 per ton basis. If some product mix changes or if we have anything -- any favourable tailwinds, then it could be upwards of it.

Mihir: And sir, just lastly, I wanted to understand the realization difference between exports and domestic on the conductor side, because last year,

APAR Industries Limited

May 08, 2023

Page 23 of 39

when we produced these particular products domestically and sent it outside, so what is the realization difference in exports versus domestic?

Kushal Desai: So, the way -- as we had explained in some of the previous calls also is that most of the HTLS and OPGW and these higher end products are sold in the domestic market. And we've moved as much as possible our conventional products into overseas markets where you can end up getting INR10,000, INR12,000 a ton higher than in domestic. So, when you say INR25,000 and looking at the order book and our crystal ball gazing as we look into FY '24, etc, it takes into account this mix. The conventional product will go to a larger extent towards export and the premium products would be sold more in the domestic market.

Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on a very good set of numbers. My first question is sir, you mentioned that you're seeing strong demand from new manufacturing capacity. Do you think this segment could be very high in FY '24 and '25 or do you think it will remain minuscule in your entire revenue?

Kushal Desai: So, I didn't get the question exactly. Are you saying that will the demand remain strong just in FY '24...

Mohit Kumar: No, sir. My question is, you said that you're seeing strong demand from new manufacturing capacities, which is being set -up in this country.

Kushal Desai: Yes.

Mohit Kumar: So, my question is, does this add materially to the top- line in FY '24 and FY '25 or it's a very small part of your top- line?

Kushal De

sai: So, for the Cable division, it does have a good incremental benefit, because if you see in terms of the mix that we have, we have 54% of it at the moment getting exported for cable. And then the elastomeric cable

APAR Industries Limited

May 08, 2023

is a big section for us which goes into all the special industries, including renewable etc.,

For the domestic power cable side of the business has a piece which goes into industry for instrumentation cable as well as power cable. So, one of the projects which APAR has been involved in besides building out its distribution network is engage with the top builders in the country

with a top NEP consultants. And these NEP consultants play quite an important role in terms of the whole cables going into industry. So, it is

-- as time passes on, it will become a more and more significant part of the cable business revenues.

Mohit Kumar: Understood. And sir, at some point of time, do we think that the increase

-- the export of your high premium products can happen in the future?

Kushal Desai: Absolutely.

Mohit Kumar: But are we targeting in near-term, or you think if this is slightly longer-term thing?

Kushal Desai: So, the way we've been selling our premium products in India, to a very large extent, we have been focused on delivering a complete turnkey solutions. So -- and that's the real benefit where you go into a utility and

when you pitch to them end-to-end from the concept through the delivery and the results that come out of the execution of the contract.

Now we haven't climbed that level of maturity in overseas markets and we don't do turnkey contracts. So, we have started engaging with various EPC contractors on some of these premium products.

The demand for the premium products in countries like the United States is lower than in India because India has got very severe write-off issues.

Whereas in some of these other geographies, they are just designing a larger line to begin with. Using conventional products, but we've

designed a line which can carry the current capacity and more. So, it is definitely an endeavour. But I don't see that in the FY '24 -- there won't be any meaningful contribution in FY '24. There could be a higher input

APAR Industries Limited

May 08, 2023

coming from it in '25, '26, etc, as we continue to engage with overseas customers.

Mohit Kumar: And sir, last question, sir, on the Slide #42 of corporate presentation, you have shared the details of the end user segment where the renewable

fee is 2.7% and you said that renewables fee is going to be main growth

driver. So, is this not true for the domestic right now? Is it renewable

still small portion as of now and it will grow very significantly over the next few years?

Ramesh Iyer: Yes. So, the renewables 2.7% is for the total. If you see, exports is 48.7% and exports will also include some proportion of renewables.

Kushal Desai: So, it has some of the others also segments carry renewables in the sense that you have EPC diversified. So that 0.6% also has EPC players who

are buying. This 2.7% are largely the developers themselves buying products from us. Then in the other category also, you will find some

amount of renewables that they're going through a distribution setup for rooftop solar and all these sort of products. So overall, the renewable

side of it is pretty strong. On the export side, it forms a huge chunk of that 48.7%. Let's say, 70% of that is coming from renewables.

Moderator: The next question is from the line of Amit Anwani from Prabhudas Lilladher.

Amit Anwani: Congratulations for the good set of numbers. My first question is on the conductors business. Obviously, pretty phenomenal performance this

year with respect to EBITDA per ton. But I just wanted to have more

color as you already highlighted that you have factored in some Chinese competition and sup

ply chains getting back to normal and we are guiding for 25,000 per ton. But sir, just wanted to understand, are we going to see some moderation in realization, anything of that sort or any

color if you would like to throw with respect to geographical mix

changing? And in your PPT, I can see you focused on penetrating into a high growth market. So, if you could just throw some more color on

what kind of strategy you're going to focus on this side?
APAR Industries Limited
May 08, 2023

Page 26 of 39

Kushal Desai: So, on the conductor -- specifically on the conductor side, your question is in terms of whether you will see a margin compression and lower pricing. Is that your...

Amit Anwani: Yes, sir. Just wanted to understand what would be the sustainable EBITDA per ton because the 40,000 plus this year also we did not expect. So this far exceeded the expectations.

Kushal Desai: So, we have already given the guidance that a sustainable base number for us over the next foreseeable future is 25,000 per ton. There are -- the situation is changing on a daily basis, but in case, there are any favourable tailwinds, etc. Even today, we have a few dispatches that will happen on a fixed price on freight. And therefore, there will be some trade gain taking place on historical contracts. So, we expect that it will normalize at around 25,000 per ton on the increased volume that we are talking about.

Amit Anwani: So, anything on penetration on high growth market? Are we talking about more premium products or anything?

Kushal Desai: So, the high growth market really for us, the way we are defining high growth markets for overseas market is essentially those markets where a lot of renewable energy is going in. And so that is clearly happening in the United States. As mentioned, numbers earlier in the call that what information we've gathered as recently as a couple of weeks ago from some of our top customers and prospective customers in the United States.

They are expecting solar installations to increase from 15 gigawatts per year to 30 gigawatts per year in the next 2 years and then sustain that for several years if they are going to reach the internal targets, which has been set within that country. So that's clearly one high growth market.

Australia is another market where we see steady execution over the next few years, both on transmission lines as well as on renewable energy generation sources.

APAR Industries Limited
May 08, 2023

Page 27 of 39

So, these markets I think as we mentioned before, it's not going to be a 1 year, 2 year place, it's going to take longer than that to build out this infrastructure targeted by these countries. And the good thing is that most of these countries are developed countries and they do have the countries, do have the balance sheet to be able to execute these type of projects. They're not depending on third-party aid, etc, like the African countries.

Amit Anwani: Sir, my second question is on the premium versus non-premium if you could share on exports and domestic? And second thing is you mentioned that there is a 10,000 to 12,000 per ton difference for conventional between domestic and export. So, if you could share any difference, if possible, for you between premium and non-premium as well?

Ramesh Iyer: So, the premium part of conductors is largely for India and the non-premium, which we call as the conventional conductor that goes for the exports market. In terms of this pricing difference, it's difficult to give that comparable benchmark because there -- it's all varieties and it's all order base depending on particular order. So, we won't be able to quantify the exact difference between the premium, non-premium...

Kushal Desai: You said, supplying a conventional conductor in India versus the same conductor in overseas markets, and that's the delta, almost 10,000, because the domestic market

actually carries very low margins on conventional products, whereas the buyers overseas, especially the ones that we are targeting are far more discerning in terms of the quality and approval process.

Amit Anwani: My next question is sir on the cable side. You guided for 25%, 30%

growth for FY '24. Is it factoring in much higher growth on elastomeric? That is one. Second, what is the contribution of elastomeric we are expecting in FY '24 or maybe 1 or 2 years going forward? And what is the contribution of railways in cables which you are expecting?

APAR Industries Limited

May 08, 2023

Page 28 of 39

Kushal Desai: So, the entire set of products that go to the Indian railways is part of elastomeric cables. And our elastomeric cables business, we expect it to grow by about 25% to 30% FY '24 versus FY '23.

Amit Anwani: And my last question is on B2C contribution. How much was the B2C contribution to distribution network?

Kushal Desai: So, this year, we are at about INR175 crores. And the comparable numbers the previous year was a little at about INR100 crores. And our target is to be able to grow by INR150 crores to INR175 crores between this year and next year.

Amit Anwani: And elastomeric would be the highest margin business within cables?

Kushal Desai: The elastomeric -- as a product category, yes. But then there are individual products which are niche products in niche category that we are actually also carrying good margins. But as a product category, elastomeric cables because it includes cables that go into defence and includes cables that go into railways and it includes the cables that go into the solar wires -- solar panel wiring as well as the windmill towers.

So, it is the most profitable of the category that we have.

Moderator: The next question is from the line of Nemish Shah: from Emkay Investment Managers Limited.

Nemish Shah: Congratulations on good set of numbers. All of my questions are answered, I just have one question now on -- just again on the

profitability in the conductor side. So, the 25,000 per ton guidance that you've given on a sustainable basis, I just wanted to understand what kind of assumption in terms of the export mix do we have for that guidance? Like, does it factor in the current export mix of 60% in the order book or slightly lower?

Kushal Desai: It factors in about 50% to 55% of the revenues coming from export on a sustainable basis. So that's why we said, when you have things like product mix changing, geographic mix changing, you could have some

APAR Industries Limited

May 08, 2023

Page 29 of 39

tailwinds coming in and improving that number. But otherwise, on a steady-state business, this is what we planned about. 50%, 55% is what the export portion has been taken at.

Nemish Shah: And the balance, 40%, 45%, will that have -- so will that completely be premium products or there will be some portion of the conventional products in the domestic?

Chaitanya Desai: It will be a mixed step. So particularly mix of premium products as well as the conventional products.

Kushal Desai: So it has -- if you see the balance, it has a decent quantity of premium products because it contains not only premium conductor products, but it also has all the copper-based products, which is your C TC wires, OPGW, of course, OPGW is not copper-based, but it's fiber optic in there. And then we've introduced bus bar wires as the volume of the railway conductors will taper off. So bus bar wires -- top of copper busbar wires has also been added into the products. So, we don't intend to do a very huge quantity of conventional just the ACSR conventional conductors. That's not part of that mix.

Moderator: The next question is from the line of Himanshu Upadhyay from o3 PMS.

Himanshu Upadhyay: So, my first question was on the competitive intensity what you stated, is that increased in domestic market also

and the high-end

products what we are doing very well in last few years. So, is the competitive intensity higher there?

Kushal Desai: The specific reference is not in the domestic market, but it's with respect

to the export market, because if you see the delta which we had in profitability, a large portion of it was contributed from the export markets where we had not only an increase in volume, but also an increase in unit margin and realization. So, we are referring to the export side.

APAR Industries Limited
May 08, 2023

Page 30 of 39

Himanshu Upadhyay: And the next thing was, what is the situation on base oil prices? Because in last quarter, they were falling and inventory write-offs were to be done. Have the prices stabilized and the demand is higher than the supply which was not the case for base oil in last quarter?

Kushal Desai: You are referring to our oil division?

Himanshu Upadhyay: Yes, Yes. The raw material...

Kushal Desai: I mentioned that the pricing scenario there has stabilized. The pricing has stabilized from February month onwards. And as we get into FY '24, we -- at least the starting point seems reasonably stable.

Himanshu Upadhyay: The industrial volumes in the lubricant space fell by 9% in the quarter. Any specific reason what happened for this?

Kushal Desai: It was largely due to pricing considerations where the margins were a bit tight. So, all the commodity-type or the lower margin products on industrial, we allowed that volume to fall. We kept our focus on the more strategic and long-term customers. But if you see overall year-on-year there's a growth that has happened.

Himanshu Upadhyay: Yes, overall. And have we started winning orders in the renewable side in export market? And will we have significant revenue in FY '24?

Kushal Desai: Over 70% of the order book that we have on exports and what we are executing on exports is actually finding its way into the renewable energy segment.

Himanshu Upadhyay: This is for wiring part, I was asking. So, we have started getting orders in that business also for which we have taken that UL approvals and everything?

Kushal Desai: Yes, absolutely. UL approvals are catering to -- without UL approval you can't supply into the renewable energy segment. So, these are wires which are going in for panel wiring, for solar panel wiring, for electrical

APAR Industries Limited
May 08, 2023

Page 31 of 39

panel wiring and for taking the output into substations. So, any electrical product in the U.S. requires the UL approval. There are also wires which are going in into the housing segment, but that's not the house wiring. They are the power cables which -- the low-tension cables which are used for evacuating or bringing power into a house not the internal wiring that's going into -- in the house.

Moderator: We have the next question from the line of Pujan Shah from Congruence Advisers.

Pujan Shah: My first question would be on the Cable division. As we have said, your order book is around INR1,200 crores and which is going to be executed

in this quarter specifically. So, for that trajectory, it would be around, let's suppose the same order book flows for the year would be around INR4,800 crores. And currently, our Cable division revenue is around

INR3,300-odd crores. So are we being conservative or are we being seeing some decline, or this is the seasonal quarter being a good trajectory order than we...

Kushal Desai: I think what Ramesh meant is that order book will be executed in a 3 to 4 months sort of window over a quarter. And our guidance basically is, we did around INR 3,200-odd crores last year. And we can see a 25% to

30% increase on that as a guidance that we are able to provide. So fundamentally, the execution will be in that INR1,000 crores per quarter kind of range.

Pujan Shah: And sir, we have improved our EBITDA margin by

200 bps guidance

for Cable division. So, are we being seeing export book growing that's

why or we are prominent in premium products and that's why we are seeing a bit growth on EBITDA margin?

Kushal Desai: So, I think it's a combination of both that we continue to see overall growth in the export volume. We are also seeing a better mix of customers domestically, including as the retail and the distribution part of the business grows and that carries better margins than what you would supply to a utility.

APAR Industries Limited

May 08, 2023

Page 32 of 39

We are seeing growth on railways and some of these other areas also.

So overall, it's just the product mix. There is also some benefits which will come on conversion costs. As the volumes keep growing, there are efficiencies of scale also that come in. So, it's not necessary that you will see the EBITDA improving only because margin realization is improving, but there's also economies of scale in manufacturing and things which kick in.

Pujan Shah: And my last question would be on -- as we have disclosed in the presentation for this specific industry, like specific industry contributed 8.6%. So, in that, how much defence is contributing and how defence is evolving for our business coming years?

Kushal Desai: I don't think we want to get into all the very short sort of levels. But the only point is that the railways will grow at a faster pace than defence

because there's a huge activity happening on the railway side. Again, there is activity happening on the renewable energy side in India. But if

we see better pricing coming from the overseas market then we will push

the product into the overseas markets. But one clear area where elastomeric cable will grow is in the wind segment as well as in the

Indian Railways.

Moderator: The next question is from the line of Vaibhav Badjatya from Honesty and Integrity Investment.

Vaibhav Badjatya: So, I have a question on the oil division. So just wanted to understand

fundamentally the transformer oil and white oil business. Transformer oil business is highly concentrated in terms of 2, 3 players having a big market share, but white oil has largely commoditized, while the raw material is mostly same -- come from the same source. So, what is the difference that white oil lot of small players have been able to commoditize that product, but not the transformer oil? What is the reason for...

Kushal Desai: I think to start off with your assumption, which is not accurate that the raw material that goes into white oil and into transformer oil comes from

APAR Industries Limited

May 08, 2023

Page 33 of 39

the same source. You may have a refinery that produces grades for both the products, but they are different grades. And the characteristics that raw material needs to have are vastly different between the 2.

Secondly, on the white oil side, there are 2 sets of products. You have

one set of products which are technical-grade products, which have

much lower specification and standards. The other one is products which are pharmaceutical grade. So, the pharmaceutical-grade products are

also more difficult to manufacture. So really, the commoditization is in the technical-grade white oil, what they call technical-grade white oils

in terms of the pharmacopoeia standard.

Vaibhav Badjatya: So, the technical grade is used mostly in FMCG kind of...

Kushal Desai: It is not used only in FMCG. Technical-grade is used in a lot of industrial

applications on -- in white oil. So, it's like knitting oil and wherever you need non-staining, so master batches, things like that. So those are

relatively more commodity. Lower end, some of the hair oil companies

in India, including -- I don't want to name, but there are some very big

names in here also that actually buy a relatively poor-quality product.

So that segment has got largely commoditized. In the case of

transformer

oil, especially on the power transformer side, there are relatively fewer players because it's a very high specification in terms of what needs to

be delivered. 2 sets of raw materials and 2 sets of specifications on products.

Vaibhav Badjatya: And this is the question on China, particularly in our oil division itself.

So, China, before COVID, China was aggressive everywhere as kind of business, there is lot of cost competitiveness that China used to throw in terms of pricing the product and gaining market share, but we have not seen that happening on the transformer oil side. So why I think that's the case that they are more domestically focused, they don't want to export these kinds of products and be it international competition?

APAR Industries Limited

May 08, 2023

Page 34 of 39

Kushal Desai: So, we don't see Chinese competition in the oil business. We don't see Chinese competition in transformer oil, white oil, lubricants outside of - either in India or outside India. The whole oil industry in China is dominated by PetroChina, by the state oil company. And they see little benefit in carrying all these specialty grades outside of their country. So, the Chinese competition is more in terms of conductors outside of North America as well as in some of the cable categories.

Vaibhav Badjatya: And lastly, this impact of electric vehicles that is going to be there both on the demand side for our product and the raw material side for our product because EVs will adversely impact auto lubricant business. But on the other hand, transmission -- distribution transformer oil business can offset that. But on the raw material side, if refineries are not going to be throwing as much output, then over long-term, how the base oil

prices are going to be? Do you have any view that you might offer and how we are going to cope up?

Kushal Desai: I don't have any view to offer as such because the adoption of electric vehicles, the trajectory of that is still not clear. So, in India, you are

seeing traction happening largely in two-wheeler. And the total volume of two-wheelers and lubricants is not necessarily very large because it's only 900 ml or 1 litre goes into a particular motorcycle or scooter. Scooter is even less. So, the main lubricant demand comes from trucks. That's the largest segment followed by agriculture, which is your tractor and harvester and all those things. Then next comes passenger car and then the last is motorcycles. So right now, adoption of motorcycles has been increasing. But overall, lubricant sales is almost flat, but hasn't fallen.

Vaibhav Badjatya: And lastly, I think in 2021, we launched this new Natural Ester-based transformer oil. Any development on that? How much it has become as a percentage of oil...

Kushal Desai: It's still in our development stage in the sense that many utilities -- there are about 6 utilities in India that have installed transformers with the

APAR Industries Limited

May 08, 2023

Page 35 of 39

ester oil in it. So, our sense is it will take a few years for getting the feedback. And also, in all these -- as the ESG pressure starts coming on these entities, the adoption will then increase once they've got confidence that the product works. Vaibhav, I think there's a bunch of others who want to get into the queue.

Moderator: The next question is from the line of Sujal Chandaliya from Girik Capital.

Sujal Chandaliya: Congratulations on this set of numbers. I had a few questions around cable segment. So, in cable segment, are we facing similar increasing competitive intensity in export markets as in case of conductor segment?

Kushal Desai: So, there is some amount of -- as I said, basically, as the supply chains are getting normalized, customers are coming back. During the COVID period, people were ready to pay any price that was quoted because supplies were difficult, supply chains were broken, etc. So, as they

normalized, it's natural that negotiations will start happening with a

higher intensity than it was during the COVID period.

Having said that, the Chinese companies are active on the cable side, including trying to export to the U.S. and that export is happening

through indirect means, as I explained earlier that they have either taken over a company in some other geographies. But that doesn't allow them

to have exactly the same competitive intensity as they would have if they

were exporting from China directly. To gain some share, they are quoting prices which are aggressive, etc. But the cable market is very

large and it allows opportunity to go to different clients and different geographies also.

Sujal Chandaliya: So, the volume -- so basically, the volume growth in export market won't

be a problem, but the margin would be impacted in that sense, right?

Kushal Desai: The margins could be a little bit lower than in the previous periods. It's simply because of the supply chain getting smoothened out. But we are

going into newer and newer markets and we are -- also from existing

APAR Industries Limited

May 08, 2023

Page 36 of 39

customers, we are hoping to get a larger amount of business because last year was the first year when the cable business really did a massive amount of export.

We hit INR1,400- plus crores of export last year which was the first year where it was such a big chunk of the revenues. Also keep in mind that margins, as I mentioned earlier, it's also a factor of your conversion cost, the efficiencies of scale that you have. So as the business keeps scaling up, the conversion cost will also improve.

Sujal Chandaliya: Just the last question. On this quarter margin, we made about 12.4% margins. So, I guess, largely it was because of the improved products

mix which as you said, the conversion cost. So, the premium portion,

which you're seeing the unsustainable sector, would it count as meaningful in the margin terms?

Kushal Desai: In the fourth quarter we had quite a lot of shipments that were taken by customers where we supply a lot of specialized cables, like the defence.

There were quite a few shipments that went into defence. There were more shipments that went into the Indian Railways, etc. So that's how

we had a higher percentage. But I would really look at the full year because that could -- you can have a quarter which can give a misleading number. When you look at a rolling 4 months -- sorry, a 4 quarter period, it will give a better idea or an estimate. But overall, we see an improved EBITDA on 25% to 30% increased volume in the cable business.

Moderator: The next question is from the line of Gopal from HDFC Mutual Fund.

Gopal: I just want to understand the better profitability on the conductor business. Is the current domestic profitability trending towards the long-term profitability which we have guided for? And are we at upper end or the lower end of it? And how the export profitability is likely to behave in the times to come?

Kushal Desai: So, the domestic profitability is not something that we will see some major changes on. It's really -- the domestic profitability can move up

APAR Industries Limited

May 08, 2023

Page 37 of 39

and down based on the mix of product. In case HTLS reduces, then it will have an impact. But otherwise, it's already in a reasonably steady state. Where you can see a certain fall in profitability is from some of these favorable things which we had on export, the freight, logistics,

etc, these are all export phenomena, it's not really anything on the domestic side.

Gopal: I can fill that, but what we are seeing like with the rising volume and like tremendous demand in export countries, so just wanted to sense

some directionally, how do you foresee actually? Because like guiding from 58,000 or 45,000 in the yearly basis to 25,0

00, so it's a very long -

term. So just we wanted to know the trajectory, how do you foresee that?

Kushal Desai: So, I mean, it's not going to fall off like a step from straight down to 25,000. But in a few quarters, it will come down towards that level, which we think is a good steady state base level.

Gopal: And any strategy on the consumer cable business? How is it progressing? Any qualitative statement?

Kushal Desai: So, there is a slide in the pack which actually gives all the metrics on that. And as we said earlier, we have been working towards a game plan of increasing distributors, electricians who are onboarded with the company, etc, that's going on as per the plan.

Moderator: The next question is from the line of Pavan Nahar an Individual Investor.

Pavan Nahar: So, a few questions. One is, we've done about INR107 EPS in H2. And as you said, the conductor profits would not fall off immediately, but in a few quarters, it will get to that long-term trajectory. So, can we expect

that for the first half this rate to be maintained broadly?

Ramesh Iyer: Actually, what will happen, Pawan, is that the P&L will be depending on the amounts of projects that we are executing. So, all these are make-to-order business. And we normally look at -- give the guidance based on a 12-month number because the quarter or half year may not

APAR Industries Limited

May 08, 2023

Page 38 of 39

represent the current picture. So based on the guidance on the 12-month picture is how we need to work out. And since it's the beginning of the year, it's too early to predict how things would pan out during the half year 1 or half year 2.

Kushal Desai: So, Pawan's question is on the first half. Whether the first half -- whether you can take fourth quarter and extrapolate it. I don't think that that's going to be the level. The fourth quarter was a very, very strong quarter, which is largely not applicable. But the first half of this year should be comparable or maybe even slightly better than the first half of last year

because if you saw the third and fourth quarter of last year really pulled away in terms of the profitability and margin.

So -- but it will -- we expect it to come off -- the conductor margins to come off over a couple of quarters. There will be a fall in Q1 and then again, a further fall in Q2 because the new business which is getting signed on is not carrying those sort of outsized margin.

Pavan Nahar: No issues. I mean, basically, what you are saying is FY '24 will be a year of normalization for the long-term trend, right? I think it may still be a little better.

Kushal Desai: In cricket parlance, we scored a triple century in the fourth quarter. So, we may not score a triple century in FY '24. But if you see the long-term trends of the products and all, they are all going in the right direction.

Pavan Nahar: So basically, it normalizes in FY '24 and after that next 3 to 5 years of strong growth for the firm as a whole?

Kushal Desai: You'll see steady growth happening. And I gave an example of what the U.S. is expecting from the major customers that we are in touch with.

They are expecting to go from 15 gigawatts to 30 gigawatts. So even if some amount of competitive intensity increases and things, the market itself is going to grow double in size. And we are -- and as time passes by, I think we'll be better entrenched with some of these clients.

APAR Industries Limited

May 08, 2023

Page 39 of 39

Pavan Nahar: Based on your guidance, I was just doing some back of the envelope math and what appears to me, in FY '24, cables will be approx. 40% plus of our net profit, right? I mean, you may not, but I was just doing the math. So that was interesting. The third thing I wanted to ask you was what is the volume growth we are speaking for conductors this year?

Only 15 or it could be higher.

Kushal Desai: No, 10% to 15%.

Pavan Nahar: 10% to 15%. Okay. And...

Kushal Desai: So, if the volume of HTLS goes up, then the total volume in terms of

tonnage will go down, the value will go up. So about 10% to 15% in terms of number of metric tons processed.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: Thank you. And I'd like to thank everyone for participating in our Q4 and FY '23 earnings call. Thank you for your patience and your involvement and appreciation of the company's results. I'd just like to conclude by saying that we still see all the long-term growth metrics are in place. Profitability in the fourth quarter was a bit outsized. There will be some amount of normalization as we go into FY '24 and '25. But all the growth indices seem to be intact and we are looking forward to the next few years of continuing trajectory of growth. So, thank you very much.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

SEC/3008/2023 E -Filing August 30, 2023

National Stock Exchange of India Limited
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department
BSE Limited
Corporate Relations Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Investors Meet / Investors Day organized by APAR Industries Limited (the Company)

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015, (Listing Regulations) as amended from time to time.

Dear Sir/Madam,

We refer to our letter no. SEC/2108/2023 dtd. August 21, 2023 vide which we had intimated Exchanges about the schedule of Investor Meet / Investor Day organized by APAR Industries Limited (the Company) on Thursday, August 24, 2023 for Analysts/Investors.

Pursuant to Regulation 30(6) of Listing Regulations, we are now submitting herewith Transcript of the Investor Meet / Investor Day organized by the Company on Thursday, August 24, 2023 for Analysts/Investors for the information of members.

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

We request you to take the above on your record.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India

+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India

+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

Page 1 of 93

“APAR Industries Limited

Investor Day”

August 24, 2023

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING DIRECTOR

MR. CHAITANYA DESAI – MANAGING DIRECTOR

MR. RISHABH DESAI – DIRECTOR , PETROLEUM SPECIALTIES FZE

MR. RAMESH IYER – CHIEF FINANCIAL OFFICER

MR. SHASHI AMIN – CHIEF EXECUTIVE OFFICER

MR. SUYASH SARAOGI – PRESIDENT STRATEGY & PROJECTS , CHIEF SUSTAINABILITY OFFICER

MR. SURYA SHOBAN BABU – SENIOR VICE PRESIDENT

MR. SUNDAR SUBRAMANIAN – BUSINESS HEAD, LUBRICANTS DIVISION

MR. GIRISH GUPTA – BUSINESS HEAD, TELECOM & CONVERGENCE

APAR Industries Limited

August 24, 2023

Page 2 of 93

Ramesh Iyer: We welcome all of you at our Investor Day event. This event is being scheduled over a two-day period. Today, we will be taking you through the presentations on the business overview and tomorrow being the plant visit. Let me briefly take you through the agenda for the day. We will begin the session with an address from our Chairman cum Managing Director Mr. Kushal Desai and Managing Director Mr. Chaitanya Desai. This will be followed by the divisional presentations namely the conductor division, specialty oils and lubricants, cable solutions and telecom solutions.

Post that we will have the financial review and after that we will have a presentation on the ESG initiatives taken by the company. After that we will have the Q&A session. We request all the questions to be taken up during this Q&A session.

There is a QR code, in each of the table and we request any questions coming up during the course of the presentations or even later, you can scan the QR code and post your questions online, which will be answered during this Q&A session.

For participants joining the live stream, you can put the questions on the chat room. Tomorrow would be the plant visit, it is being scheduled at our facility in Rakholi, in Silvassa and in the Khatalwada. And with that, I would now request Mr. Kushal Desai and Mr. Chaitanya Desai to please begin the session for the day. Thank you.

Kushal Desai: Good morning, everyone and a very warm welcome. This morning it is not raining and the weather seems quite good. So, we are in a position to begin pretty much on time. So this is the first Investor Day presentation that we have had and so as in APAR we keep learning as we go. So your feedback would be quite valuable in terms of, what you think about it and what are things that we can do. So, we are starting off actually by just, the first slide actually covers very quickly some of the

mission and philosophy behind the company.

And we take it very seriously at our end. And you will find, as you go through the rest of the presentation that it forms an integral part of our go to market strategy and the way in which we have constructed our businesses and products. So our mission has been and all of this is available on our website to design and

APAR Industries Limited

August 24, 2023

Page 3 of 93

manufacture building blocks for energy infrastructure, for transportation and telecommunication. The sectors that contribute meaningfully to this world and we want to be more energy efficient, more environmentally sustainable and create the world to be a safer place.

So you will see this running through the entire set of products that we have. We have also selected our verticals very carefully. We want to be a global leader in whatever we do and the focus is clearly on the energy infrastructure, transportation and telecommunication sector. And the focus that we have always had is to bring solutions to our clients and the tagline of APAR is Tomorrow's solutions today and so that's the main area of focus for us. These are the values that we have. Innovation has been at the bedrock of our industry. What has happened in the last 10 years is more than what you've seen products and services change over the last 50 years plus that the company's existence has been.

We are quite driven, proactively striving for better outcomes and solutions for our clients. We believe that we are a very entrepreneurial company. Our people are empowered to take ownership and this runs, down the ranks. You will meet today a whole set of business leaders who actually drive revenue, sales and strategy in the company. In terms of accountability, that is a value that is very important for the kind of execution that is responsible for sustainable growth. And then we've defined leadership as, inspired to lead the innovation curve.

So that's how we

have an ideal Aparian.

And that's something that we run all the way through the company. Current strategy of the company and its foundation pretty much was laid by late Dr. Desai, he was second generation, I'm the third. Rishabh is here who you will hear presenting, he is part of the management team, he is the fourth generation in the company.

So one of the principles that Dr. Desai laid down and it continues to be a best practice even today for us is that we want to be a leader in the top three in our business segments and this has propelled us to be very focused in our business verticals and we have defined the market to be the world.

APAR Industries Limited

August 24, 2023

Page 4 of 93

So, we want to be the best in those defined areas and we want to lead the innovation curve in each of our business segments and that is why the company motto actually is very important for us which is delivering tomorrow's solutions today. We went through a big branding exercise a few years ago and we've unified our logos, made everything more contemporary, gotten all our verticals and all that pretty much together. So we have our specialty oil group, we have the lubricant business, both of them will present. We have the conductor business, then we have our cable solutions business, and then we have a telecom solutions business. So if you see, one of the things that we've changed is that we've made sure that all our product offerings actually are a form of a solution to a client.

Coming to the growth opportunities, we really see these six areas which are the primary six areas that the company is focused on and from where we see in APAR, the growth opportunities to take us from today over the next, 10 years.

The beauty is that these opportunities actually are not short-term opportunities.

They are structural in nature and changing the way the world is going to operate.

So, the first one which is probably the biggest driver in our business today and

it's very closely linked to the transmission expansion side is the addition of

renewable energy which is wind, solar and nuclear. So there are various

commitments which governments have made. There is a huge ESG thrust which

we are seeing from our clients.

It is actually coming outside, inside, so from overseas clients but even in India you

see the reporting starting to come in and my colleague Mr. Saraogi Suyash will have a section to explain to you what our own initiatives are in this space. Public transportation is a major area that is changing, that is your trains within the cities etc. The whole transmission expansion that is in place to evacuate power from all these new additional sources. The telecom vertical is undergoing a massive change.

And in India, you have BharatNet and a whole lot of interesting products that are coming in with the 5G and with the manner in which data transfer is taking place.

So you'll hear a little bit in terms of those specific products and solutions. Then

APAR Industries Limited

August 24, 2023

Page 5 of 93

you have got general infrastructure development in this country. One of the great things that this current government has done is to allocate massive amounts of money for infrastructure development and that brings with it a whole lot of equipment's that are required and the moment you have an equipment, you have a lubricant. So you have a little bit of a coverage in terms of that.

And then finally, the manufacturing in China plus one. India is finally coming to a stage, and I'm sure you'll cover so many companies. A lot of capex is going in into manufacturing infrastructure and again there is a play there for both cables and lubricants. Coming specifically to the addition of renewable energy, we have kind of divided this slide into two parts, what is the sector opportunity and what is it that APAR has to offer, what is the advantage that we have

we kind of built in that

sector.

So this presentation is going to be on the, I think it is already on the website or it is going to be on the website as soon as we finish. So you can pull all the slides, it is all going to be in the public domain. So if you look at the sector opportunity, the solar installed capacity is expected to grow by almost 225 gigawatts and the wind installed capacity is expected to grow by about 55 gigawatts during this 2024 to 2030 just in India alone. Similar sort of expansion is happening.

Our sense is that and our focus is on the G20 countries because to do this you need currency, you need investable dollars and the G20 countries are the ones which are in a better position to actually put the money in for infrastructure. It is not all government led, a lot of it is through private investment. India aims 45% less carbon and 50% renewable energy by 2030 and to be net zero by 2070. Even if you miss this number by a decade, the amount of work that is going to go on is just tremendous.

If you see what we have to offer with the leader in domestic solar cable segment, we are the most dominant player in the wind segment with over a 70% share. You will see a slide later on which kind of explains where these cables are used and our products are used in the whole network. The range that we have, it meets all

APAR Industries Limited

August 24, 2023

Page 6 of 93

the global standards which is the EN standard which is the number one standard that operates globally. You have IEC, you have UL, you have CEE.

So we have products which meet all of these standards. So they allow us to participate not only in the Indian market but wherever this goes in the world. And in fact if you see the markets for us in terms of revenue, after India, the next largest is the United States and the third largest is Australia. If you look at the global renewable energy addition growth that is expected to happen, we are looking at 150 gigawatts from 2024 to 2027 and globally renewable energy share to increase from 28% to 38%. Basically substituting hydrocarbons in place and here wind in many countries around the world where you don't have the kind of sunshine that's there in Asia and in India etc. is going to be a very major player.

You see some of the largest wind turbine manufacturers are all located overseas. We deal with all of them. We have Vestas, you have Siemens Gamesa, you have Senvion, Envision which is a big Chinese player and they have set up manufacturing in India, Nordex and GE. GE are the world's largest wind turbine producer at the moment. They are also the largest exporter for cables and conductors from India and hope to continue this. So 50% of our revenues basically

across all the three verticals comes from export.

In terms of the third area, you have extensive transmission and cable infrastructure required to transmit the power from these remote locations. And there is a chart as I said which will explain this to you much better. The concentration of expansion is happening pretty much simultaneously in the G20 countries today. So we have products serving the renewable energy infrastructure right from generation, the transformation, that is the substations and all which steps up, steps down power, transmission and distribution through the last mile.

So this chart, it may appear a little bit busy, but it gives you the full idea in terms of the end-to-end where APAR products are used in this whole renewable infrastructure. So the first portion is, the renewable power generation. So we have got a whole lot of cables in there, the string cables, low voltage cables, etc., etc. So it has got a, when you see the slide in detail, you can see all the different cable APAR Industries Limited

August 24, 2023

Page 7 of 93

types. But in short, you have got cables for solar panels and that gets connected to a junction box. The junction

box goes to an inverter.

In the case of wind, you have the wind turbines, you have a cable that runs through the tower. Then it goes to a ground base. That ground base from there, the cables go into an inverter and both of these then go into a substation where you got a transformer and you have, the stepping up of power taking place. Then from that substation, you move into the overhead conductor side. So you have got a grid, either there is a new grid or there is an extension to an existing grid.

There is a whole lot of strengthening of grids happening where the amount of transformation is not adequate and it is being increased. It is allowing for a whole lot of re-conducting solutions also for which we are a leader. And then you have got again step-down transformers and then that leads them through underground cables and the full last mile distribution. So whether you do wind or solar, fundamentally the same network holds good. APAR is present in every stage of this and we offer these products not only in India but in all markets around the world.

In terms of public transportation including mobility, the big opportunity that is there is the infrastructure investments in India happening in the railways. So this is intercity, metros which is intra-city and also a high speed rail conversion. So not only bullet trains but even Vande Bharat and all of these. So the APAR advantage is that we have a full range of cables that go into coaches and locomotives and we have forward integrated into a full harness solution. So the entire piece can be then supplied to the railways and increasingly the railways are looking at outsourcing manpower intensive kind of work.

We are by far the largest cable supplier in the Vande Bharat train. So as the trains start rolling out, you will have more and more of APAR cables running in there.

We are the market leader in supply of conductors for the Indian railway electrification. Most of that project is coming to a close. But you are now having upgradations happening because some of the Vande Bharat trains are not able to APAR Industries Limited

August 24, 2023

Page 8 of 93

run at its full speed because there is not enough power that is, there is not enough current that is driving or can be carried on those lines.

And my colleague Surya Babu has a specific slide that explains to you all the products that go into this whole railway side. And then you have the EV market is projected to grow by 49% CAGR, it is anybody's guess. But our sense is that this whole electric will move more in terms of public areas, so you have got buses, taxis, all these. And you will have a full charging infrastructure that comes in. At the moment, India has one charging station for 125 vehicles only in urban concentrated areas.

So forget about the rest of the country, just looking at a city like Mumbai for example and this is very, very low compared to the global average of about 6 charging points per vehicle to 20 charging points per vehicle. So there is a, these are all highly cable intensive and what do we have to offer? We have electron

beam based auto cables, we supply those to JBM. Now we've got approvals at Olectra. We are working on getting it with Leyland. So as this transportation increases, and we supply this not only in the form of cable, but also the harness. And we've also developed for the first time a complete indigenous manufacturing harness for the EV charging. So there is a charging cable, there is a connector, what you would use instead of a pump, you use that connector to connect, charging of the vehicle from an electric point. In terms of the infrastructure growth, the government has been allocating investments in building extensive road network, the freight transportation corridors, ports, tunnels, airports, commercial buildings, all of that. And there is a steady growth also in personal mobility that is hap

pening. So with this road infrastructure improving, what's happening is that we keep a track of generally the number of vehicles that are put on the road, which is trucks and cars. A number that's more elusive is how many kilometers each of these are actually traveling. And the lubricant consumption is a proportion of the amount you move. So the turnaround times are significantly better after GST has come in.
APAR Industries Limited
August 24, 2023

Page 9 of 93

With these highways coming in, so the time that it takes today to go from Mumbai to Delhi is half of what it was in the pre-GST period. It's probably going to become another half, so it will be one quarter. Mr. Gadkari has been saying 12 hours. So literally you can have the vehicle reaching there the next day coming back. So you can imagine the same vehicle's utilization going up, a lot of more fuel and lubricants being used by a vehicle. With the highways coming up, I'm sure a lot of you would prefer to just drive for distances 200, 300 kilometers. You're much better at driving than taking a train or a car. So again, that's adding to the miles. We have a whole range of lubricants that go for off-road equipment for infrastructure which includes cranes, road construction. We have products for dredgers, we have products for tunnel boring machines, we have products that go into mining equipment. My colleague Sundar will actually cover a little bit more about that on the lubricant side. We are also offering a complete range of specialized cables that go into all the infrastructure equipment. We have a cable that drives for example tunnel boring machine as an example. And then you have got this increased manufacturing opportunity in India, with the capacity increase taking place. And with the cost of labor going up, not only are you having a higher capacity coming in each industry, but you are also having more sophisticated equipment with a higher level of automation. And so, as you get into that, you have more expensive equipment, lubricant consumption, anything that moves requires really a lubricant and, the value that is given for performance and protection of these equipment's keeps increasing. So there is not only a volume growth, you will see in the lubricant industry volume growth is 3%, 2% because the lubricants have a longer life and a higher performance. But the value is growing at a much higher rate. So again, it is a similar thing as cars, it is not just the number of cars on the road, but how many kilometers is traveling, the same sort of effect is there on lubricants. Recently, Klein, which is one of the top research houses in the country, they have taken out a report on the Indian lubricant industry. And there are some, the summary of that is available on their website. So if any of you are interested to do
APAR Industries Limited
August 24, 2023

Page 10 of 93

a deeper dive on that subject, this is a great place to look for it. We also have a full range of lubricants for the industrial applications, as I said, hydraulic compressor, metal working etc. We are a trusted lubricant supplier into the whole gas pipeline CNG station filling area and then we are one of the largest suppliers of lubricants for tractor manufacturing and farming equipment. So we supply ITL, we supply Escorts, we supply TAFE Eicher, all of these for their first fill as well as their genuine oil requirements. I will now invite Chaitanya to actually just run through the remaining verticals and also the premiumization story that we have had.

Chaitanya Desai : Good morning. So on the transmission side, last five years in India we have seen about 80,000 circuit kilometers being added and 350,000 MVA of transformation capacity. And in this area, APAR has an advantage. We are not only manufacturing the transmission conductors, but also in this segment in the tariff based competitive bidding, which

is the major requirement in India, the product that is now being used is moved to a specialty alloy.

It is a high efficiency conductor and there are very limited players of this compared to what the conventional type of product that was being used earlier in the TBCB. Besides the conductors, also cables are being used, also the transformer oil, then within the transformer we make the copper winding. So, these are the various products which we are supplying in the transmission segment. Another major driver within the transmission area is due to the right of way problem.

To put up the new towers, to put up the new transmission lines, there is a requirement to buy the land or to get the land from the farmers and people who own that land on the way to put up this transmission line. So because it's becoming such an acute difficult problem, the various utilities worldwide have been forced to re-conductor. That means they want to replace the old conductor with one which can transmit double the amount of power.

But the current entire infrastructure of the towers remain the same and there is already a certain ground clearance which is the distance from the ground to the

APAR Industries Limited

August 24, 2023

Page 11 of 93

transmission line conductor that cannot be violated because obviously we do not want anybody bumping into a lifeline and getting into any safety issue. So, to maintain that ground clearance, the product that is being used is called a low sag conductor. So, it is a high power carrying capacity, but at the same time, in spite of it being at a higher temperature, there is the requirement of it not sagging down. So, therefore, it is called a high temperature low sag conductor.

And different parts of the world had moved to different type of technologies and APAR is able to produce all the varieties. And even within India, the different states of India and the different utilities depending on their requirements have been using different type of HTLS products. APAR has done more than 150 reconducting projects. We do this on an end to end basis because the conductor is a very major portion of this entire project. And also we have supplied 35,000 kilometers of HTLS, various types which are working satisfactorily.

There is a fair amount of technology in these products compared to even the high efficiency conductors which are used in the TBCB. Another driver in this transmission side is the replacement of earth wires which are used to avoid lightning strikes on the towers. Those are the traditional product and that has been replaced with a product called OPGW. This is earthing but it also has an optical fiber inside it.

So, this is another requirement which we are fulfilling because we have the entire manufacturing capability and also we have the re-conducting end-to-end solution. So not only we supply it but we also execute it at the site. There are in the export markets also slightly different variations of products which are required from what is required in India. And over the years we have been developing these capabilities and making these products. So there are significant barriers of entry, especially with these foreign clients who have a very, very vigorous requirement of audit before they give the approval to the vendor.

And they do not want to just buy on like the Indian utilities on an L1 basis. The thought process of these foreign clients is very different and that is why we prefer to cater to that marketplace also. And as we heard earlier, the railways are having

APAR Industries Limited

August 24, 2023

Page 12 of 93

lot of electrification work to replace the diesel locomotive process. And not only the conductor which is overhead the tracks, but also feeding the power to the railways, that is another area which is growing and is a big driver to our business and accordingly these various type of specialty conductor

s are being used to feed the power to the railways.

In the telecom side, we have been seeing a lot of digital transformation evolving very quickly and also the GB per smartphone, we expect that to grow at 25% CAGR and we think that by 2028, there should be 55 GB per mobile usage. Here, APAR has the end-to-end telecom solution. We make the hybrid copper and fiber cables. We also think there will be about 10 billion mobile connections with the majority being smartphones by 2030. There is expected outlay of investment by the BharatNet, Government of India for 1.39 lakh crores and this project from the government is for the last mile connectivity across 6.4 lakh villages in the country. Here we make the full range of offering including the fiber optic cables, hybrid cables, LAN cables, copper cables and the OPGW conductors and also in addition to these standard products we are customizing through innovations to make certain value added products for various clients. The third driver in this telecom segment is the advent of data centers and cloud computing. And we have the full set of cables for data centers and increasingly we are pushing for approvals through the consultants.

What has played well for APAR is that we have made a conscious effort for premiumization. Here we have worked not only in developing the products but convincing the clients to shift through explaining to them the value proposition from the conventional type conductor to high efficiency conductors is an example. Not only the Indian market has moved in this segment as I explained about the alloy type product for the TBCB and the HTLS type products, but also in the export markets where the clientele are looking for a very vigorous quality standard requirement.

Those markets are premium markets and we have been improving our margins through catering to both the domestic market and the export market through these APAR Industries Limited
August 24, 2023

Page 13 of 93

strategies. We have been taking on these various projects on end-to-end EPC turnkey basis, especially in the OPGW and the HTLS type markets. Another example of our effort to premiumize is through improving our mix of Naphthenic and special grades of oil, especially on the higher voltage classes. And in terms of the cables, we have been making a very conscious effort to grow in the elastomeric and special application cables used in various growing markets like solar, wind, shipping, mining, defence and railways.

So through this premiumization of portfolio, our return on capital employed and return on equity has improved and these are most important parameters that we look at. Another area is through our globalization effort. We export to over 140 countries now and also about 50% of the company's top line and in each of the three businesses of conductor, cable and oils, this 50% top line is being maintained for the export markets and obviously for the entire company as well our effort is to do more globalization.

We made an effort to reduce our dependence on the government utilities, which traditionally APAR used to do a fair amount of work. Right now it is hardly 1.6% of the company's turnover is coming from government companies and that means the remaining 98.4% is coming from private segment. There is a lot of synergy between all our businesses because within the power segment we have conductor, cables, transform oils and the various type of copper winding products going in the transform industries. We also have lot of relationships in terms of the common customers like the global utilities, EPC contractors and the OEM that we cater to. So this globalization process has also helped in fragmenting our customer base. Another area that we worked is on innovation and increasing the robustness in trying to understand what are the customer problems and how we can provide a solution around it through innovative solutions.

So these are some of the examples we have. When India wanted to go for a 800 KV HVDC application, then our oil we could design and we are the only manufacturer of that. Similarly we've come up with a high-performance biodegradable renewable transform oil which is launched first of its kind with extended life.

APAR Industries Limited
August 24, 2023

Page 14 of 93

We are the only Indian company to have an electron beam house wire called APAR Anushakti which has 50% more current carrying capacity and much superior melt resistance and it can withstand higher temperature. So it improves the safety factor by a huge margin. We also make special FRP fiber optic cables for critical infrastructure projects. Similarly there are number of other products for the exports like the solid shape conductor, the air expanded conductor, dull finish conductors. All of these improve the efficiency, they improve the sustainability for the client and ultimately better value proposition for the client. Similarly there is the transform oil any premium and similarly there is specialized renewable cables. We are also making harnesses, giving it as a solution so that it can reduce the amount of labour requirement for the client and also reduce the wastage that happens at the client place. So, these innovations for each of these divisions has helped in synergistic diversification.

So, we can use our common facilities, our core competencies to increase the product offerings with different markets and also improve our robustness. So in case for any reason there is a little slowdown in one segment, then some other can pick up the slack and we can utilize our assets in a better way. So to sum up, we feel we are in a favorable industry and our fundamentals are strong as a company. We see sustained growth opportunities. We are very focused in our sectors.

There are times in the past when the sector was not doing so well, but we stuck to our core competencies and growing in that area because we see enormous opportunities going forward and this is now panning out in the last few years as Kushal mentioned earlier. So our focus is in solving Tomorrow's solutions today and for our customers, enabling us to lead the innovation curve. And APAR embodies a long-term pursuit of excellence where our DNA drives us to keep ascending passionately and achieving responsibly. So with this I request my next client to take it forward. Thank you.

Surya Shoban Babu: Good morning, warm welcome again. My name is Surya Shoban Babu. I am Senior Vice President, taking care Sales and Marketing for Conductor Division. Today I will be covering mainly brief overview about conductor business market overview APAR Industries Limited
August 24, 2023

Page 15 of 93

and products and services we are offering to the industry. If you see we will be seeing and hearing a lot of investment is happening in the power infrastructure and transmission and distribution segment a lot of investments are happening. But what is happening on the ground and the question is what it is driving this requirement or growth and how long this growth is going to sustain is an important question. So if you see the mainly everywhere the power demand is growing. Why what are the key drivers which is driving this growth? Mainly the electrification of transportation system, economic growth and population growth. And there is a decarbonization drive is going on because of this, there is a lot of pressure on the power sector that renewable energy generation has to happen. So for that lot of solar, wind and nuclear energy generation is happening. So to this this renewable energy has to add up to the grid. So there is a requirement of transmission lines are coming up and also this fossil fuel cost is going up so renewable energy is an alternative solution so we need a lot of transmission and distribution network requi

rement is coming up. Then there is a smart grid requirement is there because we have been having you know our old transmission networks where the inefficient and power losses are more so we need the quality power and efficiency has to go up to reduce the losses. So there is, again, a requirement of new transmission lines has to be established, or otherwise, old transmission lines has to be renewed or made with these smart grid solutions. So coming back to the market overview, domestic and export. So in India also, power ministry is saying a lot of infrastructure investment is happening. But what is there for APAR? in next five years, it is already there on the plan and in the execution is happening. 28,000 circuit kilometers, has to be completed by 2027 and 28. So, which means almost 12 lakh to 13 lakh metric ton of conductor requirement is there. Those who don't know what is conductor briefly, is a transmission line, distribution line, that is a big big towers are lying, and conductors are hanging on the towers. So those are the conductors which carry the current. From generation to

substations, these transmission lines are built. And from substations to the cities,
APAR Industries Limited
August 24, 2023

Page 16 of 93

inside cities, those are called distribution networks. So the current carrying is done by the mainly aluminum overhead conductors. So, we manufacture those. Then there is an augmentation of transmission lines are there in almost 18,000 circuit kilometers are planned in next 5 years.

And there is an export market for APAR, almost in the similar tune of requirement across the global, wherein almost, 4.5 million metric tons of conductors is needed for next, 5 to 10 years. That means, almost 8 lakhs to 10 lakh metric tons of conductors are needed across the globe. Out of these, major investments are coming in India as well as, in Asian countries. But, and apart from India, we have a big market, USA market, and there is in Brazil, Australian market, also in Europe, a lot of renewables are coming up.

So there is an African market wherein, a lot of still, this power requirement is there. So basic needs still not yet fulfilled. So there is a lot of scope is there in the African countries. If you see our conductor journey, we have started in 1958. Then until 2012 we are focusing on the conventional conductors. In 2014 we had a technical collaboration with the CTC Global American Company, who manufacture carbon composite cores. And we started manufacturing HTLS conductors. These are called HTLS, is new age conductors.

In 2016, we started our Turnkey projects, end-to-end solutions. In 2017, we have started our OPGW cable manufacturing facility. And we have developed our in-house design capabilities. Then in 2018, we have entered into our copper business, started with the railway conductor. It is the largest conductor manufacturing facility for railways and we are first to manufacture copper magnesium for high speed bullet trains. In 2019, we started CTC conductors, these are a copper enamel conductors, paper covered and this is this conductors goes into transformer.

In 2022, we have started again few more products in the copper segment, busbars, strips and rods mainly serving to the switchgear industry and panel manufacturing, some of the motor industry also using this and some component manufacturers. In 2023 still, the demand is still growing, so in spite of having
APAR Industries Limited
August 24, 2023

Page 17 of 93

largest capacity, we are still expanding our conductor manufacturing capacity to, meet the, domestic needs. These are brief, our product profile starting with conventional conductors.

Conventional conductor basically this ACSR and AAAC conductors have been under used since decades. And these conductors still are being used across the globe, like in American developed world we say.

In America, maximum

conductors almost 90% of the conductors requirement is only ACSR conductor. Whereas in India, we have moved ahead like this -- from the conventional conductor to new-age conductors and rest of the world is catching up. So we can say, India is the leader in terms of moving ahead to the latest technology. So the main industries we are catering to power transmission and distribution segment. Our major customers are mainly power utilities, developers and EPC contractors and some of small quantities goes through the dealers and distributors.

In this conventional conductor segment, our strong leadership and competitive is, we are having rich experience because we have been manufacturing since 1958. So we have developed our strong expertise in this manufacturing. And we have been supplying since last two decades to the global clients. So we have got very top global people uprolls we got. So we have got very good credentials and we are exporting to 100-plus countries. And we have a strong design capability that is -- we're in a lot of focus on R&D development. So these are our strong leadership qualities we developed.

And coming next products are HTLS conductors. These are new-age conductors. HTLS is High Temperature Low Sag conductors and we have supplied these

conductors, almost 50,000 kilometers. That means more than 50%, almost 55% of the share. This is mainly in India and Bangladesh, Nepal. So these are the new-age and new technology conductors. We are a leader in a position we have and a bigger market share we have.

APAR Industries Limited

August 24, 2023

Page 18 of 93

So in this segment, almost we have done end-to-end solutions, almost 155 transmission and reconducting projects were completed, 10 projects of distribution line conductors, we have completed. In this mainly the conductor used these majorly ACCC conductor. ACCC meaning Aluminum Conductor Composite Core which is I told you that we had a technical collaboration with CTC Global. They are the manufacturer of this carbon composite core. So this conductor predominantly used in India and Bangladesh, Nepal and across global, it is getting prominent in even North America and South America and even Europe also, it is getting popular.

And after this ACCC conductors, there are different like ACSS conductor, GAP conductor, STACIR, meaning super thermal alloy. The super thermal alloy conductors are Japanese market, actually. But in India, also one or two lines we have used. But majorly, if you see ACCC predominantly and more popular in our industry.

There's OPGW cable. This is in -- actually from 2017, we started supplying and getting popular since 2017 onwards. Prior to this, in the transmission lines, normally, we used to use GI wire as an earth wire. In the normal transmission lines, you have a phase conductor and neutral conductor. In the neutral conductor means earth wire is there. Earth wire was made up of galvanized steel wire.

But after 2016 and '17, these OPGW Cable started using it because it is a dual-purpose conductor. It can be used as earth wire as well as in the center there is an aluminum and steel tube is there, which is having fibres in it. So this is used for a transfer of data for telecom. So we have also doing end-to-end solution for this, like taking out the old GI wire and replacing with the OPGW cable. So we have done a lot of projects in this segment.

Another products, aluminum specialty alloy rods. These are the rods and wires we are catering to various segments, mainly 6,000 series are electrical grade alloys. These are the main applications are mainly transmission and distribution line fittings. Then some of them are used for fasteners as well.

APAR Industries Limited

August 24, 2023

Page 19 of 93

And another grade is mechanical alloy grades 5,000 series alloys. These 5,000 series are -- the application is mainly fasteners. Nut and bolt manu

facturing wire

mesh industries. And some 4,000 series alloys also we manufactured. This goes to the mainly welding of aluminum plates and different, different applications is mainly building application. Then we also manufacture high conductivity, high temperature resistant alloys like super thermal alloys and extra super thermal alloys. And this application is for only conductors.

Now coming back to the -- our copper business, railway overhead conductors. This we have started in 2017. So in this segment, we are the largest number one in terms of manufacturing capability and as well as -- and we sold -- we have a 70% of the share. If you see in the train -- above the train, there is line, an overhead line, which is called OHE line, which has got contact wire, the train pantograph touches with the wire, so that is called contact wire. On top of that catenary wire, there is in between dropper and jumper wires are there. This is the network power. This is a 25 kV power line, which supplies the electric power to the train. So there is a pantograph, if you see the pantograph continuously touches the conductor. That is the reason why that is called contact wire.

So in this segment, if you can see 70% of our market share, that means 31,000 kilometers -- route kilometers, this the conductor has been established. If you see 70% meaning almost everywhere, if you see in Bombay, Western line and even Central line, these all conductors is installed by APAR. 70% market share means a huge quantity. Literally, we are monopoly in this segment.

Next, conductors are CTC conductors. These are copper enamelled conductors in stripped with insulating paper, special insulating paper. These continuous transports conductors are used in the transformer winding. These are the heart of the transformer. These are very sensitive and highly technical and design-oriented conductors. And very difficult to manufacture because it requires in a special condition, dust free environment needed. So in this segment, we are supplying domestic as well as also export, but gradually, we are expanding in this space.

APAR Industries Limited

August 24, 2023

Page 20 of 93

And other products, copper rods, wires, bus-bars, mainly industries we are targeting here is switchgear industries, electrical panel manufacturer and electrical substations and some of the products going to even motor manufacturers, very new. There is a larger diameter of copper rods are being used as a rotor inside the motor. So certain elements are also supply to component manufacturers. So various products we are continuously developing in this segment.

We are also apart from the only product supply, we are into end-to-end solutions, mainly turnkey projects. So we are into reconductoring mainly, but we have started with the conventional EPC. We have done four projects, Himachal Pradesh and Jammu and Kashmir. But we are mainly focusing and want to develop our expertise in the reconductoring space because in India and Bangladesh, wherever they the right of way isn't a big problem. So -- and most of the old networks are now inefficient. So those networks has to be removed and modernized. And some areas because of the power demand has grown up, the existing infrastructure network is not having capacity. So we need to increase the capacity. If at all, you want to build up in a new transmission line, it takes minimum three years to five years to build a new transmission line and with a cost of INR3 crores to INR5 crores per kilometers.

So it is a good solution that the existing towers if you replace the only conductor part, so the time period and the cost, both will be saved and existing lines itself, the capacity can be doubled. So this is a big advantage. That is the reason why this space is going to grow in future, not only in India, also in Europe, everywhere across the globe, it is going to pick-up this business.

That is the reason why we

want to focus and develop our expertise in this segment.

So far, we have almost completed 155 projects and many more projects are in the pipeline, transmission lines and distribution lines almost 10 to 15 distribution lines also we have completed. We are also into live lines, replacement of OPGW cable. So in this segment also, we have done many, many projects, and we have done in the very challenging situations like we have created some world records in this segment. Like tallest place and very difficult terrains, hilly areas, such type of very

APAR Industries Limited

August 24, 2023

Page 21 of 93

challenging situations, in Seas, backwaters, such type of areas, it is very difficult to execute the project but we got the expertise and experience in this segment. So we are well placed in this segment.

Also, we are doing telecom integration and also substation augmentation. Our next move is to go for EPC in the MVCC segment, that is Medium Voltage Cover Conductor segment and also EPC underground cables. These are the some snapshots where we have carried out our projects in sea, ocean areas and backwaters and mangrove areas, our highest towers and dense populated areas, then in the forest and in difficult hilly terrains such type of big, big challenge. So we got a lot of experience in this area.

We have a beautiful laboratory, which got accredited by the international laboratory. So we'll be able to conduct all the test type tests inside our laboratory, whereas our competitors has to go outside the country, which takes a lot of money and a lot of time. So this is the competitive edge compared to our competitors.

Then we have a strong focus on our research and development. So we are continuously developing new, new products. If you see APAR competitive edge over our competitors, premium of products, if you see HTLS conductor need technical know-how and you'll have to have the design capability and execution

capability. In terms of execution, you need to have a special sophisticated machines and mechanism, and people have to be trained people's skills are required to handle the carbon composite cores. And the customers are looking at the -- in this space, life cycle cost, end -to-end cost. So for that, you will have to design conductors and transmission line itself for lower losses, so that overall cost to the customer should be lower. So that is the reason why here, certain qualifying requirements are required. So we have that kind of a qualifying requirement, so that is in a competitive edge. Solutions -oriented ecosystem for train manpower. We have got good over the years, developed our manpower skills and we build technology.

APAR Industries Limited
August 24, 2023

Page 22 of 93

And export market, next one, the export clients are looking for specific requirements are there, like C ND sir has mentioned, they are like they want material on the short notice. So being in the largest manufacturing capacity, we have that capability to deliver the goods within a very short period of time. Then we have the customer preferring us because we can give them the one -stop solutions because we have the design capability. So if they come up with any kind of a requirement, we can design and give them the solutions. And at the same time, the export customers mainly looking for strong risk management framework, those who have got ability to manage the risk, so that kind of a requirement they are looking for. And tighter audit requirements, documentation, transparency and quality, these are expectations making weaker players ineligible to this market. So that is the reason why we have great competitive advantage for getting the export customers. And we have a manufacturing excellence like, in -house R&D facility we have and we have got very good experience and trained people available with us and fastest delivery due to lar

ge manufacturing capacity we have so that we have competitive price we are offering. End-to-end solutions like one -stop solution for the customers, almost we have 165 turnkey projects experience, we have execution experience. In -house design capability we have, then technology type with CTC Global. These are all things making APAR as a competitive player in the market. Our future plans and new initiatives, we are focusing on continuously focusing and continuously developing new projects, new products, HTLS products mainly to meet the export needs. We want to go out in the global for this reconductoring, we want to expand and we are expanding our capacity in terms of AL 59 domestic market catering the domestic market needs. We have a large capacity. In spite of that, we are struggling with the orders, like delivery. Delivery is now a big problem. So that means that much of orders are inflow is there. So we are still expanding our capacities and we are developing import

APAR Industries Limited
August 24, 2023

Page 23 of 93

substitute products. It's like 2,000 series alloys, 4000 series alloys we are developing. These are currently getting imported. These are mainly application or aerospace applications. So a lot of products are under development. Focus on market development for copper magnesium. Copper magnesium, we are the first to develop copper magnesium for the bullet trains mainly, and we got approved by the RDSO. I think no other player still got approved by the RDSO for copper magnesium and copper silver. And we are focusing on to increasing our market share. Presently, we have more than 55% of export market share is there, but we want to increase further. Here, few awards and achievements listed here, a few of them being in the largest exporter, we are getting Export Excellence Awards since 2012 till 2018. Continuously, year -on-year, we are getting this Export Excellence Award. And also, we have got HTLS, we have supplied HTLS conductors and installed. Those installed lines are successfully running in our country first time. So Powergrid has given us this excellency award. These are our global presence, almost 100 -plus countries we are now supplying,

our presence is across the globe. Thank you.

Rishabh Desai: Hi. Good morning, everyone. My name is Rishabh Desai, and I am currently looking after the specialty oil business. I know there's the designations as Director.

I do sit on the Board of Directors, but currently, I'm looking after exports for specialty oils, I will get to which oil is exactly.

So here is just a basic overview of the business, specialty oil business. APAR is India's largest private manufacturer and exporter of specialty oils in terms of volume. We are the world's third largest transformer oil manufacturer. And our production capacity totally is over 5 lakh kiloliters of oil. And that's in our two plants in India. We also have a 100% wholly owned subsidiary in the UAE in Sharjah and Hamriyah free zone, which is where I sit. That has a production capacity of about 1.2 lakh kiloliters. So totally, it's over 600,000 kiloliters of production.

APAR Industries Limited

August 24, 2023

Page 24 of 93

Main four product lines in specialty oils, number one is transformer oil. So that is the flagship product the Specialty Oil division was actually founded on transformer oil. It's my grandfather, who brought the technology to India in '69. So we've been doing this for over 50 years, and we consider ourselves experts in this field. We have over 30 -plus grades of transformer oil.

So I'll get to that in a future slide, getting a little bit in depth on that. The brands we sell under the POWEROIL brand name, we've also developed a completely biodegradable transformer oil, so that sells under power oil, any premium, any stance for natural esters, there's a separate slide on that.

We then have -- we manufacture techni

cal-grade white oils. So that's used in a plethora of industries. A few of them, to name a few, it's used in textile, it's used in paints, it's used in spray oils for incenses and perfumes and what not. We have 15 fast-moving primary grades, but the beauty of APAR and why we have reached where we are right now is because based on our customers' requirement, we are very much able to tailor make a product to meet exactly the specifications that they require. We're basically master blenders. And so we work with the customer to meet their requirement and specification exactly.

Then thirdly, we do pharmaceutical grade white oils. So that's used in cosmetics that come directly in contact with the human skin. So we have got approvals from Johnson & Johnson, for example, we supply to them. Our UAE plant is approved by them. We supply to them in the UAE currently and are looking to supply to them in Italy and South Africa.

We have the approvals for Unilever. We supply to Dabur, Marico. So these are just a few names we supply are pharmaceutical grade oils too. We have 15 -plus grades within pharmaceutical grade as well. And the applications, there's a plethora of applications.

I was just in Australia last month actually. And in Australia, for example, there's the biggest bread manufacturing company by the name of GWF, Globe Weston Foods. And they -- like, if you go to any grocery store, the first company will see APAR Industries Limited

August 24, 2023

Page 25 of 93

loaf of bread, like it's on eye level. So there, for example, use our pharmaceutical grade oil. It's used to lubricate their cutting knives which they used to cut the loafs of bread.

So that's an application even we didn't know that exists. So it's quite mind blowing. There's about 40, 50 different applications that we can name of these pharmaceutical grade white oils. So that's a bit about that. It sells and the POWEROIL PEARL. And if we got to mention the technical grade, the brand name is POWEROIL TOPAZ.

We also -- the fourth segment is rubber process oils. So it's used in EPDM, tires, rubbers, etcetera, we also have 15 -plus grades. And generally, the brand name is POWEROIL SAPPHIRE.

I'll just spend a couple of minutes elaborating on transformer oil because that is the flagship product, and we are known for that. So we've worked with the OEMs all over the world, and we've designed over the last 50 years, a full range of

products used in all types of transformers. So there's just a pictorial representation. These are a few types of transformers.

Now to give you a little bit of an insight as to what's special about Transformer Oil, you see over here, power transformers. These are massive transformers. You can say it's almost -- the big ones can be about one-fourth the size of this room. So there's a really big structure. And there's a few kiloliters of oil that go in sometimes 20, 30 kiloliters of oil.

Now the oil is used as a coolant and an insulant to keep the transformer cool. And it's also used as a diagnostic tool. So like in a human body, you will take a sample of the blood to see the health of a person. So similarly, you will take a sample of the transformer oil, which you can use to study the health of the transformer because these are huge machines that are connected to the grid. So it can't just be turned off and turned on.

The oil that goes in this transformer by cost of making the transformer, it's about 5% to 7%. So it's not a huge chunk of the cost of the transformer. But if there's a problem with the oil and there's a build-up of sludge, which gets entrenched in,

APAR Industries Limited

August 24, 2023

Page 26 of 93

say, the windings or damages the paper. That entire transformer can then get defunct, there could be an explosion or there's a big safety hazard and the transformer has to be disposed of.

So even though the oil is actually 5% only of the cost of the

transformer, it's vital

to the health of the transformer. And this oil has to last and perform in a transformer for 20 years, sometimes even 30 years. So for example, a car engine oil, you will change that every 10,000 kilometers, at least that's the rule generally they say, depending on the grade, of course, that will elaborate. But that's the rule of thumb, whereas here, you can only top up the oil bit-by-bit, but it has to last for 20 years, 30 years. So that's why it's such a specialized and technical product. And you will see, who, we have the approvals from. And there's a reason there's a very stringent approval process, etcetera.

So this is the slide with all the global approvals. So we've been approved in all the big OEMs. You can name everyone from ABB to Bosch to Hyundai, Hyosung, Siemens, to name a few. The utilities, we've -- these are just a few. So we are obviously in SEWA, ADVIA in the UAE, we have Power Grid in India, Energy Australia. So there's a whole bunch. We are approved in all the following laboratories as well, Doble and eNZoil, etcetera, Laborelec.

So a few areas of focus and growth. So number one, transformer oil is a huge area of growth that we've identified. As spoken in the earlier slides, I won't get too much into it, but the grid is expanding. Electrification is required with the coming of electric vehicles and electricity just needs to reach the far corners, not only of our country, but of the globe as well, so for growth to take place. So that's a huge area of focus.

Number two, what I wanted to focus on a little bit is the biodegradable oil because that's a unique product that none of our competitors really have managed to make a product of this standing. So it sells under the brand of any premium. Now what makes this oil so much so special is that if you see the chart on the side over here, a regular oil, its own mineral-based oil, it's somewhere between 20% to 60%

APAR Industries Limited

August 24, 2023

Page 27 of 93

biodegradable, whereas the any premium oil that we have developed using a genetically modified seed, we get the oil from that. It's at least 60% to 70%. The latest product, any premium -- the latest specs that we've developed is over 90% biodegradable. So where does this come in use? Many times, you have transformers in remote locations. So say you have a mine somewhere in the forest or in a hilly area. These areas are prone to natural disasters, maybe floods, maybe earthquakes or this transformer could be located next to a water body, for example. So if there was to be a natural disaster or a leakage, whatever could happen, if it's a mineral oil and it leaks, it could lead to environmental contamination damage, etcetera whereas in the case of any premium, even if there is a bad incident and

the oil was to leak, it's 90 -plus percent biodegradable, so it's not going to really have a major impact on the environment or the ecosystem. So that's a big thing, you'll hear about sustainability later. So that's one of our kind of contributions in that sense. And the world is moving towards a more sustainable outlook and we have to be socially responsible. So this is a unique product.

What stands us out above our competitors is that the quality of our oil the life of our and any premium oil compared to any of our competitors, the life is almost 3x. So yes, we do charge a premium, but it's a very specialized product with a much better performance and life. So we're very bullish on this front.

Third, I would get to a product called hot melt adhesives. You can see hot melt adhesives that's used in a lot of hygiene products. It's used in diapers, sanitary napkins, fruit labels, medicine bottle labels now. I've just become a father. So I've got -- I get my PhD in changing diapers, for example. So you know, the sticky part, which you unstick and then re-stick onto the diaper to tighten it, that is a hot melt a

dhesive. And our oil is used to manufacture that hot melt adhesive. Now where the oil comes into play is it reduces the cost, number one. It can be used to increase or decrease the viscosity, decrease the hardness and it improves the cold resistance.

APAR Industries Limited

August 24, 2023

Page 28 of 93

So in cold countries, etcetera, you'll see that it's hard to stick things because of the temperature. The adhesive, it hardens and the stick comes off. So based on what the customers end requirement, we have tailor-made products. So we've actually worked with a lot of our customers to develop very niche products to meet their specific requirements because, for example, the hot melt you need on a diaper is very different from what you need on a medicine bottle, the stickiness of that adhesive is very different.

Like on a diaper it's supposed to re-stick, on a bottle it's a onetime stick, but it has to be a much stronger seal in that sense. So we've tailor-made our products to meet these various applications. Our competitive advantage is that we are only one of three global manufacturers of such a product. We offer the grades specifically for hygiene applications.

So you need very stringent approvals for that. Of course, as I mentioned, we have tailor-made products to suit our customers' needs. And of course, we have signed confidentiality agreements because the IP, it's -- I mean, the IP is the game over here. So of course, we have to keep those legalities in place.

Lastly, I will just come to the heavy grade of white oil, which is used in TPE/TPV. So TPE, it's used in the following applications. This is just to name a few. Number one is non-staining shoes. So in the soles, if you've played a racket sport, you have to wear special shoes on a Tennis Court or a squash court, which don't stain the court. So our white oils are used in that manufacturing. It's used for plastic bottles, toys for children, automobile parts, pen grips, toothbrushes, I mean it's used to make mobile covers. It's used to make seals, etcetera.

So there's a wide variety of uses of TPE/TPV. This is a very -- it's an industry that we've identified as a very high-growth industry. There's huge opportunities in markets like Turkey, where we actually do have a joint venture, and we are blending certain products locally and selling to all these big TPE manufacturers. So in terms of a competitive advantage, again, on this front, we are offering tailor-made products to suit customers' exact specifications and needs.

APAR Industries Limited

August 24, 2023

Page 29 of 93

We have variable blending capacity that empowers us to manufacture even micro batches for niche applications. So it's very different manufacturing a 500 -kiloliter batch of transformer oil versus a 20 -kiloliter batch of, say, a niche product that's required. The accuracy is completely different in making that blend. So we have that ability and the infrastructure in place.

Thirdly, as I mentioned, we have blending facilities around the globe. So in Turkey, we have a joint venture, and we blend transformer oils as well as these heavy grade white oils over there and sell in the surrounding markets. We do have a storage

agreement in Australia. We have a storage agreement in South Africa. We have a plant in the UAE and in India as well. So globally, we've increased our global footprint in that sense to be able to deliver our products more efficiently and quickly and cheaper to our customers.

So I think that's it from my side. I'll pass it on to Sundar to go ahead with the lubricants. Thank you.

Sundar Subramanian : Good morning. I'd like to take you through the lubricant side of the business for APAR. The lubricant side of the business was started sometime in 2007. We are a relatively new entrant into the lubricants. If you're aware of the background on the lubricant side of the business. The lubricant side

business was decontrolled by the Government of India way back in 1992.

The first wave of multinationals entering into these markets happened between 1992 to 1998, and the second wave broadly took place between 2001 to 2004. If we actually see the entry of lubricants for APAR, which is basically on the heavier side of the oils that we play on, we started this business sometime in 2007.

Whatever we have done and we have built on this business is in the last 15 years, 16 years of what we have done on the lubricant side, where the markets more or less been more stable and markets got very organized.

Our foray into the lubricant side of the business happens through a technology can tie up with ENI of Italy, and that's how we started our entry in to the lubricant APAR Industries Limited

August 24, 2023

Page 30 of 93

side of the business. We operate primarily two brands, which is ENI and ARKOS, which is an own brand for the retail venture that we do within the market. We sell our industrial oils and industrial specialty lubricants under the POWEROIL brand. In a span of the last 15 years, 16 years, if you look at this market, the markets, the addressable additivated volume market for lubricants in India is about 2.3 million metric tons, and we've kind of in the last 15 years, grown this business to take a share of close to about 3% in the overall market of additives.

We are in the process of expanding our footprints globally also into this business, and we are looking at the extended Indian market, as you call it, basically Bangladesh, Sri Lanka, Nepal, where we are already present and have a well - established distribution network for lubricants and expanding now into Middle East and Africa into our business. Exports moving forward shall become a key area of focus for us in lubricants.

Just to give you an idea of the product range that we are talking about, basically, I would like to split this under two broad application categories, basically going towards automotive or on -road applications. Industrial, basically more B2B and four factories, various solutions across there. So if you look at the on -road automotive side of business, you're basically looking at personal mobility and commercial is basically looking at motorcycle oils, passenger car engine oils and, of course, commercial vehicles, light, heavy, all put together.

And on the off -road side of lubricants in the automotive side, you're basically looking at construction and infrastructure, basically looking at excavators, backhoe loaders, stuff of those kind and also a very similar application of off -road is agriculture, basically tractors.

Just to give you some broad areas of why these markets are of interest, we are the third largest heavy commercial vehicle producer in the world. We are the largest tractor manufacturer in the world. And so a good presence on commercial, Infra - - we are the largest backhoe manufacturer. Second largest backhoe manufacturer APAR Industries Limited

August 24, 2023

Page 31 of 93

now in the world and should be soon the largest backhoe equipment manufacturer in the world.

So looking at construction, infra, off -road automotive applications will increasingly become more -and-more interesting as a business and very sustainable. On the personal side, of course, you will see some headwinds coming in basically of all the top that we have had our own EV.

On the industrial side of the business, you have a plethora of products for

gearboxes, hydraulic applications, turbine oils basically so much of electrification activity going on in power generation, so turbine oils, compressor oils. And we also have a slew of product lines on the metalworking side, basically for cutting fluids, quenching oils, for example, for hardening of metals, stuff of those kind. So very, very special. Where are we focused on some of the niche applications that we believe, which are

going to be future where basically on gas engine oils generating power, both mobile and stationary gas engine oils applications. We see a lot of scope coming on for. We believe that moving forward, there will be a lot of gasification liquid fuel is getting converted into gaseous fuels for applications. So that's a big area of work. Marine Engine Oils is an area where we are working on and trying to expand into our business. Personal mobility side increasingly moving away from manual transmissions to automatic transmissions for driving comfort. So you will see a lot of sludge -- sput of automatic transmission fluids coming in, niche products, high margin items. And we're also looking at specialty fluids like Coolants and Brake fluids, which are increasingly going to come. By the way, Coolants and Brake Fluids are going to be power agnostic, when I mean power agnostic, whether it's EV or whether it's fuel-led. This is an area of business that will continue to work, and it will be agnostic to the kind of fuel that you're using. On the industrial side, we see a huge play coming up for specialty cutting fluids, Rust Preventives, Rolling fluids, Drilling Fluids, some of those special applications that you see and a huge push coming on the off-road side for Infrastructure and APAR Industries Limited
August 24, 2023

Page 32 of 93

Mining Solutions. We are working on those very aggressively and some of our growth and positions that we have taken over the last 15 years are going to be insulated from these kinds of changes that are happening in, which I'd like to take forward on my subsequent slides. If you look at our business, on the automotive side of business, it's predominantly distribution-led. So having a good infrastructure, having a good distribution network is going to be key to moving forward in this business. So our infrastructural side, we have a well-established distribution network now. We have about five mega warehouses for stocking our products across the country and close to about 14 satellite depots which are fed from these mega warehouses. So the serviceability of our product lines through our distribution network is pretty much well established now. If you look at just a break of how things have been moving on in terms of the network size that we have, we've kind of had almost around 485 distributors out of which close to about 370 are exclusively working on aftermarket retail automotive products and close to about 112 distributors working purely on the industrial side. So if you look at our distribution network now, we are well established to get product to the customers at the right time across all of our product lines, across the geography of our country. So we're pretty much well established on our distribution side. If you look at the strengths that I wanted to bring on, we have a settled distribution now on automotive side, on the B2C side, both auto and industrial. Products have been well established. It's over 15 years that we have been putting up our products in. We are also working on newer products, which can be fed through the same distribution network so that we get a better productivity out of the same distribution network. So we are foray into Batteries and Tyres to reach the customer through the same distribution network. We have worked extensively on digitalization of our distribution network. So we have, for example, we have, for example, a digital platform that's been established for influencers, which is a mechanic program that we have. We have over 75,000 APAR Industries Limited
August 24, 2023

Page 33 of 93

mechanics enrolled in the program nationally, and we have close to about 30,000 who are active participating on it on a month-on-month basis on this program. We are working on a similar program that we are running in for our dealers, which

is our retailers across distribution in our channel. So we

have a well -- we are

strengthening our digital initiatives on our distribution side of the business. And of course, we have started to work very closely with the four channel finance to our distribution so that we have the -- we are insulating our businesses from the financial requirement needs that we want, and so we can expand through the same distribution network.

On the B2B side, we have a significant presence on Industrial Fluids. And moving forward, we believe that the B2B side will -- the industrial fluids side of the business will grow far more aggressively than the automotive side of business and this is predominantly going to remain insulated from whatever changes are happening on the fuel side on the automotive side of the business. And we have a significant presence in industrial now. And similarly, we're working very, very aggressively on expanding our metalworking portfolios.

Our focus remains on infrastructure. We have specialized products now for off-road applications, both on infrastructure equipment as well as on agriculture, and agricultural sector remains our key strength.

Taking off from what I said on the last slide, we are a leading supplier for fluids in tractors. We have significant exposures on all the leading top 5 tractor manufacturers and also the Tier 1 suppliers for these tractor manufacturers, somebody like Carraro or Dana, for example, giving axle solutions to both tractor and construction equipment solutions. We are working with other leading Tier 1 OEM brands also in the aftermarket to expand our position on the lubricant side. On the export side of the business, we've recently established our office out of Dubai for export opportunities, focusing around the Middle East market and also, to a large extent, into Africa, which I believe are opportunities that we need to capture and expand into very, very fast we would be probably one of the faster

APAR Industries Limited

August 24, 2023

Page 34 of 93

movers in the segment for export opportunities that we are looking up for in these emerging markets.

Coming back to all the discussion that we had on EV. Our view on the EV side is that the personal mobility segment, which is basically motorcycles and cars are the ones which are going to be slightly impacted because of the move from fuel-led vehicles into EV but currently, the EV sales are just about 1 million units in a year in comparison to about 1.3 million units of ICE vehicles in a month. So it's going to be a substantial catch-up that needs to be done by the EV industry to even make a significant impact in a business like ours. So it's still early days for EV. And we believe with the recent changes on the subsidy that has been given on withdrawal of subsidies that have happened on the EV side of business for two-wheelers with effect from July.

The sales are actually tending to taper off for EV two-wheelers at around 50,000 units to 60,000 units a month. So that's -- the game is still to play out. And our view is that it will be at least 8 years to 10 years before the EVs make a significant impact on the sale of ICE, internal combustion engine in two-wheeler vehicles. On the passenger car side, our view is that pure EVs are going to have their own limitations. And we see the passenger car sector to be more moving towards hybrid vehicles, which is a combination of an ICE with a battery that's going to be the go-to choice simply because of the driving range requirements of the user and so that's a forward movement, and we don't see that to have a significant impact on the lubricant side of the business.

The take on commercial vehicles, you need to look at commercial vehicles in two different forms. One is, of course, buses for passenger movement. That's a segment which will predominantly get electrified, which is intra-city operations. We still believe the long-haul bus operations -- intra-city operations

will still remain

fuel-led or will move to gas, basically a combination of either LNG or CNG. And the long-haul commercial vehicles will still remain predominantly fuel-led could be diesel or a combination of diesel and some moving towards LNG.

APAR Industries Limited

August 24, 2023

So we don't see significant impact coming from the commercial side of the vehicle lubricant demand. But yes, the personal mobility side will, in the short term, have very minimal impact. But in the long term, we'll have a decent impact in terms of how the lubricant business will play out. But I believe this will be more than compensated in the way the industrial business will grow and significantly compensate for whatever small losses that you will see on the electrification impact in the automotive side business.

We see significant positions that we have already built up both on the ENI and POWEROIL side to keep on continuing to grow and reap benefits for us on the industrial side of the business, with manufacturing focus coming in India, we see premiumization of usage of products that are coming in and especially niche applications.

The cost of equipment that's increasingly coming on to do some of the infrastructural jobs are significantly becoming higher -and-higher. And as a result, the choice of lubricants that are going into these kind of equipment's, are getting premiumized and the customers are more or less working with only organized oil players. And as a result, we are seeing better ability to penetrate and service those markets.

So premiumization is the way forward on the industrial side of the business for sure. And we remain focused on industrial metalworking infra and mining as a segment for us to move forward and grow our lubricant business.

On the automotive side, as I said, though the blips might be very, very small on the personal mobility side of business in the short term we still see that the vehicle park is significantly improving. So if you look at the two-wheeler and the passenger car space, you're consistently seeing growths happening at a CAGR of around 5% to 6% on the two-wheeler side, and you're looking at a CAGR growth of almost close to about 10% to 11% on the passenger car side, with a vehicle car park -- vehicle park improving in the market. We clearly see the automotive segment continuing to grow at least in the near term for sure.

APAR Industries Limited

August 24, 2023

EV adoption option, as I mentioned, still remains reasonably low, and the infrastructure needs to really catch up, which was what was earlier also mentioned in the slide before EV starts to make a significant impact in the business. Our view is that gas adoption is more likely going to happen and that's what is going to be the way forward, at least in the near term for us, both in the personal mobility as well as in the commercial mobility segment.

That's about it from my side. Thank you.

Shashi Amin: Good morning, everyone. I'll just -- before I start in the presentation, I would like to give you a brief about myself, being 35 years in the cable and wire industry. I started my career in cables and wires way back in 1988. Seven years in Nicco, two years in Ducab based out of Bahrain. Six years, I was on my own entrepreneurs, the distributor for cables and wires years. 19 years in Polycab, when I resigned, I was an Executive President of Polycab, and I'm in APAR for last 14 months now.

Like my earlier speakers, we are the market leaders in conductors. We are the market leaders in oil. As far as cable solutions are concerned, I think you can gauge yourself where we are today, but I would like to say that we are the market leaders in specialty cables. As my Chairman mentioned that we would like to be the top 3 players in whichever segment we are, yes, we have an ambition to be the top -- to be in the top 3 cable and wire

manufacturer in India.

Just to give you a brief about the cable and wire industry, cable and wire industry FY '23 was around INR65,000 crores. That means INR65,000 crores of cables and wires were produced in India out of which, some of which were sold outside India. As far as APAR is concerned, FY '23, we were the largest exporter of cables from India to different countries, and we were the largest exporter of cables to US market.

And if you see the breakup, 43% is low voltage cables. 37% was light-duty cables, light-duty cables, means house wires, flexibles and panel wires. In fact, three years back that 37% was 27% so lot of the small-scale manufacturers have wiped out,

and the focus has shifted to the larger manufacturer. That's the reason the share of the major players have gone up. And this data has -- its a published data of IEEMA that is Indian Electrical and Electronics Manufacturers Association. If you see last year, the cable business has grown by about 26% and LDC business by 17%, overall growth is 23%.

And I think most of you would be tracking these numbers. Again, it's published numbers. If you see the growth, APAR has grown by 64% in last 12 months that is a FY'23 numbers and if you see some of the competition, the way they have grown and other aspect is we have continuously grown at a CAGR of about 23%.

So, the comparison is there, I'm sure all of you would be having this comparison. We are the only company who has got this wide range of products. The kind of products what we have, I do not think any other cable company in India has got the range what we have. Like power cables and wires, I think most of the guys would be having this. LT cables, HT cables up to 132 KV.

Then we have covered conductor again it's a unique product, what we have. We are the market leaders in conductors, so we produce covered conductors. And a lot of this utility companies have shifted to covered conductors in densely, I would say, forest area where the forest catches fire, so there is a protection on the conductor so that the fire is avoided. We are the market leaders in elastomeric and E-beam cables.

I will briefly explain you about what E-beam is all about. Solar, we are the market leaders. Wind, we are the market leaders. Railways, yes we are the market leaders then we have ship wiring, trailing cables, in the cement plant its trailing cables are used, welding cables, mining cables, EPR auto cables, house wire again we have Anushakti which is an electron beam house wire which others do not have.

And rest of the other products we also have like we have whenever someone is building a house, he needs a house wire, he needs a Cat 6 cable for computer application, he needs a coaxial cable for television, then he needs a telephone wire. So, we have the entire basket of product which would be used if somebody

is making a house. We are the only company with a maximum number of approvals from UL.

UL is a must for exporting cables to U.S. So, we have got around 18 such odd approvals. And very shortly I'm expecting an approval for medium voltage cables. Currently, we are there in low voltage cables, renewables, wind, solar, but very shortly, in another two months time, we will have an approval for medium voltage cables. Another vertical we have is the cable harness. We supply harness to solar, auto, railways and wind projects.

Harness is nothing, but we supply cables with conductors exact length what is required for the OEM manufacturers, so that there are no wastages and the crimping happens in the factory. It is a highly skilled automatic machines what we have, which does the crimping rather than depending on the low scale workers at the site. Some of the sectors we are there, distribution, power transmission distribution, we are

there.

Renewable, we are the market leaders. Railways, I am happy to say 98% of the cables and wires used in Vande Bharat are of APAR. So, whatever trains you have seen on track, 98% of cables is ours. We are discussing with the other manufacturers. Bombardier has got an order from Indian Railways for producing Vande Bharat train. Happy to say that we recently got an approval from Bombardier for supplying these cables.

Siemens has got an order for about 1,200 locomotives to be supplied to Indian Railways in next 10 years I am happy to say that we are the only Indian vendor approved by Siemens Germany for supplying cables and wires to these locomotives. We work very closely with Defense, Honorable Prime Minister's project Aatma Nirbhar Bharat. We work very closely with military, navy and air force in indigenous the import component of cables and wires.

Automobile, yes, EV charging and electrical vehicles, we are there in, I think my Chairman mentioned of some names, JBM, Olectra, Switch we are working with. IT and data center is a new customer base we thought we will attack on and I'm APAR Industries Limited
August 24, 2023

Page 39 of 93

happy to say we recently received an order for about INR17 crores for Microsoft data center in Hyderabad. It's a beginning for us and most of the consultants have approved us, name it a consultant of Amazon, NTT, STT, IOTA.

So, in next couple of years we will have a major foray in the data centers. Real estate, again we formed a separate vertical to tackle the real estate business. Industrial, we are already there. What is it, when I said that we are the market leaders in specialty cables, innovation is at core as far as APAR is concerned. Solar cables life is 25 years, ultraviolet radiation because the string wires are exposed to atmosphere.

It has to sustain the temperature and it has to sustain the anti-rodent, take care of the anti-rodent properties when strings are used in solar panels. Anushakti high-ampacity wires, again I will be presenting. We have supplied fire survival cables to Sydney Metro, Australia. World over the fire survival cable has to sustain a temperature of 950 degrees centigrade. In Australia, the specification called for 1,050 degree centigrade.

We got our cables tested in Australian laboratory and we supplied fire survival cables for Sydney Metro. Currently, I am supplying fire survival cables to a tunnel project from Sydney airport to a particular station which is a 16 kilometer tunnel being built by the authorities there and we are the only Indian player who are supplying these cables there. Again, as I said, since we are working very closely with defence, like we've developed this optical fiber cable for torpedoes for Indian Navy.

We also developed Tether cables for DRDO, it's for Air Force. Then we are also develop tactical cables for military operation and my team is working very closely with defence in developing some of the critical cables and wires used in the defence. This coming to the E-beam technology like house wires, what others are selling are normal PVC house wires, the market leaders who are there. We came out with a product called Anushakti, which is an electron beam product.

APAR Industries Limited
August 24, 2023

Page 40 of 93

So what is E-beam? E-beam is nothing but it's a small reactor. Again, an approval taken from Bhabha Atomic Research Center, which they visit our factory, and on a periodic basis the approvals are given. There is an electron gun which accelerates and bombards electron on the wires. By doing this what is happening is the bonding of the chemical properties of the compound used is far, far superior than the way the other normal manufacturers are producing wires.

So, this electron beam irradiated cables and wires of a superior performance based on the compound used either it's PVC or XLP or elastomeric. So, this is a uni

que product. In fact, we were doing this cable for nuclear power cooperation. The nuclear reactors, the life of a nuclear reactor is 50 years. Tarapur nuclear plant 1 and 2, I think they are completing 50 years in another 1 year or 2 years. So, NPC is going to decide whether they want to dismantle and put up a new nuclear plant in Tarapur. So, we did a load cycle test, a long duration test and our cables produced with E-beam technology surpassed those 50 years life. When this happened, APAR felt, the management or the team felt, why don't we introduce this product in domestic wires. So, we introduced this product in domestic wires. Now what happens to this product? This wires can sustain a temperature of 105 degree centigrade against 70 degree centigrade of normal PVC. By increasing the properties of the insulation, this wires can carry 50% more current than the normal PVC. As I said, since we have done this test for nuclear power corporation, the life of this wire is 50 years plus. Oxygen index 33%, what is oxygen index? Oxygen index is the time taken for the fire to travel on the wire. So, when it is 33%, it takes a longer time in case of a fire so that it does not become a transporting agent for fire. Most important in Anushakti electron beam house wire,

it is melt resistant. The compound does not melt. Normally in the event of fire, short circuit happens at the contact, at the place where the switch is and the fire travels through the wire.

Here we are saying nothing is going to happen to your wire even though you increase the temperature by about even 75% to 80%. So, it takes care of the

APAR Industries Limited

August 24, 2023

Page 41 of 93

overload current. So, it is a melt resistant wire. We are promoting this product big time with the fire authorities. We are trying to see whether we can form a legislation, so that this product can be introduced by other manufacturers also. We are talking of safety of the human life and in fact today there is a conclave happening in Geo Center on fire safety where we have participated. My team is there. So, we are trying to promote more of this product to take care of the human life and majority of the people die because of the fire takes place because of the short circuit and people die mainly because of suffocation.

So, it is very important, what is the type of insulation one uses in producing the wires. Last year we did around 3,300 crores. We had a capacity utilization of 88%.

In case I have to grow my numbers, I have to increase my bandwidth, I need to have the capacity to produce further. So, these are some of the capex what we are doing in FY'24. We recently commissioned a CCV line for rubber cables which I am, by commissioning this I am adding another INR250 crores of production. We commissioned, in July we commissioned a new plant in the existing, near that existing premise I think some of you would be visiting our factory tomorrow. It's a plant which is commissioned with 7.5 acres which can add or produce around 900 crores of cables and primarily the entire production is meant for U.S market. Then we commissioned one more CV line for HT cables, which can produce up to 132 KV, which will add another 250 crores.

And we are going to commission an electron beam line. We already have four lines. We are the largest E-beam installed company. So, we're having one more line, which is coming up for 1.2 MeV which we will use for house wires. Exports 51% of my last year's turnover was export. 18 UL approvals, CPR approval required for European market. Enel is a utility company based out of Italy.

We are the only Indian vendor approved at Enel. Enel has a utility network in Italy, Spain, Romania, Chile, Peru. So, we are one of those preferred vendors as far as Enel is concerned. MV Cable's UL approval is expected in two months. Market leaders in renewables, I told you about FS cables. Out of this 51% of t

he exports

APAR Industries Limited

August 24, 2023

Page 42 of 93

what we did, 66% was to U.S and Latin America, 10% to Africa, 10% of the turnover to Australia, 10%... sorry, Australia is around 8% and Europe is around 10%.

We are again a larger supplier of solar cables into Australia market besides this fire survival cables. Demand drivers, I think my Chairman has articulated well in the previous slide. I do not want to go deep into it, but whatever investments are happening, maybe it is infrastructure, railways or renewable. Sometime back, as an industry leader, we had an opportunity to interact with the Honorable Power Minister, Mr. R.K. Singh and he is very clear about the numbers what he is talking about.

He is talking about doubling the power generation capacity by 2x by 2030. So, when he is talking of 2x and out of which 80% of the generation is going to happen from renewable. Maybe it is wind, solar, nuclear. So, he was very clear, he made one statement, if you guys do not increase your capacity, if you are not -- will be in a position to supply material, do not blame me if I open up exports or imports. So we, company like us, we are gearing ourselves to expand and we are again talking of a three year expansion capex so that we fulfil the requirement what is required for the Indian market. Coming to the B2C segment, APAR was always a B2B company. Last year 6% of our turnover was B2C. When we say B2C, it is the house wires and flexibles which are being sold through the retail channel, but in next few years' time, we want to take it somewhere between 10% to 12%. This is a very conservative number. I am sure this would be more than that.

We are the first company to produce E -beam house wires. We signed off Sonu Sood as a brand ambassador last year. We were an associate sponsor in February 23 for Women's Premier League. We have finalized sponsorship for Asia Cup which will be on by this month end. So, we are doing lot of activities as far as ground is concerned to promote our Anushakti product.

At this point of time, we are focusing more on Tier 2, Tier 3 cities and now in this financial year maybe by Q3, Q4 we will be in Tier 1 and metro cities too. Footprints expanded to 19 states. Successful pilot model are in Kerala and Gujarat. I sell APAR Industries Limited

August 24, 2023

Page 43 of 93

roughly about 75 crores to 80 crores out of 250 crores of wires in Kerala alone.

So, what are we trying to do to increase this business?

Expanding distribution to reach 50% district in this financial year. Out of about 650 odd district, we want to be more than 300 district in this financial year.

Expanding retailer network and maximizing direct reach. We formed a separate vertical for builders and MEP consultants and builders do form a major portion of buyers when it comes to house wires. So, we are focusing on top 250 builders of India. We are focusing on top 250 MEP consultants and MEP contractors in India, we have identified those customers. The team is in place.

So we have station guys on a strategic location wherever major consultants are located. And we are doing a lot of electrician meets and Nukkad meets so that our product is a preferred product. Like as I said, Gujarat and Kerala, it's a pilot. See, we are purely on a distribution mode. We are following up the distribution model what FMCG companies are doing. We are not dependent on wholesalers.

So, we have a distributor in each and every district. So, we are talking of, maybe if I am talking of say 300 districts in this year, there will be 300 distributors also in this financial year. So, all the pink ones are the new territory which we entered in last year Q4. Yellow ones are those ones which we have just formed a team in Q1 FY'24. White patches are yet to open. We are strategically opening out the markets.

So, we are not there in MP, Chhattisgarh, Orissa, Ladakh, Punjab, Uttara

ranchal and

even some of the North East. We are present in Assam, we are present in Mizoram, we are present in Manipur, but strategically we are opening up the market for the 90 metres. When it comes to channel expansion, as I said, our target I mentioned 300 districts, but our target is we should have around 267 distributors.

We have identified the towns where we should have presence. FY'22, our retail presence was 276. FY'23 was 2,400. We want to take it to 6,700 retailers, state presence from 2 to 13 to 19 in this year. Number of electricians whom we have connected was 73,000 in FY'23 which we want to take it to 1,46,000 or 1,50,000

APAR Industries Limited

August 24, 2023

Page 44 of 93

electricians. As Sundar mentioned earlier that in automobile lubricants he has got mechanical loyalty program and retailer loyalty program. We would be launching an electrician loyalty program and a retailer loyalty program on 1st of October so that we have direct connect with all those electricians and the retailers.

The best part of ours is, if I have to convince someone to buy Anushakti wire, and if I'm going to tell them that, okay, this wire will carry 50% more current, it is a melt-resistant, I need to prove it. So we have a demo kit. Every sales executive carries a demo kit. We demonstrate in front of the customers how and why we are saying that our product is superior. So, we do a lot of demos.

In fact, when we say demos, demos are meant for individual customer, the person who builds the individual bungalow or who is renovating a house. So, our guys go there and do demonstration. So, our target is to do around 60,000 demonstration in this year, that means 5,000 demonstration every month.

Electrician meet and Nukkad meet put together is around 7,000, so we are talking of on a daily basis 20 to 25 Nukkad meets and electrician meets happening on a pan India level.

So, we have taken a huge budget as far as doing this activities going forward because we need to establish our brand. What is the competitive advantage?

There are market leaders as far as cables and wires are concerned. One thing, let me tell you one thing, earlier there are lot of smaller companies who are playing around with the quality of the product. Today most of the larger players have started playing around the quality of the product.

I am making this statement, I think some of my industry colleagues also probably would make this statement. And at APAR, the kind of products what the conductor and oil has been producing, we will not play around with the quality, we will not play with the safety of the people, we will ensure that whatever we produce meets all the requirements. I am proud to say that last year we supplied 1,100 crore s of cables to U.S market. We have not received a single complaint neither from U.S nor from Australia nor from any other part.

APAR Industries Limited

August 24, 2023

Page 45 of 93

So, whatever we produce it will be a quality product. India's only cable company we will be having, we have got plans of adding on more E -beam lines. Leading player in solar and wind as far as India is concerned, we would like to take that into the global market. Highest number of UL certificate for Indian manufacturer. Harness is one business, we are very serious about it. Even in Solar when we supply string wires, we do receive complaints on workmanship at the site, where the labours do the crimping, people who are not very educated, not very qualified do the crimping to the site.

So, we thought we will have a high -tech, state -of-the-art harness factory going forward, so that the problem of crimping and termination of the site is taken care of. So, by doing this, we will solve problems of lot of contractors who are doing work for Indian railways, wind manufacturers, solar and even auto.

Going forward I think we have formed a telecom business, Girish will talk more about

telecom, that is one business I think we will be jointly working together, I think we will take that to a different level and besides that Indian defense has looked at APAR as their partners going forward and they are discussing only with us for development or indigenization of various cables and wires which they would have bought from Russia, France or Austria. So, we are one of the most preferred vendors as far as Indian defense is concerned. Thank you very much. Thanks a lot. Management: We have a tea break now for about 15 minutes. Request everybody to join back by 11.45 for the next sessions. Thank you.

Girish Gupta: Can I have your attention please? Welcome back from the tea break. And let me introduce myself. I am Girish Gupta. I've joined APAR approximately 10 months back and heading the telecom vertical responsible for building telecom vertical for APAR. And I would like to congratulate each one of you in this room for landing of Chandrayaan yesterday and it's because of this communication which happens between the space station and the lander which landed at the moon.

So I'll walk you through a telecom vision of a APAR primarily. My earlier speakers had a journey of 15 years, 20 years, 50 years. I have a journey of 15 months,

APAR Industries Limited

August 24, 2023

Page 46 of 93

where we started and how we started. We'll talk about that, but what's the vision of APAR, why APAR is here, what it entails to APAR and how APAR plans to do that. That's the whole purpose of telecom vision which we would like to share with you and I will start with the why part of APAR.

I hope each one of you will be able to relate this in your lives that that 2010 was the era from 2000 that we were all voice dominated industry. Then 2010 to 2020 we became a video dominated industry. And now the telecommunication is changing shape to virtually, what we call a virtuality based industry from now onwards to 2030 depending on the country. But what exactly changed?

The phones have changed from featured phones to smartphones now to connected devices. What exactly it means, basically, for all of us in this room. KBPS to MBPS to GBPS, we all understand we need more data. But what exactly is happening is, earlier we were digitally connected, then we were actually consuming digital era which was video. Now actually we are living digital life. Any one of you can say if we don't have phones, if we don't have connectivity, is there a life for us? The

answer is no.

And that's where the world is changing. But this world is transforming, changing, but how fast, how quick, it's important for us to understand. If I look at it, video consumption has been 60% till date. Primary consumption of the data comes from video consumption because that's a basic way of doing it. Gaming and software, another area where the industry has picked up. There are a lot of gaming companies which are becoming now unicorns across the world market because of this reason.

Social networking, another Facebook, like any social working site is making a stride into the market. AR, VR is just entering into this space. But where is India in this space? Typically, worldwide, the consumption per user, a mobile user, is 20 GB, but India stands at 25 GB. And this is growing at a rate of 25% CAGR as we speak. And it's expected that today what we consume will consume double of that in the next five years.

APAR Industries Limited

August 24, 2023

Page 47 of 93

If we are going to consume double of that, what we are using today, how are we going to sustain that? Where is it going to come from and even on the data side, today, world is consuming 120 exabytes of data. And if you see this graph carefully, this graph tells the consumption of data is going to go down, so we are moving towards a downward trend. But look at that aspect, that 30% of that consumption will be more than consumption done in 2018 or

2019.

Whole year consumption, that is the kind of consumption growth we are expecting, the market is expecting to happen. But if this kind of consumption is going to grow, what is required in our networks and what exactly is changing? That's very, very important. Does this video consumption and gaming going to give us that kind of data growth? The answer is no. What exactly is happening?

Beyond 5G, which we all heard here every day as a buzzword in the industry, beyond 5G, a lot of happening. My previous speakers spoke about agriculture, transport, healthcare, education. Think of this with what we are selling in the other divisions. All of them will require a telecommunication system. Today, high-speed internet is moving. Gaming sector is moving from local servers to cloud gaming. I want to play with the people sitting in Europe, people sitting in U.S, people sitting in some other parts of the world, in some cities. That's where the gaming is shifting. Agriculture, it's going to be AI, ML-based information, technology, developed solutions provided into the market to deliver that. And logistics, which is a big play for everyone, it's going to be fully integrated based on the whole solutions, telecom solutions, IoT solutions, which are going to run a different set of.

Healthcare again, remote villages are getting connected. You will be able to provide the best healthcare to the remote locations with the help of telecommunication again. And this is changing. Education has seen some light in day of COVID, time of COVID. Now education is shifting much faster. We are seeing the home schools coming. Homeschooling is coming to India and different parts of the world.

APAR Industries Limited

August 24, 2023

Page 48 of 93

So, what exactly it means basically? By 2030, we'll have 15% more SIM connections. SIM connections are not going to go up, but 114% of the penetration of connectivity will happen. But one larger shift which is happening in the market is 50% of our network will be 5G-based network, which is today only 12% and 4G will be balance of that 40%. And only all 2G, 3G, all kind of technologies will go off, only 8%, 10% will remain in that. That's one big shift which is happening. Second big shift which is happening is IoT devices. Machine-to-machine communication is going to become a very, very integral part of our life and we project that 5.3 billion devices will get IoT connected in the times to come. And it will create definitely a number of jobs and it will contribute 5% to the GDP of the world, which is USD6 trillion, that's where the telecommunication industry is heading to. And that's where we want to – APAR make a foray in that set of

industry.

So, today the telcos who are the primary customers for the telecom consumption in the world, what does it mean for them, their network, we talked about all these applications coming in, we talked about the number of connections, but they have to double down their investments. If somebody is investing x today, they'll be investing 2x in next five years. That kind of investment we envisage in the market coming for us.

There's IoT and a private sector play. IoT I spoke about, private enterprises and private networks is another play which is evolving, emerging in the market of our telecommunications space where we'll have a hybrid network. The industries like APAR, other industries will have their own networks to communicate between the IoT devices and they'll have a 5G network running on it.

Edge datacenters, to address the latency part of the network, there'll be huge investment happening in Edge datacenters, that's a sector I think Shashi spoke about as well, that on the power side we are addressing on the telecommunication side also, we'll be addressing that sector as well. Then, quality of service, that's a very big task. We have moved from 3G to 4G to 5G, but the call drops is still an

issue, the quality of the network is still an issue.

APAR Industries Limited

August 24, 2023

Page 49 of 93

The operators plan to spend a huge set of money to deliver that quality of service in the networks. Basically, what it means is the telcos have to become from a mobility company to a technology company to a whole telecommunication IoT based entities, that's where the industry is going to shift and that's where APAR play is going to come as we speak, move forward.

I see roughly USD1.3 trillion to get spent by the operators in next five years, which turns out to be USD0.2 trillion annually, which is a big number in this space. One is what they will invest, and the other is where the investments are already being announced in different parts of the world. India we know that we are only 35% connected on the towers. We have roughly 2.5 lakh towers, mobile towers I'm talking. 2.5 lakh towers which exist in Indian market.

And with the advent of 5G, this number of towers is going to go multi-fold. I'll talk about that. But this needs at least to get 70% fiber connected and that's our primary product, which APAR has optical fiber cable, that's the core product for that kind of connectivity. Worldwide, I see that roughly 530 operators have tried their hands on 5G networks right now. But out of that, only 50% of that is able to officially launch 5G.

We can imagine the amount of 5G networks getting launched across the world market. Only 41 carriers are doing standalone based 5G, rest all are still on a non-standalone basis. So I'll say five years onwards also, 2030 onwards also, this demand is going to peak further up as we get into this market. Fiber to the home, we all heard that fiber to the home, it was not that prominent before COVID, but after COVID, we realized connectivity is the key and fiber to the home became the necessity of life.

And India added roughly 10 million homes in last two years. The way we are today, we will add 10 million homes in last two years. The way we are today, we will add 10 million homes year-on-year basis as a country and that's where we are heading to as a nation. Worldwide, if you say UK has announced very clearly they will have 25 million homes by 2025. China is the market leader in this space.

APAR Industries Limited

August 24, 2023

Page 50 of 93

And they already have deployed fiber to the home. Now they are moving ahead, which we are not thinking as a country right now, is Fiber to the Room. Each room to have a fiber connected so that you can have those IoT devices in each of your room where you can move it forward. There's another, one is this urban network we talked about 5G, fiber to the home, then there are rural networks where the government investment is coming, BharatNet, two weeks back, cabinet has approved 1.39 lakh crores in this program to connect to 6.5 lakh villages across India.

They have already connected 1.7 lakh villages, 7,000 villages – 70,000 villages and they plan to connect balance. It's a big layout, it's a program rolled out for next three years that 24, 25, 26 is going to be this money spent in India itself. U.S as a market has itself has announced 42 billion dollars getting spent on rural connectivity of U.S markets, again for connecting the rural U.S where the connectivity is less than 25 Mbps.

So, it's again a program of 4 years starting 2024, launching till 2028. So, that's another set of huge opportunity available to us. UK has launched USD5 billion Giganet project, where they said they will connect every rural home approximately 85% by 2025, and 99% by 2030. So, that's a set of investment, if I say, in telecom sector which is happening, both by private sector as well as the government bodies across the global markets and that's the play which APAR is trying to play in, get into it.

Just to give you a perspective what 5G means, we all hear 5G across, but what 5G means f

or APAR or how 5G is relevant for APAR. As I mentioned earlier, we are talking about 10 times the speed of the network from 100 Mbps to 1 Gbps. We are talking about latency of 10 milliseconds to 1 millisecond. Both latency and speed makes the network different. In 3G network, we always needed only a 1 tower in 10 kilometer area.

In 4G network, that becomes one site at 2 kilometer area. In 5G network, one site become a – like there are 20 sites in 0.5 kilometer area, every 0.5 kilometer you'll have a site and 10 kilometers will have number of sites. What does it mean for us?

APAR Industries Limited

August 24, 2023

Page 51 of 93

It means that whatever fiber was getting consumed in the past 16 times more fiber will get consumed in the networks and that's where the fiber demand of the country will go up multi-fold with the help of 5G.

So, why APAR falling into telecom solutions business? We said the market dynamics are right for us. There's a massive digital transformation happening, whether it's zero latency, whether it's hyperscale to Edge data centers, whether it's Web 3.0, These are focus areas. We have identified our focus areas that converge networks and data centers remains a focus area for us. Rural connectivity happening, 5G IoT M2M is happening.

All these multiple investments are happening for next five years to seven years.

There's enough tailwind for any organization to enter in this space. So, we defined our portfolio of APAR that these are the solutions, OFC solutions, LAN and 5G solutions, convergence network solutions, and network services to provide end-to-end services and why these solutions, it's a very, very important when we identify this, where do we play as a competitive advantage in this space.

We have a largest product range for the evolving market needs, not from the past market, but what is lying in future will have the largest product range in that space.

I will talk about that product range We already have NABL lab, which is the extensive testing lab for any kind of fiber plus copper network solutions then we have a capability like all of my earlier speakers spoke about, innovation is the key, customization is the key.

And that's where we have a capability as an organization to customize the solutions and provide with an innovative mindset to provide a value to our customers and we leverage upon our experience of exporting to more than 140 countries. As a company, we do that. So, that's another thing which adds value straight away to the telecom solution business of APAR. In telecom solution business, we have first line of business is optical fiber cable which we manufacture at the full range like any other company in the world.

APAR Industries Limited

August 24, 2023

Page 52 of 93

We have a full range of optical fiber cables which meets any standards, global standards where we can further address the market. We acquired this entity in 2008, but slow. We will build this up. OPGW, my colleague, Surya Shoban, spoke about that. We started that business in 2017. Along with OPGW, we have ADSS cable. We'll address the power line industry fully on end-to-end basis as a telecom

solution.

Then tower and IoT connectivity solutions which is a new – which we are starting this year. This is a hybrid product which we are bringing to the market to address the tower and IoT need. The strength of APAR, I think APAR will be one of the few companies in the world to have these kind of products who has a strength of power as well as optical fiber. And that brings a different set of products which we have launched in the market this year, and which will bring a different revenue for us.

Then enterprise and DC solutions, we had few products, power products, like Shashi mentioned earlier, and we have added the full range of LAN and the fiber solutions to lots of DC solutions. So, that brings us to a full end-to-end solution for

the data centers and the IoT applications into the world then we are adding another division of rolling out, building these networks within the telecom solutions.

Since there is an investment across India by private telcos to build these networks, or by the government of India, like I said, BharatNet, which the government of India has announced. We are launching this vertical as well, which will be up and running in 2025 for us to deliver that. I'll talk a little bit more about that. So, in telecom, which has become a part of integral part of every industry, pure telecom will play in, which is the operators and the data centers.

Railways, we have a huge play, investment has been shared by my team earlier, but similar investment, I won't say similar investment in terms of value, but similar kilometers will be required for the telecom products in that space as well. Defense, we are getting very aggressive on defense because defense is investing to create a digital wall against the borders to protect the country from China and Pakistan primarily, and there's a huge set of telecom spend happening in that space.

APAR Industries Limited

August 24, 2023

Page 53 of 93

Power energy we've spoken, industrial applications, IoT is moving way, way I'll say, ahead of telecom curve. I think the solutions required there will be much, much larger than what we are in. So, as a strategy, we follow a purely, purely customer-centric strategy. My Chairman spoke about initially that we believe in growth, continuous growth, which is like global. So, growth will for us on optical fiber field will come going global in this space. We have been more of an India-centric.

So, we are growing this business to global markets. We have created a camp structure for the global markets. I have identified the markets globally, roughly 20 markets we are going to address. When I say 20 markets, it is 20 countries out of the seven continents. So, we have created the structures around that. We have identified the partners in those markets. We are moving ahead in that direction. We have increased the focus on our global customer approvals as well and the qualifications in the region. Certain UL approvals we have. We have added for the CPR approvals, UL approvals respective to the markets, that's where we are heading in. And next two to three months, we'll be fully ready to launch ourselves fully in the global markets, capable to deliver a much, much larger volume out there.

There's a equal exercise to do positioning of APAR in those global markets and primary focus of APAR will remain India, Europe, and Middle East Africa from a telecom perspective. The second piece we talked about, premiumization or customer retention, that's what comes from our value creation initiative, where we are producing the innovative and customized solutions to stay relevant and command a premium from our customers. Not only premium, we retain those customers for a longer period of time.

Design knowledge that discussions are happening, we have purely gone from a product sale to a solution sales with our customers. We have the design discussions, technology discussions happens with them, and we are creating those stickiness with the customer then we are arranging a local availability of the products in those different markets, that's where, like Shashi talked about

APAR Industries Limited

August 24, 2023

Page 54 of 93

distributor model, we'll create a global distributor model for telecom business across global markets.

And that's the way we'll lead those 20 markets as we move forward. This is not going to happen until and unless we augment our internal capabilities. So, third strategic priority for the telecom business is augmenting the whole team and the process to address these global markets that's a continuous process. The last four months we have invested in hiring more people, and next 6 months

we are doing

the same. There's a strategic partnership with the fiber suppliers to provide globally the products which we have initiated, and definitely end-to-end service capability we are building as an organization.

Moving forward, just to give you a glimpse what we have done in last six months in this space. One piece which I said is growth, where we have the customers globally, but we didn't have the products. So, we created the new products and launched to the new markets. So, new products to us, not to the market, but launched in a newer markets, global markets. So, we developed micro cables, we developed micro module cables, we developed fire resistant cables, and these products get into the global market for us.

We already started executing the orders in the global markets in this space and this will allow us to capture European market and African markets. So, it's a large set of market which opens up with these set of products. The second set which we created is new to the market and new to us, which is like hybrid cables and that's where APAR Strength comes in. No other manufacturer in India, I'll say, has this kind of capability which we have built in. That it has got a copper and it has got a fiber in a single cable, which provides you a lot of benefits as a customer, because it's a purely customer-centric approach.

He doesn't have to install multiple times. It will be faster for him to deploy. It will be easier for him to deploy, and definitely it will be cheaper for him to deploy.

And if I say ESG is a word, it will be greener for us to deploy, because the lesser plastic will be deployed in the environment. So, that's the kind of product we are entering in and that's the kind of product we have launched into the market.

APAR Industries Limited

August 24, 2023

Page 55 of 93

And then another thing where we went in and we realized, like as I said earlier, we entered into a technology-based discussions with the customers. We realized the pain of the customer lies in actually executing the things in the field and when it comes to a technical stuff, when it comes to a technology. Shashi mentioned about we are the largest leaders in the wind field, and we actually went into the wind fields and changed the designs of those products.

We saved the cost of them, we saved the time to install, and we saved the errors in the field, because now the product which goes from APAR is pre-connectorized directly deployable in the field. So three sets, one is new to us, but old to the market, second is new to us and new to the market, and third is absolutely providing a solution which delivers a different value to the customer. It's not only new to us or new to customer, it provides a lot of gain to the customer.

So this is just a reference product for all of you to see that where we are heading to and how we are heading into the market and making a good headway into the markets. This is beyond products, which I touched upon earlier as a service business. Telecom service has three or four verticals if I put it. One is a passive solution which is a foundation of a telecom network, typically a passive layer. Then on top of that you always have an active layer, layer two, layer three, layer four, or layer five then you get into a fifth layer of operation and maintenance of that layer and then there is a layer of only pure management. Here we are talking about as a telecom business, we plan to enter only in the first layer of telecom services which is a passive solution belt and there is a reason to it that we have done some services in our conductor business and there is some level of products we have in-house that allows us to be stronger in this space compared to any other entity.

So typically, there are three sets of, we have gone deeper into that space. We looked at the challenges in this space. There are multiple kind of networks which are evolving

living due to 5G, due to FTTS, due to rural networks, border networks, fiber to the home, these all passive networks, border networks, fiber to the home, this

APAR Industries Limited

August 24, 2023

Page 56 of 93

all passive networks and it's not easy to operate because of multiple issues on the ground.

Then there is an execution variability which comes in. Each soil is different. When you operate in Maharashtra, it is different than what the way you operate in Gujarat or the way you operate in Himachal Pradesh. And to get all the product from a single source. There are multiple products acquired. There's very few entities who can do that.

So APAR is becoming that entity eventually to address these challenges of reliability, visibility of the network, the integrated approach which is required for such network, even the predictable capex for that network because operators are very clear, the revenues are tight and we want a very predictable capex around it and then definitely sustainability of delivery on time.

These are the five levers which are typical challenges in these kind of networks and APAR is gearing up with the tools, tech tools, technology, products, service models. So we are getting this ready and this whole vertical will be up and running, you can say another three to four months kind of time frame. I will say for next financial year you will see the revenue in this vertical as well. And it will definitely be faster than the market and it will create an impact into the market.

So telecom business is primarily the products, we are growing multi-folds, and we are adding a service vertical to do these services end-to-end. Thank you. Ramesh Iyer: So, I will take you through a brief of our financial overview of the business verticals. Let me begin by presenting this slide that actually talks about who are our customers.

These are the people whom we actually sell and these are data from the 12-month consolidated financials for FY '23. Close to about half of our customers are from export market. About 16 percentage we sell to industries corporate that includes cosmetic industries, pharma industries, rubber, plastics and lubricants.

Then there are specific industry groups like rail, defense, shipping, mining and telecom that we sell about 8 percentage to 9 percentage. There are OEMs that we sell about 6.5 percentage of our total turnover. And then there are transmission

APAR Industries Limited

August 24, 2023

Page 57 of 93

companies, both EPC and utility transmission companies, to whom about 5 plus 7, 12 percentage of our products goes there.

Renewables is about 3 percentage. There's a lot of renewables that also goes on the export that you see on the top 50% turnover. These are the renewables that is part of the domestic business that goes. The state electricity boards, utility companies in India, we sell about 1.6 percentage of the consolidated turnover. And then there are others and EPC companies that's about 0.5 a percentage and 3 percentage.

So these are the customers who are -- we are actually servicing. And this mix has changed so that in terms of our exposure to some of the state-owned electricity boards has gradually come down over the last several years.

In terms of our quality of receivables from where the customer mix is there. Out of 100, if you had to put a number, close to about half is secured under various means that we operate upon different terms of credit and payment terms. 50 percentage is secured under various means. About 20 percentage are customers from government transmission and sector-specific companies that we talked about rail, defense and various other industries that was there in the earlier presentation. These are pure government and sector-specific companies, about 20-odd percentage. And the rest about 28 to 30 percentage is unsecured, of which if you see about 65 percentage are entities, w

here APAR has business relationship

of over 3 years. So we know the customers very well, and we've been dealing with them in terms of the credentials. That's the quality of the receivables. Again, this is based on FY '23 closing data.

I would also like to take you through three specific risk management slides, which are very critical for our kind of industry and the products that we serve. The first and the most important is on the commodity risk, where our conductor business and cable business is actually involved basically in terms of aluminum and copper.

And because these prices of these metals are so fluctuating, we actually maintain a 100% metal hedge book for our aluminum and copper.

APAR Industries Limited

August 24, 2023

Page 58 of 93

And there are different price contracts that we enter into with customers, some are fixed price contracts, some are variable price contracts. Based on the terms and condition of each contract, we maintain 100% metal hedging. This is a very important aspect of this business where our back-end team has been working to ensure that there are no contracts where the metal hedging is exposed.

So what this also means is that typically, you don't find any inventory gains in the aluminum, the conductor and cable businesses because we run a complete 100% metal hedging. There is no metal variation exposure to the company because of this. For non-hedgeable major materials and services, like freight, etcetera, we ensure that the duration of the contract is very less.

We don't quote a very long-term contracts or price formula with them so that the margins are pretty much under the -- within the threshold band. And also, we try to include a lot of price variability clause for long-duration contracts so that the price variation automatically takes care in the cost and pricing formula.

The second risk management we do is on currency risks because of the spread of our business and the export and import that we have. We have natural hedges within each divisions, we also do synergies across the divisions, wherein there are surplus exports or imports in one division gets offset against another division. Wherever there are non-dollar denominated currency, we also do the cross-currency hedge. So this also forms an integral part of the risk management framework.

And the third important risk relevant to the audience is on the customer risk. A lot of credit evaluation actually happens before we accept an order from the customers out of financial background checks, out of KYC checks actually happens here. We do have an internal risk committee who reviews medium-term and long-term contracts, and these are part and parcel of the order acceptance process.

Besides this, we do have insurance channel financing, factoring to improve liquidity and mitigate credit risk.

APAR Industries Limited

August 24, 2023

Page 59 of 93

So these are the three big risks management framework that we apart from some of the other operational risk management. But I thought these things are very important to -- for the company like us and in terms of industry and the customers that we serve.

I would like to take you through the P&L metrics and the balance sheet metrics for the consolidated division of APAR as well as the individual divisions. So let me first start with the consolidated P&L metrics. In terms of last 5 years performance, we have been growing from about INR8,000 crores in FY '19 to about INR14,300 crores in FY '23.

Our EBITDA has been increasing year-on-year basis. We stand at about INR1,300 crores of EBITDA post forex in FY '23. Margins has grown because of the various reasons that we talked about in terms of our spread of our products, in terms of premiumization that has happened in last year. EBITDA margin is about 9 percentage. Our PAT margin is about 4.5 percentage.

EPS has grown from about INR36 per share in F

Y '19 to about INR167 per share

in FY '23. Our return on equity has been steadily about 11 to 15 percentage from FY '19 to '22, has gone up sharply in FY '23 to about 32.3%. This is a very important metric that we focus within the company. And similar trend you see in ROCE going up from 15 percentage in FY '19 to about 37.5 percentage in FY '23. In terms of balance sheet metric, our working capital has increased in line with the increase in the business, stand about INR1,500 crores -- about INR1,500 crores of working capital. We have a fixed asset or net block of about INR1,000-odd crores. And the capital employed in the business is about INR2,500 crores.

But in terms of number of days, if you see, we've been consistently maintaining it in the range of 30 to 35 days, across all the divisions, across the years as well. So

that's a number that we have been working very closely and minutely to ensure that our working capital is within that acceptable limits. Capex has been fairly consistent in the last 5 years. We have been investing more and more to build capacity ahead of the demand, and we've been consistently

APAR Industries Limited
August 24, 2023

Page 60 of 93

spending the capex over the last 5 years. Debt -to-equity ratio has been low. We work on a very low debt-to-equity ratio. It's been consistently in the range of 0.2, 0.17 and it's come down as low as 0.14 in FY '23. This is on the consolidated cash flows. Again, here, you see the FY '23 numbers are very high because of the profitability being high. And as you see, the investment in working capital has been increasing. The movement in working capital has considerably been increasing. That's also in line with the business requirements. And we see an increase in cash flow. I think the last -- I think it's a n increase in cash flow instead of the decrease in cash, the brackets are a typo over there.

Very briefly, in terms of conductor. The big story is on premiumization of this portfolio as well as exports that's driving growth. We have the volume numbers you see on the bottom left side of the chart. One question that typically keeps on coming is that the volume growth is about 182,000 has come down to 160,000 in the last 5 years.

The main reason is that with premiumization happening in this portfolio and also because of a change in the product mix, the quantum of metric ton that is needed per kilometer has actually come down. And that is the reason that you see that the volume is almost flat or slightly lower. But what has happened is that the quality of the pr oduct is actually improved. And therefore, you see the EBITDA per metric ton is actually going up.

So if you see, the premium share on the second slide has been gradually increasing from FY '19 to FY '23. That's the reason of the volume growth not happenin g, but if you see the per unit profitability is increasing. The domestic export ratio has changed considerably. We were about 39 percentage exports in FY '19, has risen to about half of the conductor division in FY '23.

And strategically, we have been posi tioning the premium products largely around India and Asian markets, and the non -premium products has been there in the export market. This is the EBITDA trend. Clearly, you see the premiumization and

APAR Industries Limited
August 24, 2023

Page 61 of 93

the exports actually playing in FY '23 as you've seen i n the business presentation as well.

In terms of oil, also, if you see in terms of volume growth, it was about 430,000 KL in FY '19 and about 486,000 in '23. And here also post FY '19, strategically, the business has actually reduced volumes to customers w here we felt that the credit could be an issue. And therefore, we were actually -- we actually had to reduce the volumes in FY '20 and '21 to get -- to improve the quality of the customers.

And therefore, you see there's a drop in the volume. So like the s ame

story about

conductors, here also the quality of the customers has actually improved even in the oil business and has been steadily increasing from FY '21 onwards.

Our export mix in oil has also increased from 33 percentage to 45 percentage over the la st 5 years. EBITDA had a very strong EBITDA in FY '21 and '22 due to favorable oil prices, and FY '23 is about 4,800 per kl. It's more representative of a long -term average EBITDA that we see. Similarly, PAT trend has also moved high in FY '21 and '22 and it's been about INR85 crores in FY '23.

Cable. In terms of cable, the story is on the strategic expansion into export market as we saw in Shashi's presentation. It's gone up from 10 percentage in FY '19 to as a 50 percentage in FY '23. And you see the sale s going up and the export mix also going up because of that. During FY '23, we were the #1 exporter of cable and wires from India. And on the EBITDA trend, you see that the margin profile has gone also reach double digit, which is also there in pre -COVID t imes. But in

FY '20 -- '21 and '22, the number was low. Now with the products and better margins and product mix, we've gone back to the double-digit margin there. So that was in some very brief profile about APAR on a consolidated basis as well as three division things. Thank you.

Suyash Saraogi: Good afternoon. I'm Suyash Saraogi. So in addition to the designation that is mentioned here, I'm also the Chief Sustainability Officer for this company.

APAR Industries Limited
August 24, 2023

Page 62 of 93

So in companies where excellence in sustainability parameters is critical to getting business from customers and to be an integral part of the global supply chain. It is important that strategy is embedded in the way we work to remain sustainable. So these are the stakeholder demands on APAR. So our customers, they want eco-friendly products, they want lower embedded carbon, they want transparency, and they want ethical practices. Our regulators, they want compliance, they want to limit this GHG emissions, they want to improve the water consumption so that they don't give the consent to operate otherwise, they want circular economy, they want the EPR, that is extended producer responsibility. Employees, they want the inclusive work environment, work-life balance, wants to work with companies, which is an ESG leader.

Suppliers and partners, we expect them to transition to renewable energy, that we want them to adopt to energy-efficient practices so that the costs go down. Shareholders, they want long-term value creation, they want financial disclosure, climate risk management emission reduction targets and shareholder engagement. And local communities, they want local economic development that is business for them. They want water security, that we can't take too much water out of the area, and they want employment for the local youths.

So when we look at ESG, we have to look at all these stakeholders. So now based on that, we are working on all fronts, where we want to be transitioned to renewable energy, and I'll touch upon them in later slides, the climate risk management, water security and employment, we need to reduce our water consumption. We want low carbon products for customers, and we want an inclusive work-life balance -- inclusive work environment and work-life balance for our employees to attract the best -- and attract and retain the best talent.

Now how do we start when you look at sustainability? So we have a Board of Directors. The Board of Directors is basically having oversight on all the ESG initiatives. Every Board meeting these topics are discussed, debated. Then we have a Sustainability Steering Committee, which consists of leaders from the manufacturing and from the business divisions. We meet regularly where

APAR Industries Limited
August 24, 2023

Page 63 of 93

decisions are -- where progress is updated

, where decisions are taken, where there is some approvals to be taken as well as the most important thing, silos are broken. And there is transparency across all the three businesses about what's going on, what we need to do, sharing of best practices.

And then we have sustainability champions. There are 17 of them embedded in the factories, in the plants, where they work together, then talk to the reporting managers. They identify projects with their colleagues. They get the approvals from the reporting managers. They help in the execution and update us on the progress. So what we try to do is we try to make it absolutely inclusive, spreading across all the company.

There are 17 UN SDGs, that is UN Sustainable Development Goals. So as APAR, we are aligned to eight of them, and these are marked in green, which is basically good health and well-being; decent work for economic growth; industry innovation and infrastructure; sustainable cities and communities; responsible consumption and production; climate action; peace, justice and strong institutions; and partnerships for the goals. So these are the eight SDGs. Whatever we do, we align to these. And that is inherent in our strategy, in our operations and the way we -- in our future plans.

So this is a busy slide. I'll just quickly go through it. So carbon foot print is basically

the emission of GHG gases, which is a carbon dioxide actually. We measure everything in terms of carbon dioxide equivalent. So APAR in this operational boundary, that means all our plants, the warehouses, the offices. Last year, in the year '22, '23, we emitted 105,000 tons of carbon.

Now there are two parts to this, something called Scope 1 and Scope 2. Scope 1 is the fuel that we consume, the diesel, the furnace oil, the LPG, PNG, CNG, refrigerants, that's what we use. That was Scope 1. Scope 2 is the electricity that we take from the grid. So in India, what happens is that since most of the electricity is produced by coal, so there's an emission factor of 0.715 that means that for every megawatt hour of electricity that we take from the grid, there is a 715 kilograms of carbon emitted, so which we account for it as part of Scope 2. So

APAR Industries Limited

August 24, 2023

Page 64 of 93

you can see that our Scope 2 emissions are much higher because there's a lot of electrification within our company. The conductor business, of course, is the biggest user of energy. So this is what the numbers are.

Now we look at this -- I'll just go through how we are working. Now if you look at the first column, it's the oil business. The oil business, the emission went down from 6,860 tons to 3,197 tons in 3 years. The production went up from 384,000 kiloliters to 468,000 kiloliters. Therefore, the intensity per kiloliter -- intensity of carbon emitted per kiloliter went down from 0.018 to 0.007. And that's the key metric for us because our production is going up. We need to ensure that the energy intensity and the carbon intensity of our production goes down, which, of course, is very good for the balance sheet also.

Then we look at the cable business. The cable business went up -- the emission went up from 29,000 tons to 35,000 tons, which was accompanied by an increased production from 55,000 tons to 81,000 tons. And therefore, the intensity went down from 0.527 to 0.439.

In the conductor business. The conductor business, the production went up -- the emission went up from 56,000 tons to 65,000 tons. The production went up to from 222,000 tons to 270,000 tons. Now you might wonder that you have shown a presentation just before when they said that our production in conductor is 160,000 tons. And here, I'm showing is 270,000. It is because there's an alloy rod -- there's a wire rod that we made, conductor rod. That rod is double counted. And why we need to double count is to show the -- because sometimes we buy these rods, sometimes

we manufacture them, sometimes we do both. So we need to show the -- to show the comparison, we need to do this. Then of course, the intensity has gone down.

So this is what we are trying to do. So basically, we are working very hard to reduce the energy intensity. So we've been continuously working. We work -- we focus on electrification. We are trying to get renewable energy. And therefore, we have been able to do this. So this is an effort, which is there, all-encompassing across the company.

APAR Industries Limited

August 24, 2023

Page 65 of 93

So now how do we do that? We can't have a -- we have a very scientific approach. So what we do is we got energy audits done by reputed companies like DESL, that is Veolia, and TERI. So we got it done in our two plants in Silvassa, which are the biggest plants, that is in Rakholi and Atholi. We understood and they identified about 62 projects, which will save about 7,000 tons of carbon. 7,000 tons of carbon over 1 lakh tons is 7%.

It's very material. And therefore, we have started implementing them. 7 have already been implemented. The balance will get implemented within this year.

What happens is we save 7,000 tons, we save INR500 crores of opex every year -- INR5 crores of opex every year, and we have a payback of less than 2 years. So what's good for the environment is good for our business.

Now we are doing -- we have just completed our energy audit at Khatalwada, which is our biggest plant in -- for cables. As we speak, the projects are being compiled, the paybacks are being calculated, and we should be ready with it in the first week

of September. Then of course, we'll report up to the management for approvals, and then we will start work on that. So it's all very scientific. And what happens with this is that the plant -- the colleagues in the plants get very enthused by it. There's actually a very palpable sense of enthusiasm and it fosters inclusivity and it fosters of course, effectiveness.

So I mentioned about renewable energy. We've just commissioned our wind solar hybrid of 3.3 megawatt electric and wind and 2.8 megawatt solar for Gujarat. It's going to generate 15 million kilowatt hours in a year. And we have about 5.13 megawatt peak of solar already -- rooftop solar already installed. So we are working -- every year, we are improving our renewable energy posture. And that, of course, is 0 carbon. And it saves cost. For example, in case of the wind-solar hybrid, we save INR3 per kilowatt hour from the grid electricity.

So this is the status. So as we started this year, we were 4% renewable. We already are at 18% renewable with the commissioning of wind-solar hybrid and another 1.2 megawatt of Jharsuguda solar rooftop. And we are working on another turbine, and so we should get commissioned in the first quarter of next year. So we will

APAR Industries Limited

August 24, 2023

Page 66 of 93

reach 30,000 -- 30% renewable. Assuming electricity remains constant, to the extent that electricity demand goes up, it will reduce correspondingly. So this is one thing. Now we are working on -- this is basically -- we are also trying to now do interstate renewable. We are working on that. Hopefully, we should get something planned by next quarter. And then we can implement it in the year, '24, '25.

So I think this was touched upon earlier. So we basically ask for customer requirement, low carbon products are very critical. So the ACCC conductor and power NE, that is Natural Ester, things all mentioned earlier. So we are focused on this is just an example. So ultimately, everything has to go towards a low carbon. Water footprint. Water footprint is very critical because it directly impacts the communities where we are. It also is very important from a consent to operate at all our plants. And of course, it's -- so we had a 328,000 kilolitre footprint. That is a footprint we took -- wa

ter we took from natural resources. We have an intensity target of reducing it by 12% this year. By the way, I forgot for carbon, we have an intensity target of 10% this year. So we'll have a further reduction of 10% this year. For water, we have taken a 12% target this year. And every year, we will come up with a fresh target. The idea is that relentlessly we will keep on reducing it. So we are doing all these things.

So -- in Khatalwada, we've implemented a state-of-the-art water harvesting system. The process is mentioned in this chart. But intrinsically, what it means is that we do proper understanding of what the aquifers are under the factory -- under the ground. We know what is the water carrying capacity. And we then do rainwater harvesting to ensure that we utilize that capacity. Also, at the same time, we cannot afford any chance of any contamination in the groundwater. We expect that the year '24, '25, we will make Khatalwada water neutral. That will be the first plant and then other plants will follow. So this is our target.

In terms of social, employee engagement is the most important thing because it reflects the degree to which employees are emotionally connected and committed to APAR and to the role. And therefore, it improves their productivity and

APAR Industries Limited

August 24, 2023

Page 67 of 93

efficiency. So if you can look at the numbers, we have an outstanding 92% survey response rate. 81% of the employees in APAR are engaged, which is absolutely amazing. And -- and if you compare it with the industry averages, which is there at the bottom right of the slide, you can understand the impact that has had. So this is all because of the psychological safety that is there in the company, I experienced it, I've been here now for 3 years, and the way people connect to the greater objectives.

For corporate governance, the Board is committed in managing APAR in a transparent manner with the objective of maximizing long-term shareholder value.

So basically, all these things you know. So the composition of the board reflects the industry experience that APAR requires and it has an appropriate complement of qualified and independent directors.

Shareholders relations and interests are looked after by Share Transfer and Shareholders Grievance -Cum Stakeholders Relationship Committee. The number of shareholders increased from 35,000 to 72,000. There's an increased interest in APAR. And shareholder grievances have been very little, complaints, and they've been addressed promptly.

So this is what I want to also mention that CRISIL in May 2022, they released a report where they ranked 586 of the top Indian companies, that included Infosys, all the Tata companies, everybody. So APAR got a consolidated score of 59. And we came 148 among the 586 companies. Now I can -- believe me, since then, we've come such a long way that if this year, they do it, we'll be in the top 100 for sure, maybe top 75. And in the industrial segment, we came third out of the 48 companies -- 42 companies. And this is based on information they got from the public domain. There was no reference to us. We did not submit anything to them. So what it means? If you look at it, from environment, we got a score of 56, social were a bit lower than average, but then we've really improved -- it was more on the policies and the disclosures, which we fixed it. Internally, everything was good. It was just information was not available to them. And governance, there was never APAR Industries Limited

August 24, 2023

Page 68 of 93

a problem anyway. So this is what it is. So I think -- I hope they have another survey, and I hope that -- and I'm sure that we will do very well.

So what are the key milestones we have done? We have a TCFD report. We have -- the ESG rating has done by CRISIL, I mentioned earlier. DNV, we get all our carbon -- the carbon footprint that I mentioned

is all audited by DNV, which is the international body. CDP is the Carbon Disclosure Project, which is a global platform, where we submit our response to their questionnaire, so that is available to overseas investors and to overseas companies who might want to know about APAR.

So they get an absolutely tabulated comparative how we stand versus our peers. So we submit that. Last year, we got a rating of B. This the first time we submitted our -- we did our submission, and we got B, which was actually very good. We thought that we -- normally, companies get a D, D for Delhi. We got for B, B for Bombay.

EcoVadis is another platform, global platform, run out of Europe, where, again, a lot of social parameters, where we submit our response to them so that the investors can and customers can take data from there. Then wind-solar hybrid, I touched about. Now this year, we will start -- we have started doing our Scope 3. Scope 3 is the bigger one. It's where we start engaging with our value chain partners. We look at our -- look at the embedded carbon of the products that we buy. Now that's the big thing, which we are working on. We've already had webinars with our suppliers. We've taken 244 suppliers through our sustainability journey and got them to sign our supplier code of conduct and given them questionnaires. We've had eight webinars and 244 suppliers. And this year, we will continue with the work.

And then, of course, we have environment product footprint. So what happens is that certain companies in Europe, they want us to look at the embedded carbon from credit to get from the time the original aluminum was mined. So we have done for 4 products. It's there -- everything is there on our website.

APAR Industries Limited

August 24, 2023

Page 69 of 93

So we'll sum it up. So we are measuring and disclosing and reducing our carbon emissions, water footprint and reducing our waste reduction, the big thrust on renewable energy. We have partnered with leaders, then all the compliance requirements, including voluntary disclosure to CDP, EcoVadis, BRSR are up to date. CRISIL, I mentioned, we got a rating of B in CDP, which I mentioned. Customers are demanding and we are doing it.

And therefore, I would like to end by saying that please look at our sustainability report -- look at the sustainability section of our website. Everything is there. Our reports, TCFD, all the products, EPDs, our policies, everything is there in the sustainability section of the website. Please go through it.

And I'll end by saying that revenue growth is good, profitable growth is better.

Profitable growth that advances ESG priorities is best. Thank you.

Moderator : Good afternoon, everyone. I'll begin with a question -- set of questions we received on the Q&A link. So the first set of questions we received from Atul Bhole from DSP Mutual Fund.

The -- for the Cable division, what's APAR's market share in special covered wires, supply to transformer manufacturers? The second question is for the Conductor division. Details on the end-to-end turnkey projects, the nature of contracts, bidding our capabilities, customers margins and working capital requirements and as a percentage of total revenue.

And the last question for the Lubricants segment. How's APAR's lubricants are different from Servo or Castrol in B2B or B2C in the backdrop of conductors or cable business where company has created edge with product innovation, and market shares in the B2B and B2C segments.

Surya Shoban Babu: Yes, I'll answer regarding this copper CTC conductors. Actually, when we started in this segment, actually, a lot of government approvals and individual customer approvals were needed. So first few years, it has gone by for getting the major approvals. So now last year and this year onwards, our production capacities of now sales have picked up. So we are hoping that next -- this year and

next year,

APAR Industries Limited

August 24, 2023

Page 70 of 93

our market share is increasing. Right now, it is 20%. We are aiming to go to 30%, 35%.

Chaitanya Desai: Number of turnkey projects that we have done are over 100 so far already commissioned.

Ramesh Iyer: Pradeep, if you can just repeat the next question.

Moderator : Okay. So on the conductor, I think as far as already answered, but I still repeat.

The details on the end-to-end turnkey projects, the nature of contracts, bidding our capabilities, customers' margins and working capital requirements and as a percentage of total revenue.

Ramesh Iyer: Okay. I think in terms of percentage of total revenue, the turnkey EPC work that we do is about 10% to 12% of total conductor business. And yes, this part of the business is working capital heavy, because it is project-based. At the same time, we also get a milestone-based payment, so that actually eases the working capital number there. And in some cases, there are also retention money, that we get the payments after the close and after the successful completion of the project.

Chaitanya Desai: Niche of contracts or products that we are dealing with are HTLS and OPGW. And the bidding is based on prequalification requirements pass supply is successfully done. And also technical specifications, there are certain quality standards, which have to be met. And even if there is a party which bids for a job, but they are not able to be eligible for that technically, then they will be disqualified.

And the customers are now, not only the utilities like power grid and the private utilities who are taking the boot projects, but also the EPC players who are taking on various jobs for the solar and wind projects, and they have to connect to the grid. So these are some of the customer profile we have.

Moderator : We have another question. How's APAR'S lubricants are different from Servo or Castrol in the B2B or B2C, in the backdrop of conductors or cables businesses where the company has got created edge with the product in the innovation and the market shares in the B2B and the B2C.

APAR Industries Limited

August 24, 2023

Page 71 of 93

Sundar Subramanian: On the lubricant side of the business, some of the key initiatives that we have done to differentiate ourselves from some of the other leading players in the market, is specifically to work on solutions which are customer-centric and customer-specific. So just to give you a simple example, based on the agriculture side of the business,

which is the tractor business that we are talking about, where we've taken leadership positions. We've actually moved away from standardization of products, meeting global standards, API standards or any of the other European standards, to start tailor -making products very specific to their equipment and very specific to the OEMs.

So as a result, it's very difficult to benchmark your solution, your products with competition products. Thereby, you bring in uniqueness into your product. And so the stickability of that business over a long -term period is substantially very high. The reason why we took our exposures on agricultural sector is simply because the loop consumption for every 100 liters of fuel that you burn is probably one of the highest in the lubricant industry.

So a consumption pattern of lubricants to the overall fuel index is substantially higher in agriculture. And with these unique products specifically developed for a certain OEM or a certain application, the longevity of the business is substantially higher.

So if you look at some of our OEM clientele that we have developed, we've been working with them from 2009 in terms of Sonalika, Escorts, we've been working with them for first fill and aftermarket from 2014. We started to work with TAFE Eicher from as early as 2018 now. And we continue to run all these 3 OEMs with a ver

y advanced rate of share of business, and the businesses have aged for almost about 12, 13 years on a consistent basis year -on-year, and we've been growing our share of business. That's what we have done on the lubricant side of the business.

Now coming back very specifically to the industrial products that you're talking about. The focus is on demonstrating superiority at the user place. So the focus, APAR Industries Limited
August 24, 2023

Page 72 of 93

that's why is more on cutting fluids where you can differentiate your products by the application.

So we start to work on tool life productivity, the number of operations that you do per tool. Those kind of metrics that we develop, thereby you differentiate yourself from the cost reduction that you're delivering to consumers. And that, again, you consistently hold on to your share of business.

So ultimately, at the end of the day, this whole process is to look at customers very specifically and drive value back into that, value not on a per unit basis, but on an overall consumption basis on a year. So if you're so long as you are extending your product life, giving in better productivity, you still are able to get away by charging a premium over competition. But at the end of the day through productivity, we're able to deliver back value. That's the strategy we follow in lubricants, both on industrial as well as in automotive.

In automotive, we work on fuel efficiency as a key criteria for differentiating ourselves from all the competition products. So to give you indications on the question of shares that you've asked for, we clearly are far more better positioned on industrial. We almost work at almost close to about 6%, 7% market share is what I can talk on the industrial side of the business.

The automotive side is relatively lower if you compensate for what we have in positions of OEM. In a cumulative basis, we look at a 3% market share in the overall product category that we do, both B2C plus B2B put together, but our B2B shares are substantially close to almost about 1.5x that of the overall market share that you're looking at.

Moderator: Thank you very much sir. We have the next set of questions from Sachin Relekar from Bandhan AMC. This is for the Conductor division. What is the growth outlook for conductors in exports and domestic? What is the order book to execution cycle? How much is the current order book?

The next question, also provide some information about the working capital and sustainable profitability in the above. While you have given details about your APAR Industries Limited
August 24, 2023

Page 73 of 93

EBITDA to ton guidance, the opportunity as well on premiumization where we are

targeting, which should also result in an improvement in spreads. Can you share your thoughts on the same?

Ramesh Iyer: So our order book as it stands as of first quarter end is about INR5,300 crores.

About 45 percentage continues to be in the premium portfolio that we've been talking about, then close to 50 percentages on the export front. Sorry, Pradeep what was the first question?

Moderator : Sir what is the growth outlook...

Ramesh Iyer: So growth outlook, we are looking about 10 percentage volume growth happening. And last year, FY '23, we grew about 50 percentage. So on top of that, we expect the growth to be in the range of 10 percentage with premiumization and exports continuing in the years to come.

Chaitanya Desai: In terms of the order book execution cycle, typically, most of the contracts are supply contracts in our conductor division. And depending on the products, some of them are like cash and carry type products. Some of them are with the LCs also.

So as we dispatch, we get the proceeds for that.

There are some projects which are on a turnkey basis. As Mr. Ramesh Iyer had mentioned, those have the milestones. And typically, it is about 6 months project

timeframe that we get. But in this project work, we also have to sometimes get the outage, the downtime, so that we can replace the old conductor with the new one.

In the case of OPGW, we don't have to wait for the outage, because we have the expertise to do the lifeline OPGW installation.

Moderator : We have a follow-up question from Sachin Relekar on the Cables division. Cables business, as of now, have adequate capacity, but our growth aspiration seems conservative given the market share, which is quite low. So again, the second thing, which I think this is a more of a view, maybe, Sachin, if you wanted to elaborate a little bit more on that. And the E-beam technology, does it provide a competitive edge in terms of pricing advantage versus peers?

APAR Industries Limited

August 24, 2023

Page 74 of 93

So maybe the first question I'll repeat. Sachin is asking about that our growth aspirations seem to be very conservative on the cable.

Shashi Amin: Yes. We had planned initially that we would be growing at the rate of around 25% this financial year, because we had invested for a new plant last year. And fortunately, for us, we have commissioned that plant a head of our plan, and having 3, 4 months gone into putting up the plant.

I mentioned earlier the capacity utilization is 88%. In different case, I have to look at a growth I need to have capacity. So some of the machines have got commissioned, some of the machines are yet to be commissioned. Considering the capacity, we are envisaging a growth of about 25%. Even though if you look at the market share, what we have against the total turnover of about INR65,000 crores, we are at about 5%.

So that also keeping in mind the bottom line, the way market is being, the way competitors are being, we are a bit conservative as far as the numbers are concerned. Our primary focus going forward this year would be B2C products. We are putting in a lot of money in promoting the unique technology what we have of E-beam. You also asked about the price difference. Yes, this is a unique product. The compounds are different. There's a slightly expensive compound as compared to the normal PVC. And plus the entire process, the cost is involved. Currently, this product is about 7% to 7.5% more than the normal PVC products what we have. So we are also pushing with the MEP consultants. If you can look at using one size lower because this carries 50% more carrying. So it's a win-win situation for them and even for us also.

Moderator : Thank you sir. We have the next set of questions from Parin Gala from SageOne Investments. In reconductoring space, this is for the Conductor division. In the reconductoring space, what is the opportunity size that has come up? And to your best knowledge, how much of new transmission circuit kilometers can be laid in the next 5 years?

APAR Industries Limited

August 24, 2023

Page 75 of 93

Chaitanya Desai: We are estimating about INR2,000 crores, is the current market, and it is growing at a rate of 30% plus in the markets in India itself. Similarly, is the situation abroad. Some of the countries, as it was explained in the earlier presentation by Mr. Surya Babu, the U.S. market and some other markets are still on the conventional conductors, but they are slightly different from what we have been making earlier in India.

So these engineers in those countries also are getting the meetings and presentations to move to the premiumized type products and see the value proposition. So if that phenomenon happens, then it can totally change the entire world market towards the premium, like how it has happened in this part of the world also. In which case, the growth can be significant, much higher also for these premiumized products, which we are trying to push for. And as he explained in his presentation for the new conventional conductor -- new lines, transmission lines, it is about

ut -- I think you have mentioned.

Surya Shoban Babu: Yes, mainly the augmentation in India, we have a plan for 18,000 circuit kilometers. That may convert into a huge like almost 100,000 lakh to 120,000 metric tons requirement. So for next 5 years, it's clear visibility is there, in India, definitely.

But in export market as well. Like I told you in U.S., still they are 90% of the projects coming up with the conventional connector, but very rapidly changing in that part of the world as well. Also in Europe, I told you in Southern American countries, it is picking up very fast because it has got a premium margin and value proposition is there. So other part of the world, it is catching very fast.

Kushal Desai: So let me give you a totally different perspective on this, right? I know it's always nice to put numbers in buckets, which for this quarter, this year, etcetera. But I'll give you a number, which is just blow your mind. One of the number one think tank as far as business is concerned with research and etcetera, is Mackenzie. And so Mackenzie has issued a report on energy consumption and energy consumption patterns.

APAR Industries Limited

August 24, 2023

Page 76 of 93

So today, you see the electrical consumption out of total energy is running at around 20%. And that research report indicates that in 2050, that intensity will go from 20% to 40%. So there is a growth in energy consumption also happening as population and all the different GDPs are growing, etcetera, etcetera. But the mix is going to -- they are predicting it to change from 20% to 40%.

So it gives you an idea in terms of where this whole market is going to move. Now what are we trying to do over here, it's very difficult to predict exactly how much growth is going to happen in which segment? So the strategy, and I think what we've tried to convey to all of you all today is, that there are multiple levers of growth.

If you see, fundamentally, we look at APAR as a full 4-wheel drive company. You saw the 4-wheels. They are all capable of independently growing. There is no taking away -- there is no cannibalization or a zero-sum game. If the Cable business grows, it doesn't take away anything from the Telecom business. If the Telecom and Cable grows, it takes away nothing from the Conductor business. And if all of these things grow, the Transformer oil and the Lubricant business also runs on its own.

So the way we've structured ourselves for the next 10 years, is to make sure that each of these businesses is extremely well-manned and self-contained, and you provide resources to the -- obviously, there is a proper screening criteria to do resource allocation. But if the resources are provided to each of these, they can all independently grow. There is no cannibalization of growth happening from one to the other.

Secondly, as you can see, there are synergies in place. Like for example, I'll give you, I think one of the things that Sundar had mentioned in his tunnel boring machines. India has the largest population of tunnel boring machines running today, for 2 reasons. One is we have metro rails coming up and all like, for example, you take the entire Mumbai Metros, most of it is at 100 feet below sea level.

APAR Industries Limited

August 24, 2023

So we had multiple tunnel boring machines which we are running. So this tunnel boring machine requires a very specialized lubricant, because you're basically drilling through monolithic rock. In this case, it is 100 feet below the bed, because Mumbai is -- a lot of reclaimed land is there so you can't go at any other height. Now each of these tunnel boring machines has to be remotely powered. It's moving, it's drilling, right? So the end which is providing power to it, requires a very specialized cable that's running over a very rough surface, which has just drilled. So APAR is the only company that has n

ow developed.

So our lubricant guys developed the first relationship with the tunnel boring chaps to supply the lubricant. And now we have designed a specific cable that provides the power and data to the tunnel boring machines. And it's a consumable. It's such a rough terrain. Every few months, it needs to be changed.

So on one hand, you've got these businesses which are running independently and pursuing opportunities that each business has both do mestically and globally. On the other hand, we are trying to provide a platform, where this is continuous exchange that happens between sales teams, business leaders, etcetera, to see how we can synergize products.

Same thing in the data centers. You've got that Microsoft data center that Shashi spoke about, each data center about INR15 crores to INR20 crores of cables that go in electrical cables. On top of that, there are evacuation of data from the data center and data coming into the data center. So you 've got 10 fiber optic lines which are there, finally needs to connect to an OPGW circuit. So there are -- so there are a lot of these things which -- a lot of synergies which are in place. So whereas you can't put numbers in here, exactly how these things are going to pan out. You can't say when COVID was going to end or you couldn't say how many people are getting infected. But you know the trend which was happening.

So the whole idea that we have as a business is to make sure that we have, and that's why providing customer solutions are very, very important. Because the closer you are to the customer, the easier it is for you to pick up the trend, before

APAR Industries Limited

August 24, 2023

competition for putting products in there, which can actually make a meaningful difference in terms of their performance.

Like you said, for example, Sundar mentioned about tool life. So you can either sell the lubricant by the litre or you can sell a lubricant, which the customer starts evaluating in terms of how many tools they can produce using that sum . So the equation becomes a bit different. Even if your product is a bit costlier. Finally, they're looking at how many tools have been engineered, right, using that lubricant.

So as a company, we are trying to move more and more into that direction. So just, that number is a staggering number, 20% to 40%. And how it's going to grow, you see all the products which are out there, which are all going to be an integral part of this journey, of 20% to 40%. So I hope that gives some perspective.

Surya Shoban Babu: I wanted to add one important point regarding reconductoring business. If you see existing transmission line, these are old, age -old transmission lines has got transmission losses of 30%, in the tune of 30%. Whereas at global level, the transmission losses are at 17%. So now, Indian government has taken a target to reduce from 30% to 20% by 2030.

Currently, this year, we are at 27.5% of transmission losses. That means, if we generate 100 units at the generation, only 70 units is reaching to the custom er. So that means, 30% of the power generated is getting wasted in the transmission lines. So if you see 2022, the consumption of electricity in India is 1,486 billion units. That means 30% of 1486 billion is huge, billions of rupees, actually. So if you can reduce 1% or 2%, it's a huge saving.

So that is the reason, why Indian government has got a plan to modernize the existing transmission lines. So that is the reason why reconductoring business is going to grow, not only in India, across the world, because all old transmission lines are inefficient lines because of that lot of transmission losses are happening.

Moderator : Thank you so much. Thank you Kushal Bhai Amazing perspective. We have

the next set of questions from Maulik Patel from Equirus Securities. This is for the APAR Industries Limited
August 24, 2023

Page 79

of 93

Oil division, and for the Cable. For the oil, what has been the volume growth for different sub-segments, transformer, white oil, industrial oil within the PSU segment? And for the Cable division, the question is, in the Cable, what kind of margins would APAR be likely to achieve in the next three, four years from the current 11%?

Kushal Desai: So let me answer the first one. So in terms of the segments, which are there within the Oil division. So the transformer oil business, we've stated in all our earnings calls, etcetera, we can see clearly about a 7% -- anywhere in the 7% to 8% kind of growth. It was sub 5%, but because of all this getting added all over the world, that percentage is clearly growing.

Similarly, in some of the other segments, you take white oil, etcetera, we have approvals all over the place. So the volume is really not the criteria. What we've been using to gauge our business is, what are the margins that you're making? What is the risk that you're taking? And what is the collection cycle that you have available? And our focus has been more, not in terms of volume on white oils and all these segments, but more in terms of the application, like Rishabh spoke about. For example, hot melt adhesives. We worked on it for 10 years. We are only one of three companies now in the world. We've just got approvals in the last two years from Bostik, Henkel, Avery Dennison, H.B. Fuller. These are all world players in this handful of companies that actually control this hot melt adhesive business. So now we started in India, now we started expanding. We are supplying them in Europe, Egypt, Mexico, Turkey, Saudi Arabia.

So the idea is really that the volume for us is actually not the game. We can just buy market share, we can grow volumes if we want. The whole focus has to be really in this business and what we are focused on, is to see how we can increase the applications which can get us better retention in terms of margin. You focus on these niche places.

With GST coming into India, the lower-end products have become too competitive, because a lot of traders come in and just offer their products. And
APAR Industries Limited
August 24, 2023

Page 80 of 93

some of the manufacturers have improved their capability to be able to handle more flexible incoming specs. India is a make-shifter country. So to reduce costs, people are ready to do all kinds of things. And that's one of the reasons, why we are focusing on the overseas business as well as applications which require much more understanding of oil chemistry and application chemistry. In terms of the cable side...

Shashi Amin: I think what you said applies to cable, too. So I don't think I have got much to add on it. We are focusing on some niche products, where the margins would be better. And we are looking at providing solutions to the customers. So we are not into this price war games currently. So hopefully, we will be where we are at this point of time. As regards, margins are concerned, slight improvements would be there.

Moderator : Thank you so much, sir. We have the next set of questions from Riya Mehta from Aequitas. This for the conductor division and the cable. In the conductors, where is the competition increasing from? Will we have to undercut or increasing our market share in the US? And with the cables, what kind of increase in marketing budgets are we looking for? Since we are about to get approval for medium-range voltage cables, what kind of market are we seeing for this?

Chaitanya Desai: On the conductor side, prior to the TBCB product, which was earlier being used ACSR. There used to be about 33 players, who are approved by the Power Grid, who is the main TBCB party. Now with the change in the product, which is the AL-59, there are about four players. There may be one or two more on the anvil, but again, they are much smaller players.

In terms

of the US and other markets, China used to be well entrenched in US market. And we used to knock on the doors and we used to get very small market share earlier on. Since the earlier President and now continued with the current President of the US, the policies have remained same, where they have increased the duties, very high for the Chinese product. And that's how they got us in very quickly, we were already in that market, but we were in a small way. But once this

APAR Industries Limited
August 24, 2023

Page 81 of 93

whole situation changed then, as we talked about this China Plus One, that gave us a big jump in the conductor business for certain markets. In other markets, where we were having a disadvantage versus China because for example, in Australia, there used to be a 4% duty on Indian product like other parts of the world, but China and Australia had the FTA. And then subsequently, India also got an FTA done with Australia. So we are now at the equal basis. Generally, in the export markets, we are able to outsell the Chinese on the conductor side.

Shashi Amin: Can you just repeat the question? Sorry, this is for the cables?

Moderator : For the Cable, what kind of increase of marketing budgets are we looking at for? And since we are about to get approval for the medium -range voltage cables, what kind of market are we seeing for this?

Shashi Amin: See, as per marketing spend was concerned, we were to spend some amount last financial year, but we couldn't do it because our products were not well -placed. We were there only in two states, and currently, we are present in 19 states. So as I said, first, ATL advertisement will start in Asia Cup. Subsequently, we want to be present in the news medium and probably, we will do these Women's Premier League. I'm looking at -- if I look at the total budget of my complete cable business, it could be somewhere around 1.5% to 2%. And if I'm looking at only my B2C product, our LDC product, it could be around 6% to 7%.

And second question regarding the medium voltage cables are concerned as far as US is there, it may take some time, even though I would be having the UL approval in two months' time. Getting our products certified at the customer's level, their visit to the plant. It's not that as -- once I have a UL approval, my order flow would be there. It may take some time, maybe in Q4 onwards, we would expect that kind of business.

In US alone, there are more than 3,000 plus utilities, who would necessarily be needing this medium -voltage cables. So there is a clear -cut business plan. There's a clear -cut strategy. How we're going to attack this market as far as US is

APAR Industries Limited
August 24, 2023

Page 82 of 93

concerned. I'm sure next year onwards, we will have a major share, which I could speak about. Currently, it's hardly anything.

Moderator : Thank you very much, sir. We have the next set of questions from Amit Anwani from Prabhudas Lilladher. This is for the conductor division. I'm limiting the questions to three per person, and we'll see if we have some more time.

Ramesh Iyer : May I suggest you just ask one at a time, we will answer that then you go to the next one...

Moderator : Sure. Okay. So this is one question only for the conductor division, if you would be comfortable. What are the premium products contribution opportunity for the conductor division for the next five years and for the domestic as well as the international market? That's one. And how would you see the contribution coming from the US, Europe market for -- and the opportunity for us in the next five years? And how is the addressable market for the domestic reconductoring market? And are we looking for reconductoring opportunities in the other emerging markets? You just mentioned. So what are the premium products contribution opportunity in the next five years in the conductor for domestic a

nd the international markets?

Chaitanya Desai: So as we explained earlier, about 45% of the order book is the premium products, currently. And also in the rest of the markets, rest of the percentage, we have a fair amount, which is in the export markets, which are the premium markets, even if they are not premium products.

Ramesh Iyer: Yes. And as Shoban Babu was saying that as -- there's a lot more from the

globalization point of view. Still, it's more the non -premium products. But as you see premium products going there, the market is -- will be increased. So we don't have a number as such, exactly as of now, but we are able to visualize the trend over the next five years to 10 years going forward or so.

Moderator : So would you like to share some details on the contribution coming from US, European market as an opportunity prospect for the next five years, in particular, for the conductor division?

APAR Industries Limited

August 24, 2023

Page 83 of 93

Chaitanya Desai: So for the US and European and I would club also some of the other markets like Australia and Latin America, because these are like almost one segment in that sense. There is a fair amount of growth there. There was last year, a frenzy because of the supply -demand problem and supply chain disruptions. So they were hoarding a lot of material. Now they are destocking all that. But over a period of time, we think about 40% of our business may come from these different countries.

Moderator : One last question. How much is the addressable TAM, which is Total Addressable Market size for the domestic reconductoring market? And are we looking for reconductoring opportunities in the other emerging markets?

Chaitanya Desai: Outside India, we are doing mostly the sales, that means outside the subcontinent, rather than taking on the EPC reconductoring job as a whole, currently. And over a period of time, we will also -- once our confidence level builds up, that we can take on work outside India because there it needs a whole different ecosystem to manage. So we'll take it up gradually. Right now, we are not doing that.

Moderator : Thank you so much, sir. We have the next set of questions from Gaurav from Axis Mutual Fund. This is for all the divisions related to exports. Can you please share your outlook on the growth in the export market? If that is repeated, but can you please share your outlook for the growth in the export markets? And how the same has evolved for the last few years? And is there any possibility of competition heating up, pushing down the margins in exports in particular, in a year or two?

Kushal Desai: So some of the key drivers which are that we put up six key drivers. So some of them, like renewable energy, the transportation networks changing. These are themes which are -- infrastructure growth in India is more than in most other countries. What this renewable energy theme is actually going to be a universal theme. So a lot of stuff will happen there around cable conductor and even transformer oil as we showed in that value chain.

Our expectation is that, our export will always remain a significant portion of our business. And I mentioned earlier also in some of the earnings calls, it's easier for us to start selling premium products in the Indian market, because you have to do

APAR Industries Limited

August 24, 2023

Page 84 of 93

a full solution sale. So there's a lot of time invested in working with specifiers, utilities, regulators, all that to move from one format to another format. Also, we are able to prove it here because we do the job end -to-end. There's a lot of scepticism around it. Can you really deliver these savings? Can you really do all this? So unless and until you prove pilots over here and prove that, whatever you had committed in the beginning, when you got the order, you were able to actually deliver that at the end. So these

cycles take some amount of time.

So we've not ventured into that overseas yet because you want to build enough internal expertise and credibility to be able to go overseas on that. The opportunities in India on the standard products, clearly the export markets are definitely more premium because of the way in which the evaluation is done. We mentioned that a few times from that perspective.

But otherwise, the basic transformer oil products, the conductor products and cable products, where the market overseas is just -- it's significantly bigger than the Indian market. So that opportunity is very much there, and we'll continue to focus on it and grow that segment.

Moderator : Thank you so much, sir. We have the next set of questions from Nemish Shah from Emkay Investment Managers. And this for the telecom division. What is the current revenue base? And what kind of revenue potential are we looking at? And what

will be the margins in this business? And what are the investments we are making for this business specifically?

Girish Gupta: So as far as current revenue is concerned from this business, it's around INR200 crores, what we do in this business. And the plans for us to next three years is to ramp up this business from INR500 crores to INR1,000 crores. That's where we see this business growing. And as far as margins are concerned, you can say telecom is a little higher segment, and it's a solution-based business where we are entering in.

APAR Industries Limited

August 24, 2023

Page 85 of 93

The approach is more of a customized and innovative solutions towards the market.

So we see our EBITDA margins in the range of 23%, 25% range, that's where we see our EBITDA margins in that business.

Moderator : Thank you so much, sir. We have the next set of questions from Rishabh Kothari from Investec. This is for the cable division. Where would you like to see yourself to position -- Where would you like to position yourself in terms of pricing as compared to peers, such as Polycab and Havells in foray, in retail wires and cables? And what are the three key entry barriers for exports of wires and cables from India to the US and the other markets?

Shashi Amin: See, as far as pricing is concerned, yes, it's very competitive. As mentioned earlier, we are focusing on the niche product and special product, where we can create a place for ourselves and where the margins are better. Earlier, when we started the business, yes, we are in the price war. Currently, we want to move out of that and provide solutions to the customer.

And many a times, we are not there in the rat race as far as the price is concerned. But depending upon the customer, depending upon the strategy, depending upon the long-term goal, probably we may be very selective in being competitive as far as those markets are concerned. And as regards international business is concerned, what was the second question, can you please?

Moderator : What are the three entry barriers for exports of wires?

Shashi Amin: See, entry barrier, if you look at earlier, it used to be China who are very competitive. The last few years, that competition has reduced. If at all, anybody wants to export to countries like US, you need to have a UL approval that is mandatory, and at the same time, there will be an approval process of the end customers, too.

And if you look at Europe, Germany would have its own approval process. France would have its own approval process. So getting approvals in Europe also is mandatory. Like you need to have your product certification from KEMA, you need to have your product certification for cable as per VDE specification. You need to

APAR Industries Limited

August 24, 2023

Page 86 of 93

have product certification as per EN specification. This is not that easy for anyone to get in. So that is the most important barrier to enter into that market.

When I spoke

about Australia, fire survival cables, 1050 degrees centigrade. It is not everybody's cup of tea to manufacture and get approval from an Australian body. So this is one of the most, say, barrier for getting into the export market. And we are very much into it at this point of time.

Kushal Desai: So I can just add to what Shashi has said, partly that question was how are we pricing our wires compared to Polycab and Havells, etcetera. So we are in the similar sort of price bracket, depending on how strong a company is in a particular market. So it's not that Polycab has a uniform price across the country. They have different price points, depending upon how strong they are in an entrenched market. So we are not higher than them. We are somewhere in that 5% bracket. But the product that we offer is significantly superior.

So our whole idea here is to try to demo, get as far as possible to decision makers and electricians and electrical contractors, who can swing the customer through a proper discussion and a demo. And what we find is that -- like in Kerala, we've had tremendous success because it's a Bungalow market. You see most of the houses are stand-alone.

So when someone is building their own house or their own bungalow, it's a very large portion of their income. So they get much more involved in everything that's purchased there. Moment they see the demo. If you see the demo when you're renovating your house, I can guarantee you will buy an Anushakti wire over any other wire. Because it's so apparent, it's such a simple demo. Two wires running in parallel crank up the current, you can see when the insulation melts off on one and when it starts smoking and what happens to the other wire. As simple as that. So what we are trying to do here is to just popularize this in terms of its brand, safety, etcetera. And we are finding that as long as the price is within the same bracket as these guys, there's still enough margin for us to take home and reinvest in growing the brand.

APAR Industries Limited

August 24, 2023

Page 87 of 93

As far as entry barriers for export, we are talking about house wires to be exported, very difficult to export it to America or any of these countries. Because it's a relatively simpler product to make. It's just a one single insulation on top of standard conductor or a solid conductor as the case may be.

So when you have the freight and you have all the distribution costs and all that. So our strategy has been to get in to more complex products when you have to export, because we have a lot of machinery and a lot of flexibility to customize. So wherever your polymer is a bit different, like what Shashi mentioned here, 1050 degrees, there are hardly few companies that actually get into that high temperature sort of polymers.

There are some other products which we supply which are quite complex. Girish mentioned about hybrid products. You need to actually produce copper and fiber optic in the same plant to be able to produce a hybrid product. There aren't too many people who do that necessarily in the world. There are some huge fiber players, and there are some huge copper players. Our Khatalwada plant happens to be one where you do both in the same plant.

So when you get into complexity of manufacture in places like the US, Europe, etcetera, these are a little bit more manually-oriented, because you just don't necessarily have dedicated equipment. You have to run it on multiple equipments to be able to achieve these things. So that's where it's easier for you, if you have the technology, the design, etcetera, you can come up with a good cost arbitrage or a good cost benefit. I hope that answers.

Moderator : Yes. So with the time constraint, I'll just take two sets of questions. One set of question from Himesh Satra from Purnartha PMS. This was the conductor division. Given that we are running at a peak capacity in the

conductors, and the new

capacity will take another 12 to 18 months to come, what is our outlook for

conductors beyond FY '24?

Chaitanya Desai: It's not going to take so long for us to expand, and we have already ordered out new equipment. So we'll be in the process to cater to that increased demand. And

APAR Industries Limited

August 24, 2023

Page 88 of 93

what we are doing now is also adding on a few more sites, Green field sites, where we'll be putting up new equipments and also having the additional facility to add on more machines as the demand grows gradually for us. So this has been our strategy.

Kushal Desai: A lot of the Investments already INR400 crores -odd, as Ramesh mentioned, about INR400 crores -odd is the capex that has been planned, that capex cycle is already underway. As Chaitanya mentioned various purchase orders have been placed, etcetera, because the delivery time for equipment has increased compared to what was in 2019, etcetera.

So this entire INR400 crore s capex will be completed in the next year 2024. You'll have all of it going in. It consists also for the cable side, a 42 -acre Greenfield property, which is between Umbergaon and Khatalwada. So it's in that same vicinity but it's a Greenfield site because our existing sites are pretty much getting maxed out on the cable side.

On the conductor side, they've expanded by buying property in that whole Silvassa

area. And some of it is actually bought in auctions from banks and stuff. You already have the land and building shed in place. So these expansions will keep on coming in as the requirement is there.

A significant portion of the cable conductor expansion or capex is also going into rod making and alloy making capability. Because that's the key to be able to meet all these special requirements which are there. The moment you get into high temperature, high efficiency it's all alloy based. Moment you get into the US market, 8,000 series.

So there are various alloy requirements which are there. And by expanding at the back end, by increasing our capability of producing rods, and it can cater to both the conductor and the cable business. The conductor business supplies the rods to both the businesses.

In fact, one of the areas where somebody asked what is the competitive advantage that we have. Two things in there, right? One is the conductor in the other end,

APAR Industries Limited

August 24, 2023

Page 89 of 93

what is the cable at the end, the conductor in the middle with an insulation outside and in various ways, shapes and forms.

The advantage which we have is that in conductor making, the metallurgy is a very important aspect. If you -- moment you move away from a pure aluminum. Pure aluminum, you can specify what quality you want from Hindalco from Nalco or from Vedanta, any of these guys and just get it.

Moment you get into alloying, it means you have to mix something in there. And then it requires a metal treatment to take place for it to get homogenized and aligned. And then you've got different requirements of drawing, stranding, etcetera. And at the end of all those processes, you need to meet certain criteria, like a breaking load, a certain amount of conductivity, those sort of things.

So the big advantage which we have is that since we do our own alloy manufacturing, right? We don't look at it as just somebody who's just selling an alloy meeting certain specifications. We go back from what those characteristics are for a client, and then work our process back to tweak the method in which we do the alloying. There's a big difference.

We don't -- there is no handover from APAR that happens. You buy a pure aluminum and you deliver a finished cable, versus if you were to buy a rod from Hindalco or from anybody else, they just make the rod and hand it over, and then somebody else has to then work. So in our case, there is no handover process.

It

actually runs within the company, end-to-end.

And we have capability of doing compounding. We have major compounding facilities for, especially the Elasto business is driven with compounding. In the case of UL, again, we have compounding capabilities. The compounds are far more complex than the same cable being sold in India. And I must say that, the system that is followed, many of you are familiar with the pharmaceutical industry.

So there, you get an FDA approval and the process that runs is that FDA comes in and does a plant inspection. But besides that, they just pull out a product from APAR Industries Limited

August 24, 2023

Page 90 of 93

anywhere, any shelf and get it tested. And if you fail, then your license is on suspension.

So the same thing is there in the UL, in the sense that they can draw every meter of your product has your UL number printed on it. So they know exactly -- and it's a unique number. So know exactly whose approval they have given. They just draw the product random. You have no idea where they're drawing it. It can get tested. And if it fails then your license is suspended for that particular product.

Moderator : Thank you so much sir. So we have a last set of questions from Rahul Modi from Nippon Mutual Fund. And after this question, I will ask you to have the closing remarks. So this question, and we can take up the other questions offline. This is for the conductor and the cable division, both.

What is the target capacity expansion across conductors and cables, we are operating? Are we operating more than 80% in both? The kind of revenue growth

in the next three to four years in both the segments and capex in rupee terms in the capacity is with location for the growth, for both the divisions?

Ramesh Iyer: Yes. So we have been guiding this INR400 crores of capex. And the way we plan our capex is that we invest ahead of time to take care of the requirements. Right now, as you also saw in the presentation, we are about 85% to 90% capacity utilization. And we are almost there for this part of the year.

And capex is something that happens continuously. Even if you had seen it in my slide over the last five years, we have been investing in capex ahead of the time to look for the capacity for the next financial year. So that's what we feel on the capex. I hope I've answered the question.

Moderator : Yes. For both the divisions?

Ramesh Iyer: Yes. This is for all the divisions.

Chaitanya Desai: Expansions are mostly happening in and around the existing places only, as opposed to totally new sites or different states.

APAR Industries Limited

August 24, 2023

Page 91 of 93

Kushal Desai: Greenfield is closed.

Chaitanya Desai: Yes. So conductor is mostly in Silvassa and the cable is mostly in South Gujarat.

Moderator : So concluding remarks...

Kushal Desai: Well, first of all, thank you very much for taking out the time. I know these are part of trading hours, and there's always that -- and these are volatile time every day, something rupee is going up, something or the other is happening.

But I just wanted to mention that, a couple of cultural things, because what differentiates one company from another is really the culture of a company. And the culture of a company is really the collective behaviour of its business leaders. And technology can be copied, products can be copied, etcetera, but culture is very difficult to copy.

And so we've tried to build a culture in here where you're very close to the customer, you're very focused on delivering meaningful solutions. We don't want to have fancy presentations which don't tell you what is being done. We were walking the talk, more transparency you have in terms of strategy and where we are going is playing a very important role.

We try to maximize a very simple equation, which is better, faster, cheaper and now greener. So whatever we do,

fundamentally, we want to focus on making sure that you make the best quality product. It's delivered to the customer on time. And you have the right cost position. And there's a difference between being the cheapest and being competitive. So we target being competitive.

And what Suyash mentioned here when he presented is that this whole ESG thing it's taking off first in overseas markets where today, in some of the tenders, which we fill in, they want this full breakup. And they want to know where you're getting it from. That's why this whole scientific process tend to have a business leader who is at the top level, driving this whole initiative. It is a much bigger deal than we ever thought.

APAR Industries Limited

August 24, 2023

Page 92 of 93

We got into this journey in 2021 -- 2020 actually. Saying that, one fine day, this is going to become important because we've just been pulling out from the earth and from nature too much more than we should. It's not sustainable. So we started this journey and we got all these champions and things like that. And then lo and behold from '21 onwards, companies and utilities started asking us for all this data. And fortunately, because we had started early on the journey, because we had made very significant commitments to pursue this. It has actually helped us in growing in the overseas markets. Yes, Shashi mentioned names of some big utilities where we are the only Indian player that's been selected. The first screener that they had was on ESG. They don't want to see what capacity you have, what -- if you didn't have something that was moving in that direction, you weren't called for the RFQ. And some of the RFQs are really big.

I mean they're running into thousands of crores. Not that we will get all of that business, we may get a small portion of it. But it's just giving an indication of the

way in which the world is moving. And so the biggest advantage that -- or the biggest competitive advantage that you're trying to build in the company, is first to make sure that, all the businesses are addressing growing markets, number one. Number two is that, we do have a competitive advantage in terms of servicing that market.

Number three, if you are very close to your customers, these markets are all changing. You come early in the game in terms of understanding what are the products, what are the solutions that they're looking for. And number four is optimizing that equation, because without optimizing the equation, nobody in this world is ready to pay you any premium, not for engineering products. It can only be linked in to performance or the greenness criteria that is -- that it is discovering or being met.

And finally, as I said, just to summarize that the quote that I picked up from the Mackenzie study, as this world is going electric, the energy needs are going to be met through electricity. If you see the renewable energy, which is there, the cost position is not a problem. The world has to work on a formula by which or a system

APAR Industries Limited

August 24, 2023

Page 93 of 93

by which is available 24x7, and there's no problem in terms of the unit price of generation.

Suyash just mentioned in your after paying all the government charges, wheeling charges, everything. We are locked in for this 3 megawatts and 1.8 megawatts about over 5 megawatts of renewable energy for the next 25 years, it's fixed. So it's irrespective of the inflation, right? It's -- everything is fixed other than whatever taxes the government may charge for wheeling.

So affordability is not an issue, that's already in place. The question here is, how are you going to deliver it 24x7. And there's a whole lot of things happening in that area, which is going to make it more and more sustainable, as the main source of power.

So some of these projections, which are there, even though if the timelines get extended b

y a few years, because the numbers are very ambitious, whether it's India's number or the US number or European number. Australia is one country that is probably going to hit those numbers, because they have really been investing more than any country that I have seen on a per capita basis.

But even if it gets pushed out by a few years, all of this is going to happen, whether it is on the power side, on the transportation side, on the communication side, etcetera. And so we see this long runway in there. There will be competitors that come in. The -- in India, as all of you know, moment a market is there and somebody sees some margin, people jump into it. But we believe the easiest thing to do is to set up a factory. The more difficult thing is to start the factory and the most difficult thing is to keep that factory running efficiently 10 years after it has started.

So that's about it. I don't know, whether Chaitanya, you would like to say anything, but thank you so much for being here and even during lunch, if you have any other questions or queries, we'll be around. Thank you so much.

Call: Aug 2023

SEC/04 08/2023 E-FILING August 04, 2023

National Stock Exchange of India Limited
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department
BSE Limited
Corporate Relations Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Investors Conference call on Un-audited Financial Results
(Standalone & Consolidated) for Q1 -FY24

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable
Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as
amended from time to time

Dear Sir /Madam,

Kindly refer to our letter no. SEC/ 3107/2023 dated July 31, 2023 w.r.t. submission of link of Audio
Recording of Investors Conference Call on Un-audited Financial Results (Standalone & Consolidated)
for Q1 -FY24 .

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith
the transcript of the Investors Conference Call on the Un-audited Financial Results (Standalone &
Consolidated) of the Company for the First Quarter and Three Months ' period ended June 30, 2023
made on July 31, 2023.

The afore said transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

Sanjaya Kunder
(Company Secretary)

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India
+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India
+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

Page 1 of 33

"APAR Industries Limited

Q1 FY '24 Earnings Conference Call "

July 31 , 2023

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING DIRECTOR – APAR INDUSTRIES LIMITED

MR. CHAITANYA DESAI – MANAGING DIRECTOR – APAR INDUSTRIES LIMITED

MR. RAMESH IYER – CHIEF FINANCIAL OFFICER – APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

APAR Industries Limited

July 31 , 2023

Page 2 of 33

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '24 Earnings Conference Call of Apar Industries Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies . Thank you, and over to you, sir.

Ambesh Tiwari: Good afternoon, everyone. This is Ambesh Tiwari from S -Ancial Technologies. I welcome you all to the Q1 FY '24 earnings call for Apar Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer.

I will now pass on to Mr. Kushal Desai, for opening remarks. Thank you, and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone, and welcome to Apar Industries Q1 FY '24 Earnings Call. Let me begin by giving you an overview of our performance. And then I'll follow that up with a short industry update. Post that, we can get into more detailed segmental performance of the three businesses.

So, during Q1 FY '24, the consolidated revenue came in at INR3,773 crores, which is 22% above the same period previous year. We witnessed an overall volume growth across all our three divisions, both in the domestic market as well as overseas. Our exports grew by 53% year -on-

year and coincidentally contributes to 53% of the overall revenue of the company compared to 42% from a year ago.

The EBITDA is higher by 54% at INR369 crores at a margin of 9.8%. Profit after tax came in at INR197 crores, which is 61% higher than in the same period previous year, and is at 5.2% versus 4% in the year ago period. In terms of some industry highlights, according to the Central Electricity Authority, the data that they published on their website. India has added 14,625 circuit kilometers of transmission line in FY '23. In the first quarter of FY '24, further 2,796 circuit kilometers of transmission lines were added. By FY '24-'25, a total of 28,700 circuit kilometers of transmission lines are expected to be added, making a total reach of about 4.5 lakh circuit kilometers.

This expansion initiative is part of the Prime Minister's Gati Shakti Master Plan, which aims to enhance and strengthen India's power transmission infrastructure. A record high investment of INR75,500 crores approximately of transmission line projects has been approved by the center. And these will be awarded under the competitive bidding route. These projects are basically expected to connect the renewable energy zone that are being set up in Gujarat, Rajasthan, Maharashtra and hydropower projects in Himachal Pradesh. The Ministry of New and Renewable Energy has a target of awarding 50 gigawatts per annum of renewable energy capacity, including 10 gigawatts per annum from wind energy between the years 2024 and 2028.

Our belief is that even a portion of these aggressive plans get executed, the demand for conductors, cables and transformer oil will all remain strong.

APAR Industries Limited
July 31 , 2023

Coming to the more specific individual business highlights, the Conductor business revenue in the first quarter '24 grew by 15% year-on-year to reach INR1,775 crores with a volume growth of 27%. The export revenue grew by 58% year-on-year, contributing towards 57% of the division's revenues. The premium product basket contributed to 42% of the revenue mix. The EBITDA per metric ton post forex

adjustment came in at INR38,740 per ton.

Overall, our order book remains reasonably robust at INR5,356 crores. The conventional ACSR conductor in the tariff-based competitive bidding for the domestic market has now been upgraded to an AL59, which is a high-efficiency conductor. So, this is a very positive development for the country as there are significant advantages of using the AL59 conductor type over ACSR and is representative of the premiumization direction that the country is doing in.

We are also seeing a gradual shift worldwide to an increased usage of specialized/ACCC-type conductors as customers are building more robust and higher capacity transmission system to evacuate power, especially from the renewable power sources.

Coming to the performance of the Oil division. In the first quarter of FY '24, revenues came in at INR1,198 crores, which is up 13% year-on-year. The volume growth was also 13% in the quarter. And this has been an all-time high volume sales for the first quarter of any year. Exports contributed to approximately 50% of revenues. The EBITDA post forex adjustments came in at INR6,035 per KL, which is lower than last year due to a higher base in the last year of Q1 but is in line with the guidance which we have been giving.

APAR Industries Limited
July 31 , 2023

The lubricants revenue came in at INR241 crores with a volume of about 17,500 kilolitres. We expect that transformer oil and industrial oil, which saw increased demand in the quarter, will continue to show increase through the rest of the year. The retail automotive and the agricultural lubricants demand was a bit subdued in the first quarter.

Coming to our cable business. The cable business revenues grew by 52% in the first quarter to reach INR967 crores, with an increase coming from our elastomeric products as well as our exports. Our exports contributed towards 52% of sales in Q1 versus 43% a year ago. The EBITDA margin post forex came in at INR110 crores, which is 11.4% of revenues, up by 3.8% compared to the previous period. All the sub-verticals within the cable business have shown positive growth, including our B2C part of the business, which is the Anushakti house wires.

So, in conclusion, I'd like to say that we had a positive start to FY '24 with volume-led growth across all divisions. However, in the short-term, we expect a bit of a slowdown in the export markets as there is a clear sign and signal of de-inventorization of excess inventories, especially in the United States and to some extent in Europe.

Warehouses of many customers are full and they are reducing inventory, considering that the supply chains have normalized, and there is no need to hold higher inventory levels to compensate for uncertainty in deliveries, which are now available with significantly reduced lead time and with a much higher level of predictability along the delivery supply chain.

There is also some effect of the higher interest rates, which has increased the carrying cost of inventory, and that is also partly contributing towards this effect. There are also some large projects, especially in the United States, that could be pushed back to allow for the widespread expectation

APAR Industries Limited

July 31, 2023

of interest rates to come off in the next 12 to 18 months, thereby allowing the total cost of the project to reduce for some of the developers.

However, our discussions with various EPC players, customers and asset developers indicates that even if there is some delay, the building of these renewable energy projects, transmission lines and other infrastructure are all on stream and will happen. This could consequently affect demand in the short term, especially in the U.S. market. However, the domestic Indian market remains very robust.

And as mentioned in my opening remarks, there are several projects which

have been built and will be under execution. We continue to be focused on the long-term prospects of the company and remain committed to not only service the domestic market, but also increase actively our global customer presence, thereby creating what we believe would be the best value for our stakeholders.

We have a very detailed corporate presentation that has been uploaded on the company's website. And I would encourage all of you to please look at the same as it carries much more information than what is possible to put forth in these opening remarks.

So, with this, I'd like to come to the end of my comments. I thank all of you for joining our call today. And with this, could we open up the floor to questions, please.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Ankur Jain from Future Investments Private Limited.

Ankur Jain: So, I have a question with respect to the Polymer division. So, recently, you mentioned in your annual report that the product APARPRENE was

APAR Industries Limited

July 31, 2023

approved by Hasbro, the world's largest Toy company. So, what is the revenue potential do you see in this business and the overall growth in the Polymer division? That is my first question.

And second question is in respect to the cable B2C business that we have. We are kind of late entrants in this business. And now we have around 2,000 retail touch points as compared to a competitor like Polycab who has 2.5 lakhs touch point. So, wanted to know like what is the way forward for this business? And like, how our products are better than competition in terms of quality and price?

Chaitanya Desai: So, for the first question, Polymer business is relatively small compared to the other 3 businesses. And our recent approval with Hasbro will also open up doors for other toy companies everywhere in the world. And we see this business growing. The polymer business currently is about INR100 crores revenue per annum. And over a period of time, with these approvals, we hope to get to INR200 crores to INR300 crores. We are making certain investments also in this polymer business, which is quite synergistic to our cable business.

Kushal De sai: And your second question was with respect to the B2C side. So yes, we are late entrants, but as we've mentioned before, we have a very unique product. Our distributor network is constantly growing. Our retail presence is growing. And our whole focus has really been on educating electricians, contractors and specifiers. So, the level of demos and leads that we have in the first quarter is about 60% of the -- 50% to 60% of the leads that we've had in the entire last year.

So, it's a gradual process of building brick -by-brick. And we don't want to buy a business. We want to grow the business organically and in a systematic manner because the product is a premium product. But if you

APAR Industries Limited

July 31 , 202 3

Page 8 of 33

see the growth trajectory, it has been very steady and we expect it to continue over the next few years. So, besides the Anushakti wires, we are also selling through our distribution network, a whole range of light -duty cables, but Anushakti is our flagship product.

Ankur Jain: So, what's like -- aspiration we have in this business in let's say like prices down the line?

Kushal Desai: So, I mean, I think I've mentioned in some of the previous calls that we can see clear visibility of getting to about INR500 crores in FY '26. So, the business has been growing. Right now, it's been almost increasing 50% to 70% a year. As the base number grows, the percentage may fall, but you keep adding significantly. And whenever we are able to demo the product, especially in front of decision makers, we have a very high probability that they go in for the wire because of its p

roperties.

Ankur Jain: Yes, okay. Can I just squeeze in one more question. We also have a wiring...

Kushal Desai: Please limit to two questions and you can probably, if you don't mind, come back in the question queue, so that we can address everybody else's questions also, yes.

Moderator: We move on to the next question that is from the line of Amit Anwani from Prabhudas Lilladher.

Amit Anwani: My first question is on the conductor's business. You highlighted two things in your opening remarks. One was a port slowdown, which can be sensed in the short term. And at the same time, you also highlighted move towards premiumization with A CSR. So, I wanted to understand two things; are we now, since export is the largest contributors, sticking to our guidance of 10% volume? And we also saw a realization dipping by 10%, so any sense

APAR Industries Limited

July 31 , 202 3

Page 9 of 33

on what we are expecting? Are we changing our stance on conductors' business?

And second, this ACSI opportunity, how that is going to pan out for us?

What is the addressable market? Any colour you can throw on that?

Ramesh Iyer: So, we are not changing our guidance on all the 3 divisions. And Conductor, we continue to hold a volume growth of about 10% in terms of volume. And in terms of EBITDA, we expect it to be in the range of INR25,000 per metric ton plus the tailwinds that we get on a quarter -on-quarter basis, because these orders are something that we get in domestic business as well as an export business.

As mentioned in the opening remarks, the domestic business is quite robust and strong. And we don't expect a reduction in the volume at this stage. Also, in terms of profitability, we have been giving this guidance earlier also that we look at INR25,000 per metric ton. And this quarter, we had about INR38,000 per metric ton, which is in line with our guidance.

Amit Anwani: Right. My second question is on the Cables business. So, Cables, as you spoke about the de-inventorization happening across supply chain. There, what is the utilization or capex trajectory which you mentioned? Any colour on that? And if you could just highlight the breakup within Cables, which as you are already aware, that Elastomeric is growing much faster. Any colour on other divisions as well within cables, if you would like to highlight like power cable, XLPE?

Ramesh Iyer: So, even in Cables, our capex guidance continues to what we'd mentioned in the last quarter. Overall, our capex for this year, for the next 12 to 18 months are likely to be about INR350 crores to INR400 crores, about 2/3 is going to be on cable, and that is unchanged. We are not changing any

APAR Industries Limited

July 31, 2023

Page 10 of 33

of our guidance now because we believe the long-term growth prospects is very much on the cards.

It's just that temporary momentum may or there could be some slight slippages on that front, but the long term looks very promising. And therefore, the capex plan remains unchanged as of now.

Amit Anwani: Right. For Premium products contribution, did we saw any slowdown? I can see 42% versus 47% Y-o-Y and HEC is just 20% versus 26% Y-o-Y.

Ramesh Iyer: Yes. So, quarter-on-quarter these percentages vary, it's very difficult to put that on a quarter-on-quarter basis. Typically, we look at the entire 12-month period. So, these depends on the orders that we executed during the period. And in our business, there is a lot of testing requirements and approvals in place. So, depending on the execution, this mix percentages can keep changing on a quarter-on-quarter basis.

Kushal Desai: As we mentioned in the opening remarks, the premiumization drive is generally taking place across the board. So, as you start moving in time, like, for example, ACSR is now -- all the new building is coming with AL59. So, in a year's time, you will see a dramatic change in

the domestic market

on major transmission projects, where AL59 as a conductor will become the base product.

Amit Anwani: Sir, is it fair to assume that domestic market can deliver higher volume growth over the next 2, 3 years versus exports?

Kushal Desai: We are very flexible in terms of wherever the -- we look at the domestic and the export market actually as just one market where wherever we get the best realizations carrying the least amount of risk, that's where we would like to focus. But our sense is that over the next 1, 2, 3 years, the mix is not going to vary very much because there is a lot of work that's

APAR Industries Limited

July 31, 2023

Page 11 of 33

happening overseas. It's just the U.S. market, which for conductors has shown some amount of slowdown.

There are all -- other markets also where there is a demand that's coming up even from Latin America, from Australia, from many other geographies. But we thought it would be prudent to mention and I think this is affecting

all industries. It's not just our conductor and cable industry where the inventory levels that people were holding, they're finding today that those levels are too high because supply chains have got pretty much normalized and capacities, which were in place for not being effectively utilized by manufacturers because of their own supply chain issues, so those also have got sorted out.

So, lead times and delivery times are much shorter than what they were during the COVID period plus there is no uncertainty today in terms of calling up containers, loading them on ships, clearing them through ports, etc. So, it's any natural de-inventorization process that's taking place.

Moderator: The next question is from the line of Maulik Patel from Equirus Securities.

Maulik Patel: A couple of questions. So, in the last 2, 3 years, the export in cable business has been very, very strong, and it has grown from, let's say, 20%, 25% of the cable top line to now it's almost 50% plus top line. Is it because of our relationship with cable -- relationship in Conductor or and TSO segments are opening this product into same customers? Or is there something else which has been driving this growth?

Kushal Desai: So, there is a combination of 2 things at play. There are a few customers who are common in terms of conductors and cable, especially the very large EPC companies that have a division that builds transmission lines as well as the renewable energy sort of supply and erection at renewable energy sites.

APAR Industries Limited

July 31, 2023

Page 12 of 33

So, there is one group of those customers, but there are many customers who we have opened up for supply of both conductors and cable who are end utility. So, we are looking at that aspect also. So, you can't take away from the synergy value of both the conductor and cable. Though there are two sales teams, they collaborate with each other, but they call on customers individually.

Maulik Patel: Got it. Second question is on the TSO segment. The volume growth has been strong and you mentioned in your opening remarks that because of the various government initiatives -- the domestic demand across Conductor, TSO and cable has been good. So, is there anything else which has been driving the growth? I mean we understand that the government and the SEB has started procuring more transformers. That should be the one driver. But anything else which you may like to highlight?

Kushal Desai: So, there are 2 major schemes which are there. One is the RDSS, which we have spoken about in the last call, where there is a rollout taking place for the rural distribution strengthening that's going on. There, the cable business will benefit more on the power cable side.

As far as this -- the Gati Shakti is concerned, it is a transmission line initiative of building transmission lines connecting all these different green sites

. And the third effect which is there is that these green sites are coming up with increased combination of wind and solar and both of them have a reasonable intensity of cables. So, you'll see all of these -- they are all drivers and these similar effects are there in the overseas markets also. Where you've got new transmission line is being built, you've got both wind and solar projects running.

And in every case, there is some requirement of transformer oil because there is a substation that's involved which carries a transformer. So that's

APAR Industries Limited

July 31, 2023

Page 13 of 33

the reason why in the opening remarks, I did mention that over the next 3, 4 years, we should see a good demand coming forward for transformer is also on a global basis.

Maulik Patel: Just a bookkeeping question what has been our acceptance for this quarter?

Ramesh Iyer: Yes. So, our interest-bearing LC outstanding is about INR3,700 crores as

of June

Maulik Patel: That was INR4,100 crores sometimes in the end of March, right?

Ramesh Iyer: Yes.

Moderator: The next question is from the line of Charanjit Singh from DSP.

Charanjit Singh: Congratulations on a good set of numbers. Sir, my first question is, you've talked about some weakness in the U.S. market. Sir, do you think that some of the other markets which you have talked about like Latin America and Europe, they'll be able to compensate for that in the near term? And when do you see that the U.S. market can come back again because earlier you had highlighted there were large mega projects which are going on in terms of the power infrastructure in U.S., and that could create some more longer-term sustainable demand. So, if you can touch upon this aspect.

Kushal Desai: Yes. So, there is -- a similar effect is there even in Europe as in the United States, where there is a higher inventory levels in place. So, most customers are talking about a 3 to 4 months period where ordering will be at a slower pace, that pretty much -- it's not that there is no ordering. There's ordering to cover up for -- making sure that the mix of product is appropriate, but you know that the free flow of demand should probably pick up in the next -- maybe at the end of this quarter or in 3 to 4 months sort of time limit.

APAR Industries Limited

July 31, 2023

Page 14 of 33

In terms of the mega projects and some of the larger projects that are concerned, as I mentioned earlier, none of them have been stalled. There is a widespread expectation that interest rates are now peaking, and there could be a likelihood that in the next 6 to 12 months, the rates would actually start maybe coming down. And there are some developers who are contemplating that. And as a consequence, looking at deferring that project.

But I don't think that it is a matter of serious worry for us simply because of the number of project sites all over the world, which are actively coming up. So, even if a developer who is looking at wanting to develop 3 sites, they may focus on 1 or 2 sites and then defer the third site. So overall, I think we'll still see good demand overseas.

And on the domestic side, so there is none of that effect because most of it is based on the government approving transmission lines for the green corridors that are coming up as well as SECI and the Ministry of Renewable Energy approving tenders to go out for solar and wind farm. So overall, Charanjit, I don't see any huge concern. There may be a few months, little bit here or there. But given the nature of the business, which is a bit long cycle, the long cycle is still pretty much intact. The medium term, long term is very much strong. And in fact, looking stronger by the day, given the number of commitments which people are looking at putting forward in terms of executing down this path.

I must also mention here that in some of the tenders which we are filling in

for conductors, already customers are asking for the carbon footprint. So,

they're not only asking for your Scope 1, Scope 2, but also the embedded carbon footprint, part of Scope 3, which is in terms of what is the carbon content of the aluminium that you're sourcing, etc

APAR Industries Limited

July 31, 2023

Page 15 of 33

So, this whole ESG movement is really here to stay. And as long as that continues in this manner, there will only be an acceleration of execution. Like for example, if you see the power mix in India, it has improved from almost 78%, 79% hydrocarbon-based down to about 71% hydrocarbon-based. And if this execution continues, we'll be in the mid-60s in another couple of years. So, I hope that kind of gives you an overall view of the question that you asked.

Charanjit Singh: Yes, sir. That's very helpful. Sir my other question is on the transformer oil part of the business. When we are looking at most of the transformer

manufacturers, the outlook from their side is pretty strong, and they are adding significant capacities. So, in a way, then, do you expect this transformer oil segment also in terms of volume growth can be much higher than generally single-digit growth, what we have seen with the kind of outlook which transformer manufacturers have?

Kushal Desai: So, we expect that the volume growth should definitely take place. And the 5% growth that we are projecting is for the entire basket of products, as I mentioned in my opening remarks that of that transformer oil and our industrial lubricants are probably the 2 categories where we are most bullish in terms of growth. So, essentially, moment you have a solar farm or a wind farm that comes up, there is a substation that is required then to step up the power on to a transmission line.

And then, at the other end, another substation is required to step it down for the distribution to take place. So, with this activity that's happening here, the collateral benefit is going to come to the transformer oil side.

And we still maintain 40%-plus market share in the domestic market. We are, by far, the largest exporter from India on the transformer oil side. So, that part of the business will continue to grow.

APAR Industries Limited

July 31, 2023

Page 16 of 33

Moderator: The next question is from the line of Dhananjai Bagrodia from ASK.

Dhananjai Bagrodia: Congratulations on a great set of numbers again. Wanted to understand regarding your realizations for the year for the segment, how do you see that take along?

Ramesh Iyer: So, the realization is actually a function of multiple factors and it depends on the price of aluminium, copper. It also depends on the price of the base oil that happens. We typically look at margins and also look at premium products and export products in terms of who drive the per unit profitability. But our realization will depend on the orders and there are multiple factors that basically decide the realization levels.

Dhananjai Bagrodia: So example, our realization, is it booked now, let's say for the, like A; sort of contract orders, is it variable or fixed? And B, is there a pass-through? And then C; regarding the -- do OP per ton accordingly fluctuate or is it more in a band when we do our contract?

Ramesh Iyer: So it's a combination of both variable and fixed. We have all kinds of orders that comes through. And aluminium and copper are completely pass-through. We complete -- we take a back-to-back hedging for both the conductor and cable business. In the case of oil, it cannot be hedged. So we keep inventories of about 2 months. And to some extent, we are -- sometimes we have inventory gains in some quarters, we have inventory losses, which averages out over a long period of time.

Dhananjai Bagrodia: And your OP per ton, is that always in a band or how does that usually fluctuate?

Ramesh Iyer: Sorry, what

is that?

Dhananjai Bagrodia: Sir your OP per ton, so your OP per unit, how would that play along?

APAR Industries Limited

July 31, 2023

Page 17 of 33

Kushal Desai: So, we self-control the operating or the EBITDA. So, in fact, we go above that, we had to control the value addition that we have or the gross margin on the product. And as Ramesh says, the aluminium and copper are pass-throughs. So, if it is a variable, we would buy on the index that's part of the variable and if it's fixed then we take the LME position -- duration on any of the metals.

Dhananjai Bagrodia: Okay. So that was OP per ton, would be broad-based -- would be consistently in the same range. We won't have too much fluctuations like maybe some other?

Kushal Desai: So, the variation is based only on your competitive intensity for that particular product based on what the order has come in. So, as you get into more premium products, you have more pricing power as you have

more commodity products, then the competitive levels are higher in nature. So you could have a fluctuation in the operating margin, but it's not caused by generally a huge fluctuation in the basic metals because those are either variable or they are hedged on a fixed price basis.

And your question, as Ramesh has tried to answer that question in terms of -- the revenue will depend upon which direction aluminium and copper moves in. So, off-late we've seen commodities sort of strengthening a little bit. especially in the crude and gas oil. So, in that case, with a lag of a couple of months, it pretty much gets passed on, into the market.

Generally, when there is an increase, then we tend to gain. When there is a decrease, then prices tend to fall a little sooner because customers get overly anxious to negotiate down. But, overall, we don't see a very complex environment on commodities. Whatever movements are there, they'll be flatish or they will be gradual. That's our sense.

APAR Industries Limited

July 31, 2023

Page 18 of 33

Dhananjai Bagrodia: Sure. And sir, one question regarding competitive intensity. See, since our factories now might be running at higher utilization, so we were able to pass on some of the cost advantages. Anything along the lines there of what's happening globally in terms of competitive intensity?

Kushal Desai: So, globally, the competitive intensity has increased in the last earnings call also, I've mentioned that China, a lot of supply-related issues in China also have got straightened out, just like the rest of the world because these COVID effects are behind us.

So, the competitive intensity has increased. And that is the reason why we have been talking about our guidance on conductors of INR25,000 per ton from a higher level than existed last year. But having said that, we are quite confident that we'll be able to live up to whatever guidance's we've given.

Moderator: The next question is from the line of Riya Mehta from Aequitas Investments.

Riya Mehta: My question is basically predominantly in the Cables division. Sir, we are seeing a sequential decline in the Cable order book, so where is this coming from? And could you guide us in the pipeline for the same?

Kushal Desai: So you know in the cable business, the order book is not as critical as in the Conductor business, because the conductor business is a much longer cycle than cable, where there is a lot of inquiries and transaction flow that's taking place. What we are seeing today is that the orders coming from the United States have slowed down. And as I mentioned, will be soft for the next few months until inventory levels start straightening out.

Against that, the offtake in the domestic side has been stronger and there, the order cycle is much shorter. You get an order and you start executing within days of getting the order. So, the order book, I don't think on the APAR Industries

Limited

July 31, 2023

Page 19 of 33

cable side actually is a measure of that. Having said that, we do have an order book of almost INR1,000 crores. So, it's covering at least 1 quarter worth of sales.

Riya Mehta: How much will be export in this cable order book?

Ramesh Iyer: About 50% would be exports.

Riya Mehta: And if I look margins, should we expect further decline in the margins considering that the export percentage would go down and domestic would increase in the cable division?

Ramesh Iyer: Yes. So we are guiding a margin of 10% to 12%, which should be around that levels.

Riya Mehta: Okay. In terms of Oil division, since we are seeing crude going up tad bit on a fortnightly basis, how does this impact margin s?

Ramesh Iyer : So, this will actually happen over a period of time because you know it depends on what inventory you are carrying.

Kushal Desai: In the short term, usually when prices go up, there is a benefit that takes

place because when you buy your base oil on a contract basis, then the contract formula takes -- there are backward-looking formula. So, you get a breather in terms of time before it comes and hits you.

But on the reverse cycle, when prices come down, the reverse happens where the contract formula takes the same amount of time longer for it to come down. So that's why Ramesh has been saying that up and down, it kind of negate each other, but this cycle, if prices go up, then you tend to benefit at least in the short term.

Moderator: The next question is from the line of Pratiksha Daftari from Aequitas Investments.

APAR Industries Limited

July 31, 2023

Page 20 of 33

Pratiksha Daftari: Just wanted to understand the order book for the Conductor division. This would be for 6 months?

Ramesh Iyer: So, typically, its range is about 6 to 7 months. Of course, there are still some orders within that order book wherein the execution time happens over a period of 1 year also. So otherwise, generally, it's about 6 to 7 months with the exception of few orders having long execution period.

Pratiksha Daftari: Okay. And what would be the contribution of value-added products, specifically HEC and OPGW in this order book?

Ramesh Iyer: So, it's about -- it's about 45%.

Pratiksha Daftari: Both put together?

Ramesh Iyer: Yes. The premium products that we call. These could be about 45% of the order book.

Pratiksha Daftari: Okay. And this -- the whole idea of basically destocking or lesser demand or -- that we are seeing, that would be predominantly or completely in export market, right? How do we look at order pipeline in domestic market?

Kushal Desai: So Pratiksha, on the domestic side; see, even in the export side, the PV cable, the solar and PV, etc, the demand still fundamentally remains strong.

It's just for destocking where people realize that they don't need to carry that level of inventory anymore for servicing their project size. But domestic side, the demand has been strong. The competitive intensity is a bit higher than in export because in exports, you need a lot of approvals, especially if you want to export to the United States, you need the U. L. approval, if you want to export to Europe, you need a CE or a VDE approval.

APAR Industries Limited

July 31, 2023

Page 21 of 33

The domestic market is a bit more open and more competitive, but we are finding that not only power cables, where demand has been growing for wind and some of the more specialty cables also. So I think as Ramesh has mentioned that we are looking at a 25% to 30% growth for the business as a whole and an EBITDA guidance of between 10% and 12%.

Pratiksha Daftari: Okay. And just one last question. You may have mentioned Gati Shakti and you mentioned RDSS as policies that are -- how do you look at BharatNet as an opportunity for our products?

Kushal Desai: So, BharatNet is also an opportunity for our

optical fiber side of the

business. And -- but some of that is just still getting crystallized in terms of how the -- it's very clear that there is a huge, about INR35,000 crores worth of turnkey projects that are going to come on stream for BharatNet, but the modalities of how it will be executed is still not completely finalized, and that should come out in the next few weeks, but that opportunity is absolutely there.

Pratiksha Daftari: Okay. But that will be, again, competition intensive, right?

Kushal Desai: Well, if it's on a turnkey basis, yes, it will be but then, you know, each package INR2,000 crores to INR3,000 crores, and it generally entails about 10% of cables and then the remaining 90% is accessories write-off, way of digging, you know all these other aspects. But the ticket of each will be over INR2,000 crores, INR2,000 crores to INR3,000 crores each

package. So the competitive intensity is there, but it cannot be that high because the players only with a requisite balance sheet would be in a position to bid for that business.

You need to provide bank guarantees and all these other things, which are not the easiest to come by. And besides that, we see also as the 5G rollout -- right now, you don't see a big amount of 5G rollouts. But around the

APAR Industries Limited
July 31, 2023

Page 22 of 33

world, 5G rollouts are starting to take place, where you have a combination of fiber optic and copper because the pipelines which are laid, it's much faster to lay.

You don't have to lay a separate fiber optic line and a separate power line. So when you have the combination in a single cable, you end up cutting your laying cost by half. We play a significant role in the U.S. and some of the other markets. So that's another area which we are looking at various products are under testing, approval, etc, on the fiber optic and power side.

Moderator: The next question is from the line of Kishan Tosniwal from Polar Ventures LLP

Kishan Tosniwal : I have one question that as you mentioned like in the Conductor division, the premium conductors will become the new norm or the new normal. So, why are we guiding for INR25,000 EBITDA realization when we are seeing that the premium products will become the new normal, then why so low guidance from realization of conductors?

Kushal Desai: So, typically, ACSR conductors carried guidance for decades, which were in the INR8,000, INR9,000 crores, INR10,000 per ton. And so then getting to INR25,000 plus is a good step up to that. So, our expectation is that it should be in that range. This move is a relatively new move of CEA having approved this AL59, which is one of the high -efficiency conductors in there. And so, over a period of time, we will be able to determine exactly where that margin level will fall because today, there are 5, 6 major players who can do AL159 versus about 30, 35 players who would have bid against ACSR sort of contract or tender.

APAR Industries Limited
July 31, 2023

Page 23 of 33

I'm sure some of those 30 players who'd all make this cable will also try to make -- sorry, conductor, will try to make this conductor. But all I can say is that it is a positive direction.

Kishan Tosniwal : So, in continuation to that, in the last con call, you were guiding in the range of INR25,000 to INR30,000. Now you are saying INR25,000 plus.

But now you are not saying INR25,000 to 30,000, that range can be...

Kushal Desai: We were very -- we've always guided INR25,000 -plus any tailwind effects which are there, and those tailwind effects do happen where you've got sometimes more favourable freight, sometimes you've got certain execution that happens sooner and faster than had been anticipated. But we've not changed our guidance. It's still remaining at INR25,000 -plus any tailwinds that actually come by. And as you go quarter by quarter, some of the freight benefits

and all will obviously level itself out. So you'll be then down to the basic intrinsic strength of the margins on the underlying products.

Moderator: The next question is from the line of Himanshu Upadhyay from o3 PMS.

Himanshu Upadhyay: Yes. See, I -- in the starting of the thing, we stated that the slowdown we are seeing or expecting in conductors is there in the export. Do you expect that similar slowdown can also come in the cables business because both the end markets would be similar, okay? And even on the DSO. And should not this slowdown be for all the segments? Means, why only conductors, any thoughts of yours on that?

Kushal Desai: So, as I mentioned that there is an effect on both cables and conductors. And it's an effect that's happening across almost every product line that's

being exported to the United States, because they were all holding higher inventory levels due to all the uncertainties and lead times for delivery.

APAR Industries Limited

July 31, 2023

Page 24 of 33

As those are normalizing, it is natural that the deliveries -- I mean, the inventory levels fall. And today, especially with the high interest rates, the cost of carrying higher inventory is also a big burden. So, that is also catalyzing some level of de-inventorization. So, we are seeing it in both product categories. Fortunately, the domestic demand has been quite robust. So, that's the reason why we're not changing guidance really for the year.

You may have a temporary fall in export as a percentage of total revenues. But in the -- once this process in the next few months gets settled, you'll find demand in both the sectors, both domestic as well as export continuing to be quite strong.

Himanshu Upadhyay: And the cable exports should be majorly -- predominantly to U.S. only?

Kushal Desai: So, the U.S. is the largest export market that we have. But we are seeing good demand from Australia and we have some amount of demand coming and growing even from Europe. There are projects that are still continuing in Africa, which are African Development World Bank aided. It -- we will export product to multiple countries around the world. So even though the U.S. is the largest and there is a bit of a temporary slowdown over there. We expect overall the market to still be good -- the export market to still be good. And other geographies are starting to pick up.

Himanshu Upadhyay: Okay. And one last thing. The transformer oils or the Oils business, do you think the numbers are sustainable and the market has -- means the pressures of high-priced inventory and all those are now far behind. And that INR6,000 is sustainable on...

Kushal Desai: So, I think the INR6,000 per KL, I mean we've guided at INR5,500 a KL for the year. And I think as you run through the remaining 3 quarters, we

APAR Industries Limited

July 31, 2023

Page 25 of 33

should be able to -- as things look today, we should be able to reach those numbers.

Moderator: Thank you. The next question is from the line of Sujal from Girik Capital.

The lines of the current participant have dropped off. We'll move to the

next, that is from the line of Vishal Kediya an Individual Investor.

Vishal Kediya: Sir, how much exports are contributed from U.S. in the Conductors and Cable segment?

Ramesh Iyer: Which Conductor is it?

Vishal Kediya: How much exports are contributed from U.S. in conductors and cable segments.

Kushal Desai: What is a percentage of...

Ramesh Iyer: Out of our total exports, total cable quarter sales to U.S. will be about 25% to 28%, total sales

Kushal Desai: Any other questions, Vishal?

Vishal Kediya: And is the cable segment, sir?

Ramesh Iyer: Cable is what I mentioned.

Kushal Desai: Cable is around 28% of total sales. And in the case of Conductors, it is also in the 20s.

Moderator: The next question is from the line of Pawan Nahar, an individual Investor.

Pawan Nahar: My question is, we have a very robust order book for conductors, more than 3 quarters of current quarter revenues. So, we would have a good sense how many more quarters the tailwinds on spreads are likely to

APAR Industries Limited

July 31, 2023

Page 26 of 33

continue. So, if you can talk a little about that, 1 quarter, 2 quarters, 3 quarters?

Ramesh Iyer : Yes. So, some of the orders, Pawan, the execution happens over a period of time. It's not that all these orders come on a first-in first-out basis. We get these orders and some of the orders execution, in fact, can even start 1 year down the line. So, what is reflected here is the entire order book that we have as of now.

Kushal Desai: So, the bulk of, I would say, 75%, 80% of these orders are to be executed over the next 6 to 7 months. And as Ramesh has mentioned earlier, there is a few which actually runs longer. Our sense is that within this period, there will be new orders which will come up. So, it's a completely moving...

Ramesh Iyer : It's a moving number, yes.

Kushal Desai: Yes, it's a moving number. So if you take the U.S. market, Pawan, there are a bunch of utilities, almost about 30 utilities, which are very large utilities. There are 3,000 utilities which are much smaller utilities. So, those smaller utilities for their maintenance and capex requirement, they rely on distributors. These distributors have high level of stock. So as their stock decrease over the next 3 to 4 months, they will come back into the market to stock and carry.

The stock levels will not go up to the levels that they were because they don't need to. But then the demand flow will start coming based on the way the execution is happening. For the larger utilities, they have now we -- they move towards direct purchases. And even they are reducing their stock level because they don't need to carry as much stock. So, our sense is that most of the de-inventorization process will be a 3-to-4-month process. It's not going to be like a 1-year sort of situation.

APAR Industries Limited

July 31, 2023

Page 27 of 33

I had also mentioned that there are certain big asset aggregators that are there, like we have even in India, a few. So, some of them, if they've got multiple projects running, they are reducing the number of simultaneous projects that they're executing to day, waiting to -- deferring a few projects since the interest rates may come down. So, they're concentrating on accelerating a certain set of projects and slowing down some others. So, as far as final demand equation is concerned, we don't see any huge impacts or change taking place.

Pawan Nahar : Let me mention the demand side, actually, I want to say congratulations for me because I've been watching you all over a decade. I mean U.S. is 20% plus of our conductor business, that's like quite huge. I'm sorry, I missed it. And cables it is more than 25%, impressive. So sooner or later, they'll come back. But my question was more on the spread side that we are saying, conductors, INR25,000 is the normal plus the tailwind. So, my -- what I'm saying is, we have a certain amount of order book. We know what will be distributed in the next 2, 3 quarters. So, for how many more quarters can we expect this tailwind to continue before it goes to INR25,000. That's the question.

Kushal Desai: You'll find that the tailwind is -- the velocity on that is reducing because as you execute orders where you carried a higher freight than current freight, etc; as the execution is getting done, you're monetizing that. And the new orders that are coming in are more in line with current freight and current cost structures, which are in place. So, our sense is that you will finally get to that INR25,000 level.

The tailwind also comes not only from freight and things, but also in the product mix. So there are a whole lot of projects which

have been built

upon. And then as they get fructified, then you could have the mix altering

APAR Industries Limited

July 31, 2023

Page 28 of 33

on a positive side. But otherwise, considering all factors, INR25,000 is

what we had thrown up as a long-term sustainable number.

Pawan Nahar : I understand that long term INR25,000, which is amazing. All I'm saying is, we have a certain amount of order book, we will have some spend about next 2 quarters, right? So can we -- like all I'm trying to get to is, incrementally I understood INR25,000, but this tailwind from -- is there in the existing order book is my understanding. So can we expect this tailwind to continue for the next 2 quarters?

Kushal Desai: Yes, yes. So, there will be some effect of that for the next 2 quarters. It will start -- the effect will start tapering off, but there will be an effect over the next 2 quarters.

Ramesh Iyer: It will not be a steep fall. It was wane down naturally.

Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: Congratulations on a good set of numbers. Sir, just largely wanted to understand on the export side. I mean, given the fact we are seeing some amount of slowdown in the exports. Just wanted to understand the profitability improvement, which has happened, right, from INR17,000 per metric ton to INR58,000 kind of a metric ton and starting getting normalizing. So just wanted to understand, what was the profitability, which was driven by higher exports. If you can throw some light as to what is the realization difference in EBIT -- realization difference per metric ton for U.S. business and for domestic business, that will be really helpful.

And just my second question was on the competition side. I mean last time you had mentioned that some of the Chinese suppliers have, once again, started to get entry, especially in the U.S. conductors' business. So, what

APAR Industries Limited

July 31, 2023

Page 29 of 33

is the stand as of now? I mean, how is the Chinese part playing out specifically on U.S. conductors? Just wanted to understand that.

Ramesh Iyer : Yes. This INR17,000 to INR58,000 per metric ton is the combination of various things that has happened. You had all your tailwinds, which includes this supply chain disruption that happened and China plus 1 happened and then you have the renewable energy push in the U.S. And also a lot of distributors wanting to just fill up their warehouses.

So it's a combination of multiple things that has gone up. And in addition to that, we had our own premiumization that happened within APAR where we could -- premium conductors there. So it's really multiple combination and there's no one number that can be attributable to what actually increased. So that's the reason we are still guiding at INR25,000 plus a tailwind because we expect some of the tailwinds will definitely continue over next 2, 3 quarters and some may even continue perpetually, depends on the competitive intensity and China Plus 1 strategy.

Kushal Desai: The U.S. is not -- your second question was that the China Plus 1 with respect to the U.S. So, the Chinese players, as I've mentioned earlier also, are not the biggest threat in the U.S. market because the -- currently, the tariffs for Chinese products still remain higher than for Indian products.

The competitive intensity of Chinese manufacturers is showing up in other geographies where they do not have any differentiated tariffs and in some cases case, they actually have a more favourable tariffs than Indian companies, which are in certain Latin American markets.

So, the Chinese competition has definitely increased, but it's not in the U.S. It's in --- the United States, Australia, etc, are kind of staying away from the Chinese suppliers. It's more in Europe, Latin America, etcetera, maybe in Africa, where their presence

is being felt today.

APAR Industries Limited

July 31, 2023

Page 30 of 33

Mihir Manohar : Sure, sir. Sir, just wanted to understand the realization difference for non-premium products, I mean, what is the realization difference for U.S. and non-U.S. or/and domestic market?

Kushal Desai: So, there's just so many orders and it's very difficult to pin any such number. All I can say is that the strategy has been to take standard products and sell them as much as possible in premium markets and take premium products and then sell them as much as possible in the domestic market, especially on the conductor side by selling a turnkey solution for the HTLS, ACCC, etc. The copper products, which are there, we are inherently carrying a higher margin and are more specific in their application. So, such a level of granularity, something that we would not be able to provide.

Moderator: The next question is from the line of Pujan Shah from Congruence Advisers.

Pujan Shah: Only one -- not a clarification, but a question would be, if we look at the specific HEC component, which has been decreasing in the total mix, if we assume that the total mix would remain the same as the last quarter, would we get to achieve the same EBITDA per metric ton, what we have achieved in the last quarter?

Ramesh Iyer: So the EBITDA, it depends on this HEC as well as exports. So, and all this depends on the level execution over there.

Pujan Shah: Okay. But if you assume...

Kushal Desai: We don't have a like-to-like reduction in HEC, but you've got HEC contributes towards some 20% -odd of the total basket. So, the remaining products also -- it's a moving mix, which is taking place.

Kushal Desai: See, the HEC will be in the same vicinity plus or minus 3%.

APAR Industries Limited

July 31, 2023

Page 31 of 33

Pujan Shah: Okay. And second question would be on the polymers business. So, how much your total capital we like to invest in this specific -- for this year and the next year? And yes, we are assuming that to see growth to INR200 crores, INR300 crores. But are we mainly focusing for -- like is it for the cable business or that the polymer can be used or it is used probably -- specific for the reason of -- purpose of the sale?

Chaitanya Desai: Our investment will be in the tune of about INR35 crores, and part of it will be to grow the polymer business, partly for the in-house requirement for cables and also to sell those same products outside our in-house requirements, other applications other than for cable industry also

Moderator: The next question is from the line of Aditya Khandelwal from Securities Investment Management.

Aditya Khandelwal: I have a couple of questions regarding our oil business. So, if you could bifurcate the volume share of different products like transformer oil, white oil and industrial process oils from the total volumes?

Kushal Desai: So, we've never given a guidance in terms of the exact breakup of the transformer oil, white oils, etc. But we've given the details in terms of the lubricant side of the business, which is at INR241 crores, and that's about 17,500 KL -- kiloliters, out of -- a total of about 1,35,000 kiloliters in total.

Aditya Khandelwal: I just wanted a rough break-up of the 1,30,000 KL which we sold, what would be the proportion of transformer oil, white oils, just a rough proportion?

Kushal Desai: So, yes, transformer oil, is yes, about a third.

Kushal Desai: Yes, probably 30% to 35%, and white oil is about 30%, 28% to 30%. And the lubricants are forming about 17,500 out of 1,30,000.

APAR Industries Limited

July 31, 2023

Page 32 of 33

Aditya Khandelwal: So, sir, the 13% year-on-year volume growth, which we witnessed with lubricants showing a flat growth and white oil being a slow-growing segment, would it be fair to say that we would have grown by more than 15% in the transformer oil segment?

ansformer oil segment?

Kushal Desai: We've had a double-digit growth in that quarter in transformer oil as well as in industrial -- on the industrial lubricant side. So, I would see these businesses, it's difficult to just take a quarter and if you look really at the -- you've got to really look at 12-month periods to be able to make a call. Our

general sense is that transformer volumes will grow, given the amount of infrastructure on the power side that's going in not only in India but around the world. So, the lead product in -- one of the lead products will be transformer oil.

Aditya Khandelwal: Sure. And sir, I just wanted to get a better understanding of working of industrial lubricant business. So, are these products sold directly to the customers or they are sold through distribution channels? And are they sold primarily on price or is there some element of branding also involved?

Kushal Desai: So, larger accounts are sold by us directly. Smaller accounts, we have an extensive distribution setup because industrial oils for some customers, they would buy just 1 barrel or 2 barrels. So, distributors take care of that. In terms of performance, branded and non-branded, you have fundamentally multiple categories. So, the performance products, high-performance products and products, which you've got to sell along with the service are the two which are more sticky in nature.

They either carry OEM approvals or they are much higher performance products there. The lubrication requirement is lubricating a machinery of very high value. So that segment is a branded segment. Then there is -- all of it is branded. But you may have hydraulic oil and some of these which APAR Industries Limited

July 31, 2023

Page 33 of 33

are less critical. Within Hydraulics also if you're running high injection molding machines and some of these more expensive equipment, then they would carry OEM approvals.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Kushal Desai, for his closing comments.

Kushal Desai: I'd like to thank all of you for joining our Q1 FY '24 earnings call. Just in conclusion, I'd say that we've had a good start to FY '24, and we expect that all the long-term indicators -- the medium and long-term indicators remain intact. In the short term, there could be some adjustments in demand in a few export markets like the United States, but the domestic market remains robust. And we continue to be very optimistic of our business in the quarters and years to come. So, once again, thank you very much for joining our call.

Moderator: Thank you, members for the management team. Ladies and gentlemen, on behalf of Apar Industries Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2023

SEC/ 0211/202 3 By E-filing November 02, 2023

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Investors Conference Call made on Un-audited Financial Results (Standalone & Consolidated) of APAR Industries Limited (the Company) for Q 2FY24.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer to our letter no. SEC/ 2610/202 3 dated October 26, 2023 w.r.t. submission of link of Audio Recording of post Investors Conference Call made on Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 2FY24 .

Pursuant to the provisions of Regulation 30 (6) of the Listing Regulations, we are submitting herewith the transcript of the Investors Conference Call made on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 2 and Six Months period ended September 30, 2023 on October 26, 2023.

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India

+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India

+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110 GJ1989PLC012802

"APAR Industries Limited
Q2 FY2024 Earnings Conference Call"

October 26, 2023

ANALYST : MR. AMBESH TIWARI - S-ANCIAL TECHNOLOGIES

MANAGEMENT : MR. KUSHAL DESAI - CHAIRMAN & MANAGING DIRECTOR – APAR INDUSTRIES LIMITED

MR. CHAITANYA DESAI – MANAGING DIRECTOR – APAR INDUSTRIES LIMITED

MR. RAMESH IYER – CHIEF FINANCIAL OFFICER - APAR INDUSTRIES LIMITED

APAR Industries Limited

October 26, 2023

Page 2 of 37 Moderator : Ladies and gentlemen, good day and welcome to APAR Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies. Thank you and over to you Sir!

Ambesh Tiwari : Good afternoon everyone. This is Ambesh Tiwari from S-Ancial Technologies. I welcome to all H1 & Q2 FY2024 earnings conference call for APAR Industries to discuss the business performance. We have from the management side, we have Mr. Kushal Desai, Chairman & Managing Director, Mr. Chaitanya Desai, Managing Director, CFO Mr. Ramesh Iyer. I will now pass on the mic to Mr. Kushal Desai for opening remarks. Thank you and over to you Sir!

Kushal Desai : Thank you Ambesh. Good afternoon, everyone and welcome to the APAR Industries Q2 and first half FY2024 earnings call. I would like to begin by giving a quick overview of our business and then get into more details on each of the three major segments performance. During the second quarter of FY 2024, in the last quarter, the consolidated revenue came in at 3,926 Crores, which is up 21% year-on-year. We witnessed volume

APAR Industries Limited

October 26, 2023

Page 3 of 37 growth across all three divisions. Our exports grew 26.3% year-on-year, contributing to 49% of the overall company's revenue compared to 47% a year ago. The EBITDA is up 58% year-on-year to 374 Crores at an EBITDA margin of 9.5%. Profit after tax came in at 174 Crores, which is 69% higher than the previous year. Profit after tax margin is at 4.4% compared to 3.2% in the same quarter previous year.

Now looking at the figures for the first half and comparing them to the previous period so H1 consolidated revenue came in at 7,699 Crores, which is up 22% year-on-year. Export revenue has grown by 39% and this was led largely by the cable business growing, the conductor division growing and the transformer oil segment growing. The EBITDA for the half year is up 56% year-on-year to 743 Crores. We could attribute this to premiumization of the product and a better product mix besides the growth that has taken place.

Looking at each individual business , conductor business revenue in Q2 FY 2024 has grown by 35% year -on-year to reach 1 ,943 Crores and the volume growth is 79% in the quarter. The export revenue grew by 158% year -on-year, contributing to 51% of the conductor divisions overall revenue. The EBITDA per metric ton post forex adjustment is at Rs. 39,007 per metric ton ne. One of the highlight that we have achieved during this period has been that we have improved our reconductoring execution capabilities

APAR Industries Limited

October 26 , 202 3

Page 4 of 37 and this has resulted in higher productivity resulting in a better position to implem ent product faster as well as in more challenging situations. Recon ductoring is a very critical part of the whole premi umization effort of the conductor business and these important developments should hold in terms of making it more

efficient. During the first half , revenues c ame in at 3 ,717 Crores, which is up 24% year -on-year. Volumes are up 51% year-on-year, EBITDA per metric ton ne for the first half period c ame in at an Rs. 38,885 per metric ton ne, which is 31% higher than the same period in the previo us year . Our total order book for conductor stands today at 5 ,977 Crores .

Coming to the Oil division , Q2 FY 2024 revenues came at 1 ,200 Crores . The volume grew by 18% in the quarter compared to the same period previous year making it an all-time high for a second quarter of a year. Exports contributed towards 47% of revenues.

The E BITDA post forex adjustment came in at Rs. 4,562 per kl . One of the issues that we faced in the oil division is that our major base oil supplier supplying refinery suffered some is sues in terms of their supply chain and the refinery turn around that they have post the end of life of a catalyst and due to this there were some huge complications resulting in lesser supplies to APAR , this affected profitability of the quarter as we had to go into the spot market and buy quantities of base oil to bridge the gap.

APAR Industries Limited

October 26 , 202 3

Page 5 of 37 Having said that, the contracted base oil s upplies have started improving from September onwards and some of the lost volume due to this is being bridged by the refinery. During half year ended, the oil revenue has grown by 7% year-on-year to 2 ,400 Crores , the volume has grown by 16% compared to the previous period . The EBITDA post open period forex is at Rs.5 ,275 per kl, lubricant revenue came at 423 Crores with a volume of 34,91 8 kiloliters.

Coming to our cable business, the cable business revenue has grown 16% year -on-year in the second quarter of FY 2024 to reach Rs.882 Crores . Our export mix is 51% in Q2. The EBITDA post forex came in at 98 Crores , which is about 11.1% of reven ues so that is up 40% compared to the previous period . As mentioned in the earlier earnings calls, we are witnessing a slowdown in some of the distribution channels , especially those di stributors in stock and sell in the US and to some extent in Europe and there has been restocking of excess inventory that they have been carrying which has led to relatively lower growth rate in the second quarter. As mentioned earlier, this phenomen on is expected to run for a few months post which the regular purchase cycle should pick up. Overall in the first half of FY 2024, cable revenues are up 32% year -on-year at 1 ,849 Crores , the overall export business contributed to 52% of sales. EBITDA post forex has come in at 11.3% versus 8.5% in the previous period s o with this, I would like to come to the end of my comments.

APAR Industries Limited

October 26 , 202 3

Page 6 of 37 I would like to mention that we have a very detailed investor

presentation deck, which has been uploaded on our website post the investor day that APAR had. We have also uploaded our third ESG report, which is also available on our website and it captures all the ESG activities which APAR has done in the last year, which is quite significant compared to what was done in the previous two periods. So this journey is a journey that we are well entrenched on continuing going forward. I would like to thank everyone for joining this call and I would like to transfer the call back to our moderator.

Moderator : Thank you. Ladies and gentlemen, kindly note that the company has issued a postal ballot notice dated September 28th, 2023, to its shareholders seeking their approval under applicable law for issuance of securities. The postal ballot is available on the websites of the stock exchanges. In light of this, to comply with the applicable restrictions around publicity, the company will not be taking any questions on guidance, projections, forecasts pertaining to

its business and financial performance, or any questions related to proposed funding requirements.

We will now begin the question and answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar : Good afternoon, Sir and congratulations on the excellent quarter. The first question is how has been the inquiry from transmission APAR Industries Limited
October 26, 2023

Page 7 of 37 sector and renewables within the domestic market for conductors and cables separately if you can throw some light there ?

Kushal Desai : The inquiries Mohit is quite strong both in the transmission side as well as from the cable side, there are a number of corridors which have been announced, transmission corridors and in addition to that, given the general level of activity that is happening in electrification, the cable requirements also have been quite strong.

Mohit Kumar : Is it possible to share the order book break up for the conductor within domestic and export?

Ramesh Iyer :: Out of the order book that we have for the conductor business about 5,900 Crores, 51% would be exports and the rest would be domestic.

Mohit Kumar : Understood Sir. Second question, is there anything of reconductoring volumes in your total mix for the H1 if possible and we expect that mix to change the domestic market in terms of opportunity going forward ?

Ramesh Iyer: We talk about premium products typically and the premium products in the conductor division is in the range of 40% to 45%, Q2 also has been in that range and a similar percentage is also there in the order book that is pending as of September 30, 2023.

APAR Industries Limited
October 26, 2023

Page 8 of 37 Mohit Kumar : Understood, Sir. Thank you.

Moderator : Thank you. The next question is from the line of Anika Mittal from Invent Analytics Advisory LLP. Please go ahead.

Anika Mittal : Congrats Sir good set of numbers, two questions one is on the freight rates. Freight rates are rising again but the contract which we had brought should have entered at lower rates, should that mean we are going to witness falling EBITDA going forward like last year the same thing was tailwind for us so in a similar way will it be a headwind or how we should look at it?

Kushal Desai : Freight rate correction has already happened and we spoke about it quite extensively in the last board call that the correction of freight rate has started from the beginning of our financial year from about March, April onwards so fundamentally after that freight rates have been in a certain range, so freight rate is

factored in today as we price the product in fact in many cases customers have shifted to an FOB purchase because they were seeing that freight rates were kind of correcting and falling. So there are customers who have actually shifted from DDP to an FOB business so they are more control on the freight. So what we are looking at today is basically just quoting freight on a spot basis. Anika Mittal : I was looking at the BBIY index that is the freight index so that was rising in month of September so I thought freight prices are rising so if that is the case....

APAR Industries Limited
October 26 , 2023

Page 9 of 37 Kushal Desai : I get your question just want to clarify basically the se freight industry do not really play such a huge role and there is no correlation of that we do not take it account in any price variation or any such formula, all I can say is that the freight rates right now are quite stable they remains stable through the quarter and the increase in freight rates are not being seen today on container freight, but there is increased freight rates which you are seeing on bulk transportation as in for base oils and specialty chemicals and things like that so bu

lk of our business, which is containerized cargo movement, especially on the export side, the freight rate is quite flat.

Anika Mittal : Understood like realizations EBITDA per tonne on the conductor side. So this quarter there is a rise Q-on-Q basis so what is reason ?

Ramesh Iyer : We have been already mentioning earlier also the EBITDA percentage in conductor, the reason for that is largely because of the premiumization of the products that has been happening for the last one and half to two years now and also because of the increase in the exports percentage.

Kushal Desai : So in the last quarter we had good execution and completion of projects that happened of HTLS as well as OPGW so with some of the items that I mentioned that we have been working on productivity of faster execution of projects. Last quarter saw good pickup in terms of productivity especially in more challenging

APAR Industries Limited
October 26 , 2023

Page 10 of 37 requirements, you did not have a simple plain terrain. So our execution in Q2 was better than what had originally been envisaged.

Anika Mittal : Our guidance is intact across three segments ? Like we mentioned in earlier quarter.

Ramesh Iyer : In the beginning of the call, I think there was a statement that we cannot take any questions on guidance so we would like to stick to that one.

Anika Mittal : Okay Sir. Thank you very much and all the best.

Moderator : Thank you. The next question is from the line of Charanjit Singh from DSP Mutual Funds. Please go ahead.

Charanjit Singh : Thanks for the opportunity and congratulations on great set of numbers. Sir my first question is regarding exports so in the previous call your commentary on exports was really cautious, but despite that we have delivered a very strong growth in the exports in both conductors as well as cables segment. If you can touch upon, on the ground how the export markets are shaping up, and the various projects which you would see in the international markets, basically U.S. markets on the renewable side. So what are the key markets which you are seeing and how the traction is you know going on the ground that is on the export side ?

APAR Industries Limited
October 26 , 2023

Page 11 of 37 Kushal Desai : On the export front in the last earnings call we mentioned that since the supply chains have eased, de-inventorisation is taking

place. So that effect has very much been in place . What you see are the shipments which had been scheduled and already went through , fresh order intake which is coming in through the quarter has been a bit slower especially from distributors, people who stock and hold stock in the warehouse and then sell the product because they are all looking at reducing their inventory levels which in the current situation is too high given that the supply chain has now been fully restored so as we mentioned earlier also that there is a period where there will be a slowdown in terms of execution for the US and Europe market and in Q2 we have seen that in the order inflow which has come in for immediate execution whereas the orders which have come in as I mentioned in the last quarter earnings call also is that they are for a longer dated delivery so fundamentally once the de-inventorisation process is over when it should get into a normal cycle so that is what we mentioned earlier and the feet on the ground pretty much as we speak today seem to be in that same direction.

Charanjit Singh : So Sir, if you have to look at the kind of grid ramp up which is happening in US and the European markets and take a maybe a little longer term view rather than quarterly view on the export markets then how you would see that market from demand supply perspective and overall growth perspective ?

APAR Industries Limited
October 26 , 2023

Page 12 of

37 Kushal Desai : So as I mentioned earlier also in the previous quarters call, the fundamental market scenario has not changed so the long term execution and the shift towards renewable energy moving from electricity being about 20% of the energy mix to 40% of the energy mix by 2050 and renewable energy forming almost 75 %-80% of that growth in the electricity addition, all those parameters remain pretty much intact so our sense is that whatever this de-inventorization thing which we have been talking about from the last quarter onwards is more something that a tactical thing happening in this period , the factors which I mentioned earlier, they still hold good even today where you have got higher interest costs so the cost of carrying inventory also is much higher and the unpredictability factor that was there before because of supply chain, raw material outages etc, all that has disappeared. So today an order which is placed is being executed within a relatively short cycle and that cycle is a quite a predictable cycle so that is why this whole de-inventorization is taking place. But I think these two things are uncoupled the de-inventorization in the short term which is happening and the demand which is fundamentally there are two decoupled, we should decouple those two things , they are two different effects so hope I have been able to answer that question.

Charanjit Singh : Yes that is very helpful so thanks for the detailed answer. So just on the cables segment, so cable segment, we saw revenue growth of 16% during the quarter on Y-o-Y basis so if you can touch upon

APAR Industries Limited
October 26 , 2023

Page 13 of 37 could this growth have been you know higher pertaining factors which could have impacted our growth in the cables and wires segment and domestic market, how did we see in this segment and how the wires as a business is doing for us within this cable and wire segment that is my last question, Sir ?

Ramesh Iyer: Yes, the same effect as Charanjit we spoke about, because of deinventorization that is being followed by the Western countries, we have seen that impact in Q2 otherwise we see the quarter one growth rate was much higher than in Q2 so we are slowly seeing that impact what we just spoke about. On the wire business that is progressing as planned and we are increasing the number of our electrician meets and the number of retail touch points also there

and we are already down there in the 17 states. We are present across India as of now so that is going as per our plan now that we mentioned.

Kushal Desai : As Ramesh has mentioned the rollout you know continues to be reasonably strong so as we keep expanding our footprint the acceptance of the wires and the distribution of our wires are continuing to grow and we have seen that many of our competitors also are now seeing that this category and this type of wires actually is a clear stand out so some of our competitors are also now looking at trying to provide similar performance levels of wires like Anushakti but we see that as a very positive step because (A) It recognizes the strategy which we are following and
APAR Industries Limited
October 26 , 2023

Page 14 of 37 (B) If other powerful entrance also start promoting the same type of wire, the whole category will end up growing with us having the first mover sort of advantage . So in short, that part of the business is growing. Our distributor presence has almost doubled over the one year period . Our retailer presence also has increased by almost 70%, the states that we are active in today, and Ramesh says from 13 states we are now active in 17 states and the 18th one just went active in the month of September. We also focus quite heavily on demonstrations , so the demonstrations because once you see the performance of our wires through a

demonstrated test so the demonstrations which we did in 12 months, we have completed in 1/2 and this year the same thing with electrician meet, the same thing nukkad meets with these shops. So basically our activity in the market has doubled what we did in the entire last financial year we have done the same similar numbers in the first half. So all these demand generation activities have been going on quite strongly and as a consequence even the sales is also showing similar sort of growth.

Charanjit Singh : Got it, Sir. Thanks a lot for taking my questions and all the best for the future.

Moderator : Thank you. The next question is from the line of Riya Mehta from Aequitas Investments. Please go ahead.

Riya Mehta : Good evening, Sir, Riya Mehta from Aequitas. My first question is if you could just elaborate a little bit on the capex progress that
APAR Industries Limited
October 26 , 2023

Page 15 of 37 was announced earlier and the capex plan that we have for H2 of this year and next year for both cables and conductors?

Ramesh Iyer: So our capex spend till September is about 150 Crores and bulk of it is there into the cable division and the conductor division over there and we have capex of about 350-400 Crores by the end of the year and will be very close to that number as we go into the second half .

Riya Mehta : Okay and any plan for the next years, capex plan for next year?

Ramesh Iyer: Well, this still give us capacity for the next year and as we get into the later years, we will inform more about the guidance that on capex front and other areas.

Riya Mehta : Okay and capex that we had announced last year, we had plans of commissioning and ramping up this year. Just wanted to know how that is progressing, especially on the cable front ?

Kushal Desai : It is pretty much on schedule.

Riya Mehta : Okay so have you commissioned any part of it?

Kushal Desai : So there are lines which have come in and the lines have been put together and have been commissioned.

Riya Mehta : Okay typically what duration can we expect for full ramp up of the capacities that will be coming this year ?

APAR Industries Limited
October 26 , 2023

Page 16 of 37 Kushal Desai : So you will see in FY20 25, you will see the full, to a large extent the loading of these plans, so they are all getting commissioned through this financial year and our expectation is that by the end fourth quarter as we mentioned earlier also that this round of capex will get over, which will then allow for the running in the next year for almost a year and a half the ratio is about 10 to 12 times so 400 Crores capex can get you 4000 to 5000 Crores of revenue at a base level .

Riya Mehta : And we expect say next year to be full ramp up for this 400 odd Crores?

Kushal Desai : Yes expectation is that all this has been put together based on what we have seen, in terms of new tenders and customer requirements which have been indicated so based on that, the capex has been put in on what we think are relevant products and it should during the course of the next financial year get fully loaded.

Riya Mehta : Okay and the second question is more on the opportunity side so two aspects, if you could elaborate upon the opportunity size like we have and whether we will benefit from that in a meaningful way, one is the Bharat Net part in India and the other is I think what I understand is there is a \$3.5 billion investment announced by US for reconductoring their grid and strengthening their power grid so would we be able to benefit out of this and what is the kind of opportunity we can look out of these two initiatives?

APAR Industries Limited

October 26 , 2023

Page 17 of 37 Kushal Desai : So let me answer the question to the extent I am allowed to answer, with these restrictions that are there .

We have spoken about the Bharat Net opportunity in the last call that we had. The Bharat Net opportunity is it is not yet finalized and in its final form announced for tendering, but is that a very advanced stage and APAR would be in a position to participate in the Bharat Net because we qualify with all the EPC capabilities that we have. We have the ability to participate in that tender which is there from the understanding that we have that I explained last time is that in the case of Bharat Net it is expected that this time it will be like an end to end tender where it is not only a supply, but then there is also you have to run the network for an X period of time so it is a supply and running the network and there will also be restrictions on the number of bids that any single company can make so this would clear to open up opportunities to people who have the capability and the qualifications to bid on it .

Riya Mehta : We would be in position to taking up orders for end to end solution as in running up the network as well ?

Kushal Desai : Yes we have every intention of bidding against at least one package so all the final form of Bharat Net is not out I think it is just at a prefinalization and tendering stage. But as we mentioned earlier in some of our earnings calls on the Investor Day meetings that we have every intention of participating.

Riya Mehta : Okay, understood .

APAR Industries Limited

October 26 , 2023

Page 18 of 37 Kushal Desai : As far as US is concerned, we have approvals and we have been in dialogue with number of utilities in the United States. We also have an active sales force on the ground in the United States so any massive amount of work which happens on the re-conductoring side and addition of new transmission lines etc, the company would participate. You would have seen that in even in last year 's numbers that after India , our second largest market actually the United States contributed to over 25% of our revenues so we do have a significant presence there and the company is continuing to invest in growing the presence .

Riya Mehta : Right this has to be re-conductoring opportunity, where would it

be a premium product like OPGW and HEC or would it be our conventional product?

Kushal Desai : So the funds that have been allocated, the United States market actually is run purely by private players so unlike in India where you have semi government or you have like state electricity, state transmission company involved etc ., so this opportunity is something that has just been announced so I do not think you know all the details of that are all yet spelled out but our sense is that there will be a combination of both because generally re-conductoring opportunity results in using an existing infrastructure and reductoring a line meeting certain constraints so usually a reductoring job requires HTLS or a premium conductor but the market in the US, our expectation is, as we mentioned earlier also
APAR Industries Limited
October 26 , 2023

Page 19 of 37 that a number of new lines are coming up there which are executing or rather transmitting power from new and renewable energy locations so like a new wind farm or a new solar farm, you have the transmission line evacuating power from there into the grid so that line can be designed to be either a conventional conductor line or an HTLS type of line. Most of the reductoring jobs require a higher HTLS component for you to really make it meaningful.

Riya Mehta : Okay and on the oil segment, so we have seen this last couple of months being very volatile in terms of crude oil prices which I understand impacts our margins and also that there was some supply chain issues that was mentioned in the presentation so I just wanted to understand how have things been so far in Q3?

Kushal Desai : I am c

onstrained in terms of being able to talk about future, but as I mentioned in our commentary we had some issues from our largest refinery and supply source with whom we have been working with for over 20 plus year so there was a hiccup in terms of their supply chain during the second quarter that resulted in us having to buy raw materials on a spot basis etc ., which was more expensive because you had to buy it from a source which was very short delivery to make up for, these sort of things are not predictable, but in the month of September, shipments have been restored almost back to its normal level for all grade and in certain grades additional products have been also shipped to us or are
APAR Industries Limited
October 26 , 2023

Page 20 of 37 being shipped to us to compensate for part of the problem so as a consequence, we have ended up paying a higher price in Q2 the material which should have been used in Q2 is actually some of it is spilling over into Q3 and as a consequence, basically the higher price paid in the previous quarter will get offset to some extent in this quarter just in terms of the timing of the delivery .

Riya Mehta : Okay understood and just last question on a couple of data points what would be percentage of export orders in the conductor new orders of about 2500 Crores this quarter and what will be the execution period of order books for both cables and conductors ?

Ramesh Iyer: Order inflow of the export part of the new order for Q2 will be about 43 % and typically the execution time is about six to seven months. But as we mentioned earlier also we do get some orders in this period for which the execution will happen next year also.

Riya Mehta : Okay and the cables ?

Ramesh Iyer: Cable order book stands about 1,000 Crores and the cables are a much shorter execution period as of now, about just about less than 10 % of the cable order book that for which the deliveries will happen in the next year or so of all will be in the short term.

Kushal Desai : There is a bit of a que in terms of delivery into 1,000 Crores order book that is there, it has the domestic portion of it is, very short cycle. The export portion of it has some deliveries now and a

Page 21 of 37 larger portion of its deliveries are in Q4 given that the de-inventorization thing is happening right now.

Riya Mehta : Okay and this new order for conductors you mentioned where you know the export is 42%, what will be the premium product percentage? Share of premium product ?

Ramesh Iyer: Premium product should be in the range of 40 % to 42 %.

Riya Mehta : Okay thank you so much.

Moderator : Thank you. The next question is from the line of Amit Anwani from Prabhudas Lilladhar Pvt Ltd . Please go ahead.

Amit Anwani : Thanks for taking my question. My first question is on the de-inventorization which you are mentioning for exports, which you did mention in the last quarter as well. Just wanted to understand you are saying, if my understanding is right, distribution network will be seeing some inventory adjustment . How much would be that percentage distribution in exports and domestic market for you in conductor?

Kushal Desai : You mean conductor going into the distribution versus transmission is that? We don't do much in terms of conductors that go into the distribution side. The bare conductors are largely on, so 95% would be transmission and 5% distribution side . We have a hybrid product which is in between conductor and a cable which is called a medium voltage covered conductor . So that

Page 22 of 37 medium voltage covered conductor is a distribution conductor, but having an insulation , very specialized insulation layer on top so we are the leader in terms of MV

CC in India and so that is the play which we have on the distribution side.

Amit Anwani : My question, actually was you said that our distribution channel has increased and there would be ...

Kushal Desai: So that is from the building wire standpoint where you have distributors as in people who go shop to shop and distribute through all the retail outlets and things .

Amit Anwani : So that we are seeing inventory adjustments, right ?

Kushal Desai : That we are not seeing any adjustment here. What we are talking about is okay, let me clarify what I meant is that we have there are several mega distributors in the United States who bring product , stock it and then sell it . So those distributors who are carrying a very high level of inventory that ran into 8, 9, 10 months also of inventory have now started de-inventorizing and destocking the inventory levels that they are holding. So this is affecting or has affected the short-term shipments that are happening to the United States .

Amit Anwani : Right so how much percent that would be?

Kushal Desai : Our total sales, export sales have been about 52% for the cable business so wire distribution, actually that number is, I do not have

Page 23 of 37 the exact number, but what is happening in terms of is that we are moving more and more towards dealing directly with the EPC contractors for the large jobs so when you have big re-conductoring jobs when you would have that is why we have added people on the ground in the United States, so reconductoring work will largely happen with utility and EPC people and most of the transmission line work also happens to the big utilities through EPC and direct. The smaller utilities actually buy it through the distribution channel. The more channel remain active, but it depends on where the dollars are being spent. Participation in those channels will then be dictated by that so the smaller utilities are doing upgradation capex sort of work, then it

goes through a distribution channel. If the larger utilities are doing work, then they typically buy directly or through an EPC contractor.

Amit Anwani : Sir on re-conductoring, which you did highlighted that we are increasing the pace of execution and so are we talking this about the domestic market or is my understanding correct that now re-conductoring opportunity will also be depending on an export market and the mix there will also see a lot of re-conductoring growth apart from the conductor which saw a robust growth in exports market so if you would like to just clarify on that?

Chaitanya Desai : Yes re-conductoring as a demand is happening both in India and outside India. APAR has been doing re-conductoring turnkey
APAR Industries Limited
October 26, 2023

Page 24 of 37 projects only in India where we are doing the execution work and where we mentioned about our productivity having improved, re-conductoring demand from outside India, we are participating in that through supply of product only. We are not actually taking it on to end to end.

Kushal Desai : Question was that are both the markets growing and so the thing is that re-conductoring is generally growing because as we have been saying in the past, electricity consumption everywhere is increasing so wherever there is a right of way issue and you are not able to put up a parallel transmission line and the only viable option is to re-conductor with the line of higher capacity so that sort of phenomena you will start finding everywhere happening around the world and our participation right now in domestic is to do both supply as well as EPC whereas overseas we are doing only supply.

Amit Anwani : Right sir within cables, how was the contribution and growth of elastomeric cables and E-BEAM cables for H1?

Ramesh Iyer: Elastomeric cable has

gone up by about 40% in H1.

Amit Anwani : Okay sure Sir and so this capex which you said 350 Crores by the end of this year, this would lead to capacity increase by how much percentage over the base of last year if you would like to have?

Ramesh Iyer: Asset turnover is in the range of 10 to 14 depending on the category of products that will get used.

APAR Industries Limited
October 26, 2023

Page 25 of 37 Amit Anwani : Sure my last question is on the interest cost. This quarter we saw interest cost going significantly up on a sequential basis and I can see oil business on the breakup provided on the PPT roughly 45 Crores towards oil business which appears high so any understanding we would like to give, how should we read the interest cost numbers going forward and also on the working capital as we understand that typically we have interest bearing acceptances and we used to see interest costs as percentage of sales around 2-2.5%, which has gone up to 3% this quarter, so any understanding on working capital and interest cost going forward whether we target, how should we read on this?

Ramesh Iyer: Yes, so sequentially the interest cost is high because the first quarter the interest on discounting was less and second quarter the interest on discounting is high and therefore that is one of the reasons for the increase on a sequential basis. The other thing is that of course the volumes in the second quarter is much higher than in the first quarter, not only in terms of sales, but also in terms of procurement etc. You also see exchange rate going up slightly towards the end of Q2 and the increase in exchange also has an impact on how the interest costs will go up.

Kushal Desai : Even interest rate itself has increased so wherever you have had open letter of credit of 180 days which was opened earlier, the interest rate was frozen at the time you open the letter of credit because it is fully financed so as the percentage of the LC is being

APAR Industries Limited
October 26 , 2023

Page 26 of 37 opened, or more current interest rates, the rates are much higher than before given the high percentage. So whatever Ramesh has said plus this impact is what is resulting in higher interest costs. It will taper off because I think I mean depending on the rate hike whatever more happens it tapers off at whatever level of so far is there today, on the import side and on the domestic side also whatever RBI guidance etc, I think it seems like it is flattening out so on that basis you know you can extrapolate what the interest costs would look like.

Ramesh Iyer: On your question on working capital, typically we are in the range of 35 days net working capital so historically it has always been in that range and that is what we are being maintained even in this half of the year.

Moderator: Thank you. The next question is from the line of Dhanan Bagrodia from ASK. Please go ahead.

Dhanan Bagrodia: Congratulations on a good set of numbers again. Sir I know you will not speak much on guidance but just a little bit on realization and would that be similar base or there would be scope for more reduction?

Ramesh Iyer: So as we said, we can not talk about guidance so can't talk about realization also. Excuse us for this time.

Dhanan Bagrodia: Okay capex what you see, let us see this is capex would be for the next year?

APAR Industries Limited
October 26 , 2023

Page 27 of 37 Ramesh Iyer: Yes. So we have already spent about 150 Crore in this year.

Dhanan Bagrodia: 400 for this year, what would be for the next year?

Ramesh Iyer: Well, for the next year, we will share the information as we get into the close of the year.

Dhanan Bagrodia: Okay perfect sure.

Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from O3 PMS. Please

go ahead.

Himanshu Upadhyay: Congrats on good set of numbers. I had a question on this oil itself or the base oil what we stated despite that we had a phenomenal volume growth rate of 18% so the impact was completely moderating and how much are the spot prices higher versus long term prices generally are they significantly higher?

Kushal Desai: So Himanshu here, fundamentally order inflow was strong, primarily led by the growth that we saw in transformer oil and to answer the second part of your question which is the difference in the spot market varies all the time so depending upon which is happening with crude and what is happening with gas oil or diesel and then the supply demand that is out there so if anybody goes in to pick up large quantities automatically the spot market correct upward, whereas the contract is based on formula pricing etc., so as I mentioned earlier, we have definitely seen an erosion in our profitability in the second quarter because we have to buy more

APAR Industries Limited
October 26 , 2023

Page 28 of 37 from the spot market given that there were supply chain challenges from one of our largest supplier refineries that we work with. But having said that, as I mentioned in September, the shipment started normalizing and they have also tried to make up for loss volume.

Himanshu Upadhyay: See my question is what we have seen crude price have moved up in last three four months, our price is formula based with a lag of one month time so what you will be getting now will be the lower price point or it would be from what the current price is whatever volume?

Kushal Desai: All formulas are backward looking so as a consequence when

prices are rising, formula pricing is always beneficial because it is backward looking. When prices are falling then the reverse trend takes place .

Himanshu Upadhyay : So my question is the volume what we missed from July, August, and let's say for those two months the product what we will be getting will be based on July, August price points or it will be forward only. So the volume which went ?

Kushal Desai : Pricing goes based on every month and bene fitting to the effect that some of the shipments got a little bit delayed, but the refinery has tried to cover up some of the shortfall which has happened obviously when they had significantly reduced production, they
APAR Industries Limited
October 26 , 2023

Page 29 of 37 are not in a position to cover the entire gap but they try to cover some of that gap.

Himanshu Upadhyay : Okay I had question on transformers side, see what our understanding globally that there is a shortage of transformers, and many Chinese companies are gaining market share like Jin Tong, Eon all those in the US and Europe market. What impact does it have on our business because what I understand we do not supply to Chinese players and are we seeing opportunity coming up for even our MNC customers on the transformer side to explore outside India and will it benefit us or some of your thoughts on how the scenario will pan out?

Kushal Desai : So transformer demand has been quite strong and fundamentally it is coming from the increase in the number of sub stations that are coming up and during our Investor Day presentation, we had a chart. In fact you will see the investor presentation deck. It gives an idea in terms of you know how cables , conductors, transformers /transformer oil is used along the entire supply chain. So what is happening is that renewable energy has a higher intensity of substation and each substation needs a transformer to step up the power or step down the power. So there is a shortage of transformer in certain area because the demand has suddenly gone up from being very stable, for example the US market transformer manufacturers are completely are fully booked . I am

not so sure about Chinese companies being able to penetrate the
APAR Industries Limited
October 26 , 2023

Page 30 of 37 US market because there are very high duties which are there on pretty much all Chinese products including antidumping duty in place so I would not be able to comment on that we do not sell transformer oil into the U.S. market simply because of very high logistics cost for transformer oil relative to you know the local refineries and their ability to service project sites so our focus on export in transformer oil is fundamentally been the United States . So to answer your question on are we seeing export orders coming on Indian transformer manufacturers who are part of the MNC system. We have been seeing export but the domestic market itself is very strong. So there is a lot of transformer demand especially India itself as all these transmission lines and renewable energy sites are coming up. So we have a strong supply that is going into the domestic market servicing all these transformer manufactures . So I think most of them are quite focused on just supplying to the Indian market at this stage .

Himanshu Upadhyay : One more thing in the presentation what we see on the conductor side so Q2 , the volume growth is much ahead of the revenue even in our order book which is high, the volume would be much higher than the value terms or what was there last year. Should we assume that?

Kushal Desai : So there is no correlation in that. So it all depends upon the time you have book the metal and because you could have a metal that was booked one year ago, when the metal price was...

Page 31 of 37 Himanshu Upadhyay : That is the whole reason I wanted to understand ?

Kushal Desai : You will not be able to correlate because that is such a dynamic picture that it will keep on changing depending on that is the reason why we go by EBITDA per metric tonne as metric because aluminum was at a relatively lower price a year ago or two years ago, people have taken advantage of even COVID time and booked two years in advance and hedged metal, so you can have a different price points on the metal so the metrics that we look at is EBITDA per a metric ton and the amount of conventional products versus premium products because that is actually the measure by which one can get an idea in terms of sort of realization and margin company can have so otherwise the correlation is very difficult to track and explain .

Himanshu Upadhyay : Okay and one last thing you see we want to raise capital nearly 1000 Crores and we gave a dividend of 160 ?

Kushal Desai : I am not in a position to answer on that as regulation does not allow us to comment at all on fund raise so we will defer that question at this stage.

Himanshu Upadhyay : Okay thank you. But I think the document what has been sent on the postal is very vague and I think some more clarity would have been beneficial for us to understand .

Kushal Desai : You may want to take it with the regulator .

Page 32 of 37 Himanshu Upadhyay : Okay thank you.

Moderator: Thank you. The next question is from the line of Abhijeet from YES Securities. Please go ahead.

Abhijeet : Good evening, Sir. Congratulations on a very good set of results .

My question is on the US export market, so as I understand it last year conductor revenue was around 7000 Crores and you mentioned 25% that was from US? Around 1500 Crores odd revenue from US and given the size of electricity consumption, size of electricity market in the US, I assume this as percentage of market and their target to increase the contribution from the renewable sources , the market is quite huge in terms of compared with the revenue that we have right now so the scope to

increase

the revenue new forward is huge for such a big market so what is our strategy going forward to penetrate and to get more revenue from the market and what is the kind of competitive landscape that you are seeing there? Are there local players or there are players who are exporters like us from the different countries , can you comment on that and our strategy in terms of increasing our market share in the economy

Kushal Desai : So I have limitations Abhijeet is in terms of again what I can specifically answer . I will just stick to what I had mentioned earlier as well as in all our previous communication that all of these countries have signed up to this, decarbonization through, you know, COP 26, COP 27, etc. They have all set up significant

Page 33 of 37 target s. If you go to an investor presentation deck, you will see various charts and things which are supporting what sort of growth is expected over the next 15, 20, 25 years in these markets as far as renewable energy is concerned so all I can say is that we have had a focus on U.S. market. We have been engaging with various utilities there and we have been engaging with various EPC players there so it has for the last few years been a very strategic market for us. It will continue to be a strategic market 26% of APAR revenues comes from the US market so it is clearly market of focus for us and unfortunately , I am not in a position to you

know answer anything specifically on forecast in the future etc ., as such but as the execution plan happen in the US based on whatever announcement these governments have made and the targets that they have taken it is natural thing that demand will sort of follow.

Abhijeet : I understand demand scenario is very strong in the next 10 -20 years, but what about the competitive scenario there in terms of supply and how favorable are we placed to capture the incremental demand that comes out of these markets?

Kushal Desai : Again, I understand, but unfortunately Abhijeet I can not answer that, given the fact that this gets into the area of, future and forecast so I can not specifically answer that I just want to clarify that the export that we have to US 16 % of APAR total revenue in FY2023 so it is very significant market from that standpoint .

APAR Industries Limited

October 26 , 2023

Page 34 of 37 Abhijeet : Thank you so much.

Moderator : Thank you. The next question is from the line of Sakshee Chhabra from Svan Investment . Please go ahead.

Sakshee Chhabra : I wanted to understand that the dealer that you mentioned about was that only pertaining to exports or is that even on the domestic side?

Kushal Desai : This is pertaining specifically to a large importer distributor in the United States and Europe because the supply chain were broken during COVID and it was taking very long to get containers, shipment, clear the demand and deliver them to client side all large importers, distributors in the United States and Europe were having elevated levels of inventory. So domestic side that problem never really existed so this is purely US and Europe sort of phenomena.

Sakshee Chhabra : So then what would be the reason that on Q-o-Q basis there has been dip in the domestic side of cables business?

Ramesh Iyer: Well, it depends on the orders and execution we typically do not look at it on quarterly basis .

Kushal Desai: But there is net increase that has happens in terms of if you at Q2 on the domestic side, Q2 of our domestic side is higher than the same period previous year so overall growth in the domestic side of the business in fact the domestic demand for cable was always

APAR Industries Limited

October 26 , 2023

Page 35 of 37 strong and it continues to remain strong and APAR has chosen to

focus more on the export because we were getting better realization and higher profitability , good cash flow but the domestic demand for wires and cable has remained reasonably strong through the year in fact in FY2023 domestic demand in India grew by 20% plus compared to the previous period of wire and cable category.

Sakshee Chhabra : Okay but there is no specific reason for the sequential dip ?

Ramesh Iyer: It has grown as compared to Q1 growth rates may have slightly come down, but overall there is growth in Q2 as compared to Q1.

Kushal Desai: That number there is actually a year-on-year growth as well as sequential growth in the cable domestic side .

Sakshee Chhabra : Okay, so the difference is only because of export ?

Kushal Desai: Yes. Export shipment in Q2 were lower, growth percentage was lower than previous period . As you know destocking that phenomena started fundamentally when you want to reduce inventory from holding 8-10 months down to the normal two to three months, we have about six months of excess stock which has to reduce so that is the phenomena which has been basically seen .

Sakshee Chhabra : Can you also explain the disconnect that is there on conductor side between the realization on EBITDA per unit, on quarter-on-

APAR Industries Limited

October 26 , 2023

Page 36 of 37 quarter basis, the realization has come down but the EBITDA per unit has gone up?

Ramesh Iyer: So the realization is different thing it depends price on your aluminum or copper so that is why typically it is good to look only at EBITDA per metric tonne because the prices of metal fluctuates .

Kushal Desai: For the quarter there is no correlation with the prices that exist in that quarter , it depends upon the hedging, when order was placed, what the client requires from us in terms of hedging etc. So that is reason why keeping on track on per tonne realization is not easy to track . Earlier I explained that the company if the customer asked us to hedge it for six months in advance then we would hedge it, now in the six months if aluminum goes up then that is precisely the reason why the client wanted to hedge the product and fix the pricing on it so it is difficult to see the realization per ton and that is the reason why we focus on EBITDA per ton as well as what is the percentage of premium products that are sold that will give you an idea of mix which will drive the profitability.

Sakshee Chhabra : Got it .

Moderator: Thank you. As there are no further questions I would now like to hand over the conference to Mr. Kushal Desai for closing comments.

Kushal Desai: Thank you everyone for joining our call for this quarter and I also like to wish everybody season greetings and very happy and

APAR Industries Limited

October 26 , 2023

Page 37 of 37 prosperous Diwali and New Year which is pending in the next few weeks so thank you very much for joining us.

Moderator : Thank you. On behalf of APAR Industries Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

SEC/ 0502 /202 4 By E-filing February 05, 2024

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Investors Conference Call made on Un-audited Financial Results (Standalone & Consolidated) of APAR Industries Limited (the Company) for Q 3FY24.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer our letter no. SEC/ 3001 /202 4 dated January 30, 2024 w.r.t. submission of link of Audio Recording of post Investors Conference Call made on Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 3FY24 .

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith the transcript of the Investors Conference Call made on January 30, 2024 on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 3 and Nine Months ' period ended December 31, 2023 .

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)

Company Secretary

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India

+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India

+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

"APAR Industries Limited
Q3 FY '24 Earnings Conference Call"
January 30, 2024

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND
MANAGING DIRECTOR – APAR INDUSTRIES
LIMITED
M R. CHAITANYA DESAI – MANAGING DIRECTOR
– APAR INDUSTRIES LIMITED
M R. RAMESH IYER – CHIEF FINANCIAL OFFICER –
APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

APAR Industries Limited
January 30, 2024

Page 2 of 33

Moderator: Ladies and gentlemen, good day, and welcome to the APAR Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies.

Thank you, and over to you, sir.

Ambesh Tiwari: Good afternoon, everyone. This is Ambesh Tiwari from S-Ancial Technologies I welcome you all to the Q3 FY '24 Earnings Call for the APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director and the CFO, Mr. Ramesh Iyer.

I would now pass on the mic to Mr. Kushal Desai, for the opening remarks. Thank you, and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone, and a warm welcome to APAR Industries Q3 Earnings Call. I'd like to provide first a brief overview of our performance, then follow that up with a few industry updates, and then we can get into some of the specific segmental performances of the three businesses. Post that, we'll be happy to host questions.

So, during Q3 FY '24, the consolidated revenue came in at INR4,013 crores, which is 2% higher than the same revenue previous quarter -- previous period. The revenue growth was a little bit lower subdued due to very high volumes of exports, especially of cables that had happened to the US market in the last quarter of Q3. And there has been a level of deinventorization and that whole process taking place as we've mentioned in some of our previous calls, the global sales growth ex the US, however, grew by 17.2% in Q3. The export mix was 39% versus 50.2% compared to the period last year.

APAR Industries Limited
January 30, 2024

Page 3 of 33

The EBITDA is up 24% year-on-year to INR432 crores at a margin of 10.8% versus 8.9% a year ago. Profit after tax came in at INR218 crores, which is 28% higher than in the previous year. So, this represents 5.4% PAT versus 4.3% in the year ago period. Now if you look at the 9 months, the consolidated revenue is up 14% year-on-year and has reached INR11,711 crores, the export mix was at 45.6%, which is pretty much the same as what it was for the 9 months last year at 45.4%. The EBITDA for 9 months is at INR 1,174 crores, which represents a 42% increase compared to the same period previous year. The EBITDA margin is at 10% versus 8% from a year ago. Profit after tax is up 49% to reach INR589 crores with a profit after-tax margin of 5%, and that's 120 basis points higher than 9 months of last year.

In terms of a few updates in the power sector as such, the Central Electricity Authority has reported that 3,841 circuit kilometres of transmission lines were added in the third quarter, which is ahead of the target that they have set of 3,590 circuit kilometres. In the 9-month period, 9,047 circuit kilometres of transmission lines have been added. And this is against a target of 16,600 circuit kilometres. So, we are hoping that in the fourth quarter, that is the Jan-March quarter, the pro rata addition will be higher than in the previous 9 months given that this is some of the best climatic conditions for project execution.

On the substation front, India saw an addition of nearly 38,336 MVA or substation or transformation capacity in the 9 months, which is 61% of the planned addition of 61,404. So here, we are lagging a little bit behind, but the order books by various transformer companies and other component suppliers into substations continues to remain pretty strong.

If you look at the

ministry of new and renewable energy, we have set a target of awarding 50 gigawatts of renewable energy capacity including 10 gigawatts per annum from wind energy between 2024 and 2028. In the recent COP 28 Summit, 118 countries have agreed to triple the global renewable energy capacity by 2030.

APAR Industries Limited

January 30, 2024

Page 4 of 33

So, the current level is 3,400 gigawatts and these pledges are to take it to 11,000 gigawatts. In addition to this, the Prime Minister a short while ago, has also announced a very ambitious plan of about INR1 lakh crore of rooftop solar, which should be implemented across India. So, there is still a lot of discussion and movement going forward for this renewable energy addition to happen as part of the increase in energy consumption and as part of the energy transition.

Now coming to the individual business performances, our Conductor business revenue in Q3 FY '24 grew by 4% year-on-year to reach INR1,985 crores.

However, the volume has grown by 14% in the quarter. Aluminium prices have been lower, and that is what has -- it's almost 11% lower than in the same period previous year, which is why the revenue number has been lower.

Sales ex the US because the US is the second largest market after India for us, even for Conductor actually recorded a 28.3% growth year-on-year. The domestic deliveries of aluminium AL-59 and HTLS conductors as well as aluminium rods have remained in fairly good demand. The export revenue contributed to 40.2% of the division overall revenue versus 49.6% in the year ago period.

The premium products contributed to 42% of the revenue mix. The EBITDA per metric ton post forex adjustment is at INR41,530 per ton from a good product mix of these premium products and also a higher share of exports to countries where the margins have been relatively good.

Our overall order book is at INR6,081 crores with a share of about 40% coming from premium products. Mind you that in terms of the standard products on conductors, a transition is happening from ACSR to AL-59 alloys, which is definitely more beneficial to technologically focused companies like ourselves. Furthermore, the slowdown in the US market order inflow due to the inventory rationalization that I spoke about earlier has been pretty much offset by strong domestic demand. The upgrade in the specifications that I mentioned of ACSR to AL-59 alloy has actually created a win-win situation for manufacturers like APAR as well as for transmission line owners because this results in a reduction in the total

APAR Industries Limited

January 30, 2024

Page 5 of 33

cost of ownership of the transmission lines. So, this effect has started, and we believe that the full effect of this is going to play out over the next few years.

In the 9-month period, revenues came in at INR5,703 crores, which is up 17% year-on-year. Export sales contributed to 46.7% of the revenues versus 43.4% compared to a year ago period. The volumes are up in the 9 months by 36% year-on-year. The EBITDA per metric ton is at 39,777, which is 5% higher than in the previous year.

Coming to the oil division. The Q3 FY '24 revenues came in at INR1,244 crores.

The volumes are up by 8%, transformer oil volumes are up by 16% year-on-year.

Exports contributed 44.3% of the revenues. The EBITDA post-Forex adjustment for the quarter came in at INR8,157 per KL, which is higher than what has been, not only last year, but in the previous quarters, and this is reflected from slightly better pricing and a lower cost profile than we had.

Part of this increased profitability was due to a delay in shipments of base oil and given that Q2 cost structure was lower than Q3, there has been some -- the weighted average cost of inventory has been a bit lower that has added to some incremental profitability in the quarter.

Lubricant revenues came in at INR281 crores, with a volume of about 17,945 KL. During

the 9-month period, oil revenue is up 5% at INR3,640 crores, the volumes are up by 13% in the 9-month period. Transformer oil volumes in this period are also up by 12%, and the EBITDA per KL came in at INR6,257 per KL. Our lubricant revenue is at INR703 crores with a volume of 52,812 KL for the 9-month period.

Now coming to our Cable business, revenue growth remains flattish versus the previous year. And as I mentioned, this is almost fully attributable to the inventorization process of US customers. So, if you exclude the US, the rest of the geographies grew by 24.1%. Exports has contributed 31% of sales versus 60% in the year ago period. The EBITDA continues to post double-digit margins at about 11.5% in the current year. For the 9 months, cable revenues are up 20% year-on-year at INR2,773 crores on the back of an increase primarily in elastomeric cables.

APAR Industries Limited

January 30, 2024

Page 6 of 33

Global sales, excluding the US is up 43% year-on-year. And the export mix for 9 months is at 43.7% versus 50.7% a year ago period. The EBITDA post foreign exchange for the 9 months is at 11.4% versus 9.8% in the previous periods. The US order intake is showing signs of revival post this inventory rationalization that we've just spoken about. We are clearly seeing an increased level of inquiry and orders, which are getting finalized do have delivery periods which are coming towards the end of FY '24 early part of FY '25. So, it means in March of this month and largely in the first quarter onwards.

We are also receiving similar feedback from the European Union countries where a similar process has also happened. On the downside, we have seen that the wars committed in the Red Sea has affected the shipping rates. And the frequency of vessels flying back and forth has also increased due to it having to travel around the Cape of Good Hope in Africa as opposed to through the Suez Canal.

So, markets on the other side of the Suez Canal like the US, EU, LatAm and West Africa, there the effect is higher. When you look at East of India, then there is relatively a much lower effect. There has been a sudden increase in freight due to diversion through the longer route, but we also see some of the price increases that carriers are charging as being opportunistic.

And therefore, over a period of time, there is a possibility that these freight prices will start getting rationalized again. The higher freight is hurting competitiveness of future business from locations like India and the UAE with respect to the markets that I just mentioned, it is really unclear how long this will last, but we are quite optimistic that this upward trend and upheaval in freight prices will settle down in the months to come.

Having said that, we remain optimistic that the basic growth drivers that we've been talking about for the last couple of years, both in the domestic and global markets remain intact. We have further updated our corporate presentation and the company profile and its performance, which is available on our website. We would encourage you to please access the same as it does carry a great level of detail much beyond what can be discussed on this call.

APAR Industries Limited

January 30, 2024

Page 7 of 33

So, with that, I'd like to come to the end of my comments. I thank all of you for joining this call, and we can now open up the floor to questions, please.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on a very, very good quarter. Sir, my first question is on the HTLS

opportunities. Are we seeing a larger traction from the state utilities or big power grid? Are you seeing more tenders compared to last year? That's the first.

Chaitanya Desai: Yes, we are seeing -- there is an increasing interest in -- of more HTLS lines. But some

of the timing of those tenders is unclear to us as to when exactly those will fructify. But nonetheless, the trend is definitely positive and upward.

Kushal Desai: There is a statistic that sort of indicates what the trend of this is going to be that if you see quarter-on-quarter the delta and power consumption that the growth in power consumption in India has been increasing. And in the last quarter, it touched almost 9-point-some percent over the previous year.

So as this trend takes place, the opportunities for reconducting with HTLS line is going to continuously increase. A number of tenders have been lined up, but you will have a small period due to maybe the Indian election from where awarding of some of these tenders may get delayed by a couple of months, but the trend is very positive.

Mohit Kumar: My second question is on the conductors broader number, given the fact that a lot of transmission activities picking up in this country. And do you expect the domestic contribution to inch up and in sense, could there be a shift for the standard conductors to be supplied to the Indian market basically for next 2, 3 years, when you see the activity is very, very high, it looks like that.

Kushal Desai: So, Mohit, the Indian market remains very strong, as you mentioned. And that's how when there has been a slowdown in the US market was completely picked up by demand in the domestic market. What is interesting for us is that the transition has happened from using aluminium conductors, which are still reinforced, which

APAR Industries Limited

January 30, 2024

Page 8 of 33

is at the bottom of the value chain. It has moved to the next level, which is the AL-59 alloy-based conductors. So that has clearly made the Indian market more interesting for manufacturers like us because there is a higher technology involved in providing those products, the competitive intensity is lower. And we see this trend -- it's already become now the default product.

So, in the domestic market, you'll see less and less of the ACSR and AL-59 becoming standard. So, in the next few years, because if you have such a strong growth on the renewable energy front, the transmission line requirements are also going to be very strong. And as we said in the previous calls, because AL-59 has become the standard, and it's a win-win situation both for manufacturers like us as well as for the end owners of the line.

The competitive intensity has reduced because many players who have not invested in alloying capability and technology where today are not relevant and they either shut down their businesses or reduced the amount of business that they do in conductors, especially on the transformation side.

Moderator: The next question is from the line of Renu Baid from IIFL Securities.

Renu Baid: Congratulations for the strong performance. I have a few very basic questions.

First, sir, if you can share any updates on the status of the BharatNet telecom tenders. Where are we in terms of order finalizations across these projects?

Kushal Desai: So, Renu, the BharatNet -- it's at the stage of industry discussion. So, several rounds of discussions have happened and feedback has been sought. So, there are various packages there are 4 mega packages, and there are 4 smaller packages, which are being proposed. And the guidelines of that have been shared and industry participants, there have already been multiple rounds of discussion and feedback, which have happened.

So, our sense is that it's a tender that could possibly come out. I know they're racing a little bit against time because of the impending elections. But it's at a really advanced stage in terms of getting finalized.

APAR Industries Limited

January 30, 2024

Page 9 of 33

Renu Baid: But in your view of the tender, what would be the probability of the tenders getting pushed back because of the election code of conduct coming in by late February or

early March?

Kushal Desai: The sense we have is that they are trying to do this in time. Because the networks are very large and the more time that is lost. It's -- the Prime Minister really wants rural telecom connectivity to increase. So, if you don't do it pre elections and you'll probably lose 3 to 4 months at least.

Renu Baid: So, I guess 6 months then probably we'll have to just...

Kushal Desai: Election period to get yourself mobilized and these 3 months only.

Renu Baid: Okay. Coming to the core business of Conductors, I think consistently, we have -- the business has been faring much stronger than what even we have been expecting. So first, as you mentioned, that there is a structural shift from ACSR to AL-59 range. While this is beneficial for industry and for suppliers like you, what does this mean in terms of differential in either realization per ton or EBITDA per ton when we compare it with the conventional ACSR. So approximately what percentage differential is there.

And based on this, given this transition is now very much visible, how should we look at the longer-term EBITDA per ton numbers for us, maybe from a fiscal '25, '26 perspective. So earlier, we were guiding for long-term ranges of INR25,000, INR28,000 per ton. So now based on this shift, how should those long-term numbers look like?

Ramesh Iyer: Yes. So first, in terms of AL-59 was the ACSR, as the product itself is different and it's a much more improved product than the ACSR type conductor. But there are a lot of competition, a lot of players who manufacture the ACSR type, but it comes to AL-59 there are just few players there because the product is different to manufacture. And the quality is different.

Also, the realization -- more than the realizing the margins are better because the weight of the conductor is much less because of the characteristic that it has and

APAR Industries Limited

January 30, 2024

Page 10 of 33

it is less corrosion material also. And we have been seeing more volumes coming from this AL-59 type conductors in the recent past.

So, if you look at the overall Conductor division, the EBITDA margin are high because of various factors. The export mix has gone up. We are selling more of AL-59 conductors. The premium products proportion has gone up so it's a combination of factors that has actually led to the high EBITDA. And this has been consistently happening over the last few quarters, more than a year now.

Coming to your question in terms how do we see it in future will be, we give guidance on a long-term perspective. We don't give a very short-term quarterly or half-yearly guidance. But if you look at it from a long-term horizon point of view from 3 years to 5 years point of view, we feel that given the mix change because of the product characteristics are evolved, we feel that the conductor margins could be anywhere above INR28,500 per metric ton plus the tailwinds so that we keep on getting it on, EBITDA.

So, our guidance has been improved over the last 1 year. But as it is visible as of now, we feel that long term, 3 to 5 years, it could be anywhere from INR28,500 plus tailwinds.

Renu Baid: Got it. And just from academic understanding perspective, I mean, as you mentioned, the share of AL-59 in the conductor mix has been increasing. Can you help us quantify from being negligible a few years back, where does it stand today? And as an industry leader in your view, since the 2 years by fiscal '26, how large could be the share of AL-59 within a conductor mix in the domestic market?

Kushal Desai: So, Renu what happened is that the Central Electricity Authority has now made this AL-59 as an option to bid against for EPC players. Now given the weight versus current carrying capacity it's really beneficial to use AL-59 versus ACSR. So as a consequence, it is becoming the standard. The option is given it's like literally a no-brainer to go with AL-59 versus ACSR on a cost

of ownership basis.

So, our sense is that all these interstate lines and even longer intra-state lines will all move towards AL-59 as a base as far as India is concerned. Because it's a lighter

APAR Industries Limited

January 30, 2024

Page 11 of 33

conductor that can face much lower amount of aluminium in it. So lighter in the

sense that it doesn't have steel. It's a full alloy aluminium. For the same weight of aluminium, you can carry a higher current. So now -- so either you carry more current on the same line, if we want to carry the same amount of current on the line, you use lesser aluminium.

On top of that, because the conductor is lighter, the tower structure itself is considerably lighter. You can also increase the span between 2 towers. So, it means that the total number of towers can also be reduced. So, there are a lot of parameters that a good -- a good designer has in their hand to optimize the use of the AL-59 versus in the case of ACSR, you don't have much flexibility in terms of how you can design the line. So that's why given the option, this should become pretty much the standard in India. I hope that answers your question.

Moderator: The next question is from the line of Mr. Mehul Mehta.

Mehul Mehta: My question is related...

Moderator: Sorry to interrupt, sir. Your line is not at all audible. May we request you to use the handset mode, please, if you are using the speaker more?

Mehul Mehta: My question is with relation to transformer oil business for 9 months, transformer oil business has grown at 16%. And for 9 months, it has been 12%. So, it's quite appearing accelerated growth. So how would that be in terms of order inflow can you share for 9 months? How we have seen like in terms of transformer oil?

Kushal Desai: So, you see -- our callers on transformer oil basically happens largely from transformer OEMs, and they are ready to deliver their transformers and when utilities are ready to accept the transformers at their site. So, I -- so it's sometimes a little misleading just looking at 3 months. But having said that, if you go around all good transformer manufacturing companies, not only in India but in most parts of the world, have a very solid order book in place.

And given all these lines, which we are talking about, these transmission lines and in the case of transformer oil for APAR, it goes into the generating point, it goes

APAR Industries Limited

January 30, 2024

Page 12 of 33

into transmission substations and it goes into distribution. So, when you aggregate all of those 3, we see that there will continuously be addition happening. And this growth we have seen both in India as well as outside India.

Mehul Mehta: And sir...

Kushal Desai: So, in short, if you take a 1-year, 2-year, 3-year perspective, it is going to grow linearly with the addition of transformers and the transformation capacity.

Mehul Mehta: Right. So, in terms of, say, like 16% when we are seeing like volume growth for transformer oil, can you share like in, sir, last 2 years, what would it have been and how it has been accelerating?

Kushal Desai: Well, I mean, it is up 16% quarter-on-quarter and 12% year-on-year. And we've been guiding that even though the oil vertical itself may see about a 5% volume growth, we have been guiding that transformer oil should see a double-digit growth, and that's what is actually panning itself out. So, if some of these plans is they are talking about, this is far behind on the transformation capacity, as I mentioned in my opening remarks, if that is accelerated, then again, requirement of transformer oil will continue to grow.

So basically, over a period, we are very optimistic that this will be the lead product in terms of growth in the oil vertical. And if you see it's the strongest products that APAR has both from a domestic end point as well as what we export.

Mehul Mehta: All right. And sir, if I understand corre

ctly, like our focus is mainly on power

transformer oils rather than distribution. Is that correct understanding?

Kushal Desai: So, we have a higher market share in terms of power transformers because our oil is really the best that's out there. And it is the preferred oil with OEMs, especially as they go higher and higher in terms of capacity. Like, for example, if you take 800 kV HVDC which is the highest voltage type of transformer here, we have more than 90% market share. But as you go down into the distribution transformers, the differentiating criteria is less, and the transformer OEMs are also

APAR Industries Limited

January 30, 2024

Page 13 of 33

very widespread. There are many small distribution transformer manufacturers who

quote on tenders of the state electricity boards, etcetera.

So, there's significantly more price sensitive. So even though we have a good presence even in the distribution side, we have a more dominating presence on the power transformer side. But our products are available across the entire age.

Moderator: The next follow-up question is from the line of Ms. Renu Baid from IIFL Securities.

Renu Baid: I had two follow-up questions, one on Conductors and Cables. So, coming back on conductors, while now in the last 2 quarters, we have seen a substantial jump in the order backlog to almost INR6,000 crores. How should we look at the volume growth for fiscal '25, given that the backlog is already there with us today? And the execution timeline of this order book should be in the next 12 to 18 months?

Ramesh Iyer: So, we are looking at a 15% volume growth on the conductor division for the year ahead. And in terms of the order book out of INR6,000 crores, about 25% of the order books that will get executed post FY '25, we have got the orders now, but the execution of that will start post FY '25. And the remaining months of the execution timeline, depending on the product ranges anywhere between 7 -- 6 to 7 months.

Renu Baid: Do we have any L1 number to share on the order book for Conductors, projects where we are on the L1?

Ramesh Iyer: No, we don't share these numbers.

Renu Baid: Secondly, on the Cables portfolio, while you have mentioned of the US inventory destocking. Incrementally, as the supply chain issues are now propping up again, have we seen customers coming back with orders with slightly elongated delivery timelines. So how is the outlook looking again for US marketing specific and do you think most of the inventory destocking concerns which were there behind us as we step into CY '24?

Kushal Desai: So, first Renu, the inquiry level has started picking up. And so that is the first good sign that if your inventories for all products have been high, then there was a

APAR Industries Limited

January 30, 2024

Page 14 of 33

silence literally in terms of inquiries. The dialogue was more like "yes, yes, requirements will be good for next year, we'll come back to you." So instead of that now, you're quoting on an increasing basis against inquiry. Your question in terms of the longer lead time, yes, there is a 15-day longer lead time if you go around the Cape versus through the -- through the Suez about 15, 18 days is the longer time frame. Customers today have been giving us DDP requirements. So, door delivery, the time they want the product to be delivered at the project site or the warehouse. So fundamentally, that will result in us manufacturing the product 3 weeks ahead. and shipping it out. So that's why we see offtake increasing basically as we move towards March, and then there's a lot of more deliveries expected to happen in the April, June timeframe.

The other thing Renu is, the product mix also. We are finding that medium voltage cables and certain types of cables, the inventory levels being held are lower than in the building wire, the house wires and the more simple type of cable. So, we are starting to see more orders

coming off some of the higher value products first where the inventory levels are a bit lower.

Renu Baid: My second question on the Cable was related to the mix itself. Can you just give us share a broad indicative mix for the 9-month period? How has it been between the high voltage and low voltage and specifically for high voltage and special application cables, how do we stack in terms of mix for telecom, solar, renewable products?

Ramesh Iyer: So out of our total sales, about 25% to 30% is the elastomeric cables, which is rubber flexible cables that gets used in different industries. And then OFCs will be about 10-odd percentage and the remaining would be the power cable.

Renu Baid: Got it. And in terms of geographic mix, how large would be US for you for the 9-month period?

Ramesh Iyer: This year, US has been low because of the reason that we talked about earlier...

Kushal Desai: Maybe a third quarter.

APAR Industries Limited

January 30, 2024

Page 15 of 33

Ramesh Iyer: The mix also of cable, exports in cable, which is less this year. So, this year may not give the right number to really see that.

Kushal Desai: Last year, in FY '23, it was about 16% of the total revenues of APAR.

Renu Baid: Got it. And lastly, if I can ask 1 more question, given that Cable structurally is a high-growth segment for you, and there is significant capacity addition also which we have committed here. So, if you look at from a longer-term perspective, from a 2- to 3-year perspective, fiscal '25, '26, how do we look at the volume growth in the segment to ramp up? And along with volume with increasing mix of specialty of cables here. How do we see the margin expansion story in this segment planning for us?

Kushal Desai: Yes. So, we've been guiding through the last quarter as well as through leading up to the QIP that we had. We expect the sale, the Cable business to grow at about 25% a year CAGR for the next few years. There is a strong -- basically, a lot of electrical usage is increasing. And as a consequence, all types of cables, there is a growth. The areas where we are focused in, which is primarily around wind, solar, the railways, defence, mining, etcetera, which is the elastomeric cables where we stand to gain relative to our competition.

And there are more complex products to make where we also carry a higher margin. So, we see the demand for this product being quite strong. And there's a big revival happening in the wind sector. And also, the government has recently come up with a new scheme where you can upgrade your old wind farms.

So, if you see some of the locations which have the best plant load factor of wind, we have been occupied several years ago with windmills of smaller capacity because in those days, that is what was the product available. So, you have 2 to 50 kilowatts, 500 kilowatts, which can today be replaced by 3.5 megawatts. So, they have come up with some schemes for helping these wind developers upgrade their products. And the other feature to this is that in case you have existing PLA agreements, etcetera, it is going to be applicable only for whatever was the original installed capacity.

APAR Industries Limited

January 30, 2024

Page 16 of 33

Any new capacity that comes in, you're free to use whatever other avenues that are available. So, these sort of things coming in, it is going to result in a substantial increase in the amount of wind capacity going into the country. And if that happens and APAR stands to gain because we have -- we are by far the big daddy in the cables that go into the wind towers.

Renu Baid: And that should also help our margin profile to come to early teens, 12%, 13% level.

Kushal Desai: Hopefully, yes.

Moderator: The next question is from the line of Dhananjai Bagrodia from ASK.

Dhananjai Bagrodia: Congratulations on a great set of numbers again in this environment. Just a question on your conductor business. How are

we seeing that in terms of capacity

because our volume growth has been strong, but do we have capacities, 2 or 3 years, hence, to continue with the same kind of growth?

Ramesh Iyer: Yes. So, as we stand today, we have the capacity of 2,05,000 metric tons. And in terms of additions, we have been increasing the capacity depending on the demand requirement. So as and when we are seeing the demand coming up, we put up the facility for manufacturing almost about a year in advance. So, as you see growth of 15 percentage volume coming on the year, you will see capacity also increasing in that to proportion.

Dhananjai Bagrodia: No. But this year, for example, FY '24, your numbers could be higher than 2,05,000. Is there some inventory from last year, which is also being sold because then a year hence from today, let's say, FY '25, '26 to show 15% -- let's say, there's 15% or 20% volume growth. Would that be easily feasible to get the increased capacity?

Kushal Desai: So, this year, we already have capacity in place. So, if you take the plan for the year, it is around -- we had originally planned for about 175,000 to 180,000 tons.

We will be closer to 2,00,000 tons in this year. And already -- additions have already been planned to be able to cater to a 15% growth in FY '25.

APAR Industries Limited

January 30, 2024

We've acquired new properties, which if you look at the previous call that we've acquired properties or some of the cable manufacturers in Silvassa who have actually shut down. And so, we will install new equipment in those properties and scale the business up. So, 15% per annum is what we are looking at next year and even for the year after.

Dhananjai Bagrodia: Okay. So, it takes 1 year prior to get scale and production ready, right?

Kushal Desai: Yes, yes. We've already started ordering equipment and stuff depending on the lead times.

Dhananjai Bagrodia: Okay's. Perfect. And sir, secondly, just maybe as your risk player, are you all seeing -- in the transformer, are you seeing more growth coming ahead in the power and distribution transformers going ahead?

Kushal Desai: Sorry, can you come again?

Dhananjai Bagrodia: Yes. So are you all seeing good growth ahead in power, distribution transformers.

Kushal Desai: Absolutely. We're seeing growth in both the power transformers that go into the transmission side as well as on the distribution side. It's just that for us, the growth that happens in the case of the larger power transformer is because we have a higher market share and a good differentiating story where we tend to gain more. But the transformer demand is strong across the entire spectrum.

Dhananjai Bagrodia: Okay. So then -- and particularly, any -- in terms of -- are you all seeing it in any particular regions or between utilities in private or public enterprises for power and distribution?

Kushal Desai: So, you see it across right from your RDSS onwards, all these new transmission lines which are being added all the sites with -- you have wind and solar going in because basically you would need 3 substations. You need 1 substation to raise the voltage level after generating source. Then you need a transformer, which is either an aggregate transformer or a step-down transformer. And then you need a third substation, which is closer to the last mile user.

APAR Industries Limited

January 30, 2024

So, the three substations required -- basically if you look at the chain. So, across the board there will be demand in states where the electrical growth or the requirement for electricity is increasing, you will obviously have more transformers going into service that region. But generally, in India, all the industrialized states you are seeing very good electrical growth or electrical consumption.

Moderator: The next question is from the line of Mahesh Bendre from LIC Mutual Funds.

Mahesh Bendre: Most of my questions have

been answered. Sir, during the quarter, our international business has been quite soft, both on Conductor side and Cable side.

So, do you think recovery will happen from next quarter onwards?

Kushal Desai: Yes. So, it is relevant soft lead essentially by the US market. And as I mentioned earlier that we've already started seeing an increased inquiry level coming from this. And on the Cable side, the order inflow has started even on the Conductor side, there are increased inquiries and some order flow is looking likely to come through. So yes, as you look at FY '25, you will see that the number will be better than FY '24. Increasingly, it looks like that that's going to happen.

Mahesh Bendre: And sir, along with this Red Sea issue regarding the shipping of the products, so that will also have some implication in terms of supplying products to US and other countries?

Kushal Desai: So, the US is a little bit less affected. What is more affected is West Africa and Europe because basically, to get to the other end of the Red Sea, we go down South, you go to West Africa and if you carry on forward you hit Europe. So, the effect is a bit more there because the diversion is very, very long.

In the case of the US, the diversion is more in terms of 15 days to 16 days of additional sailing time. And the rates have gone up, but the delta and the rates is less than what has happened in the case of Europe and West Africa, particularly.

And Latin America, there is an increase in rates. But again, not such a huge disruption compared to -- compared to what it is in Europe because, again, you can use effectively the -- going around Africa.

APAR Industries Limited

January 30, 2024

Mahesh Bendre: Sir, has the situation normalized or still it's in -- quite concerned?

Kushal Desai: No, it's not -- it's nowhere near normalized. Where still the Houthis are still there with the drones firing away and the militaries are all trying to chase them down.

So that hasn't -- I mean I think that channel is still not back to anywhere close to what it was. All the good carriers are actually diverting their vessels through the -- through the tip of Africa.

Moderator: The next question is from the line of Levin Shah from Motilal Oswal Asset Management Company.

Levin Shah: Most of the questions have been answered. To the question on conductors margin, you just alluded that long-term outlook or the long-term number continues to remain at around INR28,500 plus tailwinds. But what we have observed is that after 2 quarters of muted number versus previous few quarters.

In this quarter, again, we have seen some improvement. Is it because of US market going down versus the previous quarters and domestic conductors like you said, AL-59 is the dominant one that has helped our margins or you see the tailwinds continuing for a longer period of time versus what was expected?

Ramesh Iyer: So, there are these reasons, as I mentioned, it's a combination of now overall premiumization of the product portfolio in the Conductor division. That is point number one. And the sale to developed countries, developed economies, the one on exports happening. AL-59 replacing ACSR is happening. So, while the tailwinds are there, we don't expect the tailwinds to have go down immediate effect or so.

So, we don't expect suddenly the margins to drop in the few quarters. But all that, we are saying that if you want to build a plan for 2 years, 3 years or 3 to 5 years, then taking a sustainable margin of INR28,500 is what we are guiding for. Having said that, we don't expect in the immediate future, the margins dipping considerably.

APAR Industries Limited
January 30, 2024

Levin Shah: Sure, sure. Sure, this INR28,500 number earlier, I think if I recollected correctly, we were guiding for INR25,000-plus tailwinds. So, is there that now we are seeing with all the key tailwinds that you alluded to th

at the margin's outlook has improved
versus what you are seeing previously?

Ramesh Iyer: Yes. So, if you see last couple of years, we have been gradually increasing our guidances from what it used to be INR8,000, INR10,000 couple of years before. As an end, we are seeing opportunities getting established as we are seeing confidence in the products and the market, we are gradually increasing the guidance there. And also because of AL-59 ship that we are seeing, we are now more confident to sustain this level of EBITDA going forward.

Moderator: The next question is from the line of Charanjit Singh from DSP.

Charanjit Singh: Sir, on the -- especially on the acceptances and the interest cost, if you can touch on what is the acceptances number right now? And how should we see the interest cost overall going forward?

Ramesh Iyer: Yes. So, the acceptances is about INR4,100 crores, the LC acceptances, which are there on the books. And interest cost actually is a function of your SOFR rates that is happening plus the rates of metals, aluminium, copper and oil as well as the level of procurement that we do, this will also depend on the exchange rate prevailing. But depending on the volume of the business that we are seeing in the current quarter interest rate is fair approximate that we can see in the future quarters as well.

If you see the last quarter and this quarter has been about flattish was a marginal increase depending on the level of production. So maybe that's the level we can see. When we see interest rates coming down, the SOFR rate coming down, that's where we'll actually let you see interest costs actually coming down.

Charanjit Singh: Okay. So, the other thing is like you've also touched upon non-US markets in the export segment, especially, how is the outlook contributing there? Because this time, actually non-US markets had contributed to decent growth. in the conductor segment. So, if you can touch upon how these markets are evolving? And can they

APAR Industries Limited
January 30, 2024

offset if there's a weakness in the US market at all? And the other aspect is that with a lot of these freight issues, do you see again, inventory levels building up in the channel where the deinventorying was happening in a big way earlier?

Kushal Desai: So Charanjit, this deinventorying thing, as I mentioned, what is happening is that customers are increasingly giving DDP date. So, the adjustment is happening at our end. If the lead time is going up by 15 days or 20 days, and we are exporting the product that much earlier.

In terms of demand excluding US, It has been best in India and in some other pockets in the world also, it has been okay. But it may not replace the US market in terms of the quality demand and the pricing that was available in the US.

Domestic is strong.

So, the volume can easily be substituted with the domestic business. But having said that, we don't see the long-term US market not being there. This is more a shorter-term sort of effect. We were holding up to almost 9 to 10 months of inventory, whereas the law has normally been holding 2 to 3 months. So that 6 to 9 months cycle, everybody has to -- I mean, you have to kind of face it. So, I think that worst is going to be over. And after that, demand will continue to pick up from this, but overall demand is good. So, whether it comes from geography or geography, we -- you will see a strong demand.

Charanjit Singh: Got it, sir. Sir, especially in Cables also, you've highlighted that US and Europe inquiry levels have gone up and in terms of Cables also, the kind of approvals which are required are similar to what are they in Conductors, how is this market shaping up for us in the US and European context?

Kushal Desai: So, in the US context, we've been -- some of the customers that we've started working with, they've come back to us, giving us new products to even get UL approvals f

or those categories get opened up. So, I think our relationships are deepening with EPC players and with customers that we are servicing. So that's the reason why we have confidence that as time passes by, the US market will continue to actually grow and be a very strategic market for us.

APAR Industries Limited

January 30, 2024

As far as Europe is concerned, there, we've been approaching more and more customers. Again, we have a similar sort of feedback saying that from March, April onwards, we should be seeing increased supplies taking place. Many utilities have also started discussions, etcetera, for their requirements that are going to come up in this financial year.

Moderator: The next question is from the line of Maulik Patel: from Equirus.

Maulik Patel: A few questions. Can you just highlight on the capex side? I mean what we planned this year and how much we spent and where you have spent? And what about for the next year if you have finalized the budget.

Ramesh Iyer: So, we had planned about over INR300 crores to be spent in this financial year. And as of December end, we already spent about INR225 crores of capex. Going forward also, we feel that to maintain the level of turnover that we need, we'll be spending about on an average about INR300 crores on an annual basis.

Maulik Patel: Doesn't it mean that increase in your Conductor capacity? Because you mentioned that your Conductor capacity is around 2.1 lakh and you will be running it at around most full capacity utilization. Do you think that you will need to add significant or new facility for the Conductor or is it just more about the brownfield expansion in the existing facility?

Kushal Desai: So, both actually for Conductor as well as Cable, that is where the large portion of capex will be spent. It will be a combination of brownfield expansion, also the debottlenecking of the existing machineries as well as, in some cases, Greenfield setup of new plant as well. So, it'll be a combination of all of these fees that will come in the future.

Maulik Patel: So, the capacity, which is around 2.1 lakh tons, that it will go in the next 2 years? Any rough ideas?

Ramesh Iyer: Capacity will actually grow in line with the demand, as in the demand coming up, which has been setting up the -- keeping the infrastructure ready with the year in advance.

Kushal Desai: 15% growth is what we are planning. So, year-on-year, you'll see capacity getting added based on that 15% growth. So, this year, we are at around 200,000 in the following year, you looking at equivalent of around 225,000 - 230,000. So that capacity has already been planned. Some of the orders of long lead equipment's have already been placed. But on a capex, fundamentally, you're looking at around INR300 crores a year of active capex for the company as a whole.

Maulik Patel: Got it. Got it. And the last one on this QIP money which you have raised almost INR1000 crores. So that has come down -- that must bring down your acceptance level from the H2 number, right? The September end, what was the acceptance? And now you mentioned that it's around INR4,100 crores.

Ramesh Iyer: Yes. So, we have utilized about INR300 crores of the QIP money by December end. And therefore, you see that partial impact in December and financials. And the bulk of the money will get actually spent in quarter 4 of this year.

Moderator: The next question is from the line of Abhijeet from YES Securities.

Abhijeet: My question is on the export side. Last few quarters, we have seen some weakness happening, particularly in the US geography. Can you comment on the underlying demand in US? So, like you mentioned that India is seeing a lot of policy-driven push on the renewable side, like rooftop solar announcement of 1 trillion, etcetera. And US has also been -- I mean, the US policy has also been driving inves

trments
in renewables.

But as far as I understand, there were some pushbacks because of the higher interest rates. So, some projects were getting delayed there. So, in terms of the underlying demand, I mean, I understand that there is inventory rationalization happening from the channel. But underlying demand, can you comment on it a bit, the US particularly?

Kushal Desai: Yes. So overall the underlying demand is still there. We are finding deinventorying happening in products like cables and many other categories where the supply was relatively free, there was a free flow of the supply and they handle overstock. There is today a problem that is there with some of the
APAR Industries Limited
January 30, 2024

components, for example, in a solar plant, if you look at junction boxes and some of the connectors and stuff there, China is the largest producer of that, even solar panels.

So, with the US wanting to source less product from China, there are bottlenecks even in the supply chain. So even if a utility or a customer is wanting to put in capacity at a higher pace, there are some limitations coming from critical components in it.

So as a consequence, it's not that the demand has actually evaporated or got destroyed. It's really -- demand is still there. These or whatever the inventory is being used to service and whatever is not, is being ordered. But items that China dominates is actually -- is creating some bottleneck on the ground.

Now having said that, the indications that we have from most of our customers is that, as we work through 2024 and get into 2025, their demand revival should take place. And we are clearly seeing that with kind of inquiry levels that are coming in and order flow has already begun. So, I mean you add all these things up and I think it leads to definitely 2024 being better than what the situation is as we ended 2023.

Abhijeet: Right. So, I mean, sir, lastly, what I was hearing is -- was that the project costs have gone up a bit. So, one of the variables that you mentioned that sourcing from China has reduced. So alternative sourcing is being done by the project developer there. Also, the interest cost is 1 variable, which is impacting the increased project costs.

Kushal Desai: Yes. So, the interest costs are definitely playing a role because not only is this a cost of interest but then you also have your debt service ratios, which are there. So, if your interest cost goes up, then the amount of leverage you can take also gets reduced. So that effect is definitely in place.

But the way we look at it is, the US imports \$19 billion worth of cables. And there is a huge ocean out there for us to pursue. And our own market share, if you see
APAR Industries Limited
January 30, 2024

Page 25 of 33

the FY '23, which would be the best year that we sold to the US, we were at a little over INR1,000 crores in the US market as such.

So, there is a lot of room to grow and some of that is independent of what happens at the -- I mean if you have a dominant market share, then you will be affected by this. There is -- there are still quite a lot of projects that are going on over there. And so, we are quite optimistic and we are pursuing it.

Abhijeet: Sir, from our current product profile, what is the kind of market that we can serve in US, you mentioned \$19 billion of products. So, what is the market that can be addressed with your current product profile?

Kushal Desai: We can do the entire building wire segment. That means all the cables that go into real estate. We also have UL approval for all the low voltage range. We have an approval which we recently got for the medium voltage that's going up to approximately 40,000 volts. We have other special purpose like, for agriculture and stuff.

We have totally over 20 UL approvals in place and we are continuously adding also based on the demand that's coming from the customers.

These products find themselves to a reasonably large addressable market. It's really working through with customers and through distributors that will be the bottleneck, not the demand as such because if you add all these orders still a drop in the ocean in terms of the total demand that they have.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers.

Bharat Shah: Kushal, on the US cable front, I'm a bit surprised because whatever I am talking to the other cable manufacturers, US situation for cable demand has been very buoyant. I mean, KEI, for example, is running short of capacity. Otherwise, they would have more than doubled their exports to America. So, am I missing something, why America?

Kushal Desai: Bharat bhai, as far as I mean I can just comment from export statistics that we have access to. That if you take FY '23, APAR was the largest exporter to the US, Polycab
APAR Industries Limited
January 30, 2024

Page 26 of 33

was a close second. And KEI's exports was almost non-existent to the US. Their major export markets were in Australia and other geographies. So, they are actually just starting to make their way into the US. And I haven't seen -- whatever data we have so far in the year, I haven't seen them really selling anything or very large quantity in the US.

So, we're in touch with at least 50 plus customers and a whole lot of distributors who regularly buy from India stock and then resell the product. And all of them have a common theme saying they are deinventorying because they were carrying relatively very high levels of stock to insulate themselves from the supply chain issues that existed before.

So today, what products we are delivering is really the makeup product. If you require 4 or 5 different types to go to a site then whatever is missing to deliver an order, that is what they're placing and asking for immediate delivery. New project site deliveries are getting deferred by a little bit.

So that's what the feedback that we have. We have two full-time salespeople on the ground and they are constantly meeting customers over there. And this is the feedback that we have. And we've seen overall exports going to the US based on export statistics that we have, have substantially gone down compared to the same period previous year.

Bharat Shah: That's interesting. This is a bit contrary to what I assumed or I thought I had an idea about. KEI for the current year, if I'm not mistaken, INR150 crores US exports are on the cards or it is that's what I remember unless I have got the data wrong. And they were saying that they would have easily doubled it or more if they didn't take capacity constraints which they have actually...

Kushal Desai: No. We were running at a run rate which was almost INR300-plus crores a quarter.

And if you take the average execution of last year and the second half of the year was even higher than that. Our expectation is that, I mean, we will cross INR150 crores in a quarter in the next couple of quarters again. But it is definitely something which has been subdued for the last few months and now picking up.
APAR Industries Limited
January 30, 2024

Page 27 of 33

Bharat Shah: I see. And Europe also is similar commentary, you would say?
Kushal Desai: So, in Europe, we have been focused more around the renewable energy side. In the US, we have more sectors that we are covering. So, on the renewable energy side, also the distributors there like [LAP, Heliu Cable], all these guys, they produce some of their own products and they supplement with imports. So, they were all holding larger inventories but their inventory positions have substantially improved. So again, same expectation that as the summer comes in, you will start having deliveries taking place. We also have a contract with Enel, which is a large Italian utility. So, Enel also had a lot of stock at their end. And part of th

e problem was because certain components which they required, like these junction boxes and things that were delayed. So as a consequence, their cable inventory has substantially gone up. So now as that backlog is getting cleared, deliveries will start for us on the new Enel contract from April and May onwards. So, we see as we get into 2024 down the line -- down the year, sorry, the demand is going to pick up. Australia, on the other hand, has been quite steady right through this period. And KEI has a major position in Australia, for example.

Bharat Shah: Sure. Sure. And one last thing. I mean, if I look at the current quarter, while apparently, the overall bottom line level performance is robust but essentially, most of the businesses have been flattish, both on top line and on the margins, except, of course, the oil business, which is, margins have shored up sharply. So, if I look at the year ahead, conductors, I think you already mentioned we are looking at probably 15% plus kind of growth, how do we see the picture for the other parts of the businesses for the year ahead?

Kushal Desai: So, the cable business, we are targeting a growth which is in that 25% -- 20%, 25% range. And in the case of our oil business, overall volume growth at about 5%. So, if you see the volume growth which has happened for the conductor
APAR Industries Limited
January 30, 2024

Page 28 of 33

business also has been 13% in this quarter. Aluminium prices like-to-like are down by 11%.

Yes. So that has eaten into what would be a rupee growth but the volume is there. And so, we see growth in all these businesses. In our oil business, fundamentally, the transformer oil should grow double digit.

Bharat Shah: Okay. So, outlook for the year ahead would be conductors 15% plus, cables, 20%, 25%. And in oils -- transformer oils double digit and overall oil portfolio, hopefully, profitability should reflect much better picture than the volume growth.

Kushal Desai: Yes, absolutely. And we've been guiding this for, I think, last couple of quarters and through the QIP process that we went through also.

Moderator: The next question is from the line of Kunal Sheth from B&K Securities.

Kunal Sheth: I just wanted to check on -- are you seeing any revival from the Chinese competition, especially in the international market and domestic market? What we have been hearing is that they have come back in the US market by routing it through other countries.

Kushal Desai: So, we have been seeing generally increased competition from the Chinese. There are certain geographies where Chinese products, the acceptance of those products was never in question, right through this whole period. Like, so if you look at parts of Europe, you look at parts of Latin America, Africa, etcetera, the acceptance was always there.

And in some cases, they gained compared to India because they had a more favourable tariff structure compared to what India had. The US -- we've heard that they're trying to route products through Vietnam and some of these other geographies. There are investigations going on.

And it could culminate in antidumping duties or some sort of punitive damages there. But do keep in mind that moment the Chinese try to route it through another geography it adds significantly to the supply chain costs.
APAR Industries Limited
January 30, 2024

Page 29 of 33

They no longer can be as competitive as they are from China. And as far as conductors is concerned, we've been competing with them for years around the world. So, I -- as far as the US market, Australian market is concerned, I don't think we are overly concerned. We also are working with a set of customers who do not prefer Chinese products.

And therefore, they have been working with us to be a long-term supplier to them, especially some of the utilities that are there in Europe and in Latin America, etcetera. Some product categories the Chinese are

very competitive like OPGW
wires, etcetera.

In some type of simple construction cables, certain simple construction conductors. But I think this is something that -- the US market is still not flooded with Chinese products. And I don't think it will be that easy for them to sell in large quantities there.

Moderator: The next question is from the line of Raj Rishi from DCPL. Mr. Raj Rishi, your line is unmuted. You can please proceed with your question. As no response from the line of the current participant, we'll take the last question from the line of Amarnath from Ministry of Finance of Oman.

Amarnath: Yes. So just wanted to know, this year or this quarter, looking at the growth in the margins of this -- your oil side of the business and you said a note into the presentation that this is due to some shipment gone here and there and it has a impact on the profitability, which will be reversed in the next quarter. Can you please elaborate what is exactly you want to say?

Kushal Desai: So, we have long-term contracts in terms of supply from refineries. And because of certain supply chain-related issues for bulk shipments coming out of Korea, our largest supplier, which is S-OIL, they were trailing behind in terms of the shipments, which they've caught up in December month.

So, the prices which existed in that August, September, October time frame were lower than what were in November and December. So as a consequence, when
APAR Industries Limited
January 30, 2024

Page 30 of 33

you use the accounting where we use SAP, the accounting is done on a weighted average basis.

So automatically, you end up -- we price the product based on what should have been the supply pattern to us, what actually ended up happening is that because of the delay, the effective weighted average cost of the raw material was lower through most of that quarter and it increased only in the month of December. So now that higher-priced product is going to be carried forward into January and some part of February. So, you'll see a little bit of adjustment happening because of that. That's what we were guiding.

Amarnath: You also said that in January, February, the profitability and the margin will come down compared to what we.

Kushal Desai: We'll get a little bit affected because we are sitting with a higher cost basis, as you enter this quarter, which otherwise should have got consumed in the previous quarter and we priced our selling prices on that basis.

I would rather look at a longer term, a 9-month or a trailing 12-month period, which is indicating that the trailing 12-month margins actually have been better than the same period previous year.

Amarnath: Yes, that is exactly I'm coming to the next one. Now if you -- if we see the last 12 months, 15 months of this particular part of the business, the margin has been subdued due to several factors. Now from this quarter onwards, are we seeing that things are reverting to the mean and we are slowly going back to the original margin, which it was prevailing around 1.5 years, 2 years back. And then what -- how are you looking to 12 months down the line?

Kushal Desai: We've been guiding throughout at approximately INR5,000 to INR5,500 as the

EBITDA per kilolitre -- for 1,000 litres. So, if you see the 9 months, we've been actually above that. We are at INR6,125 per KL. So, we are already ahead of that guidance, which we provided. And as we go forward, these days, there are plenty of geopolitical type of upheavals and risks that come up. But our sense is that

APAR Industries Limited
January 30, 2024

Page 31 of 33

transformer oil requirements are going to be very strong and that is the lead product that we have. So, we are quite optimistic as we go into the future.

Amarnath: And what about the lubricant side?

Kushal Desai: The lubricant side is a mixed bag. You have some of the higher performance products doing quite well in terms of m

argins for us but the higher performance requires or has much longer drain intervals. So, you -- the volumes are always coming under pressure because of drain intervals of all oil products or all lubricant products are increasing. So, you see some improvement that happens in margin per litre or for kilolitre.

So, the volume will come under -- the growth is in the 2%, 3% kind of range, the market growth. So, we've been growing faster than that. So, we see that the lubricant margin profile for us has improved but we don't see any dramatic improvement happening there.

Amarnath: So, the volume will continue to be the subdued, right, I mean between this 3% to 5% arena in the next, if I say, 12 months, 15 months down the line as per your current estimate?

Kushal Desai: Yes, we are guiding 5% to 7%, of which 10% growth we expect from the transformer oil product mix.

Amarnath: Yes. And just last one clarification before I end. How you navigate when this crude -- the base crude oil price fluctuates, which is happening, say, for example, last few months because of so much of geopolitical tensions and things that are happening and it fluctuates quite severely compared to what it used to be before. So, in terms of getting this crude price as an input and then process and you do your output, as well as the pricing scenarios of your end product, how do you manage that risk of this.

Kushal Desai: Most of the B2B products are priced by the month. There are some longer-term pricing to customers and those we restrict to only utilities or to the MNC clients who honour a long-term contract, like the Hitachi, ABB, Siemens, and etcetera.

APAR Industries Limited

January 30, 2024

Page 32 of 33

So those are based on a formula, which is linked to the formula on which we buy from the refineries ourselves. So, there is a reasonably good correlation.

Otherwise, we just price it on a monthly basis. When prices go up gradually, then usually, there's not much of a problem. Similarly, when prices come down.

But if prices shoot up, if costs shoot up, or if selling prices fall sudden even you don't have a choice but to lose 1 month or 2 months in the adjustment period. So that's the reality of the way in which things have been operating.

Amarnath: So finally, even if there is a 1- or 2-month lag period either on the upside or low side, can we assume that finally, the price is getting passed on to the customers maybe with a lag, but upside or downside.

Kushal Desai: Yes.

Amarnath: So, over a period of time, our margin from that particular business more or less remains stable.

Ramesh Iyer: Yes. That is why we have been guiding this INR5,000 to INR6,000 per KL in terms of EBITDA because in some quarters, you may see margins going to about INR8,000, INR9,000 per KL, whereas in some quarters, we would actually see INR1,000 to INR3,000 per KL also. Therefore, we need to see this on a long-term 12-month horizon and that's where the guidance of average of INR5,000 to INR6,000 per KL comes.

Amarnath: Yes. Sorry, I'm putting little more emphasis compared to other callers because if I see the weightage of the profitability of this business to your current quarter and expected in the next quarter, as you can hear from the other similar oil producers whether it is Savita or Gulf Oil or even Castrol, so they are all looking very bright

compared to what the situation prevailing last 12 months, 15 months down the line.

Are you feeling the same sense that we are reverting back to the mean?

Kushal Desai: Yes. We've already gone beyond the mean, as you can see in the last -- from the last 9 months performance. And we are very optimistic on our growth, especially of transformer oil. We sell more than all of the people whose names you

APAR Industries Limited

January 30, 2024

Page 33 of 33

mentioned. So as transformer oil grows in this division, that is a lead product for us as far as our oil vertical is co

ncerned.

Chaitanya Desai: And there, we've been guiding double-digit growth.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. As no further questions, I would now like to hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: Thank you very much. I appreciate you all joining for our Q3 earnings update.

And just as a closing comment, we believe that all the growth drivers that we have and we've been talking about for the last few quarters, they remain intact. There are a few short-term issues that could be there like the Red Sea issues, etcetera but the longer-term drivers are still very much intact and we remain quite optimistic in terms of performance over the quarters to come. So, thank you very much.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

SEC/ 2005 /2024 By E -Filing May 20, 2024

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Investors Earnings call on Audited Financial Results (Standalone & Consolidated) for Q4 and Financial Year ended March 31, 2024 (2023-24)

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations") , as amended from time to time

Dear Sir / Madam,

Kindly refer our letter dated May 14, 2024 under Ref. no. SEC/ 1405/2024 w.r.t. submission of link of Audio Recording of Investors Earnings Call on Audited Financial Results (Standalone & Consolidated) for Fourth Quarter and Financial Year ended March 31, 2024 (2023-24).

Pursuant to the provisions of Regulation 30 (6) of the Listing Regulations, we are submitting herewith the transcript of the Investors Earnings Call made on May 14, 2024 on the Audited Financial Results (Standalone & Consolidated) of the Company for Q4 and financial year ended March 31, 2024.

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com .

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India

+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India

+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

Page 1 of 34

"APAR Industries Limited

Q4 FY '24 Earnings Conference Call"

May 14, 2024

MANAGEMENT : M R. KUSHAL DESAI – CHAIRMAN AND MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED

M R. CHAITANYA DESAI – MANAGING DIRECTOR – APAR
INDUSTRIES LIMITED

M R. RAMESH IYER – CHIEF FINANCIAL OFFICER – APAR
INDUSTRIES LIMITED

MODERATOR : M R. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

APAR Industries Limited

May 14, 2024

Page 2 of 34

Moderator: Ladies and gentlemen, good day, and welcome to APAR Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies. Thank you, and over to you, sir.

Ambesh Tiwari: Good afternoon, everyone. This is Ambesh Tiwari from S-Ancial Technologies. I welcome you all to the Q4 FY '24 earnings call for APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer.

I will now pass on the mic to Mr. Kushal Desai for the opening remarks.

Thank you, and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone, and welcome to the APAR Industries Q4 earnings call. I'd like to start by providing an overview of our performance and then discuss a few brief industry update. Post that, we can delve into more details for each of the 3 major business segments that we have and then open up the floor to questions.

So during Q4 FY '24, the consolidated revenue for APAR came in at INR4,455 crores, which is up 9% year-on-year. Domestic demand continues to be strong, offsetting the weaker export demand that has been coming, especially from the U.S. market, where customers had been deinventorying. Global sales growth, ex the U.S., actually grew at 29.8%

APAR Industries Limited

May 14, 2024

Page 3 of 34

in Q4. The overall export mix is 39% versus 53%, which was a year ago period.

The EBITDA is up 3% year-on-year to reach INR 457 crores with an operating margin of 10.3% versus 10.9% a year ago. Profit after tax came in at INR 236 crores, 3% lower than the previous year. But last year, same period was the highest quarterly earnings that we've had on record. It is 5.3% versus 5.9% in the year-ago period.

Considering the 12 months, the consolidated revenue posted an all-time high revenue growing at 13% year-on-year, closing at INR 16,153 crores. The growth is coming from higher volumes in all the 3 business divisions. The export mix for the year is 45.2% versus 48.8% in the last year. EBITDA for 12 months is INR 1,632 crores, representing a 24% increase compared to last year. The EBITDA margin for the year is 10.1% versus 9.2% a year-ago period. The profit after tax is up 29% year-on-year, which has reached INR 825 crores with a margin of 5.1%. This is about 70 basis points higher than the previous year.

Covering a few industry highlights, data from the Central Electricity Authority reveals that about 3,512 circuit kilometers of transmission lines were added in the month of March 2024. On a 12-month basis, 14,203 circuit kilometers of transmission lines were added, which has fallen short of the planned addition of 16,602. However, looking ahead in the next 3 years, it is targeted to add about 17,500 circuit kilometers of transmission lines per year and about 80,000 MVA of transformation capacity per annum.

On substation additions. The Indian substation capacity addition stood at about 78,382 MVA in FY '22, falling to about 75,900 MVA in FY '23, and it further fell to 70,728 MVA in FY '24. Very significantly, the private sector

APAR Industries Limited

May 14, 2024

Page 4 of 34

has been making increasing contributions to India's substation capacity build-up. In FY '22, private sector entities had added just 1,000 MVA of capacity, which has grown to now 5,000 MVA in FY '23, and it has risen to 15,000 MVA in FY '24.

On the renewable

energy front, the year proved to be a strong year for the country's renewable energy sector. India achieved the highest ever annual new capacity addition to the grid, spurred by the solar power segment, which accounted for 81% of the addition. The total new capacity added during FY '24 stood at 18.48 gigawatts, which was higher than the capacity added in FY '23. That was 15.27 gigawatts. In FY '24 -- and this is the highest all-time high addition in the year. In FY '24, the new capacity addition in solar power sector grew by 18% compared with the addition made in FY '23.

So today, India's installed renewable energy capacity stands at 143.6 gigawatts. And this excludes 47 gigawatts of large hydropower capacity. Amongst the renewable energy capacity, the total solar installed capacity is at 81.81 gigawatts, followed by wind at 46 gigawatts, and 9.43 gigawatts is biomass and 5 gigawatts are the various smaller hydro projects.

Coming to the individual business performances, our Conductors business revenue in Q4 FY '24 grew 10% year-on-year to reach INR2,328 crores, with a volume growth of about 14% in the quarter. Domestic business of AL-59 conductors had a robust demand in this quarter. However, there has been some adverse effects from competition, where higher freight cost impacted by the Red Sea crisis and a slowdown in the U.S. market affected exports in the quarter. Export revenues contributed to 40.3% of the division's overall revenues versus 53.5% in Q4 of the previous year. The premium products contributed to 48.9% of the revenue mix.

APAR Industries Limited

May 14, 2024

Page 5 of 34

Despite some headwinds from the U.S. market, EBITDA per metric ton post

forex adjustment came in at INR 48,453 per ton on the back of reasonably good domestic demand and execution of HTLS projects. Overall, our order book stands at about INR 6,885 crores, with the premium basket contributing to 44.8% and the export mix contributing to 37%. New order inflow for the quarter came in at INR 3,018 crores, of which the premium product mix is 57.5%.

During the 12-month period, revenues for Conductors division crossed INR 8,000 crores, came in at INR 8,031 crores. So that is up 15% year-on-year. Export sales contributed to 45% of the revenues as against 46.5% in a year ago period. Volumes year-on-year are up 29%. The EBITDA per metric ton post forex adjustment for 12 months came in at INR 42,141, which is 4% lower than the previous year.

Coming to the oil division's performance. Q4FY24 revenues are at INR 1,210 crores, which is 3% higher than a year ago. The volumes grew by 5% in the quarter. Transformer oil volumes, which has actually led the growth, grew 22% over the previous year. Exports contributed towards 43.9% of the overall revenues. EBITDA post forex adjustment came in at INR 4,251 per KL, which is 15% higher than the same period previous year.

Profitability for the quarter, as I had mentioned in the previous earnings call was partly affected due to higher weighted average cost of inventory, consequent to delays in shipments, which had happened in the last quarter. The lubricant revenue came in at INR 241 crores with a total volume of 17,813 kL. Looking at the 12-month period, oil revenues are up 4% year-on-year to INR 4,837 crores. The volume grew by 11%. Transformer oil volumes has grown year-on-year by 15% and EBITDA post forex came in at INR 5,746 per kL. The lubricant revenues for the year are at INR944 crores
APAR Industries Limited
May 14, 2024

Page 6 of 34

with a total volume of 70,625 kL. This is an all-time high number for the oil division in terms of volume.

Our Cable business revenue growth is 15% higher than the previous year, last year had a high base coming in from the U.S. If you look at global sales ex the U.S., the sales grew by 51.8%. Exports overall contributed towards 24.7%, and 52.8% is a figure a year ago. So EBITDA continues to post

double-digit margin with 11.4% in the current quarter. Our overall order book is at the moment at INR 1,436 crores for the Cables division. If you look at the 12-month period, Cable revenues are up 18% year-on-year at INR 3,859 crores, domestic revenue is higher by 45% year-on-year, and sales ex the U.S. is up 44.8%.

So it's really the slowdown in the U.S. market, which we have been talking about through most of our earnings calls has come in and hit the overall number. The export mix for the year is 38.3% versus 50.8% a year ago. The EBITDA post forex for the year came in at 11.4% versus 10.5% in the previous period. The U.S. order intake has slowly started improving as the inventory rationalization gets completed and some of the solar projects are starting to get executed. We have seen an increased level of inquiries coming in. But the inquiry to closure of order cycle is actually still fairly long.

The Red Sea crisis has impacted the supply chain and this, in turn, has affected volumes, especially to Europe, where the freight costs are still high compared to prior periods, and this has enabled local players to be more competitive, relevant to exporters like APAR. However, the domestic business looks strong in terms of volumes given the trust on renewables and the renewable capacity being added, transmission lines, which will be required to be added for evacuation of power and other infrastructure development.

APAR Industries Limited
May 14, 2024

Page 7 of 34

I'd like to point out that we have a detailed corporate presentation on our website. And we encourage all of you to please access the same and go through it. It's much more detailed than we can cover on this call. However, coming on a cautious note, we see increased competition coming from Chinese exporters in most of the markets. Even in the U.S. market, they have been trying to skirt around the tariffs by illegally routing products through alternate geographies. Some actions have already been initiated by the U.S. authorities. And this activity is actually getting more intensified. So our sense is that over the next year or so, you will start seeing an impact coming in. As there are certain importer distributors whose licenses have been import licenses have been revoked or they have been fined. We are also seeing a short-term slowdown in demand from tenders and some of the new conducting work, at least for this period given the fact that decision-making is reasonably paralyzed due to the ongoing elections. However, we remain optimistic that the basic growth drivers remain intact, both in the domestic and global markets, especially one takes a slightly longer-term view.

So with this, I'd like to come to the end of my comments. I'd like to thank everyone for joining this call. And we can now open up the floor to questions.

Moderator: First question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulation on a very good set of numbers. Sir, my first question is on the, how do you think about selling premium conductors in the export market? And do you think the demand in the U.S. market will come back and stay for couple of years?

Chitanya Desai: So premium products in the U.S. will be sold. It will take a little longer for us to penetrate those markets. Currently, the premium products are being
APAR Industries Limited
May 14, 2024

Page 8 of 34

sold more in India. And with regard to the U.S. market coming back, the information we have is that this year, it will continue to be a little soft. But the expectation from the customers is that from next year onwards -- next calendar year onwards, things should pick up.

Mohit Kumar: And sir, given that our capacity utilization is very high for Conductors and for Cables, I guess, where are we in the capacity expansion? I think we were undertaking capacity expansion last year. Can you just throw some color on that?

Kusha

I Desai: So in terms of capacity expansion, Mohit, we are continuing as per our plan during last year and through various interactions we had through the whole QIP process, all our documents out there. We were talking about doing INR350 crores to INR400 crores capex year-on-year. So that program still remains pretty much on track.

And we are investing on the Conductors, side on our rod making alloying capability, metal treatment stranding as well as on the premium product side, expanding our CTC, that's the corporate transposed conductors going to transform us. So we're expanding that capacity as well as the bus bars and rods. So our expansion is going on.

We fundamentally see that the long-term growth drivers remain intact. And some of these projects are getting delayed because the expected rate reductions haven't taken place announced by the Fed. There has been expectations that there would have been 3 reductions now, it's down to possibly one or none. So there is a little bit of a wait and watch, given that many of these projects are leveraged. But otherwise, the growth driver still seems to us to be pretty much intact. So we are going ahead with these capacity expansions. Also, we need to keep in mind that getting best-of-
APAR Industries Limited
May 14, 2024

Page 9 of 34

class equipment today has significantly longer lead times compared to what it was 2 or 3 years ago.

Moderator: Next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: Congratulations for good set of numbers. My first question...

Moderator: Sorry to interrupt Mr. Amit. Your voice is very low. Can you please use the handset?

Amit: Is it better?

Moderator: Yes, this is better. please go ahead.

Amit: Congratulations for good set of numbers. My first question is on the EBITDA per ton of 48,000. And you did highlight it in PPT that this is because of the premium products -- higher-margin premium products. So I just wanted to understand any particular product which is driving this kind of high EBITDA per ton this quarter. And second, I wanted to understand some sense on you did highlighted in your presentation about the premium products breakup on HEC copper, OPGW. So just wanted to understand any particular products within premium, which is contributing much higher and also the contribution of AL-59 in domestic market? How was it?

Ramesh Iyer : So this, in general, Amit, premium conductors has been a higher share. If you look at this quarter, it has been about 49 percentage of the total conductor value. And therefore, you see that increase in the margin. Also, as the volume has been higher, we also get a lot of economies of scale due to lower conversion costs due to which the EBITDA per ton has gone up. At the same time, there is also a one-off recovery against some old provisions that we had created, and we were able to recover that debt that has also added to the bottom line, increasing the EBITDA per metric ton by about 1,500 per metric ton.

APAR Industries Limited

May 14, 2024

Page 10 of 34

So all in all, it has resulted in a higher EBITDA. And nothing specific more about the HTLS and reconductoring projects that has now been there as part of the premium conductors and more of such orders have been executed during the quarter, which has resulted in this margin being high.

Amit: Right. Any sense on AL-59 contribution?

Ramesh Iyer: We don't give a specific product-wise contribution as compared to the total number. But AL-59 volumes have also been going up recently..

Amit: Right, sir. Second, on the capacity utilization with the full year volumes for Conductor almost more than 2 lakh tons. And I recollect, we were at about 180, 190 lakh tons. So just wanted to understand since we have a robust outlook for upcoming years. How much time it takes for capacity and what kind of capacity or number are going to increase by 50%, 100%?

Ramesh Iyer: So Amit, in our case

, capacity expansion happened almost continuously because we predict the demand 1 year in advance. And typically, in the Conductor division, we operate about 90% capacity utilization. So as we see orders coming in and the demand going up, we tend to increase the capacity by 10, 15 percentage year-on-year. There could be some periods where capacity utilization may be less and some period could be high. But typically, it's more of a continuous process. And as of currently, we have a capacity of about 2.1 to 2.15 metric tons per annum, and we are continuing to see also increasing the capacity there.

Amit: Lastly, on the acceptances, we did talked about during our fundraise that we'll be focusing on the working capital rationalization. So just wanted to get a sense what should we consider as a benchmark for the acceptances or working capital or the interest to sales in FY '25-26?

APAR Industries Limited

May 14, 2024

Page 11 of 34

Ramesh Iyer: So this quarter, if you see, because of the QIP funds coming in and getting deployed in working capital, our interest-bearing LC has come down. It's about 3,200 as of March. And depending on how our working capital we are able to rotate, this number will change. And also as the business volume goes up, then you will see increase in this...

Amit: Sir, can we consider 2%, 2.5% interest to sales?

Ramesh Iyer: I guess maybe what you see the numbers for this particular quarter is slightly lower because of the lower interest cost that is coming because we've deployed the QIP money. But at the current volume, maybe about INR 112 crores of interest on a quarterly basis is something that you can predict. However, volume going up, this may go up further.

Moderator: Next question is from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: Just on the Conductors first. I mean, your order intake has been quite strong again. For the whole year, it's up 20.4%. Generally, given your strong commentary on the domestic side, plus your capacity part, you still think you'll be able to grow conductor revenue by 18% to 20% this year? That's my first question. And second, if you can comment on the profitability of the Conductor segment, how one should look this 42,000 going where, if you can get a little bit more sense, then I have 1 more question, I'll take it after this.

Ramesh Iyer: So now if you look at what we have been guiding is pretty much on a medium to long-term perspective. We don't really give guidance on a short-term perspective because the nature of our business is that sometimes you execute more in a one particular quarter and a year that distorts the entire overall number, say, for instance, this year, we grew the conductor volume by about 29 percentage, whereas we've been guiding about 15 percentage. So typically, what happens is that as the project gets executed, APAR Industries Limited

May 14, 2024

Page 12 of 34

depending on the pace of the execution, you tend to get more volumes in a particular quarter.

However, what we feel is that as the fundamentals are intact on a medium term and a long-term basis, we expect the Conductor division to grow about 15 percentage on volume terms CAGR. There could be a few quarters and periods where depending on the level of execution this percentage will vary. But clearly, on the long term, we expect this to grow about 15 percentage CAGR basis.

And coming to EBITDA level, we have been giving guidance of about INR 28,500 per metric ton. Again, although we have been getting about 40,000 per metric ton in the last financial year. However, looking at a long-term point of view, depending on the level of competition and the pace at which projects get executed, we continue to guide about 28,000 per metric ton plus definitely, there could be a lot of tailwinds that we get as we execute these projects. So those would get add on to the EBITDA numbers.

Nitin Arora: Got it. Just on the s

tarting commentary on the export, we're seeing export mix also down quite from the mix perspective and domestic is growing way faster. But given that exports is the mix have come down, you're saying it will take a little more time. But here, at least from a declining perspective, it should stop. It's more of a bottom you see? Or do you still think it will like 2 or 3 quarters away, where we'll start seeing growth or at least we could be flattish? I mean I'm asking more from a profitability mix perspective, if you can throw some light there.

Ramesh Iyer: So this export mix actually has come down because last year, we had a very high growth coming from the earlier year and largely because of the U.S. export sales being high. Now depending on the situation that's prevailing APAR Industries Limited

May 14, 2024

Page 13 of 34

on ground on U.S., the interest rates being high and also elections coming up in the U.S., we are seeing a slowness in the last year due to which the demand has been less. However, we expect that going forward, once these things get cleared off, these projects could be more executed. And we may get back to the mix that we have called in the last financial year.

Moderator: Next question is from the line of Naman Parmar from Niveshaay Investment Advisory.

Naman Parmar: My first question is related to the -- what will be the opportunity size of the Cables on or a Conductor on a transmission side and Cables on the distribution side? Can you provide me that?

Kushal Desai: So on the Conductor side, there are basically -- if you look at transmission lines, there are 2 opportunities. One is new transmission lines that are being built to evacuate power from the new power-generating location. So for example, there's there 3 sets of 10 gigawatts each solar power coming up. And you'll have transmission lines evacuating power from there. So one growth is coming from the addition of new transmission lines.

The second area of growth for us is coming through the reconductoring of existing lines. So for example, if you see there has been a -- power has been growing at almost 8% of your CAGR. And we are expecting that in the month of June, the government has announced that India could have the highest shortfall of power in its history because consumption is increasing. So as a consequence, reconductoring projects will also come up. They have been happening, but they will also continue.

The third thing is that in the mix that we have of our Conductor division, we also do the copper transposed conductors for transformers. And you may go through the earlier earnings calls that we have had, we've explained that when you're building a transmission line today, the

APAR Industries Limited

May 14, 2024

Page 14 of 34

investment that's happening in the substation has almost gone up to 50% of the total transmission line, which used to be about 30%, and off that the transformer is a very major portion.

So transformer demand has been growing, and we supply 2 products into the transformer. One is the copper transposed conductors, which come from the Conductor division, which also has been growing. And in fact, in the INR 350 crores capex, we are putting in a substantial capex for growing the copper transposed conductors. And of course, the other area is transformer oil, which, as you heard in my opening remarks, that after a long time, we are seeing strong double-digit growth over like 12%, 15% year-on-year, and we expect that growth to continue in this year.

On the distribution side, which is primarily the Cables, you have drivers coming from the addition of infrastructure in the Indian Railway, from Defence, from the renewable energy sources, which is both solar and wind, where APAR has a significant presence. And then there is also the government schemes, which are there for strengthening of the last mile, which is the RDSS, etcetera, where the cables are go

ing in along with the

metering solutions to moving to digital meters and reducing losses and theft. So these are like primarily the segments, where we would see the growth coming.

Naman Parmar: So on the same question, if the RDSS scheme has a INR 4.55 lakh crores of investment outlets, so cable would be around, let's say, 40%? That would be a...

Kushal Desai: No, no. It's much lower than that. The EPC portion would be somewhere in the 35%, 40%. A large allocation of that is also going towards the metering because all the metering is getting converted into digital meters.

You are looking at EPC portion coming in the like the mid-30s.

APAR Industries Limited

May 14, 2024

Page 15 of 34

Also, I didn't mention that one more portion where APAR is the leader is in the medium voltage covered conductors, and a lot of MVCC projects are coming up where there is a necessity to increase safety. You have 33 KV lines running, which are very close to residential places or even commercial places, which are being replaced by these medium voltage covered conductors. So that is also covered under the RDSS scheme, but it's not underground, it's an overhead solution.

Naman Parmar: Okay. And my second question is related to, if a 10-megawatt of solar

project on wind project is deployed, then how much percentage cost would be of a cable or a transformer as compared to a thermal project?

Kushal Desai: So the cable content is approximately 4% of the cost of the generating. So if you were to spend INR100 crores, then INR4 crores is what would be the cables that would go in at the site, and the transformer side completely depends on the size of the project and the size of the transformer that is required. So there is no direct sort of correlation. So like 1 gigawatt coming in or 500 megawatts, you would have correspondingly the size of a transformer because it's dependent on the transformation capacity that we are looking at.

Moderator: Next question is from the line of Charanjit Singh from DSP.

Charanjit Singh: Am I audible? First of all, congratulations on good set of numbers. So my first question is regarding this U.S. market, you touched upon certain distributors getting banned. Are there any kind of distributors here, which are common to us and some of these who are supplying Chinese product? And can they have an impact from near- to medium-term perspective on our U.S. volumes?

Kushal Desai: So most of the companies that we have been dealing with, we've been -- they are -- they have -- none of them have gotten into this trouble as of APAR Industries Limited

May 14, 2024

Page 16 of 34

today. But we've heard not only from them, but also in recently, there was a very major IEEE trade fair in California, just a few weeks ago, where this information -- it's been happening for a while, but the U.S. authorities have started tracking down on this. And none of the people that we have been dealing with have been affected. But I think they are a little bit more optimistic that others have been cracked down upon who are using this channel for bringing in products, which were a bit cheaper.

Charanjit Singh: Got it, sir. Sir, the other thing is now you have touched upon the premium products, their contribution is rising. So if you can just touch upon this premium products as a percentage of the market, how large it is, how fast you expect this to grow? And within that, how is the competitive scenario in terms of which are the other peers present in the premium category itself?

Kushal Desai: You're talking about for Conductors? Or...

Charanjit Singh: Yes, sir, for Conductors. Yes.

Kushal Desai: So in the premium category products, which we have, our largest competitor is Sterlite Power because they have pretty much the same footprint that we have, except for a couple where we are unique, we have a unique product offering. There are others like GSK and who are trying to also enter th

e HTLS market. In that premium range, we are also seeing a growth, as I mentioned just a couple of minutes ago on the copper transposed conductors.

See, there is a new requirement that has come in from Central Electricity Authority, which requires you to use copper transposed conductors for all transformers that exceed 400 amps. So the high-voltage transformers will all have to shift towards using CTC. So that is another area of growth. There, our competition is not the names that you would typically hear. They are all

APAR Industries Limited

May 14, 2024

Page 17 of 34

copper players, like Precision Wires and KSH, et cetera. These are all private companies, but they are in the copper business as such.

Now if you ask me what is the growth of this going to be, we see that the growth of copper transposed conductors are approximately 22% to 25% of the cost of a transformer. So as you will see, the amount of transformer ordering that's coming on 400 amps and above, it is directly proportional to that. And that expectation is that it will be at least in the double-digit kind of growth. In terms of HTLS, there is a huge amount of -- the market is very, very large for reconductoring. It's a question of the amount of money that's

being allocated to do the reconductoring work.

So moment these projects are announced and funded, then the work typically starts on this. So it's really a function of the amount of money that's being allocated. All I can leave you with, because it's difficult to pin a number as you look over a number of years, is that with the electrical demand growing the last few years, CAGR has been 7.5% to 8%. And the last month's numbers came in at an 11% year-on-year growth for the month of April. There, a lot of the work will have to come up. Now I can't tell you which quarter it will happen. But if you look at it over the next 3 to 4, 5 years, there will be a lot of reconductoring that will happen in the country. So does that sort of answer your question?

Charanjit Singh: My subsequent question is just more on the industry level. What we are hearing is that across the power transmission supply chain, there are severe supply-related issues, the demand is exceeding the supply. So how long do you think that this kind of scenario can continue in the overall sector from a demand/supply perspective in the power transmission equipment space, mainly cables and wires and conductors, where we are present.

APAR Industries Limited

May 14, 2024

Page 18 of 34

Chaitanya Desai: I would say that now the industry has increased the supply, including ourselves, so there is no, I think, problem on the supply chain as far as our products are concerned. Yes, there is a growing demand, and we are taking steps to expand our capacity. So I don't think there is an acute problem or anything.

Kushal Desai: So there was a short-term issue that has come up when the standards changed from conventional pure aluminum, ACSR conductors to AL-59 because the alloying process requires very specific equipment and also investment. So when the shift took place over a short-term period where these equipments had to be bought and installed, etcetera, etcetera, I think that phase is already over. So today, there is no shortage as such of the -- whatever demand is there, it can typically be met with capacity that people have.

Charanjit Singh: All the best for the future.

Moderator: Next question is from the line of Raj Rishi from DCPL.

Raj Rishi: What sort of asset base can we have in the next 3 years for your block?

Ramesh Iyer: So our fixed asset turnover ratio anywhere ranges from 10x to 15x depending on the category of the product, which is there. Each division has its own different turnover ratio. So average returns from 10 to 15x.

Raj Rishi: Okay. No, that's the asset turnover ratio. But whatever your asset base is today...

Kushal Desai: If you are looking at around INR 350

crores plus/minus capex being

incurred year-on-year for the next year.

Raj Rishi: Year on year for the next year.

Moderator: Next question is from the line of Bobby Jairan from Falcon.

APAR Industries Limited

May 14, 2024

Page 19 of 34

Bobby Jairan: Regarding the domestic renewable investments, there's already 130 or 140 gigawatts, correct, which is 30% of the total capacity -- the total power capacity. But the usage is only 12% or 13%. So even whatever capacity is there is not being used. So wouldn't that impact addition to incremental capacity?

Kushal Desai: I'm not sure when you say that the installed capacity is not being used.

Whatever assets are actually -- so there are a few assets which are in the NCLT process. But if you take assets which are otherwise in operating conditions, they are running flat out. And in fact, in the month of June, CEA has predicted that India will have the largest shortage of power between supply/demand.

Bobby Jairan: What I mean is for the renewables for solar and wind because there's still the cost of storing is very high. So they're not being adequately used. I'm

going to ask for the data.

Kushal Desai: You're talking about India, or you're talking about the U.S.?

Bobby Jairan: I'm talking about India, solar and wind.

Kushal Desai: So as far as solar and wind is concerned, I think it's going straight into the grid. I'm not -- I don't know of a large portion of solar or wind assets not being utilized. Because today, as a percentage, it's still small. The problem you are talking about will increase when you end up having solar being over 50% of the total generation, in which case, you've got to match when it is being generated versus when it is being consumed. At the current generation of units, that problem is not really a problem, at least I'm not aware of it.

Bobby Jairan: Okay. I understand. The second question is for the U.S. market, the U.S. has been aggressively improving tariffs on Chinese aluminum, steel and all

APAR Industries Limited

May 14, 2024

Page 20 of 34

that. Didn't the same happen to India because they actually want their domestic producers to benefit from all the spending?

Chaitanya Desai: The U.S. government is not so strict. So they don't sort of mandate that the customers in the U.S. have to use only American-made product. So basically, it's a supply/demand situation. And if the EPC or the developer goes back and informs the authorities that the local producer is unable to supply the material on time, then their project would get delayed, then they don't have an issue and they allow the imports to happen from places like India.

Kushal Desai: Also, the tariffs for Indian import of the kind of popular conductors that are there in the United States, they are going to be between 5% and 15%. So it's not that there isn't a tariff. It's actually the tariff is higher to export our conductor from India to the U.S. than to import something into India, which is at 5%. So there is already a tariff in place that is protecting local industry. In the case of Chinese product, the tariff is at 25%.

Moderator: We'll take the next question from the line of Vidit Trivedi from Asian Market Securities.

Vidit Trivedi: My question is on your opening remarks. You just mentioned that there's a threat from the Chinese players. So could you please elaborate a bit on that? And will it -- how much it will impact on the margin? And what growth you foresee for the Cable segment as a whole for the coming year?

Chaitanya Desai: The Chinese have been aggressive in the markets where they have already been existing and having a fair amount of share. So those markets are typically in Asia, Africa, Latin America. They are not so much in North America and to a small extent, they are in Europe also. So their emphasis has been to kind of retain their markets. And after COVID, we are seeing that at times the price of the aluminum in Ch

ina is sometimes favorable to

APAR Industries Limited

May 14, 2024

Page 21 of 34

them compared to the London Metal Exchange. And those are a few times, but during these periods, when they are more competitive compared to the rest of the world.

Kushal Desai: We've also seen general aggression from the Chinese on export. So as time has passed on in the last 1 year or so, we have been much more active in terms of quoting on tenders and contacting EPCs, EPC players, etcetera, etcetera. So I think that level of wanting to export out of China, that seems to have increased. And as Chaitanya mentioned, those are the markets that we're looking at.

In terms of your question on the Cable front, our guidance has been that we are expecting 25% year-on-year growth. Last year, the growth was lower than 25% because we had a big drop in Cable exports to the U.S. market. Slowly, that has started picking up. So in FY '25, we will start seeing cable supplies to the U.S. starting to pick up.

Moderator: Next question is from the line of Shrinidhi from HSBC.

Shrinidhi: Congratulations on good set of numbers. First, we have seen a really strong growth in your domestic cable business, almost around 80% for last 2 quarters. Would it be possible to share some color what is really driving this strong growth? And how do you think it will continue in the next 1 to 2 years?

Kushal Desai: So actually, the growth has been coming primarily from supplies to the Indian Railways to the solar, wind projects. Wind has been -- year-on-year, we've seen a large growth on the wind side because as the local players, like Suzlon has redesigned their windmills, they've become far more efficient. They moved from 2 megawatts to 3-plus megawatts. So the wind sector has grown. Solar sector has grown. Our shipments to Indian Railways have grown. Our LDC business, which is a B2C business that we
APAR Industries Limited
May 14, 2024

Page 22 of 34

sell of the APAR Anushakti wires that has also grown from about INR 170 crores to about INR 260 crores. So we've seen overall growth on the domestic market. Power cable business also has grown, which supplies to various metros, etcetera. So the overall side on the cable market domestically has grown. We've almost seen a 40% growth quarter-on-quarter in the domestic side.

Shrinidhi: Right. And do you think, sir, there is a strong tailwind going into next year as well because a lot of these...

Kushal Desai: On the cable side -- we see on the B2B cable side, the demand growth is definitely there. There is increased competitive intensity because all the major players are looking at increasing their capacities or in various stages of increasing capacity. So there will be some amount of competition that increases, especially in all these specialty sectors, but the growth is definitely there.

Shrinidhi: Right. Sir, may I ask you to give some breakup of your annual cable business by different product types, like how much is power cable, how much is specialty, how much is LDC?

Ramesh Iyer: We have a broad breakup for the overall products in the corporate presentation.

Shrinidhi: Sure. I'll have a look at it.

Moderator: Next question is from the line of Gaurav Uttrani from IIFL Securities.

Gaurav Uttrani: Sir, could you highlight like how the margin trends would be in the coming quarters as we are seeing the copper prices are inching up or other raw material prices are inching up? If you can highlight like how the pass on will be to the end customers or to any of the customers in this segment, specifically for conductors and cables?

APAR Industries Limited
May 14, 2024

Page 23 of 34

Ramesh Iyer: So both for conductors and cables, our margin will not change depending on the prices of copper or aluminum going up and down because we run a full hedge book. There is complete back-to-back hedging that happens on all the orders. So the margin per unit may n

ot significantly change.

However, depending on the price of aluminum going up and copper going up, some -- there could be -- the project cost is increasing for the customers, then they may kind of postpone some of their projects. And if they expect the copper price or aluminum price to come down, then we may see some kind of postponement of the project. But for our company, the margin profiles are unlikely to change because we do a back-to-back hedging.

Gaurav Uttrani: Okay. And sir, could you just please highlight like what was the growth rate in transformer oil for the full year FY '24 and 4Q in terms of year-end hedging?

Kushal Desai: Yes. The transformer oil side of the business, as I mentioned in the earnings call, we were up 15 percentage annual for the full year.

Gaurav Uttrani: Okay. And sir, last question on the order book like for the conductors, what

would be the export mix for this current order book, which we have of 68 billion?

Ramesh Iyer: Yes, it's about 38% is export conductor pending order.

Gaurav Uttrani: Okay. And then for cable, sir?

Ramesh Iyer: Cable, the total order book is about INR1,400 crores -- INR1,436 crores.

Kushal Desai And the -- I don't think we have a very handy number on the export side.

But the export orders are finalized quite quickly. So the turnover on the export orders are relatively very fast because the metal is priced at the time

APAR Industries Limited

May 14, 2024

Page 24 of 34

we placed the order and the execution normally takes place within 4 to 6 weeks.

Ramesh Iyer: And the export mix is about 20 percentage there.

Moderator: Next question is from the line of Anand Trivedi from Nepean Capital.

Anand Trivedi: Congrats on a good set of numbers. My question is -- my first question is the U.S. market. Can you break down how much of your business comes from the U.S.? And given the fact that you mentioned that it will be slow in the coming year as well, do you see the Indian market making up for the growth -- that of growth in U.S.?

Chaitanya Desai: Yes. So far, Indian market has been actually quite strong. And overall volume growth Conductors, Cables both has been a very strong. The competitive intensity for us in the Indian market has also been higher. So really, we have to pick and choose which business we want to get after to maintain the profitability that we would aspire or like to make. As far as the U.S. market is concerned, we've seen it's slowed down both for Conductors and Cables.

In the case of Cables, it was first due to deinventorization. And secondly, that some of the projects in both Conductor, Cables have got postponed, like new solar farms, new wind farms, etcetera, which required a fairly high level of leverage. But having said that, on the cable side, we started seeing uptake again picking up, especially with respect to the solar installations.

Anand Trivedi: So what percentage of your business comes from U.S.?

Kushal Desai: Sorry?

Ramesh Iyer: Around 12% to 13% in the current financial year.

Anand Trivedi: Okay. And my next question is on the renewable...

APAR Industries Limited

May 14, 2024

Page 25 of 34

Kushal Desai: Anand, it was at 26%. And today, at its peak, I mean in FY '23, it was at 26% of the revenues of that year. Today, it's about half of that, about 12% to 13%.

Ramesh Iyer: 16%. For the company, it was about 16%.

Kushal Desai: Sorry, 16%.

Ramesh Iyer: It was around 12%. Last year, it was about 16 to 17 percentage. Current year, it has come down to about 12%, 13%.

Anand Trivedi: Okay. And on the renewable side, do you further break down how much of the business comes from renewables and is that growing at a much faster...

Ramesh Iyer: In our corporate presentation. We have had a slide in terms of how much of total products come from renewables, we have given that in that slide, in the corporate presentation.

Anand Trivedi: Okay. I'll look through that.

Moderator: N

ext question is from the line of Axay Shah from Kriis PMS.

Axay Shah: Sir, our transformer oil business is growing very fast. Is it expected to growing at the same pace?

Kushal Desai: We expect it to grow at double digits for sure because we -- as I mentioned in the opening remarks that the amount of transformers getting installed and the amount of substations that are coming up not only in India, but even around the world is continuing to increase. So we see double digit growth in transformer.

Axay Shah: Okay. Can you -- you mentioned our transformer that are going to establish in the world in the next 3 to 5 years?

APAR Industries Limited

May 14, 2024

Page 26 of 34

Kushal Desai: You mean, what is the transformation. So it's counted in the form of MVA. I don't have that figure clearly available. But Indian market, the transformation capacity has been planned to be added at about 80,000 MVA for India. And if you see I mentioned the numbers for the last 3 years, it's been varying -- falling from 79,000 to 76,000 to last year it was 71,000. We're expecting it to pick up to 80,000 MVA from this year onward.

Axay Shah: Okay. And sir, apart from new transmission lines, old transmission line are changing. So with that the new transformer will also be placed. So the demand of transformer will decrease as they are new transformer installed?

Kushal Desai: No, no. So what will typically happen is that if there is a large increase in the transmission line, then along with that, the substation also will have to be upgraded. So a new transformer will go in, which will be filled with a fresh transformer oil. It will also increase the demand for our copper transposed conductors will go into the transformer. So reconductoring for Apar actually I mean, the largest portion obviously comes from the reconductoring piece. But there is also a substation upgrade that has to take place.

Moderator: Next question is from the line of Yash from Stallion.

Yash: Am I audible?

Kushal Desai: Yes.

Yash: Sir, I just wanted to understand what is your volume growth for this quarter in your Cables division for India?

Ramesh Iyer: In the Cables division, we don't report the volume numbers because there are too many SKUs of different sizes. So we have only been reporting the value growth.

APAR Industries Limited

May 14, 2024

Page 27 of 34

Kushal Desai: So we're expecting a 25% year-on-year growth over the next few years.

Yash: Right. And this is -- I see. And this is in terms of volume growth you're saying for the next couple of years?

Kushal Desai: The value -- because in our case, we have a huge variety of specialized cables that we make across so many industries. So the only common denominator is really value.

Yash: Right, right. Okay. And just a second question is that in power cables, you would be competing with the traditional peers in the Indian market, like Polycab, KEI or I mean is there any some data in terms of your market share, specifically with respect to the power cables?

Kushal Desai: So there is no -- I mean, I wouldn't be able to tell you exactly what percentage it would be as part of power cables. The entire Cables market is around between INR70,000 crores and INR75,000 crores. And if you take the INR3,000 crores that we have in the domestic market, we are at, whatever, 4%, 4.5% market share, of which the specialty side, we are the largest player in wind, solar, railways, all that. The power cable share would be in the range of maybe 1.5% or so -- 1.5%. I wouldn't hang my hat on that number, but it's somewhere in that range.

Moderator: Next question is from the line of Himanshu Upadhyay from Buglerock PMS.

Himanshu Upadhyay: One thing was -- on the first was that could Chinese competition, what you have stated, it is in both Conductors or Cables business? Or it is only in Conductors when you were...

Kushal Desai: So we see the Chinese competition coming in both prod

ucts, in

Conductors and Cables. Over the years, we've been more active on the Cables side, less active on the Conductors side. But right now, we've been

APAR Industries Limited

May 14, 2024

seeing in certain countries, we have been active in both product categories.

Himanshu Upadhyay: And one more thing. When we had spoken about the Cables business, okay, you said that we are into many of the products on -- in U.S., which require a lot of approvals, okay? And on the renewable side, okay, around 18 or 20, whatever approvals were there, means a variety of products. So are those Chinese also having similar variety of products and approvals in that market?

Kushal Desai: No, the Chinese are very active as in the building wire segment, which are the products which go into commercial and residential, real estate projects, etcetera, etcetera. So the building wire market, just like in India, also, if you take the building wire market is almost 40% of the total market, the U.S. is something that's a similar number. And the Chinese products are actually most active than that. They have also started routing products that go into the solar side, which is your string cables and power voltage, the photovoltaic cable.

So there, we actually make a very good product, is very well accepted in the U.S. But the Chinese products coming via some locations is probably being priced lower than our product. That's the market which I was talking about, where some of the distributors has been -- there's been raids on their warehouses and stuff from the U.S. authority. But otherwise, their predominant position is on the building wire segment.

Himanshu Upadhyay: Understood. Okay. And we are maybe small in building wires, whatever are used to...

Kushal Desai: We have a building wire business. And we -- so part of the -- we are talking about those 18-odd approvals, which are the UL approvals, the Underwriters Laboratories approval. So we have a full range in there. And
APAR Industries Limited
May 14, 2024

we continue to sell some of these building wires as well. But our largest products go into the renewable energy side.

Himanshu Upadhyay: Okay. And what is the progress on Anushakti this years? And in terms of distribution and product...

Kushal Desai: As I mentioned our -- we were at INR 175 crores -- about INR 170-odd crores last year. This year, we are at close to INR 260 crores as in FY '24.

Himanshu Upadhyay: And we would be present in now how many states and distributors?

Ramesh Iyer: 18 states we are present.

Himanshu Upadhyay: Okay. And one last question. We have seen a 22% volume growth in global transformer oil for the quarter, but the segment volume is up 5%, okay? Which would be the segments which are not growing that well? And has the margin improved for transformer oil since not all oil companies would be in the approved vendor list for all transformer companies because it was a duopolistic market. And is the transformer oil demand also strong in export markets? Generally, we were not exporting the transformer oil...

Kushal Desai: So our transformer oil demand has been strong, both domestic as well as overseas. The overseas growth has been even higher than the domestic market growth. We -- if you take the full year, we are looking at a 15% growth. And if you look at the other product category, the overall growth has been 11%, of which transformer oil has been 15%. So most of the product lines that we have, have grown, but they've grown in smaller numbers for the year.

Himanshu Upadhyay: See one more thing because a lot of industrial oils also rubber processing and all those things. So as manufacturing moves up, would not the volume of them also will increase in similar proportion? Or means not to the rate

APAR Industries Limited
May 14, 2024

of transformer, but again, at a better rate than what historically they h

ave

been? Would that be a right assumption?

Kushal Desai: So I'm not so -- it all depends on the cars, the number of addition of new vehicles, etcetera. So we've been seeing growth happening. Typically, if you take the non-transformer oil side, we've been seeing growth happening in the market growth at about 2%, 3% a year. And the lubricant growth is definitely in that range, the industrial lubricants, automotive lubricants.

Himanshu Upadhyay: And how is the margins on transformer oil? Because it should have improved because some of the other...

Kushal Desai: We've not been commenting on individual product lines. If you take overall, the margins have improved this year compared to the previous year. And that has been largely contributed from the transformer oil growth that has happened.

Moderator: Next question is from the line of Sagar Dhawan from ValueQuest.

Sagar Dhawan: Sir, my question is on the Conductors segment. So can you please comment on the profitability in the Conductors segment, specifically for the exports market? Is it possible directionally or even specific compared to where we were last year?

Ramesh Iyer: Your voice is not clear. Can you repeat the question?

Sagar Dhawan: Sir, is it better now?

Ramesh Iyer: Yes.

Sagar Dhawan: Sir, my question is on the Conductors segment. Could you please comment on the profitability in the Conductors segment for the export piece?

Directionally is also fine.

APAR Industries Limited

May 14, 2024

Page 31 of 34

Ramesh Iyer: Yes. But we don't give out specific information on breakup into domestic and exports because the number of products and the category of products are too huge. So it is difficult to compare what we sold last year, what we sold current year. It's all order-based products. So it's difficult to give that number out.

Sagar Dhawan: Okay. Understood. And would the profitability in the export be lower than the company average? Or would it be higher than the company average of 48,000 per metric ton?

Ramesh Iyer Well, it's difficult to compare that because as I said, the products are completely different. What we sell in India are the premium products. What we sell, export are conventional products. So the product lines are different. The bill of material is different. So it's difficult to compare that.

Kushal Desai: So typically, the same products sold in the export versus domestic, we would generally make a better margin in export versus domestic. But as Ramesh said, the mix is completely different between -- we don't sell a lot of standard products in the Indian market. We sell our premium products in the Indian market. And most of the standard products are sold in export markets where we get a better realization for that.

Sagar Dhawan: Understood, sir. And my second question from my side is on the market share. If you could share for the CTC, what is our market share in that?

Kushal Desai: Copper transposed conductors, we are approximately 20%, approximately.

Moderator: Next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: Just one question on the exports. You did highlight that the U.S. market and the domestic market, how the growth has been -- just wanted to understand ex of U.S., ex of domestic, how has been the outlook for the other markets?

And I recollect a few months back, we used to highlight that there's a lot

APAR Industries Limited

May 14, 2024

Page 32 of 34

of traction also for the premium products in the few geographies, including Australia. So just wanted to understand the sense for both Cables and Conductors, ex of U.S. and domestic.

Kushal Desai: So we had commented that we -- that the Australian market is an important market for us, and it's -- in terms of export markets, it's the third largest region after the United States, then it was the EU last year and then #3 was

Australia. The market potential itself is much lower than these 2 geographies

s, but we have a good presence in the Australian market. And that market continues to grow.

We've sold more products in FY '24 than in FY '23. And I think in FY '25, we should exceed what we've done in FY '24 in Australia. We also have a good presence in Australia on Specialty Oils, where we have over almost 35-plus percent market share for transformer oils, and we have almost 50% market share for white grade oil of pharmaceuticals. So if you take the whole bundle, then actually Australia is quite a strategic market for APAR.

Amit Anwani: And sir, this we are talking about the premium products or?

Kushal Desai: No, it's a full range, across the range of products. So there's conventional aluminum conductors, there are some specialty aluminum conductors. There's a whole range of cables. In Cables, the maximum volume goes again into renewable energy projects. So we've supplied more than 75 renewable energy sites in Australia with our Cables. Our transformer oil also has been going into transformers and are supplied to many of these sites, but supplied locally through our Australian distributor.

Moderator: Next question is from the line of Mukesh, an individual investor.

APAR Industries Limited

May 14, 2024

Page 33 of 34

Mukesh: Just want to know about our capacity utilization, product loan capacity utilization. And what would be our capacity for next -- increase for next year?

Ramesh Iyer: About 90 percentage capacity utilization for Conductors and Cable division. And as we are increasing the top line, the capacity will go up.

We are looking for a 10%, 15% increase in the conductor capacity. And in case of Cable, we expect 25% growth in capacity year-on-year.

Moderator: We have our next follow-up question from the line of Axay Shah from Kriis PMS.

Axay Shah: Sir, we are in power cable, we are in conductor, we are in transformer oil. So seeing the good demand in transformer also, why are we not adding into this sector also? Is it entry barrier are very high?

Kushal Desai: So in terms of transformers, as a strategic decision, we stayed out of transformers because we being such a major supplier of transformer oil and especially at the upper end, when you get into all the high voltage, the extra high-voltage, ultra-high voltage transformers, et cetera. We don't want to be competing with our customers. We get a very early look into development of products for them. And all that will be lost if they felt certain that we were a competitor.

Kushal Desai : Similarly, we then got into copper transposed conductors. Again, it's a strategic material that goes to transformer manufacturers. So the clear idea here is that we want to focus on being in critical building blocks that go into transformers as opposed to making transformers ourselves. So it's not because of an entry barrier. If we really wanted to, we could buy out a transformer company or get into that business. But it's a strategic call in terms of what business we want to service and especially not compete with our customers.

APAR Industries Limited

May 14, 2024

Page 34 of 34

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: I'd like to take this opportunity to thank everyone for participating in this earnings call. And we remain fairly optimistic. We see that the main growth drivers continue to remain intact. And as you look over a period of the next 3 to 5 years, we are quite sure that this whole energy transition will play out and will provide opportunities to APAR to grow both domestically as well as in the export global markets.

So thank you once again, everyone, for joining our call.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this

conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Aug 2024

SEC/ 0608 /2024 By E -Filing August 6, 2024

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Investors Conference Call made on Un-audited Financial Results (Standalone & Consolidated) of APAR Industries Limited (the Company) for Q 1FY25 .

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer our letter no. SEC/ 3007 /2024 dated July 30, 2024 w.r.t. submission of link of Audio Recording of post Investors Conference Call made on Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 1FY25 .

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith the transcript of the Investors Conference Call made on July 30, 2024 on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 1FY25.

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India

+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India

+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

"APAR Industries Limited
Q1 FY '25 Earnings Conference Call "
July 30 , 2024

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING DIRECTOR – APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI – MANAGING DIRECTOR – APAR INDUSTRIES LIMITED
MR. RAMESH IYER – CHIEF FINANCIAL OFFICER – APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 2 of 25

Moderator: Ladies and gentlemen , good day and welcome to the APAR Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Ambesh Tiwari from S -Ancial Technologies. Thank you, and over to you, sir.

Ambesh Tiwari: Thank you. Good afternoon, everyone. This is Ambesh Tiwari from S -Ancial Technologies. I welcome you all to the Q1 FY '25 Earnings Call for APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director and the CFO, Mr. Ramesh Iyer.

I would now pass on the mic to Mr. Kushal Desai for the opening remarks. Thank you and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone and welcome to the APAR Industries Q1 FY '25 Earnings Call. I would like to start by giving a quick overview of our performance and then follow it up with a short industry update. We can then get into more details on the segmental performance and then finally end by opening up the floor to questions.

So, for Q1 FY '25, the consolidated revenue came in at INR4,011 crores, which is up 6.5% year -on-year. The domestic business actually grew by 43.4% versus last year. The export revenue degrew by 25.9%, essentially due to the high base of US revenues in Q1 FY '24. Export shipments across all 3 divisions were affected from the 10th of June onwards due to a sudden issue with containers, ships and freight, resulting in lower dispatches, especially on the FOB shipments where customers were to put up their containers.

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 3 of 25

The EBITDA is up 6.8% year -on-year to reach INR394 crores with a 9.8% margin. Profit after tax came in at INR203 crores, which is up 2.6% year -on-year and is 5.1% in terms of margin.

In terms of key industry highlights: Data from the Central Electricity Authority reveals that the total transformation capacity added during June stood at 4,035 MVA. On a quarterly basis, the transformation capacity added during FY '24, '25 is expected to be 10,260 MVA.

Looking ahead, India is likely to witness a record increase in transformation capacity addition. As for the CEA, the current fiscal year FY '25, which is from 1st April '24 to 31st March '25, is expected to see as much as 1,16,490 MVA of substation capacity coming on stream. If this materializes, it would be by far the highest substation capacity addition in any year compared to the previous 5 years. In fact, it would be fair to assume that this would be the highest transformation capacity commission in any financial year historically in India.

On the transmission line addition: During Q1, April to June of FY '25, the CEA reported that 973 circuit kilometers of transmission lines were commissioned, which is representing only 16.7% of what has been targeted in this year, which is 5,839 circuit kilometers.

The state utilities were the main contributors, but fell short of expectations, adding just 921 circuit kilometers out of a planned 4,494 circuit kilometers, achieving only 20% of their target. Finalization of tenders were delayed due to national elections and elections in some of the states.

In terms of the renewable energy sector, the country has made significant progress with increase in the installed capacity going up by more than twice in the last 8 years. As of the end of June 2024, the total renewable

energy capacity stands at 195

gigawatts, of which 85.47 gigawatts comes from solar, 46.7 gigawatts come from wind. The total capacity under pipeline, which is being added, is 134.85 gigawatts, with 85 gigawatts coming from solar and 30 gigawatts coming from the wind side.

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 4 of 25

I would like to also now get into more details in terms of the individual business segments and their performance. Our conductor business revenue in Q1 FY '25 grew by 9.1% year-on-year to reach INR1,936 crores, with a volume growth of 6.7% in the quarter. Export revenue contributing to 29.5% of the division's overall revenues versus 52.4% in Q1 of last year. The exports were down versus last year due to delays in regulatory approvals in competition and then as I mentioned earlier in the call, due to container availability, which created delivery challenges for export shipments. The premium products contributed to 37.1% of the revenue mix. EBITDA per metric tonne post-forex adjustment came in at INR38,532 per tonne. On the back of execution of higher-margin product orders, especially with a higher amount of HTLS conductors getting executed in that period. Under the conventional conductors, the more premium variety of AL-59 continues to replace gradually the entire quantity of ACSR. Overall, our order book is at INR6,725 crores, with premium products contributing towards 41% of the order book. There was a new order inflow in the quarter of INR1,794 crores.

Coming to the oil division. Q1 FY '25 revenues came in at INR1,265 crores, which is 6.1% higher than a year ago. The volumes grew by 5.9% in the quarter. Global transformer oil volumes grew by 20% over the last year, driven by strong demand and a gain in market share globally. Exports contributed towards 45% of the oil division. EBITDA post-forex adjustment came in at INR6,935 per KL, which is 15% higher than last year. The automotive oil volumes recorded a strong growth of 29% year-on-year and the industrial lubricants business grew by 7.6%.

Coming to our cable business. We saw revenue growth of 7.8% versus last year. If you exclude US revenues, ex-U.S. revenues, we grew by 23.9%. The domestic revenue grew by actually 48.4% year-on-year, and export degrew by 30.5%. The export mix currently stands at 33.2%. Export is lower than last year due to the higher base of U.S. sales in Q1 FY '24. The EBITDA margin came in at 10.3% in Q1, which is down 110 basis points versus last year. And this, we can attribute to lower level of exports as well as a geographic mix. The overall order book came in at INR1,571 crores.

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 5 of 25

In conclusion, the global supply chain continues to be a bit challenging, as delivery shipments were affected in June due to container availability tightness. If you look at

the total exports that got postponed across the 3 divisions, it is in excess of INR270 crores. Also, demand from the U.S. and Europe has been affected to some extent due to delays in regulatory clearances, especially on transmission line.

We have been seeing an increased level of inquiries from the Western nations recently and are hopeful for a further acceleration towards the second half of the year. The macro environment otherwise looks positive with the thrust on renewable energy capacity additions, transmission line sector expansions and we continue to remain buoyant on the robust growth drivers that should help create more value for our stakeholders.

Chinese competition, however, has increased considerably, especially in areas where there are no barriers to entry for Chinese products. Due to predatory pricing, however, duty on Chinese goods which include aluminum conductors and cables have been increased by up to 25% further in the U.S. This

will likely make Indian -

origin goods more favourably positioned in the U.S. market and that's the reason why we have an optimism that business will grow in the second half of this year continuing into the next financial year.

We have a very detailed corporate presentation on the company profile and performance that has already been uploaded on our website and we would encourage everyone to please access the same and go through it.

So, with this, I'd like to come to the end of my comments and open up the floor to questions.

Moderator: The first question is from the line of Maulik Patel from Equirus Securities. Please go ahead.

Maulik Patel: Kushal bhai, a couple of questions. One on the conductor side. We are hearing that some of this player like KEC and the Diamond Power, they have started also the conductor manufacturing capability or about to start the manufacturing capability.

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 6 of 25

Are we going to see a significant market? And if they're coming up with the new capacity, how long it generally takes for the new entity to take an approval from the relevant authorities, like PGCIL or if they're trying to get an export in U.S., how many months it generally takes to get an approval?

Chaitanya Desai: So, companies like KEC, who are EPC companies, they will be more catering to the internal requirements because there will be a conflict of interest with other EPC companies. So, it's not likely that they will be actually upsetting the marketplace. With regard to Diamond Cable, also, they are somewhat connected to Adani in some ways. So there also, it may be more gearing up for the Adani-type requirements, which is a developer. So here again, there will be a conflict of interest with other developers. This is our perspective.

In terms of the barriers to entry, the product, which is now being used in India, which is AL-59, is not an easy product to manufacture for a new entrant. So, it is possible that some of these companies may actually start off with the conventional ACSR conductors and it may take some time for them to actually qualify and make the product as per the requirement of PGCIL and other customers.

And in the export market, it's not just a question of price, which wins the business, it is also a combination of reliability, past records of how much business has been successfully done in that geography. So, to make this kind of inroads, we had to take several decades. So, I believe it may be equally difficult for new entrants and especially when the existing entrants are well sort of in the entrenched.

So, it's difficult for a new party to get space to enter into that market. But a lot of these foreign utilities and foreign customers, they are not just looking for the lowest initial cost. They look at the total cost of ownership and they are ensuring that their project is not getting delayed or there is no problem on the quality as they execute the contract. So, their philosophy is quite different from our Indian utilities.

Maulik Patel: Also, they look at ESG compliant also where you have the significant investment in the past, right, in terms of an ESG compliant?

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 7 of 25

Chaitanya Desai: Yes, especially in Europe, we are seeing a lot of that.

Maulik Patel: Your inflow was one of the lowest. Is that because of the election that's been a decline in the new order inflow?

Chaitanya Desai: Part of it was on account of the code of conduct, especially where we are directly dealing with the utility. There is also previous quarter where we had a good inflow of orders and we have certain commitments for supply. So, although we could have taken on more business, but some of the clients are looking for deliveries which are clashing with our existing commitment

s. So, we have not overcommitted by taking on those orders and then not being able to supply those volumes.

Kushal Desai: But Maulik, on a half year basis, you're looking at almost INR5,000 crores if you had to, there was more finalization that took place in the Q4 and then because of the elections and the state electricity boards are actually been running a little bit behind us, it was mentioned in the opening remarks. Our sense is that the domestic market otherwise is fairly strong.

Chaitanya Desai: There has been some impact on the export as was explained in our opening comments that because of the logistics disruption, the inflow of business from the export markets has been somewhat disturbed. Besides our actual dispatches, which got affected also inflow of new orders in certain export markets has got somewhat impacted because clients are hoping that once this 1st September starts, then the situation should start normalizing and container availability should start coming back into the stream because the extra duties will start kicking in of Chinese goods to the U.S. market from 1st September. So currently, there is a rush to supply all the goods to the U.S. market before 31st August. So, it's a combination of these factors also.

Maulik Patel: You mentioned that the duty has been increased from what percent to what percentage?

Chaitanya Desai: Chinese products into the U.S. from 35% close to 60%-plus.

Maulik Patel: Applicable to both conductor and cable or only conductor?

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 8 of 25

Kushal Desai: So, it's conductor -- aluminum -based products are included in that, but the total range of products is going into many categories, including a whole lot of gears it goes into your photovoltaic cells, etcetera, etcetera. And the increases have been between 20 - 25 percentage points.

Maulik Patel: Kushal bhai, you've been highlighting about this slowdown in the U.S. market from a cable perspective, there has been an inventory rationalization, which I think was taking place since last couple of quarters, have we seen the bottom of that?

Kushal Desai: I think so because our inquiry rates have substantially increased. And even the order inflow has started increasing. So, when you are looking at this first quarter versus first quarter of last year, first quarter of last year was still at a fairly high level. But the shipments to the U.S. in spite of this problem which having happened is still higher compared to the previous quarter. So, I think it has already bottomed out, very clearly bottomed out, and shipments and inquiry levels have started increasing.

Moderator: The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Congratulations for the good set. First question on the volumes. So, you did highlight it on the export front the contribution this time was about 30% and last year and from recent past, the contribution was, especially in conductor used to be 40% to 50%. So, underlying the challenges which you highlighted now, what are the volume expectations?

And second thing, I wanted to understand on the regulatory delays, which you have highlighted, if you could elaborate more? Is it because of the elections or any other factor which is there in exports, U.S. exports?

Chaitanya Desai: So, on the regulatory front, the foreign regulatory bodies are more demanding, and there are a lot of more procedure for their various permissions compared to our Indian counterparts. So, to get the project clearances itself takes many years. So, these are some of the things which have affected some of the projects. And in addition to that, the higher interest rates also have sort of forced some of these

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

projects to get little postponed in terms

of the implementation in these foreign countries, that is what we were meaning when we said about the regulatory delays. And with regard to the future quarters, this Q2, which we are currently in, that is also obviously somewhat impacted because of the logistics disruption. And we are hoping that from Q3 onwards, things should normalize.

Amit Anwani: Right, so are we expecting that the contribution will again come back to a higher level of 40% from exports?

Ramesh Iyer : Yes. See, the mix will be better. What we are also doing is that our product peaks we are improving, as we have been mentioning from the earlier quarters, the ACSR - type conductors are being replaced with AL -59 conductor. So even though they are conventional conductors, they are having a better margin than the ACSR conductors. Similarly, within the premium product portfolio also, we have better margin products in terms of CTC conductors having a better -- higher share than PICC conductor. So, we're trying to optimize the better product mix, high margin mix within each category, and that is the reason we are getting a better EBITDA margin on a per metric tonne basis.

Now it really depends on the kind of orders and projects that get executed during the quarter. So, you may see the EBITDA margins moving in that direction, depending on the overall premium mix as well as premium mix within each category. But for the full year basis, we are expecting about volume growth to be anywhere between 10 -15 percentage.

Amit Anwani: And are we revising EBITDA per tonne?

Ramesh Iyer : Sorry?

Amit Anwani: Are we revising EBITDA per tonne this quarter.

Ramesh Iyer: No, so we go with our annual guidance that we have shared last time. But we have been working on improving the product mix. So, depending on what we've executed in the quarter, your EBITDA margin will improve there.

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 10 of 25

Amit Anwani: Right. And on the oil business, we did highlight that the global transformer oil volume have gone up by 20%. Is it for APAR. And if so, then I think the overall oil volumes has been 6.7%, is it affected by other verticals and transformer is doing great, if you could explain more? And then if that is the case, what is the outlook for the oil business with respect to EBITDA per KL and volumes in the coming quarters?

Kushal Desai: So, the transformer oil, the 20% growth has been -- is specific to APAR. The market is not growing at 20% a year. But as the Indian market is probably growing close to about 8% to 10%, and the overseas markets are growing at around 6%, 7% a year, depending on which geography one is looking at. We have been gaining market share in several countries, which is why the figure of 20% with respect to APAR. As far as the product verticals are concerned, transformer oil, which is a target vertical for us to grow has shown these numbers of 20% growth.

Similarly, if you take the lubricant business, both the automotive and industrial also have grown. What has degrown for us is the process oil business and the white oil business, both of which actually carry a lower margin profile. And the main reason for the white oil business being lower is the foreign exchange issues that are existing in Africa as well as the higher logistics costs, shipping from India into Latin America and a few of these other markets, which typically we have been doing a good amount of white oil business.

So that's the reason why you've seen transformer oil at 20% and the lubricant mix, also double-digit growth, but overall growth at around 6%. But because the more profitable product line has grown, you see an overall increase of almost 15% in the EBITDA quarter-on-quarter.

Amit Anwani: Right. Lastly, sir, on Cables business. So, this quarter, we did about 7.8% top line growth. So, with the comeback in the exports bu

siness, are we still guiding more than 20% growth for the Cables business and similar kind of margins, 10.5% to 11%, 11.5%?

Ramesh Iyer : Yes. margins are likely to be in the range of 10 -12 percentage. And overall, value

also, we are looking at about 25 percentage growth on an annual basis.

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 11 of 25

Amit Anwani: And this is primarily when the U.S. comes back? Or again, this business is displaying much faster growth in domestic market, any colour on the domestic market with respect to optic fiber and low-duty cable, how the growth and contribution is happening from all the fast-growing businesses in Cables?

Ramesh Iyer : So domestic business is showing very strong growth. If you see even this quarter, domestic business has grown by more than 40 percentage. Of course, 25 percentage, we are assuming that U.S. also comes back. Our domestic business looks strong. Our LDC business has also grown 50 percentage in this quarter to about INR70 crores in this quarter. So apart from that, all the other verticals on domestic took strong growth in this quarter.

Amit Anwani: How was the elastomeric cable growth?

Ramesh Iyer : Elastomeric cable was over 15%...

Kushal Desai: So, the renewable energy side actually has grown even more, which is the solar cable side. The supplies that went into the railways and defence, the growth was a little bit lower, but that also is picking up. From this quarter onwards, quite a lot of railway orders, et cetera, coming in. So overall, domestic growth is fairly strong. And as the inquiry levels have increased, even the order conversions have improved with the U.S. So, our sense is that you'll see both export business going up and the domestic business going up.

So, by the half year, we will know better in terms of how much this export logistics is actually affecting shipments. But otherwise, if you take our view in terms of for the year and then going forward, none of the critical growth drivers seem to have got adjusted in the wrong direction. They're all still positive.

Moderator: The next question is from the line of Riya Mehta from Aequis Solutions. Please go ahead.

Riya Mehta: Sir, my first question is in terms of railway. So, in the budget also the electrification numbers have reduced. And I think we are on track for the target of around 80% to 90% electrification. So, going forward, what kind of railway orders are we seeing?

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 12 of 25

Kushal Desai: So, the railway electrification side has already, as you said, 90% is already done. The in flow of orders for copper conductors is down. However, for certain special copper alloys that business has started for the higher-speed trains. But the growth which we have seen that I was referring to previously is fundamentally with respect to the cables that are going into the trains for the locomotives as well as for the coaches.

So that part of the railway business has been continuing to grow. We are the major supplier into the Vande Bharat train. And as the manufacturing and execution of that is increasing, our supplies to the railways is also increase. However, what is compensating the conductor business for a reduction in copper conductors to the railways, we have seen a major jump in our copper transport conductors going into the transformer side of the business.

I think in the last earnings call also; we had mentioned that all transformers which have more than 400 amperes of current coming out of them have been mandated by CEA to have the copper transposed conductor. So that's one major area of growth. The second area where we've seen growth happening is in the busbar. So, these busbars are also increasingly being used, especially in high-rise buildings and larger complexes, which is a norm

in India. So, between these 2, it's compensating for any reduction that's been there on the railway conductor side.

Riya Mehta: Got it. And my second question is a lot of players who are basically forward integrated toward using conductors and to the T&D space, a few of them have started their own conducting facility because there was serious shortage previously. So, do you see the competition increasing or are target area decreasing?

Kushal Desai: So, I think we've addressed the same question. Fundamentally, KEC has put in

specific conductor capacity, and that will probably come into -- so there another 6 months -or-so. So, in fact, it may be a backward integration for them to some extent. However, as Chaitanya -bhai mentioned that the base conductor today has moved to AL-59, which is not the simplest product to manufacture compared to ACSR. So, it has alloying and it has technology requirements attached to it. Besides that, they'll

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 13 of 25

have to get approval from Power Grid, which has won a significant number of new TBCB lines. That approval process is not a trivial process either.

Also, the export side of the business requires a much, much longer approval cycle. So, we really don't see that upsetting the apple cart. In addition to that, why would another EPC player buy from competing EPC player. So, we -- I mean, yes, there would be a lower demand coming in from KEC, but I don't think that's necessarily going to affect the overall position that APAR has on the conductor side.

Riya Mehta: And for the conductor, what percentage of the order book is currently coming from exports?

Ramesh Iyer : Exports, this quarter was less about -- exports in conductor is about 30 percentage, but earlier it used to be about 40 -45 percentage. But this quarter has been 30 percentage.

Riya Mehta: This is as a percentage in order book, right?

Ramesh Iyer : This is also for the quarter 1.

Kushal Desai: Yes. For the Q1 order booking.

Riya Mehta: And in terms of cables, U.S. would form around 50%, 60% of our exports mix. So, going forward, with domestic overcompensating for the lacklustre in U.S., what kind of growth do you see in other geographies in export market apart from U.S.?

Kushal Desai: So, we have, in fact, in the U.S., as far as the cable side is concerned, as I mentioned earlier, we have started seeing increased inquiry levels as well as an increased conversion. So, the order book for the cable side has already started growing. On the conductor side is what was being referred to that the -- some of these regulatory approvals are taking longer than had been indicated earlier. So, the conductor ordering from the U.S. has been a bit slower. The cable side has actually started growing. So, you would see a significantly higher amount of execution taking place of cable sales to the U.S. in the second half compared to the first half of this year

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 14 of 25

and even then comparing with the second half of last year. So, the trend is a clear upward trend.

Moderator: The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Sir, in recent past, there has been, I mean, the prices of copper and aluminum has dropped significantly. So, what impact this will have on us in coming quarters?

Ramesh Iyer: So, copper and aluminum rates doesn't affect our margins because we run our full hedge book for all the orders that we have. The only impact possibly you could see is that the interest line item may go up or come down depending on our copper, aluminum going up or down, but that also is factored in the selling price of the product. So, at a net margin, we don't expect any significant impact of copper or aluminum price going up or down.

Kushal

Desai: Also, Mahesh, you do need to keep in mind that both copper and aluminum had shot up in the recent past, and then now have recorrected downwards, but they are still at a higher level than they were 1.5 months, 2 months. But then having said that, as Ramesh has mentioned, we run pretty much a hedge book. and the changes in the price of aluminum and copper eventually affect working capital or could affect future business given that the capex cost may go up for a particular project.

Chaitanya Desai: So, some of our customers may before their deliveries, if they have not hedged, but it will not impact us directly.

Mahesh Bendre: Okay, sure. And sir, domestic side, the transmission capex seems to be very strong. This is indicated by Power Grid and all transmission companies. So, over the next 5

to 7 years, do you think the domestic market could be much more, I mean, attractive for us compared to export? Or is it that both markets will be flourished for us?
Chaitanya Desai: Yes. In the medium to long term, we see both markets being strong. In the short term, the Indian market has actually done quite well, and it has helped us take care of the reduction in the export demand due to this logistics disruption issues.

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 15 of 25

Kushal Desai: Also, we tend to think that everything in India is very slow. But as APAR is executing in 140 countries around the world, actually, the speed with which Indian regulatory authorities have been acting on new transmission lines or new infrastructure is actually faster than pretty much most countries around the world.

So that's the reason why in the shorter term, the U.S. regulatory clearances are taking a bit longer to come through, so somehow the demand has actually got pushed back because of that. But the Indian transmission line side should be looking up. If you see currently PGCIL's capex additions have been relatively low in the last quarter as they've reported in their financial numbers. But going forward, they won a number of lines. So, we see demand in the domestic side actually increasing.

Moderator: The next question is from the line of Himanshu Upadhyay from Buglerock pms . Please go ahead.

Himanshu Upadhyay: Yes. My first question was on the 30% growth in auto industry or the auto volume. Have you added new OEMs, which is leading to such high growth? Because last year, we had a pretty flattish numbers and we're not seeing so much growth on the OEM side. So, what led to this high growth? What would be the mix of aftermarket versus OEM sales?

Kushal Desai: Yes. So, this -- the growth has really come from the B2B side of the business, where the sale has come through B2B distributors, has come through OEMs and sales that have gone in directly into industries and end consumers. On the automotive side, besides these 3 channels, the OEM portion, APAR has actually gained market share or share of business from some of the existing OEMs. And that has also resulted in the higher numbers coming in on the automotive side. Some of the key OEMs that we service also had a quarter-on-quarter base effect.

So, they bought a lower number of lubricants, especially for their SPD, spare parts division, in the same period previous year, and they bought a larger quantity in the current year. So it's a combination of a higher level of purchase higher share of business from existing OEMs and some new product lines being added to some of the OEMs, which we have completed all the R&D testing, et cetera, et cetera, and

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 16 of 25

have had acceptance for, which some of our competitors in the account haven't been able to cross that barrier yet. So, it's a combination of these things.

Himanshu Upadhyay: But can we assume that it will over the year normalize to 4%, 5% or do you think its

high momentum.

Kushal Desai: So, the OEM side we will see a double-digit growth over last year.

Himanshu Upadhyay: Okay. And one more question on this. We had this UAE facility. If we take out consolidated revenue and EBITDA, we are not seeing much traction there. Can you give some thoughts on what is happening in UAE? And is it -- means, it should have more benefits of exporting as it is much more nearer to Europe and all those markets, especially on the oil's segment, what is happening there.

Kushal Desai: So there has been -- if you see, there have actually been 2 adverse areas that have affected export coming out of the UAE, one which you probably know very clearly is the issues in the Red Sea because the proximity to the European markets to West Africa to all of these happens through the Red Sea. So, with the Red Sea pretty much closing down, freight rates have gone up both from here as well from the UAE. Secondly, a lot of export was happening from there into Africa. And with the foreign exchange issues on the white oil side, which I spoke about earlier, there has been some impact in the Middle East operations there.

Having said that, the transformer oil side of the business continues to grow quite

strongly over there. So, you will still see in this year a better performance coming out of even the Middle East operations as compared to the same period in the previous year. So, FY '25, we expect to do better than FY '24 in spite of these issues because the transformer oil side of the demand remains very strong even in the Middle East.

Himanshu Upadhyay: And one more thing. Are we seeing delivery challenges only in conductor or with the transport challenges? And how is the situation in oils and wires? Because the rates you are saying have increased even for oil shipments.

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 17 of 25

Kushal Desai: No, so the logistics, meaning the export logistics or the freight has affected all the 3 divisions. The number which we mentioned of INR270 crores of shipments having got stranded, which would have otherwise been planned for dispatches in Q1, are largely comprising of FOB shipments, where the client was supposed to actually provide for the logistics and the container costs.

And this is something that we have been pushing for to isolate ourselves from the movement in the freight prices. So there is a challenge, which all our 3 divisions have faced and I think every exporter out of India has also faced because it just came in too fast and without adequate warning, a huge number of containers got diverted, many ships which we are supposed to call to India actually bypass India with empty containers and went straight to Chinese ports.

But having said that, that the effect of this whole China piece is by very nature, likely to be short term because of the higher duties which are kicking in from first of September onwards. So Chinese manufacturers have kind of moved the inventory that they held into the U.S. market before the change in the duty structure happens. So yes, when you have a disruption like this, it takes a few months for it to get normalized, but it should get normalized.

Himanshu Upadhyay: And you said that in oils business, the transformer oil and auto oils have been doing better and they are the higher -margin products, do you think the mix of products for the year, means, '25 -'26 would remain similar or do you think it will mean revert to backward historically it has been?

Kushal Desai: So, we will definitely see higher growth rate in both of these product lines, in transformer oil as well as in automotive oils. On the more commodity side, which is the technical grade white oils and some of the process oils which go into raw materials in the manufacturing goods, in fact, the margins have been very bad in

that, in that area. So overall, you will have 2 positives and 2 negatives. But overall, the positive should outweigh the negatives. So, I think we will be able to meet the guidance or possibly achieve the guidance through the year.

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 18 of 25

Himanshu Upadhyay: And the capex, are we on time to complete all the capexs which we had committed in last year?

Kushal Desai: So, on the capex front, we are progressing as per plan. The delivery cycles for critical equipment's have all been very long, and there have been further delays coming in delays as in, the longer lead time that has been indicated, but we have planned quite well to ensure that we spend the capex money keeping a buffer in terms of time. That is a reason why we've actually been accelerating some of this capex going in, and trying to build a buffer. So, we still should have most of the capex coming in within the indicated time frame.

Moderator: The next question is from the line of Mohit Motwani from Tara Capital. Please go ahead.

Mohit Motwani: Congratulations on a good set of numbers. My first question is on the cables front. So, you mentioned that you are maintaining the guidance of 25% growth for FY '25. So, this is factoring in the slowness in Q2 that you mentioned, right, if I understand correctly?

Ramesh Iyer: Yes. We expect that the demand from the U.S. coming up and we should be able to catch up with the growth numbers. So just assuming that not the export demand also

completely comes up, that's where we expect 25% growth in the annual numbers.

Mohit Motwani: And can you elaborate a bit on the competition that you're seeing in the cables segment? So, have you seen -- because some of your peers have also started exporting to the U.S., so have you seen any pressure on the market share or maybe pricing pressures, which could mean some negativity for the margin front? So, any colour on that you can share with us?

Kushal Desai: So, the U.S. imports nearly USD20 billion of cables in the year and the aggregate import from India of all the cable companies put together is -- last year's numbers were close to 400 -odd million. So, the real competition is still not just from, necessarily from other Indian cable manufacturers, but is against imports that are

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 19 of 25

happening from China, from Southeast Asia, Middle East, Europe, Mexico, Colombia and some of the Latin American countries.

So, I think the market is so large and the Indian share is so small that even though others may want to start exporting from India, other manufacturers, I think we still are quite focused in terms of the market and increasing our client base over there. So, we don't see the increased Indian competition has actually been the issue, the real issue will be whether we are able to compete against existing channels of supply into the U.S.

Mohit Motwani: Sure, sir. And sir, on the gross margin front, I understand that you have a complete hedge book, so the movement in the copper and aluminum prices don't really affect them. But if I look at gross margin in this quarter versus the last year as well or in the previous quarter, so it has been down. So, can you give a sense on how does your gross margin move and how does it depend on these raw material prices? I know you hedge it, but just a little bit, if you can elaborate on that?

Ramesh Iyer: Yes. This quarter, it has been down largely because export mix has also been less and the margin profile has been lower because the U.S. sales has been down and overall export mix has been less. So overall, we are looking at about 10% to 12% EBITDA margins. And once the scale of the business goes up, we can expect improvement in a few basis points due to your factory manufacturing overhead, co

nversion costs getting spread over a larger volume.

But yes, if you theoretically put in the copper -aluminum going up as a percentage to sales, it may marginally come down because in this thing, you're looking at a percentage to sales. But as the scale improves, we also expect the cost to come down as well.

Mohit Motwani: Okay. And right now, in terms of conductors in the domestic market for the Indian transmission lines. So, is it -- this is more of AL -59 conductor that is going into these transmission lines or is there more of any reconductoring that has started right now? If you can give a colour on that?

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 20 of 25

Kushal Desai: Yes. No, it's primarily AL -59, the conventional product. But there is some HTLS or the reconductoring business also, which is going on. Which was mentioned in our remarks also that after this election is through, we expect now the momentum to pick up there.

Mohit Motwani: Sure. And sir, this container availability issue that you spoke about for conductors, how long do you expect it to persist? I mean, I know you said that Q2 may be impacted. So, after that, do you expect this to normalize from Q3, the container availability issue?

Kushal Desai: Container availability issue is not only the conductor division, it's across our 3 divisions and across every single exporter from India. As I mentioned earlier, so I'm sure as you attend other companies' earnings calls and people who export, you will find that this has affected everybody.

As I said, it's -- the duration by very nature is short term because of a lot of movement from China into the U.S. to beat that deadline. Now how long it will take for it to normalize? It will take a few months. I don't know whether it will be 3 months or 6

months, but it will normalize because these containers, once the delivery happens, the U.S. will get destuffed and come back into circulation.

Moderator: The next question is from the line of Mukesh Patil, individual investor. Please go ahead.

Mukesh Patil: Just wanted to know cables and wire business volume growth for this quarter?

Ramesh Iyer : Sorry, your question was not clear. Can you repeat?

Mukesh Patil: What is the volume growth for cable business this quarter?

Ramesh Iyer : So, in the cable business, we don't report the volume numbers because there are a wide variety of different product sets. So here, we only report the value numbers.

Kushal Desai : 7.8% is the value mix.

Mukesh Patil: Okay. And what is the capex plan for this year and next year?

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 21 of 25

Ramesh Iyer: We are looking at capex of about INR300 crores to INR350 crores in this financial year.

Mukesh Patil: And next year?

Kushal Desai : It should be in the similar range.

Mukesh Patil: And it will be basically towards?

Ramesh Iyer: Largely towards the cable and the conductor division.

Moderator: The next question is from the line of Saurabh Patwa, Quest Investment Advisors Private Limited. Please go ahead.

Saurabh Patwa: Sir, I just wanted your thoughts on a medium-term volume outlook for transformer oil given the context of the increased investment in new power generation capacity as well as transmission, especially given the solar, which will require the increase in transmission line to much more extent versus thermal?

Kushal Desai: So, as I mentioned earlier, Saurabh, we expect that there will be a good demand for transformer oil. There is a number of substate -- with every generating site, every renewable energy-generating site, a substation goes in to step up the power and then a substation is required to step it down.

So, this entire renewable energy journey or transition that's happening is also becoming more substation intensive. And as a consequence, the v

alue of

transformers in the whole chain is also increasing. And that has a direct linear bearing on the demand for transformer oil. It also has a linear bearing in terms of the demand for copper transposed conductors or CTC conductors.

Saurabh Patwa: Right. And sir, out of the data center-led demand can impact, especially if the localization has to happen in India, will this drive another set of demand?

Kushal Desai: Absolutely. Not only in India, but around the world. So, there are a number of global studies which are out there on data center addition, the highest which is happening in the United States, India is actually a distant like 6 or 7 at the moment. But these

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 22 of 25

data centers are extremely power intensive. If you take the data centers which are being added in Navi Mumbai alone, once this current set, which have been announced are added, we need in excess of 3,000 megawatts of power to service them. So, it is a single largest, it's like 75%, 80% of the operating costs.

Saurabh Patwa: Right. So, is the product requirements different in terms of transformer oil?

Kushal Desai: No, no, no. So, see, the transformer oil will go into the transmission side of the system. If you're talking about liquid cooling, then for the data center. So that is still a category that is still being developed and is slowly increasing. There are standards which are slowly evolving in terms of data centers. And it would be a combination of using mineral oils and synthetic oils.

Saurabh Patwa: I have one more question related to oil. So, you highlighted you've gained market share on export. So, is it from the local firms or is it -- are these global firms which you've taken market share or the local domestic players?

Kushal Desai: From global firms. If you take share of export that's happening from India, anyway APAR has the lion's share of the export portion. So are really as new avenues have opened up, we've been able to pick up a larger share of the business, plus one of

our competitors out of Europe, which was erstwhile the largest supplier of transformer oil, they've still been affected with financial problems and things. They're in a better situation than they were a couple of years ago, but not the kind of force to reckon with before. So, we've managed to gain shares. Most of our share gain has been in Southeast Asia, Australia, South Africa, Middle East. These are the regions where APAR has been strong and a fair amount of growth has also been happening.

Moderator: The next question is from the line of Gaurav Uttrani, IIFL Securities. Please go ahead.
Gaurav Uttrani: Sir, could you just highlight like what would be the revenue contribution from ACCC conductors in our conductor division?

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 23 of 25

Chaitanya Desai: We don't have a specific breakup of that. But in the overall context, it is a very minor percentage of our conductor business.

Gaurav Uttrani: Okay, sir. My point of asking this question is that CTC Global has added one other player in domestic market to supply these conductors. So are we expecting any decline in volumes or distribution of volumes between the two of...

Chaitanya Desai: Well, actually, there is no net increase in the partners. There was one partner which currently has gone into NCLT. So, there's another one which has now come in place.

So, we don't see much difference here in our future offtake. In fact, the overall pie of the market also is growing. So, we may not have a problem in any case, even if there are more players.

Gaurav Uttrani: Okay. Got it. And sir, any ideal revenue share between domestic and export, which we're targeting going forward, like it would be 50 -50 or 60 -40 in terms of if you could highlight a directional sense in terms

of exports, which we are seeing largely in conductors only?

Chaitanya Desai: Yes, in the past also, we have actually clarified that we are generally agnostic to where we sell. We try to optimize our net realization. Of course, current market in the export is somewhat affected and in India, there's a good offtake. But in the medium to longer term, I think it may be more like 50 -50. As already explained, we anticipate growth both in the local market as well as in the international markets, both.

Moderator: The next question is from the line of Mukesh Patil, individual investor. Please go ahead.

Mukesh Patil: Just want to know capacity utilization product wise for us?

Ramesh Iyer: Can you repeat?

Mukesh Patil: Capacity utilization for cables, conductors and...

Ramesh Iyer: Capacity, we are running over 90 percentage on our cables and conductor division.

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 24 of 25

Mukesh Patil: Okay. And what is the margin profile for our export business?

Ramesh Iyer: There are multiple products which are there...

Mukesh Patil: Specifically for export cables?

Ramesh Iyer: Yes. Again, there are export products, there are multiple products. Overall, your EBITDA is in the range of 10 percentage. Exports typically are higher than the domestic margin, but because of multiple products involved, we don't give individual EBITDA margin for the division.

Mukesh Patil: Okay. And are we -- so our domestic business are growing very fast in the last few quarters in cable business, so are we looking to increase our product portfolio?

Ramesh Iyer: Increase our, sorry, what?

Mukesh Patil: Product portfolio. Are we increasing our product portfolio?

Ramesh Iyer: We have a wide variety of products already in our current kitty. So -- and we are also looking at opportunities to increase the product portfolio wherever there is demand and products that are ancillary to the current portfolio.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand over the conference to Mr. Kushal Desai for closing comments.

Kushal Desai: I'd like to take this opportunity to thank everyone for joining our Q1 FY '25 earnings

call and thank you for your time and attention. Just in conclusion, I'd just like to reiterate that all the growth drivers that we've been talking about for the last couple of years, they remain intact. And in fact, our conviction in the growth continues to remain fairly strong. There have been a few factors that have disrupted in the short term, the latest of which has been container shipments going from China to the U.S. to beat a certain tariff deadline and then prior to that, the Red Sea kind of problem. But we feel that these are not going to remain forever. They will be overcome and the growth will continue. Fortunately, the backdrop of domestic demand continues to remain strong and the Indian market is maturing and premiumizing in terms of

APAR Industries Limited Q1 FY 25 Earnings Call Transcript
July 30, 2024

Page 25 of 25

the requirements that they have in terms of the infrastructure within the country. So, we continue to remain reasonably optimistic and see a good growth profile in the medium to short term. Thank you so much.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Sep 2024

SEC/ 0409/202 4 By E- filing September 04, 2024

National Stock Exchange of India Limited
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department
BSE Limited
Corporate Relations Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship
Department

Sub. : Submission of Transcript of Investor Day Conference Call made by APAR Industries Limited (the Company) on August 28, 2024.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer our letter no. SEC/ 2808 /2024 dated August 28, 2024 w.r.t. submission of link of Audio Recording of post Investor Meet / Investor Day Conference Call organized by the Company.

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith transcript of the Investor Meet / Investor Day (Conference Call) made on Wednesday, August 28, 2024 for the information of members.

The aforesaid transcript is also made available at the website of the Company at www.apar.com.

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India
+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India
+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

Page 1 of 110

“APAR Industries Limited

Investor Day Conference Call ”

August 28 , 2024

MANAGEMENT :

(APAR INDUSTRIES

LIMITED) MR. KUSHAL DESAI – CHAIRMAN AND MANAGING DIRECTOR

MR. CHAITANYA DESAI – MANAGING DIRECTOR

MR. RISHABH DESAI – NON-EXECUTIVE DIRECTOR

MR. RAMESH IYER – CHIEF FINANCIAL OFFICER

MR. MANISH AGRAWAL – CHIEF EXECUTIVE OFFICER (CONDUCTOR
& TELECOM)

MR. SHASHI AMIN -- CHIEF EXECUTIVE OFFICER (CABLE DIVISION)

MR. GIRISH GUPTA -- SENIOR VICE PRESIDENT - TELECOM

MR. SUNDAR SUBRAMANIAN -- SENIOR VICE PRESIDENT – AUTO
AND INDUSTRIAL LUBRICANTS

MR. SUYASH SARAOGI – PRESIDENT (STRATEGY & PROJECTS

APAR Industries Limited

Investor Day – August 28, 2024

Page 2 of 110

Ramesh Iyer: Good morning ladies and gentleman and welcome to the investor day.

Today, we have Chairman and Managing Director and we have the entire senior management team of APAR Industries who would take you through the different business divisions and the growth opportunities that lie for us.

I'll just take you through a quick view of the -- what's in store for the day today. We'll start the session with opening remarks by our Chairman and Managing Director, Mr. Kushal Desai, followed by Managing Director, Mr. Chaitanya Desai. After that, we will have the divisional highlights, the Conductor Division business highlights by Mr. Manish Agarwal. He's joined newly as the CEO of the Conductor and the Telecom sector. Mr. Manish is travelling abroad, so he'll be joining virtually for the session today.

Post that, we'll have Mr. Shashi Amin, who is the CEO of Cable Division, talking to you about the cable and wire business highlights. Post the tea break, we'll have Mr. Girish Gupta talking on the Telecom Division. After that, Mr. Sundar Subramanian and Mr. Rishabh Desai will talk about the specialty oils and lubricants business. I will cover the financial overview post that. And after that, we'll have ESG initiatives by Mr. Suyash Saraogi . And towards the end, we'll have the Q&A sessions.

You have your QR code on each of your tables over there, so at any time during the course of the presentation as well as towards the end of the presentation, you can scan your questions and all of those will be answered at the end of the session.

With that, I'll request our chairman, Mr. Kushal Desai, to begin the session for the day.

APAR Industries Limited

Investor Day – August 28, 2024

Kushal Desai: Good morning, everyone. And I'd like to extend a warm welcome and hopefully a dry welcome. I know you had heavy rains this morning, because of which commuting was a little bit difficult. So, I thank all of you for making the effort to be here and be present for our Investor Day.

As Ramesh has mentioned here, we have a fairly comprehensive presentation for you. And hopefully it will give you a deep dive in terms of where the company stands, where do we see the growth and the future of the business? And how prepared APAR is to actually take on these opportunities?

There's a famous English saying that luck is the point at which opportunity meets preparedness. So, at the end of the day, you guys should be able to judge whether APAR is going to be lucky or not in terms of its preparedness.

So, I'd just like to start off with just this slide, which puts in perspective what drives us. So, if you look at our mission which we define as why we exist? I think this is very important because whatever we've done in the last 10 years and what we propose to do in the next 25 years is pretty much dictated by this one sentence.

So, our mission is to design and manufacture building blocks for the energy infrastructure, transportation and telecommunication sectors that contribute meaningfully to make this world; A, more energy efficient; B, environmentally sustainable; and C, a safer place. So, you will see every single activity, every single product that APAR has worked on in the last 10 years meets these three criteria.

Our vision is to be a global leader in the energy infrastructure, transportation, telecommunication sectors by providing the best solutions
APAR Industries Limited

Investor Day – August 28, 2024

and value creation for our stakeholders. In 2020, we actually changed APAR's tagline by changing it from tomorrow's progress today to tomorrow's solutions today, keeping in mind that the important barometer to gauge, how useful you are to your clients is how effective your solution is to them because that is what is the final measure in terms of

of what value

you've given to them.

There are these five values based on which we consider ourselves -- to measure ourselves to be an ideal APARian. So, the first one, of course, is innovation. When you're trying to solve and you will see that there are some gigantic problems which are coming up in the world in terms of the energy transition, you have to be very innovative, you have to pioneer beyond conventional solutions otherwise it's not going to happen.

We have to be driven, proactively strive for superior outcomes, because that's what delivers the value, the value creation to shareholders and to stakeholders comes only from that. We've got to be entrepreneurial, empowered to take ownership, learn how to get more out of less.

Accountability is important, we have to be committed to sustainable growth and be responsible in the way in which we go about doing it.

You will see in Mr. Saraogi's presentation that comes later on, in terms of the ESG side, it is going to be a license for you to operate. So, if you don't end up actually meeting those criteria in the next few years, believe me, you will not be able to operate. And then finally, we want to lead this whole innovation curve and inspire leadership at the forefront of innovation within our industries and as part of this energy transition.

So, the next slide, I'll just quickly go through it. These are the different segments and the brands which we have within APAR. So, we have the
APAR Industries Limited

Investor Day – August 28, 2024

speciality solution group that covers transformer oil, wire and pharmaceutical oils and a bunch of speciality products. We are the world's third largest transformer oil manufacturer. Within the oil division, the transformer oil portion has been the fastest growing. We've been clocking over 18% CAGR growth, looking at the last five quarters.

And as you'll see through this presentation that transformer oil grows linearly with the addition of transformers. So, as you have more transformers going in, you will have transformer oil growing at the same pace. We are also the largest exporter of transformer oils from India. The product is sold in 140 plus countries around the world and you have about 45% of the revenues coming from overseas, 55% coming domestic in that segment. We have now become the ninth largest player in the lubricant industry. My colleague Sundar will take you through the lubricant part of the business.

On the Conductor side, we have been leading the innovation curve as the largest one-stop solution provider for design, manufacturing and upgrading transmission lines in the world. Even though there's no published data based on industry data, we are the largest manufacturer of aluminium and aluminium alloy conductors in the world. There's a very comprehensive presentation, Chaitanya here will take you through part of it and then of course Manish is going to do the deep dive.

On the Cable Solutions front, we have the widest range of products in India catering to two speciality sectors and these sectors are really growing. You have the Indian railways, you have the shipping, a lot of submarines being added. India has a 7000 plus kilometer coastline. And the interesting thing is we don't have a single offshore turbine, so you can imagine the kind of potential that can show up.

APAR Industries Limited

Investor Day – August 28, 2024

Page 6 of 110

Hybrid cables, harnesses, a whole lot of telecommunication cables and we also build the safest house wire in the country. Some of the leading brands like Polycab and KEI and RR and etc, etc are now following suit because they've seen the value of the product that APAR has launched in the form of APAR Anushakti.

We are also the largest exporter and producer of these speciality cables, especially for the renewable sector in India and we are the largest exporter of these cables from

India. In terms of the telecommunication side, we have been focusing on providing telecom solutions including fiber optic cables, copper and hybrid cable solutions and services and my colleague Girish here will actually run you through some of those opportunities.

This slide actually is very important and it just puts in context what we are going to be talking about for the remaining three hours that you will be over here. The largest revolution that is happening in this world, in the history of the industrialized world is actually underway. Most people in the world don't even realize it because you don't see power, you don't touch power but it's going to influence every form of what you do.

If you look at the root of this whole thing is that greenhouse gases are emitted basically from emissions that come out. You have it from the tailpipe of a car, you have it from a power plant, anything that uses a hydrocarbon form of energy has an emission. So, when you have greenhouse gases increasing, the heat that is retained in the world increases.

The important thing is that, and most people don't realize this, that greenhouse gases are emitted locally but they affect globally. So, if you do stubble burning in Indonesia or in India or in Papua New Guinea, it will

APAR Industries Limited

Investor Day – August 28, 2024

Page 7 of 110

equally affect Anchorage which is in Alaska or Rio de Janeiro in Brazil or Canberra in Australia. So, it becomes then, you may create that locally but

then it becomes a global problem.

So, governments and businesses across the world are trying to fix this. Demand for oil is projected to peak by 2030. You can already start seeing it, in spite of all the wars and so many other things happening, at least at the moment you don't see crude and gas oil going up that much because the demand has been a bit soft.

If you see annual investments across the energy sector, they are projected to grow at almost \$1.5 trillion a year and going up to \$3 trillion a year.

Now how does this affect APAR actually? So, what we see is that in this energy transition, if you look at the period from 2020 to 2050, the energy consumption is likely to double. So, if you are consuming 100, it is likely to go to 200. In 2020, electricity formed 20% of that energy mix. By the time you get to 2050, it will form 40% of the energy mix.

So, you are going to go from 20 to 80, which is where this 4x increase comes in. I'll show you a chart later on that puts it in perspective. The beauty is that the incremental consumption, you know, going from 100 to 200, almost 75 % to 95% of this is going to come from renewable sources and it's necessary because we need to have emission of greenhouse gases 25% to 30% lower than what they exist today, when you double this energy consumption. There will be, of course, energy storage solutions which will catalyze, you know, this whole transition process.

So, I've just tried to summarize here that there are these six areas, those of you attended our presentation last year, these six areas pretty much remain intact. And you probably will see this slide coming up for the next five to

APAR Industries Limited

Investor Day – August 28, 2024

Page 8 of 110

ten years, because the growth is such a long story in these areas that there'll be just more activity happening, more intensity and a faster pace. So, in the first case, obviously the main driver is the addition of renewable energy, wind, solar and nuclear.

The businesses that benefit from this for us is a cable business where we have a plethora of cables that go into solar installations and wind installations. It forms about 5% of the cabling that happens within the plant itself. There are overhead conductors which will then transmit power out of there. There is always a substation attached to a generating source, because the substation, the source is at 11 kV or 33 kV

and these

transmission lines go from 220 up to 765.

The interesting thing is that, you know, as the step-up increases, you require a lot of more copper transposed conductors, because the primary is at a much lower voltage level compared to the secondary. So as a consequence, the total amount of copper required in the transformer also increases.

On the CTC side, we've already doubled our capacity and by January of 25, we will further double it. So, it will be a 4x increase in the capacity of copper transposed conductors. Transformer oil, as this happens, there is more heat that's being generated, you need more transformer oil for cooling and the insulation requirements increase, so better quality oil required to manage this.

If you come to the transmission line side, the evacuation of power is going to play a very important role. And you know, it's happening all over the world, but I'll spend a minute and explain it to you in terms of what's happening in India.

APAR Industries Limited

Investor Day – August 28, 2024

Page 9 of 110

So, India works on a national grid, right? So, we have a grid that's a national grid and it connects into state grids, but really the concept you must have seen all over the place is one nation, one grid. What is the funda of this one nation, one grid?

You should be able to generate power in Kashmir or in Assam or in

Hyderabad and be able to draw that power in Cochin. You can put in power anywhere in the system, you can draw it anywhere, you know, from wherever you need, you pay wheeling charges and costs based on the movement of that power, just like in your telecom network. You can take a call in Tinsukia or you can take a call in Cochin or you can take a call in Srinagar. Right? There's a cost to be paid and as long as you pay the cost, it should happen.

When all this power gets added and renewable energy is being added in a fully distributed manner, it's coming up all over the country, there is going to be a massive increase required in the transmission network if you want to follow this one country, one grid policy. So that's what is throwing all this up. You will have reconductoring solutions, you will have new lines getting added, a lot of substation increase taking place, so again transformer oil and C TC coming into the picture.

On the infrastructure side, this is really highways, ports and other forms of infrastructure, bullet trains, etc., in which you have both cables and lubricants playing a role. Public transportation is undergoing again a metamorphosis. It is one of the largest forms of emission, whether it is your car, whether it's a truck, whether it's a diesel locomotive train. India has moved completely electric on the train side, 90% of the electrification program is pretty much completed. Our sense is that all the buses in cities

APAR Industries Limited
Investor Day – August 28, 2024

Page 10 of 110

and inter-city within a state will all move to being electric to cut emissions, much easier for government to control anything which requires a permit. Last will come EVs because electric passenger cars because it's a decision that people in this room need to take as individuals. The government can't force you beyond a point, but they can force a taxi operator, they can force a bus operator, and then of course the train service is anyway within their control. So here you've got cables, you've got electric vehicles, and we are hanging our hat more on buses because that's something, as I mentioned, will be regulated.

And then you've got, of course, copper conductors coming in for this whole railway electrification and upgrading the current speed of railways. So, as you move into the Vande Bharats to get the full speed of Vande Bharat, as you get the bullet trains, we need to move from plain copper to alloy copper because you need to carry more current on that line to be able to drive the train

at speed faster.

On the telecom side, as I mentioned, there is fibre optic, there's also interesting hybrid products and you know, there'll be more discussion on that. And then finally in this manufacturing China plus one, you're looking at transmission and distribution line expansion happening to power factories. You will have, obviously, lubricants as you bring in more machinery and more sophisticated machinery means more sophisticated lubricants. And then of course, every factory is filled with power cables. So, these are the six areas that we see, you know, the growth taking place. I'll spend just a minute on this chart because this is what I was talking about earlier. So, if you see how the energy consumption is growing, you will also see in here, you know, the light blue is solar, and you see how the

APAR Industries Limited
Investor Day – August 28, 2024

Page 11 of 110

whole solar thing is growing. So, it's growing by 25 points from 40 to 65 and if you see the dark blue, that's the onshore wind that's growing from 20 to 40.

So, if you see a huge portion of this addition that's happening, is happening basically from these two areas, there is also some increase which will happen in wind offshore, because you have countries like India, 7000 plus kilometer coastline and not a single turbine. So, when you start running out of space on land, the only option is to go, you know, just

offshore. And some parts of India, especially the entire east coast of India, Manish has a chart which he'll show later on in the presentation, has massive wind speed. So, this is where the whole transition will happen. Now if you go to the renewable energy side, this chart we had shown last year, I just want to reiterate on this, and we've added a bunch of pictures so you can visualize the products that go in. APAR is a very unique company, because if you look at the solar and wind chain from generation right down to the socket, say, you know, in an Oberoi Hotel or in your house, we basically have probably the largest number of products that run through the entire chain.

So, we've got, you know, various types of cables on the generation side, we have substation products, then again you get into the transmission side, you have a step-down substation that comes after that, and then you have a plethora of various cables that go into the distribution side. This is where APAR is a really unique company, because those who are very large cable manufacturers don't do transformer oil, they don't do CTC. Those who are big conductor manufacturers are not necessarily doing a lot of cables. So, this is the unique, you know, sort of position that APAR has.

APAR Industries Limited

Investor Day – August 28, 2024

Page 12 of 110

This is a little bit of a pictorial representation, so it just gives you a little idea in terms of what are we talking about. This Nacelle cable actually connects the wind turbine to the motor on top of a windmill. Then you have low voltage cables which evacuate from the windmill down to the substation. You've got a torsion cable, and then similarly you have also a tower cable that runs along the tower of a windmill.

You've got various instrumentation control cables which manage all the panels and communication within the towers and panels. You have an earthing cable; you have a fire-resistant optical fibre cable for evacuating data and then of course LAN cables again for information.

If you look at the transmission side, you've got transformer oil, you've got CTC conductors, you've got PCCC conductors, all these three products go inside a transformer. Just for your information, transformer oils are around 4% to 5% of the value of a transformer. CTC is almost 25% of the value of a transformer.

So APAR's products target 30% of a transformer. Of course we have significantly higher market share in transformer oil, but our CTC side of the business,

as I said, is also increasing to keep pace with this. There's been some legislative changes because of which you have to use CTC if you go to a 400 ampere, if a transformer emits more than 400 amperes of current, you've got to use a CTC.

Then of course you've got the traditional overhead lines, you've got new generation, you've got OPGW, and then we have these turnkey solutions that we provide for reconductoring. And if you come to the distribution side, you've got Light-Duty Cables, you have FTTX cables. This ADSS cable is equivalent to an OPGW but in a distribution network, so it has a fibre

APAR Industries Limited

Investor Day – August 28, 2024

Page 13 of 110

optic core in the distribution network. Then you have this medium voltage covered conductors, transformer oil and of course new generation overhead conductors.

If you come to the, this chart gives you an idea of where the world is going based on the previous chart that I'd shown you. And I think this is a little important, we can spend a minute on this. So, if you see, recent years is basically the base case is around 2020, about four years ago. So, the share of renewables was around 17% by 2030, this is a global number, it'll get to 35%, and by 2050 it is supposed to get to 82%.

The last one gives you an idea of the progress in the world, we have not even hit the first quartile. So, you can see where we need to go in terms

of additions if we have to get to the destination. Share of renewables today, it's 28%, it'll get to 68% by 2030 and then 91% by 2050. So, one is in terms of consumption, the other is in terms of generation.

Then you have renewable power capacity additions, so finally what is this delta we are looking at? We are looking at almost 300 gigawatts a year in the world, almost 1000 gigawatts by 2030 and then maybe 1100 or so gigawatts by 2050. So, the acceleration is going to happen between now and 2030 and then it'll continue at that pace for the next 20 odd years.

This is pretty much the prediction.

If you come down to dollars, you are looking at about \$486 billion, so about \$500 billion dollars a year right now, going to \$1.3 trillion and then up to \$1.4 trillion by 2050. And then the investments needed particularly for power grids is about \$275 billion, so today this is a typical thing that happens, you start putting money first in generation then you discover, oh my, transmission is not happening adequately, then the money goes into

APAR Industries Limited

Investor Day – August 28, 2024

Page 14 of 110

transmission and then you have distribution, that's the typical waterfall, we saw that in thermal, unfortunately people learn a little bit slowly, you'll see that happening again.

If you go to the next slide, which is what is happening in India, so today the share of renewable and finally energy consumption is now getting closer to 40%, we are cleaning up our grid, just a few years ago we were at hardly 22 %-23% and you see these massive projects, Khavda is going to be one of the largest solar generation sites in the world where you have three companies adding 10 gigawatts each, NTPC, the Reliance Group and the Adani Group and their plans are to add hundreds of gigawatts of renewable power . By 2030 it will get to about 50 odd percent and this works out to about almost 90 gigawatts annually in PV additions, it will grow to about 170 gigawatts .

Wind, which was a little bit slow is catching up, 47 gigawatts to about 100 gigawatts, there is a national policy that's just been released which may get upgraded where they are looking at upgrading the windmills, some of the best real estate for windmills has been occupied by windmills, it was set up 10 -15 years ago, which are at 250 megawatt -- sorry 250 watt for one tower, today the minimum is 3 megawatt a single tower, so you can have significantly more power being generated on the same landmass, so that's

another thing that's coming up.

So that's pretty much what I wanted to give in terms of the overview, now Chaitanya will come here and take you through a much deeper dive on the execution of this whole process. Thank you very much.

Chaitanya Desai: Good morning, thank you, I'd like to present some of the important trends in the transmission and distribution segment . So on the back of the strong

APAR Industries Limited

Investor Day – August 28, 2024

Page 15 of 110

demand from renewables, what we are seeing is this interstate Indian transmission segment has seen very good demand and we expect that to continue, unlike the past where a lot of transmission lines used to originate from the eastern part of India to evacuate the coal -based thermal power plants, the new power transmission lines are being installed where the solar and wind big power plants are coming up . So, these are typically in the western part and the southern part of India and that is where the major new transmission lines are coming up.

The point of this slide is to explain that India has seen a decent amount of growth already amongst the democratic countries, the ecosystem here is relatively good and also in terms of the regulatory clearances, the bidding process, financial closures, it's actually helping to execute on the ground much faster the various transmission lines.

The current transformation capacity is 12.5 lakh MVA and the further projects will get it to about 17 lakhs MVA by 2030, which is about 35%

increase, the overall transmission line length in the country is at present 4,86,000 circuit kilometers and is likely to get to 5,35,000 circuit kilometers by 2030, so this is about 11%.

In the old days, we used to have a ratio of 70% transmission investment, 30% substation, now it's getting skewed more towards the substation and that is where this is almost 3x in terms of the transformation capacity increase. I'd like to mention that the type of renewable energy requirements for the consequent transmission line systems is to be designed with a lot more robustness to take care of the inherent capacity and also the surges which happened during the course of the day and the various planning authorities are actually working on giving the right type of solutions and

APAR Industries Limited

Investor Day – August 28, 2024

Page 16 of 110

hence the ratio of transmission to substations has changed now in favor of the substation investments.

Another important trend we are seeing is urbanization and the increase in demand of electricity, the growing population and increasing standards of living, rapid transition to electricity from various forms of other energy sources as was explained by Kusha I bhai. And also, the progressively less land being available especially in the semi-urban and urban areas with the associated difficulties of right of way is forcing the utilities to look at de-bottlenecking the current transmission lines through advanced products.

So not only are we seeing increase of the new lines, but also there's going to be reconductoring as an example of the existing base which is already at place. So, there will be two types of demands, new demand coming in for new products and substations as well as for the old lines and the old substations which need to be upgraded.

From your school days you will recollect that power is basically voltage into current and the current is the one that is the low-hanging fruit to upgrade, to increase that. So, a lot of the products to increase are on the ampacity or current and here we see like the CTC which is used for the copper winding in the transformers or the high temperature low sag conductors which are used to replace the old lines to double the amount of power throughput. These are the type of products and solutions which are forthcoming nowadays.

In addition to the power transmission there is an additional r

venue

possibility for the utilities and they are leasing out the Optical Fiber that they are putting in the form of OPGW and similarly there are other revenue models which are coming into place. So, this is another new trend. The

APAR Industries Limited

Investor Day – August 28, 2024

Page 17 of 110

reliability of data transfer through the overhead as opposed to underground is significantly better because there is very less risk of damage like digging or road repair work.

Another phenomenon we are seeing in the Indian transmission system is that there is increasing flexibility which is coming in terms of the choice of products to be used to improve the economics, especially for the tariff-based competitive bidding for the interstate with the amendment of the Electricity Act the developers are looking at the best value for money option and here as an example I have a part of the tender which is shown for the TBCB or the Tariff-Based Competitive Bidding which is that they give the option to use the traditional or conventional conductor of ACSR or alloy and nowadays another type of product called AL-59 which we are calling as a high efficiency conductor. So, this gives a better value proposition, it not only reduces the cost of the entire system because the weight of the product is less and hence the tower structure, the civil foundation, but all of that can also be reduced.

In addition to the TBCB which is in the interstate there is also the state intrastate work which is happening in terms of feeding the power to the

urbanization area and reconductoring with the H TLS. So here there is a formula used to ascertain what are the line losses and the combination of the price of the product and the net present value of the recurring line losses is considered to figure out what is the best option. So, this is giving interesting opportunities to companies such as us to differentiate ourselves by innovating, bringing out new products.

Some of these new products like HTLS require a different type of installation and here we are giving an end-to-end specialized turnkey solution and it is not everybody's cup of tea to build these R&D capabilities

APAR Industries Limited

Investor Day – August 28, 2024

Page 18 of 110

and have those resources to develop these end-to-end innovative solutions. This is also transforming the competitive landscape in the industry where the smaller players are actually closing down and the bigger ones are gaining a larger share of the markets and profits. Similarly on the distribution side we are seeing a number of changing trends.

The various centrally aided schemes to strengthen the distribution network grid are for upgrading and adding a lot of new distribution lines both underground and overhead. The planning authorities have been carefully selecting different solutions for improving the reliability and longevity of the distribution networks and as an example I have the Gujarat state where there is a large coast and associated corrosion issues and also cyclone challenges. So, in this the authorities have been planning underground cables for the coastal area within 20 kilometers.

Then they have another product called the covered conductor which is being preferred in the distance between 20 kilometers to 60 kilometers and then there's the bare conductors for beyond 60 kilometers from the coast. This type of improvised planning that we are seeing nowadays by the various authorities is beneficial because it will ultimately help get more revenue from paying consumers of electricity to get reliable good quality of power 365 days a year. The ongoing reforms through conditional support schemes like RDSS from the central government to the State Discoms will be ensuring that there is more revenue.

We expect with implementation of smart metering the billing and collections will improve significantly and there should

be less theft and

leakages in the times to come. Further with cheaper solar power being used to supply to the agricultural sector, the subsidy burden on the states is likely to reduce. More pressure will be there to supply uninterrupted

APAR Industries Limited

Investor Day – August 28, 2024

Page 19 of 110

power at our doorsteps and also for some of us who have seen power cuts in our childhood days at home and even today we see painful unplanned power outages in our factories.

We'll see and actually we have been forced to run on DG sets. We will see a much-improved dependable power supply scenario in the near future with all these various investments which are coming in the right type of products. Also, with increased need for last mile power connectivity for greenfield and brownfield expansions by the private sector, the industry will be funding the power infrastructure although this is technically owned by the Discom.

So, on one hand the Discom will not be putting in capex but on the other hand it will get some share of the revenue. So overall we expect to see increased consumption of grid power and reduced DG set usage. The state utilities are likely to get into a positive cycle and the structural problems will get resolved to a large extent, ultimately enabling more spend on capex.

In conclusion, all these various trends in the transmission and distribution industry are likely to help continue the existing trend of significant demand not only in terms of volumes but also higher end solutions to meet the

planning authorities and consumers requirements. There is a clear visibility of growth in the Indian T&D industry for the short term, medium term and long term. There is also a changing competitive landscape.

The bigger players are gaining on market share and also profit share relative to the smaller players who are unable to invest in developing new products and solutions. With tougher measures imposed on quality control for Central Government Schemes, the possibility to cut corners on quality

APAR Industries Limited

Investor Day – August 28, 2024

Page 20 of 110

by the small-scale players is also reducing. The global scenario is similar to that of India's with regard to renewables driving the energy transition and increasing the demand for building blocks used in the power generation, transmission and distribution segments.

At APAR, we are investing in getting ourselves future ready. We have been investing in capex to increase our capacity and fungibility to improve our capability to cater to improved range of products and technical requirements. At the core of APAR's manufacturing excellence is a commitment to operational superiority, aligning people, processes, technologies and resources to enable production and quality.

Capex investments for the last four years has been INR764 crores for expanding our capacities across our 10 manufacturing facilities. We are also introducing a number of innovative products to meet rising demand and providing customers tomorrow's solutions today. The company is adopting industry 4.0 technologies including IoT and smart factory solutions. We are modernizing our manufacturing processes. Also, we are utilizing advanced systems like SCADA and Pigging for improved efficiency and waste reduction. This strategic focus on continuous improvement driven by Six Sigma and Kaizen principles will allow APAR to optimize costs, enhance product features and consistently exceed customer expectations. Through these initiatives, APAR is building its position, leading innovation and sustainability in its core industries.

I would like to also mention on ESG we are doing a fair amount because especially in Europe we are already seeing that the various customers there are considering this as one of the important components in their decision making in the entire calculation. Like in the case of the HTLS w

here the line

losses are incorporated, we are seeing in some of the European customers

APAR Industries Limited

Investor Day – August 28, 2024

Page 21 of 110

they are also having a very significant portion in their calculation of the bid to be about the carbon dioxide emitted in the supply from our side.

So, with this I will now pass it on to my colleagues who will go into much more detail on the various action points that we've talked about. And I'll invite Mr Manish Agarwal to go next. Thank you.

Manish is joining from the US, so he's online.

Manish Agarwal: So good morning, everyone. Just to introduce myself, I'm Manish Agarwal, CEO, Conductor and Telecommunication Business and I take care of APAR T&D Projects Private Limited as an MD.

Prior to joining APAR Industries, I held the position of CEO and Whole - Time Director at Sterlite Power Transmission Limited where I led the company's global product and services business. It's been just two months since I have joined APAR Industries. Today I wish I were with you all in person as I speak with you from the US and thank you CMD and MD for setting up the tone.

With this, let us dive into the presentation of mine. Though the CMD and MD have given many details what's happening into the Indian and global arena, I will take up a few things more on the same site, how demand is going in India and globally. So, first of all, let's talk about some of the mega trends that are driving electricity demand in India.

So, I'll take five points, four are on this slide and fifth one is coming in the

next slide. So, number one is India GDP. So Indian economy is demonstrating resilience in the face of geopolitical challenges. It is estimated to have grown 8.2% in FY '24, reaching 3.5 trillion, setting the state for achieving the \$5 trillion target. There's an orbital shift from 10th APAR Industries Limited
Investor Day – August 28, 2024

Page 22 of 110

largest economy 10 years ago. The demand is tightly intertwined with the nation's aspiration to become third largest economy. While India's per capita energy consumption, which is roughly around 1300 units, is below the global average, which is about 3000 units, the economic development shall spur the electricity demand. By 2030, it is projected to reach approximately 1800-kilowatt hour to 2000 -kilowatt hour per year, as per various estimates, including that of Central Electricity Authority, which is CEA. There is a need for decarbonization of economy, which is another demand accelerator, if you see on the right top. India's hydrogen mission is a prime example to the need for RE to produce green hydrogen, the integration of hydrogen in industrial and transportation sectors, and the role of hydrogen in energy storage and grid management. As the mission progresses, it is expected to significantly boost electricity demand, particularly from the renewable sources. Down below, you see the EV part. Government is keen to shift the narrative towards EVs with the vision of 30% EVs adoption by 2030. Increasing percentage of the population moving into cities, as per World Bank, 40% of country's population will be in urban areas, up from 31% in 2011, as per the last census. So, these mega trends collectively shape electricity demand, driving the need for more capacity and obviously robust grid infrastructure. Can we move to next slide, where I will talk the fifth one, which is around the climate change, climate action. Yes, thank you. So here you see that climate change will accelerate investment in RE and power grids. So, if you see on the left side, there's a chart of IEA. So, if you see, undoubtedly, climate action will accelerate investment in RE and Power Grids. As per APAR Industries Limited
Investor Day – August 28, 2024

Page 23 of 110

International Energy Agency's net zero scenario, 4.5 trillion investment is needed in clean energy, majorly into the clean electrification. A 2.5x increase from current levels in the given scenario. India's climate commitments have a significant impact on the country's electricity demand and energy strategy. In COP26, India presented the five nectar elements, the panchamitra of India's climate action. I'll mention all five. Number one was committed to reducing emissions intensity with respect to 2005 of its GDP by 45% by 2030. Second being reduction of 1 billion ton of carbon emission from 2022 to 2030. Third, non-fossil capacity to 500 gigawatt, which I'll talk, you know, soon. Fourth, meet 50% of its energy requirements from renewable energy by 2030. And last one is Net Zero by 2070. Despite a low per capita income, India has a steep climate commitment and is striving for a green transition. And if you see down below on the right, setting up the context with the number, USD30 billion is in estimated investments by 2030 to integrate 500 gigawatt of non -fossil energy into the grid. That's adding 50,890 circuit kilometer of transmission line, nearly 4 lakh MVA substation capacity at just the ISTS level, Interstate Transmission System Level. Transmission has to match the RE capacity addition speeds. Hence, these transmission projects need to come online by 2028 -29. As you know that gestation period in India for transmission line is two to three years at least. So, if you have to achieve that 500 gigawatt, you must finish all this transmission lines by 2028 -29. Let's move to the massive infrastructure push presenting multi -year opportunity where our CMD did talk about some

Page 24 of 110

gigawatt and the offshore wind zones chosen by MNRE which is in Gujarat and Tamil Nadu.

So, Gujarat, it's towards off Gujarat coast and Gulf of Khambhat. And in Tamil Nadu, towards Gulf of Mannar and off Tamil Nadu coast, which are identified as high wind energy zones. So, India's massive infrastructure push represents a multi-year opportunity across various sectors driven by the need to support economic growth, energy security, enhance connectivity and meet climate commitments.

A few snippets as I talked to you about one is the 37 gigawatts. And if I have to add something further, just three, four months back, union cabinet chaired by our Honorable PM approved the VGF, the scheme for offshore wind energy projects at a total outlay of INR7,500 crore approx, including an outlay of INR6,853 crore for installation and commissioning of 1 gigawatt of offshore wind energy projects, which is about 500 megawatt each of the coast of Gujarat and Tamil Nadu and grant of INR600 crore for upgradation of the two ports. So, this has recently happened, which is, you know, these projects will slowly come, you know, over a period of time. On the right, you see something more is happening.

India is building a couple of large HVDC projects, mega transmission highways in the form of HVDC are under planning and bidding as we speak. And some of them have been listed. Distribution, Discom upgradation and modernization, which is RDSS, Revamped Distribution Sector Scheme.

This is a capping investment for the distribution upgradation. Last one you see is around one world, one sun, one grid, a truly global grid represents a monumental shift in how the world could generate, share and consume
APAR Industries Limited
Investor Day – August 28, 2024

Page 25 of 110

energy. Its implementation will drive significant demand for a wide range of equipment and solution from HVDC transmission lines to smart grid technologies and RE stations.

So in between you see a point around railways, you know, so Government of India has allocated about INR2.6 lakh crore budget for upgrading and modernizing the Indian railways in 2024, which our CMD mentioned

initially. So, this is our diverse portfolio. I know CMD and MD both showed, what the portfolio of our industry is limited as a company we have.

I am now talking about just the conductor business, what all we carry, all kinds of products. So, as you heard the mission that at APAR Industries, we have always been guided by a simple yet powerful mission to design and manufacture building blocks for energy infrastructure, transportation, telecommunication sector that contribute meaningfully to make this world a more energy efficient, environmentally sustainable and safer place. The mission is central to our strategies.

Consequently, APAR offers a diverse range of products, not only into transmission, but also into distribution, also into railway segment. If you see, we have conventional conductors, high efficiency conductors such as AL-59, which our MD just spoke about, high temperature low sag conductors, medium voltage covered conductor, also high efficiency covered conductor. These are the end products used in the T&D industry. If in between you see down below CTC and PCCC conductors, which are integral to transformer manufacturing, ensuring optimal performance and longevity. OPGW, which is optical ground wire application extend across the power grid management, telecommunication, renewable energy integration and smart infrastructure. We also, on the bottom left, you see -
APAR Industries Limited

Investor Day – August 28, 2024

- sorry, right, you see turnkey, specialized turnkey solution, which we provide as a company, managing the entire process from conceptualization and design to the erection, even in the most challenging terrains.

Can we move to next slide, please? Interesting slide, this shows transformation journey of APAR conductors, right from 1958 to 2023. So, APAR Industries has transcended in its humble beginnings to become a global powerhouse. Conductor business of APAR has been the cornerstone of its operations, undergoing significant growth over the years. Rooted in entrepreneurship, the company has expanded into several product and solution, if you see from the left to the right offering, which is around high efficiency conductors, high temperature low sag conductors, various types of elements.

Chaitanya Desai: If there is a connectivity issue or...

Manish Agarwal: Yes.

Chaitanya Desai: We lost you in between. Manishji?

Manish Agarwal: Sorry.

Chaitanya Desai: Yes, you are at the various type of aluminium and aluminium alloy rods.

Manish Agarwal: Sure. After that, I was saying that, as I said in my last slide, the company has also ventured into a specialized turnkey solutions for the T&D industry, which I'll elaborate further into my slides. Can we move to next slide, please?

So, this tells about the location of our plants. On the right side, mostly you see all the conductor facilities. So, APAR is one of the largest global manufacturers of conductors. INR512 crores of strategic capex was APAR Industries Limited

Investor Day – August 28, 2024

undertaken from 2017 to 2024 to expand capabilities, increasing production capacity, improving productivity, reducing cost, ESG, R&D and adding capacity to manufacture, test and install high value added products. That's been our focus. Last financial year, the company acquired two factories in Silvassa.

At the core of APAR's manufacturing excellence is a commitment to operational superiority, aligning people, process, technologies and resources to enhance production and quality. The capacity addition plan, which is listed below, the copper busbar, we will go from 100% to 166% if I compare the level from 23 to 25. CTC/PICC will be almost double, and then we have further planned to increase the same.

AL-59 and alloy conductors, which will be about 200%, which includes new capex in Khanvel, and repurposing of machines in our

Odisha facility.

Today, utilization overall is hovering at 90% across all plants that we are making.

Next slide please. I'll be talking about now convention and HEC conductors in brief. First, this is about ACSR, alloy conductors, AL-59, which is HEC conductors. So base is our estimate. India contributes nearly 20% to 25% of the global demand, if I exclude China, Japan and Korea. This market geography is poised to grow at a CAGR of 8% to 10% in the next few years. If you see on the right, as per CEA transmission plan of 500 gigawatt are integration, as I said before, 51,000 circuit kilometer and 4 lakh MVA substation capacity to be added by 2030. Please be informed that 66% of transmission line requirement in this plan is 765 kV and HVDC, which has not happened before. So, if you see down below, our leadership and competitive edge advantages.

APAR Industries Limited

Investor Day – August 28, 2024

And also, we have been manufacturing since 1958, developed a strong expertise and rich experience. We have been largest supplier for different

types of conductors. We have supplied to most of the top EPCs and utilities worldwide. We have been exporting to 100 plus countries. We have very strong design capability, focus is immense on in-house R&D, and our export mix in total conductor division has stood about 45% in the last financial year. Key markets are mentioned below, which are Americas, Europe, Middle East, Africa and Australia.

HTLS conductor, that's another very, very important product that we make and offer and we have the leadership. So, these conductors' demand is driven by the need for increased transmission capacities, infrastructure upgrades, resilience to climate variability and the integration of renewable energy resources. HTLS conductors offer significant advantage in terms of performance and efficiency, making them a key component in modernization of power grids and pursuit of sustainable energy goals. If you see below, APAR has excellent credentials on this account. APAR's presence in HTLS so far has been 50,000 kilometers of high temperature low sag conductors supplied in domestic and export market, which is about 35,000 -plus kilometers, which is operational and working satisfactorily. 140-plus reconductoring projects we have done in India. This is about close to -- approximately close to 4,000 circuit kilometers.

We had done not only transmission, but distribution reconductoring projects and as we go forward, there would be much, much market creation happening around this distribution sector for reconductoring. So far, we have done 150 -plus circuit kilometers in Goa, West Bengal and Odisha.

APAR Industries Limited

Investor Day – August 28, 2024

Page 29 of 110

We have also done reconductoring projects about 200 -plus circuit kilometers with ACCC in Nepal and Bangladesh, which is unique to APAR. And we have done quite a few prestigious reconductoring projects, about 800-plus circuit kilometers with GAP technology for power grid and other utilities. And we have had tie-up with CTC Global, USA, which is healthy and growing year-on-year.

Next one is optical ground wire, very important product. It goes above the transmission line. It is dual-functioning cable. Its ability to combine grounding as well as high-speed optical fiber communication in a single component, it makes it an essential element in modernizing and expanding both power and communication systems. APAR has developed expertise, technical expertise in fiber optic cables, proven its capability in manufacture of energy-efficient bare overhead power conductors.

APAR has integrated these core strengths in its comprehensive OPGW solution that includes what I said is optical fiber composite ground wire and related hardware. Very interesting to share that we have designed, manufactured and tested optical phase conductor cables, which is OPFC

for 33 kV and 66 kV transmission lines. Very soon, we will be doing end-to-end pilot turnkey job, and we'll commercialize this offering in the next few months.

Next slide, please. Next category we have is aluminium speciality alloy rods and wires. So, this we have been manufacturing electrical grade, mechanical grade, welding grade, high-conductivity and high temperature resistant rods and wires, which is TAL, STAL, super-thermal alloy you call XTAL.

APAR Industries Limited

Investor Day – August 28, 2024

Page 30 of 110

And the industries we cater to are the cable industries, fitting and accessories, which is hardware, fastener, wire mesh industries. So, this has also been growing business, and not only in the country we supply, we have been the largest exporter of these products.

Next category is railway overhead conductors. The picture shows you what all goes in electrifying the train. So, if you see the contact wire below in

middle of the picture, and then there's a capillary wire on the top. So, by 2025, the Indian Railways expect to achieve 100% electrification of its broad gauge.

This is in line with the sector's target to become the largest rail network with zero carbon emission by 2030. While India is ahead in the electrification drive, efforts are needed in other parts of the world to meet the net zero requirements, and that is US, UK, Europe. These present opportunities for APAR have come true.

Furthermore, India's metro system plan is a cornerstone of the country's urban infrastructure development. Therefore, India is on track to become the world's second largest metro system, surpassing Japan, Korea and the US. More than 20 Indian cities consist of metro systems with around 870 kilometers of track, operational and additional 1,040 kilometers are under construction.

As CMD pointed out, railways are planning to increase the capacity on many of the existing corridors for increasing the speed of the trains. So, as you see on the numbers, we have the number one, we have largest market share, and we have a very good track record on the supply, and very important is we have also developed special conductors for high speed and bullet trains.

APAR Industries Limited
Investor Day – August 28, 2024

Page 31 of 110

Next slide, please. Next category is the continuous transposed conductor and/or paper insulated copper conductors. So, CTC is the most used for windings on power transformers. It consists of a group of enamelled rectangular wires that you see in the picture, usually with polyvinyl formal PVF enamel, which are transposed to create a kind of rectangular strand. The bundle of strips can be wrapped and insulated with tapes, generally in pure cellulose paper. Our CTC and PICC conductors are integral to transformer manufacturing, ensuring optimal performance and longevity. APAR is today a prime supplier to transformer manufacturing industry in the country, and we have also started exports to select countries and the target is to increase number of countries as we go forward.

A very important information, you know, if you can go back, please. So, while it's not mentioned, I just wanted to highlight that Central Electricity Authority, CEA, recently issued advisory for usage of CTC as main winding for rated current of 400 amperes or more. So, this is very, very important move by the Ministry of Power, which is CEA, which they have released this advisory that, you know, the companies should use CTC as main winding for 400 amps or more.

Next slide, please. So, we also manufacture copper rods, wires and busbars and strips. So, we are targeting the industries, as it's mentioned, switchgear industry, electrical panel industry, and electrical substation. And as you heard before, we are increasing this capacity to about 166% from 2023 due to increased demand in the sector. These capacities will be operational in the next two months' time

Next slide. An interesting slide, the uprate, which I think our CMD and MD did talk about, so I'll come to the chart shortly. So just for information, APAR Industries Limited
Investor Day – August 28, 2024

Page 32 of 110

replacing conventional transmission line with advanced conductors could sharply increase transmission capacity, and at a fraction of the cost of new power lines, reconductoring offers a new paradigm.

As new build lines are planned, permitted and constructed to meet long-term system needs, large-scale reconductoring can unlock renewables near the existing network and contribute to rapid and cost-effective grid decarbonization.

As depicted in the chart, the uprate solution, this specialized turnkey solution what we call, is course over new transmission line on multiple

parameters you see, which is capacity increased by maximizing transmission in given corridor, capital deployment at lowest cost of ownership, development speed, including permitting ROW, keeping pace with the generation, minimum land use, ROW completion dictated by the weakest link, lowest carbon footprint to build transmission infrastructure.

So, these are the high lights of this uprate.

It is very interesting to see on the right side that APAR has completed almost 165-plus turnkey solution reconductoring project, installing about close to about 4,500 -plus circuit loaders since the start of SUS -turnkey business. 45-plus T&D lines comprise of 2,000 -plus circuit loaders under installation as we speak. We have invested adequately in special tools, tackles, tensioner and pullers, special training for manpower for specialized projects, and also the safety supervisors for every project.

Next one, please. So, within our specialized turnkey business that we have been talking, these are the things that we offer and do. Not only you see the transmission, but also, we are into distribution. We do optical ground wire live line installation on the transmission lines, and along with that, we

APAR Industries Limited

Investor Day – August 28, 2024

Page 33 of 110

do the active equipments and substation telecom equipment. We do substation augmentation work. Very interesting on the top right is we also are into turnkey for medium voltage covered conductor.

We have high efficiency covered conductors as well. So, this is very, very important product, and we are doing three jobs as we speak and we hope to complete these projects within this year and some by middle of next year. So, these MVCC solutions are designed to improve safety, increase lifespan, and reduced upkeep of line, lower risk of outage, vegetation and wildlife protection, and many more.

These conductors are used in a variety of electrical power distribution scenarios, and the four highlights would be reduced the possibility of unintentional contact with the live parts in urban and suburban settings, coastal and harsh environments, areas with vegetation, and high -altitude installation. So that's on this slide, which talks about a specialized turnkey solution that we have -- we offer as a company.

Coming to our power laboratory, this is about testing and research center. So, we have -- on the left, you see that we have advanced testing and research facility compliant to all the national and international standards, let it be IEC 738, IEEE 1138, IEEE 524. And the examples, there are four examples: heating and cooling curve versus ampacity, emissivity versus ampacity, creepage at different loading, sheave sizes versus conductor deformation. We have a fully equipped laboratory accredited with ISO 17025 -2017, recognized by GOI.

So currently, on the right, you see there are specific areas in which R&D is being carried out by the company. One product is around alloys, 4,000/5,000 series of alloys. Second is extra high conductivity alloys for

APAR Industries Limited

Investor Day – August 28, 20

24

Page 34 of 110

superior grade conductor. Third one you see is mega strength galvanized core wire for gap type and ACSS conductor. These are HTLS conductor for superior design and competitiveness.

As I spoke to you about OPPC, so we have done design manufacturing testing. As I said, we are soon going to do a pilot project and then commercialize the complete end -to-end offering. Trials for a coating line involving coated conductor, this is also highlight. We are doing various trials to move to a coated conductor and this will be having many advantages in terms of lower losses vis -a-vis the current SGLS or normal conductor.

Next slide, please. So, this is our extensive global presence which is driving the exports. So, we have had been serving our loyal customers to

100-plus countries spanning six decades. And as I said before, during 2023-24 last year, this ratio of domestic export was 45-55, where premium products accounted for almost 45% of the business's total revenue. Next slide, please. Let me talk about some of the competitive advantage that APAR Industries Limited Conductor Division carries.

We have global leadership with six-plus decades of experience. We have had technology tie-up for advanced products and we are trying to do a couple of more within next couple of quarters. We have large capacities, wide range of product offerings, catering to both, as I said, transmission and distribution.

Raw material supply security with access to molten metal which MD did talk about. Quality customers and global approvals, the top-notch utilities, EPCs, developers and OEMs. We have had best of customer mindshare

APAR Industries Limited

Investor Day – August 28, 2024

Page 35 of 110

and grant recall. We have a very good financial ability to cater to the bank guarantee and working capital requirements of this business.

And we have leadership in a specialized turnkey solution in the T&D segment which I talked to you about, which is around HTLS, OPGW and MVCC. So, we have done remarkably well. This talks about our new product development journey while the first point talks about the expansion which I did talk about.

The second is coated conductor. As I said, it is under trials and it reduces the line losses, improves the life especially in polluted and coastal areas, increases the capacity of the conductor. So, we are doing trials and we hope to have a final product very soon.

Emergency restoration and MVCC. So, we have developed reconductoring with HTLS using ERS in some of the projects. So, we have developed this as an added solution. As I discussed, we are doing a couple of turnkey jobs for MVCC and as we go ahead, we are further, our cable division is developing a further enhanced MVCC which is high efficiency covered conductors that we will take up with our customers in order to offer them a far better, superior solution along with the turnkey.

And the last one is we are doing a pilot project of our ACCC or Aluminum Carbon Composite Core Conductor where it will have optical fiber embedded in the core and this is a new version of, new avatar of ACCC and we are doing a pilot project, hope to finish in the next few months. So last one which is way forward for this business. So, as we have seen, India is shining where there's a strong domestic demand. So, we would like to maintain the leadership and market share in core segments. On the global market side, we will increase the market access.

APAR Industries Limited

Investor Day – August 28, 2024

Page 36 of 110

We will have approvals with a couple of more utilities, global utilities, global EPCs into the targeted market. That will be another focus area. On the business side, the very, very important would be on time and full execution of capex program that we have taken. We will amplify our efforts on high value products. We will sharpen focus on productivity improvement

vement, which is very, very important, both manufacturing and project execution leading to obviously the cost leadership. And last one around operations which is the execution muscle.

I have been talking about specialized turnkey business. So how do we build this muscle further and doing all these projects? Reinforce the safety culture, which is very, very important to our company and the customers. Upskill the talent and continue to invest time and resources further on new product development. Some of the initiatives I did for this year and create much more technology partnerships. So, these would be some of the initiatives as we go forward. Thank you very much.

Chaitanya Desai: Thank you. May I request our next colleague, Mr. Shashi Amin to please

come and speak about the cable solutions. Thank you.

Shashi Amin: Good morning, friends. I would like to take you through the journey of the cable solution division. We came into existence or I would say cable division came into existence in the year 2008 when APAR acquired a company called Uniflex Limited with a turnover of roughly about INR100 plus crores and a bottom line negative.

And in last 15 to 16 years, we have come a long, long, long way. Our Chairman Kushal bhai had set the tone followed by Mr. Chaitanya where he mentioned that we are a global player. Even in cable solutions, we treat ourselves as a global player.

APAR Industries Limited

Investor Day – August 28, 2024

Page 37 of 110

In the financial year FY 22-23, 51% of the cables produced in our factory was sold in the global market. In the financial year 23-24, it came down slightly because of the de-inventorization which happened in US. Specifically, we saw that US requirement came down.

So, our percentage of international business came down to slightly less than 40%. But this year, we are on track as far as the global market is concerned. And I'm happy to say that we compete with global players like Prysmian, Nexans, Southwire of the world and a massive footprint of APAR in US market.

Europe, especially Italy, Spain. Now, we have got a place in UK market. In Southern America, yes, we are in Brazil, Peru, Chile. We do a big-time business in Australia and even in India. I will take you through the journey, what we are trying to do as far as the cable solution is concerned. We are not the market leaders as we are in conductors as far as cable is concerned. Probably we are number six in the country as far as turnover is concerned. But yes, we have an aim and ambition to be in the top three cable companies in India. So, we are pioneering cable solution.

If you look at it, we've got five electron beam facility where with this kind of technology, we produce our house wire, Anushakti wires. We produce railway cables which goes into the locomotives. We also produce cables which goes into defence.

We also produce cables which goes into solar. With five electron beam facility, we are currently the largest player in the e-beam segment. We are leaders in solar and wind. Wind probably it would be about 65% to 70% or maybe 75%-80% market share. But solar, yes, with the market share of 20%-25%, we are the market leaders.

APAR Industries Limited

Investor Day – August 28, 2024

Page 38 of 110

As Mr. Manish mentioned about MVCC, it is a medium voltage covered conductor. If you see or if you heard, most of the forests are burnt out because of fire. A lot of these cables are the bare conductor which goes into the forest. The moment the tree falls on the conductor, it gets stripped and a spark is generated at that point of time because of which the forest is under fire.

At the same time, in places where the terrains are very bad and even the snowfall is very high, medium voltage covered conductors are being used. We were the first Indian cable company to come out with this product about four-five years back. Like we said

, Anushakti Cables, we were the company which introduced this product.

We had a tagline saying that is tar ki shakti apar. Competition also felt that the power of this argument is truly immense and much greater. Therefore, competition has also come into electron beam house wires. Polycab RR has launched this house wires in Kerala. Finolex is yet to launch, expected to launch in next few months. So likewise in medium voltage covered conductor, it's a high-tech product.

Competition has really caught up and some of our friends in the cable industry have introduced this product. But we are one step ahead. We are

trying to do research in this product and soon we would be launching a high-tech product which is far far superior to what we are currently doing. We are the trusted partners as far as defence is concerned. INS Vikrant, INS Virat, we were the major suppliers. Currently we are working with a couple of submarine projects for Indian Navy. So, this is where we are. If you look at the product range, I think we are the only company in India

APAR Industries Limited
Investor Day – August 28, 2024

Page 39 of 110

who's got this kind of product range. I think most of the competition would not have the kind of product range what we have.

Like your low voltage, medium voltage and control cables everybody makes. Medium voltage covered conductor, we were the first company to introduce and now there are about four, five companies who are into this business and they are still struggling to develop the kind of product what we are manufacturing. Then we have this concentric core anti-theft cables. Again, very few companies in the world manufacture this. If you look at the last line, fire survival cable, this cable is being produced by many cable companies in India. But APAR is the only company who's developed cable which can sustain a temperature of 1,050 degree centigrade. That means in the event of a fire, this particular cable can sustain a temperature of 1,050 degree centigrade and nothing will happen to the integrity of the cable. That means whatever current a cable should carry will carry that current at least for three hours at a temperature of 1,050 degree centigrade and these cables are used in Australia. We supplied these cables into Sydney Metro and Westgate tunnel project. We are discussing with the railway authorities. We have in the advanced stage of discussion for Melbourne Metro and Brisbane Metro with the Olympics coming in Brisbane in the next seven, eight years time. There are a lot of developments happening in Brisbane and as far as we are concerned from India, we are the largest supplier of solar projects into Australia.

We are the largest supplier of cables from India to solar projects in US. I am supplying as Kushalbhay mentioned about the Nacelle cables, torsion cables and various auxiliary cables in the windmill. We are supplying these

APAR Industries Limited
Investor Day – August 28, 2024

Page 40 of 110

cables to various wind companies or windmill manufacturers in US and Europe.

House wires I mentioned, we are focusing mainly on electron beam house wires and three unique products what I normally talk about or we talk about is it is a melt resistant wire. It can carry at least 50% more current and the life of this product is more than 50 years. So, we have gone into the market with three unique proposition to the customers and I'm happy to say about 6,000 odd retailers in India are selling this product. It's an expensive product so we are present in the A class retail counters. These are some of the unique products which I wanted to speak about. Rest of the products I think most of the people do manufacture. We are the company which has got largest UL approval. Without UL approval you cannot sell cables in US market. We've got about 14 such approvals. Recently we've got an approval for medium voltage cables.

We are in PV cables, wind cables, building wires, irrigation cables, the whole lot of range what we can produce and also, we are actively involved in cable harness. When we have this tagline of cable solutions, we go a step ahead. Like your solar cables, we started promoting solar harness. We are doing wind harness. All this tower what we see in the wind, we supply cables with connectors.

They just need to plug it out at the site. Railway cables are with harness and recent entrant for us is in the data centre projects. We did pick up a job for Amazon. We did two jobs for Amazon. We did a job for Microsoft data

centres. Recently we backed a n order from Adani data centre.
Our focus is there in the data centre business too. If you look at the cable business of ours in last five years, we have grown at about 25% CAGR in
APAR Industries Limited
Investor Day – August 28, 2024

Page 41 of 110

the last five years. In FY20 it was INR1,600 crores, FY24 about INR3,900 crores and we intend to grow at a CAGR of 25% in the next five years. So, this business of INR3,800 crore, if we grow at a reasonable CAGR about 25%, we should reach a INR10,000 crores cable company in the next five years. If you look at the competition, on an average the top few cable companies have grown at about 20% except one company which has grown at around 26%, but we are the fastest growing company in the cable industry. So, I would just like to speak to you about the market in India. I would speak about the market in US and I would speak about the market in Europe. Indian cable and wire market is around INR70,000 to INR75,000 crores. Around 35% of the cables are sold in the real estate. That means your house wires, building wires, whatever buildings are coming up and the way the building segment is growing, this particular segment would grow in a big way. Real estate is around 25%, power distribution is around 15%, your industry is around 10%. If you look at, if I focus on this three alone, vertical, I think we are talking of 60% of business happening in these three verticals .
So, what we have done in APAR, in last few years we had a structure of regional manager and the branch manager or the state manager. We moved away from that and we formed verticals. So currently we have in this financial year, we have broken down our structure.
So, we have a vertical for solar, we have a vertical for wind, power, T&D, infra. Like when we did this verticalisation, if you see, we are talking of a 290 gigawatt of solar capacity which is likely to go up by 2030 from 85 gigawatt. Wind from 45 gigawatt to 100 gigawatt. Our chairman mentioned about offshore wind, 7,000 kilometres of coastline, but yes, we
APAR Industries Limited
Investor Day – August 28, 2024

Page 42 of 110

are not there in India in offshore, but government is seriously thinking of putting up an offshore wind and once that happens, probably this should also go up.
Government has come out with 3 lakh crores RDSS scheme, a big-time investment into transmission and distribution, mainly into distribution, and with the PLI scheme, we think that the industry also would grow in the next few years' time . Defence, government is talking of big investment, about INR21,000 crores of investment in 2024, like target is about INR50,000 crores of investment by 2029.
Railways, yes, happy to say that. More than 90% of the cables in Vande Bharat have been supplied by us and there are about 40 odd trains which are applying and we are the major players as far as Vande Bharat is concerned. We mentioned about PLI scheme, the focus would be on electrical and machinery industries like your TBM, Tunnel Boring Machine requires cables, your cable reeling drums require cables, elevators, stacker reclaimers, so our focus will go more into that and also auto cables and EV charging.
So our focus will be there on this 8 pillars what I
am talking about and we
see a big growth and we have a strength here and wherever we do not have strength as far as 8 pillars are concerned, we are adding on manpower, we are adding on team, we are educating our team to focus more on this segment and we do see lot of opportunities for us when we talk about a growth of INR210,000 crores, a growth of 25% CAGR year. We also formed a vertical called B2B channel, we were mainly into institutional, some of our competition have got distributors when it comes to cables, about some of the companies 60% to 70%, 75% of the cables

Page 43 of 110

are sold through dealers, wholesalers or distributors, so we have formed a team now, so our plan is we should have a presence in about 30 cities, looking at about 50 odd distributors in those 30 cities and doing a business of INR1,000 crores in next few years' time. Coming to B2C where we were there in this business selling house wire into the retail. So, we had this vertical called light duty cables, we separated that and we created a B2C and B2B channel.

Currently we are there in about 181 districts, we have got a presence of 339 distributors, retailer presence about 60,000 retailers, as I said our product is bit expensive, so our focus is mainly on A class retailers in the towns where we are present. Active presence in 18 states, number of electricians about a lakh, we do lot of demonstration to the individual buildings or the builders, we do lot of them, we do electrician meet, n ukad and meet and currently we are, this business is around INR250 crores to INR300 crores for us and in next 5 years' time this business will go to about INR1,000 crores.

Now coming to the global wire and cable market, I spoke about INR75,000 crores as Indian market. Globally the cable and wire market are about 210 to USD220 billion which is likely to grow at CAGR about 5% to 6%, US is around USD45 to 50 billion, Europe is around USD40 to USD50 and rest of the world is around USD120 billion. So, 50% of the business for cables and wire is present in US, Europe and India and balance 50% is in the rest of the world.

So, there is enough room for us to grow in this market. When I say about INR4,000 crores of business what you have done, out of 70,000, 75,000 we are at about 5% to 6% market share even in India and we see a lot of potential of growth when it comes to do a APAR Cable business.

APAR Industries Limited
Investor Day – August 28, 2024

Page 44 of 110

Now bit of a business on US, we are focusing big time on US. US business is likely to grow by about 5% to 6% from 45 billion to around 60 billion, 65 billion. So, our focus there is mainly on renewable, solar and wind put together is around 300 gigawatts to 350 gigawatt expected addition by 2029. We also see a good amount of investment in infrastructure project and even the build a vertical.

We also studied which are the countries who are supplying cables to US, 50% of the cables being used in US comes from out of US, the major supplies come from Mexico followed by China and if you look at India it's only 0.5% of the cable which is going to US from India. So again, we see huge potential and when I look at Europe, again Europe is around USD45 billion to USD50 billion. There were 20, 21 odd countries where we are looking at, but our focus would be on Italy, Spain, UK, Germany and France. These are the five countries where we think and we feel can add value to our growth.

So here again we are looking at focus into renewable, wind and solar. I would be happy to say we are the only Indian company supplying to a utility company in Italy which is also has got a utility business in Romania, Spain, Chile, Peru, Brazil, Colombia. So very happy and proud of our association with the company in Italy for supplying cables to some of the utility companies in Europe and Southern

in America and when I look at Europe,

USD21 billion of cables are coming into Europe from outside Europe.

Major players is China followed by Morocco because of the proximity to European countries, Turkey yes there are a whole lot of cable companies in Turkey. Tunisia is very surprising and India we are at about 0.4% and rest of the world 8.6%. Again, we see a huge potential for an Indian cable company to have a major footprint in Europe. So, when we talk about

APAR Industries Limited

growing from 3,800 crores to 10,000 crores in next four to five years, we need to look at expanding our present capacity.

The current capacity what we have can produce about 5,000 crores of cables. So, if I have to grow this business to 10k, yes, we need to expand. We bought a land parcel in a place called Katalgaon which is in between our two existing factories Umbergaon and Khatlwad 43 acres of land and this is expected to be commissioned in the year financial year 25-26. This will happen in a phased manner. We are also looking at debottlenecking our initiatives. We are working on industry 4.0, there are a whole lot of initiatives happening on 6x and Kaizen.

We are adding capacity in in-house compounding, we are doing a backward integration. This would be added in next few months. We also doubling the capacity of our copper wire drawing, that is copper which are required for cables and your house wires. We are doubling the capacity there and as far as aluminium stranding and wire drawing facilities are concerned, the expansions are going on every year. Most of the orders we have placed, I'm happy to say that by 26 we would also be in the business of EHV cables.

We are putting up a plant for 220kv cables, we have already finalised the machinery for producing these cables even for testing facilities. We are also looking at expanding our electron beam facility at the factory. So, keeping in mind where we want to be in next five years time, we are putting money into the right kind of machineries and looking at growing in those segments where we want to focus in next few years.

These are some of the projects what I mentioned about Lean Six Sigma. We have achieved 50% reduction in defect rate. Our production has gone

APAR Industries Limited
Investor Day – August 28, 2024

up by 15% with some of the projects what you have undertaken. Kaizen, yes, there are a whole lot of small, small projects which we have undertaken. We have significant savings, about USD150 million. Recently we started a project called SMED where we wanted to improve on the turnaround of changeovers.

Happy to say that we are participating, in fact our team is participating in various competition, quality control and industry excellence and we have got awards, platinum, gold at CII, QCII and Kaizen Institute. Industry 4.0 is a project which we started about 7 months, 8 months back. It will take some time for us to achieve 100% goals as for what we want. But yes, we are trying to improve the overall efficiency of the equipment, improve on the energy management, savings and all other things related to sustainability.

I think this is one of the projects where leads to the sustainability aims or goals what we have. Before I wind up, this is what we are looking at. When we talk about INR10,000 crores, 40% to 45% business for APAR will come from the institution sales. When I say institution sales, it's solar, wind, railways, infra, heavy machinery, those 8 pillars what I named. 40% to 45% business will come from the international market for us. 10% business, I said I would like to take - we would like to take this business of house wires to INR1,000 crores in the next few years and B2B channel that is cables and flexibles which are sold through channel where our focus would be on the builders and our focus will be on the smaller indus

try that we would

like to take to 10%. Thank you very much. This is all from my side. I think we are breaking for tea now, Ramesh. And let us reassemble in another 15 minutes time where we have further presentations on telecom, oil,

APAR Industries Limited

Investor Day – August 28, 2024

sustainability and other financial numbers. Thank you very much. Thanks a lot.

Girish Gupta: We have entered into the fifth realization, fifth industrial realization of the world. What exactly is that? There is a convergence of human, physical and digital world which is happening today. When I said human world to digital world, there are devices which are getting enabled to interact with or within the digital world.

When I said physical world into digital world, these are programs which are transforming the physical world into a digital world, creating the digital twins. What does that mean? That means that convergence of human to digital world and physical to digital world is creating a metaverse which will enable our workforce, which will enable our enterprises, which will enable our industrial revolution and which will enable our consumers.

Whatever we do efficiently and productively, it will further enable that. But what it translates to?

There are two underlying principles for this metaverse, for this digital twin. It's cloud which is driven by primarily 5G or 6G which is going to evolve and the block chain. Two technologies are supporting this metaverse to happen. And what does this technology need? One, we all know we need a real-time performance network. We all know we need a secure data. We need to know how our device detection and location. We need to have a network sensing. We need to have a self-healing network.

And we need to have a slicing of the networks so that when I need to transform, shape up the network, increase the capacity of the network, I can slice the network and increase the network. That convergence will happen not by only human intervention. And that's where this current term

APAR Industries Limited
Investor Day – August 28, 2024

Page 48 of 110

of AI is coming in, which is sensing, thinking and acting, creating an AI network for us.

What this means for us? We have been seeing the video consumptions, whether streaming, gaming, everything over the last, I say 10 years, that has been growing and that's what has caused the data growth till date.

Whatever we are today at 110, 112 EB per month globally is going to move to 300 EB or 320 EB per month, but is it going to grow from the videos what we are using? No. That's not going to become the demand driver.

The demand drivers are coming from purely this artificial intelligence which will need supercomputers, which will need every time data to be monitored, sensed, captured. We are talking about, as an example, self-driving cars, how much amount of data each car will generate and needs to be captured. And we are talking about robotic world, which will enable our productivity and you can say efficiency, both of these aspects get covered only in AI basis.

But what exactly is changing from now to then? Today we need internet for our comfort of life, that yes, I can use video, I can use chatting, social chatting, but tomorrow we need this, it becomes a necessity of life. And when I say necessity of life, this necessity of life will be low latency and flexible and adaptable. That kind of network is going to get built for us for tomorrow. How this network will get built? Today we talked about 4G and some aspect 5G.

But tomorrow it will be purely 5G network, purely fibre to the X connected, fixed wireless access is going to play another role and edge data centres are going to play a larger role in this space. These are the four technologies

APAR Industries Limited
Investor Day – August 28, 2024

Page 49 of 110

which will drive this. But who invest in the

se technologies? Who will come and invest in these technologies?

Primarily the telecom operators globally come and invest in these

technologies, but they are facing the headwinds. Typically, Telco industry spent USD300 billion a year globally for last seven to eight years, but the last two and a half years, three years, they've gone overboard, invested more than that to enable the 5G aspect of the business. Their spend ratio, capex spend ratio typically stands at 15% compared to what they used to spend earlier, 10% to 12%. They are trying to bring that back. How they do that?

They are looking at every alternative technology, every alternative medium to support and make themselves relevant and with respect to whom?

Relevant with respect to OTTs, Google, Amazon and all who have come up and taken up their share in the market. They have invested in the capex somebody else has come and riding on their capex and making money. So that's why there's a shift in the telcos mindset itself.

One, they are looking at every alternative technology to reach to the last mile, like low orbit satellite, some parts of the world it is accepted, India still policy is getting formulated, we are hoping by end of this year this policy should get implemented. They are augmenting their complete core network platforms, so that they can enable them with adaptability, with latency, with the scalability required at any given point of time because today I need 100 GB, tomorrow I need 1 terabit and day after tomorrow again I need 500 GB.

That scalability each operator has to arrange and manage in their networks. Third thing, we are talking about latency. The hyperscale data centres have

APAR Industries Limited
Investor Day – August 28, 2024

Page 50 of 110

come up in India, but when you talk about latency of nanoseconds, there are huge set of edge data centres which will come. Google, Amazon or Facebook, these guys will not put up edge data centres. Telcos will go and put up those edge data centres to deliver that low latency networks on their 5G, to enable those applications.

Fourth and the last important thing for them still they -- that is an investment they are doing, but how do they generate the revenue back into their networks? That revenue generation, they are entering into the front-end services, competing head-on against any other OTT player. They are providing enterprise services.

I don't know how many of you know, Jio provides Jio Agri service, which is based on AI. It helps the farmers to monitor their crops, to monitor monsoon, everything, augmenting their services. Today Airtel tied up with Apple directly. Apple was not able to barge in. Airtel closed their wing services and entering into with Apple tie up as a music service in India. So, there's a different set of front-end services coming in from each of the telcos to enter in this space.

So, all the telcos, communication service providers will become our digital service providers and there is a play which is going to remain. All these networks, whatever they are building, wireless and wireline, needs a fibre connectivity and that's where APAR role comes in this business. So as a APAR telecom solution like Shashi mentioned, OFC also got acquired in 2008 and we started very small, still small I'll say with respect to industry, though we are among top seven or eight in India, but still very small with respect to the global standards.

APAR Industries Limited
Investor Day – August 28, 2024

Page 51 of 110

We started manufacturing optical fibre cables in this business, which we cater to different needs, I'll touch upon that. Then since 2017, we entered in a power line solution, money is touched upon OPGW, we do ADSS as well and all power line solutions is being served by APAR telecom solutions. Then last year we entered in three new lines of businesses in telecom solution.

First, we said this 5G is e

nabling a lot of different set of demand, that every device needs to get connected. So, we ventured into different set of products, which is hybrid cable. I think our Chairman mentioned about that, but I'll touch upon little bit in detail on this venture which we started last year. Then looking at the data centre and enterprise demand, we started venturing into the data cables business last year and lastly, we entered into the services business of the telecom network build last year as well. So, what I'll do is going forward I'll touch upon these three or four topics, so that you get a perspective where we are heading to. We serve to telecom customers, definitely, railways and power we use our teams to serve that, defence we serve directly, enterprise we serve directly. So, till 2010, this network of NLD or fibre network getting built in the country or globally I will say. From 2010 onwards beyond this tower the network started getting built and that's where the new products, new solutions started coming in. As of today, as we speak, APAR telecom solution is fully capable to address any need of this newer network which is required in the industry.

Whether it's connectivity to a home, whether it's connectivity to an enterprise, whether it's connectivity to a tower, we serve each and every product in telecom business to connect these towers, these homes and

APAR Industries Limited
Investor Day – August 28, 2024

Page 52 of 110

these products, I will say whether it's our duct tape, we have seven or eight categories in this. Each of these products are fully qualified to serve any customer globally. So, this is the product which I mentioned we launched last year.

We went to the customer, understood his needs, where the gaps are, where the industry is struggling. The first struggle when we spoke to a couple of operators globally, the first struggle which came out is they had a number of issues managing a number of cables. Second struggle they shared with us that they had an issue of different operators working at different times in a different manner not managing the same standard operating processes.

Third issue they brought up, it increases their cost because they have to run their installer a number of times to install that and that's where the solution got carved out at our end because look at this, typically radio antennas will be six on any tower site. So, six times an installer is going and installing this product. Now the product which APAR launched last year is single time installation, no mess on the ground, absolutely no chaos, clean manhole providing a solution to him without any hazards.

Currently this is not a standard product which was in the industry, so this industry has evolved a kind of \$200 million last year and I see this growth happening 20% cent year-on-year at least CAGR from next five to ten years. US has adopted it, Europe is in process of adoption of such products and India will also adopt another year or two years, India will also adopt. We got awarded by Indian telecom industry for this product specifically last year, Aegis Graham Bell took our product and awarded us for this innovation in the telecom space.

APAR Industries Limited
Investor Day – August 28, 2024

Page 53 of 110

But currently as APAR we have done the manufacturing set up, we have gone to UL certification around that in US and currently supplying to the US market these products and I believe personally it will cater 15% of our revenue this year and going forward. The second set of products which we launched last year is data cables, which is primarily to address the data centre market demand.

But what is data centre market demand? Data centres growing in India at much faster pace, globally they are growing at 6.5%, in India they are growing at a pace of 25% CAGR. We are investing, India is investing 2X in next three years, another \$5.7 bil

lion investment is going into the country, that means 800 megawatts is getting added onto the ground, what does it translate in terms of kilometres or square metres, 10 million square feet of space, new space is going to get built which will consume our power cables as well as data cables.

That's where this market is evolving, right now this market what we see is primarily seven hyperscale locations where it is happening. Beyond this, this market will grow around at least 100 locations in India for edge data centres, which is not mapped yet, because it is being done in silos by different telcos. So, this market alone will give a huge demand to our power cables as well as data cables.

As a part we have invested in data cable manufacturing last year, the process is set up, the products are under qualification right now with the different authorities, once it is done, we start generating revenue. We'll have some initial revenue in this year, but that's the second line of business we added to the telecom solution. Third line of business which we added to the telecom solution last year is fibre network services.

APAR Industries Limited

Investor Day – August 28, 2024

Page 54 of 110

This again is a different ball game and this vertical, under telecom this particular business there are more than thousand players who play in this space. Our objective was if we are entering in this space why we should enter, I think me chairman and a number of guys we had a lot of discussions around that, why we should enter in this space. We went to our customers back, primarily the two large telcos tried to understand the challenges they faced in their networks.

So, the three larger challenges which we fixed for them is if there can be a hassle-free deployment for them, if there can be a delivery which is progressive, which can be delivered on time and in a progressive manner and third is the complete ownership. We looked back, reflected back into the system, we created an environment where every environment of installation we can do, because this is a start-up this has got a lot of ROW permissions, it has got inter-city and intra-city networks, so we looked at it, built a whole ecosystem based on some technology intervention based on some tech enablement, based on service partners which we build across India.

So right now, we have more than 100 partners registered with us as our partners to work for us along with us in this particular project. Then we not only built this capability to roll out the fiber network, but we also built the capability to install the active networks, we built out the capability to do O&M in case required. So that's how we became an integrated end-to-end network provider for the market.

As of today, if I speak, we are building this network for one of the largest telcos in the country. We just initiated, we have signed the contract with them, we have got the initial peers and we're looking forward to peers to

APAR Industries Limited

Investor Day – August 28, 2024

Page 55 of 110

grow in this space. Next is another project which you guys must have heard BharatNet.

It has been talked about for last 10 years and this project has been a prime project for our Prime Minister Narendra Modi. In 2019 in his speech on 15th August he mentioned he wants to connect 100% villages of India and still it took four years to launch that project. It has to connect 250,000 -gram panchayats across India.

It has to connect 625,000 villages across India. It's not a small and it's all rural connectivity. So, they launched a tender for roughly INR75,000 crores earlier this year in February which got participated in you can say last week of July and it has got companies who will get awarded will have to build take three years to build this kind of project and will have a 10 years of operation and maintenance on this project.

Roughly 10,00

0 kilometers of cable will get deployed, sorry 10 lakh cable kilometers will get deployed under this project over next three years. Never this scale project has been executed in India and I don't see in next 10 years this size project will be there in India. So, this project has not only fiber rollout, this project has got further than that.

It has to put the whole active equipment routers, switching, everything in that network. You have to build the state NOCs in this project and you have to integrate those NOCs with the central NOCs available in the market for the customer. So, it has got a full-scale network integration into the project beyond fiber overall.

So, it's a middle mile network which will get built. It will be a last mile network which will get built and last mile network will get built over 10 years period as the demand grows in the market, as the demand grows in APAR Industries Limited

Investor Day – August 28, 2024

Page 56 of 110

the villages that network will start getting built and that's where APAR has gone ahead and participated in this tender. Results are awaited.

We have to keep another two months keeping our fingers crossed and hopefully we'll get some business out here. So as APAR telecom solutions over last one year we are strategically aligned to upcoming industry investments. There are three set of investments I put it.

One is an urban network which gets built, second is a rural network which gets built and third is a defense network which gets built in any part of the world, in every part of the world. And as APAR for US market, for European market we have got all our approvals done. We are now ready to go into the market.

We have started making some inroads with some initial orders and we make much larger. This alone market, US and Europe alone market is more than \$100 billion. India market is again another billion-dollar market from fibre to the home perspective and another \$10 billion market with respect to Bharat Net.

So, I spoke briefly about Bharat Net but beyond the 16 states there are another eight states which has again investment of INR40,000 crores which is not released yet, which will get released in next two years period. We'll have again a play in that. We are expecting two of those states should get released in next six to 12 months.

So that's additional opportunity where we see in BharatNet going forward. So that's what will bring the services business to sustainability. Another defence networks, typically Shashi mentioned about INR21,000 crores and INR49,000 crores.

APAR Industries Limited

Investor Day – August 28, 2024

Page 57 of 110

Defence typically spend INR1,000 crores on telecom products, pure telecom cables which we manufacture as an organisation and we have got ourselves DGQA certified this year. Now we are fully eligible, capable to participate in these tenders and I'm hoping to grab some business possibility here as well. So, all the opportunities which are getting released in next two to three years, APAR is fully capable to go ahead and grab the business.

Competitive advantage, beyond standard advantages what we have with respect to others, I've just compared my competitors to put this slide up. We looked at three aspects, one from growth perspective, second from premiumisation perspective, third is from optimisation perspective. When I talk about growth, we definitely have a market access but what we have different from others.

We have the largest range of UL and CPR certifications to address US and European market which most of the other Indian companies don't have. We have a largest global access to power utilities and EPC companies in US and Europe because of our conductor division where which industry itself is going through a transformation, where they are putting up their SCADA networks, where they're getting into the digitalisation, where the

demand of

our telecom products is going to go up. Premiumisation, we have already spoken about hybrid cables which we have changing the face of the industry with this product that the demand which was going in a different direction, converging that demand into a single product or single site.

The second set on renewable side, the market growth Shashi has spoken about, we have the whole connectorized solution for renewable sector, oil, gas as well as wind and energy which is only available to APAR in India, APAR Industries Limited

Investor Day – August 28, 2024

Page 58 of 110

no other company. Till last year these products were imported into the India now they are being bought from APAR. Last, we have the widest range of fire rated cables.

We have approximately 900-degree Celsius product which can withstand three hours. Look at this, when data centres are driving the cars on the roads, what kind of cables they will need inside the data centres. That's the product which is required.

In case of fire, you don't have an accident on the road, the products need to be like that and that safety standards are there outside in outside India but they are coming into the Indian market as well. So, the demand of these products will also go up. Optimization of the business, with this IoT demand what is happening is everyone is looking at different set of products, different set of cables and we as an organization, we had a polymer science department who understands polymer science and all cables what we make need to know the polymer science and that's where no other company in the country has got a polymer science knowledge.

We are the only company who brings that knowledge and capable to make a new product in the most efficient and fastest manner. We are leveraging our capacities to give a product to defence, whether it's fibre, whether it's copper. Certain products like torpedoes and TAC are absolutely exclusive to APAR the certain products which are generated which we quote as a team. Just to summarize, market will remain around 300 billion for next five years but there is enough room for APAR to grow where we are today. We are augmented ourselves with innovative products and approvals for all upcoming investment into the industry. We are building a strong competitive edge to expand our presence with relevancy and premium and APAR Industries Limited

Investor Day – August 28, 2024

Page 59 of 110

last, we are expanding ourselves beyond products for end-to-end services into the market and that's how we feel we are enabling the lives and connecting the lives. Thank you. Let me invite Rishabh for the oil presentation. Rishabh you will do or? Okay. Thanks.

Sundar Subramanian : Good afternoon. I like to take you around a few slides on the lubricant side of the business that we do. Before we start, the first slide is just to run you through an overview of the automotive market.

India is among probably the top three automobile markets globally. Some of the key statistics that would be very interesting to you is we clearly, everybody knows here that we are clearly the largest two-wheeler market in the world. We have an installed production capacity of close to about 1.5 lakh, 1.5 million vehicles of two-wheelers per month which is approximately 18 million a year. Follow that up with three-wheelers, we do close to about six lakh three-wheelers annually. Tractors, we do almost close to a million, 9.6 lakh was what was the production number last year. We are the second largest construction equipment manufacturer in the world, significant numbers.

Within the construction segment, we are the largest backhoe manufacturer, backhoe JCB, synonymous to JCB. We are the largest backhoe manufacturer in the world. We are the second largest bus market in the world.

We are the third largest truck market in the world and we are the third largest passenger car market in t

he world. So just to give you some more details on the passenger car market which is probably what most people look at in terms of automotive industry development, the largest market
APAR Industries Limited
Investor Day – August 28, 2024

Page 60 of 110

clearly is China which does about 27 million cars a year, followed by US which does about 13 million.
India is the third which has touched almost 4.8 million a year, followed by Japan which does about 4.1 million a year. So, the gap between three, number three market with the top two markets is significantly large and that clearly is a much bigger up room as the market tends to become, as we as economy become more developed. So, the upside in terms of automobile numbers are significant. We don't see this market slowing down in any way.

On the other side, a lot of you are interested here to see about how the electrification is coming in and going to affect this side of the business. Just to give you numbers on the two -wheeler side the average registries of electric vehicles over the last quarter has been approximately around 75,000 units a month. If you look at the two -wheeler industry side, the industry grows at about 6.5% CAGR which means that it adds close to about 1.1 million units every month.

The electric vehicles have still not breached the growth that's happening in the two -wheeler. So, it's still significantly small. We expect this to continue to eat into the growth and we see the ICE markets to be a little flat moving forward but we don't see the overall numbers significantly reducing. The gap between electric vehicle costs and the ICE cost are still significant close to about 25% and this industry the only hope for this industry in the near term is clearly with governmental interventions in terms of subsidies and stuff before the cost of the battery starts to keep going down for the vehicle sales numbers to start to rapidly pick up. It's a different story in the three-wheelers. The penetration of electrics has almost reached close to
APAR Industries Limited
Investor Day – August 28, 2024

Page 61 of 110

about 40% and we see that moving in because the three -wheeler is what I call last mile logistics and the last mile logistics are more prone to earlier adoption of electrics.

So, we will see the three -wheeler side getting at least in the commercial cargo three -wheeler space becoming moving more and more electric. Apart from this, from a significant movement point of view, buses, if you look at the bus side of the business, if you clearly look at buses between intercity and intracity operations, we clearly see the intracity operations going electric and the intercity operations moving from fuel lead to gaseous fuels. That will be stage one before it starts to move into other technologies.

But more or less on the other side of the businesses, which are basically tractors and construction equipments, they will continue to remain fuel lead at least for a decade for sure. That's probably to give you an overview of the segment. In terms of numbers, the market's close to about 3 million metric tons in size, relates to a turnover of close to about INR38,000 -odd crores in totality.

The top 10 players in this market contribute almost close to about 80% market share by volumes. That's just to give you a scenario. Even though the market's heavily fragmented, the big really take over the top business positions in the segment. Coming very clearly to give you an idea of the growth in the segment, in the current scenario we clearly see that the automotive markets will, automotive industrial both put together, the lubricant market will continue to grow at close to about 3% CAGR. We believe the automotive industry will slightly lag this number by around,

Page 62 of 110

side, because of rapid industrialization, China Plus One that was talked about a little earlier, and with a lot of manufacturing moving in, alternative supply chains being created globally, with India being a key benefiter for this, we believe that the industrial side will grow far more aggressively. We look at that numbers to be close to around 4% on a CAGR basis. The agriculture markets will remain robust, which is a key part of our economy, and we believe the lubricant business is going to be dependent on agriculture moving forward, which is a key component in this whole sector. The governmental focus on mining and infrastructure has been very high, and this is going to drive in a lot of high-performance lubricants, and a lot of consumption coming in. So off-highway segment as such in the lubricant side of business has been aggressively growing, and it will continue to grow at least over the next 5, 6 years.

With a lot of activity going on in manufacturing, there's a lot of requirements coming in for specialized fluids on the industrial side of the business, especially in metalworking, as we move away from cast iron and steel kind of product lines into speciality products, aluminium, copper, aluminium alloys, copper alloys, especially coming in through the EV side of the business, you will see a lot of action on the metalworking fluids, and the requirement for speciality metalworking fluids is exponentially growing. And finally, at the higher end of the industrial spectrum, compressor oils, full synthetic gearbox oils, you have a slew of product lines coming in at the higher end industrial applications, where we believe the market's growing aggressively, both in terms of volumes as well as from a value perspective.

APAR Industries Limited
Investor Day – August 28, 2024

Page 63 of 110

So that's an area that we look at, and we remain confident on the growth story on the lubricant side of the business. Just to give you our relative positions in this overall segment, like I mentioned, the market's close to about 3 million metric tons. The top 10 players contribute close to about 2.25 million metric tons in the overall pie.

Apart right now with our volumes that we did last year, we rate ourselves to be around the ninth largest lubricant player in this country, doing almost around 72,000 KL for the year F Y '24. We are clearly among the top 3 agricultural lubricant manufacturers in this country. We are among the top 3 in the industrial segment, among the private players, keeping aside the PSUs off in that volume.

We're keenly looking at exports in our business, and we have started to expand our footprint into the Middle East and Africa in a big way. Our export businesses have significantly started to grow, and we are seeing significant traction in these markets. With the focus as a group that we have around ESG, we have had a slew of offerings that we have been giving on the lubricant side of business too with regard to a key focus on ESG.

Products offering fuel saving, products offering long drains, products being manufactured to take care of durability, and also looking at products that are aiding emission requirements which are non-lubricants like diesel exhaust fluids or AdBlue as you may see. Some of the products that we have done over the last couple of years, which are helping us grow and cementing our associations with some of the key OEMs that we have.

So, this is just to give you, a picture as to where and all we are playing in the lubricant space. Of course, on the automotive side, we are present both on on-road and off-road. On the on-road applications, we have a slew of

APAR Industries Limited
Investor Day – August 28, 2024

offerings on the motorcycles, passenger cars, and of course the commercial vehicles, light commercial vehicles. We play the entire space in the on -road

applications.

Coming on to the off -road side of the business, predominantly two segments to take care of construction and infra, and the second one being agriculture. Significantly positioned in agriculture, relatively small in the construction and infra -space, and which is an area of focus for us to grow. On the industrial side of the business, we basically look at maintenance products and speciality products which are revolving around metalworking. So, we have a slew of products there too, on both the segments. Pretty big on the industrial side, we continue to grow both on maintenance as well as on the metalworking side of the business. So just to give you from a split perspective basis, we do almost close to about two -thirds of our numbers through the automotive side of the business and one -third of our numbers from the industrial side of the business, just to give you a proportion as to where we are positioned.

From a distribution infrastructure space, we of course single manufacturing facility out of Rabale, Bombay, a central warehouse located at Bhiwandi, four regional warehouses to cater to the four zones in the country, 14 satellite depots. We manage a space of close to around 2.35 lakh square feet within our logistics to handle products and distribute products throughout the country and also take care of whatever we are doing for exports.

On the AdBlue side of the business, we manufacture and we also have eight outsource filling plants from where we manufacture this because this is distribution of aqueous urea, so transportation and logistics have a

APAR Industries Limited

Investor Day – August 28, 2024

significant impact on the cost of the product and hence you need to be closer to the demand centers and hence the requirement of outsource filling plants.

So, just to give you some of our numbers from a distribution standpoint, we have a distribution strength which is significant, close to about 500 -odd distributors operating across our various segments. You have the numbers up there. What's more interesting is that we have started to digitize our distribution network both from the point of sale at the distributor level , subsequently tracking the sale through retailers and then finally having digitizing through the influencers who help sell these products, which are basically mechanics.

So, if you'll actually see this program which has started over the last 5 years that we have done, we have reached a level wherein we have the ability to trace close to about 50% of our products that we sell through this pipeline, enabling us to better communicate with the retailers, enabling us to better communicate with the influencers.

So, our marketing schemes can be very highly targeted and thereby get a better ROI on the investment that we do on the marketing. Some of the advantages that I would like to leave on as a player that we have in the lubricant space, we clearly are, like I mentioned, among the top 10 and if you look at it from the oil space that we play in totality, we clearly are the largest private player in the Indian market by the sheer volume of base oils that we handle.

That clearly brings in economies of scale. A very strong partnership that runs with E&I which we signed in 2006 and commercialized from 2007.

The partnership has been solid and has been running over the last 15, 16

APAR Industries Limited

Investor Day – August 28, 2024

years now for the brand. Very strong presence in agricultural OEMs, tractor

OEMs. You will see that in the next slide.

We've been working in the agricultural space from as early as 2009, having significant presence with key OEMs with significant share of business. We are associated with most of the big global additive suppliers, so we have the access to technology for lubricants. A very, very flexible manufacturing facility to take care and

manage the entire OEM and private

label range, which helps us grow in scales, grow in volumes in our lubricant business.

And finally, to cement our relationships with OEMs, we've moved one step ahead. We're just not focused about product selling. We've moved into product management, thereby helping them manage the product through their channels and also helping them getting logistic solutions in place for them.

So, we operate both the product management as well as logistics for them, so that we are able to cement and the stickiness of business with us is much higher in comparison to a typical lubricant player. So, some of the key OEMs that we do business in the tractors, so if you look at this space that we do, why is this significant?

So just to give you some data points for you as to why we play the segment, this is probably one of the largest consumers of lubricants among the automotive sectors. Just to give you a percentage in terms of loops to fuel, this consumes close to about 2.5% of lubricants to the fuel that it burns. Significantly high.

The only two segments that are above 2% are agriculture, which is tractors and 2-wheelers. The rest of the industry as such, if you look at it from a

APAR Industries Limited

Investor Day – August 28, 2024

Page 67 of 110

loop to fuel ratio perspective, is under 0.5%. So, it's very significant to stick to this business as these are high volume loop guzzlers, as we call it in the industry, and so a focus on the site has been done by us as an organization very early on in our lubricant business, which has helped us grow and get skills.

So, we are present across, so if you take the top 7 tractor manufacturers in the country, they almost hold a market share of close to about 90% and among the top 7, APAR has a business of over 50% with the top 4 in the top 7. So, a significant play in the agri side of the business. Apart from this, we do, we are associated with a significant number of other OEMs and private label manufacturers, which is what helps us get our skills and get our volumes in this sector.

So finally, some of the areas of strength, repetitive in terms of our positions in tractors. We are a leading player in the ultralight commercial vehicle segment, the small last mile transportation segment, both in the three-wheeler as well as in the Tata segment that you can see. We have a significant aftermarket position with our brands, very strong OEM associations that you have seen in the earlier slide, and we are probably the only company right now which has started to blend and manufacture full synthetic base stock-based lubricants within the country for automotive products.

On the industrial side, we clearly are among the top 3 private players, in the industrial maintenance great space. A significant push and presence in port and infrastructure, that's a sector that we focus and work on, which is again a high lubricant consumption space. We have some specialized solutions coming up for the gas infrastructure, gas pipelines that are being put up.

APAR Industries Limited

Investor Day – August 28, 2024

Page 68 of 110

So, we have speciality lubricants solutions being offered to CNG booster compressors, which help transport gas through these long pipelines. And finally, we will be working in a niche area for refrigerating compressors,

because refrigerants in these refrigerating compressors are going from, they are becoming economically, so they're moving into an ESG perspective.

So different refrigerants will call for different refrigerating compressor oils, and we are working on a slew of products in the refrigerating compressor side, both mineral and synthetic, to take care of these changes in the refrigerants that are happening in the refrigerating compressors.

Some key products that we have done, just to give you a highlight on what we are focusing on around the theme, which

is on ESG. So, on the agricultural space, which is key for us, we did launch products with fuel saving 2.5% fuel saving over conventional products, mineral products, extended drains, on an average of around 250 to 300 hours to 600 hours drain interval is what we are trying to deliver, double the drain life with fuel economy. That's the kind of products that we launch to bring down the footprint, carbon footprint.

A lot of low viscosity product lines that we have drawn for transmission. So, if you'll actually see the automotive side, most of the fuel economy work has been done around the engines. We have started to move from engines to transmission, so the entire powertrain is being now captured by going lighter to bring in fuel economy, and that's what we have done with our lower viscosity UTTO products, for bringing in fuel economy as well as high speed operations with hydrostatic transmissions.

APAR Industries Limited

Investor Day – August 28, 2024

Page 69 of 110

A similar work that's been done on the passenger car side, with a special synthetic oil, low viscosity synthetic oils meeting the new emission requirements and both for commercial as well as for passenger vehicles. Why do we do this? Clearly, we're trying to get into differentiated offerings with better USPs to help improve our unit realizations and thereby demonstrate the superiority of the product in the marketplace to build in customer loyalty.

That's the objective. On the industrial side, similarly on the cutting fluids, we have a slew of products that we have done. Biodegradable ester-based fluids to take care again on the industrial side for ESG requirements. On the refrigerating side that we mentioned, POE-based products coming in for compressors, which have the new generation refrigerants coming into place.

CNG Booster compressors that we mentioned for gas distribution pipelines and again 100% PAO based products for gear and compressors, helping double the drain lives in case of conventional gear or conventional lubricants for gear-based applications. We see huge opportunities on the industrial side to upsell products, improving unit margins and thereby getting into a branding space for B2B sales.

This is an area that we are clearly working on and we see tremendous progress being made on the side of the business. Finally, where are we focused on? We continue to see significant opportunities both on the automotive and the industrial side. We remain focused on the OEM side of the business. We believe the OEM side of the business will continue to grow and internal combustion-based engines, will continue to stay at least for a decade. The impact that's going to come in from EVs is not going to be as soon.

APAR Industries Limited

Investor Day – August 28, 2024

Page 70 of 110

The growths probably start to taper off around 2035 is what is our estimation. So, we are expanding our product lines and product offerings both from the lubricant side as well as from the non-lube side to capture this market. We remain export focused. We want to get into the Middle East and African markets, growing our footprint there and the first target that we want to take is to do at least about 10% of our overall sales in export

markets.

We probably should be at those numbers by the next year, without fail and we are also working on interesting models for filling at the last mile in markets of high tariff, with high tariff barriers, especially in Africa and some of the markets in Southeast Asia. So that's an area where we want to work on.

With these, we still believe that we will still grow easily at around 3x of the Indian market growth rate in the lubricant space and we've been clocking much higher numbers in the last two quarters given the scenario with our volumes. So, we believe that this is a doable number. That's all I have.

Thank you.

Rishabh Desai: Hello, good mo

orning, everyone. My name is Rishabh Desai, and I will be giving the presentation further on specialty oils. There's a lot to cover in very little time so please bear with me. So, I'll quickly introduce you to the range of products that we have. I covered it in depth last year, so I'll just run through it very briefly. So, there's four major product lines.

The first one, our flagship product being transformer oil. Now for you just to appreciate what transformer oil is for people who weren't there last year. As you saw in the Chairman's presentation, when the electricity power is generated, there's a step-up transformer, then the electricity is transmitted

APAR Industries Limited
Investor Day – August 28, 2024

Page 71 of 110

towards the city and then near the city there's a step-down transformer so that we get the voltage, much lower voltage at our house and our sockets. So, these transformers, they're big machines. Some can be the distribution transformers are small, maybe this big. Power transformers are huge, it can be bigger than this whole stage and the beauty of this product, it's a coolant and an insulant and it's also a diagnostic tool, because the transformer is connected to the grid so you cannot just switch it off and study the health of the transformer.

So, like you draw the blood of a human being to see the human's health and study, the various things. You can draw a sample of the transformer oil and based on studying the health of the transformer oil, study the health of the transformer. Also, I mentioned you can't switch a transformer just on and off.

So, for you to appreciate, in engine oil for example, you can switch the car off, change the engine oil every 10,000 kilometres or whatever the norm is. With transformer oil, the transformer has to be running continuously for 20 years, 30 years, 40 years without changing the oil. So that's how good the technology and the quality of the product has to be because if there is any failure, it could lead to an explosion and that could be disastrous. It could cost money and lives more importantly.

Second is technical grade white oils. So that's used more in industrial applications. It's used also in certain agricultural applications for pesticides. It's used in textiles, paints, a whole bunch, there's about 50 different applications.

Pharmaceutical grade white oils, we have 15 plus grades of both technical and pharma grade. The pharma grade is generally used more in cosmetics,

APAR Industries Limited
Investor Day – August 28, 2024

Page 72 of 110

in any application that's in direct contact with the human skin. So, it's non-carcinogenic, non-cancerous, it's water-white, colorless, odorless product. I'll get to that a little later in my presentation.

And lastly, we have rubber process oils. It's used in EPDM, tires, rubbers, conveyor belts. There's a whole bunch of applications. Again, we have 15 plus grades. Despite having the set number of grades though, we consider ourselves tailors in that sense. We can tailor make any product to any specification were master blenders. So even if the client or customer has a unique set of specifications, we pride ourselves in our ability to be able to

meet whatever their requirements are.

Just very briefly, global approvals. This is specifically for transformer oil. As you can see, I've just listed down a bunch of utility approvals. So, we have global approvals from utilities all over the world. So, you see Saudi Electricity Company, OETC Oman, MEW Kuwait, Eskom South Africa, Power Grid India, most importantly, WEG Argentina, which is underway. So, we are basically present in utilities all over the world.

We have all the major OEM approvals. You can see GE, Schneider, Tyree in Australia, Siemens, ABB, Hitachi, Hyundai, Hyosung. All the major names have approved Power Oil as their trusted brand for transformer oil. We can meet all the

international standards, IEC, which is European, ASTM American, BS is British. So, we can meet all the various specifications from around the world.

I thought I'll take this time rather than to spend time on each product. I thought I'll just highlight two of the major innovations in the transformer oil space. Firstly, I can get to synthetic esters. I just put a picture of a transformer; it just gives you an idea of what the machine is.

APAR Industries Limited

Investor Day – August 28, 2024

Page 73 of 110

The oil lies within the core. So synthetic ester is a specific type of transformer oil and the base of the synthetic ester can be a natural base or a synthetic base. The synthetic base generally coming from an alcohol hydrocarbon base. We have catered our synthetic ester from a natural base, so it is almost a hundred percent biodegradable. That's in line with our sustainability goals.

So, through our natural ester, it improves the ability of running for the transformer. There's operational safety, I will get to that, but basically it has a much higher flash point than a regular mineral oil, which means it's much safer. There's a larger , a lower carbon footprint and it's readily biodegradable. So that helps with our sustainability goals and most importantly, the performance is consistent and stable.

We've done very stringent testing and got all the major approvals. So, what makes the synthetic ester unique? It has a superior oxidation stability. So, our paraffinic mineral oil passes a 164-hour oxidation stability test. Our current natural ester, it's found to last even 400 to 500 hours. So, it's got a very superior oxidation stability.

It has a really high flash point. So, a mineral oil has a flash point of about 150 to 170 degrees Celsius. Here it's above 250 degrees Celsius. So, it's much, much safer. And of course, as I mentioned, it has a much smaller carbon footprint because after 20 years, 30 years, whenever it is, the oil has to be replaced. The waste oil is biodegradable, so it's not environmentally damaging.

So, some of the applications where the synthetic esters come into use, it's whenever there's power generation, so there's power generation near a

APAR Industries Limited

Investor Day – August 28, 2024

Page 74 of 110

water body. So, you can see the picture there. It's an ecologically sensitive area.

Similarly, in mines, which are generally deep in the forest and stuff, if there is ever a leakage of the oil from the transformer, the oil is 100% biodegradable. So, there's no damage to the ecosystem. When there's the step-down transformers I mentioned in urban areas, like near housing societies, near schools, whatever it is, the oil, as I mentioned, has a higher flash so it's much safer. The chances of any sort of malfunction or explosion or whatever it is, is minimized with synthetic ester.

And we were talking about solar power and wind turbines and offshore wind turbines. So, when there's wind turbines in the ocean and stuff, the oil is biodegradable, so it will cause no harm if there's ever an incident. So that was one product which we have now launched and it's going to be

the future. We're going to be focusing on synthetic esters.

We've just acquired a plot of land in JNPT, so our mother plant in Rabale, there's going to be a little extra space and capacity. Right now, we are buying the natural base for the synthetic ester from abroad, so we're importing it. I guess in the near future, once we open up that space in Rabale, we will look to manufacture the base as well for the synthetic ester in India itself. So that's something also for the future.

I think the second and really exciting product is for chip cooling. So, I think currently AI is the talk of the world. I think everyone's seen the success stories of ChatGPT and everyone's seen the stock price of NVIDIA just skyrocket. So, data processing is massive

right now.

So, where the oil comes in is, right now there is air cooling done for 90% of server farms all over the world. It's very inefficient. I'll give you the

APAR Industries Limited

Investor Day – August 28, 2024

Page 75 of 110

statistics shortly. What we do, transformer oil, that is basically a dielectric fluid and for chip cooling, the most efficient solution is submerging the server into a dielectric fluid. Of course, the specifications are slightly different. We are currently tailor-making our product to meet those specifications, but it's something that we're working on very actively.

So, as you can see in the diagram here on your left-hand side, there's two types of cooling, number one is immersion cooling, where the entire server is put into the dielectric fluid. The second type is direct-to-chip cooling, where the dielectric fluid is brought to either the GPU or the motherboard directly through these tubes, because that part gives out the most heat. So only the chip is cooled, and then of course the heated dielectric fluid is then taken out through another tube for cooling.

So why is cooling necessary? I'll just quickly run you through that.

Electronic or electrochemical reactions generate as much heat as they consume electricity. Air is an excellent insulator, but it's not a good conductor of heat. Liquids, especially water, it's a very good heat transfer fluid, but it's highly conductive, so it's really not ideal for direct cooling. Dielectric fluids, they are excellent conductors of heat, and they're fully insulating up to 60 kV. Plus, we are working on making our dielectric fluids biodegradable and non-corrosive, as I told you in the natural ester segment. So, the challenges in thermal management, as you know, the data farms are just growing. Even in our country itself, to protect our data, instead of storing data abroad, they want to build server farms and store data within the country.

So, heat dissipation basically is the limiting factor. With these super powerful GPUs, heat waste can now exceed more than 4,000 watts per

APAR Industries Limited

Investor Day – August 28, 2024

Page 76 of 110

device. As you guys know, for computing AI, one AI search, like on ChatGPT, uses 10 times the computing power of a normal Google search. So, if that is truly the future and we're going towards that, there's going to be a lot more energy requirement, there are going to be a lot more powerful processors, and those processors are going to give away a lot more heat. So, it needs to be cooled.

As I mentioned, air cooling is extremely inefficient. Almost 40% to 50% of the total facility energy use is used for cooling. Imagine that. It's huge. 30% to 40% of the power is consumed just by air conditions and fans and associated devices. And 5% to 20% of the power is used by the devices, the small onboarding fans within the device. So almost a third of the space in the data centers/mines are dedicated just for cooling requirements, which when you think about it is absolutely ridiculous because these server farms are massive.

So, it's just a huge waste of space. And of course, also the capital costs are really massive because instead of investing on the servers, now you're

investing in cooling technology, which is just a waste of money and resources. That's why we need liquid cooling.

So liquid cooling within the data center, it removes heat with the direct contact to the electronics. There's a variety, there's the two major varieties which I spoke about, but the common denominator is that they use a dielectric fluid. So yes, that's a little bit about this and I'll just quickly tell you what the advantages are.

So, as I mentioned, there's a lesser capital cost, there's a reduction in the energy footprint, so that again ties in with our ESG goals, less floor space, faster CPU performance. Basically, they say the dielectric flu

id conducts

APAR Industries Limited

Investor Day – August 28, 2024

Page 77 of 110

heat 12,000 times better than air, so it's way more efficient and the CPU can perform faster and it's much more reliable. So that was just a little bit on the future and we are devoting a lot of resources to develop this product.

It's still in a developmental stage, we don't want to release this to the market until obviously the product is perfected. Also, there are a few challenges, as I showed you for transformer oil, there are set specifications, there's IEC 60296, ASTM, they are set standards. Over here, because it's such a new space, there are no real standards in place, so each company is developing their own product with their own specification.

Today also if you approach customers, say you approach Amazon, they have their own internal spec. If you approach say a Microsoft, they have their own internal spec. So, it's a little bit of a challenge on what product exactly to develop because you cannot develop 50 different types of products just to cater to each customer.

So that is a work in progress and we'll need some sort of government intervention from a federal level to kind of standardise. But also, because we have a good experience in the dielectric fluid, there's a lot of influential people in our R&D team who have a say on these matters, we're trying to push certain standards and use that to our advantage to kind of standardise things.

Very quickly, I'll just take you through white oil. I won't spend too much time on this. The global white oil demand outside of India and China is about 950 kt, so that's 950,000 metric tons. It's an even split between the technical grade and the pharmaceutical grade. APAR, we exported 1,30,000 metric tons, so almost 17% -18% of the global market share outside of India

APAR Industries Limited

Investor Day – August 28, 2024

Page 78 of 110

and China belongs to APAR Industries. We're not looking to go too much above that in terms of volume. We're now focusing our energy just to cater to certain niche and high-end applications that will generate a better alpha. I just wanted to go through a few interesting applications.

I was mentioning there's about 50 different applications of white oil. And there's some really unique ones. We discover new applications every day. So, recently in a trip to Australia, we went to a pharmaceutical giant and they are actually buying our pharmaceutical grade white oil and testing it for use in animal vaccines because the white oil is a good carrier of the strain of the vaccine.

So, that was a really interesting revelation for me. It's used for egg coating. We've actually, our R&D team has done a huge amount of research on this and actually a pharmaceutical grade white oil coating on the eggs increases the life of eggs by about three to four weeks.

So, then also on my trip, I had visited a bakery, one of the biggest bakeries in Australia called George Weston Foods. They use our pharmaceutical grade white oil in the bread cutters. So, they dip the bread cutters in our oil so that when it's slicing the bread, there's no remnant or stickiness of the bread on the cutter or in the blender where they blend the flour.

So, there's just every day we're discovering new applications. It's a huge market out there and we're trying to focus on finding these niche applications and that's how we differentiate ourselves from our competition. Another application which I spoke about last year but I also want to mention again is the Hot Melt Adhesives.

So, the Hot Melt Adhesives, it's used for example in diapers. I don't know how many of you guys are moms and dads, but we use disposable diapers

APAR Industries Limited

Investor Day – August 28, 2024

Page 79 of 110

all the time and that sticky part in the diaper which you stick together, that's actually a hot melt adhesive and we manufacture

that oil. Even in all your

water bottles, for example, Bisleri bottle, the label is stuck, right?

So, that sticky glue, it's actually a Hot Melt Adhesives, which is the base of that is a naphthenic base oil. So, that's a big market. The total market size is about \$10 billion globally and it's growing at 5% CAGR and that's where our specific focus is because it's niche products with high margins.

Lastly, I just want to tell you a little bit about the global success story of you can say the power oil brand. I'll focus on six geographies. The first success story is Turkey. We've partnered up with a company called Arkema in Turkey. They have a local manufacturing facility in Istanbul. APAR has 3,500 metric tons of storage in a bonded warehouse in Gebze Port.

So, there's a famous saying, I don't know how many of you watch F1 but there was a legendary F1 driver by the name of Senna and dad likes to quote him a lot. There's one particular quote saying that on a sunny day when the conditions are perfect you can never overtake 15 cars, but when it's raining you can do that and when conditions are adverse and challenging like, how they are today with the global supply chain as you know, the Red Sea issue and there's bombing by the Houthi rebels on ships and whatnot.

This is the perfect example because we've kind of omitted all that, beaten all of that. We get our material in bulk from the United States of America directly to Turkey and we then manufacture the product and sell it all over. So, as a result we've completely destroyed the competition. We have 50% now market share overall in Turkey for transformer oil and 85% market share for the paraffinic oil.

APAR Industries Limited

Investor Day – August 28, 2024

Page 80 of 110

So, none of our Indian competitors are even close to being competitive right now and we've pretty much taken over that entire market. Last year volume was almost 15,000 metric tons and we're planning to grow above that. In South Africa we have a similar setup. We work with a company called Engine Petroleum. We used to bring in oil directly from the US there as well. Due to certain logistical constraints now, we supply the finished product.

They have tankage over there. They handle and market the product. We have now over 60% of market share in South Africa and we're one of two companies that has the ESKOM approval. That's been a major success story as well. In Australia we've partnered with DKSH. They're a EUR10 billion trading giant based out of Switzerland.

They have a strong presence in Australia. Why it was important to partner with them is they have a local storage capacity of 2000 KL. Australia is a huge country. It's a country continent. It's basically a continent by itself and as you know, Australia is rich in natural resources. They have coal, they have a whole bunch of gold, coal, uranium, a whole bunch of resources and these mines are located far into the desert, into the forests etc.

So, the last mile delivery is extremely important and that's something being an international company you can never master. That's why we've partnered up with DKSH, so that they do the last mile delivery very efficiently on a need basis and as a result, we've taken over now 50%

market share in transformer oil, 57% market share in white oil. Our volumes have grown steadily as you can see. 16% growth in the last 2 years and we expect it to continue to grow.

APAR Industries Limited

Investor Day – August 28, 2024

Page 81 of 110

Fourthly in Malaysia we've partnered up with a company called Glide. We had zero presence in Malaysia 2 years ago, because they have a law saying that they will only give preference to Bhoomiputra meaning local owned companies. So, from doing 0% market share we've done the same thing in the sense we follow the Coca-Cola model whereas we supply them the base, we supply them our IP which is the a

dditive.

They blend it up over there. They've got the approval of the local utility which is TNB and last year from doing nothing 2 years ago, last year we did 1450 metric tons. This year we're on course already to beat that and I think that's been a wonderful success story for us. I won't spend too much time on the UAE. I covered it last year, but that's our own facility, that's where I'm based.

We crossed 100,000 metric tons in production last year and we're now doing an expansion, because we want to grow the business. Lastly Saudi Arabia, that's the most exciting thing coming up. So, as you know, in Saudi there was a huge plan for Neom City. That's been scaled back a little bit, because I think in Saudi, they've bitten off more than they can chew. They have the Expo 2028. I think many of you might have heard of Expo 2020 which was in Dubai.

So, they have the same thing in Saudi Arabia in 2028. They have the FIFA World Cup in 2030 and I don't know how many people have been to Riyadh, but it's a very dilapidated old city, which needs a huge infrastructure overhaul. You might have read that in the UAE they put out 50,000 hotel rooms just for the Expo 2020.

In Saudi they're going to have to do the same thing and they want to do the same thing. So, there's a huge potential for growth. Secondly, they

APAR Industries Limited

Investor Day – August 28, 2024

Page 82 of 110

want everything made in Saudi. So, they're putting up barriers, import tariffs etc. To stop people from abroad supplying in. So, what APAR has done, we have partnered up with Luberef, which is the subsidiary of the Saudi Aramco. It's the base oil subsidiary.

They have offered us a plot of land opposite their refinery. So, it's like going to the source, like going to Gangotri and getting the base oil. So, it will come in a pipeline from across the street directly to our tanks. So, you cut out the entire supply chain, freight rate. Generally, we buy from Korea or from Saudi. The material comes in ship and there's a cost associated. Here it will just come by pipeline across the street, eliminate all of that. We will sell within the Saudi market plus we will sell to North Africa and other countries in the GCC because then we will be part of the Arab trade agreement. So, we get a zero duty for any of these countries. So that's the exciting project now that's underway.

We've already put in a land application and hopefully by the time, I come here next year I'll give you a very positive update on the progress of the factory. Thank you very much. I took a little extra time. Apologies for that and I'll pass it on to Ramesh. Thank you.

Ramesh Iyer: Good afternoon, everyone. I'll take you through the financial overview for the company. Let me begin with by listing down the transformation initiatives taken by the company over the last 3 years which has driven financial outcome. There have been strategic transformation initiatives that the company took that has actually driven all these financial outcomes and a lot of these initiatives were actually taken in the past decade and as electrification requirements have been accelerating recently, we were able to tap the opportunities all in our way over the last 3 years or so.

Page 83 of 110

We are an innovative and customer-centric company and this has actually allowed us to gain first mover advantage. We continue to hold significant market share in all the key product verticals that we launched, in terms of innovation and customer centricity. To name a few there are these HTLS, MVCC conductors, CTC, Bus bars, wind cables and cables that are used for specific industry application.

As we launch products with an innovative mindset it has always allowed us to remain ahead in the race vis-a-vis competition and this has actually allowed us to beat the competition and e

ither penetrate the market or to continue to maintain the shares or to improve the gross margins. Products that launched were this E-beam technology, a market leader in the domestic business for the special grade transformer oil as well as the AL-59 conductors.

These products were launched with a competitive mindset, innovative mindset that has allowed us to beat the competition and again penetrate the market as well as increase the share. The result of the innovation, customer centricity and competitive edge products have resulted in revenue grow up from FY '21, which is about INR6,400 crores to about INR16,000 crores in FY '24 showing a CAGR of about 36%. We have also been strategically focusing on premiumising our product portfolio.

The premium range of conductors has grown about 38% CAGR over the last three years as well as there has been higher emphasis on special application cables the cables that are used for renewables, defence, railways, shipping etc. The CAGR has been 48% in the last three years. The result of this premiumisation has been that the EBITDA margins for the company as a whole that used to be about 7% in FY '21 has now gone up to double digits in FY '24.

APAR Industries Limited
Investor Day – August 28, 2024

Page 84 of 110

We are widening global presence with exports growing about 40% CAGR over the last three years. We sell to more countries now than what we used to do about five years ago. There has been strategic investment in growth levers.

Our capex has steadily increased to over INR300 crores in FY '24 with a clear focus on premium business verticals as we expand our production capacity ahead of market demand to leverage the opportunities coming our way.

We have been optimally allocating capital across all the three business divisions. The net fixed assets of the conductor division were about 315 crores in FY '20. That has risen to over INR400 crores in FY '24. The oil division, the net fixtures has gone up from INR267 crores to about INR288 crores. And in case of cable division, the fixtures have gone up from INR300 crores to about INR550 crores.

Our fixed asset turnover ratio has steadily increased to about 10x to 12x with higher turns for the oil and the conductor business and relatively lower turns for the cable business. The result of the allocation of capital into higher margin products has really seen the margin profile going up with the competitive edge and innovative products that we talked about earlier. Across all the three business verticals, we see margins going up.

The conductor EBITDA per metric ton has gone up from about 11,000 per metric ton to close to about 40,000 per metric ton in FY '24 with the margins going from 4.7% to 10.8%. The cable margins have been about 11 odd percentage steady over the last three years. And oil EBITDA has gone up from about 3,000 per KL to about 5,700 per KL. Again, the margin jump has been about 5.2% to 6.4%. As we allocate capital to

APAR Industries Limited
Investor Day – August 28, 2024

products division with higher margin profile this has actually improved the overall efficiency for the company as a whole with the ROC E which used to be about 10 to 12% in FY '2021 has gone up to about over 30% in FY '23 and also to about 34% in FY '24. As we did the QIP towards the end of the year, there has been the base of INR1,000 crores sitting the denominator due to which you see the ROC E coming down to 26%. But if you look at Ex-QIP the ROC E has been about 34% for FY '24.

Our financials indicate strong capability to generate positive cash flows over time. If you see from where it began in FY '20, we had a beginning cash flow of INR400 crores. The operating cash flows, we added about INR2,000 crores during the period from FY '20 to FY '24. Of course, in the financial, you will see about INR1,136 crores. The INR983 crores of QIP was d

eployed into working capital. Therefore, you see a number of INR1,100 crores. But Ex-QIP, we generated about INR2,000 crores of operating cash flows. About INR700 crores was deployed towards income tax. We invested INR900 crores of these cash flows back into the business through capex and about INR334 crores was paid as dividend, with the closing cash flow of about INR587 crores. So, the money that largely got generated, a substantial part has been invested back into the business through capex with the potential to generate further revenues in years to come.

Over the period of time, our free cash flows have increased to what it used to be negative INR200 crores in FY '20 to about INR170 crores, INR84 crores, INR342 crores. And Ex-QIP, we have been generating about INR121 crores in FY '24.

Over the last five years, our revenue has grown by about 15%. Our EBITDA growth has been about 27%. Our EBITDA margin has increased by about

APAR Industries Limited
Investor Day – August 28, 2024

3.6% from 6.5% in FY '20 to about 10.1% in FY '24 backed by premium products, innovative products, products that we launched with customer centricity in focus. There has been a very strong focus on keeping working capital tight under control. Our average net outstanding days based on last three years has been just about 50 odd days of which more than 50% has been within secured receivables. We have been very tightly focusing on whom we sell, who are our customers and more than 50% of our receivables are backed by either letter of credit or insurances. We have less than 2% exposure to state-run distribution companies. And with a strong monitoring of working capital, we are able to strongly manage the cash flows. The net debt, which was about INR153 crores in FY '20 has turned to a net cash positive of about INR180 crores. So, over the period, we generated a net cash of about INR335 crores in the last five years. The QIP that we launched last year further strengthened our balance sheet of INR1,000 crores getting into the kitty. We deployed that into the net working capital that has helped us to improve the working capital ratios. It has reduced the debt equity ratios from 0.14 to 0.1, as well as outside liabilities to total equity has come down from 2.67 to 1.48.

There exists robust growth drivers and strong head rooms for growth based on the renewables and transmission expansion, as you've been hearing since morning. Growth opportunities exist from differentiations as well as improvisations. We'll benefit from the shift from China plus one happening. The macro environment is conducive for our kind of business. Along with that, a dominant market position and leadership positions across all the three categories is actually helping us. Our operating efficiency, we are able to leverage on that. We've already reached double digit EBITDA margins. Our PAT margins have been about 5% that has

APAR Industries Limited
Investor Day – August 28, 2024

increased steadily year after year. We have a strong capital structure. We work on very less debt. Our debt equity ratio has been just about 0.1. The credit ratings have got upgraded from the last few years, which we expect further to improve with the QIP funds coming into the company. We delivered about ROE of more than 20%. With effective risk management strategies, we feel that we are appropriately positioned to tap the long-term opportunities coming our way.

The EPS, which was about INR36 in FY '19 has gone up to over INR200 in FY '24. The conductor division has added about INR115 per share over the last five years. The cable division has added about INR37 per share over the last five years and the oil division adding about INR23 per share. Across the divisions, we have been expanding across the globe, predominantly in US, EU and Australia, that has helped to improve the top line

as well as bottom line. There has been a clear focus on premiumization across all the business verticals, improving the margin profile for the company. As I said about innovation and customer centric, I have already spoken about that. And the per unit EBITDA realisation has accelerated, which has improved overall margins as well as EPS for the company as a whole.

Lastly, through FY '28, we feel that over the years, we will aspire to maintain leadership position across the key business verticals with continuous innovation and cutting-edge products will be launched over the years to come. We will be very keenly focusing on capex to improve capacity, especially in the premium business verticals, which we have.

We will continue to tap domestic opportunities coming our way at the same time expand a global footprint as well. And overall, we feel that we will be

APAR Industries Limited

Investor Day – August 28, 2024

able to tap the opportunities and to leverage the energy transition that we are going to see in the future. Thank you so much.

Suyash Saraogi: Good afternoon. I am Suyash Saraogi. So, what is the objective of this presentation? It is to highlight how important sustainability is. If you want to remain plugged in into the global supply chains, sustainability becomes extremely important. As we are seeing that exports are going to be a key lever for APAR and sustainability will become key to qualify for this business.

Also, I would like to show what we have done on sustainability at APAR.

So, I just want to spend a minute on this slide. COP stands for Conference of Parties. It is the main decision body of the UNFCCC and includes representatives from all the countries. There are 197 countries. And the COP meetings are crucial for funding key decisions on issues related to climate change, such as emission reduction targets, financial support and adaptation measures.

And these meetings are held annually. The last one was held in Dubai in 2023, started from Berlin in 1995. So, what happens is that based on these COPs, each country has accordingly declared its NDCs, that's Nationally Determined Contributions, and now is requiring their corporates to reduce their energy emissions.

So that's what's happening. So therefore, these corporates from Europe, from US, from Australia and other countries are pushing their supply chain partners, that is companies like APAR, to reduce their emissions. So that's how the pressure is coming. And this pressure is increasing as the days are going by. So APAR's customers who have committed to Net Zero as per their country's mandate are demanding low carbon product from their

APAR Industries Limited

Investor Day – August 28, 2024

suppliers. Some of these customers have put stringent sustainability criteria

as bidding qualifications.

There are some tenders you can't quote if you don't meet the sustainability criteria. In addition, there are regulatory compliances. I'd like to mention CBAM, which is Carbon Border Adjustment Mechanism, which I'll touch at the end of my presentation. And of course there are cost savings. When you reduce your carbon emissions means you're using less energy. Less energy means less cost.

So, I'm going to spend the next part of the presentation on the alignment of the organization's purpose, strategy, business and governance. So, sustainability is an integral part of APAR's business. So, there are three parts to it, economic on the left, environment and social. So, the economic piece has been adequately covered in the previous presentation, so I'll stick to environment and social. So, APAR has integrated sustainability into its core business operations. It involves adopting eco-friendly processes, promoting social responsibility and aligning the company goals with sustainable development goals.

So, APAR has formed a board-level committee, the

Corporate Social

Responsibility and Sustainability Committee, and the purpose is to review sustainability goals, ESG risks and opportunities, ESG targets, and performance against established sustainability metrics, as well as sustainability-related policies, programs and initiatives. So, our CMD has also completed a course in business and climate change towards Net Zero emissions from the Cambridge Institute for Sustainability Leadership, just shows the commitment from the top. Now we'll come to measurement, disclosure and target setting.

APAR Industries Limited

Investor Day – August 28, 2024

Page 90 of 110

So quickly, so it's good to talk about it, but what have we done? So, oil business, we have reduced our emissions from 0.009 tons of carbon emission per kiloliter of product to 0.006, it's a 33% reduction over two years, the emissions intensity. In the cables and conductor business, we have reduced it from 0.321 tons of carbon per ton of product produced to 0.275, which works out to 14%. Our total Scope 1 and Scope 2 emissions, Scope 1 is the fuel that we consume inside our plants and Scope 2 is the grid electricity that we get, is about 1,24,000 tons. So how have we reduced it?

We have increased electrification, reducing from fossil fuels to electricity, we've implemented various productivity measures, we discussed about industry 4.0, KAIZEN, Six Sigma and all those things in the earlier presentations, and we've increased the share of renewable energy. Just to let you know, like in Gujarat, for example, we are getting a lot of renewable energy, it costs INR3.5 per kilowatt hour lower than grid electricity, so it makes good business sense also, and it reduces our carbon emissions. So, I mentioned in the earlier slide that we had an emission of 1,24,000 tons of carbon, so we got it verified by DNV. DNV is probably one of the most credible organizations for certification. Water. Water in India is free, although India is one of the most water-stressed countries. The problem is, what happens if the water goes out? What do you do with your plants? So, what we are doing is that we have reduced our water consumption from 3,25,000 kiloliters in 2022-23 to 3,14,000 kiloliters, in spite of 20% increase in volume of production, so this is the absolute reduction. This has been done through demand-side management as well as supply-side management, and a lot of focus is going on in that, because water security is going to be a key risk for the future.

APAR Industries Limited

Investor Day – August 28, 2024

Page 91 of 110

CDP disclosure. CDP is a global platform; it's called the Carbon Disclosure Project. Customers want us to declare in CDP, CDP rates us, and they want to get the scores directly from CDP, that's for our global customers. We

got a score of B's last year, and only 27 companies in India were ahead of us, most were the IT companies and companies like ITC and Tata, which had started way before us. We are going to make our submission this year in October, and hopefully we'll get the result by December.

EcoVadis. EcoVadis is a renowned evidence-based online platform, providing supplier sustainability ratings and allowing companies to assess the ESG performance of their global suppliers. We got a silver rating last year, and we are submitting our, we are making our submission in September, we hope to do better this year.

BRSR, we all know is mandated by SEBI, it's part of our annual report, we have done our BRSR submission also. We make -- annually we make our ESG reports and the third edition of the ESG report is available at our site, the fourth one will be done by, with in October. That is for 23-24.

TCFT, Task Force on Climate-Related Financial Disclosures. So, we are not only assessing the climate risk, but we are also quantifying the risks, and setting a process for regular monitoring and mitigating it, by integrating it

into our ERM, that is our Enterprise Risk Management. So, this TCFT is a very critical thing, it goes with CDP, so we do that. So, we are working on our report, it will be ready by September end.

Then there are these EPDs, that is Environmental Product Declarations. So, we have measured and reported the EPD for four products, it's there on our website. Basically, what it does is, it communicates the carbon emission of the product, that it starts from the cradle to the gate. In other words, like APAR Industries Limited

Investor Day – August 28, 2024

Page 92 of 110

for our aluminium conductors, it would mean starting from bauxite mining to the time the finished conductor is ready for delivery from APAR's factory gate. So, we do this cradle to grave thing. So that becomes very important for the customers to know what is the carbon footprint of the product that they are buying?

We are working on 10 EPDs, which should be ready within this year, in addition to the four that have already been done. SBTi. SBTi is Science Based Target Initiatives, we have registered for it, and we are committing that by 2030, our products will have -- our products, that includes the raw material, will have 50% less carbon emission per ton of product produced from what it is last year.

So that's the commitment we are doing, which will require effort at our plant, effort with our raw material suppliers, inward logistics, everything, so that's the level of commitment we are doing. This becomes critical again to become part of the global supply chains.

So, the fact is that with these five disclosures, that is CDP, EcoVadis, ESG report, TCFD and EPDs, we can be sure that our global customers and other stakeholders will find us adhering to the highest standards of transparency and commitment.

Now we'll come to the path to Net Zero. So, what is our energy transition plan? So, first is renewable energy adoption. So, our target is that by March '26, we'll have 29% of our electricity will be through renewable energy.

By March '28, we expect it to become 45%. Of course, there are energy efficiency measures that we are doing in terms of we've had energy audits at all our plants, we've identified where we can reduce our energy consumption, and we are working hard on those things.

APAR Industries Limited

Investor Day – August 28, 2024

Page 93 of 110

And of course, like we said, I said earlier, 50% GHG emission intensity reduction by 2030. There's a target that we have taken as a company. Of course, there are development of low carbon products, which we had mentioned in the previous presentation. It's ACCC conductors, Poweroil NE, Poweroil NE Premium, natural ester-based and synthetic ester-based transformer fluids, and of course, APAR's advanced automotive lubricants.

These all were mentioned earlier, I'll not spend time on this. Most important thing is procurement. Like I mentioned, that when we look at our carbon footprint, we have to reduce our raw materials, the intensity of the raw materials. And remember, suppliers are not in our direct control. So, a lot of work has started happening. So, what are we doing about it? We are actively working to identify and reduce our scope 3 emissions through collaborative initiatives with our suppliers. Procurement of low carbon embedded raw materials, including green aluminium, increased engagement through regular supplier awareness programs, making suppliers understand, agree and sign the APAR supplier code of conduct. Use molten aluminium as direct raw material at our Orissa plants, which actually reduces our scope 1 and scope 2 emissions. Increase recycling in the manufacturing process to reduce wastage and of course, increased use of aluminium and copper scrap as raw material. Buy scrap and use it. It's also cheaper and also it has very little scope 3 emissions. So, we got the Great Place of Work certification last year. Sorry

, this year.

The last is the challenges and forward path. So, I want to spend a minute on this CBAM. CBAM is Carbon Border Adjustment Mechanism. This has been introduced by the EU. It is going to start next year. So, what it basically does is, I'll go to the next slide. So, the CBAM will require Indian exporters, APAR Industries Limited
Investor Day – August 28, 2024

Page 94 of 110

including APAR, to monitor and report the carbon footprint of the aluminium products.

This is a legislation that is imposed by the EU, which will basically tax the embedded carbon in the products that we do. So that's why it becomes very important to reduce the carbon intensity of both our raw materials as well as our finished products.

Now, what is the impact of APAR? So, we checked the CBAM regulation and said, which of our products are affected by the CBAM because Europe is a key market for us. There are only two products. One is ACSR conductor and one is ACCC conductor. So, our estimates were that based on the carbon tax that is there currently, which is not being enforced right now, but just as a reference, and based on the current volumes that we are doing right now, the impact would be about INR10 crores.

But of course, next year, 2026, when it starts, it'll be a lot less because we'll have reduced our carbon footprint in those products significantly. But the good part is that I'm sure that our competition will be nowhere close to it. So that will give us a great competitive advantage and of course, improve our brand.

So, what's our forward path? We will complete our TCFD report. We will disclose in September, October to CDP and EcoVadis. We will augment our wind, solar, renewable energy capacity. We will engage more seriously with suppliers for scope three emissions. We will complete the 10 EPDs for our environmental product declarations for our cable products and of course, we'll increase our scrap processing to reduce costs and reduce our emissions. Thank you.

APAR Industries Limited

Investor Day – August 28, 2024

Page 95 of 110

Kushal Desai: We started a little bit late and I think we've gone a little bit overboard in terms of time, but apologies for that. I know we stand between now and lunch, but I think after having heard all these presentations, a few questions would be in order. And so, we'll make an attempt to answer those questions which have already been put up. Pradeep, are you going to? Yes, so Pradeep will come up with the question. Thank you.

Moderator : Thank you so much, Kushal bhai and the speakers for the detailed presentations. So, we'll take up the Q&A. We'll be as brief as possible in the interest of the time. There is also a QR code on each of the desks and in case you can scan and put in your questions.

Moderator : So, the first question for Kushal bhai, what is the current revenue from the turnkey solutions and what exactly do we do in turnkey business and the future outlook? And what is the reconductoring contribution, reconductoring margin in India and our market share?

This question is from Amit Anwani from Prabhudas Lilladher.

Ramesh Iyer: Hello. So, the current turnkey solutions that we do in the conductor division would be about somewhere about 10% to 12% of the total conductor business. The HTLS, which is High Transmission Low Sag, plus the turnkey put together would be about 25% of the total conductor business.

And in this reconductoring, we do only a mini reconductoring, which is removing the existing conductors from the tower and putting in place a new conductor, which is a High Transmission Low Sag conductor, wherein the conductor cost would be about 70% to 80 % of the total turnkey solutions.

APAR Industries Limited

Investor Day – August 28, 2024

Page 96 of 110

Moderator : Thank you so much. This question is for Chandan sir. For the US and Europe market, what kind of new products are we going

to target in the medium

term and possibly highlight the market share in the competitive landscape?

Chaitanya Desai: So currently in the US, mostly the conventional conductors are used, but because of their environment difference, there are some cold areas with ice and all that. So, they are a little different version of the ACSR conductors. Similar is the case of Europe, where mostly conventional conductors are used. But in future, we see a lot of work happening on reconductoring in the US. So, a lot of active presentations are being given to the authorities there. And in times to come, even the HTLS varieties of conductors will be used.

Kushal Desai: Just to add to what Chaitanya has mentioned, contrary to what we would think intuitively, to build a new conductor line in India, it takes about three years to get the permissions for putting up the line. When you move to the United States, it takes closer to 10 years. So, in fact, there is a huge backlog of approvals that are required for transmission lines to be set up. And there are two major drivers to it. One is you've got a lot of solar farms, wind farms etc. in the pipeline or which have got commission that are not able to actually evacuate power.

Secondly, the United States is by far the leader in terms of putting up data centers and hyperscaler data centers. And the consumption of electricity there is going to triple or quadruple as these data centers come up. They're concentrated right now in just five states. 90% of data centers in the US are just in five states. And even in those five states, there will be a big increase in transmission lines and power required. Even if you move as Rishabh says, from air-cooled solutions to liquid-cooled solutions. So, I think over

APAR Industries Limited

Investor Day – August 28, 2024

Page 97 of 110

the next five, seven years, there is a massive opportunity for reconductoring.

And in fact, if you see Manish Agarwal put up, made a reference to India's 500-gigawatt renewable energy plan. It's a central plan. It's something that Prime Minister Modi has been really pushing for. So that plan actually outlines where these 500 gigawatts of generation is going to come from and it has also 500 gigawatts of transmission that will evacuate the power from these sources.

What it is missing completely is reconductoring opportunities. It covers only new lines that are coming in. Now in reality, that's not going to happen. Right away is so difficult.

And increasingly in India, as I was speaking to some of you in the breaks, every person in India has discovered the value of their land. Just to give you an idea, when we bought land in Khatalwad, same place, it's a relatively rural area in, you know, compared to the urban centers. In a span

of 14 years, you're paying 10 times the value of the land.

And this is the case across the country, whether it's in Mumbai or whether it's in some small town, even the guys in Kutch have realized that their land is very valuable if 30 gigawatts need to be put in here. So, as you saw in Manisha's chart, and just by the way, this presentation will come up on our website today. So, you will have access to it right away.

There is going to be an explosion of reconductoring opportunities around the world, because this problem which is there in India is there everywhere. And with the United States having this decade long policy, because you know, it's, if you think India is uncoordinated between center and states, you've got to look at the US. It is a mess.

APAR Industries Limited

Investor Day – August 28, 2024

Page 98 of 110

So as a consequence, the best solution is to reductor because you don't need a right of way. The only stakeholders really are the utility company, and the supplier that's going to do the reductoring for you. So that's why, you know, you may have any plan, but if you really want to do somet

hing, there is going to be a lot of this happening.

So, the reason I bring this up is that it's a new dimension. It's not covered under the possibilities which are there when you saw that 50,000 circuit kilometers, etc. It's talking about new lines, but the whole reductoring will happen and the logic for it, which we have been also lobbying with the CEA and the ministry through various bodies is that if you're going to see a 4x increase in electric consumption, you actually need to optimize the amount of power that can be carried on each and every line that exists. And if you reducted it in 10 years, 12 years, again, it's going to get saturated. So anyway, you're going to require parallel lines to take place. But until you get those ROWs and put parallel lines in place, you need to max out all the existing lines.

So, it's a long answer to your question that in the US right now, as Chaitanya says, they're using very base products. India is far ahead in terms of the technology that we use on transmission, but they are also going to have to transition to it.

Moderator : Thank you, Kushal Bhai . We have the next question. This is for Mr. Shashi Amin. How much capex is required for the total of the targeted INR10,000 crores of revenue in the cable division over the next four years or five years? And who are the key global and local competition in the US and Europe? And in which verticals are we targeting in the market sharing phase? Yes, thanks.

APAR Industries Limited

Investor Day – August 28, 2024

Page 99 of 110

Shashi Amin: We are looking at a capex of about INR600 to INR700 crores to scale up our number from INR4,000 or INR5,000 crores to INR10,000 crores. And regarding the competition in the US, it's the global players, Prysmian, Nexans, Southwire, then you have Aconite, who's a competition for us when we talk about covered conductors, Hendrix. These are the few I can think of.

As far as Europe is concerned, it's again Prysmian, Nexans and Turkey, also a lot of players who are supplying cables to that. Then you have LAP, then you have Leone. Smaller players are also there in European countries. And as far as our target is concerned, it's mainly, our focus would be on renewable, solar and wind. Currently, as we said, we are market leaders in India. We are supplying solar wind cables to the US. There are a few manufacturers of wind in Europe. We are focusing on that in the next few months. And Europe is mainly rooftop solar, so not much of solar farms. But in the US, Australia, it's more of solar farms ranging from 250 megawatt to 1 gigawatt. So, the focus is mainly on renewables for us.

Moderator : Thank you, sir. This question is from Sean from Aberdeen, for Ramesh, sir.

Moderator : Any growth and profitability targets that you can share?

Ramesh Iyer: Yes, so we have been guiding growth for all the three divisions. We feel that cable division will be the fastest growing sector for us, growing about 25% per annum due to the addressable market being high as compared to other divisions. Given the scale of transmission and expansion happenings, we feel that the conductor division can also grow by about 10% to 15% year on year.

APAR Industries Limited

Investor Day – August 28, 2024

Page 100 of 110

And given the scale increase that's happening across transformer oil, we feel that the oil division would be growing about 5% to 8%, of which the transformer oil is likely to reach to double digit growth. And these kinds of numbers, we are looking for a medium to long term perspective.

Kushal Desai: When we did the growths, our transformer oil business, if you take the domestic and the export, they're almost equal in terms of their growth.

We've grown, last five quarters, we've grown at about 18%. And it's going to be linear with, as Chaitanya mentioned, that the current expansion is much more substation intensive.

And

the most expensive component in that substation is the transformer.

So, as you start moving into higher voltage categories, you have transformer rectifier combination. So again, the amount of oil that gets used is higher in terms of volume. Also, the insulation requirements and characteristics become very high. Because what you need to insulate 33,000 volts versus 765,000 volts is a little bit different. So, the specifications are different.

The criteria are also different. And to tell you very interestingly, in most markets around the world that we sell, other than India, the competition is between three to four players. In many markets, it's just two.

It's only in India where people manage to use various connections and means to get themselves approved and supply. So, when the total cost of ownership comes in, which is the prevalent standard in most of these countries, they're very conservative in terms of who will buy. The other thing that we have, just a little snippet in here, you saw from Manish's presentation that there's a huge addition of HVDC cables, transmission systems coming up.

APAR Industries Limited

Investor Day – August 28, 2024

Page 101 of 110

So, APAR today has over 85% market share in transformer oil that goes into HVDC. And we have been condition monitoring from the initial transformers that we have filled in of HVDC. So, the first transformer that was filled in is in 2001.

And we do condition monitoring that every six months, that oil has deteriorated almost nothing from 2001 to 2024. And it has been certified for 20 years of additional usage. So, we really produce a very high-quality product.

The hydrocarbon composition and the formulation are quite strong. So, I think the growth will come in the oil sector will come largely driven by transformer oil. Also, what Sundar covered was the increase in volume. There is also a massive premiumization that's going on in the lubricant industry. Because drain intervals, and he did mention about some products, the drain intervals on a truck, for example, in the last 15 years has gone from about 5,000 to 7,000 kilometers to closer to 100,000 kilometers. So even though the vehicle park is going up, number of pieces of vehicles, two things are happening.

One is that the distance has been increasing. The distances that trucks with GST coming in, there is a lot more mileage that's going on compared to before. And secondly, the drain intervals have substantially increased. So, in spite of having a 15-fold increase in drain interval, you're still having a growth in the overall sale of lubricants. So, the value story is another story compared to the volume story.

Moderator : Thank you. We have this question from Gautam from Nepean Capital.
APAR Industries Limited
Investor Day – August 28, 2024

Page 102 of 110

Moderator : This is for Chaitanya bhai. The conductor margins have been very strong. Any expectation of normalization and could it hold the FY23 levels? And another follow up question is, are there any plans to start or acquiring new businesses?

Ramesh Iyer : So, on the conductor margin, we have been saying that because of premiumization, clearly the margins has gone up almost three to four X as what it used to be in three to four years earlier. While we premiumize our portfolio, we have been having the margins about 38,000 to 48,000 per ton. We don't expect it suddenly to come down in a quarter or two. But what we expect is that as competition catches up and with all the favorable benefits, if everything goes out of the benefit from APAR, even then we'll be able to maintain about somewhere about 28,000 per metric ton is what we have been saying. At the same time, we feel that the opportunities are high, especially on premiumized premium products and reconductoring business. So, we may expect that our margins to be on a higher side.

But on a conservative note

, if you want to make a financial plan for three years, five years, that's where we have been guiding a margin of about 28,000 per metric ton.

Moderator : We have a question for Manish, is he available or can I ask this question? Sure. What is the current AL-59 revenue contribution and how much growth or revenue contribution can we expect from AL-59 in the coming years?

Ramesh Iyer: AL-59 has been about 15% of the total conductor volume and in the domestic market we have completely substituted the ACSR products with the AL-59 which is a much more premium product than the ACSR one.

APAR Industries Limited

Investor Day – August 28, 2024

Page 103 of 110

Chaitanya Desai : This year we may go more like 33% by volume ...

Kushal Desai : So, you know in that chart as you saw, what's happening is that this was a first step where the market is changing and I'll spend a minute to just explain to you how this is happening. So, until a couple years ago, the CEA had mandated, Chaitanya had put up a little table there which gives how a tender looks like. So, they mandate in there everything, the type of conductor, size of conductor, all that sort of stuff.

So, it used to have just one column. Then they added a second one which was triple AC, that's an all -aluminium conductor. Now they've added AL-59. They're hopefully moving towards actually then opening that subject up completely and this is what we've been working with in terms of the CEA and the ministry saying that India has to look at the total cost of ownership. Once you look at the total cost of ownership, low loss and high efficiency conductors and all these other premium conductors, there's a completely dramatic difference in terms of the paybacks when you use these high efficiency conductors over ACSR and AL-59 are also in the 5 - year, 7 -year, 8 -year range when the life of that conductor is 35 years.

So, the whole equation will further change, you know, as they bring about that regulation. So, to answer that question, as what Ramesh is talking about, over a period of time we would expect the conductor margins to normalise to 28,000 a tonne, you know, if some of these tailwinds and these things are removed. But when you start having these sorts of legislation changing or the options that you can use changing and start bringing in these other paradigms, you know, total cost of ownership, etc, etc, reconductoring, the whole margin profile can again undergo a reboot.

So, if you just stick to this and continue to innovate in this particular space,

APAR Industries Limited

Investor Day – August 28, 2024

the opportunities will keep on increasing as the environment changes and as the legislation starts changing.

Moderator : The next question for Rishabh Desai, how much of transformer oil demand comes from new transformers and how much is that in the aftermarket at the industry level?

Rishabh Desai: So, I think the split is 85 -15 and most of the demand comes from new transformers. I think over the world the grid is expanding, there's new power stations coming up, new cities being built, Egypt is shifting its capital, Indonesia is trying to shift its capital, there's a lot of development going on. So, there are a few top -up jobs in which we supply to drums, to the utilities, but that's much smaller volumes.

As I said, the oil is supposed to last for about anywhere between 20 to 40 years, depending on the quality. So, there is some conversion over time of the oil to sludge, but of course the quality ensures that conversion is minimum and just a small top -up job has to be done. Yes, 5% odd top -up per year.

Moderator : So how is the freight impacting your export business and do you think some of this will lead to low margins in the near term?

Kushal Desai: So, freight has been a complete yo -yo. So, we had very low freight during the COVID period, freight had fallen to almos

t unworkable levels. Then you had this one ship coming in and blocking the sewers and then freight went completely ballistic for the next 18 months.

And then as things normalised, interestingly, freight came down to most destinations below what it was in 2019, until the US decided to increase tariffs on Chinese products, which will kick in on the 1st of September. So, APAR Industries Limited

Investor Day – August 28, 2024

there is a whole set of products, which includes all aluminium -based products, where there is approximately a 25% increase in custom duty coming in. So, from whatever estimates we have, the Chinese manufacturers along the solar supply chain were holding between one and two years of inventory in terms of panels, junction boxes, and all these things.

And with this tariff coming on all aluminium -based products, including batteries and certain other EV components, there has been this huge push that has taken place, to the US, which is what has disrupted freights. In fact, containers have just not been available. Typically, we saw that , after the situation started normalising, it took about a year for the previous cycle to normalise.

It could take anywhere between six months to a year for this cycle to again normalise. Because what happens, containers start getting stranded in certain places, they need to come back, into where the supply chain is.

Some geographies will come back much faster, like Southeast Asia, Middle East, etc. But when you start shipping across, to the US and Europe and Latin America, it may take a little bit longer. It's just anybody's guess how quickly that freight situation will improve. But my sense is that you will start seeing improvement by the end of the year and by middle of next year, it will probably get normalised.

Often containers start getting produced more when you have a spike in freight, which is exactly what happened, because of which the freight rates fell up below the 2019 levels as such. So, if at all there is a problem, it's not going to really be a long-term structural issue. It's a, a much shorter - term problem.

APAR Industries Limited

Investor Day – August 28, 2024

As far as our overall demand is concerned, I think we have an advantage

here in India that the home market is very strong. So, if, there are some delays or there are some EPC players who may push out deliveries because they have to pay for the freight and so as a consequence, what would have gone in the next quarter may go after another quarter or two quarters. So, in the meantime, you've got a strong domestic demand where you can repurpose, some of your equipment and sales.

So, there will be some impact, but I don't think it's going to be enough to derail the train. Usually once it starts normalising, you start seeing a big surge and a catch up that happens in the markets which are difficult to service because of freight. I hope that answers the question.

Moderator : So, for the conductor division, how do we describe the moat in our business, the barriers to entry, given that new players are entering like KEC possibly? And I'm not sure, but if KEC is also getting operational in the conductor division, what is the moat in our business?

Chaitanya Desai: One is, of course, as I mentioned the technology of the new products. So, these have been developed over a long period of time and it does need a fair amount of metallurgy. So, we need to be backward integrated in terms of making our own alloys. In terms of the competition, some name you mentioned, so they are basically a cable manufacturer who have the equipment to make conductors. And we believe that it would be easy for them to make conventional type product, but for any new party to get into the more value-added products, it will take a fair amount of time and effort.

Kushal Desai: I think there is a fundamental difference.

If you take, you specifically mentioned KEC and they are a great company and a very good customer of ours as of date. But they are an EPC company that wants to make
APAR Industries Limited
Investor Day – August 28, 2024

Page 107 of 110

conductors reduce cost. We are a conductor company that wants to make conductors to be a very important part of this whole energy transition which means that and as you may have seen through the presentation, we have been working very closely with customers to understand what are their pain points, what are their problems and then develop products and services to be able to deliver that.

So, if you see the whole high efficiency conductors, the whole HTLS, the whole hybrid products that Girish spoke about extensively, the ester-based transformer oils that have come up, because you are going to have offshore solar. In India, there is already a lot of solar that is coming up on the water. So, they are using lakes, they have started using the rivers to build solar. So, we are actually very focused on delivering solutions to our customers. And for that you need to have a certain technology understanding and experience too. There is a lot of money that has gone into the R&D facilities in place. If you, I mean, some of you may have visited the plants. There is a lot of work going on in Rakoli, so we took people to the other plant, which is Athola.

But if you see, there is a huge amount of work that has gone in over the last 10-15 years, and it's not something that one can catch up. Secondly, the culture that we build in the company is one which is focused on innovation and solutioning. And yes, you can buy equipment and put it in the plant, but buying culture is a bit more difficult.

So, I think, yes, there will be competition. People will see numbers. In India, if you do anything good, five other guys want to jump into it. But hopefully, we've gotten on to momentum where we are able to, you know, remain at least a step ahead of the competition.

APAR Industries Limited
Investor Day – August 28, 2024

Page 108 of 110

Moderator : We'll take up last two questions in the interest of time. So, this is for the telecom division. On the target of INR10,000 crores of total revenue, are we considering the telecom division as a part of that or separate?

Ramesh Iyer: So that telecom will be separate. Currently, telecom is a very small

proportion, but overall, INR10,000 crores, we are looking at excluding telecom.

Moderator : Capex guidance for the next two to three years?

Ramesh Iyer: Capex we are likely to spend about INR300 crores to INR350 crores year - on-year, and that may see over the next few years. As we need to build turnover, as I said, turnover ratio is about 10 to 12 times. We'll need about INR300 to INR350 crores capex over the next two years, next few years. And largely around the capex will be spent about in the cable division as well as in the conductor division. As oil division, we have still spare capacity, but a lot of capex is likely to be spent on these two divisions.

Kushal Desai: Just in terms of our last comment, just a closing comment that we've titled this as energy, enabling the energy transition. The only thing I wanted to leave you with a thought here is that two things. One is that energy is the biggest business in the world. There is no business that comes anywhere close to energy in terms of the physical volume and the dollars that are involved, because it covers everything from oil, gas, coal right down to renewables, nuclear, all that.

Secondly, when you're looking at 20% going to 40% and the kind of growth of 4X that is going to happen, it's not going to be an energy transition, it's an energy revolution that's happening. And we don't feel it

APAR Industries Limited

Investor Day – August 28, 2024

Page 109 of 110

so much because you can't touch and feel electricity i

t just comes here and

it lights up the bulb, you don't realize how it has come there.

But for people who are in this industry, believe me for the next 20 years, 25 years, the kind of opportunities that is going to throw up for people who are along the entire supply chain, globally is just unprecedented. I've never seen, I've been around now for 35 years, never seen anything like this. It's really a tsunami of change coming in. And this revolution will be as big if not bigger than the whole steam engine.

You don't realize the amount of transition that's happening. And in many cases, because it's so huge, you will have bottlenecks and you will have problems, but I can tell you that for someone in the industry and who's been playing across many verticals in here, the end destination point, which is a 4x growth is pretty much written in stone. What will vary is the timeframe in which you will hit that. And different countries will be able to hit it at a different pace.

What we are seeing really is that the G20 countries are the ones where most of that work is happening. Because they have access to capital, they also have a much better regulation in place. So, in case a producer puts in assets, there is a dispute or there is a problem, there is a proper mechanism for being able to address it and source it. So, there will be growth happening. Most of this growth will come from the G20 countries. You won't have someone queuing up and running to put a one-gigawatt power plant in Zimbabwe, for example.

Whereas it's much easier to put it in India or in Australia or in the United States. So, the growth will be a little bit uneven geographically. The time could be elastic a little bit, but that destination is going to happen. And

APAR Industries Limited

Investor Day – August 28, 2024

Page 110 of 110

finally, those numbers will have to pan out because there is no other choice. So, if you if you are patient with this space and you're looking at it carefully and seeing which players are actually innovating and doing the right things in here, then I'm sure that their stories will play out over a period of time.

I thought I'd just leave you with that last comment. And I guess lunch is pretty much ready. Apologies again that we've gone a good. We started half an hour late because of the rains, just to accommodate more people to be able to come in, but we are around here during lunch. Happy to

answer any further questions. Thank you.

Call: Nov 2024

SEC/ 0611/202 4 By E-filing November 06, 2024

National Stock Exchange of India Limited
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department
BSE Limited
Corporate Relations Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship
Department

Sub. : Submission of Transcript of Earnings Conference Call made on Un-audited
Financial Results (Standalone & Consolidated) of APAR Industries Limited
(the Company) for Q 2FY25.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable
Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"),
as amended from time to time

Dear Sir / Madam,

Kindly refer to our letter no. SEC/ 3010 /2024 dated October 30, 2024 w.r.t. submission of link of
Audio Recording of post Earnings Conference Call made on Un-audited Financial Results
(Standalone & Consolidated) of the Company for Q 2FY25.

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting
herewith transcript of the Earnings Conference Call made on the Un-audited Financial Results
(Standalone & Consolidated) of the Company for Q 2 and Six Months period ended September 30,
2024 on October 30, 2024 .

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.
Thanking you,

Yours faithfully,

For APAR Industries Limited

(Harish Malsatter)
Deputy Manager – Secretarial

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India

+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India

+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

Page 1 of 33

"APAR Industries Limited

Q2 FY25 Earnings Conference Call"

October 30, 2024

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR – APAR INDUSTRIES LIMITED

M R. CHAITANYA DESAI – MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED

M R. RAMESH IYER – CHIEF FINANCIAL OFFICER –
APAR INDUSTRIES LIMITED

MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

Page 2 of 33

Moderator: Ladies and gentlemen, good day, and welcome to APAR Industries Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies. Thank you, and over to you, sir.

Ambesh Tiwari Thank you. Good afternoon, everyone. This is Ambesh from S-Ancial Technologies. I welcome you all to the Q2 FY '25 earnings call for APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer.

I would now pass on the mic to Mr. Kushal Desai for the opening remarks. Thank you, and over to you, sir.

Kushal Desai: Thank you, Ambesh. Good afternoon, everyone, and a warm welcome to the APAR Industries Q2 and H1 FY '25 earnings call. I'd like to begin by actually wishing everybody a Happy Diwali. I'd like to start by actually giving a brief overview on our performance. Then I can follow that up with a short industry update and then dive into more details based on each of the major 3 business segments that we have. Post that, we can open up the floor to questions.

So looking at our Q2 FY '25 consolidated revenue that came in at INR4,645 crores, which is up 18.4% year-on-year compared to the same APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

quarter previous year. And this has really resulted from a very strong growth on the domestic business front, which grew 61.1% compared to the same period last year. There has been a bit of a transition with the increased business coming from the domestic market versus export. Export has contributed 29.8% to the overall revenue versus 48.4% in Q2 FY '24. Now this can be attributed to lower revenues from the U.S. market in the quarter as well as various other factors which affected export logistics, etcetera, including the closure of the Red Sea shipping channel to a very large extent, a substantial increase in freight and also an increase in the delivery time given that with the Red Sea channel closed, shipments all going to Europe, West Africa and the United States, all have to go through around the Cape as opposed to through the Suez Canal.

However, domestic business has remained quite strong with an increased order inflow across all our business verticals in this quarter. U.S. business compared to last year was down 38.9%. However, we see a sequential growth in the U.S. business. So when you look at Q2 FY '25 versus Q1 FY '25, our order intake has increased in the U.S. by 17.5%. And we believe that this trend will continue. And after a couple of quarters, you will start seeing the U.S. business again forming a meaningful portion of the total pie.

On the EBITDA front, EBITDA is up 7.8% year-on-year to INR402 crores. The margin has come in at 8.7%. Profit after tax is INR194 crores, which is higher by 11.5% versus the previous year. And this has partly been aided by better finance costs. The profit after tax margin is at 4.2%.

Now looking at figures for the first 6 months compared to the previous year same period. The first half consolidated revenue is at INR8,655

APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

crores, which is actually an all-time high H1 revenue. It's up 12.6% year-on-year. Domestic revenue in the first 6 months is higher by 53.4% compared to last year, and exports constituted 33.2% versus 50.9% a year ago. EBITDA po

st Forex is at INR796 crores, which is up 7.2% and PAT came in at INR396 crores, which is up 6.8% for the first half.

Coming to some of the key sort of highlights in the industry, the Ministry of Power has finalized the national electricity plan this month for both central and state transmission systems, and we have projected a massive investment of INR9.15 lakh crores. This plan aims to meet the growing energy demand, targeting a peak demand of 458 gigawatts -- basically 500 gigawatts by 2032. To support this, the transmission network capacity will be expanded from 4.85 lakh circuit kilometers to 6.48 lakh circuit kilometers. And the transformation capacity will increase from 1.25 gigavolt-amperes to about 2.34 gigavolt-amperes. Coming to just specifically transmission lines and substations, during H1 FY '25, a total of 3,308 circuit kilometers of transformation lines were added. Overall, transmission line additions have fallen considerably short of the target, which is 8,516 kilometers. So it's actually lower by almost 60%. Central transmission utilities added 457 circuit kilometers of lines while state utilities made the highest contribution of 2,441 circuit kilometers, though it has fallen short of the plan of 6,221 circuit kilometers.

However, there are several projects in the bidding and awarding stage for which the process will be completed in the next few months. If you look at the entire FY '25, the planned addition of transmission lines is expected to be at 16,667 circuit kilometers. However, just 3,308 circuit kilometers has been added in H1.

APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

And as a consequence, the achievement of the annual target is just at about

20%. Our expectation is that in the second half of the year, you will see a significant pickup in execution taking place. On the substation front, as against the plan addition of 42,230 megawatts of substation capacity, in the April-August period, the actual addition has been only 18,270 megawatts. So that implies a target achievement of 43% of what the annual number is.

On the renewable energy front, India has reached a significant milestone in its renewable energy journey. The country's total renewable energy capacity has crossed 200 gigawatts as of October this year. According to the CEA, the total renewable energy-based electricity generation capacity now stands at 201.5 gigawatts. The total nonfossil fuel-based power now accounts for almost half of the country's installed electric generation capacity, signaling a strong move towards clean energy leadership on the global stage.

Coming to the individual performances of our businesses, I'll start with the conductor business, which is our largest business vertical. So in Q2 FY '25, our revenues grew 18.3% year-on-year largely due to higher realizations. Volume has been relatively flat compared to the previous year. And this can be attributed to lower export volumes and as well as upscaling as we move from ACSR to AL-59. And so we've moved up in terms of value. Some of these conductors are a little bit lighter in weight -- given that they are alloy conductors and they don't have even a steel element in them. Exports contributed about 18.7% to the overall revenue as opposed to 48.3% for the conductor division. The export mix was affected to some extent, even by Chinese competition and slow offtake as there have been delays of materials, especially in some of the overseas projects, given that

APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 6 of 33

customers were moved to procuring products on an FOB basis. So with the increase in the freight and the -- and decrease in the availability of containers, this has had some impact. Given the strong domestic business, we've been able to divert capacities towards the domestic side and still maintain a relatively good set of numbers. Our prem

ium product mix

contribution continues at 42.2% in the second quarter. EBITDA post Forex period came in at INR37,702 per metric ton as opposed to 39,000 per metric ton in the same period last year. Our pending order book remains healthy at INR6,615 crores. The new order inflow in the quarter came in at INR2,234 crores.

Looking at a 6 months working, the revenue growth has been 13.9%.

Volume is up 3.1% versus last year. Volume growth is lower again -- as I mentioned earlier, because of the export volumes that have reduced and the export mix for the first half for conductors is at 23.6% versus 50.2%. Our premium product mix stood at about 40%.

In our oil business vertical, the revenue from our operations grew 12.1% in Q2 FY '25. That's driven by an 11% growth in volume. Transformer oil volumes grew by 25% in the quarter. Both domestic and global sales of transformer oil, both contributing towards this increase almost equally. Our automotive oils posted a fairly strong volume growth of 21%, backed by growth in our OEM business. The retail business has remained relatively flat. In terms of our industrial lubricant side, we grew by about 8% year-on-year. The export mix remains healthy for the oil business at 44.7% versus 47.4% in the previous period. EBITDA post Forex grew by 34.1%, converting this into an EBITDA per KL, it stands at INR5,473 per KL compared to INR4,532 in the last year.

APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 7 of 33

Looking at the first half, the revenues are up 9.1% in the oil division to reach INR2,605 crores. The volume increase is 8.5%. Transformer oil volumes has grown by 21%. The export volumes contributed to 44.9% of

revenue. EBITDA has grown by 27.1% over last year and now stands at INR6,178 per KL versus INR5,275 per KL.

Coming to our cable business, the revenues in Q2 FY '25 has grown by 39% to reach INR1,227 crores on the back of fairly strong domestic demand. Our domestic revenues are up 77.8%. And due to this stronger domestic revenue, it has offset the impact of lower exports, again, especially the exports to both the U.S. and the European markets. So export mix for our cable division was 29% in Q2 FY '25 as against 45% in Q2 FY '24. EBITDA post Forex grew in the quarter to -- grew by 21.2% to reach INR119 crores. EBITDA percentage margin came in at 9.7% in the quarter. Partly, this was due to increased competition and a higher mix of domestic business versus exports, where traditionally the exports have been more profitable. The pending order book remains at approximately INR1,738 crores.

Looking at the first half, revenue is up 22.7%, and the domestic business in the first half is up 67.4%. Export mix stands at 30.9% as against 49.4% for a year ago.

The global supply chain continues to throw challenges with higher freight rates and a shortage of containers in several freight lanes. There is substantially increased competition from China. Except for the United States, we pretty much see Chinese competition being -- having become stronger than what they were in the year ago period.

APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 8 of 33

Having said that, the export outlook continues to remain positive. And we see a steady increase in inquiries coming to us. As I mentioned earlier, there is also a sequential growth that we have seen between Q1 and Q2 of shipments to the U.S. On a global scale, the energy transition, especially in the renewable space, there remains a strong prospect and we are well positioned to take advantage as that unfolds.

I would also like to mention that we have a very detailed corporate presentation in our Investors section of the website. And that includes the full presentation made on our Investor Day. It is very comprehensive, and I would encourage you to please go through that to get a better perspective of the company. It's various activities

as well as the strategy that we are following as you would like to participate in this massive energy transition that's happening.

So with this, I'd like to come to the end of my comments. I would once again like to take this opportunity to wish you all a happy Diwali. And we can now move on to the Q&A session, please.

Moderator: First question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar My first question is, sir, how difficult it is to manufacture the HVDC cables?

And is there a plant to produce the same in our factories?

Kushal Desai: So, Mohit, the HVDC cables are not very much more complex manufacturers compared to the regular 755 KV -- sorry, I meant is, conductors -- so there's not a major difference in the format of the conductors which are there for HVDC. And we have already supplied conductors previously in this HVDC space. Where the big transition takes place is in the transformer oil side, where moment you move from AC to DC, there is a significantly higher amount of pressure on the oxidation

APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 9 of 33

stability and the insulating characteristics of the oil. And that's where I think APAR really stands out compared to competition not only in India, but even at a global space.

Mohit Kumar My question is primarily from the fact that India is looking to set up so many HVDC lines, right? It looks like there will be a huge opportunity. So can we participate in that opportunity? That's fair...

Kushal Desai: Yes, absolutely, for both conductors as well as for transformer oil.

Mohit Kumar Understood, sir. My second question on the volume growth in conductor business that has been, I think, on the lower side. Is it fair to say that -- is it fair to say that we are still maintaining the guidance of 8% to 10% growth in the medium term?

Ramesh Iyer: Yes. So what has happened in the first half of the year, Mohit is that, one is that export volume has come down. So to that extent the volume growth has been less. And secondly, also what is happening is that even in the domestic business, there is a shift to a much more superior and premium products as compared to last year. And these products have a lower metric ton to kilometer ratio.

So that's the reason we are seeing lower volume growth. However, we expect that volume growth to pick up in the second half of the year as we see inquiries from the U.S. exports market is increasing. But I guess, for the full year, we may be short of the 10 percentage guidance that we have given earlier because the first half has been lower. However, we plan to make it up for it in the second half of the year.

Kushal Desai: This transition which we've been explaining about of shifting from ACSR to AL-59. So that -- we still classify AL-59 under conventional conductors, APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 10 of 33

but it's right at the upper end. So ACSR is at the lower end of the spectrum and AL-59 is at the upper end of that spectrum. The tonnage as Ramesh has said, is different when you move -- when you transition from one to the other. So you will see that the value has increased considerably more than the tonnage as this transition is taking place.

Mohit Kumar Understood. My last question on the reconductoring opportunity. What has happened in the first half? Can you just throw some light on how do you see the entire year in terms of the reconductoring opportunity? Of course, we read all kinds of literatures. In fact, the CEA transmission plan talks about the reconductoring. So that's the background, yes.

Chaitanya Desai: So in this first half, we had a slight slowdown with the elections. So a lot of tendering and all got postponed out. But now in the second half, we see this activity build up again. But, again, in terms of the deliveries and the execution on the ground, those things g

enerally in the first half are lower

compared to the second half considering the monsoon comes in the first half of the year. So this is a trend which we see every year actually. So these 2 factors, I just sort of talk to you about -- mentioned to you.

Mohit Kumar Sir, my question is primarily on the tendering opportunity. Are you seeing a lot of tenders which are floating around for reconductoring?

Kushal Desai: Yes. There's a lot of that in the pipeline, as I mentioned in my opening remarks also, there is quite a lot which is sitting in tenders that have been prepared. In some cases the tenders have been opened but not awarded. So through that entire cycle, there is quite a lot of activity.

And companies like APAR are also proactively working with the CEA and the ministry, etcetera, to look at setting up a national reconductoring policy because the key thing that comes with reconductoring versus setting up APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 11 of 33

new lines is, the right-of-way is very simple because in a reconductoring, the right-of-way already exists. And it's just the decisions to be taken by the utility as opposed to going out and getting an external clearance.

Second thing is you can still use the same tower infrastructure, in same cases the tower infrastructure is a bit old. You spend a fraction of the money to strengthen it relative to building a new tower.

And the third thing is a gestation period of a reconductoring project is significantly shorter than on a greenfield. So in a resource-constrained country like India, we have a constraint on land resource. We also have a constraint on the amount of CapEx that can be spent because ultimately, the cost of your capital gets captured for what we will charge in terms of

leasing charges at the end of the day.

And no matter how competitive you build, a greenfield project will always be more expensive compared to a brownfield, which is a reconductoring project. So I think this whole reconductoring thing over the next several years, not only in India, but around the world, is going to be a very major factor.

Moderator: Next question is from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: Just first thing on this commentary, which you also stated last quarter about international Chinese competition -- Chinese competition coming in the international markets barring U.S. How you are assessing -- I'm assuming you're talking about more of Australia and other countries, which is bigger for you after U.S., you can correct me on that.

But generally then in that scenario, is it something we are also getting aggressive in terms of lowering the prices? Is that what you're trying to

APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

Page 12 of 33

do? Or is this something where you feel a little push to be realization part as well? So just first take -- first question is on that, if you can talk about.

Kushal Desai: So Nitin, as a company for the last many, many years, we have positioned ourselves that what is the best netback that we get on execution. And what has been happening is that the 2 markets where the Chinese are not able to participate so easily is the United States and India.

And if you go around Europe, Australia, certain parts of Africa and many countries in Latin America, they have equal access, if not better access than an Indian company, given more favorable FTAs in some cases. And the Chinese have been very aggressive. In many cases, it looks like the pricing is even below cost.

I guess it's not just in our product lines, but it's there across the board. But having said that, I think the business -- the domestic side of the business remains very strong. And especially with some of the fundamental changes that have happened or moving from the ACSR to AL-59, reconductoring projects coming up, et cetera.

So these are things which re

ally go in favor of quality companies that actually are involved in basically this improvement of the whole augmentation and the whole system as such. I don't think we will drop prices to just meet Chinese competition just for the sake of volume because we have better options available.

As far as the U.S. market is concerned, as I said, we've seen a 17.5% improvement sequentially. We are seeing a stronger uptick on the cable side than the conductor side. On the cable side, I think we will see every quarter an improvement taking place in the order book and the order flow.

APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

Page 13 of 33

On the transmission side in the U.S., one thing to keep in mind is that it takes over 10 years to get approval. There are a lot of -- there are many, many gigawatts of power, which are actually just waiting for transmission evacuation. So it's a question of moment the approval comes in, then suddenly you will see this whole supply thing coming up. And given that it's been delayed to a significant extent, it's quite logical to expect a big surge to happen moment approvals for a particular line come through. So I think we are very active. We are very much in touch with customers, keeping a track of what's happening in the U.S. market. But otherwise, in the meantime, for the next few quarters, we see the domestic market being very strong.

Nitin Arora And what's your take on the realization, sir, because still it's holding up well. And I'm assuming the end market is firing, for example, domestic. I had a separate question, but exports is also something which is, as you said, U.S. has also grown sequentially. So any risk, any thought process now...

Kushal Desai: The improvement in realization is fundamentally coming from the change in the format of the product on the conductor side. On the cable front, the domestic market is certainly not getting us the profitability that we get from some of the more premium markets like the U.S. market. And that's why you see the -- as the domestic sale has substantially gone up, you see the EBITDA percentage having fallen to some extent. But I think we'll try to balance. You'll see higher growth percentages overall coming in India. But our U.S. business also will start growing up.

APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

Page 14 of 33

The company is also adding more infrastructure in the U.S. by working with more distributors, bringing in some full-time sales people in the U.S. market, et cetera.

Nitin Arora And sir, just last, outlook on the domestic, where you said articulating the growth part is pretty strong. And this growth looks optically very high.

When you just strip out some export part on a percentage basis and just we calculate on the domestic side, it's like a very, very high growth. You still think it's going to sustain for the next few quarters, this kind of a growth?

Kushal Desai: I would not focus on just the percentage of growth because the base for the domestic market was lower. But you will see our -- especially our -- both our conductor and cable business, domestic percentages remaining at reasonably good level simply, because, as I said, when you move from ACSR to AL-59, there's quite a technology leap that one has to take, and that has reduced the number of fringe players.

On the cable side, we've been following a fairly strong verticalization strategy. So we are quite strong on the solar. We are strong on the wind. We've also been working on data centers and have a full suite of cables that go into data centers. So I would see that the domestic market will also remain fairly strong. There may be a reasonably high polarization where most of our revenue comes from India and the U.S. And some of the markets like Australia and Europe, which will continue to be serviced, but the level of business there may be relatively a bit lower.

Moderator: Next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: Sir, in continuation to exports, you did highlighted a couple of things that, especially U.S., the cables business will grow sequentially. And at places,

APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

Page 15 of 33

you highlighted that the Chinese competition is heating up. So can we expect that this will be prolonged in ex-U.S. geographies, the Chinese competition? And how are we thinking to deal with this Chinese competition? Or are we going to diversify with products? Or any thoughts on geographies? Anything you would like to add?

Kushal Desai: So if you see -- okay, let me answer first your immediate question and then give a slightly broader answer. So in terms of what do you see whether -- what do we see, whether Chinese competition will continue? We are working on a default case that it will continue. It's very difficult to predict what they will do, how long they will do it.

So given the fact that the Chinese competition is going to be severe outside of India and the U.S. If you see the portfolio of products that we've created across all the 3 businesses, we have a more diverse portfolio. You will not find a single conductor company in the world which does the sort of suite of products that we have.

So we've added, for example, copper transposed conductors -- that's been growing at a very rapid pace, over 50% growth year-on-year because transformer demand is increasing as well as above a certain size, CEA has mandated that you have to use a copper transposed conductor. It reduces the losses essentially in a transformer and it improves the consistency of the quality of the winding which is at the core of the transformer.

So we have also added busbar. Busbar is another segment which has been growing. It's used extensively in high-rise buildings. It's being used in data centers, in all of these places where you have an input of power going in and a split of several locations where the power needs to be split and delivered.

APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 16 of 33

So the way we are insulating the company and positioning it is not only looking at geographic growth, but also the product mix that we have. And then within that product mix, pushing to produce the best quality and specification of products that exist. So that's the strategy which we've been following.

And I guess we'll continue to follow that to sort of counter some of the competition coming in from China. By the way, the Chinese competition is not something that just came up in the last quarter. It's -- for the last 3, 4 quarters, it's been quite severe, and we've, managed to continue to perform.

Amit Anwani: Right. Sir, second question on -- then will it be a fair assumption that this year, maybe export domestic will be kind of 30-70. And you can give it a thought. And second, on cables, you said that domestic cables business was pretty strong, but margin came lower because there is a difference -- obvious difference between export and domestic. So just wanted to understand the differential margin, any sense would like to give for cables and conductors, export and domestic side? Yes.

Kushal Desai: So the volume of 70-30, I think the export, especially on the -- see, the oil side has been reasonably steady. The cable side has already bottomed out because going forward, we will see a healthier demand coming in from the export market, especially the U.S.

Ramesh Iyer: As we see sequential growth happening on a quarter-on-quarter basis, so we'll have to see how the second half of the year pans out. Also depends on how much order we get and how much we are able to execute. Based on that, the export to domestic ratio will pan out for the second half of the
APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 17 of 33

year

. But optically, it is looking better as compared to the first half of the year.

Kushal Desai: And in terms of your question on margins, the domestic cable side, mind you, the typical wires and cable company have a building wire or a house wire business which is a branded distribution-oriented business. And then you have a cables business.

So typically, the cables business, given the competition, given the performance levels, et cetera, has been lower than what would be in some of the overseas markets. But having said that, we also have a number of premium products in cables in the domestic market. And you will see some of that volume growing. Like for example, wind capacity has started picking up, and that's where APAR has a fairly strong position.

Also, we see defense execution picking up in -- as we end FY '25 and get into FY '26 given the number of projects that have been announced and the positions that we have relative to some of the equipment that's coming on. So we'll continue to have this focus on the domestic market. But the export business will start at least on the cable side, showing quarter-on-quarter growth.

Amit Anwani: Right. Lastly, sir, you said the domestic has been very, very strong as we can see in H1. Well -- and you also highlighted that at a pan-India level, we are still just 20%, 25% execution which has happened on circuit kilometer substations. So does that sense that the growth in H2 will be even stronger in domestic market versus H1? Or this is the pace where we'll be heading in the Q3, Q4...

APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

Page 18 of 33

Kushal Desai: The percentage would be a similar sort of percentage because the base in FY '24 was lower. But then as you move into FY '26, etcetera, you will have a much higher base, so the percentage will fall off.

Ramesh Iyer: And also, we look at more profitability -- so we'll have to see how the export market pans out in the second half of the year. And wherever the more returns are there, that's where we'll focus our volumes.

Moderator: Next question is from the line of Naman Parmar from Niveshaay Investments.

Naman Parmar: Yes. So firstly, I wanted to understand any new product on the pipeline on the transformer oil or oil division like data center air cooling, like that?

Kushal Desai: So we have developed a bunch of products and tested it in the labs and within our facilities for data center cooling, but we haven't yet been able to get a site to be able to do field trial and field testing. And it's not just the oil, but it's the full system. That means there are many levels which require to be aligned in order to do that. However, on the transformer oil side, we have developed and launched a synthetic transformer oil.

And so that's a very high-performance transformer oil, better biodegradability, a very high flash point without sacrificing the cooling characteristics and the insulation characteristics of the oil as well as the life of the oil. It's significantly more expensive. It's almost 3.5 to 4x the price of a mineral oil. But it will find its way into special needs and special applications.

Naman Parmar: So it will find its application majorly in renewable or in both the transformers?

APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 19 of 33

Kushal Desai: In renewables, the Indian railways are looking at it as they build -- they use traction transformers which requires higher insulation characteristics as well as a higher operating temperature. Plus in renewables, it will find its way into offshore either wind or solar on water, where in case there is a spillage, you need better biodegradability. So we've developed the product. We've got it approved at a few places and have started now commercially bidding on business.

Naman Parmar: Okay. And secondly, on the margin side, you have correctly said that the export ha

s been decreasing over domestic in all the segments, so it has impacted your margin. But also on the raw material side, if you see aluminum, copper and all that prices may have increased in the quarter 2, so which has also impacted your margin. So what do you expect in the coming quarters, it will be sustainably -- you will be able to stabilize the margin? Or how much your contract used to have a price escalation clause?

Ramesh Iyer Aluminum and copper does not affect us much in the cable business because we run a 100% hedge book. We do MTO. So the moment we get an order, we do a back-to-back hedging. So to the extent of aluminum and copper prices going up and down, we have a hedged position. So that does not affect materially our P&L. The margins are down, yes. But as explained, export volumes are down. And exports have higher margins than the domestic margins. So as domestic mix is higher in the first half of the year, so we saw EBITDA margin shrinking a bit.

But as you see export volume again increasing sequentially and hopefully, in the second half of the year, the export volumes will be better than the first half, we can see margins going up again to what it used to be earlier.

APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 20 of 33

Moderator: Next question is from the line of Ankur from Future Investments Private

Limited.

Ankur: My first question is, what is the total global conducting and reconducting market opportunities here annually? And what is APAR's market share in this total opportunity size? And do you see this opportunity size changing when we consider the net zero scenario? That's my question.

Kushal Desai: So on the reconducting side, essentially in the world, every non-HTLS and high-performance conductor is something that is potential to get changed and reconducted. And different countries depending on how aggressive they are with wanting to deal with change and less conservative, ready to take a calculated position in terms of moving forward with technology, and you will see the pace vary.

And honestly, India has been doing extremely well. If you see even right from right-of-way, the Modi government has done an incredible job of coordinating with the states right down to the taluka level for right-of-way and for working through all these things.

That's why our transmission line right-of-ways are in the 3, 4 years maximum versus the U.S., which is 10-plus. Europe is even beyond that.

So we see the reconducting as a philosophy is something that every old conductor will get reconducted because right-of-way is a problem not only in India, but in most parts of the world. And the world is continuing to see increased urbanization. So it's not that there is a huge flight of population out of urban clusters into rural areas.

And with electric cars and electric infrastructure, including trains and other things picking up, appliances, the demand for electricity is going to

APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 21 of 33

continue to grow. So that is what will drive this whole reconducting. If countries like India come up with a national reconducting policy, it will facilitate a significantly faster transition taking place. So I hope that answers your question, Ankur.

Ankur: Yes. I just wanted to understand what we will be the total annual opportunity size will be? And what will be APAR's market share in this?

Kushal Desai: It's difficult to put a number on the total annual opportunity because usually a utility weighs various factors, including the amount of resources they have available to be able to actually spend on this reconducting. We've seen most of the utilities that have actually implemented it, has benefited immensely from the reconducting because you got more power than we can transmit and the incremental cost of revenue versus incremental cost of Capex

is also in their favor.

Ankur: Actually, I was more -- like understand -- I want to understand the total opportunity in terms of conducting and reconducting.

Kushal Desai: I don't think anybody can guess that because the total opportunity, you can add up all the transmission lines that are there in the world, and they end up -- that is the opportunity as well.

Ramesh Iyer: There is no source of information for that. There's no organized source that gives this information in terms of total reconducting, how much it is there.

Ankur: Okay. Got it. My second question was on the -- there were paper which was released by the U.S. Department of Energy on the national transmission planning study, and they recommend actually large-scale transmission lines, both intra- and inter-regional in the U.S. Do you see this reflecting on

APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

Page 22 of 33

round in the conversations with large utilities in U.S. or in other parts of the world as well ?

Chaitanya Desai: It will pan out over a period of time. But as was mentioned, in the U.S. and certain countries like in Europe, it takes a little longer to get all the approvals. So there are certain delays before the projects actually get implemented.

Kushal Desai: So the cycle time there, as I mentioned, is over 10 years in the U.S. In

Europe, it's even longer than that. So there are several lines where the permitting and approval process is going on. The moment the approvals fall in place, you will immediately have the RFQs and quotes coming up and the line execution taking place.

But it's a question of -- it's a long process, 10 years is not a short period. So difficult to predict exactly when that approval will come in place. But our expectation is that over the next few quarters, you'll start seeing an increase happening of this. There's a lot of renewable energy that needs to be transmitted today, it runs in tens of gigawatts. It's not a small amount in the U.S. So there is a lot of pressure that these developers are also putting on getting these clearance.

Ankur: As you said, they're taking 10 years -- It will take 10 years to get approvals for a transmission line. So are they considering these high-performance conductors like the premium conductors that we have?

Chaitanya Desai: In the U.S., there is a certain portion of the market, which is currently on a high-efficiency type conductors, that is there. And those are going actually on new lines. So there is a lot of discussion going on with the authorities there that why not utilize the current lines to do a reconductoring. But generally, in the transmission segment, the engineers are more
APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 23 of 33

conservative. So they take a little longer to adapt to new technologies or new way of working. So in the U.S., a little more time may go in actually converting the market to reconductoring.

In India, we may see a little faster movement like we have been seeing because of the urbanization organization and also because of the renewable energy, which is happening at a very fast pace.

Moderator: Next question is from the line of Bobby Jay from Falcon.

Bobby Jay: First of all, congratulations on your excellent execution over the past 2 years and what was essentially a cyclical company has shown structural kind of growth. But at some point, the cycle will turn. So where do you think India is in terms of its infrastructure upgrade, the power transmission infrastructure upgrade? Are we 20% done, 30%, 50%? Any thoughts on this?

Kushal Desai: So actually, there is -- as we've been talking through the call, there are 2 areas where fundamentally, you see the infrastructure going. There's one where the addition of new infrastructure to evacuate -- we have a 500 gigawatt plan. India is -- has just crossed 200 gigawatts of renewable energy. There

's a lot of renewable energy that's being executed right now, et cetera, all of it needs evacuation.

And there is a whole lot of debottlenecking that is going to happen, leading to urban centers of reconductoring. So we don't see this being cyclical actually. The cycle is going to be a decadal cycle. It's not going to run in quarters and a couple of years. It's a really huge transition that's happening. And this will only continue for a long period of time. And in fact -- in India being actually better than most of the countries. I think after
APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 24 of 33

China, India is the second fastest in approvals and erecting transmission lines in the world.

Bobby Jay: Right. So in terms of conductors, who is your closest competitor?

Chaitanya Desai: In India, it's Sterlite Power.

Bobby Jay: Right. And how close are they? I mean, in terms of your product range, quality and technology, are they very close or they're quite distant?

Chaitanya Desai: I think they are privately owned, so they don't declare their figures, but from our general information, they are roughly half our size of volume.

And they are not having the full range of the products that we make, especially on the copper side.

Bobby Jay: Right. So when you talk about all these projects you're bidding for, right,

reconductoring and all the others, you must be bidding against several others. Are they foreign multinationals? Or what kind of companies are they come up against?

Chaitanya Desai: No. In India, we don't see the multinational companies here. It's mostly the domestic players.

Bobby Jay: Well, in that case, is that a clear field if you're saying that you're far ahead of the second biggest?

Chaitanya Desai: In India, most of the business goes on a L1 basis. So price is an important criteria in the decision-making of the utility. So in that sense, although we have higher economies of scale, not necessarily we get any pricing power over the competition.

Bobby Jay: I understand. And do you see any change...

APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 25 of 33

Kushal Desai: Capability is higher than -- if you look at the amount of projects that we've done in reconductoring as well as supply of AL-59, any of these new formats, we actually have experience and background, which is far higher than others, even including Sterlite. So I think in that sense, we are well positioned.

But as Chaitanya has mentioned, finally, it goes through a bidding process, there's a technical bid. Once you clear the technical, then it's based on whoever is the lowest price. But you keep in mind that you can't have infinite capacity to execute these projects because it requires specialized manpower, it requires specialized equipment. And we do have the largest capacity to not only produce the conductors, but to also execute the reconductoring. So I think in that sense, from a competitive standpoint, we do have a good position.

Bobby Jay: Understood. And do you see any chance of the Chinese coming in? Are they not cost competitive or they're simply not allowed?

Chaitanya Desai: So even in the past when they were allowed, the Chinese are not so competitive in India. There are certain custom duties and import barriers. But even currently, the situation is not allowing for foreign companies to bid for the Indian projects. There is a Make in India program, it's allowing only the Indian players to bid for it.

Kushal Desai: So you can have a Chinese company that produces in India that can bid on that, but there is no significant cable or conductor producer from China who's located here. On the contrary in transformers, you do have TBEA and TBEA actually is running full today on the transformer capacity.

Moderator: Next question is from the line of Sagar Dhawan from Valuequest.

APAR Industries Limited Q2 FY25 Earnings call

O

October 30, 2024

Page 26 of 33

Sagar Dhawan: Just a question on the domestic cable side. I wanted to get more color on the domestic growth that we're seeing in the cables business. So we had high market share in -- I think in wind and solar cables, we're traditionally been strong there. So how to understand this growth? Is it that the market for these products has grown? Or are we gaining more headway into newer products within cables ex of solar and wind?

Kushal Desai: So there are certain verticals which are growing faster than others. So the ones for -- that are growing -- that have shown relatively good growth is solar, solar cables. Wind is actually going to now start showing signs of higher growth from the second half of the year onwards. Given the number of projects that have been awarded and the increased capacity that's coming in from the various wind companies.

The Indian railways has been continuing to grow. And we've been focusing on some segments like data centers and other areas where there is inherent growth taking place given the current data center boom, that's happening -- largely being driven from the fact that Indian data has to be maintained on Indian shores.

So what we've done as APAR is we've taken the sunrise sectors and

ensured that we have the right products, in fact, the best quality and the highest performance products to meet the growing environment. So we see the solar side growing, the wind side going, railway is growing, data center cables growing, all of these, we will see multiyear growth because a lot of capacity is being added in these areas.

Sagar Dhawan: Got it. And what is the quarterly run rate on the LDC, B2C cable side on the revenues?

Kushal Desai: Sorry, we couldn't...

APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

Page 27 of 33

Sagar Dhawan: Yes, sure. So I'm trying to understand the current revenue run rate on the B2C cables for us.

Kushal Desai: Okay, the B2C side. .

Ramesh Iyer: Yes. So B2C cable last year, we did a total turnover of about INR275 crores. And it's growing strongly this year as well. In the first half of the year also, we saw good growth of upwards of 35 to 40 percentage growth this year. And the momentum looks very strong for this year as well for us.

Sagar Dhawan: Sure. And 1 last question from my side. I think in the footnotes, you announced the possibility of entering into energy storage business. So if you could just shed some light into what would be our scope there and what are the products you're looking to add? Yes.

Kushal Desai: Well, actually, we just amended the articles to allow us to look at that as a future line of business. So it's something that at a very early stage for us.

We're just trying to explore. So one fine day, you will see that as the solar and wind capacity grows, storage is becoming a very important aspect. So not only will you have that with the solar farms and wind farms, but also rooftop generation and various other forms that are used by industries and other commercial establishments, they will also start looking at having to store energy. So normally, this renewable energy, particularly solar is generated at a time when the tariff is the lowest. So when India comes in also with tariffs depending on the demand, then you start having these technologies starting -- storage technology starting to play a very big role. So it's something that we are just at a very early stage. We are obviously looking at different options and opportunities. So that's where that the board note came from.

APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

Page 28 of 33

Moderator: Next question is from the line of Shaun Tan from Abridn.

Shaun Tan: I have 2 questions, please. First question is on capacity expansion plans. I was wondering if APAR would still be continuing your announced CapEx capacity expansion given the seemingly weaker-t

han-expected volume?

Ramesh Iyer: Yes, the capacity expansion happens. It's a continuous process for us. And as we see volume growth happening in all the 3 divisions, we increase the capacity. In fact, we work a year behind to see that we have enough capacity as and when the demand comes.

Kushal Desai: But here, Shaun, I think your comment was that whether they're going ahead with capacity expansion, given that the conductor business volume year-on-year was -- quarter-on-quarter was a bit flattish. But keep in mind what we've said earlier in this earnings call. And as you move up from ACSR to AL-59 and these sort of products, the tonnage reduces and the value goes up. So we are going ahead with all our capacity expansion plans.

There is no change in that at all. And we are quite optimistic that as that capacity comes on, it will be in line with what we expect as increased demand.

Shaun Tan: Okay. My second question is on conductor EBITDA per tonne realization of margin. I was wondering if you could talk about how we think about the trend of that going forward given the lower exports and higher premiumization that we are seeing and the competition from local players

like Diamond?

Ramesh Iyer: Yes. So this conducted EBITDA is dependent on the domestic export volume as well also. Within domestic, we have the premium conductors, APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 29 of 33

we have the conventional conductors and now with more AL-59, we have a higher end of the conventional conductors also. So given that our premium conductors in this quarter has been over 40 percentage to about 42 percentage. And selling up more superior and premium products is helping us to retain the margins of about INR37,000 to INR38,000 per tonne.

However, we also see competition is also very aggressive in overseas and exports volume is dropping. So we continue to keep a guidance of INR28,500 as we have been doing that earlier. However, we see tailwinds coming in, in few markets and in few products, which have higher margins, and we are able to have an edge over competition. To that extent, the margins are higher, but we continue with our guidance of INR28,500 for the future as well.

Moderator: Next question is from the line of Himanshu Upadhyay from BugleRock PMS.

Himanshu Upadhyay: Yes. I had a question on this. We made a comment in our Analyst Day -- Investor Day, that CTC is almost 25% of the value of transformer. So is this segment much larger than transformer oil? Is 4 to 5x? And how is the profitability of this business? And in U.S. also, where we are seeing a lot of shortages for the transformers, do you think this can be a large segment for exports? And how competitive is the market for the CTC or copper transposed conductors for transformer?

Kushal Desai: So in any transformer, the ratio is something that holds good, where it is 5x the value that's used in our transformer because the entire core is made out of this copper. The demand for that has remained quite strong. There are 2 types. There is CTC and there's PICC. PICC is a paper insulated APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 30 of 33

conductor. And CTC is a pure copper that is processed differently and it has the inherent advantage of faster winding as well as lower losses. So -- however, the Capex involved in building a CTC plant is quite high. So it's not something that anyone and everyone can throw in of a large capacity. So APAR has been steadily increasing its CTC capacity. From the original volume that we had, we've already doubled it. And we are going in for doubling it one more time with that capacity coming on stream in January. So our expectation is that it will all get sold out. However, you need a large infrastructure to build it, not only cost-wise, but even in terms of space, building, etcetera, etcetera. And it's very customized.

So each transformer manufacturer gives you a very customized design to wind and make. So -- yes, the U.S. and export markets are in place. We are looking first at export markets which are more geographically closer to us, like the Middle East, etcetera. And in the U.S. market for us to actually penetrate this, we first need to get closer to the customer and have a sales force on the ground to get after it.

We've been short of capacity at the moment. So we've just been focusing on the domestic market at this stage. But yes, as the transformer capacity goes up around the world, the CTC requirement will also go up proportionately...

Himanshu Upadhyay: Sorry, can you repeat?

Kushal Desai: I'm saying, there is an opportunity in the U.S. market, but we have not explored fully so far.

APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 31 of 33

Himanshu Upadhyay: And 1 more thing. We have stated that about legislative changes have been there. So for more than 400 amps, CTC will be used. So are those legislative changes across the globe? Or is it just for in India when...

Kushal Desai: This is something that has been mandated by Central Electricity Authority of India guidelines. And it's a guideline. So usually CEA issues guidelines and then it's the utilities that ends up adopting those guidelines. So it's a guideline for India.

Himanshu Upadhyay: Okay. And globally, so is CTC a large market versus PICC, which is paper insulated? Or -- some thoughts on that.

Kushal Desai: PICC has been the default product, which has been running for very long. There is a transition happening with PICC being replaced by CTCs. There are many transformer companies that are even using it for less than 400 amps.

Many of the renewable energy guys are also preferring CTC because the transformers can be wound also faster and the consistency is much higher. So in solar and wind, when you -- each set of panels has -- so you just keep repeating the same designs. Same thing in the case of a windmills. So that's how the demand for this is increasing because it's faster to wind, the quality of the winding is better and the losses are lower.

Himanshu Upadhyay: Okay. And the price-wise, any big difference between PICC and CTC?

Kushal Desai: So CTC is more expensive than PICC. But usually, you can justify that because of the lower losses and the higher reliability.

Moderator: Next question is from the line of Aditya from Securities Investments Manager.

APAR Industries Limited Q2 FY25 Earnings call
October 30, 2024

Page 32 of 33

Aditya: Sir, I had a question on your transformer oil segment. So what we understand is there is a demand-supply mismatch for transformers. So do you foresee a similar situation happening for the transformer oil segment as well, both in domestic and global market?

Kushal Desai: So there is no shortage of transformer oil as such. But certain high-end grades, which are these naphthenic grades, which go into higher voltage power transformers, et cetera, there the demand is very strong and the supply is not increasing commensurately. So there is really your ability on the customer side of having approvals and on the procurement side being able to access the refineries and the supply chain. So as far as APAR is concerned, we are stronger than our competition in both these areas.

That's how we've been able to kind of grow faster than most of our peers.

Aditya: Understood. And if I look at the previous decade and compare it to this decade in the transformer oil segment, do we witness higher pricing, which we are getting for our transformer oil and lubricant business considering the overall demand scenario?

Kushal Desai: So the transformer oil profitability has been -- is higher than some of the other categories. And that's why as you see the -- as the transformer oil volume goes up, the overall average has also been moving up.

Aditya: Understood.

Understood, sir. And now, sir, in the export market, we are seeing very strong growth in the transformer oil segment. So just wanted to understand how are you able to compete against global MNC players who would have local manufacturing facilities?

Kushal Desai: So in many countries where we export and have significant market share, they don't have good transformer oil manufacturers. So when you look across the Middle East, there's nobody else who does the sort of
APAR Industries Limited Q2 FY25 Earnings call

October 30, 2024

Page 33 of 33

naphthenic transformer oil. When you got into countries like Vietnam, Indonesia, Australia, there is no local manufacturers there. And these are the countries where APAR has a very strong position. Even a country like Turkey doesn't have a local transformer oil manufacturing. .

Moderator: Ladies and gentlemen, we will take this as a last question for the day. I

would now like to hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: I'd like to take this opportunity to thank everyone who's been on this earnings call for taking out the time. This is the festive season and Diwali holiday kind of begin from tomorrow onwards. Again, I'd like to wish all of you a happy Diwali and a prosperous New Year.

We are quite confident that this energy transition is here to stay. And as it unfolds, it's not a quarterly sort of game. It's going to run over multiple years and, in fact, maybe decades. And it's our position that we would like to be at the forefront of this whole transition, or as I call, revolution taking place. So thank you once again for all your time. And greetings for a happy Diwali.

Moderator: On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

SEC/ 0302 /2025 By E -Filing February 3, 2025

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Earnings Conference Call made on Un -audited Financial Results (Standalone & Consolidated) of APAR Industries Limited (the Company) for Q 3FY25.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer to our letter no. SEC/ 2801 /202 5 dated January 28, 2025 w.r.t. submission of link of Audio Recording of post Earnings Conference Call made on Un -audited Financial Results (Standalone & Consol idated) of the Company for Q 3FY25 .

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith transcript of the Earnings Conference Call made on the Un -audited Financial Results (Standalone & Consolidated) of the Company for Q 3 and Nine Months period ended December 31, 2024 .

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As Above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India
+91 22 2526 3400/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India
+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR – APAR INDUSTRIES LIMITED
M R. CHAITANYA DESAI – MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED
M R. RAMESH IYER – CHIEF FINANCIAL OFFICER –
APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

APAR Industries Limited
Q3 FY25 Earnings Call; January 28, 2025

Page 2 of 37

Moderator: Ladies and gentlemen, good day, and welcome to the APAR Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies. Thank you, and over to you.

Ambesh Tiwari: Thank you. Good afternoon, everyone. This is Ambesh Tiwari from S-Ancial Technologies. I welcome you all for the Q3 FY '25 Earnings Call for APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer. I would now pass on the mic to Mr. Kushal Desai for the opening remarks. Thank you, and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone, and welcome to the APAR Industries Q3 FY '25 Earnings Call. I would like to start by giving an overview of our performance and then follow that up with a short industry update. Post that, I can cover the segmental performance of each of the individual businesses and then open up the floor to questions.

So in Q3 FY '25, the consolidated revenue came in at INR 4,716 crores, which is up 17.7% year-on-year. This was due to a strong volume growth in the domestic business with a continued focus on T&D renewables and business from the railways.

Domestic revenue grew 31.8% versus last year. Exports contributed 33.5% to the overall revenue, which is lower than what it was in the same period the previous year. The number was at 40.7%. Compared to Q2 FY '25, APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 3 of 37

exports have grown in Q3 FY '25 by 14.3%. EBITDA, however, is down by 7.1% year-on-year to INR 401 crores with the EBITDA margin coming in at 8.5%. Profit after tax came in at INR 175 crores, which is lower by 19.7% versus Q3 FY '24. The profit after tax margin is at 3.7% compared to 5.4% in the same quarter previous year.

Now looking at figures for the first 9 months compared to the previous year's period. Consolidated revenue came in at INR 13,371 crores, which is an all-time high for a 9-month period. It is up 14.3% year-on-year.

Domestic revenue in the first 9 months was higher by 44.8% versus the previous period, and the export mix is 33.4% versus 47% a year ago.

Fundamentally, the domestic business has grown relative to exports. And the export business had been affected to some extent due to a slowdown in order booking from some of the territories as well as challenges that had

come up on the freight front. Both of these factors seem to be dissipating to some extent with freight due to the Red Sea issues starting to now cool down to some extent and export booking starting to improve. If you look at the EBITDA post forex, that came in at INR 1,198 crores, which is up 2% compared to the previous year. PAT for the 9-month period has come in at INR 571 crores, which is 3% lower than the same period previous year. In terms of some of the key industry highlights, the Ministry of New and Renewable Energy has reported that there has been remarkable progress in India's renewable energy sector, highlighting significant achievements between December '23 and December '24, where the total solar energy installed capacity amounted to the addition amounted to 24.54 gigawatts, representing a year-on-year growth of 33.5%.

So as of December 2024, the total installed solar energy capacity stands at 97.86 gigawatts. Wind energy has also contributed to this expansion

APAR Industries Limited
Q3 FY25 Earnings Call; J

January 28, 2025

Page 4 of 37

with an addition of 3.42 gigawatts installed in the year 2024, increasing the total amount of wind capacity at 48.16 gigawatts with a growth of 7.64%. Our expectation is that the wind capacity will grow at a faster pace as we run through the calendar year '25 and '26.

On the transmission lines and substation side, according to the statistics released by CEA, the total quantum of transmission lines added for 220 kV and above stood at 5,960 circuit kilometers during the April to December period, which is barely 50% of the planned addition of 11,720 circuit kilometers. For the entire FY '25, the planned addition came in at 15,253 circuit kilometers, which is only about 30% of the actual addition as planned.

Regarding the substation addition, according to the CEA statistics, the total transformation capacity added during the 9-month period stood at 46,325 MVA against a planned addition of 70,905 MVA. So this shows only meeting 65% of the target. Having said that, a number of new tenders have been finalized. And in some cases, some of the tenders did not get finalized and went for retendering because the budget values were lower than the quoted values.

Given what has happened with the depreciation of the rupee and the movement in the price of copper, aluminum and various other commodities, these tenders, which have been refloated are likely to get finalized at higher numbers in the months to come.

Coming to the individual business performance. I'd like to start with the conductor business. So in Q3 FY '25, our revenue grew by 23.4% year-on-year, led by a growth in the domestic market. Volumes were overall up by 19%. Exports contributed to 25% of the total revenue as opposed to 40% in the period a year ago. The premium product mix contribution came

APAR Industries Limited
Q3 FY25 Earnings Call; January 28, 2025

Page 5 of 37

in at 37.4%. The EBITDA post open period forex came in at INR 29,593 per metric ton as against INR 41,500 in the same period previous year. The order book, however, stands at a healthy INR 7,600 crores.

New orders received during the quarter was INR 3,077 crores, which is 62.3% higher than the same period previous year. Our copper business, which includes copper conductors, copper transposed conductors for transformers and bus bars is up 31% in the 9-month period over the same period previous year. The U.S. business, in terms of billing, has increased in Q3 relative to Q2 by about 8.5%, and we see that this trend has now reversed.

On a 9-month basis, revenue for the conductor business grew 17.2%, and the volume is 8.5% higher than last year. The export mix came in at 24%. The premium product in that mix stands at 39%.

Coming to the Oil business vertical. Revenue from the operations degrew

by 0.6% year-on-year, but that was largely because of the value of the base oils during this period. Volume has grown by 4.8%. The transformer oil volume was higher by 6.3% versus last year on a global basis, but was over 18% higher in terms of the domestic growth. Automotive oil grew by 13.5%, largely on the back of an increase in the OEM business. The industrial lubricant part of the business grew 13.8%. The export mix remains healthy in the oil business at 43.8% of the overall revenue. The EBITDA per kL came in at INR 6,364 per kL.

If you look at the 9-month comparison, revenue is up 5.8%, reaching INR 3,836 crores with a volume growth of 7.2%. The transformer oil revenues year-on-year are up 16.6%. Export has contributed 44.7% of the overall revenue. The EBITDA per kL stands at INR 6,240 per kL as opposed to INR 6,257 in the same period last year.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 6 of 37

Coming to our Cable business. Revenue in Q3 FY '25 posted a strong revenue growth of 37% to reach INR 1,266 crores on the back of strong domestic demand. Continued government capex in t

ransmission,

distribution, renewables, infrastructure and railways has led to continuing strong demand in the domestic market. Domestic revenue was up 30.4% in Q3 FY '25. Export was 34% of the mix as against 30.6% in Q3 FY '24. EBITDA post forex recorded a year-on-year growth of 14.2% to reach INR 122 crores. The EBITDA margin, however, was 2% lower than Q3 FY '25. The pending order remains reasonably strong at INR 1,550 crores.

Essentially, both for the Cable and conductor business, the exports, which were more profitable, have been replaced with the domestic business, which in absolute terms has been profitable, but in relevant in relational terms is less profitable than the export.

Looking at the 9-month period, revenues have grown 27.5%. The domestic business grew by 51.9% for the Cables division. Export mix stands at 32% as opposed to 43% from a year ago. The EBITDA post forex grew 10.6% to reach INR 348 crores. On one hand, we are seeing increased competition in the export market, especially from Chinese producers in territories where there is a level playing field for Chinese exporters, and that includes Australia, some parts of Africa and Latin America, whereas their presence in the United States has been still limited.

Overall, even though U.S. sales are lower than what we would have liked, the period-on-period sales has increased. And I think the trend seems to be has got reversed. We are hopeful that the export demand will improve. We clearly see that freight costs are starting to soften, which should also help in terms of the competitiveness of our landed cost.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 7 of 37

The phase of energy transition still remains intact. The fundamentals we see have not really changed. And we are optimistic that we will be able to continue to reap the benefits as this business grows based on our strong execution capabilities and strategic initiatives that we have taken on innovation and product differentiation.

In addition to this, we have also increased our approvals and presence in the U.S. market, which just for cables remains at close to a \$20 billion market per annum. And as these approvals increase, especially for utilities, we have an ability to place both conductors and cables at the same customer. We have a detailed corporate presentation in the Investors section of our website. I would encourage you to please go through that to get a better perspective and a much more detailed perspective on the company, its activities and strategy.

So with this, I'd like to come to the end of my comments and would be happy to take questions.

Moderator: Thank you. We have the first question from the line of Amit from PL Capital.

Amit: My first question is on the U.S. market. You did highlight that there was some recovery and we have been taking more approvals for cables as well to expand and cross-sell in the market. My perspective, if you could highlight on how the view on U.S. now post the change in regime there? And is the opportunity size remain same for us in terms of reconducting all other opportunities which we are building in? That's my first question.

Kushal Desai: Okay. So the change in government and the change in policy based on some of the statements the President has made generally, there's nothing specific that's come about with respect to India. I guess only time will tell in terms of where that finally settles down.

APAR Industries Limited
Q3 FY25 Earnings Call; January 28, 2025

Page 8 of 37

There are a couple of fundamental facts, which are there. One is that electrification in the United States is continuing to increase. They have a certain level of dependence on import. It's almost like a 50-50, where about 50% of the product that the U.S. market needs is manufactured in the U.S. and close to 50% is imported.

Given the time that it takes to set up a facility in the U.

S., get all the permitting, et cetera, et cetera, and with the ability to actually source manpower to run these facilities where unemployment is at still a record low, it may not be very practical to, so if the demand remains there, I guess there will be an import component that will continue. So at least as of today, we remain committed to working on that market. There are many renewable energy assets that are continuing to be stranded in the absence of evacuation capability.

There are still a lot of data centers coming up, which require connectivity. So I think time will tell, but at least as of today, we have not seen any signs where the business should just suddenly turn on its head.

Amit: Right. Second question on the premium products. I was just checking on absolute basis, the premium product sales has grown by kind of mid-single-digit. I think, 2,600 for first 9 months versus 2,450. So is it the right understanding that this is getting impacted because of the exports market? Because what we understand I think last time we discussed there was more growth or premium products happening in the domestic market and domestic market are actually doing pretty strong for us. So what should one understand on the premium product sales getting softer quarter-on-quarter?

Kushal Desai: So there has been -- the copper side of the business, as I mentioned, has been quite strong. If you take a 9-month period, it's actually up 31%. Some

APAR Industries Limited
Q3 FY25 Earnings Call; January 28, 2025

Page 9 of 37

of the conductor tenders and other infrastructure like substation, various things have gone into retendering simply because our budget was set up based on some historical costs, and the costs have gone up with respect to copper, aluminum, steel and various other components.

So the finalization of some of those tenders have actually not been at the same pace as one would have liked. So some of them have gone back into a retendering mode. As I mentioned in my opening comments, my sense is that as you get into Q4 and then into FY '26, you'll start seeing awards of those tenders taking place because the business is right there, the lines need to be put up. This adjustment process has to take place in terms of the budgets that are being allocated against some of these projects. So this is impacting some of the HTLS projects as well.

Amit: Lastly, on conductor EBITDA per ton, are we now, any thoughts on INR 29,500 EBITDA per ton, which we have been guiding. And second, on Cables margin, which are keeping very low from past 2, 3 quarters versus FY '24 and '23 and if you could give some perspective on these 2 elements? That's my last question, yes.

Ramesh Iyer: Yes. So on the conductor margins, we continue to have the same guidance

as we have been saying earlier, about INR 28,500. And that to, typically, we look at these margins on an annual basis. This particular quarter, the margins have been low primarily due to the premium products that got executed in this quarter has been lower than the earlier quarter.

At the same time, there is a mix change happening in terms of the geographies that we've been selling. There has been less execution of sale of products in the North America compensated with some other geographies where the margin has been lower as compared to North

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 10 of 37

America due to which the margins have been lower in this particular quarter.

So on a YTD basis, we look at it, it's close to about mid INR 30,000, but this particular quarter has been affected due to mix change as well as the premium product that has got executed.

On the cable margins, while the domestic market continues to be competitive and price competition is there that we can see. We are also working on various cost optimization strategies so that upon the scale of the business achieves the growth, then we'll

be able to get some cost

reductions over there. But given the current state, this market is competitive, that has affected the margins of this quarter. In addition to that the U.S. business is picking up. Once we see U.S. business going up in quarters to come, we can see revival of margins on the upward trend.

Moderator: We have the next question from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: Just carrying on with what Amit was asking on the profitability. We understand the premium mix was lower. But just a little bit direction wise, because competition has also increased, which you highlighted 3, 4 quarters back in the export market as well, the Chinese competition ex of U.S. Does that also look like that this is something a new normal of kind of a profitability one should work with? Or you think once the premium mix starts coming back, we should again start going towards 35%, 37% where we were delivering.

And second, on the Cable profitability. Our top line is not that heavy. And we have started talking about optimization and cost optimizations and competition, which I think was not the commentary about 2 quarters back because all the other cable companies are pretty heavy in terms of revenues

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 11 of 37

and all and capacities. And I think we guided for a double-digit margin in this year. So apart, if you can throw some light what has significantly changed because our size compared to the industry is still very less and we are talking about competition. These 2 aspects, please.

Kushal Desai: Okay. So looking at the relative size of the Cable business, one quarter ago, if you take the first half because the first half results have been declared for all the cable companies, APAR today is the fifth largest after Polycab, KEI, Havells, RR Kabel. So we've gone ahead of Finolex. We've had a 37% growth in this quarter over the previous quarter, which would clearly bring us to the number 5 position.

What has fundamentally happened is that the mix has moved for both conductor and cable at the moment more towards the domestic side where the order books have been stronger. So the margins have been lower relative to the U.S. and some of the export markets. If you take the 9-month margin for cables, we are at 9.6%.

So we are just a little bit away from the double-digit period. But clearly, the domestic market does not give us the same profitability as some of the overseas markets does, where there is a premium for the quality of product that is produced relative to what the Indian market offers.

As the U.S. business and some of the export business increases, I would

see definitely a little bit of an upward bias coming on the margin. But what Ramesh is talking about in terms of cost is that we have a number of initiatives to improve the efficiencies which are there. So we have a very strong Industry 4.0 program that is running in our Cable business, for example, all the machines, over 400 machines will get hooked up to the platform by the end of March.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 12 of 37

So you start seeing all that data coming out in the first quarter of FY '26, which actually gives you live 24/7 data on pretty much every rotating machine, every running machine that we have in the division to then start working on pinpointed productivity programs, et cetera. Some of those cost initiatives are also there, which would help expand the EBITDA and they are essential given the fact that the domestic market does remain competitive.

So I think the benefit that you will reap, if you continue, our target is to continue to grow 25% a year, year-on-year. So when you start executing INR 1,200 crores, INR 1,500 crores, sorry, INR 3,000 – INR 5,000 crores a year to INR 6,000 crores a year in terms of revenue, then it is a very, it is a good bas

e on which to run these programs to actually reap the benefit.

Nitin Arora: Kushal, just on the near term, sorry for asking a little near term because your numbers are becoming quite volatile quarter-by-quarter. And we understand there is a mix issue with respect to U.S. coming back or not. But generally, the sense which you're getting now post the new regime coming in, are the inquiries level increasing both at the Cable and at the Conductor division, which you think can rebound? Or do you think it will take at least 2, 3, 4 quarters and then we'll see. I mean, just to understand your confidence on both these segments.

Kushal Desai: Okay. So I think the new regime having come in, Mr. Trump has taken office only a week ago. So I guess the dust really needs to settle on that front. The inquiry levels have continued, in fact, they have been increasing with time. There was a much bigger lull and a greater worry 1 year ago compared to what it is today. And as I said, if electrification grows in the United States, then there is no option, but for a certain amount of imports to commence because local production is able to cater to only 50% of the current demand.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 13 of 37

Moderator: We have the next question from the line of Nattasha Jain from PhillipCapital.

Nattasha Jain: So my first question is in continuation to what the last participant had asked. Now in terms of U.S., can you, first of all, give us any broader sense as to how the margin differentiates between geography, India included compared to what we get in U.S. for cables. Any broad sense would do.

Kushal Desai: So usually, you would end up getting 3% to 5% plus differential for a like-to-like product for the same application because the U.S. specifications are far more stringent. And all products need, for example, if you're marketing any electrical product in the United States, you need a UL approval. So the UL approval itself is a fairly stringent process to get the mark. Then post that, their process is similar to the U.S. FDA, where samples are drawn from the field and tested. So you have to continue to deliver the kind of quality of product, which has been delivered at the time of the initial approval.

And that's something that's relatively not so easy compared to whatever happens in India where you don't have the same kind of scrutiny that takes place. So essentially for companies like us, where we believe that we are at the upper end of the pack in terms of the quality of product that we deliver, a market like the U.S. or Europe is always helps us get a premium relative to the Indian market.

Nattasha Jain: Understood. Sir, so is it fair to say that India in terms of cables would be the lowest margin compared to all other geographies in U.S. on the other extreme end?

Kushal Desai: India is not the lowest because in India we do sell a lot of specialized products as well. We supply to the Indian railways, we supply to the Indian defense. If you look at a typical low-voltage cable, in India, that is about as

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 14 of 37

cheap as you can get anywhere in the world. So our Indian product mix also is the richest product mix in terms of specification of products that's being sold because we sell a lot of elastomeric and renewables and railways and defense and all these other products.

But on a like-to-like basis, if you take the low voltage cables in India versus a low-voltage cable in the U.S. or in Australia, then the Indian product is definitely cheaper.

Nattasha Jain: Understood. And sir, another question, again, relating to exports. Now you just mentioned in your opening comments that 50% of the demand for U.S. is still imported, and it's a big market. And also, there are not a lot of Chinese players because of tariffs, et cetera. So just trying to understand

then what is the problem? Why is U.S. export not picking up, if it's sitting at a most favorable position given Chinese player are not there in the U.S. So please throw some color on that?

Kushal Desai: So, the U.S. market for us has started and has already turned the corner.

So, as I mentioned in my commentary that for Cables, there is an 8.5% sequential growth between Q2 and Q3, and we expect Q4 to be higher than Q3. The market is definitely starting to -- so the excess stock, which was there, et cetera, that's all pretty much behind us. And the inquiry flow also has started increasing. So it's not that we are not seeing any inquiries and not seeing demand.

Nattasha Jain: Got it. So we can again say that deinventorying has pretty much happened in the U.S.

Kushal Desai: Yes, yes. In addition to that, we are optimistic in the years to come is that we have been working on approvals from utilities. Because finally, if it's a distributor or XYZ, a significant product is bought by U.S. utilities. So we've been working on utility approvals all through this period. We actually

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 15 of 37

increased our manpower and infrastructure in the U.S. to service the market. So, I think over the periods to come in, we should see increased business.

Nattasha Jain: Got it. And sir, my next question is on the domestic side. Now if I see the governmental capex has slowed down. A lot of your peers have also made that commentary. We've seen that in the numbers. So my question is more on the near-term, say, maybe a year's time frame. Do you think a slowdown in the governmental capex can seep into the power and transmission. And this in combination with the fact that a lot of your peers are coming live with capacity this year for cables in huge capacity. So, are we at a risk where there can be slightly overcapacity versus low capex spend and therefore, low demand on the government power and transmission side?

Kushal Desai: So as I mentioned in my opening comments that the catch-up that is required compared to the plan is also because of the whole tendering mechanism. So if you take historical cost, when copper and aluminum and all that, and if you take the rupee value of that, because it's a dollar value multiplied by the exchange rate, all the budgets and the bids have come in higher than the budget. So as a consequence, there are many tenders that have gone into retendering. And that's one of the reasons why there has been a slowdown in terms of award as well as execution taking place. So our sense is that, that pace is going to pick up because those lines are required, that business is required. And it's not only just conductors and

cables, there is a shortage of transformers, for example, of certain sizes. There is a shortage of certain type of switch gears and other equipment required in the substation. So as all that starts coming through, then you will have the whole chain getting -- the order flow for the execution to take place.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 16 of 37

Nattasha Jain: So we can expect the retendering happening probably in FY '26 first quarter onwards.

Kushal Desai: It's already happening now also. Many of them are going in for retender and they have to adjust the prices upward, simply because of the increase in the cost, which has taken place.

Nattasha Jain: Got it. Got it. And sir, last question, if I may. I know your Wires portfolio is quite small at this point. But can you just throw some color as to how you're growing there because it's one of the fastest growth category products? And in combination, do you think at an industry level, you're sitting at overcapacity for Wires versus the demand. That's all.

Kushal Desai: Okay. So, in the Wire segment, capacity is not really the bottleneck. It's very easy and relatively not that expensive to add

capacity to manufacture

a house wire. It's a very simple product relatively to make. The key is in terms of your ability to distribute and market the product. We've grown...

Ramesh Iyer: In that Wire category, we have grown about 46 percentage in the 9 months FY '25 versus FY '24. We've increased our distribution presence by 67 percentage. Our retail count has almost doubled as compared to last year. We are now present in 18 states there, and there's a lot of product awareness and demos that happens. So, we are bullish about this particular segment in the Wires and Cables business, and we are hopeful for growth going forward as well.

Kushal Desai: So that segment itself for us because of having a relatively lower base compared to some of the others we sell a very -- in terms of performance, we sell Wire at right -- at the top of the spectrum. And as Ramesh said in distribution, et cetera, is all growing. That business will be an INR 300-plus crores business for us this year.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 17 of 37

In addition to that, we've also started setting up a B2B distribution business. So, you have -- so this is just Wires. In addition to that, you have light-duty cables also which are sold through a distributor set up. So that's something that we've been working on.

So together, those 2 pieces will well exceed INR 350 crores this year and will continue to grow. Now if you see it in the overall context, this year we will cross INR 5,000 crores in the Cable business. So, it's still a small percentage of the total. But on an absolute basis, it will continue to grow.

Moderator: We have the next question on the line of Maulik Patel from Equirus.

Maulik Patel: On the conductor side, you always guided that the margin will be in the range of around INR 25,000 to INR 30,000 for a medium to long term.

And after many quarters, it has come down. But at the same time, your order book has grown very handsomely. So, the current order book what you have is relatively will further increase your margin from the current level? Or it is still a -- as you mentioned the competitive intensity from China has gone up so the margin will now probably be at this INR 20,000, INR 30,000 kind of range.

Ramesh Iyer: Yes. So as we have been guiding earlier also Maulik, this conductor division, we need to see margins on a 12-month basis because what happens that in the quarter, the margin gets affected with what we have billed and executed in that particular quarter. And as I said, this quarter had a mixture of low premium products. It had a mix change from North America to some of the other geographies. And a mix of thing has all come in this particular quarter. And so you saw the margins being lower.

At the same time, we are seeing increase in price competition also in the domestic market. There is price competition over there. In terms of the order book also if you see, there is about 20% of the orders that actually gets executed after FY '27 -- 1 year later from now. So it's a mix of current orders that will get executed in the next 6 months or is something that gets executed after 1 year.

APAR Industries Limited
Q3 FY25 Earnings Call; January 28, 2025

Page 18 of 37

The blended margins could be anywhere between INR 30,000, INR 35,000 per metric ton. But that will not only be the entire part of it. We'll have some orders also coming up during the quarter, and that will get executed in the same quarter as well.

So the final EBITDA will really depend on the mix of orders, mix of products getting executed from the pending order book as well as the new orders coming in during the quarter.

Maulik Patel: Got it. And just one bookkeeping question. What's the acceptance currently?

Ramesh Iyer: Our interest-bearing acceptance is about INR 2,500 crores and the total LC is about INR 3,300 crores.

Maulik Patel: Acceptance has come down signif

icantly on a quarter-on-quarter basis

because I understand that earlier, the run rate was used to be around INR 4,000 crores or so.

Ramesh Iyer: Yes. So we have been optimizing our working capital on that front and the cash that has been generated in the business, we have been using to make cash purchases or to reduce the level of acceptance. And that is also helping us in terms of overall working capital.

Maulik Patel: Your interest costs have come down. The quarter-on-quarter, the interest quarter has gone up. If the acceptance has come down from INR 4,000 crores to INR 2,500 crores, interest cost should have gone down.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 19 of 37

Ramesh Iyer: Yes. So this quarter, the interest cost has actually gone up because of 2 reasons. One is that there is an increase in exchange rate from -- it's been touching about INR 85 per dollar. And because of that, to some part of the increase in exchange rate gets reclassified to finance cost as per the way our accounting standards are there.

In addition to that when we discount some of our receivables, there's an increase in interest costs. So these factors account for higher interest cost in this particular quarter.

Maulik Patel: I think you mentioned that the external fluctuation. So are you shifting your acceptance and converting it to LC, which is from the local banks?

Ramesh Iyer: We have domestic LCs as well as import LCs. And to the extent of revaluation of the import LCs, some part of that exchange rate change can form part of the finance cost. And therefore, you see some finance cost has gone up, especially in this quarter because we have this imported LC revaluation affected in this finance cost.

Maulik Patel: Last question on debt -- long-term and short-term debt for this the -- December end?

Ramesh Iyer: Sorry, I didn't get you.

Maulik Patel: Debt -- the borrowings at the end of this December?

Ramesh Iyer: The short-term debt is about INR 120 crores. The long-term debt is about INR 330 crores.

Maulik Patel: Substantial decrease, if I look at combined from long-term, short-term plus acceptance, which was around INR 4,000 crores at the end of September.

And now you mentioned that it's INR 2,500 crores plus and -- INR 2,500 crores of acceptance and INR 500 crores of borrowing, so it's INR 3,000

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

crores only. You paid back around INR 1,000 crores in this quarter. Am I right?

Ramesh Iyer: The interest bearing is INR 2,500 and the total LC is INR 3,300 crores. That's how the number comes.

Maulik Patel: Okay. Okay. Okay. I think that acceptance number is also including the noninterest bearing cost component, correct? Got it. And just one more question. What's the capex you have done so far and the outlook for the next year, if you have probably finished the budget for the FY '26?

Ramesh Iyer: Capex is till 9 months, we've done about INR 270 crores. And the budget, of course is underway. So we are going to -- we'll be finalizing it in the next month or so.

Moderator: We have the next question from the line of Levin Shah from Motilal Oswal.

Levin Shah: My question is, again, on the U.S. market. So when we see this quarter's numbers, like Y-o-Y, the numbers are flat and sequentially, the U.S. revenues overall for the company have grown by 8.5%. So when we look at margins, there has been a big drop both in cable and conductor. You explained some of it. But despite U.S. recovering quarter-on-quarter, the margins have gone down substantially. So can you help us explain what's the -- what's impacting the margin despite U.S. improving?

Kushal Desai: So in the short term, there was an impact on freight for shipments that went to the U.S. because suddenly you had this Red Sea issue and freight rates in the short term had really shot up. Since the deliveries are on -- partly on a

DDP basis, there was higher freight that was incurred, not only for the U.S. but for anything that otherwise would have gone through the Red Sea. So there were some of those factors that did come in. Now as I mentioned in my opening remarks, that has started also turning around. And with this

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

truce that's happened in the Middle East, et cetera, we -- I think that will also settle down over some period of time. Plus you've got to keep in mind that the domestic business also has gone up. So when you say U.S. has gone up sequentially, overall exports have not increased over the same period previous year.

Levin Shah: Yes. Sir, I was more comparing it with previous quarters. So Q2, the U.S. share would have been lower versus Q3 despite that Q2 margin...

Kushal Desai: So the U.S. business is picking up, but the overall export business has not gone up substantially quarter-on-quarter.

Levin Shah: Sure. And just on the U.S. market per se because that's like our largest export market. Excluding the shipping costs, if you were to look at contribution of gross margins on product like-to-like, has that gone down significantly due to competitive intensity or that has been impacted?

Kushal Desai: No. So there has been some erosion in the margin, but it's not a huge erosion in the margin. The competitiveness has been there, but it's still better than what we would have got in the domestic market or even compared to many export market, especially in areas where the UL approvals are not held by multiple competitors.

Levin Shah: Right. So sir, will it be fair to say that once the U.S. market recovers beginning Q4, we should -- obviously, I understand that officially, our guidance stays on the conductor margins, but we should see margin improvement because the U.S. market will also pick up and the shipping issue is also behind now.

Ramesh Iyer: Well, our target is to get up to 11% to 12%. And so every effort is being made in that direction.

Levin Shah: Sure. And this 11% to 12% is the blended margins, right? We are talking.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Ramesh Iyer: Cable division as well.

Levin Shah: And on the conductor part, sir, with the U.S. market improving, that segment should also see improvement in margins, right? Sequentially?

Ramesh Iyer: Yes, we have been guiding the number earlier, and we continue with that guidance. There's no change in our guidance as what you have said earlier. Of course, with some tailwinds and with the U.S. mix improving, it can be better, but we also need to see how the domestic market margins pans up during that period. But we continue with the guidance that we have shared earlier.

Kushal Desai: So there are 2, 3 fundamental things, which one can keep in mind, especially -- see near term in this sort of business where it is more difficult to predict than something which is in the medium to longer term.

So a few fundamental changes have happened. One is that the base category of conductor has moved in India from ACSR to AL-59. So that's one big change that has happened. Second thing that has happened in the short term is that many tenders have gone back for reevaluation and refloating because the bids that came in exceeded the budgets on those tenders. So the premium product side had got a little bit slowed down. The third thing is that there is a clear case that reconducting to increase capacity going from point A to point B is far faster and better to do than setting up a brand new line. And that's something that CEA and the Government of India also understands that a more comprehensive policy in that direction is being looked at.

Number four is the renewable energy assets are continuing to grow. You see wind has grown in single digits, not double digit in terms of the additions. But going forward, there

is a lot of wind capacity that's actually

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 23 of 37

coming on stream. That again has a consequent impact on the business that APAR gets because we have a very good market share on the wind side. So all of these things are pointing towards a better medium to longer-term position, even in the domestic market.

Levin Shah: Sure. That was helpful. Sir, and my last question is on -- again, on the U.S. market. So what we have seen is post a new government there, they have put on hold the IRA benefits that were to be given to the new renewable assets that were being put up. So how much of our revenue stand to impact due to this IRA regulation change in the U.S. market?

Kushal Desai: It's just too early to sit and make a call on that. I think with a little bit of time passing by the picture will get clearer. However, you have to keep in mind that some of these renewable assets generate power also very competitively in terms of cost.

And if the cost of hydrocarbons like you've seen the Brent and all of this also going up, it's making renewables more competitive. So some of these things have been put on hold, but there is no judgment that has been passed that needs to be canceled or any such thing. So I think before reacting immediately, some more time needs to pass by for clarity to prevail. Having said that, electrical requirements are going up and not down.

Levin Shah: Sure. So what I was trying to understand is how much of our Cable segment? Because I understand conductor segment may not be impacted with this IRA going away, if at all that happens. But how much of the Cable segment revenue today would be related to this IRA related capex.

Kushal Desai: So we have a full mix of cables going in there, right? We have medium voltage cables going in there. We have photovoltage of PV cables, which are for renewables. We have cables that go into building another

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 24 of 37

infrastructure. So there's a whole range of cables. If you go to the APAR website, you will see all the approvals in the -- and you'll see all the different applications they go into. So it's not all focused only around renewables.

Moderator: We have the next question from the line of Prerak Gandhi. Please go ahead.

Prerak Gandhi: First of all, the thing is that you were bullish on the wind sector comparative with the solar despite solar being targeted 300 gigawatts for the year FY 2030. So why do we see a faster growth in wind sector compared with the solar sector? And secondly, sir, with Trump coming in, U.S. will be pushing for more indigenous operators, right? So do we see a loss of market share over there in the near future or at least in the medium term?

Kushal Desai: Okay. So let me answer both your questions one by one. I didn't say that I'm expecting a slowdown in the solar side. The solar side is continuing to grow. Wind has grown only single digit year-on-year. And we see that the wind capacity getting added in India is going to increase. So you will see another dimension of growth coming in as the windmills increase, the cable business that is catering to windmills should also increase.

And here, whatever growth happens, APAR stands to gain because we have a very significant share in that segment. So I just wanted to clarify that part. As far as the second question was about pertaining to Trump coming ahead. So that, I think we already answered that. It's just a matter of time before which we'll get to know the clarity.

Our market share in the U.S. is very miniscule. If you see \$20 billion cables being imported, we are not even at 1% of that. We are like at 1% of the import taking place. So there's a huge room to grow. As long as there is a need for the cable and it can't be produced locally, there is a potential for us to sell that.

APAR Indust

ries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 25 of 37

Prerak Gandhi: And sir, just a last question. Sir, the government, as per the CAG report, we have seen in the capex cycle has been very slow. So do we expect the capex which is left in this past 6 months, and the capex we announced in the budget. Do we see an extension push towards the capex in the next 9 months or next fiscal year?

Chaitanya Desai: Actually, in our conductor business, we have been seeing good order flow. And we anticipate that in future also based on already orders which have been placed at the capex level and then to the EPC community, those orders, either from the developers or from the EPC companies will keep us going for the whole next financial year. And even beyond that, we see a good flow of orders.

So yes, as we've explained that the market has moved from 1 variety of conductor to another so we see that business continuing in terms of strong demand in the local market.

Moderator: We have the next question of the line of Nikhil from Kizuna Wealth. Please go ahead.

Nikhil: Sir, I have one question, like we said that the Chinese players are entering the market when they have a fair position in like the markets in Australia, Africa and Latin America. So how -- what is the APAR strategy to compete with them in those markets? And sir, my second question was like in the export market, our inquiries are increasing and order inflows also increasing. Is there any kind of execution delays happening there because our export mix is going down?

Chaitanya Desai: So with regard to the Chinese having the advantage currently in certain geographies, it's on account of their cheaper raw materials that they have in China. Because the government of China has made certain changes in their taxation and support to the various industries in China, which is

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 26 of 37

enabling the Chinese conductor manufacturer or cable manufacturer to get Chinese aluminum at a much cheaper price compared to the rest of the world, and that is helping them.

So we have seen these cycles in the past come and go. Over period of

time, these are not sustainable because definitely, if the price of the aluminum in China has kept at a lower number, then it means the Chinese aluminum producers are suffering as opposed to getting a fair price compared to the rest of the world.

So we don't think this may continue for long. But till it continues on, we feel it is better not to participate just for the sake of competing and incurring losses, is better to divert our capacity to the next best realization market, which is the Indian market. So this is the strategy we have taken for now.

Nikhil: Yes, sir. Understood. Sir, my second question was like our export inquiries are increasing. And our order inflows are also increasing in export because our order inflow is like 31% and our total order inflow was 67% up. So I'm asking that, is there any kind of delay in execution? Is there any kind of regulation problem going on there like the execution of export orders or something like that?

Chaitanya Desai: So some of the markets, they have staggered delivery requirement. And generally, in some of those countries, especially in the U.S., the procedures are more cumbersome in terms of actually starting the work on the ground compared to in India. India is one of the fastest for actually putting out the transmission lines.

So yes, some delays have happened, but now things are sort of looking more clear in terms of orders on hand and also in terms of the execution.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 27 of 37

Moderator: We have the next question from the line of Mayank Bhandari from AMSEC.

Mayank Bhandari: My first question is on the revenue growth you've shown 23% in the Conductor business and 17% in the 9-month period.

d. If I were to understand

the forex impact in this, what would be the forex impact in the growth -- top line growth for this.

Ramesh Iyer: It's difficult to put the numbers exactly on the forex impact on the growth number because the top line actually gets driven by your commodity prices, aluminum price, exchange rate and also the volume growth and also the mix of the product that goes into -- in some of the export markets. It also depends on whether the selling prices including freight, whether it is a CIF contract, DDP contract or an FOB contract.

So it's a mixture of many things that goes into the value growth numbers.

So it is difficult to separately identify which part has contributed to what.

And therefore, we look at more volume numbers than the value numbers for this purpose.

Mayank Bhandari: Sir, 19% of volume growth and 23% of value growth, the differential of 4% includes our product mix and other factors you mentioned?

Ramesh Iyer: Various other factors, yes, as I mentioned, yes.

Mayank Bhandari: So product mix is ideally deteriorated this quarter.

Ramesh Iyer: As I said, it's tough to put that number because it depends, as I said, product mix, export domestic ratio and within export also, CIF, DDP contracts, FOB contracts, the price of aluminum and metals also, that has also changed quarter-on-quarter. So it's a mixed bag of various things that gets into the sales value growth.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 28 of 37

Mayank Bhandari: And similar thing on the EBITDA post open period forex that you show of INR 29,593. So is there any number which is like preopen forex period.

Ramesh Iyer: We have been sharing that earlier, but now consistently we have been using the post open period forex number because that's the number we have been consistently using it, and it gives a proper representation for the business as a whole.

Mayank Bhandari: Okay. So I think all -- for the other segments also, it is not possible to give a breakdown in the volume and value.

Ramesh Iyer: It is the same reason that apply for all the divisions.

Moderator: We have the next question from the line of S. Karlekar from HSBC.

S. Karlekar: Sir, you highlighted \$20 billion U.S.A. cable imports as a large opportunity. So I may ask how much of that is really addressable considering the product portfolio that APAR has and the certification that you will be having.

Kushal Desai: So in terms of the addressable products which we have, it is catering to over 50% of the market in terms of -- I mean, the categories that we have UL approval for is almost 50% of the U.S. market.

S. Karlekar: Okay. So broadly more than \$10 billion -- 50% of \$20 billion number, right?

Kushal Desai: Yes, that is the gross opportunity that's out there.

S. Karlekar: Right. And sir, you also highlighted that in the meantime when market was weak in U.S., you have been seeking approvals from the end customers such as utilities. May I ask how far have you reached in that journey in terms of whether you're in early stage or mid-stage.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 29 of 37

Kushal Desai: So I'd still say that we are in an early stage, simply because the number of utilities in the U.S. is a very large number. There are over 300 utilities in the U.S., of which about 25, 30 of them are very large in size. And the rest of them then -- because it's a regional-based system. But the approval flow is -- we are continuing to appoint more and more manufacturing reps, make presentations to utilities and customers, et cetera. So the approval base is growing.

S. Karlekar: And sir, my third and last question is that you highlighted retendering of orders because of the quoted price coming higher than the budgeted price. Is that specific to power grid or that is that phenomenon across other state department, central department and PSUs?

Chaitanya D

esai: Yes, it is across various state utilities also and power grid also.

Moderator: We have the next question from the line of Aman Soni from Nvest Analytics.

Aman Soni: Could you provide insights on the anticipated capital expenditure allocation for the power sector in the upcoming financial budgets, especially, is there any indication of potential reduction in the government capex for the sector?

Kushal Desai: So I think I wouldn't be in a position to just answer that straight, but the fact that the government has been pushing for more renewable energy and more power assets to be added, I would not think that the budgets would be lower than what for FY '26 would be lower than what they are for FY '25.

Chaitanya Desai: In any case, the -- not all of it is funded by the government because there are tariff-based competitive bidding. So depending on who wins the business, then that is funded by the concerned developer.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 30 of 37

So as long as the projects happen irrespective of who wins the business, government promoted company or otherwise, the growth should happen. And it is -- a lot of it is driven by renewable energy, where again, a lot of the developers are nongovernment concerns.

Moderator: We have the next question from line of Amit from PL Capital.

Amit: Just a couple of more questions. One on domestic side. We have seen quite a strong growth and as you highlighted, the key reasons also. I wanted to understand which part of domestic side, you're facing competition? Is it premium products, conventional products, AL-59? And what was -- any sense on what was the mix in first 9 months, conventional versus AL-59 versus premium in domestic market?

Ramesh Iyer: So we have converted most of the ACSR products into AL-59 products now. So that mix has completely been changed. It's a much more superior product than the traditional ACSR products.

Kushal Desai: Which is all under conventional.

Ramesh Iyer: Yes. But it's still part of the conventional, but it's on the higher end of the conventional product.

Chaitanya Desai: And as far as the competition is concerned, currently, the market is much larger than the new supplies, which are coming in, in the form of new entrants. But just that the overall structure in the Indian market does not allow very high margins compared to some of the other markets outside. So the profitability difference is more on account of the product mix and geography mix as opposed to competition level.

Amit: Right. Possible to share what was the contribution in domestic market from AL-59, first 9 months?

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 31 of 37

Ramesh Iyer: We don't share that product level detail, Amit, for confidentiality purposes.

Amit: So last question on if possible for us to share the U.S. sales contribution segment-wise or overall company level?

Ramesh Iyer: U.S. sales has improved sequentially, but the specific of that mix, we don't share it out. But quarter-on-quarter, it is improved by 8.5 percentage.

Moderator: We have the next from the line of Vimox Shah from Goyam Iabdh Fintech.

Vimox Shah: Yes, so I wanted to know that what are the plans that you are observing for the cooling solution in the data center? How we are positioning to meet this need. Basically, what are the opportunities do you see in this sector?

Kushal Desai: So far, cooling solutions in data centers are still at an early stage. Most of the data centers are still using air. So basically use cold air to take away the heat. And air is the worst conductor that's out there. Liquid based cooling can be significantly better. But when you're looking at such strong SLAs and such high uptimes, it is not easy for you to try out a liquid solution versus the air cooling solution.

So we've not -- even though we have products in place, we've also developed produc

ts. We've not yet been able to get it tested out at the test site. That's why you don't hear us talking much about our -- because the product is actually fundamentally quite similar to a transformer. The whole difficulty is not in producing a product, but is in getting a test site to test the product out.

Vimox Shah: Okay. So are we looking to test into that segment actively or...

Kushal Desai: We are constantly in touch, but we haven't yet had any breakthrough on that front. However, having said that, we are supplying cables to the data centers. And in that, we have all the big names. So we have supplied to

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 32 of 37

AWS, which is Amazon in India. We supplied Microsoft. We have supplied Google. We have supplied Adani. So we have supplied all of these people and continue to bid on their cable business, but we haven't had a chance of yet being able to get a test site for testing out our liquid cooling solution.

Vimox Shah: Okay. Okay. My second question was like, what are your growth expectations for the domestic market compared to the international market for upcoming financial year.

Ramesh Iyer: We have given a mixed guidance for both domestic and global market both put together. And that's what we continue to hold even now, which is cable division top line growth of 25 percentage in value terms, conductor division about 10 percentage on volume terms, and oil division, about 5 to 8 percentage on volume terms.

It's a blended of both domestic and export market. And depending on where the margins are higher, you may see domestic mix going higher or export mix going higher. And also depending on external factors like U.S. demand, etcetera, the mix during the period may keep on changing as we go ahead.

Moderator: We have the next question from line of Pratik Lumbe, who is an individual investor.

Pratik Lumbe: I just had one question on the industry front, basically, the power transformer industry in India. You alluded to your comments and also in your response to one of the participants, that basically, the slowdown in execution in the power transmission space is one of the reasons that you alluded to was due to the shortfall in -- or the shortages of the components such as the transformers or the other things?

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 33 of 37

So is that the main reason or any other key factors that you could associate with that slowdown. Because I understand that there has been a significant growth in the tendering activity as compared to last financial year. But it hasn't happened on the ground. So could you give some color on that or any other additional reasons for that?

Kushal Desai: Yes. So let's look -- so there are various aspects to look at. One is that the CEA has declared their plans. You have time frames in which they want to have addition. So when you compare versus what they have declared and what they themselves have declared in terms of achievement, there is a big gap, which is what I had brought up in the opening comments.

Second thing is tenders have been floated, but they have -- there's a delay in their finalization. In some cases, tenders have just recently been finalized, so the execution is to take place. In some cases, tenders have gone for retendering because they've had to fix the budgetary price quote on the price level. So my -- the reason for bringing all this up is that there is significant pent-up demand.

There were questions that people were asking on the call that you see government spending going down, will business come up in the next few years as it has come up in the past. So I think these are all hints towards -- what we feel is that the business is not going to slow down. There is a pent-up demand, which is there in place compared to whatever the CEA themselves have identified that they should have ex

ecuted.

They're running at 50% for this transmission line side. And if you look at the substation side, they are at 65% or whatever numbers that they themselves have declared. So there is going to be a catch-up going forward. And there are some capacity increases taking place, but I think they'll get absorbed against this increased demand that is going to happen.

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 34 of 37

Pratik Lumbe: Okay. But even Kushal, sir, that 5,000 number that we have done in this 9-month period is still very low as compared to '24. Around 14,000 some circuit kilometers were added in the last financial year. But in the 9 months, we are only at 5,000, leave aside the target. So of course, maybe election would have been one of the reasons, but there are some serious challenges faced at the execution level, I understand?

Kushal Desai: So actually, the execution level, especially for conductors, India is actually one of the best in the world. We -- a typical line -- from the time it has been awarded, it actually runs in about 3 -- between 3 and 4 years a full line comes up versus 10-plus years in the United States and something even longer than that in Europe. Now when you get a number reported here, it is actually a commissioned line. So it would be -- they don't -- this commentary is not carrying what stage of completion is there for the gap. But our sense is that this tendering is going to continue to take place. And the government is very aware of the total amount of electricity that needs to be moved. A lot of new generation -- you heard also the record amount of solar investment awarded and is being generated, a lot of that is actually Gujarat, Rajasthan and in remote places. So you need evacuation lines that will bring the power. And so bottom line, I think at this stage is that business is not going to subside in the local -- in the domestic market. It looks like there is good amount of steam for the next few years to come.

Moderator: The next question comes from the line of Piyush Arora from SYC Research.

Please go ahead.

Piyush Arora: Just a question -- just on the overall EBITDA margins of the company, do you think Q3 was absolute bottom and we could see it basically moving up over the next financial year?

APAR Industries Limited

Q3 FY25 Earnings Call; January 28, 2025

Page 35 of 37

Ramesh Iyer: Yes. So as I said, we continue to hold the guidance that we have given in the past. And for the kind of product line that we have, it is better to see these margins on a 12-month basis rather than on a quarter-on-quarter basis.

Moderator: The next question comes from the line of Hardik, an individual investor.

Hardik: Question is, this quarter, the other expenses has increased by INR 50 crores. Any light you can throw on it?

Ramesh Iyer: That happens because of the terms of shipment. In some cases, the selling and general administration cost goes up depending on whether it is FOB contract or CIF contract, the freight cost, the processing cost and generally, the selling, general and administration overheads changes depending on the product mix and the kind of sales that happen. So that's the reason you see that swing happening.

Hardik: Is it a reoccurring one for the next quarter? Or is it just...

Ramesh Iyer: Sorry.

Hardik: Reoccurring for the other quarters, coming quarters? Or is it a onetime expense?

Ramesh Iyer: No, it's better to be measure based on the EBITDA because that takes into account all these factors, typically, other expenses can go up and down. And most of it is already priced to the customers. However, the EBITDA margins and EBITDA percentage that we use takes into account all these kind of permutations and combinations. So that's a better way to judge the results.

Hardik: Sir, what would be the overall growth rate for the coming year?

APAR Industries Limited

Q3 FY25 Earnings Call; J

anuary 28, 2025

Page 36 of 37

Ramesh Iyer: We have shared the guidances earlier. I repeated also in the call. So we continue to hold those guidances.

Moderator: As there are no further questions from the participants. I now hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: I'd like to take this opportunity to thank everyone for having taken out the time to attend our Q3 earnings call. Just in conclusion, I'd like to mention that the fundamental premise of electrification increasing and the electrical infrastructure increasing not only in India, but in most parts of the world as the energy transition takes place, there is really nothing that has changed this fundamental premise.

APAR continues to remain focused in terms of growing the premium products in the domestic market as well as looking at growing the export markets. A market of specific focus for us has been the U.S. market. And we believe that the fundamental steps there have to be taken -- have to be done irrespective of whatever the policy is, which is to focus on getting utility approvals and building our credentials with respect to a larger customer base in that market, 50% of cables are imported into the United States and that equation cannot change in a big hurry as long as the demand exists.

In the Indian market, we are seeing growth in the renewable side, both in terms of solar. Our expectation is that wind assets will get added at a faster pace going forward. We continue to grow our business in the infra space, especially with Railways, Defense and these sectors as well.

As Ramesh has guided, all businesses are still looking at growing year-on-year. And even if there may be some short-term changes that happen because of certain events or because there is a movement in terms of freight or foreign exchange rates, et cetera, et cetera, if these businesses

are looked at over 12 months or a longer period, I think the fundamental premise still remains the same.

In addition to that, we've been running a number of programs to improve productivity and alluded to Industry 4.0 for the Cable business, which is at a fairly advanced stage. Once we start reaping the benefits of that, there will be a much more rapid implementation that happens in the Conductor business, where a certain portion of equipment are actually common. And so productivity will also help drive some of the margins.

So we still remain fairly optimistic and don't believe that there is any fundamental changes that have happened. So I'd like to leave you with that thought and once again, thank you for joining our Q3 earnings call.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

Page 1 of 44

"APAR Industries Limited Q4 & FY '2025 Earnings
Conference Call"

May 14, 2025

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR, APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI – MANAGING DIRECTOR,
APAR INDUSTRIES LIMITED
MR. RAMESH IYER – CHIEF FINANCIAL OFFICER,
APAR INDUSTRIES LIMITED
MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 2 of 44

Moderator: Ladies and gentlemen, good day, and welcome to APAR Industries Limited
Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode. And
there will be an opportunity for you to ask questions after the presentation
concludes. Should you need assistance during the conference call, please
signal an operator by pressing "*", then "0" on your touchtone phone.
Please note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial
Technologies. Thank you and over to you, sir.

Ambesh Tiwari: Thank you. Good evening, everyone. This is Ambesh Tiwari from S-Ancial
Technologies. I welcome you all for the Q4 FY '25 Earnings Call for APAR
Industries to discuss Business Performance and Outlook.

We have from the Management side, Mr. Kushal Desai – Chairman and
Managing Director; Mr. Chaitanya Desai – Managing Director; and CFO
– Mr. Ramesh Iyer.

I will now pass on to Mr. Kushal Desai for the opening remarks. Thank you
and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good evening, everyone. And welcome to the
APAR Industries' Q4 and the full year earnings call.

Let me start by actually giving a quick overview of the overall performance
of the Company:

I will follow that up with a short update on the industry and the spending
and trend. And then I would like to get into more details on the segmental

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 3 of 44

performance of the three major businesses. Post all that, we can open up
the floor to questions.

So, APAR concluded the financial year with both revenue and volume
growth across all three business verticals. It's an all-time high quarter for
us. And the first time in our history, our quarterly revenues crossed Rs.

5,000 crores. So for Q4 FY '25, the consolidated revenue came in at Rs. 5,210 crores, which is up 16.9% year-on-year. The domestic business continued to demonstrate strong growth, and the domestic side is up 31.4% versus the same period previous year.

Our export mix is at 31.3% for the quarter. The US business has improved in this quarter; it is 195.6% higher than what it was over last year's Q4 and is 48.1% more than Q3 FY '25. So there has been an increase in the execution of orders and the receipt of orders from the US, thus far.

In terms of EBITDA:

Our EBITDA is up by 5.7% to Rs. 483 crores. It is at 9.3% EBITDA margin. The profit after tax came in at Rs. 250 crores, which is about 5.9% higher than the previous year. The profit after tax margin is at 4.8%. If you look at the 12 months consolidated revenues, we stand at Rs. 18,581 crores, which is 15% higher than a year ago. Exports have contributed to 32.8% of revenues in FY '25 as opposed to 45.2% in FY '24.

Coming to a few key industry highlights:

According to the National Electricity Plan, India's peak power demand is expected to hit 388 gigawatts by 2031-2032, for which the country would require a power generation capacity of 997 gigawatts. This will necessitate expanding the transmission and distribution network from source to grid,

APAR Industries Limited

Earnings call transcript Q4 & FY25

May 14, 2025

Page 4 of 44

and then through the last mile to the consumer. The Union Government is planning to connect all upcoming green energy units to a green national grid at an estimated investment of Rs. 4.9 lakh crores between 2027 and 2032. The NEP has also projected that during the same period, 2027 to 2032, India's battery energy storage capacity will reach 47 gigawatts, and the current capacity is just about 300 megawatts.

On the renewable energy front:

The Ministry of New and Renewable Energy achieved a historic milestone in the renewable energy sector for the financial year FY '25. As the coun

try

has recorded its highest ever renewable energy capacity addition in a single year, adding 25 gigawatts, which is nearly a 35% increase over the previous year's addition of 18.6 gigawatts. India's solar power sector led this growth with the capacity addition rising from 15 gigawatts in FY '24 to nearly 21 gigawatts in FY '25, marking an increase of nearly 38%.

The country also achieved a significant milestone of surpassing 100 gigawatts of installed solar capacity this year. Additionally, India's solar module manufacturing capacity has nearly doubled from 38 gigawatts to about 74 gigawatts in March '25, while the solar PV cell manufacturing capacity has tripled from 9 gigawatts to 25 gigawatts. So all these are indicators that show that solar addition should continue to take place at an accelerating pace.

Coming to the transmission line and substation addition:

In FY '25, India's transformation capacity has grown by 7% year-on-year, the installed capacity by approximately 5% and the transmission line network by approximately 2%. There were many issues with respect to right-of-way constraints and land acquisition hurdles which impacted growth.

APAR Industries Limited

Earnings call transcript Q4 & FY25

May 14, 2025

Page 5 of 44

Also, with the national elections taking place in this financial year, the first few months were pretty much lost in terms of all the election-related activities with relatively less expansion taking place through that period.

To address the rising demand and to facilitate integration of renewable energy sources, the transformation capacity and installed capacity will need

to grow by exactly 2x and the transmission line network by approximately 1.3x by 2023. This demand will be largely met through the tariff based competitive bidding which is TBCB. 45 Inter-State Transmission Systems or what they call ISTS projects will be awarded under the TBCB through this period of FY '25 onwards. The Central Transmission Utility of India Limited has released a rolling plan which is running up to '29, '30 projecting a CAPEX of almost Rs. 4.3 lakh crores for upgrading the ISTS network. So coming back to financial performance by each of the individual segments, we can look at the conductor segment first:

In the 4th Quarter of FY '25, revenues grew by 24.5% year-on-year, driven by strong demand in the domestic market. We also had a higher amount of realization in exports from the US. Volumes grew by about 5.9%, exports contributed towards 24.5% to the overall revenue. The US revenue grew by 142.6% for the conductor division over Q4 FY '24 and 229% over Q3 of FY '25. If you look at the premium product mix, that has contributed to 45.9% in Q4 FY '25.

In terms of EBITDA post open period FOREX, that came in at Rs. 41,430 per metric ton as against Rs. 48,438 per metric ton in the same period last year. The product mix and growth in shipments to the US, has led to the higher EBITDA per metric ton over what we saw in Q3 FY '25, which had come in at a period low of Rs. 18,860 per metric ton. So the order book

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 6 of 44

stands today at Rs. 7,163 crores, new orders received during the quarter came in at Rs. 2,114 crores.

On an annual basis, revenues have grown by 19.3%, volume has grown by 7.8% versus last year. The export mix was 24.2%. So even though the volume growth is showing 7.8%, a lot of value-added products, the mix has moved towards that, which includes a substitution of the conventional ACSR conductors with AL-59, and also the overall copper business has grown, with the copper transpose conductors going into the transformers being a major leading factor in the growth.

Coming to the oil business:

The revenues from the operations grew 3.3%, but the volume has grown by 9.3% versus the Q4 FY '24. Transformer oil volume growth came in at 7% higher,

automotive oil grew 6% higher, while the industrial lubricant size grew by 11.3% year-on-year. Export remains healthy, 41.7% of the mix. The EBITDA per KL came in at Rs. 5,873 per KL versus Rs. 4,251 from a year-ago.

If you look at the full year period, FY '25, revenue has grown by 5.2% to reach Rs. 5,087 crores. The volume growth has been at 7.8%. Transformer oil volumes have grown by 14%, driven by stronger demand, both domestically as well as overseas. And our automotive sales growth led by higher volumes to OEMs has grown by 17.6%. Export for the year contributed 44% of the overall revenue. EBITDA per KL for the year came in at Rs. 6,145 per KL as opposed to Rs. 5,746 per KL in the previous year. Now, coming to the metrics of our cable business:

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 7 of 44

Our cable business revenue for Q4 FY '25, it posted a strong revenue growth of 29.9%, 30%, to reach Rs. 1,410 crores on the back of both strong domestic demand as well as increased shipments to the US.

Continued infrastructure CAPEX has led to domestic business growth, this includes shipments to various data centers that are being set up in the country and is covering not only Amazon but also Google, Microsoft and

Adani. Export mix came in at 28.4% in Q4 FY '25 versus 24.7% in Q4 FY '24. The US revenues grew by 268% over Q4 of FY '24.

Coming to the EBITDA post-forex, that recorded a year-on-year growth of 21.5% to reach Rs. 150 crores. The EBITDA margin is slightly down by 0.7% versus what we had in Q4 FY '24, but it is up 1% versus what we had in Q3 FY '25. So this has contributed from a better product mix and larger shipments to the US. Scale economics has also added to improve the EBITDA margin over Q3 of FY '25. The pending order in the cable business is at about Rs. 1,500 crores. So if you look at the revenues for the 12 months FY '25 for the full year, that has grown by 28.1%. Domestic business grew by 43%, the export mix stands at 31%, and the EBITDA post FOREX grew 13.4% to reach Rs. 498 crores for the year.

So the US business has shown a recovery in this quarter, which along with continued domestic business growth has resulted in an all-time high revenue for the Company as well as for the conductor division, oil division and the cable division, individually. This was in spite of the general election and some of the supply chain disruptions that happened, and the poor US demand which happened in the first part of the year. We have also seen increased Chinese competition which has posed challenge in terms of export to countries where the Chinese products are well accepted, which includes some parts of Africa, Latin America and Europe.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 8 of 44

We believe that the fundamentals of the business remain intact, and we are optimistic that we will continue to be able to deliver sustainable and healthy business in the coming periods. The US tariff situation continues to have a bit of an overhang until there is a DTA in place with the US. Hopefully, this is at an advanced stage, and we hope that the outcome will be favorable for India relative to what tariff is being charged to other countries.

I would just like to reiterate the fact that over 40% of the wires and cables and conductors are imported into the United States, which is over \$20 billion from a total market which is about \$55 million. And with this whole energy transition moving towards more electricity-based demand and with the growth of hyperscaler data centers where the largest number of data centers being added are in the United States, we would continue to see the US as being an important and a strategic market. The gap remains so high that the only way that the electrification can continue is with import of products. Within hopefully a short time the overhang sho

uld actually settle
down in terms of where exactly this stands.

The Company is actually stepping up substantially its CAPEX plan. We completed CAPEX of about Rs. 500 crores in FY '25. We have a plan of adding Rs. 1,300 crores of CAPEX through FY '26 and running into the 1st Quarter of FY '27. So the CAPEX should go in the next 12 to 15 months. And considering commissioning, in about 18 months we should have most of this equipment up and running. This includes about Rs. 800 crores on the cable side with building of a brand new site. Post this expansion, we would expect a turnover to be able to be generated from that complex, which would take the business up to about Rs. 10,000 crores of capacity that we would have from what we have executed this year, which is close to Rs. 5,000 crores. So it's essentially being able to double the capacity of the business.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 9 of 44

We are looking at adding about Rs. 300 crores of CAPEX to the conductor business, and that includes some of the rods which need to be produced

for our cable business as well. We are also expecting to spend about Rs. 200 crores in the oil business, where we are building a brand-new storage terminal in the JNPT port, so that we can cut down the supply chain cost of bringing product into the country, better distribute it across the manufacturing facilities we have. And this is also going to allow us to be able to do bulk exports from the terminal of transformer oils, white oils, and pharmaceutical oils, which is something that APAR has not had so far. We have had to resort to doing export only through flexi bags and containers.

So in conclusion, I would say that looking at the situation today that I have explained, we are fairly bullish in terms of how the business will develop over the next few years. We are loading up front the CAPEX that we planned, so that we have the capacities in place as the demand in the business continues to grow. We also have a very detailed Corporate Presentation in the Investors Section of our website; I would encourage you to please go through that to get a more detailed perspective on the Company's activities and strategy.

So with that, I come to the end of my opening remarks, and we would be very happy to open up the floor to questions.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from the line of Mohit Kumar from ICICI Securities.

Please go ahead.

Mohit Kumar: Good evening, sir. Absolutely fantastic job on the profitability. My first question is, from the looks of it, it looks like you are selling a lot of non-premium conductors in the domestic market. Still, you have been able to

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 10 of 44

maintain the EBITDA per ton. What explains the strong profit despite your exports? Is it AL-59?

Ramesh Iyer: So, as you see, in this particular Q4, we have about 45% of the products coming from the premium products that we have, and this is actually excluding AL-59. AL-59, we are still categorizing it as a standard non-premium product. So 45% of the products are premium, giving a higher margin, plus you have AL-59 as a non-premium product, but still the margins are higher compared to the conventional business.

Secondly, if you see, this particular quarter we have rebounded in terms of the US business. The turnover from the US business has increased, where the margins are higher, and that has also resulted in high margin, especially in this particular quarter. So broadly, these two are the reasons that have helped. And also if you see, the copper business is also scaling up, the margin and the products. And the mix of copper is going up, that is also helping us to increase the margins of the overall conductor division.

Mohit Kumar: My second quest

ion is on the US. The US looks to be a lot more uncertain compared to the last quarter, right? But is it impacting our sales in Q1? Is it a fair assumption that Q1 will be weak in the time, and we get the clarity as we go forward, and the US will pick once we have the FTA in place?

Kushal Desai: So, Mohit, Q1, actually, we are still continuing, on the cable side still we have got a green signal for a lot of the material which had been planned to be produced in the month of April, May and June. As you know, the tariff falls has happened up to the 9th of July. So, a lot of the order book which was there, we got to continue to execute that. Some of the customers who are already at advanced stages of executing on their projects have even agreed to pay whatever is the differential tariff that comes in post the 9th of July as well, because the cables are required to complete their

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 11 of 44

projects. So, you would not see that dip actually taking place substantially in Q1.

Also keep in mind that a lot of product is already in the DDP stage, meaning DDP as in it's in transit. So, all that revenue will be booked in the 1st Quarter of FY '26. Similarly, even on the conductor side, there is a product which is being delivered. We have got clearances to produce and dispatch product for this quarter. I think beyond this quarter, many customers are just waiting to see what is going to happen. Both from the US side as well as from the Indian side there have been various announcements of trade delegations going back and forth, very high level, right from Vice President of the United States, Commerce Minister of India, etc. And the sense is that, whatever be the final situation that settles, India should hopefully not be at the disadvantage as compared to other countries.

Now, if you see the major places from where cables were being imported into the US, looking at the US import statistics, countries were basically Vietnam, Cambodia, Indonesia, India, Mexico. From where, the kind of product range that we are exporting, the competition is coming from. Both Cambodia and Vietnam are seen as a proxy for China. And their duty rates are much higher than whatever were the tariffs that were originally declared. India being at 26%, these two countries were at 44% and 46%, respectively. And Mexico at 25%. So, that was what was announced. Then the pause came in, so everybody is at 10% currently. And we will have to wait and watch.

That's why I said in my opening remarks that there is a bit of an overhang. But I think the market requires a very, very substantial amount of import. It's exceeding \$20 billion. And the kind of demand that's coming from data centers and these things, one is continuing to scale up. One of the

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 12 of 44

highlights which I did not mention in the opening remarks is that we have got, after supplying Microsoft quite satisfactorily in India, we have gone onto the global vendor list for supply to data centers in the United States. And so that I think is another area that we are looking forward to be now able to participate in various RFQs that come up through our FY '26 onwards. Does that answer your question?

Mohit Kumar: Yes, sir. It does, sir. Thank you and all the best, sir. Thank you.

Kushal Desai: Thanks.

Moderator: Thank you. The next question is from the line of Mohit Motwani from Tara Capital. Please go ahead.

Mohit Motwani: Yes. Hi, sir. Thank you for the opportunity. The first question is on the conductor exports. Now, we saw very strong growth in the US exports on a quarter-on-quarter basis. Can you talk about the outside US markets, what we have seen there? Because I think in the last quarter the US was soft and other geographies were helping to get growth. But I think in th

is quarter it

seems there's some moderation in the outside US market, so if you can speak about that.

Kushal Desai: Yes, I think last quarter, we had actually explained in one of the questions that outside the US and India, the rest of the markets were weak for us, because the Chinese competition was very aggressive. So this is the situation for the quarter which has just got over as well. And even for the future also, the immediate future, we see the situation continuing. It's the domestic market which is doing well in India.

On the US side, also in the last six months what we have been doing is that we have been actually working in improving our on-the-ground presence

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 13 of 44

in the US. So, APAR today has four employees, one very senior advisor and three employees on the ground in the US on the cable side. There's one person who is being seconded there on the conductor side, full-time. And we have been signing up distribution and reps, manufacturing reps, which is what they call in the US, the people we have signed up is covering about 75% of the US market. So we have been systematically working with them to increase our approvals in the public utilities, in the independent-owned utilities, as well as in the commercial industrial space, including real estate.

So on the ground the thing is, the US market maybe made quite a lot of advances in terms of on-the-ground presence, on-the-ground approval. I also mentioned about Microsoft approval just a couple of minutes ago. So, as Chaitanya mentioned, in other markets you are finding a lot of Chinese competition. There is a subsidy which is in the region of about 8% to 12% coming in from China. Selected premium products, we signed up some business in Latin America for HPLS and a few other premium products. But otherwise, the domestic market continues to remain very strong. And the prospects in the US are looking better. If this tariff overhang wasn't there, I think we would have been looking at a very, very substantial runway and growth there. But we are optimistic that this thing will also get resolved. Keep in mind that basic import duty for aluminum is at 25%, even today, in the US. So as a consequence, even the local manufacturers are facing an increase taking place. And that is not based on any reciprocal tariff etc., there is a separate notification out, which is under Section-232, under which this higher tariff has been applied for aluminum, steel and a few other products. So, even though we see that non-US exports are not looking very attractive because of the pricing, the Indian market itself is very strong. And the US market, it will settle down, and we are quite optimistic that the

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 14 of 44

business there is going to grow. So we are basically gearing ourselves up to be able to make sure that we meet all that demand coming up.

Mohit Motwani: Sure. Thank you for the detailed color. One more question on your employee expenses, any reason for the sharp drop quarter-on-quarter, is there any reason for that?

Ramesh Iyer: No, there is no specific reason for this. Some of the estimates, based on quarterly numbers we revised the employee benefit expenses. There is no specific reason for the drop in the numbers.

Mohit Motwani: Okay. Sure. And one more question on your cables, you mentioned the front-end CAPEX of Rs. 800 crores. So in the previous calls we have guided for 25% revenue growth of cables. So this incremental CAPEX, does it increase our guidance for cables or is this already factored in the higher CAPEX? Is the 25% growth factored in the higher CAPEX?

Kushal Desai: So we are still guiding a 25% growth for the simple reason that, if you see, by the time this whole thing is executed and in place, it is really going to be available

for revenues that kick in from FY '27 onwards. This most of the money is going into the greenfield site, where almost 48 acres of property is being completely built up. All the civil infrastructure will be in place. And we are making an investment essentially a year ahead, so that we have a clear runway to get to Rs. 10,000 crores in business.

Mohit Motwani: Got it. Thanks for the answers. I will jump back in the queue. Thank you.

Moderator: Thank you so much. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Thank you for taking my question. And first of all, congratulations for the strong numbers. First question, in continuation to cables again, sir,

APAR Industries Limited
Earnings call transcript Q4 & FY25

May 14, 2025

Page 15 of 44

you said that we will be investing Rs. 800 crores and revenue is going to double in the next three-four years. I wanted to understand this incremental Rs. 5,000 crores revenue, as we have been also discussing in the past the specialty cables like elastomeric, E-beam and low-duty cables also, so where the focus will be in this capacity expansion? And will it be margin accretive? Any guidance or directional margins which we are targeting to achieve?

Kushal Desai: So, in terms of where the capacity expansion is happening, all varieties of cables are expanding. So we are looking, if you take the XLP side, which is the power cable side, our medium voltage capability, which is your 11 kV, 33 kV and then in this expansion, we will also have the ability to manufacture 132 kV and up to 220 kV. So the testing equipment, manufacturing equipment, everything is going in. So our total capacity to produce medium voltage cables and up to 220 kV cables, if we aggregate that, it will go up by 4x from what it is as of today. So there is a new line, two new lines coming in, two existing lines getting transferred to the new plant and getting completely rebuilt. So that there will be not only this capacity expansion, but our utility costs and conversion costs will also substantially fall.

Then if you come to the low-tension cable side, because we do a whole lot of specialty LP cables, UL approved for the US market, which go into the residential, commercial, industrial, utility, etc. So that portion of the business also the capacity will double from what it is today. We are also looking at doubling the capacity that we have for the medium voltage cables that go into windmills. So we are seeing a big resurgence on the windmill side. And our sense is that there will be modernization schemes that will come up.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 16 of 44

If you look at the windmill landscape, if you see, once upon a time the wind power was much more than solar power, if you dial back about 10 years. And those windmills which have gone in are all very low capacity. The windmills are 250 kilowatts, etc. Today, the minimum standard is 3.3 megawatts, 3.5 megawatts. So, a lot of new windmills are being added to form the hybrid combination of wind and solar. In addition to that, we expect that over the next few years, a very good policy will come in which will upgrade the old windmills to be modernized for new windmills, because that real estate is already occupied by windmills which are actually of very low capacity, the best tracts of land where the wind is at very high velocity.

So, the wind side is also going to increase. We are substantially increasing; we have already increased our electron beam capability. There is one more machine coming in. So, the amount of solar cables which we can produce, we have doubled the solar cable production between FY '24 and FY '25, and we will have the capability to double that from FY '25 as we go into FY '27. So, all around you will see all categories we will have the ability to expand. We

are also bringing in some new equipment on the cable side to be able to make much higher volume of cables that go into the Indian defense where you need very specialized type of equipment to make those cables. We expect that over the next few years; defense spending is not only increasing but the indigenization content is also increasing. That includes the cables which we are going to supply.

So, all around we see on the cable side the growth and we do not want to miss out on these opportunities. So, we are expanding our capacity at least one year ahead of time because it is very difficult in a growth phase like this to time exactly when the growth will happen. So, all varieties of cables

clearly we have got expansion in place. The only area where we are not

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 17 of 44

expanding is in optical fiber. The optical fiber side is because there we see that the OFC cable demand is actually quite poor at this stage. So, our concentration is on everything other than OFC.

Amit Anwani: Right. Right, sir. My second question, sir, again on the US business, though there is a very good comeback and resurgence in US business which has happened for us this quarter and you highlighted there was some overhang. So wanted to understand what is still bothering us, will it be landed cost which because of tariff might impact our competitiveness? Because you have highlighted that the business in US is still strong, data centers plus the macro demand there, and you highlighted that massive imports are still happening in the US for cables and conductors.

Kushal Desai: Sorry, I am cutting you, there are three data points that I mentioned which is the best information that we have as of today. One is that there is an over \$20 billion annual import that is taking place and is likely to continue. Second thing is that the key exporting countries into the US, India even at the moment is not at a disadvantage relative to Mexico, Vietnam, Cambodia and Indonesia. So, in that sense also we are not so badly off. Hopefully the tariffs will be down lower than what they are.

The third thing is that the US is importing aluminum, and that at the moment is under a special Section-232 where the tariff is at 25%. And that Section-232 is based on products which need to be manufactured in the US in the long run, and is of strategic importance. So, if you look at these data points, it does not point towards us having, I am sure that we are very optimistic that things should settle down. So, you may find a little disruption in the short-term but hopefully it will iron itself out over time.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 18 of 44

Amit Anwani: Right, sir. Sir finally, any guidance you would like to give for EBITDA per ton growth or maybe also for the oil business EBITDA per KL, any guidance you would like to give for FY '26?

Ramesh Iyer: So in terms of oil division, the volume growth we are looking at about 6% to 8% and EBITDA guidance is about Rs. 5,000 to Rs. 6,000 per KL. In the conductor division, we are looking at a volume growth of about 10%, and EBITDA per metric ton of Rs. 30,000 plus tailwinds on a 12 months basis. In case of cable business it would be value growth of 25% and EBITDA range of 10% to 12% on a 12-month basis.

Amit Anwani: Thank you, sir. Thank you so much for taking my questions.

Moderator: Thank you. The next question is from the line of Jayesh Sundar from Axis Mutual Fund. Please go ahead.

Nitin: Hi, sir. This is Nitin here from Axis Mutual Fund. Sir, just one question on the non-US business. You articulated your context, I think, over the last two, three quarters that competition is really increasing from the Chinese players in the non-US market. But how are you thinking about it? Because it's also a very decent piece which is coming down q

uarter-by-quarter. So is there something backward integration or localization or putting a subassembly there helps you? I just want to know how as a promoter you are thinking about it. Will it structurally keep perennial issue? It keeps coming down only now. There is no chance of recovering back. How one should think about this business, if you can throw some light on the non-US part.

Chaitanya Desai: So the thing is, with the Chinese government policies, we have seen in the past also, at times they have kind of subsidized the aluminum and steel in China. So that has given the advantage at that time. But these things go in

cycles and cannot be predicted. So, we do not want to kind of do any

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 19 of 44

backward integration or any such thing in China because, again, we may not be able to have that sustainable advantage. It's all dependent on how the Chinese government policy is from time to time.

Kushal Desai: On the contrary, we are looking at, and we had mentioned this in the previous earnings call as well, and we have gone ahead to appoint advisors to look at manufacturing in the United States. And so that exercise is actually going on. Because not only do you have tariffs and a potential tariff overhang, but there are certain projects which are being executed. And there are certain public utilities in the US who want to buy only US-manufactured products because of the way in which they get compensated etc., etc. It's a very complex sort of network in the US.

And there are customers who pay a premium for immediate delivery, very short notice delivery. So that exercise is going on. So rather than looking at backward integrating and doing anything in China, we are looking more in terms of wanting to produce and expedite production in the United States, given that market is such a large market, and will continue to be a large market over the next decade or so.

Nitin: Sir, the CAPEX which you have announced, does that entail a picture of putting something in US as well? Or that will be fresh investments that we should look this year announcement should come, or how are you thinking about that?

Kushal Desai: So this current investment is all the investment that's going into our existing manufacturing plants in India as well as there's a piece in the UAE for our oil business where we are putting in some new tankage and stuff over there. So it's all in our existing manufacturing facilities plus this greenfield facility coming up in the cable side. So the US will be something that will be over

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 20 of 44

and above this. And then the growth numbers would be also different, wherein there will be additional growth to support that investment.

Nitin: Okay. Now why I am asking this sir, sorry for again now pressing on this because there's a recent agreement that happened with China as well, the FTA between the US and China. Can you throw some light, because now the articles are not out yet which product gets about 25% or a 30% duty versus us. Can you throw some light if when we send a conductor from here to US versus what China now will send to US, has the duty arbitrage has become very narrowed down or still the arbitrage is 20% to 30%?

Kushal Desai: So if you see, what has happened is that everything has reverted back with a 10% delta to what was existing. So there is an additional duty of 10% which is put on every single country, right? And in the case of China that additional is 30%, because previously the delta between others and China was 20%. So what the Trump administration has done is, they have recalibrated back to whatever deltas were there with a 10% increase. So that is what is happening in this 90-day period. I guess the Chinese 90-day period is a little bit different than the rest of th

e world because we were from maybe 9th of April onwards to put this in place. But otherwise the economics, I do not think that there is anything more favorable going to come into China relative to India, that Delta will probably remain, and the signaling is that it's going to remain at 20%.

Nitin: So basically I was asking this only that going forward the US itself will become very important for us and non-US will now face a perennial issue until unless you feel that you set up a plant in US, which can cater to the

other parts of the world at a less cost.

Kushal Desai: So the plant in the US, will look at catering to the US, and especially those utilities which buy US, products and which work on short deliveries. What

APAR Industries Limited

Earnings call transcript Q4 & FY25

May 14, 2025

Page 21 of 44

Chaitanya has mentioned is that, even in the past the Chinese have done this, in the last 15 years, this is the third time that they are subsidizing by this time a lot more by 8% to 12%. But that adds up in multiple billions of dollars.

The way they do that is they subsidize the price of the metal for our industry, there are other ways of subsidizing for other industries. So that bill becomes a massive bill over a period of time. So they have after doing it for X number of months or up to a year or year and a half then they pull that off and then again you have a period where the Chinese people then, are not in a position to compete as much. So we believe that these sort of cycles of subsidy are there to meet a certain objective and when the bill becomes too hefty then it gets reduced. And we have seen that happen twice before in the last 15 years at least.

Chaitanya Desai: I will also add there that a lot of this is because the Chinese government has tried to help their manufacturers who earlier had a decent market in the US, and then finally they were out of the US, market. So then to help them to penetrate the rest of the markets this kind of subsidy is being given. So if suppose things may at some point not be, so difficult for the Chinese manufacturers in the US market, then it is possible that subsidy may also get reduced out. But we can't say for sure what will happen exactly as of today. But this is one of the reasons we were given to understand from people that we have been talking to in China.

Nitin: Got it. And sir this last question on the guidance of EBITDA per ton, I mean, this has become the very difficult number for us to predict but given the Rs. 30,000 per ton kind of a guidance next year, plus the tailwind, what Ramesh said, generally you know your order book of conductors from the very first day. It's just when what gets executed becomes difficult, right, to

APAR Industries Limited

Earnings call transcript Q4 & FY25

May 14, 2025

Page 22 of 44

assess in which quarter. And in the current order backlog, is it safe to assume that 40% to 45% is still premium? And that's where, at that premium level, this guidance of Rs. 30,000 per ton is given on an annualized basis.

Ramesh Iyer: Yes. So the way the guidance has been given is based on an estimated number for 12 months. And a lot of it, we do not have an order book as of now, but it's more of medium-term guidance that we have given, because the pending order book that we have also has some deliveries that may fall beyond FY '27. About 20% of the pending order books are those deliveries that can happen after FY '26. And we, at the same time, we also get a lot of orders during the quarter, and that has to be executed in the quarter. So typically, it's very difficult to estimate EBITDA for our line of business, and we have always been saying that we need to look at this EBITDA on a 12 monthly basis rather than on a quarterly basis. But based on the premiumization and the mix changes that we have worked out, we feel that any time it could be anywhere about Rs. 30,000 plus tailwi

nds. That

depends on the kind of product mix and the geography mix that we do.

Kushal Desai: So you see last year also, there's been, because of the election year and things, a lot of HDLS and upgrade projects did not happen. They are also in the process of various tenders have come up, etc., etc. So if these premium things keep on happening, then if you saw, we had said that if

you take a five year period or an average, we were talking about Rs. 25,000 to Rs. 26,000, then we upgraded it to Rs. 27,000 to Rs. 28,000. Now with the mix of products and what we see, we can further upgrade it to Rs. 30,000. So as more and more time passes by on the execution of these things and the visibility on these things, then I guess we would be in a position to then keep revising the guidance. But Rs. 30,000 is a guidance which, as Ramesh says, it's a medium-term guidance that you can work on.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 23 of 44

Nitin: Got it. That's very helpful, team, and all the very best.

Kushal Desai: Yes. Thank you.

Moderator: Thank you. The next question is from the line of Sagar Dhawan from Valuequest. Please go ahead.

Sagar Dhawan: Yes, thanks for the opportunity. A question on the domestic conductors business. So we have seen a strong growth in the domestic business, about 64% growth in FY '25. Just wanted to understand going into FY '26, what is the outlook and what could be the drivers for growth to be able to grow from a very good growth we have seen in this year already, the domestic conductors business?

Kushal Desai: We look at the growth thing more from a blended totality point of view. The domestic business has grown 64%. What we look at, what is the higher EBITDA per metric ton, whether it be domestic or exports. And based on this thing and also based on our factory utilization, we are kind of executing the orders. So I would say that we will more be guided with a blended growth rather than looking at domestic and exports for the division.

Sagar Dhawan: Understood. Just a follow-up. Just based on the demand environment that you see in the domestic market today, would it be fair to assume that next year as well there could be a double-digit sort of a growth or any number on the, purely on the domestic growth outlook?

Ramesh Iyer: Yes. So the market outlook looks positive with the kind of transformation capacity and transmission line that is needed. And based on various documents that is there for 2030 till 2031 onwards, the market outlook is positive. Our growth will largely depend on where the higher margin for your metric ton is there. And accordingly, we will allocate capacity either

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 24 of 44

to domestic or exports based on the profitability that we get out of the orders.

Kushal Desai: If I may just add to Ramesh's, like, we have grown by this percentage. As you saw in the opening remarks, that the transmission network has grown only by 2%. The transmission line network, because of various right-of-way issues, the election period, there's been a lot of manpower shortage also. During that whole election period, there was a big manpower shortage, etc. So if these plans are executed, and we can see that several very, very mega solar projects are coming up. Solar, wind, and hybrids are coming up. If the pace of the transmission line additions start increasing, then you will see even further levels of growth. That's one of the reasons why we have been quite aggressive in terms of wanting to add the CAPEX in place so that we can proactively get after the demand rather than react to the demand.

Sagar Dhawan: Understood, sir. Just in terms of the CAPEX that you are adding on the conductor side, you said Rs. 300 crores. How much of capacity are we adding in terms of metric tons per year by the CAPEX?

Kushal Desai: It

could be about 10% will get added. So about 25,000 tons, but this 25,000 tons is capable of being made for all the premium type products

as well, so you have HPLS, you have CPC, all of those high-end products can be made with this 25,000 ton expansion.

Sagar Dhawan: Got it. And one last question from my side, what would be our market share in the domestic conventional conductors market and in the AL-59, if you have the numbers off-hand?

Chaitanya Desai: It's about 25% or so.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 25 of 44

Sagar Dhawan: Understood. Thanks. Thanks for the taking my question.

Kushal Desai: It would be much higher than the HPLS and those premium types. Yes.

Sagar Dhawan: Okay. Thank you. Understood. Thank you.

Moderator: Thank you. The next question is from the line of Maulik Patel from Equirus. Please go ahead.

Maulik Patel: Yes, thanks for the opportunity. Kushal bhai, I have never seen you so much bullish in the last 15 years of tracking you. Given that you are spending close to Rs. 1,300 crores over the next 18 months, almost 50% higher than what your current gross block is at, and you have summarized your optimism that various government schemes and the CAPEX which is driving that. I have just one question on that. How are you going to fund this CAPEX of Rs. 1,300 crores? Because we have never done this kind of CAPEX in such a short period of time over in our history.

Kushal Desai: So, we just had discussions at the Board level itself on that. And the plan is to do Rs. 650 crores coming from our equity and Rs. 650 crores coming from a long-term debt. So, we will use a one-to-one equity-debt combination to fund this.

Maulik Patel: Got it. And the second question is that, in terms of, see, look at that when you had hardly any margin in Cable, 10, 12 years back, now you are almost Rs. 5,000 crores of top-line and 10%, 11% margin. Cable was hardly contributing anything to the operating profit at that point of time and now almost 30% plus. Where you are at and the way your CAPEX plan is that you want to bring Cable from Rs. 5,000 crores to Rs. 10,000 crores. Are we going to see more and more of a Cable Company in the future than the other two? Obviously, today, the conductor EBITDA is relatively on the

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 26 of 44

higher side and probably sustained for the next one or two years. But eventually, in the next three to four years, the mix will be much more towards Cable and less towards other two businesses. Is that what you think about the business?

Kushal Desai: So I think, Maulik, our position is that we want to support all the three businesses, be agnostic to supporting one business more versus the other.

I think we did that raise, the equity raise in November of 2023, simply because we wanted a stronger balance sheet in place to allow all the businesses to grow on their own merit. So, whereas we see that the cable business has the largest addressable market, and as a consequence, as we are also growing from strength to strength in terms of all those specialty products, specialty applications, the conductor business itself, being 50% of our revenue, is also growing at a fairly rapid pace, all over the world, transmission lines are to be added.

So, we are equally bullish on both of those businesses. Within the oil business, the transformer oil business is also growing at double-digits. It's the other lubricant pieces which are growing relatively slower, and we are quite happy with that, let it be at whatever, and this still growing more than the market is doing. So, I do not think, as a management, I do not think we are looking at supporting one business more than the other. We would like to support each of the businesses on its own merit, and as long as it makes

economic sense to invest in that and grow it, we

are going ahead and

doing it. So, you will see the cable forming a larger percentage of the total revenue because it is going to grow at a faster pace than conductors, and the oil business will probably be at the slowest pace of the three. Already, in FY '26, you will find the cable business being larger than the specialty oil business in terms of revenue.

APAR Industries Limited

Earnings call transcript Q4 & FY25

May 14, 2025

Page 27 of 44

Maulik Patel: No, I think profit it is already much larger than the TSO segment. Just one question on the net earned balance sheet. What is the acceptance on the books at the end of FY '25?

Ramesh Iyer: It's about Rs. 3,500 crores, Maulik.

Maulik Patel: We remain the same, right? I think, compared to last year, the number has been pretty much stagnant.

Ramesh Iyer: Yes. Because we have deployed a lot of cash into cash purchases, the available profits have been deployed into cash purchases, and that's where as you know. And also, the earlier statement that we talked about the funding of that, half of it will be debt and half of it will actually be internal accruals, just instead of equity. Equity actually meant already the internal accruals or internal cash that we have on our books. So, currently, all this cash has been used to pay more or get purchases on cash basis. And therefore, as you rightly said, the acceptance level has increased. Once we deploy money of this cash into CAPEX, we will see a higher acceptances going forward.

Maulik Patel: You really see the higher number on the acceptance side next financial year?

Ramesh Iyer: Yes, as the money will get deployed into CAPEX, that is where it will get funded from.

Kushal Desai: But you will also see in the actual working capital management that we have grown the business and reduced the number of days that we use the cash. It's almost down by a week, seven to eight days, overall. So net working capital is also down seven to eight days.

APAR Industries Limited

Earnings call transcript Q4 & FY25

May 14, 2025

Page 28 of 44

Maulik Patel: Got it. And just last question, if you allow me to, we heard earlier that some of these EPC players like KEC which has gone into and set up the conductor plant, right, own captive consumption. And I think Adani was looking to, and they acquired the Diamond Power, and they are also adding it. Why do you say this new conductor capacity is coming up in the domestic market and do you think that that will have any kind of bearing on a longer-term conductor margin? Because you have, I have seen that you keep adding your value-added products, you keep investing in R&D and stuff coming out with a new product, which has been your niche over the last seven, eight years. And that has reduced volatility in the conductor margin at a large extent. But these upcoming capacities, are they more for the traditional conductor or are they more for the specialist, I mean premium conductor?

Kushal Desai: So the thing is, Maulik, that the kind of investment, which is being made, for example, KEC in conductors, they will produce the conventional type of conductors, ACSR, AL-59. I think we not only produce that, and I have produced it quite efficiently because we are fully integrated, including doing our own alloying, etc. So they have developed their alloying technology for AL-59, but we have developed the alloying technology not only for AL-59, but we do gap conductors, ACSS, ACCC, we do a whole range of copper products.

Next year, our copper business will be over Rs. 3,000 crores, which will be, if you just look at the cable companies, we will be in the top 10 cable companies on copper. Not even 10, maybe the fifth or sixth largest. If you just look at it, copper has been produced on the conductor side. So, the business has evolved quite a lot. We do a lot of specialized EPC as well, which supports these premium products. So I thin

k, for us, we are playing
an infinite game. We are interested in increasing our own product mix,

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 29 of 44

figuring out what are the products. So, you have got people like the large developers who are also bidding on TBCB lines to evacuate power from some of the generation sources that they have. We are in dialogue with them, saying that, why are you looking at only conventional conductors. We can offer you a full range of other products, which can reduce your losses, your cost of ownership, etc.

So the game that we are playing is now completely moved away from just producing a conventional conductor. The same thing is there on the cable side. On the cable side if you want to get into renewable energy, so on the renewable energy, there is a certain Indian standard, but there is a much higher standard that exists in Australia and in Europe. There is also a higher US standard that exists in the United States. So we are making products of all those standards. We are now pitching those products, and we supply thousands of kilometers to these countries.

Why do not you look at upgrading in India to those standards? Because they are all meant for being able to weather the weather. Temperature fluctuations, the hostility in terms of wind, sunshine, all those things. Water. You see, there is a lot of stuff going into deserts and into probably into the Rann of Kutch and those areas. So that's all salty terrain or it's desert terrain. So there are different types of products that can come up to better manage the application. Because these panels are supposed to last for 35, 40 years. We have just launched a new, we were the first to do APAR Anushakti in the country, the E-beam house wire. Now today, you have RR Cable has come in, Finolex has come in, Polycab has come in, V-Guard has come in. Everybody is trying to follow. We have come up with an upgraded product that instead of carrying 50% more current, it carries 100% more current.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 30 of 44

Instead of having 50-year life, it has a 70-year life. And this is zero-halogen product, so it's less toxic in case an accident does take place.

So I think we are constantly in a position to keep upgrading and that's the game that we want to play. So whether Birla enters this or whether you have Adani entering the wires business, I think there's enough and more business available for players like us to continue to innovate and sell in different segments and different geographies.

Maulik Patel: What kind of growth you delivered in FY '25 on the Anushakti side?

Kushal Desai: 37% growth.

Maulik Patel: That makes close to around Rs. 350 crores top-line on that?

Kushal Desai: Yes, about Rs. 375 crores. Yes.

Maulik Patel: Got it. Thanks. Thanks, Kushal bhai. Thanks very much. Thanks for taking my questions. Thank you.

Moderator: Thank you. The next question is from the line of Nikhil from Kizuna Wealth. Please go ahead.

Nikhil Poptani: Yes. Hi, sir. Congratulations on a great set of numbers and thank you for giving me the opportunity. So my first question is like, in network Vodafone, there were a lot of companies that were front running due to

the US search. So have we seen searches value in our clients? And second, sir now with this, so much tariff wars in Q1/Q2, so are we expecting that companies will pilot in UK and then we will see an increase of inventory de-inventorization phase again?

Kushal Desai: Sir, your first question we did not understand, can you repeat?

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 31 of 44

Nikhil Poptani: Sir, like in Q4, we have seen a lot of companies front running their tariffs. Like a lot of companies started building up their inventory, so have you seen the same phenomenon?

In the secondary, now with the tariff pause, so our companies start building their inventory and now are we seeing inventories being built up and then we will see a phase of de-inventorization in Q2 or Q3?

Kushal Desai: So, it's a good question. I do not think, Nikhil, that's not what we are seeing at our end. We have a significant amount of our shipments which are going in directly to EPC players and project sites. So, those are against specific requirements which are there. We are not really seeing a big inventory build-up. Also, many distribute, import distributors wanted to place much larger orders on us but we had already booked out our capacity. So, we were not in a position to take on, we did not have any spare capacity. Everything was already allocated, and orders were booked. So, those are getting executed.

And the kind of client mix which we are looking at because now we have got a bunch of, we have got a sales team on the ground and working with manufacturing reps. We are no longer looking at being overly dependent on an import distributor. We are the ones who, actually stock up. They also sell a lot of cables in their own brand name through multi-listing on the US, whereas the APAR focus is to sell also a lot of APAR branded products with approval from end customers.

So, I think for us the overhang is just basically in terms of the tariff and clarity on that so that people can price their product, correctly. And our sense is that hopefully it will get resolved within the period of these 90-days. And then as the business, the new orders start coming in, they will come in from a much larger set of customers. So, we are not worried about

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 32 of 44

any front-loading or, front-running, etc., or an inventory overhang. At least as of now, that does not seem to be the case.

Nikhil Poptani: That's great to hear. That's absolutely great to hear. Sir, my second question is, like, how were the inquiries in the month of April and May? And now, as you said that China is providing 8% to 12% subsidiary. So, are we expecting price wars in the US, market too?

Kushal Desai: So, the serious buyers have actually been quite wary of wanting to, sign things up. The US China relationship, as you can see, is extremely volatile. And, the 90-day truce, as I mentioned just a few minutes earlier, which is there, is keeping the same delta as was one existing before. So we do not see anything like substantially changing as such. In fact the Chinese competition is hurting us in non-US markets, we are not so worried about China in the US market. We have to compete with them in other non-US markets.

Nikhil Poptani: Okay. That's great to hear sir. And sir now as we have upgraded our guidance from Rs. 28,500 EBITDA per ton to Rs. 30,000 EBITDA per ton. So are you assuming that EBITDA per ton has bottomed out. Now there's only upper credit trend going forward?

Ramesh Iyer: No, we have been saying this earlier also, we need to look at it on a 12

months basis and that is how we have given this guidance. So there will be some quarters where EBITDA is low, some quarters EBITDA is high, because of the nature of the business is such that it is all made to order business. And therefore we need to look at a long-term 12 months or even beyond that to get a good feel of the numbers.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 33 of 44

Kushal Desai: But as things are as you have premiumization being played, as you move from conventional ACSR to AL-59, all that, so fundamentally the product mix should drive it upward.

Nikhil Poptani: Okay. That's great to hear, sir. My last question is on the new Trump administration is not the plan of renewable energy, they are moving to coal-based. So have we seen any kind of clients having lower confidence in renewable energy

, renewable energy CAPEX, something like that?

Kushal Desai: So, the point of view that we have been able to gather through various customers and whoever we are in touch with, including developers in the United States, is that solar and solar including the energy storage, the ESS system, is the cheapest form of energy available to add in the shortest period of time. So the solar side of the business is going to continue. You have more and more US manufacturing also being set up, Waaree, for example, has set up US manufacturing.

I think other manufacturers from India are also exporting panels to the US. So the solar side looks very much intact. The wind is a mixed bag. There are certain corridors in the US which are extremely windy and can carry a high plant load factor. So those corridors you can continue to develop. What is likely to stop is the subsidy that is going on, on the wind side. And the offshore wind, which is being built only with subsidies pretty much for making it viable, that is to be forgotten as far as the US is concerned. So we do not see the renewable story completely ending. We see the subsidy story ending. So the renewable that is actually able to stand and expand based on its own economics will continue to expand. And see, today the permitting in the US, is very, very tedious and whatever direct information we have, it takes 10 to 12 years to get permitting to build a transmission line in the US, versus three years in India. So there are similar

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 34 of 44

issues are there for building power plants and power sources as well. So you will see solar addition happening because that is the fastest way of being able to actually get power. If you add it along with battery storage capacity, then you are able to deliver power 24/7.

Nikhil Poptani: Okay, sir. That's great to hear, sir. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Vimox Shah from Goyam Luxy Fintech Private Limited. Please go ahead.

Vimox Shah: Thank you for the opportunity. And congrats for the good set of numbers. So most of the questions you have answered, I have just one follow-up question, sir, like in the last quarter, you were mentioning that companies are supplying the cables to the major data centers, like you were mentioning, like Microsoft, right? So you are actually the liquid cooling solution, right, but making a test site. So has there been any progress on this development?

Kushal Desai: So we, at the moment, I am not we have developed a product here. We are still looking at how to test market it, etc., because, the liquid dielectric, first of all, most of the data centers today do not use liquid. There are a few companies overseas that have been, supplied as a system. So we have not really made any progress on that front. We are still working, knocking on

doors and trying to figure out how we can get a trial for that to happen. In the meantime, the cables which are being supplied are being supplied on, basically in the substation and substation to connecting to the data center equipment. That side of the business is what we are covering today.
Vimox Shah: Got it. Thank you.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 35 of 44

Moderator: Thank you. The next question is from the line of Avnish Tiwari from Vaikarya. Please go ahead.

Avnish Tiwari: My first question is, what is the tariff on the US, exports you are doing for the cables? Say, in May, you are paying compared to what were you paying in February or March. And the delta which you are experiencing now, how is it being shared between you and your end customers, whether it is importer or whether it's an actual customer in the US?

Kushal Desai: So the basic duty remains intact. So the basic duty that we were paying on cables is 4.9%.

So for argument's sake, you can take it as 5%. Now whatever has been put here is a reciprocal tariff. So that applies over and above. So the 10% or 26% or 46% or whatever it is, is over and above the basic tariff which is in place. So currently it is at 5% plus 10%.

Avnish Tiwari: And the additional 10%, how are you sharing it between the importer and yourself?

Ramesh Iyer: So there are different contracts with the customers. Some contracts are on FOB, some contracts are on DDP. Some are deliveries below, before July 9. Some are deliveries after July 9. In some cases, we are talking to some of the customers who are agreeing to share a part of the duty. So those all mix and combinations are actually happening at the moment.

Kushal Desai: So all the FOBs is absolutely no problem. The DDPs, we have had to sit and negotiate with customers. So there's been some portions where there's been a combination. We have picked up part of it. Customers have picked up part of it. Some of the contracts have allowed us to pass the whole thing on. So overall, we would not see some major impact, at least for this 10% tariff field.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 36 of 44

Avnish Tiwari: Okay. That's good to hear. So basically, the dominating part is FOB or where most of the pay is shared by the importer. You only take part of it, a small part of it.

Kushal Desai: Yes. So the bulk of the business which we are executing right now is in that bracket.

Avnish Tiwari: Right. The second question is that what are the dominating types of cables you export to the US? Are these less than 1,000 V or higher, more than 1,000 V? And what is the key raw material in this thing, aluminum or copper?

Kushal Desai: So the bulk of what we export is all aluminum alloy. So there's a special alloy which is used in the United States, which is an 8000 series aluminum alloy. So we produce the alloy ourselves, the rods that is from our rolling mills in the conductor division. Then they are aged and then made into conductors and then finally insulated to make the cables. So there's a whole section on our website. If you go and see, you will see a set of UL approved products. So those are the products which are being manufactured and shipped to the US. There are a few copper products as well, which is a relatively very small volume. The bulk of the volume is aluminum alloy.

Avnish Tiwari: And these copper products would be cables of less than 1,000 V or more than 1,000 V?

Kushal Desai: So the copper products which are being exported right now are basically

medium voltage cables which are with copper in. So we are not doing any lower end copper because there's the US has zero duty on import of copper even today. There is a 25% duty on import of aluminum. So aluminum has been a strategic manufacture in the US, whereas copper is something that even today the government believes that it should be

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 37 of 44

imported in the US, without tariff. So our whole strategy is to focus more around products that are aluminum based where APAR has always had strength.

Avnish Tiwari: So in less than 1,000 V are they typically using copper or aluminum if you want to do in future?

Kushal Desai: So the US, is largely an aluminum market. Aluminum alloy market.

Avnish Tiwari: Less than 1,000 V, no, I am just talking about normal cables.

Kushal Desai: Less than 1,000 V, above 1,000 V only special applications you use copper over there. Otherwise predominantly it's aluminum.

Avnish Tiwari: Got it. Mostly it's the aluminum market then, okay.

Kushal Desai: Yes.

Avnish Tiwari: And last question I have is that you talked about Mexico also having the duty. But my understanding was most of the cables are under USMCA in Mexico. Is that, like, you are talking about mostly alloy which is not part

of this USMCA, or you think cables are also not part of MCA and they are attracting duties?

Kushal Desai: Right now, from our understanding is that unless and until Mexico comes up with anything different they are also facing the same tariff situation as India. The minimum tariff is 10% whatever you want to bring into the US. Unless there is a very specific FTA in place which is like the first one that they signed is with the UK. Nobody else has signed anything specifically as of now. So we are in the same boat as Mexico as of today.

Avnish Tiwari: Okay. So your understanding is that these cables or alloy you are exporting are not part of MCA, USMCA in Mexico?

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 38 of 44

Kushal Desai: Yes, I mean whatever we hear from our customers is that there is nothing advantageous currently in Mexico other than the short delivery cycle that is there.

Avnish Tiwari: Okay. Great. Thank you very much. And if just a last question I can pitch in. How much extra either margin at the contribution level or EBITDA level you make or better margin capital comes in that same cable or you are selling to US, export versus in India?

Kushal Desai: The US is very tricky to just put a number because it is a combination of FOB and DDP. So it's not a number that I would like to hazard any guess. It keeps changing depending on who wants to buy FOB versus on a DDP basis. So EPC players normally want it on a DDP basis, but actual users are very happy to buy it on an FOB basis. So they have the full transparency of freight.

Avnish Tiwari: Right. But you make higher margin in US export versus India sales. Is that fair to understand?

Ramesh Iyer: So it depends on different products and mixes. So on an apples-to-apples basis, we cannot actually compare this because different products go for the US market and different products are there for Indian market. And we do not actually give out geography-wise margins for the division.

Avnish Tiwari: Okay. Great. Thank you very much.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Just a follow-up. Is it possible to share the annual US contribution in overall and as well as within the conductors and cables this year, FY '25?

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 39 of 44

Ramesh Iyer: So the margins we do not share, Amit.

Kushal Desai: Are you talking about the revenue that we have done?

Amit Anwani: Yes, yes. Revenue contribution.

Ramesh Iyer: Overall, the US would be slightly on a higher single-digit compared to the total consolidated turnover.

Amit Anwani: And sir for cables and conductors?

Kushal Desai: We have done about Rs. 1,000 crores in cables. About Rs. 1,000 crores in cables and --

Ramesh Iyer: Rs. 600 crores.

Ramesh Iyer: Rs. 600 crores on conductors.

Kushal Desai: Rs. 600 crores on conductors. About Rs. 1,600-odd crores approximately overall. So that's why, Amit, it's lower.

Amit Anwani: How much was this last year? Rs. 1,600 crores on what base, FY '24?

Ramesh Iyer: We have given that in our corporate presentation. It was slightly degrown still compared to last year on an annual basis. But sequentially, things have improved. Every quarter has been better than the earlier quarter when it comes to the US

Amit Anwani: Yes. Sure. Thank you so much.

Moderator: Thank you. The next question is from the line of Raaj from Arjav Partners. Please go ahead.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 40 of 44

Raaj Macwan: Sir, I would like to start on the outlook part. For FY '26, you are intending to grow. And I couldn't hear that. So, can you please repeat it?

Kushal Desai: Sorry, your line is breaking up. We are not able to hear you.

Raaj Macwan: Sir, for FY '26 outlook, I just skippe

d your comment. So, can you repeat it again?

Ramesh Iyer: Yes. So, on the oil division, we are giving a top-line volume growth of 6% to 8%. EBITDA level margin, Rs. 5,000 to Rs. 6,000 per KL. Cable division, top-line value growth, 25%. EBITDA percentage, 10% to 12%. And conductor division, volume growth, 10%. And EBITDA per metric ton, Rs. 30,000 plus tailwinds.

Raaj Macwan: Rs. 30,000 plus?

Ramesh Iyer: Tailwinds.

Raaj Macwan: All right. All right. And also, can you repeat on the CAPEX part? How much? In what division?

Ramesh Iyer: About Rs. 1,300 crores of CAPEX. About Rs. 200 crores coming from oil division, Rs. 300 crores in the conductor division and Rs. 800 crores in cable division.

Raaj Macwan: Okay. And how much time will it take for all these three to come on stream?

Ramesh Iyer: 15 to 18 months.

Raaj Macwan: Sorry, 15 to?

Raaj Macwan: 15 to 18 months, all right. And how much will be your expended capacity percentage?

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 41 of 44

Ramesh Iyer: So, it will grow for the conductor division it may grow by about 10% in terms of capacity. For the cable, as we already mentioned once the entire plant is commissioned then it will have capacity to generate revenue of about Rs. 10,000 crores once it is fully commissioned.

Raaj Macwan: All right. And for the oil part?

Kushal Desai: So the oil, there is no real capacity constraint other than on the auto-industrial side where today we run two shifts and we can just add a third shift in place. So this investment is going in largely in terms of building a storage facility in the port in JNPT and expanding our storage capability in Hamriyah as well in the UAE. So right now, almost 24 million liters of storage space we have on a rental basis from third parties in Mumbai. So that is going to get collapsed into about 30 million, 35 million liters storage which we are building out in JNPT. That also has a big productivity boost on the supply chain side because the ship will directly be able to unload from a ship in those tanks.

Raaj Macwan: All right. Understood sir. Okay sir, thanks. All the best.

Kushal Desai: Okay.

Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Markets Securities. Please go ahead.

Mayank Bhandari: Thanks for the opportunity. Sir, I just wanted a few data points if you could provide. In the cables revenue how much would be the B2C revenue? How much would be the defense telecom cable revenue, EHV revenue, and of course railways revenue?

Kushal Desai: We do not give out so detailed revenue break-up for the division. But I can tell you about this B2C is about Rs. 375 crores that I have mentioned earlier.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 42 of 44

Apart from that the nitty-gritties of revenue coming from each is that something we do not give out.

Mayank Bhandari: So have we started supplying to defense telecom?

Kushal Desai: You mean defense telecom? For us there are two separate verticals. One is defense and the other one is telecom, so it depends.

Mayank Bhandari: Cables that we are supplying to the defense.

Kushal Desai: Yes. So that is something that is ongoing, we would see that in the future as more and more localization is taking place, the volume should start increasing as I mentioned in my earlier comments that we are bringing in additional equipment as well which can help produce larger quantities of some of the sophisticated cables and so on, for the Indian Navy particularly.

Mayank Bhandari: What about EHV, sir? Are we doing any evaluation in EHV?

Kushal Desai: So, as we complete our expansion in the cables side, currently we are able to produce up to 66 kV. So this will go up to 220 kV that we will be able to produce.

Mayank Bhandari: No, does this contribute any revenue in FY '25 EHV?

Kushal Desai: No. Because

by the time the capacity goes in place and gets implemented, then post that we will start hunting, we will start working on getting approval. So, you will see that revenue not coming in FY '26 at all, you may start seeing small portion coming in FY '27 but a larger portion coming in FY '28. In the meantime, that same equipment is capable of producing up to 220 kV. So you will produce the other voltage levels until those approvals come in.

APAR Industries Limited
Earnings call transcript Q4 & FY25
May 14, 2025

Page 43 of 44

Mayank Bhandari: What about the wind, sir? Wind cables?

Kushal Desai: So, wind is produced on totally different equipment where we are also

looking at doubling our capacity. And those are elastomeric cable or rubber cable. So, that production is also going to be doubled in the same time frame. And that's part of the Rs. 800 crores CAPEX.

Mayank Bhandari: No, I am just checking if we would give the contribution of the renewables cable revenue in the total cable revenue right now.

Kushal Desai: So, we are not giving these detailed breakups as such pertaining -- go ahead.

Mayank Bhandari: And last, what is the interest on the interest-bearing acceptances in FY '25? Interest number?

Ramesh Iyer: It's about range from 6.5% to 7.5% over a period of time.

Mayank Bhandari: 6.5% to 7.5%. No, I am asking the absolute number out of the total interest expense.

Ramesh Iyer: Out of total interest, you see about 90% would be on the acceptances only because we have very less debt on the balance sheet. Most of it would be out of acceptance only.

Mayank Bhandari: Last year, FY '24, this number was around Rs. 240 crores.

Ramesh Iyer: Yes, large part, almost everything would be out of, we have just one ECB loan on the balance sheet. Apart from that, everything else is actually the interest on the acceptances only. And that disclosure is there in the balance sheet, the interest part of the ECB loan.

Mayank Bhandari: Okay. Any guidance on FY '26 for the interest expense?

APAR Industries Limited

Earnings call transcript Q4 & FY25

May 14, 2025

Page 44 of 44

Ramesh Iyer: So it will go in line with the volume of the business as all of this is relating to acceptances as the volume of business growth. The interest cost will go up. Also, the interest cost depends on the price of aluminum and copper, on the value of that purchases. So, depending on the price of the metal, this fluctuates.

Mayank Bhandari: Okay. Thank you. That's it from my side.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: Yes. I would like to take the opportunity to thank everyone for participating in our Q4 and financial year FY '25 earnings call. Just to summarize, we do have a few overhangs like, the US, tariff situation, which will hopefully get clarity and sorted out in the next few weeks. But overall, as a management, we continue to remain very bullish on our business. We are putting in Rs. 1,300 crores of CAPEX, which will go in over the next 12 to 15 months and then get commissioned thereafter. This is in addition to Rs. 500 crores which we have put in FY '25. All the three businesses are poised to be able to grow. The product ranges also as well as the premiumization of product and customers is something that we are working on. And whereas, it's always difficult in our business to predict quarter-by-quarter, but if you take a medium-term view, we continue to remain very bullish on the growth of the business. So once again, thank you so much for attending our call and goodbye.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

SEC/ 0408 /2025 By E- Filing August 04, 2025

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department

BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of the conference call on Un -audited Financial Results
(Standalone & Consolidated) on Q1FY26 (2025 -26)

Ref.: Reg. 30 read with Schedule III & all other applicable Regulations, if any, of the SEBI
(LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer our letter dated July 29, 2025, under Ref. no. SEC/ 2907/2025, w.r.t. submission of Audio Recording link of the conference call on the Un -audited Financial Results (Standalone & Consolidated) of the Company for Q1FY26 (2025- 26).

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith the transcript of the conference call made on July 29, 2025 on the Un -audited Financial Results (Standalone & Consolidated) of the Company for Q 1FY26 (2025- 26).

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com .

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary
Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India

+91 22 6780 0400 / 49572100 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India

+91 265 6178 700/6178 709 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

Page 1 of 39

“APAR Industries Limited Q1 FY’26 Earnings
Conference Call”

July 29, 2025

MANAGEMENT : MR. KUSHAL DESAI - CHAIRMAN & MANAGING DIRECTOR,
APAR INDUSTRIES LIMITED

MR. CHAITANYA DESAI - MANAGING DIRECTOR, APAR
INDUSTRIES LIMITED

MR. RAMESH IYER - CFO, APAR INDUSTRIES LIMITED

MODERATOR : M R. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

APAR Industries Limited Q1 FY’26 Earnings Conference Call

July 29, 2025

Page 2 of 39

Moderator: Ladies and gentlemen, good day and welcome to the APAR Industries Limited Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies. Thank you and over to you, sir.

Ambesh Tiwari: Thank you. Good afternoon, everyone. I welcome you all to the Q1 FY’26 Earnings Call for APAR Industries to discuss the ‘Business Performance’ and ‘Outlook’.

We have from the Management side, Mr. Kushal Desai – Chairman and Managing Director; Mr. Chaitanya Desai – Managing Director and CFO – Mr. Ramesh Iyer.

I will now pass on to Mr. Kushal Desai for Opening Remarks. Thank you and over to you, sir.

Kushal Desai: Thank you, Ambesh. Good afternoon, everyone and welcome to the APAR Industries Q1 FY’26 Earnings Call.

I would like to start by actually giving a quick overview of our performance, then get into a quick industry update and then post that we can look at the segmental performance and finally open the floor to questions.

We have started off FY’26 with a notable 1st Quarter Result. Our revenue for the quarter grew 27.3% over the same period last year to reach Rs. 5,104 crores and this was driven by growth in the domestic business particularly. Export revenues contributed about 31.6% to the turnover. Our EBITDA is up 27% year-on-year to about Rs. 501 crores which is at a margin of about 9.8%. Profit after tax came in

APAR Industries Limited Q1 FY’26 Earnings Conference Call

July 29, 2025

Page 3 of 39

at Rs. 263 crores which is about 30% growth year-on-year with an absolute margin of 5.2%.

In terms of key industry highlights:

India's renewable energy sector has recorded its strongest growth in the last three years with power generation rising by about 24% in the first half of 2025 compared to the same period in 2024. The renewable power generation has reached 134 billion kilowatt hours in the January to June period which is the highest semi-annual growth rate that has been seen right from 2022 onwards. June 2025 alone added about 7.3 gigawatts of renewable energy. This is about four times what it was in the same period a year ago which was 1.4 gigawatts. So, this sharp increase has primarily been driven by both expansion in solar and wind and this has been further advancing India's clean energy transition.

In the meanwhile, you will also find that coal-based electricity generation has declined by nearly 3% in the first half of 2025 and this was influenced to some extent by milder summer temperatures that reduced the overall power demand. However, we expect that in the short to near term there will be an increase in conventional energy as well to ensure that the base load is being maintained.

In terms of recent tenders and projects in the renewable sector:

I would like to point out that in June 2025, approximately 6.8 gigawatts of renewable energy tenders were issued for project development reflecting that the sector is still seeing momentum. SECI which is a solar energy corporation of India has invited bids for 2 gigawatts of interstate transmission systems connected to solar projects along with additional between 1 gigawatt and 4 gigawatts of energy storage systems as well. During the same period, 520 megawatt of EPC tenders were announced including 260 megawatt of solar EPC floated by NTPC in Rajasthan. Further, about 1.6 gigawatts of BESS, which is battery energy storage

APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 4 of 39

systems capacity and 312 megawatts of renewable energy capacity were also awarded to develop

pers. So, there is a lot of action that is happening in this sector and you will see that increasingly more and more systems are requiring storage solutions in place.

On the transmission side:

According to Central Electricity Authority India has added 22,190 MVA of new substation capacity in the 1st Quarter of FY'26. This is of 220 kV class and above and this is more than double what was added in the same period last year. However, this achievement is still significantly short of the planned capacity which was supposed to be 48,185 MVA for the quarter. So, there is a pent-up demand which is continuing to be built up. In contrast, the addition of transmission lines in the 1st Quarter of FY'26 was much below target. Only 1,031 circuit kilometers of lines which are 220 kV and above were added, representing just 17% of what had been targeted which was 6,000 circuit kilometers. Some of these delays have been actually attributed to segments where the right of way has not come through and there is a lot of attention being provided to get these clearances and once again, we feel that as these clearances come through, there will be significant call-ups and demand coming up. So, in the full year FY'26, the planned addition of transmission lines stands at 24,400 circuit kilometers, which is planned to be 2.5 times what it was in FY'25.

Now, coming to more specifically the business performance by each segment, I will cover the conductor segment first, follow that up with the Specialty oil segment and then finally close with the cables.

So, in terms of our Conductor Division:

Q1 FY'26 revenues grew by 43.9%, say 44% year-on-year on the back of improved product mix, higher realization as well as volume growth. The volume has grown

APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 5 of 39

by about 18% versus Q1 FY'26. Exports contributed about 20% to the overall revenue of the Conductor Division as opposed to almost 30% in Q1 FY'25. As I mentioned in my opening remarks, on the conductor side, the domestic business was quite strong during this period and the domestic order book as well as the expected business to be awarded as I mentioned in my opening remarks continues to look strong. Our US revenues grew by almost 83% over Q1 FY'25 and 8.6% over the fourth quarter of FY'25. Looking at our premium product mix that contributed 43.5% in Q1 FY'26 compared to 37.1% in the last year. On the

profitability front, the EBITDA post-open period FOREX came in at Rs. 43,688 per metric ton as against Rs. 38,532 per metric ton in the same period last year. This can be attributed to an improved US and export product mix as well as growth in the premium business. If you look at the order book, our current order book stands at Rs. 7,779 crores and the new orders received during the quarter were about Rs. 3,135 crores. So, all in all, the conductor business has put in a very strong performance.

Coming to the oil business:

Even though the revenues seem to be flat over last year, given that the average price of crude gas oil and some of the derivatives were lower than the same period previous year, however, the volume has grown by 8.1% compared to Q1 FY'25. Transformer oil volume was higher by 7.4%. The domestic transformer oil volume grew by almost 20%. So, it's really the overseas business which was a bit slower. Automotive oil grew by about 8.4%. Industrial lubricants grew by around 15.9% year-on-year. However, as I said, the export side was a little bit slower. Many transformer oil projects in some of our key markets like Saudi Arabia, South Africa and Australia have got a bit delayed. We do have a strong order book but its execution has been pushed out by a few months. For the first time, the export mix actually came down to 36.7% which used to always remain 40%+. Last year, on a comparable basis, it was about 45% of our revenues. Our expectation is that this

APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 6 of 39

is a temporary blip and as the project executions start picking up, you will see this whole equation reverse. When you look at EBITDA per KL, it came in at Rs 7,004 as opposed to Rs 6,935 per KL a year ago.

Now, coming to our cable segment, revenues in Q1 FY'26 posted a revenue growth of 36.3% and revenues have reached Rs 1,419 crores. There has been a strong export performance in the cables segment. Domestic revenues grew 19.7% year-on-year whereas our US revenues actually grew 136% over the same period last year. Part of this was customers calling up product to meet a deadline of 1st August where tariffs will change pending a conclusion on the tariff agreement between India and the US. So, if you look at the export mix, it came in at 41.3% versus 33.2% a year ago. If you see EBITDA post FOREX that also grew almost proportionately by 32.2% to reach Rs 142 crores. The EBITDA margin came in at around 10% which is marginally lower than what it was in Q1 FY'25. The current pending order book stands at about Rs 1,653 crores.

If you look at exports in the non-US markets, we continue to encounter some headwinds due to the subsidized exports taking place from China. I mentioned in the last earnings call that we had at the end of the full year results where Chinese products are being subsidized by between 8% and 12% and that trend continues. The trade deal with the US unfortunately has not yet been closed. So, the impact on India still remains a bit uncertain until this issue is settled. However, pending the finalization of the import duty structure, we are given to understand that many US clients are sitting on the fence. They are going a little slower in terms of ordering as they are not clear exactly what the landed cost will be. Having said that, we are hopeful that the India duty rates should not be a huge disadvantage compared to some of the countries that so far, we have been having to compete with which are fundamentally Vietnam, Cambodia, Indonesia, Korea, Mexico and the EU. However, we are optimistic that in the medium-to-long term, the demand in the energy sector with all the various initiatives that are running continues to

APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 7 of 39

remain strong. In Europe, ESG requirements are continuing to increase and in fact, participation in tenders is becoming contingent upon clearing a certain basic ESG screening. So, as I mentioned in the last earnings call as well that we are continuing with our planned CAPEX spending of about Rs.1300 crores. So, far, we have incurred Rs.150 crores of CAPEX in Q1 and we additionally expect, based on the orders that have been placed, about Rs.350 crores to be spent in the next few months, within the quarter maybe running up to the month of October. This will enable us to be prepared for the future and tap the various opportunities that come by.

I would also point out that we have a detailed corporate presentation in the investor section of our website. Also, this year APAR has released an integrated annual report. It is a very comprehensive report which covers not only the financial performance but it integrates ESG considerations within the report. We would be happy if all of you go through it and if any of you have any feedback because this is a gigantic exercise that has been undertaken and it is for the first time that we have done it. Please feel free to give us your comments and feedback because this is something that will continue going forward.

So, with this, I would like to come to the end of my comment and I would like to turn it over for any questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Vidit Trivedi from Asian Market Securities. Please go ahead.

Vidit Trivedi: Hi, sir. T

Thank you for the opportunity and congratulations on a great set of numbers. My first question is with respect to the Conductor Division. We have seen the realization as close to 43,000. My question is how sustainable are these levels or should we stick to the earlier guided range of 30,000 plus tailwinds?

APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 8 of 39

Ramesh Iyer: Yes, we have always been saying this. Our Conductor Division because of the various products that we have, the premium and non-premium mix changes and also the geography mix changes and different product categories have different margins. So, always they have been saying that our guidance has been about 30,000 plus tailwinds and in many ways the tailwinds are not so easy to predict. So, we continue with the same guidance, 30,000 plus tailwinds and the tailwinds will depend on the use of premium mix and non-premium mix on the various metals involved, the geography mix, the kind of products which are there.

Comprehensive mix of that will determine the EBITDA for the quarter.

Vidit Trivedi: Got it, sir. Second, on the U.S. growth this year in the Conductor Division, it's close to 83%. So, can we assume that this is also because of the pre-buying? As sir mentioned that in the cables division, a lot of activity was seen because of the pre-buying?

Ramesh Iyer: Yes, so. To some extent, yes, we can see that one of those activities because this duty structure is uncertain at this stage and therefore customers have been insisting for some early deliveries.

Vidit Trivedi: Sir, what's the rate of duty when we export to the U.S. and the other players export to the U.S.?

Ramesh Iyer: Ours is subjected to reciprocal tariff which is 10% plus the duty which was already there about 5%. That is what the products from India we are subject to. But different countries have different rates of duties. In some cases, the reciprocal tariffs are there and also as you have been reading the newspapers, there is a duty on aluminum and steel also. So, that duty is different and the reciprocal taxes are on top of that.

Vidit Trivedi: Got it, sir. Thank you. All the best.

APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 9 of 39

Moderator: Thank you. The next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Hi, sir. Just first question on the conductors. When we look at your export mix on a quarter-on-quarter basis, it has still not moved that much as a share in conductors. Then it looked like to us that this realization growth has come from the domestic side largely. Can you throw some light? Is this analysis correct and how you're seeing domestic prices specifically AL59 and also if you can throw some light, do you think there is a likelihood of expanding more of these capacities because you yourself said that domestic demand continues to remain strong. So, just on one of that aspect, if you can throw some light.

Chaitanya Desai: So, on the first point, it is correct that the domestic market is the one which has driven the growth compared to the export. And on the second point, the various products which we have been expanding in on the copper side as well as on the aluminum side, both have grown in the domestic market. We see more of a possibility of growth in volume rather than expansion in margins, especially on

AL59.

Nitin Arora: And on the pricing of AL59, how that has been panning out? Why I am asking you this because it was always our exports which used to drive EBITDA per ton or realization per ton on the conductor. But this is the first time we are seeing that export market is so strong that it's taking your EBITDA or rather your realization or EBITDA per ton so higher. So, on the pricing side, do you see any risk in the domestic market or you think the demand is so strong that this pricing will remain fo

r the next 1-2 years or 3 years? How you are looking for a little on a longer term?

Ramesh Iyer: So, Nitin, the function of EBITDA was one, exports as you rightly said, but also the function was on the premium products that we have been selling in the domestic market. We have the premium products that get sold on the domestic market and the standard products that goes to the export market. These two have been APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 10 of 39

accounting for the high EBITDA margins. And as you have seen in the earlier, even in the non-premium part of the domestic business, largely because of AL59, we have been able to get a higher price as compared to the traditional ACSR conductors. And as of now, and it has been happening for the last 2-3 quarters, the entire AL59 has replaced the traditional ACSR market. So, there are these three things at least on a big scale that is accounting for the higher EBITDA. Export was just one part of it, but the high premium mix as well as more use of AL59 has also added to the EBITDA margin for the division.

Nitin Arora: Just one on that export part, I think you explained in the last call as well, because one is obviously the reciprocal tariff. The other part, even on the steel, aluminum, they are putting a lot of tariff. I am talking about US. That's where sir touched base that there might be a situation that he might start looking putting capacities there. Because as you rightly said in the starting of your point, what will be the landed cost, nobody knows at this point in time. And that's for every country, given steel and aluminum, I think the duties are similar. India is not known how much they will put on us, but at least for the other markets, the duty on steel and aluminum is about 30%-40%.

Kushal Desai: I will just clarify that. The tariff in the US, there is one which is a reciprocal tariff. However, the basic materials, which is steel, aluminum, copper and a few others are falling under a completely separate classification called Section 232, which are products of strategic nature to the government of the United States. There, the tariff is an absolute tariff. Currently, for all of these three items, that is steel, aluminum and copper, it is at 50%. If a local conductor manufacturer need to import aluminum or someone needs to import copper or steel for that matter, they also have to pay 50%. So, the situation is a little bit fluid in terms of where this is finally going to settle. Because just recently, it was just about a month ago that it was increased from 25% to 50%. And copper, which was previously zero, has also come into this 50% band. So, there have been so many changes that have APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 11 of 39

happened that I think a little bit more time will allow all of this to settle down. In the meantime, there will also be some more clarity in terms of the reciprocal tariff that India will have with respect to the US. What I mentioned earlier in terms of the rates with some of the countries from where imports are taking place, that is a reciprocal tariff. So, the Section 232 is an absolute number. There is no reciprocal tariff, nothing. It is just a fixed number irrespective of pretty much where the import takes place. I just hope that I have clarified this. A little bit complicated, but this is what our understanding is based on whatever US advisors have informed us.

Nitin Arora: So, this is very helpful. So, basically, anyone either you supplying from India or someone else supplying from the other country, the raw material import cost is the same or any US local player also importing that, the duties are the same as of now.

Chaitanya Desai: The American manufacturer will have a 50% duty on his raw material, not ours. We don't have 50% on our raw material.

Kushal Desai: So, supposing we are exportin

g a cable which is having aluminum in it at the moment, so right now the reciprocal tariff is 10%, the basic duty is 5%, so you end

up paying 15%. If today I file a bill of entry in the United States for aluminum ingots, it would actually attract a 50% custom duty under Section 232. Now, what the final Indian tariff settles at, we need to still understand. But I mentioned a few countries, the EU currently, the settled deal is at 15% reciprocal tariff and you have got Vietnam which is I think at 19% or 20%, Indonesia is at 19%, etc. Japan is at 15%.

Nitin Arora: Let me ask you this way, sir, at what percentage you think will go favor for India at least for our business? I don't know about any other business.

Kushal Desai: We were previously competing when the tariffs were the same. When the tariff was the same for Indonesia, Vietnam, India, Korea, Japan, all these places. So, if we are not at a disadvantage relative to these countries, then the customer will be APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 12 of 39

bearing a higher price and whatever is the effect of the project cost going up will result in some amount of demand getting a bit handicapped. But we will not be then at a competitive disadvantage to these countries. The EU is at 15% which is lower than the rest of the Asian countries that the export is happening. But I think in the course of the next few days, I think there should be more clarity on this particular front.

Nitin Arora: Very helpful, sir. I will come back in the queue. Thank you so much.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Thanks for taking my question. First question on the cables business. This quarter, we saw a pretty strong export growth. Export number for cable is almost Rs. 586 crores versus almost Rs. 350 crores-Rs. 400 crores run rate for the whole of last year. And despite that, the margins are keeping at about 10%. So, first thing I would like to understand is which strong export is coming from only US or these other functions also. And second, despite export contribution going up this quarter, why the margins are still keeping at 10% for cable?

Kushal Desai: So, there is an overall growth in exports. A larger portion has gone to the US market. Part of it was, as I mentioned in my opening remarks, to try to pick up a tariff where it had been declared at that 10%. There has been some impact that has happened because in some contracts, the customer has paid the higher tariff, the 10% reciprocal tariff. In some cases, we have had to negotiate and compromise with the client and make sure that all of this product has gone through. So, combination of these plus some of the freight rates also had gone up in the short term when everyone is trying to push the product into the US during this interim period where the tariff was pushed back. So, there have been so many moving parts. So, I would not look at it as a fundamental change in the business economics. What fundamentally can change is if the tariff situation becomes something that is APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 13 of 39

highly unfavorable. I also want to emphasize that the US market on cables is about \$55 billion and 40% of those cables are still imported. And even though there are a bunch of new plants which are being declared, if you look at the cumulative output of those 4-5 major plants which are coming there, the output would just add up to a few billion dollars. And the growth rate there is about 3% a year, year-on-year, at least so far. So, just the growth is equal to \$1.5 billion or \$1.65 billion a year. So, our assumption is or thinking is that once this noise settles down, there will be a certain, the demand should start coming in. The issue right now is that if someone were to say that what is the la

nded cost of my product, we are not in a position to give that number.

Amit Anwani: Sir, again for cables, earlier we were talking about the competition increasing. So, any change on domestic market on the competition front for cables as well as both?

Kushal Desai: So, on the cable side, the competition does continue. There has really been very little change in the intensity of competition. We have been focusing on certain areas where APAR has been fairly strong. One of the segments which has been growing very rapidly is the wind segment because that is something that was very slow for the last few years. Currently, there are several new windmills going in, especially the hybrid projects, which is a combination of solar and wind. So, we

are seeing a good growth on the elastomeric cable and the windmill side. But otherwise, there is no change in the, there is no major change in the competitive intensity, still remains competitive. So, our emphasis has been really on improving productivity and taking out conversion costs, energy efficiency. We have a bunch of new windmills which are coming through for our own third-party captive, which will also help reduce power costs, etc.

Amit Anwani: Right. Sir, on cables part, the premium mix has gone up significantly. Q4 it was about Rs. 1,300 odd crores. This quarter also, roughly about Rs. 1,200 odd crores.

The run rate previously was only Rs. 800-Rs. 900 crores. So, I wanted to

APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 14 of 39

understand, you explained that the reason also for EBITDA per ton being higher is the standard product sales in US and premium product sales in India. So, I wanted to understand which premium products we are talking about, if you could explain more in the domestic market, which has contributed very strong contribution from premium products during this quarter and in Q4 as well?

Kushal Desai: So, generally, there has been improved execution on the HTLS, which is the high temperature, low sag. There has also been a growth in the entire copper set of products. We have overhead railway conductors, we have copper transpose conductors going to transformers, and we have bus bars. So, that range also has grown besides the HTLS and some of the execution of the semi-EPC turnkey projects that we have on the HTLS. So, overall, that whole group, every line item has pretty much shown an increase on that side. That's how we are seeing, even the order book has increased by almost 8 percentage points from the same period in the previous year.

Amit Anwani: Right. Any color on, that is my last question, any color on the non-US business this quarter and how has been the performance in non-US business for conductors?

Kushal Desai: So, the non-US business inquiries continue, but we are finding in many cases, some of the domestic projects are more interesting than going down in pricing for exports in certain geographies, especially Africa and some parts of Latin America etc., where the Chinese products carry a fairly high level of acceptability. So, our strategy has always been that what is our best net back that we get and based on that, we have been allocating where we want to export. Over the last few years and including in this CAPEX cycle, we keep on increasing the fungibility of our equipment. So, it gives us so much more flexibility to be able to move around within the product mix. So, that's why sometimes you find that Ramesh starts off being more conservative and then the numbers, because if the opportunity comes up, we have the ability to switch on the fly.

APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 15 of 39

Amit Anwani: Just a clarification on CAPEX, we said Rs.1,300 crores and Rs.370 crores is additional or it is part of it?

Kushal Desai: That's the execution of that. So, when we spoke about this Rs. 1,300 crores, which we expect to

spend by June of 2026, of that Rs. 150 crores physically has been already spent and then Rs. 350 crores is what we expect to spend in the next few months. So, progressively it will go through, the big payouts will come actually around November, December, January when you pay for all the equipment's because initially you pay 20%-30% of the value of the equipment and the rest of it comes later on. So, progressively this is being executed.

Amit Anwani: Understood sir. Thank you so much and all the best. Thank you.

Moderator: Thank you. The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.

CA Garvit Goyal: Good evening, sir and congrats for a decent set of numbers. My first question is from your opening remarks. You mentioned about the transmission lines that we have achieved 17% of our annual target for FY'26. So, is it due to monsoons entering earlier in India or any structural issues that you are seeing?

Kushal Desai: No, so last year, number was very majorly affected because of the elections as well. But if you are talking about so far in the 1st Quarter, 17% of the planned quantity has been executed. So, if you were to split it into four quarters, it should have been about 25%. So, there is a little bit of and part of it is because the monsoons did come in a bit early. There is also a right of way issue. Many lines

have got stuck because of right of way acquisition matters. There is also a few forest permissions and clearances that are required. So, the expectation is that given the fact that so much solar is being added, these lines also will have to speed up. And I think everybody right from CEA downward including the PMO's office, everyone is aware of this particular issue. This is on the back of last year being APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 16 of 39

also relatively missing the plan as I mentioned by a fairly large number. So, there is a good amount of pent-up demand which should come up in the domestic market.

CA Garvit Goyal: Got it, sir. And secondly, there are some issues happening in the industry related to delays in approval for solar projects that are to be connected with grid and some land availability issues that you rightly mentioned in the domestic market. So, conductors are also an important component in the wiring of the solar plant. So, are you seeing any slowdown here in the orders in Q1?

Kushal Desai: So, we have had a reasonably good order book as we mentioned, Rs. 3,175 crores approximately. So, the order flow has still come in. And our expectation is it should continue as this execution takes place. If they had gone as per the plan, there would have been more business than we have been awarded. But our plants are running pretty much full and in a way actually, it will time some of the expanded equipment that is coming in.

CA Garvit Goyal: Okay. But actually, I am just trying to understand from you regarding the industry issues that recently came into picture regarding some approval getting delayed with respect to solar paths to be connected with the grid. And secondly, on this ISTS waiver that is removed from the inter-transmission connectivity. So, are these issues anyway going to impact our business going ahead?

Kushal Desai: I don't think so. In fact, these are matters which have to get resolved. And I think as I mentioned, even at the highest level, there is a reasonably good understanding of what the issues are. So, people are all working towards solutions on this. So, in fact, on the contrary, I believe that in the months going out, you may see stronger demand. Once these issues get sorted out, there will be more ordering that will take place.

APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 17 of 39

CA Garvit Goyal: Got it, sir. Thank you very much, sir. That's it from my side, sir. All the best for the

future.

Kushal Desai: Thank you.

Moderator: Thank you. The next question is from the line of Charanjit Singh from DSP. Please go ahead.

Charanjit Singh: Hello, sir. Thanks for the opportunity. Sir, my question is on the premium conductors. So, especially in the domestic market, if you can help us understand in terms of the demand supply scenario and from the growth perspective, what is the current size of the market and how do you see over the next 2 to 3 years? This is mainly for the domestic market premium conductors.

Ramesh Iyer: Charanjit, there are no sources to get the market information on this kind of premium products. But what is also happening due to various right of way issues and the general increase in electrification, there is more tendency to switch to reconductoring due to which the work on reconductoring is happening on a, may happen on a faster pace. So, as I said, there are no sources to get this market information. And overall, there is, as I said, there's more tendency to do more of reconductoring projects because of various right of way issues, because of time cost, because of capital cost outlay by the utilities company. So, there is more tendency on the premium part of the conductor business.

Charanjit Singh: Okay. Sir, in terms of the execution of the projects and especially in the US market, how you are seeing that on the ground and when you are saying in terms of the stocking and the inventory buildup which has happened there, this could be for what duration you would generally see the kind of inventory buildup happening there?

Kushal Desai: So, Charanjit, on the buildup, it's not really, these are all projects which are being executed. So, most of the products have actually gone to project sites. And I think APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 18 of 39

calling them up a little bit sooner is only because these guys, whoever has been importing the products in has already given a fixed price previously for the build. So, this is not like the kind of stocking up that happened at COVID, where there were several months of destocking to take place, at least not in our products, because we were not in a position, we were already running at a full capacity. We only gave some preference to clear off orders where the settlement had taken place with the customer in terms of we will land it prior to 31st of July. So, I don't see really a big overhang from the current supply. What will be critical to see is where this tariff finally lands up and hopefully, it will not be disadvantageous to India. If it isn't, then we would continue to see the order flow taking place. And on the contrary, we have really improved our go-to-market channels, the distributors we signed up. We have today a team of three full-time representatives in the US. We have a fourth colleague who is going to be joining shortly. So, the team is being enhanced and our sense is that once the noise settles down, then I think business should start picking up again.

Charanjit Singh: Got it, sir. Sir, on the EBITDA per ton perspective, would you like to change your guidance in terms of what the number has been or you would like to maintain at the earlier level of guidance itself?

Ramesh Iyer: So, we have been increasing these guidance's on the conductor EBITDA per metric ton. You have times where competition is putting a lot pressure. As you see in the domestic market, there is pressure on prices and also in the non-US market, there is pressure on prices. But wherever we feel that we have that confidence that the EBITDA cannot go beyond X level, that's where we put our guidance on. And we have been increasing that. Having said that, in the last quarter, we increased further to 30,000 plus tailwinds. For now, we are studying and depending on how the future quarter and US tariffs and there are so many moving parts to all of this, currently we would

like to maintain it at 30,000 plus the tailwinds. And as I said, the tailwinds could be positive depending on various things that happen. But we
APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 19 of 39

are not able to predict the exact amount of what kind of tailwinds that will happen in a quarter.

Kushal Desai: So, we will probably wait until all this quarter gets settled down. I think after that, if any revision has to be done, I think a more appropriate time would be once all this settles down in terms of US tariff, etc.

Charanjit Singh: Got it, sir. Thanks a lot for taking my questions and all the best for the future.

Kushal Desai: Thank you.

Moderator: Thank you. The next question is from the line of Nilabh Jadey, an Individual Investor. Please go ahead.

Nilabh Jadey: Hello. Congratulations on a good number, sir. One question I have regarding, for a long time you were telling earlier, at least in 2024, we have heard that you are facing a lot of competition from China because they are transshipping the goods to Vietnam. So, now, how is the situation panning out after this transshipment tariff has come in? Are you facing some better ecosystem with regards to the competition? You mentioned that they are still giving 8% to 10% subsidy. But this transshipment was a major issue you were facing earlier. How are things now?

Kushal Desai: So, I think the current US administration is very much aware of this. And I think the undertones have been very clear that if they start picking up activities of this sort, then there could be an immediate change in the tariff that that country is facing, whether it's Vietnam or whether it's Cambodia, etc. So, I think the level of heightenedness that is available now is much higher than what it was prior to the Trump administration coming in. So, I think it's something for us to wait and watch. But if this transshipment route is being used, then I think whoever is using it is really gambling on this. That's the sense that we have.

APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 20 of 39

Charanjit Singh: And another question, I am listening to your conversations. One thing is, I know there are a lot of confusion right now in terms of tariffs, because raw materials are

higher tariff in USA. So, net, even 8% to 10% subsidy China is giving, but there are a lot of tariffs have come in, almost 30% tariffs on Chinese products. So, net-net, I do not factor the products, what is the competitive advantage? How much competitive advantage China is now having over us with the subsidies and, etc.? How much in terms of percentage ?

Kushal Desai: The subsidies constitute anywhere between 8% and 12%. In terms of efficiency of conversion cost, etc., there is no difference. We are able to, in a level playing field, we are in a position to compete against the Chinese on a day-in day-out basis.

Charanjit Singh: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Nikhil from Kizuna Wealth. Please go ahead.

Nikhil: Yes. Hi sir. And thank you for giving me the opportunity and congratulations on a great set of numbers.

Kushal Desai: Thank you.

Nikhil: So, my first question is like, with so much uncertainty to cables export, so are we still guiding 25% value growth in the cable segment?

Ramesh Iyer: Yes, we are still guiding 25% value growth in the cables.

Nikhil: So, that's great to hear. And then my second question is like, let's say India, as you mentioned that tariff, we have the tariff of total with the duty is 15%. And if you assume that reciprocal tariff goes to 15% to 20%, and then our landed cost would be like 25% to 30%. So, will we be advantage over the Chinese competition or not with that kind of scenario?

APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 21 of 39

Kushal Desai: So, currently, the Chinese tariff is gen

erally running 20% higher. So, when the interim tariff for India and various countries was at 10%, the Chinese tariff was at 30%. So, right now, it seems like the new normal they're looking at is a 15%, which is what they have finalized with Japan, what they finalized with the EU, etc. So, you know it's all speculation right now. As a matter of a few days, I think some of this should start getting settled down. But I don't think India will be at a disadvantage relative to China and a 10% gap, at least as far as the US market is concerned, may not really be much of a worry going forward. Also, as we mentioned in the last call, this is not the first time that China has had such subsidies, where the Shanghai Metal Exchange is so much lower than LME and the premium basically doesn't exist there at the moment. So, the Chinese government when the losses go up of the subsidy become too large, they have in the past just completely reversed it as well. So, it's not something that will be sitting with us forever. We have seen it happen a couple times before and we have seen it getting reversed as well.

Nikhil: Okay, sir, that's great to hear. And then my next question is like, the cable segment, how was the volume growth in that segment? And are you assuming the same kind of volume growth going forward too?

Ramesh Iyer: We don't report volumes in the cable segment, because there are number of categories within the segment. So, we are only reporting the value. But yes, I mean...

Kushal Desai: To answer the question that yes, there is the demand, domestic demand remains reasonably strong. For us, what's important is that the premium segments are the segments where we differentiate ourselves, the demand for that should be strong, then that's how our domestic participation happens. We are seeing the wind sector is doing reasonably well. We are also seeing that solar is continuing to expand. We are supplying several data centers in India. So, we see that the demand generally in the domestic market has been strong. What may get affected in the
APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 22 of 39

short term for the cable side is the export to the US because, until this tariff thing gets sorted out. But fundamental demand, maybe we don't see too much of a let up. It will continue to be there.

Nikhil: Yes, sir. And so my next question is like the new contracts that we are signing on new orders that we're getting, who will pay the tariff? Like, are we supposed to pay the tariffs or will be split between the client and you? So, what are the what

are the new norms of these orders that we're taking?

Kushal Desai: So, tariff today is coming as a line item. So, it comes with a straightforward assumption today saying that, okay, the tariff at the moment that we priced it like this, whatever changes happen is not to APAR's account, it will be to the client's account. And if the client is not willing to accept that, then we are actually not taking on the business and we are just sitting it out. The orders that are continuing to come in today are those attached to projects which are advanced stages of execution, because you see, the cost of the cable is about 5% of the cost of the project. So, even if you have a 10% difference, it becomes only half a percent on the project. So, delays in the project actually would result in a much higher overrun than just paying the increased tariff. So, we are not taking on any more tariff risks for new orders and new business that we have been signing on ever since this whole tariff thing got declared. So, whatever compromises had to be made was before this whole order book, which we were carrying prior to the declaration of the tariff, the 10% increase that happened of the reciprocal tariff. And the same thing is also true on the conductor side. Both the divisions, APAR, has been following exactly the same practice.

Nikhil: Oka

y, sir. That's really great to hear. And so my next question is like, on our conductor's order inflow, we are at a 5 quarter high order inflows on the conductor segment. So, sir, majority of this might be from the domestic business, as you said. So, are we looking at the export, how are the export RFPs and all that, in terms of conductor side business order inflow?

APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 23 of 39

Chaitanya Desai: Yes, they are okay, as in, like it was explained in an earlier question, answered towards that, that we are getting the RFQs, and we are giving the quotations, but our success ratio has dropped because of the intense competition from China, which is subsidized, but this may not last for long, hopefully. So, we are keeping with the market, and we are actively sort of, you know, trying to make inroads again into that marketplace, but at a reasonable price.

Nikhil: Okay, sir, that's great to hear, sir. Thank you for giving the opportunity, sir, and all the best.

Chaitanya Desai: Yes, thanks.

Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from BugleRock PMS. Please go ahead.

Himanshu Upadhyay: Yes, hi, good afternoon. My question was on the oil business, okay. What we are seeing is, we are having pretty good growth rate on the better products, transformer oil, auto oil, and which we have been highlighting in industrial lubricants versus rubber processing oil and some of those segments. But the margins wise, it seems there is not much of an improvement, okay. Though it seems YoY it is some improvement, but again, the price of crude has fallen.

Kushal Desai: So, I think the reference which I read out and I mentioned during my opening remarks is a quarter-to-quarter reference. So, if you see in the 1st Quarter of last year, it was also the highest margin that was there in the year. So, if you see on an absolute level, a margin of 7,000 plus EBITDA per KL is one of the higher margins that we have had.

Himanshu Upadhyay: And are we seeing these margins what we are having, what we are expecting? Will it be because of product mix improvement, majorly or volatility is helping?

APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 24 of 39

Kushal Desai: No, the volatility is actually not helping at all. It's actually dragging things down. It would have been even higher. It's really the mix, the transformer oil part of the business has grown and so has the lubricant side of the business, as I mentioned in my earlier remarks. So, these are the two segments which have grown. The white oil business has actually, export side of the white oil business has de-grown because that's really something that's very tactical for us. The margins weren't good. So, we just allowed that part of the business to slip a little bit.

Himanshu Upadhyay: And the transformer oil and oil business, some of those challenges which are there on the conductor side, are those similar challenges on the transformer oil and ...?

Kushal Desai: No, so the market segment, the geographic mix is very different for our transformer oil business compared to what we do on conductor and cables. In

conductor and cables, both of their largest market outside India is the America. So, when you add up the United States, Canada and some of the LATAM countries, that's where their focus is. If you look at our transformer oil business, we are very strong in Asia, all across Asia, right, including Australia. We have a very strong position in South Africa. We have a strong position in Turkey. And we are the largest in the GCC. So, it's a completely different geographic footprint. So, there, the challenges which were there is that some of the projects in these countries in Saudi and Australia, South Africa got postponed a little bit. So, even though we have a good order book, the execution of that got pushed out.

Himanshu Upadhyay: Okay. Yes. Thank you so much.

Moderator: Thank you. The next question is from the line of Sagar Dhawan from ValueQuest. Please go ahead.

Sagar Dhawan: Yes, thanks for the opportunity and congratulations on a good set of numbers. My question is on the US demands. Basically, keeping the tariff-related uncertainties aside for a minute, what is your outlook on the US demand after the big beautiful APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 25 of 39

bill getting passed as an act? Because it puts a service, it puts a place in service deadline for the renewable projects to come in to avail the incentives. So, does it change anything on the demands front for you in the US because of the urgency it creates for the renewable projects?

Kushal Desai: So, if you look at a renewable, it falls under actually three buckets. You have solar, you have onshore wind, you have offshore wind. So, for a long time, we have been saying that the offshore wind side has been one which cannot operate without significant subsidies. And that's the first one that's getting killed. If you look at the other end of the spectrum, which is solar, solar can actually be viable even without subsidies. It's the cheapest form of power today, pretty much in most of the world. And in North America, it's a good source of power because most of the country receives fairly good sunshine. So, we don't expect any massive change coming from the solar side. The wind side could face some challenges, especially projects where the subsidy is playing an important role and the plant load factor is not good based on just the natural amount of wind that's flowing. So, that could have some compensatory effect. However, on the other hand, one sector in the US which is going extraordinarily strong is the whole data center market. And data centers require both upgradation of transmission lines coming into them as well as a reasonable amount of cables. So, we don't see overall the demand scenario actually getting affected. We feel that there will still continue to be a growth in the North American market.

Sagar Dhawan: Got it. And the question that I had was again on the US, any plans of setting up a local manufacturing capacity in the US? You talked about it in the past. What is your view now?

Kushal Desai: So, we have been doing our homework on it. However, at this stage, until this whole tariff thing becomes clear, because suddenly there was this increase from 25% to 50% for import of aluminum, ingots, copper rods, all these things. So, that would obviously have a material impact if you were to manufacture locally in the APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 26 of 39

United States. So, we have been doing our homework quietly in terms of figuring out what could be the possibilities there. But we haven't taken a call. I think we need more clarity before a commitment can be made.

Sagar Dhawan: Understood. And one last question from my side is on the conductor volume growth, you've been guiding for about 10% volume growth on conductors. Any change in that guidance or are we sticking to that number?

Ramesh Iyer: We are sticking to the same number, 10% on an annual basis. Some quarters may be but I think on an annual basis, 10% volume growth is what we are guiding.

Sagar Dhawan: And sir if I heard correctly, in answer to the earlier participant, you're running at full capacity. Did I hear that correctly?

Kushal Desai: We are pretty much for most of the products on the conductor side, we are running at capacity. However, you know, as part of the Rs. 1,300 crores, there is almost Rs. 400 crores, Rs. 300 and odd crores into expanding the conductor, various products that are in that division.

Sagar Dhawan: Okay, so by when does that line come online? It is an additional capacity that you

are getting.

Kushal Desai: Equipment are st

arting to come in and getting installed, but a chunk of them are coming actually in Q3 and early Q4.

Sagar Dhawan: Okay. That is it from me. Thank you.

Kushal Desai: Okay.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 27 of 39

Amit Anwani: Yes, just a couple of things on conductor as the realization has been high in Q1 and Q4. Are we expecting similar number like 4,80,000 per ton, that is what we reported? Just wanted to understand on realization going forward for conductors?

Ramesh Iyer: It depends on the product mix Amit. It's not possible to predict that way. And as you know that our business runs on order book and there are one, it comes from the pending order book and another would be the orders that we get during the quarter. And due to the various product categories which are there, so it's difficult to get that number whether what kind of trend will continue in terms of realization. So, we are more guided with the EBITDA per ton. Also, aluminum price and copper prices fluctuate.

Kushal Desai: And there is a big difference between the two. One is almost 3.5 times.

Ramesh Iyer: So, when that price of metal fluctuates, the composition of that changes. So, it's a bit difficult to predict that number.

Kushal Desai: So, everybody in the business is actually measured on a per ton basis. So, that's a good measure to track because variable compensation, bonuses, everything is based on fundamentally that metrics. And that's the metrics which we also put out for investors and in the public. So, we just, I think, focusing on that rather than the realization, I think, would be better in terms of setting up your model as well.

Amit Anwani: And sir, you highlighted about reconducting being a very strong opportunity in domestic market. Just wanted to understand what was the reconducting contribution in terms of volume or what is the percentage of reconducting of current order book? How much reconducting would be there? So, any color on reconducting contribution?

Kushal Desai: We don't actually end up giving sub-segments within that. We classify a certain set of products which are premium products and this falls within that. I can only tell you that as these right-of-way issues continue, the best solution is

APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 28 of 39

reconducting. And theoretically, we feel that every conductor that has been put into India a few years ago is actually primed for being reconducted. So, we don't have a breakup of that. We don't give the breakup of that because it's sensitive information. But otherwise, as you can see that whole sector or section is growing and that includes the reconducting portion of the business.

Amit Anwani: Right. And so, any color on the competition is reconducting? What are products we're supplying? Are we just one or two players or how is the market?

Chaitanya Desai: There are players who are getting into the business. The largest is clearly ourselves. Then after that, you have Sterlite Power and following that is JSK. But the way we do the business is not just supplying the conductor but we also do the entire solution for the utility. So, it's one thing to produce a conductor. It's another thing to be able to provide that solution. And having done now close to 200 plus projects in the country, we really have a very strong ability to actually execute these reconducting projects. So, even if competition comes in, A, the market itself will grow and B, the expertise doesn't lie just in doing a conductor production but in providing the entire solution which is far more difficult to do.

Amit Anwani: Right. Lastly, sir, on cables business, if possible to share the breakup of specialty cables, power cables, elastomeric, LTC and the kind of growth

h we have witnessed in this quarter?

Ramesh Iyer: We give the total only, Amit. We don't share the breakups of that.

Amit Anwani: Okay. But sir, any color on the growth of total specialty cable portfolio? Has this been higher than the total growth in the cable business?

Kushal Desai: I think it's been almost similar. As I said, the segments have moved for us where we have done more work with respect to data centers in India. We are supplying pretty much every major data center company. Recently, we also got into the global Microsoft approved vendor list for cables to data centers. So, that includes the APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 29 of 39

approval for the US market. And so, once this whole tariff overhang settles down, that's another opportunity for growth. But otherwise, we have seen the power cable side growing. We have seen a little higher growth in the flexible elastomeric side because the wind has actually picked up very substantially compared to previous periods. But otherwise, it's really growth across segments. The railway side has been also steady. As they add more Vande Bharat trains, etc., we are still at 90% of the supply to Vande Bharat trains as well. So, it's quite a secular growth.

Amit Anwani: Great, sir. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Balasubramaniam from Arihant Capital. Please go ahead.

Balasubramaniam: Good evening, sir. From the solar industry, model manufacturing capacity is almost doubling up, and how we are leveraging our solar cables and conductor side, and is there any risk of oversupply in the solar segment, which is impacting margins?

Kushal Desai: So, on the solar side, we have substantially increased our own. So, if you look at the solar cable, as you've seen that investor presentation that we have, which is the comprehensive company presentation, 140-odd page. So, that is a slide which gives all the different types of cables used in the renewable energy. So, one is the string cable, which is the cable that's connecting the panel. That is where APAR actually has a very strong position because those are electron beam cables. We do our own compounding. We manufacture the whole cable end-to-end, every component that goes into it. So, that part of the business has been substantially growing for us. The margins there may have come a little bit under pressure because the volumes are just higher, but that business has been growing quite substantially. Then there is the cables which connect the panels into the substation, which is essentially a power cable. And the requirements in the US are quite unique. The requirements in India are relatively straightforward. So, that part of APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 30 of 39

the business for us, we just measure it up against other opportunities that we have for power cables. So, the solar cables which we talk about, where APAR has a very strong position is the DC cables, which are the cables that are used for stringing the panel. So, there we have invested in capacity. We have capacity to grow. And in fact, my sense is that the highest amount of addition is still to come because as Reliance starts producing their own modules, there will be a huge amount of execution that they will do. Similarly, as you know, I read out earlier in the opening remarks, the momentum of more and more solar projects continues to grow. The solar projects are very large in size. So, you will start seeing more premium conductors being used so that the evacuation that can be done from those sites is actually carrying much higher power from those sites.

Balasubramaniam: Okay, sir. So, from the oil storage terminal side, how much cost reductions we can expect from JNPT expansions? Will this improve our export competitiveness?

Kushal Desai: So, first of all, wh

at's happening today is that since we have exhausted building storage within our existing facilities, we actually have rented out a whole lot of tanks outside. So, this is going to result in actually consolidation of that. A lot of tank land is basically sitting on companies which previously used to manufacture liquid products and they have shut down and they have been renting out these tanks. So, as time passes by, the rental value on these tanks is continuing to grow or companies are going to redevelopment of that land. So, you will see that tank capacity will start getting a little bit more scarce as well as will get more expensive. So, this is one way of actually consolidating our stocking, making sure that the base oils are also maintained with very good quality in terms of storage because we use so many third party facilities, we don't have as much control on how the product gets into the tank, gets out of the tank. And it does open up as you did the possibility of exporting product in bulk which we haven't been doing so far.

It's all going out in flexi bags etc. So, that bulk portion is still a discovery that needs
APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 31 of 39

to take place but the project can be justified simply on a payback based on external storage cost.

Balasubramaniam: Got it, sir. So, on that export side, especially we are focused on aluminum alloy cables, 8000 series, especially for US. Is there any copper demand lacking due to cost or any performance factors?

Kushal Desai: No. So, previously what was happening is that copper in the US had zero duty whereas the cables carried a duty that was the same as aluminum. So, as a consequence, there was more competitiveness that a local US manufacturer had to produce copper based cables compared to aluminum alloy based 8000 series. Now, the situation has changed where copper hasn't moved into that strategic 232 section. So, we have to see. We have capacity that's coming on stream within the next few months. So, once the dust settles, we can move around in terms of whether to produce more copper or to produce more aluminum alloy or to actually allocate more cables to be produced for the US market itself. So, there's a lot of flexibility that will come at our end as this CAPEX is getting executed. So, it's something that one has to still discover based on how this whole tariff thing settles down. But whichever way it goes, the product mix-wise, we are very flexible.

Balasubramaniam: Got it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Market Securities. Please go ahead.

Mayank Bhandari: Thanks for the opportunity, sir. I have one clarification. Our export in the oil business, does it include the sale that we are doing from the Sharjah plant?

Kushal Desai: Yes, absolutely, it is the global sales that we report.

Mayank Bhandari: And what was the FY'25 number for that Sharjah plant?

Ramesh Iyer: It's about 1,000 crores.

APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 32 of 39

Kushal Desai: FY'25 exact number you will find in the annual report because all the subsidiary numbers are there in place. But the number that we have been talking about is the overall consolidated number.

Mayank Bhandari: Okay. So, and just in terms of understanding the aspect there in the Middle East, we are hearing very good demand, particularly in the construction side. So, I mean, how is the business of specialty oils particularly panning out from that segment? I mean, what kind of growth we should anticipate from that particular plant in Sharjah?

Kushal Desai: I didn't get your question clearly. Can you just rephrase your question again, please?

Mayank Bhandari: Specialty oils, Sharjah plant, I mean, if we are exporting from Sharjah to nearby countries, I am assuming. So, I mean, how is the business

growing in terms of the demand environment, if you could comment on that?

Kushal Desai: Yes. So, actually, it's a mixed bag. Some countries are doing very well. Like, for example, there's a lot of infrastructure being added in Saudi Arabia, given that they have a commitment to increase in-country value. So, as a consequence, there's a lot of new plants coming up, a lot of new requirements coming up from there. And the government is also expanding the infrastructure substantially, because other countries where demand is flat to marginally declining. Like you've got Oman, you've got Qatar. Qatar did a huge build-up before the World Cup. Some of the North African countries are a little slow. So, Egypt has improved a bit, but it's nowhere close to what its peak was. However, from our plant in Hamriyah, we also export product into Australia and South Africa is covered from there, for example. So, it all depends on which geographies. But the thing is that APAR produces exactly the same slate of products. Whatever we produce in Hamriyah, those formulations are identical to what we produce in India. So, we have actually 100% fungibility for our client. So, we end up looking at wherever
APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 33 of 39

the freight and logistics are better, both in terms of timeline as well as in terms of cost. And then we work with our customers to allocate where it makes sense for them to receive the product from.

Mayank Bhandari: And sir, we were planning to leverage on this cost advantage from that plant. So, why is this segment then overall not delivering growth? And the growth has been quite muted for quite some time.

Kushal Desai: So, everything is relative. When you look at the growth relative to what the whole segment is growing at, the entire Specialty oil lubricant segment itself is growing at around 2%-3%. So, when you have an 8% growth, you are at around 2.5-3 times the market. Also, there are sub-segments in there. As I mentioned earlier in my opening remarks, the transformer oil side is proportionately growing because a lot of electrical networks are getting added. The white oil side, we have been dropping it off because we do not like the margins on some of those products and we treat that significantly more tactical. But if you see the overall business of the oil side, the sales volume, if you see, every year, every quarter has been hitting all-time highs. And it is not a very huge number, but it is very consistently been growing. And today, if you see the quantity of base oil that APAR imports into India and blends in India is larger than any single base oil refinery that runs in India. If you take the largest refinery of IOC, you take the largest refinery of HPC, we consume more than that entire refinery can produce. So, it is a very steady business. It is not a business that is going to grow at the pace of the conductor business or the cable business, but it is a very good cash flow business.

Mayank Bhandari: Okay. So, just to sum it up, whether your overall business, whether the Sharjah plant will grow faster in this oil business or the overall domestic business will grow faster?

Kushal Desai: So, I believe that the domestic business is actually growing faster than the Hamriyah business because we have transformer oil, which is a big portion of our APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 34 of 39

domestic business. We also have lubricants, which is a big portion of our domestic business here. Having said that, the Sharjah plant is an extraordinarily efficient plant. So, the fixed structure there is not very high. And so, you have a lot of ability to actually scale up and down depending on the opportunities that the market presents itself.

Mayank Bhandari: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Sushil Dhoot from Insig

htful

Investment LLP. Please go ahead.

Sushil Dhoot: Yes. So, my question actually is a couple of things. From a more longer term on a structural perspective, what really worries you most in terms of, if you just have to do some brainstorming in terms of what can go wrong, so, for instance, other than China, which is not likely to be possible where duties will be lower than India from a US perspective. Is there another country who has the capacities and the capabilities to export into US if that particular country has a lower duty than us eventually? Will that be something that will worry us, number one? Number two, on the fact that you now have power storage, which is more affordable, and if wind overall slows down, is that something that can affect our longer term growth rate? So, these kind of questions is what basically answers that I am looking for.

Kushal Desai: Okay. So, on a structural basis, you see, what is our biggest worry? Our biggest worry is actually the geopolitical tensions which are there, because they are coming in from all kinds of different directions. Like the US right now and the Trump administration is not just increasing tariffs, but it's threatening that if you use Russian oil, then we will... basically, there is a tariff whip that is being used to try to pull these things. So, that adds to a certain level of uncertainty. I am not sure whether any of this is sustainable, but it can cause a lot of short term confusion. So, obviously, that's something that would keep... it has to be very high on the risk level. In terms of the renewable energy front, I think we have relatively less worry, APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 35 of 39

simply because there is no other option that's out there. Again, there may be some short-term issues, you may have someone carrying an opinion, but the fact actually, you can't change facts. And the problem that seems to be there with some of the

administrations around the world is that they are playing around with facts. You can play around with an opinion, but you can't play around with a fact. So, when you do that, then it's only a short term thing before the reality dawns on you. So, the thing is that we focused a lot on where the demand of the market is going to come from. The solar demand is going to be universal everywhere because it is the fastest, cheapest form of power.

Sushil Dhoot: Sir, this is not solar, completely?

Kushal Desai: Yes, on the wind side, we are focusing basically to a large extent on the wind in India because what has happened here is that given that solar was cheaper and very easy to add, a lot of emphasis has been given to solar. There are two issues coming up with solar. One is that if you want to build really huge solar farms, land is starting to get difficult. And so, not everybody can build in the salt pans of Kutch and in the Thar desert and things like that. And also, the seasonality of solar is a little high given that we do have a four-month monsoon when it falls and wind actually complements it completely. So, as a consequence, you are seeing that new tenders coming out are coming out with the hybrid and they are coming out with a certain minimum power that you have to deliver. So, that can be delivered based on a combination of solar wind and the amount of battery storage that you put in. So, when you look at all these things, and I think the regulators are getting very smart now by pushing for all these combinations, etc. So, our sense is that wind is not going anywhere. Wherever there are big subsidies required to run wind, then you will have a problem. So, we are focusing actually North America has some of the best wind tunnels. And they are also in places where Mr. Trump is not in a position to see the windmill because they are like way out of where he would typically play golf or go on a holiday or travel around. So, I don't think win

d

APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 36 of 39

is going to disappear. It's a little unpopular for some powerful people in the world, but the economics are not changing, especially where a plant load factor remains good.

Sushil Dhoot: Okay. So, we are not leaning excessively on wind in case wind slows down for whatever reason, whether in India or US. That is not going to change materially our secular growth rate?

Kushal Desai: I don't think so. But at the moment, India has still got a huge runway to go on wind. The one thing that hasn't yet picked up, but is going to pick up because it's right at the top of the regulator's discussion is the replacement of windmills on existing land. You see, the windmills that went in 10 years, 15 years, 20 years ago, were of a very suboptimal size. And they are occupying some of the best wind real estate in the country. So, that is going to change because you are going to go from 250 kilowatts to upwards of 3.5 megawatts. So, the amount of wind that you can generate per acre of land is going to dramatically change if the old windmills are pulled down and the new ones are put in place. There are some policy issues that need to be ironed out to help the change to happen. And moment that happens you will see large-scale replacement of windmills happening. And as a consequence, again, good demand for cables because the towers will be replaced. So, we really think that this is a very long-term thing. It's not going to really get affected.

Sushil Dhoot: And sir, any one or two particular countries other than China, because the US is doing bilateral now with most of the countries, where the duty structure turns out to be lower than India, for that particular country, then where are exports particularly of conductors or cables and cables both can get impacted?

Kushal Desai: So, I think that makes sense to take a call once the dust settles on this. I think in the next few weeks, there will be the letters going out to various countries, especially those that haven't got into very serious dialogues with the United States.

APAR Industries Limited Q1 FY'26 Earnings Conference Call
July 29, 2025

Page 37 of 39

But if 15% seems to be the bottom, and if India is in that ballpark, then we don't see anything major upsetting this whole game.

Sushil Dhoot: My understanding is just that if Vietnam, Cambodia, Korea, or I don't know, Bahrain, or someone gets 10%-15% differential versus India, then do they have those kinds of capacities where they can really...

Kushal Desai: If something happens where Bahrain is 10% cheaper than India, then obviously their conductors will land cheaper, but they don't do cables. There are still some specialty conductors which we do, especially the HTLS and some other special forms which are quite popular in the US, which will continue to go from here. So, I think, Sushil, we will wait for it till all this happens, then take a call.

Sushil Dhoot: Fair enough. Thank you so much and best of luck for the year ahead.

Kushal Desai: Thank you so much.

Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Thank you for the opportunity. So, my first question is on the interest that we paid for quarter is around Rs. 85 crores, even though our execution is almost similar to what we did in Quarter 4. So, I wanted to understand if this lower interest outflow is majorly because of lower net working capital cycle, or is it because we paid off some long-term borrowings and our total cost has come down?

Ramesh Iyer: So, we have used cash and internal accruals to fund our purchases as compared to the letter of credit. So, when you do the letter of credit, you have an interest element, but when you do cash purchases, that kind of cost comes down. So, that's the reason you see in this particular quarter, there is a red

uction in the finance

cost. It's also a measure of more working capital utilization that we are able to generate cash and internal accruals more to be able to purchase on cash basis.

APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 38 of 39

Vignesh Iyer: So, basically, instead of the working capital usage, we have gone for the internal accruals, right? I mean, that has resulted in this lower interest outflow, right? If I get it right?

Ramesh Iyer: Yes.

Vignesh Iyer: Okay. And secondly, sir, on the cable division side, we have seen exceptional growth in this quarter. And if I remember from your commentary, at the start of the call, it is because of higher procurement from US due to fear of tariff. So, can we assume that the other three quarters on a normalized basis could consistently give us a 25% growth?

Ramesh Iyer: We have been targeting 25% growth. Now, actual number can be more or less depending on what kind of orders we get during that quarter. At the same time, domestic business is also very strong. Our domestic business also growing by 20% odd. So, we won't be able to give that impact how much will happen if that, you know, US thing, US orders would have not got executed, what would have been the growth rates, those would be difficult to predict. But overall, we feel that for the blended division, 25% value growth should be something that we can guide for.

Vignesh Iyer: Okay. That's all from my side, sir. And all the best for the year ahead.

Ramesh Iyer: Thank you.

Moderator: Thank you. That was the last question for today. I now hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: Thank you everyone for joining our earnings call. As I mentioned, we fundamentally remain fairly optimistic about the business. There are a few overhangs and short-term clouds, particularly around the US tariffs. The domestic side of the business, we feel continues to remain fairly strong right across the

APAR Industries Limited Q1 FY'26 Earnings Conference Call

July 29, 2025

Page 39 of 39

transformer cable as well as the transformer oil side. As I mentioned earlier, there was a little slowdown in some of the strategic markets for our transformer oil exports side of the business due to project delays, but that is also picking up. And I guess once the dust settles on the whole US tariff and import policies, then we should start seeing business again, picking up there and getting to more normalized levels. So, with that, I would once again like to thank everyone for taking the time to be on our earnings call. Thank you very much.

Moderator: On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

SEC/0611/2025 By E-Filing November 06, 2025

National Stock Exchange of India Limited
"Exchange Plaza",
C-1, Block G,
Bandra- Kurla Complex,
Bandra (E),
Mumbai – 400 051.
Scrip Symbol : APARINDS
Kind Attn.: Listing Department
BSE Limited
Corporate Relations Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.
Scrip Code : 532259
Kind Attn. : Corporate Relationship
Department

Sub. : Submission of Transcript of the analysts and investors conference call on Un-audited Financial Results (Standalone & Consolidate d) on Q2FY26 (2025-26).

Ref.: Reg. 30 read with Schedule III & all other ap plicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations "), as amended from time to time

Dear Sir / Madam,

Kindy refer our letter dated October 30, 2025, unde r Ref. no. SEC/3010/2025, w.r.t. submission of Audio Recording link of the analysts and investors conference call on the Un-audited Financial Results (Standalone & Consolidate d) of the Company for Q2Y26 (2025-26).

Pursuant to the provisions of Regulation 30(6) of t he Listing Regulations, we are submitting herewith the transcript of the conference call made on October 30, 2025 on the Un-audited Financial Results (Standalone & Consolidated) of th e Company for Q2FY26 (2025-26).

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com .

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Chaitanya N. Desai)
Managing Director
DIN : 00008091

Encl. : As above

APAR Industries Limited
Corporate Office : APAR House, Bldg. No. 4&5, Corporate Park, V. N. Pu rav Marg, Chembur, Mumbai - 400 071,
Maharashtra, India
+91 22 4957 2100/6780 0400 corporate@apar.com www.a par.com

Page 1 of 34

“APAR Industries Limited Q2 & H1 FY'26
Earnings Conference Call”

October 30, 2025

MANAGEMENT : MR. KUSHAL DESAI - CHAIRMAN AND MANAGING
DIRECTOR , APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI - MANAGING DIRECTOR ,
APAR INDUSTRIES LIMITED
MR. RAMESH IYER - CHIEF FINANCIAL OFFICER , APAR
INDUSTRIES LIMITED
MODERATORS : MR. AMBESH TIWARI - S-ANCIAL TECHNOLOGIES

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 2 of 34

Moderator : Ladies and gentlemen, good day and welcome to APAR Industries Limited
Q2 FY'26 Earnings Conference Call.

As a reminder, all participant lines will be in listen -only mode and there
will be an opportunity for you to ask questions after the presentation
concludes. Should you need assistance during the conference call, please
signal an operator by pressing ' * ' then '0' on your touchtone phone. Please
note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S -Ancial
Technologies. Thank you and over to you.

Ambesh Tiwari: Thank you. Good afternoon, everyone. This is Ambesh from S -Ancial
Technologies. I welcome you all to the Q2 FY'26 Earnings Conference Call
for APAR Industries to discuss the business performance and outlook.

We have from the management side, Mr. Kushal Desai – Chairman and
Managing Director , Mr. Chaitanya Desai – Managing Director and CFO –
Mr. Ramesh Iyer.

I would now pass on to Mr. Kushal Desai for the opening remarks. Thank
you and over to you, sir.

Kushal Desai: Thank you, Ambesh. Good afternoon, everyone and welcome to the APAR
Industries Q2 & H1 FY'26 Conference Earnings Call.

I would like to start by giving a quick overview of our consolidated business
performance and then follow that up with a short industry update. Post that,
Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 3 of 34

we will get into more details on the individual performance of segments
and then finally open up the floor to questions.

In terms of 'Financial Performance' for Q2 FY'26:

The consolidated revenue came in at Rs. 5,715 crores representing a 23.1%
increase in year -on-year with volume growth being witnessed across all
three divisions. This is largely due to good domestic business performance
as well as good export performance in the quarter as we II. Our exports are
up 43% year -on-year contributing to 34.7% of the company's consolidated
revenue compared to 29.8% a year ago. EBITDA post open period forex
increased 24% year -on-year to Rs. 499 crores with a margin of 8.7%. Profit
after tax came in at Rs. 252 crores which is 30% higher than the previous
period. Profit after tax margin is at 4.4% which is 20 basis points higher
than what we had in the 2nd Quarter of FY'25.

In terms of the first half, consolidated revenue came in at Rs. 10,820 crores.
This is the first time that we have crossed Rs. 10,000 crore s in one half.

It's up 25% year -on-year. EBITDA post open period forex stands at Rs. 1,000 crores which is historically high half yearly EBITDA post open period forex. This is up 25.5% versus the first half of FY '25. The EBIT DA margin stands at about 9.2%.

In terms of key industry highlights :

India's renewable energy sector continues to show good momentum with the first half of the current fiscal year witnessing a record capacity addition of about 25 gigawatts which is the highest ever in a 6 -month period driven largely by the solar sector. Of the total capacity of 25 gigawatts added

Q2 & H1 FY'26 Earnings Conference Call

October 30, 2025

Page 4 of 34

during April -September 2025, the solar power sector encompassing ground -mounted, rooftop hybrid and off- grid segments contributed around 21.7 gigawatts and the wind contributed about 3 gigawatts according to the data which has been published by the Union Ministry of New and Renewable Energy.

In terms of some sectoral updates:

The Central Electricity Authority under the Ministry of Power has prepared a master plan proposing the development of 208 large hydro projects across 12 sub -basins in India's north- eastern states. The government's

ambitious Rs. 6.4 trillion which is \$77 billion transmission plan aims to evacuate over 76 gigawatts of hydroelectric capacity from the Brahmaputra basin by 2047. This ini

tiative is designed to unlock the region's vast untapped hydro potential supporting India's clean energy transition and enhancing the national grid reliability. This initiative also represents India's largest ever investment in hydroelectric transmission infrastructure.

In terms of the transmission line and substation addition:

According to CEA, India's substation capacity addition saw a good momentum in the first half of FY '26, rising by around 74% year -on-year.

The country added 44,645 MVA of transformation capacity which is a sharp increase from 25,690 MVA in the first half of FY '25. However, this represents only two -thirds of the planned 68,183 MVA target for the period indicating continued execution shortfalls compared to the plan. However, in contrast, the transmission line additions have actually remained subdued. During April -September FY '26, only 2,411 circuit kilometers of

Q2 & H1 FY'26 Earnings Conference Call

October 30, 2025

Page 5 of 34

new lines were commissioned which is a 27% decline from the first half of FY'25 and achieving just 39% of the plan for the period. This shortfall was particularly acute in the 765 kV category where additions dropped to 300 circuit kilometers, down 26% year -on-year and covering only 9% of the planned addition.

In June 25, the Power Ministry announced a rollout of ultra- high voltage AC power transmission systems with nine 1,100 kV lines and 10 substations identified for development by 2034. So, overall, while substation capacity additions have shown an encouraging momentum, the transmission line expansion continues to lag behind targets. However, this is expected to

gather pace and align more closely with the targets in the months to come.

Now, coming to our segmental performance :

The conductor division in the 2nd Quarter of FY'26 had a revenue growth of 34.9% year -on-year on the back of a product mix which had higher realization and a better composition plus there was a volume growth of 16.2% in Q2 FY '25 versus the previous period. Exports grew 74.6% over last year's same period. Exports contributed 24.2% of the overall revenue compared to 18.7% a year ago. The U.S. revenue in the first half was up 145%. Premium product mix contribution is 45.4% in Q2 FY '26 versus

42.2% in Q2 FY' 25. The EBITDA post forex also grew 21.4% to reach a value of Rs. 248 crores. On the margin front, EBITDA post open period FOREX stands at Rs. 39,636 per metric ton as against Rs.37,702 per metric ton for the same period last year. Improved premium mix and growth in the U.S. business has resulted in this higher EBITDA per ton. The total order

Q2 & H1 FY'26 Earnings Conference Call

October 30, 2025

Page 6 of 34

book is at Rs. 7,168 crores and the new orders received during H1 were Rs. 5,256 crores.

As we look at the first half revenues, that came in at Rs.5,885 crores which is up 39% over the first half of last year. Volume again has grown at 16.8%. The export mix stands at 22.3%. The EBITDA has come in at Rs. 497 crores which is 27% higher. The EBITDA margin is at Rs. 41,421 per metric ton versus Rs. 38,095 per metric ton in the last year.

We have strengthened and opened up new markets beyond the U.S. For example, in Europe, we are expanding and entering a larger footprint in new countries for some of our premium products and also adding them in Latin America. We have also added a few new customers in Canada. In spite of all this, growth in the first half, there are actually two headwinds which we are facing as we get into Q3 which is particularly due to the increase in metal prices. If you see, aluminum prices have increased to almost \$2,900 per ton and copper prices have increased to more than \$11,200 per metric ton. This is causing new ordering globally to be put on hold when customers and EPC players, developers etc. are playing a waiting game in the short term to see if prices act

usually correct downward.

During this period, the ordering is significantly reduced. What we see is execution taking place of only those customers who had previously blocked

the metals at older prices. This is also to some extent true in the cables business, especially in solar cables and some of the other cables where the metal content is reasonably high.

Now coming to our oil business :

Q2 & H1 FY'26 Earnings Conference Call

October 30, 2025

Page 7 of 34

Revenues from operations remain flat compared to last year, largely because crude prices in the first half have been lower than what they were in the same period previous year. Volume has grown 8.2%. Transformer oil volume was a bit lower at 4.6% at a global level on account of some execution delays in the supply chain, especially from our plant in the Middle East as well as in some of the export locations. However, the transformer oil domestic business posted a very strong revenue growth of 13.6% versus the previous year. Automotive oil grew 3.7% whereas

industrial lubricants grew 18.8%. Exports contributed 43.2% of the overall oil division revenues as compared to 44.7% a year ago. In terms of EBITDA per KL, this quarter it is at Rs. 5,869 versus Rs. 5,473 per KL a year ago.

H1 revenue has also remained pretty much flat for the same reason. However, the domestic transformer oil business has grown 17.3% in the

first half versus the same period previous year and the export mix in the first half stands at 40.1%.

In terms of our cable division :

The revenue in Q2 FY '26 posted a strong revenue growth of 25.1% to reach Rs. 1,535 crores. The US revenues in the first half have grown 121.2% over the last year. The export mix was 42.3% in Q2 FY '26 versus 29% in Q2 FY '25. The EBITDA post forex recorded a year-on-year growth of 32% to reach Rs. 157 crores. EBITDA margin came in at 10.2% in the quarter which is up 50 basis points compared to last year. The pending order book stands today at Rs. 1,836 crores.

Q2 & H1 FY'26 Earnings Conference Call

October 30, 2025

Page 8 of 34

The cable business for the first half posted a revenue growth of 30.2% to reach Rs. 2,954 crores. The export mix stands at 41.8% in H1 versus 30.9% a year ago. Again, the US revenues have grown 127.7% in the first half. The EBITDA post forex grew 32.1% to Rs. 299 crores with an EBITDA margin of 10.1%.

I would now like to move to concluding remarks and summing up the scenario:

If you look at the fundamental growth drivers for the Company, we believe

that they still continue to remain fairly intact. There is a steady inflow of business coming from renewable energy in India as well as around the globe. There is continued investment happening in terms of grid monetization and augmentation at a global level.

Domestic business continues to be relatively strong. And our presence across multiple segments in the generation, transmission and distribution of electricity continues to be healthy. On the export front, the US tariff

situation is fluid at the moment with various announcements that have happened over the last few months.

One important development has been that aluminum and almost 400 products were added to the Section 232 duty, which is uniform at 50% for aluminum, copper and steel. This is uniform across all the countries. So, as a consequence, that puts us in a slightly less disadvantageous position. When you look at the export of the product, the metal content is charged at 50% and the non-metal content is charged on the basis of the basic duty plus the reciprocal duty, which in India is at 54% at this stage versus the

Q2 & H1 FY'26 Earnings Conference Call

October 30, 2025

Page 9 of 34

lowest duties which are coming from the Middle Eastern countries and the UK, which stands at approximately 10%.

Basis news articles and talks which are going on about the trade deal, hopefully it seems that there

is a certain level of progress taking place.

However, in the meantime, customers in the United States have honored their commitments on most of the orders and they have accepted the materials. There is also a willingness for them to absorb a part of the duty, allowing us to make some adjustments in our prices and margins. And the new order inflow has started in Q3 after a break of two months in Q2. The pace of orders is a little bit slower as customers try to size up the

geopolitical situation and the tariff situation. However, there are certain incentives which were announced by the US government which are time-bound. So, it requires construction to start of renewable energy projects, especially solar projects by the

end of July 2026. And the project has to be

completed and in service i.e. by delivering power into the grid before December '27. So, considering this, I would believe that order inflow will

continue to be there and would actually increase to avail of the incentives which are there. The Trump government seems to have hinted that this period may not get extended. So, accordingly, we are seeing improvement

in the order inflow in Q3. But this is likely to be executed during the end of Q3 and early Q4. And the revenues for what we export in Q3 will be realized only in Q4, resulting in a Q3 coming under some amount of pressure both on topline as well as on the overall profitability side. So, given that globally there is an increase in demand, we would also look at trying to mitigate some of the shortfall of the US in the shorter term by trying to book more business in the domestic market as well as in some of

Q2 & H1 FY'26 Earnings Conference Call

October 30, 2025

Page 10 of 34

the other export markets. As I mentioned earlier, one dampener is that there has been a sudden spike in the price of aluminum and copper, which is holding off people from finalizing their orders in the hope or expectation that these prices may fall. But overall, we believe that if you look beyond one quarter and you look into the medium term, we believe that the business fundamentals continue to remain strong.

So, on this note, I would like to conclude my presentation and open up the floor to questions.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from the line of Umesh Raut from Nomura. Please go ahead.

Umesh Raut: Hi, sir. Congratulations for a very strong set of results. My first question is pertaining to a conductor segment where we have reported a very strong set of EBITDA per ton realization numbers consecutively for almost now

three quarters. And our guidance is at about closer to about Rs. 30,000 per ton on this side. So, any revision in terms of guidance now considering that consistent performance of EBITDA per ton more of closer to Rs. 40,000 per ton. And especially with respect to what you talked about in case of US market, how demand is kind of shaping up. If you can divide that demand in case of data center and then other government -related projects ? And where exactly do you see postponements kind of happening in terms of decision making from the customers? And also in case of domestic market, how do you see second half shaping up in terms of demand considering that first half was relatively noted in terms of executing projects on transmission line side?

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 11 of 34

Ramesh Iyer: Hi, Umesh. So, I will answer the first part of it. Basically, on the EBITDA part, we will continue our guidance of 30,000 per metric ton as we have been explaining in the calls earlier, it's a combination of various product categories. And depending on what gets executed during the quarter, our margins comes up. And as you would have seen, the EBITDA margins we have been guiding from 10,000 to 30,000 over the last 2 -3 years, where we see

a comfort level below which the EBITDA are not likely to drop over a 12-month period. So, despite that, we have got 35,000 to 40,000 EBITDA per metric ton. For the time being, we'll continue to guide 30,000 per metric ton for the overall medium to long -term 12 -month period.

Chaitanya Desai: On the second part of your question, so data centers is definitely one of the major drivers of the electricity demand in the US. But in terms of the products that we are selling, especially the conductor part, so transmission is an important component to feed the power to the data centers. And definitely, that is one of the areas we don't have the exact breakup. But our estimate is that the major part of the demand currently in the US is actually coming because of the data centers. The second driver is also in terms of the various other projects, especially wind energy in the US. So, a lot of transmission lines are coming up in those wind corridors to transmit the power from the generating point to the various consumption areas. So, these are the major drivers.

Umesh Raut: Okay. And in domestic market, how do you see things shaping up in especially second half of FY '26?

Chaitanya Desai: So, second half traditionally is always better in terms of less weather -related issues. So, we feel that there will be a better progress. As was already

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 12 of 34

explained, that the progress in the first half in this year has been behind the target by a huge margin in India. But hopefully, we expect things to gather pace in the second half. There is pricing of the aluminum which we spoke about. That there are some projects which already the bidders have bid with a certain assumption of aluminum and the products based on aluminum. So, they are waiting till, you know, prices of aluminum drop for them to actually go ahead with the placement of orders. So, to the extent they can delay some of the projects, there will be a little bit of that effect also happening in India and outside India.

Umesh Raut: Got it. In terms of import of conductor or cables in US market, so when you talked about that most of these countries are at par with respect to duties of 50% excluding Middle East and UK or Europe. So, basically how much of that portion which is coming in from Middle East and Europe into US market as a part of total demand?

Kushal Desai: My apologies. I don't know. The line seemed to have some trouble and dropped. So, as I was explaining that there are actually now the US tariff situation is a bit complicated to understand. So, let me spend a minute and explain. So, there is something called Section 232 in which strategic products are included from US economy perspective. And that includes three metals which is aluminum, copper and steel. So, the duty on these irrespective of the country from which the metal is being imported is

attracting a duty of 50%. So, if a product lands there with a value of \$100 and it has \$40 of metal, then that \$40 will attract a duty of 50%. And the remaining \$60 will attract a duty based on the reciprocal rate of duty. So, what we were saying here is that India actually has, we have gained to some extent because it is normalized to the extent of the metal portion and the disadvantage is to the extent of the non-metal portion, which is anywhere between in the case of conductors is probably around 30% is a non-metal portion of the value of the goods. Whereas in the case of cables, it could be as high as 50% of the value of the goods. So, there is this disadvantage that still exists at the moment. But because the metal portion is equalized, the overall impact is a bit lower. So, does that answer your question, Umesh?

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 13 of 34

Umesh Raut: Yes, sir. So, my final question is on the cable business side where we have seen EBIDA margins kind of hovering in the range of 10% since last few quarters. I think you have mentioned in the past that we were doing certain repositioning exercises, branding exercises, and that's why expenses were relatively higher. Over the course of scale-up in the business, we will have margins improvement coming in. So, basically, I just want to understand how should one think about EBIDA margin in the cable business going forward?

Ramesh Iyer: So, on a medium to long-term basis, we expect the margins to hover around 10% to 12% as we have been guiding earlier. And because of the various categories of the products, because of multiple markets of the product, it could anywhere be at the lower end of 10% or upper end of 12% over a period of time. So, that's where it's likely to land. And we are in that range currently.

Umesh Raut: Okay. And is it possible to share any breakup in between end-user markets where you experience relatively higher margin for those specific applications and in some segments, margins could be relatively lower? So, any possible breakup that you can share on cable side?

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 14 of 34

Ramesh Iyer: No, there is no fixed pattern as such. It all depends on the composition, on the requirements, on the mix specifications. There are a lot of moving parts there due to which it may not be possible to arrive at this kind of answer properly.

Umesh Raut: Okay. Got it, sir. Thank you so much and all the very best.

Ramesh Iyer: Thanks.

Moderator: Thank you. The next question is from the line of Amit Anwani from P L Capital. Please go ahead.

Amit Anwani: Thanks for the opportunity, sir. My first question is on the headwinds due to metal prices, which you highlighted. And you also talked about the ordering is significantly reduced. Is it what you're talking about refers to US? And what is the assessment with respect to impact of this metal prices in the near term? Anything, any impact on the gross margin because of this, if you could highlight on that?

Kushal Desai: So, there are two parts to it. One is, I mentioned in the opening remarks that because metal prices have suddenly shot up, people have stopped ordering at the moment because their product will be more expensive. A lot of customers are in a wait and watch mode to see if the price is actually correct downward for the metals, in which case they would end up placing new orders. So, the order inflow has not been cancelled, but it's on hold in many instances. The second part of your question is, whether it's going to have an effect on gross margins? The answer to that is no, because we run a completely hedged book. So, we do not take on the risk of the metal. That risk is sitting with customers and on a back-to-back basis we end up

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 15 of 34

taking the positions on the metal.

Amit Anwani: Yes. Second, sir, on tariffs. So, you did highlight that 30% of conductors' business might get impacted, as you explained, and 50% of cables component. So, given that there's a 50% tariff applicable in September - October already, until the deal happened, any impact you witnessed, if you could explain any amount of percentage where despite negotiation with the customer, we had an impact on sales in the US market?

Kushal Desai: So, for almost two months, which is your August and September of the last quarter, the order inflow had almost completely stopped because people were waiting and watching to see what would happen between the tariff situation. However, as I mentioned in the opening remarks that in Q3, we have started seeing a flow of orders starting to come in. So, this would definitely have a short-term impact in our booking of revenues in Q3 of FY'26. Because the new order inflow which has started coming in, even though it

is at lower margins, it is all on a DDP basis, so the revenue will get recognized in Q4 of FY '26. So, there is a definite impact, but the order inflow has already started coming in. And as I mentioned, with certain customers who want to avail of these incentives in the United States on the renewable energy, there are certain timelines in which they need to deliver.

So, I think that to some extent, at least as far as solar installations are concerned, there is a movement that we have seen that has already started in spite of the higher tariff levels.

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 16 of 34

Amit Anwani: Understood, sir. So, for cables, we can see this quarter, I think the sales was about Rs. 895 crores for domestic business, which is kind of hardly 1%-2% growth. So, any reason there? And exports for cables, despite you explained that orders were stopped, so if you could explain, the exports for cable were significantly higher despite the tariff. So, if you would like to explain these numbers on cable ?

Kushal Desai: In terms of the cable exports to the US because the periods were already announced by which the increase would take place. A lot of customers have taken delivery of product to meet with those deadlines and that is reflected in the higher percentage numbers that you see of growth in the cable side. Also, the domestic market, Q2 is normally the slowest period. The power cable work really stops quite dramatically in Q2. So, we took that period to actually complete all the US export orders which were there. We have not really had any major penalties and tariff-related issues to absorb in terms of our own P&L so far. Our expectation is that in Q3 and Q4, the domestic market will be picking up. And in Q4, you will see a lot more billing happening to the US markets and the other export markets as well.

Amit Anwani: So, finally, last question on the conductors. We can see premium products delivering strong growth. And I understand that this is primarily because of the domestic. Is it also the reason that gives us confidence of 30,000 plus EBITDA per ton ? That is one. Second, has there been any impact on the US EBITDA per ton ? Could you just highlight negative or positive because of the recent developments of tariffs ?

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 17 of 34

Kushal Desai: The EBITDA pattern for the US markets across all both conductors and cables have both obviously taken a hit. In the case of conductors, as I mentioned, the metal portion is much larger than in the case of cables. So, the hit is taken on the non-metal portion of the product.

Ramesh Iyer: But we have been able to pass on this hit to the customers. So, if you look at our P&L, there is no net impact on our profitability, both on conductors and cables in Q2 for the orders that have got executed in the P&L. So, in the sense, if I drive your attention to the other expenses line, you can see an increase that has happened. So, a lot, a part of that increase is due to import duty in US, which you have to incur as a cost. But at the same time, it has been billed to the customer. So, there is no impact on the profitability

for the two divisions.

Chaitanya Desai: So, there will be a hit for this September quarter. But going forward, as explained for the new orders which are coming in now, there will be a hit in terms of volume for a little while and also the margins will be a little less.

I hope that clarifies, Amitji?

Amit Anwani: Yes, on the premium products, what's driving this? Is it fairly domestic or?

Ramesh Iyer : Premium products are largely domestic.

Chaitanya Desai: But we are trying to increase our geographic reach outside India also for these products now. It is at the beginning stage, but definitely it is one of the efforts we are making so that with the difficulties with s

ome of the, or

the challenges in some of the markets like US, then we are trying to make up in other markets.

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 18 of 34

Amit Anwani: And is it fair to assume that gradually the EBITDA per ton in premium products is improving, or has it improved in past 5-6 quarters?

Chaitanya Desai: It has remained pretty much at a decent level.

Kushal Desai: There is no unit improvement in EBITDAs per ton, but the mix of that has continued to remain reasonably strong. So, if you see copper transpose conductors, copper bus bars, all of these products including HTLS conductors, they have all remained reasonably strong. And the outlook for these products also remains good because all products which are having increasing demand in the both short, medium and long term.

Amit Anwani: Thank you so much, sir. All the best.

Moderator: Thank you. The next question is from the line of Prathmesh Salunkhe from PL Capital. Please go ahead.

Prathmesh Salunkhe: Hi, sir. Thank you for the opportunity. So, since we are on cables business, now that we understand most of the cables growth is coming from the US

business and there is a dependency as of now. So, just wanted to know if and when this tariff situation resolves, what kind of impact we can see going forward? Can the cables business maintain this kind of growth in next year as well ?

Kushal Desai: So, our sense is that there will be a definite impact in Q3 of FY '26 because there was two months of really no order and flow coming in. As we get into Q4 onwards, you will see again the momentum starting to pick up. There

will be practically almost no billing happening in Q3 with respect to the US markets. In fact, I mean, I wouldn't say no billing but substantially lower

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 19 of 34

billing taking place. The domestic market also, for example, if you see there is a lot of solar addition taking place, but all the string cables for solar are all copper based. And if you see in the last 10 days, copper has reached almost all-time high prices, touching close to \$12,000 before it has come off. So, there is a little bit of disruption that has happened in there where developers are just holding back because they have all quoted on a fixed price basis. So, there is a little bit of disruption which is there. We see that will probably all play out in Q3. And then from Q4 onwards, we'll start seeing business volumes again increasing both domestic as well as export.

Prathmesh Salunkhe: Okay. Also, sir, we are doing quite a bit Capex in cables business, expanding our capacity across the cable. So, wanted to understand what kind of revenue we might get from cables like maybe elastomeric cables ?

What were the revenue figures for elastomeric, '24-'25, and then with increasing capacity, what kind of revenue we can get from such cables ? So, we understand sort of trend. Thank you.

Kushal Desai: Historically, we aren't giving a break up in terms of the sub cable types.

But all I can tell you is that we have been guiding a growth of 25% year on year. The first half has delivered something far in excess of that. There will be a bit of a blip that happens in Q3. But, you know, as you go forward,

Q4 onwards, we will continue to see this increase. We have not reduced anything in terms of the Capex that the company has announced. So, we

are going ahead with all our Capex plans because we believe

fundamentally that the demand is going to continue to remain strong. So, on the renewable side, on the contrary you see, the amount of growth happening on the wind side has also been very strong. And APAR has a
Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 20 of 34

very strong position in the cables that go into windmills. So, we have been seeing a good growth on that front as

well. In Q2, you will see windmills don't get added because to erect a windmill with monsoon and the winds being at high levels and generally that's the slow period. As you get into Q3-Q4, you'll see segments like wind, railways, all of these things on the domestic side picking up. And from Q4 onwards, we'll see again U.S. export revenue getting booked. So, I hope that kind of gives you the picture.

Prathmesh Salunkhe: Yes, very helpful. Thank you so much for the questions and all the best.

Moderator: Thank you. The next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Hi, sir. Thanks for taking my question. Just on this awarding side, because I know you've been sounding cautious over the last 2-3 quarters because of the tariff part as well. But you're over delivering every quarter. Every quarter, I think the growth has been very strong. Just on when you said that Q3 orders especially only on the U.S. market, there were no bookings. And from Q4 on and Q3, you have started seeing orders also coming in. When these orders are coming in, is it purely on the conductor and cable and it's again the renewable Capex where the customers are decided? Because when we look at the global data of renewables, that is not falling, that the ordering has been very strong. So, obviously, when you said to meet the deadline of the IRA incentives there, so it's just the U.S. revenue part, which you see some slowness coming in Q3 and Q4 is where you again start seeing a bump up. And is the order run rate, the similar kind of a run rate,
Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 21 of 34

what you're getting now, the inquiry and the order run rate, if you can just clarify that?

Kushal Desai: So, on the order flow, so this constant inquiry has been coming even through this entire period where there was no real orders getting finalized. But we have seen a large intake come in at the end of through the Diwali, meaning the last week of October, early in the last 10 days, a whole spate of orders has come in from the U.S. market. So, we have had to adjust our pricing to some extent. Customers have absorbed a portion of the duties at their end. We have also come to realize that even the local domestic players have had to adjust the prices upward because all aluminum, the U.S. imports almost 90% of its aluminum. So, those prices have also got, the local prices of aluminum have got adjusted up to that extent. So, this was a whole period where things needed a bit of settling down. And then now this order inflow has come. So, you will see a reasonably strong execution happening from November onwards. And it's all directly, the orders which are getting finalized first are all coming from the renewable energy side in the U.S. So, both on the solar and the wind side. So, APAR exports actually cables that go into the wind side also in the U.S. But the solar is much larger in terms of the volume.

Nitin Arora: Got it. That's very helpful. So, that's all I wanted to know.

Kushal Desai: On the conductor side as well, wherever customers need to place orders on for the conductors to prevent, their schedules getting disrupted. So, we started seeing some inflow of those orders coming in as well. So, if you see the growth, which we have shown, if you take FY '25, we had done almost Rs. 1,600 crores of conductors and cables put together. And if you
Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 22 of 34

look at FY '26 in the first half, we have done almost a similar number. And this is because APAR has also been working very hard in increasing market

access, as in getting approvals from customers, etc. And our belief is that at some point in time this tariff situation will get sorted out. And then as it gets sorted out, the larger access will be available based on all these approvals, wh

ich we have been working on, including through this current period.

Nitin Arora: Got it. It's just a month or two month phenomena, which you saw and then again, things are getting back on track.

Kushal Desai: There is a pressure on the margin because we have had to absorb part of it, customers have absorbed part of it. And these markets take many, many years to build. And so as a strategy, we have decided that we do not want to let up on products going into these markets and into these customers.

Because the tariff problem, our belief is it will get sorted out at some point in time, in which case there will be more parity in terms of our ability. We

have also invested a lot of money not only in equipment, but also in manufacturing practices, processes etc., where the products are optimized for the US market from our plants in India. And so as this tariff situation gets sorted out, I think you'll see a surge taking place in business going to the US. But we have to still wait and watch until that happens. In the meantime, business has restarted.

Nitin Arora: Sir, just one thing on the domestic market, as you rightly said, transmission is something which took a little stall. But when we look at the backlog of thermal projects and state distribution, that ordering, what we were seeing was quite healthy still in the first half. So, domestic though you have guided

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 23 of 34

for a 25% growth in cables and conductors also you've been doing very strong growth. From the domestic side, do you see any challenges on the growth or you still think the momentum will continue in that 20% plus range and premium product contribution continues to increase?

Kushal Desai: So, we don't see really any fundamental challenges on the domestic side.

The short term issue has clearly been right of way. Also, there is a change that many of the customers are putting in the way in which you can do the billing. See, previously, even in government projects, railway projects, many other agencies, you could bill, there was a separate billing of product and then billing of the services that you had. So, you could supply the product part earlier in the cycle compared to the services part. Today, everything is now moving towards milestone billing. So, if your right of way doesn't come through, then you don't want to order the material because you can't then bill it further to the client. Your payment is now more milestone based in terms of how you execute. So, a few of these things have played out because of which there is likely to be a slightly slower movement happening in Q3. But keep in mind that post Diwali, that means from November through till March is the best construction season in the country. So, everyone is working overtime on getting right of ways and as those come through, you will see the conductor offtake starting to pick up. Plus, there is this backlog, as was mentioned in the opening remarks, that substations have outstripped actually the lines going in. So, there will be a demand that will come up for the lines.

Nitin Arora: Thank you so much.

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 24 of 34

Moderator: Thank you. The next question is from the line of Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah: Thank you so much for taking my question. My question is on the expansion of the conductors. What is the progress on that and by when do we expect the entire capacity to come online?

Chaitanya Desai: It is all going as per schedule. Almost all the product lines, we are increasing our capacities and we envisage that the bulk of it will be done by March '26. And some part of it will get done by the Q1 of the next financial year.

Nidhi Shah: And my second question on the conductor side is that what do you think is the outlook on the conductor si

de for the domestic market, given that not

a lot of players are increasing capacity on the conductor side ? Not many players exist in this space as well.

Chaitanya Desai: So, on the conductors, we are making several different types of products.

So, there is one product group, which is on the copper side, which we are seeing that there is a fair amount of growth that we expect. Therefore, we are expanding. And you are right, relative to the demand, the increased capacity may not be so forthcoming. On some of the conventional conductor side, aluminum side, we see that the supply demand may be not so great for us because new capacities are coming in. And as we discussed, there is a little slowdown and we are building our capabilities on the premium products of the aluminum conductors. So, that is also expected to grow in the reconductoring projects of HTLS and OPGW.

Nidhi Shah: Thank you.

Q2 & H1 FY'26 Earnings Conference Call

October 30, 2025

Page 25 of 34

Chaitanya Desai: Thank you.

Moderator: Thank you. The next question is from the line of Kunal Sheth from B&K 360 One. Please go ahead.

Kunal Sheth : Hi. Good evening, sir. Thank you for the opportunity. Sir, you did mention about the conductor Capex that are likely to come by March. We are also investing about Rs. 800 crores in cable division. So, what is the, you know, status there? When are the capacity likely to come up there?

Kushal Desai: So, in the case of cables, the first phase of equipment are coming in the January -March quarter. And the balance will all arrive in the April -June quarter. So, by the June quarter, you will have pretty much everything having landed up at our sites. And then the commissioning will take place.

So, bulk of the commissioning, I would imagine, would be done by June of 2026. The spillover of which would happen in the 3rd Quarter of next year, as in the quarter ending September of next year.

Kunal Sheth : Okay. So, basically, and then we will see gradual ramp -up in terms of utilization over the next few quarters ?

Kushal Desai: Absolutely. We are equipped enough to meet, our operating plan for this year. And then the timing of the Capex is such that it times in to then allow for further increase happening from the next financial year onwards.

Kunal Sheth : Got it, sir. And sir, my second question is relating to conductor segments.

The share of premium products there is about 45% in Q2 and about 44.5 % in H1. Is there a number that we have in mind? Basically, what I am trying

Q2 & H1 FY'26 Earnings Conference Call

October 30, 2025

Page 26 of 34

to understand is where can this share go up, given that we are still focusing on a lot of premium products and introducing a lot of specialty products?

Kushal Desai: So, the copper side is a separate bucket by itself. But when you look at the aluminum side, which is consisting of HTLS and all these premium conductors, where we not only supply the conductor, but we also actually install it. So, that part of the market is actually a growing market. And there is a lot of work going on in there. Government policy also is being worked upon to improve and increase the amount of reconductoring efforts that are going to happen in the country. So, the equipment is actually fungible. So, as the HTLS demand increases, we are in a position to increase the production of those type of conductors. So, I don't see a limiting factor on that number. I think that we want to grow only up to a certain percentage. If there is a huge reconductoring demand that comes up, we would like to produce practically everything as HTLS.

Kunal Sheth : Okay, got it. So, basically, it's more constrained by how demand shapes up rather than our capacity.

Kushal Desai: Exactly. So, as we put in all the new Capex , we made sure that equipment is fungible to produce a much wider range of premium products.

Kunal Sheth :

Got it, sir. Thank you so much and best of luck for the future quarters.

Moderator: Thank you. The next question is from the line of Mr. Achal Lohade from Nuvama Wealth Management Limited. Please go ahead.

Achal Lohade: Good afternoon, sir. Thank you for the opportunity. Just a few clarifications.

One, in terms of the pricing, you did mention that you lock in the price,
Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 27 of 34

but there is no impact on the margin. But in terms of, let's say copper has gone up from \$10,000 to \$11,000. So, is markup basis the absolute rupees per ton or the markup basis the percentage? If you could clarify.

Kushal Desai: The price variations would run on the basis of the absolute change in the price. It would not be based on a percentage change in the price. The price variation formula is based on the absolute change in the price. What I meant was that we hedge our position completely. So, we don't take any speculative risk on the price of the metal movement, either upward or downward.

Achal Lohade: Yes, fair. So, what I wanted to check, and correct me if I have got it right. So, essentially, whatever is the price, we add rupees per ton margin on that. Have I understood right?

Chaitanya Desai: So, I will give you an example. So, if a customer is placing an order on a provisional price basis with a certain delivery schedule, then as we come closer to the actual offtake month, then he has to finalize the price. And then there is a price variation formula which updates the price. So, when he updates the price, we lock in on that updated price, we take the LME position. I hope that clarifies.

Achal Lohade: Understood. Okay, and is it similar for conductors and cables both or it's different for both the products?

Kushal Desai: No. So, every product has its own price variation formula depending on the composition of the product. But the delta that takes place is fundamentally related to the metal itself. So, the change in the price of the metal itself.

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 28 of 34

Achal Lohade: Metal. Understood. The second question I had, sir, in terms of export for both conductors and cables, if you could clarify, how much is for the U.S.? What would be the U.S. mix out of the exports for conductors and cables separately?

Ramesh Iyer: We have given it. For the last year, full year, it was about Rs. 1,600 crores that we did. And as we just explained on the call, for the first half of this year, we have already crossed, already done Rs. 1,600 crores across cable and conductors in the U.S.

Achal Lohade: Understood. The third question I had, you know, given the current capacity, what is the potential revenue assuming the current price of the metal? Like, are we operating at a 60% utilization, 50% utilization, 90%? If you could give some clarity on that. And what is the additional capacity quantum which is coming on board?

Kushal Desai: So, if you were to look at both the conductor and the cable side today, in terms of operating capacity, we are at, in the conductor side about 75 % to 80%. And then we are adding capacity going forward. On the cable side, also we are at about 80 %-85% capacity. But in certain product categories, we are running at 100% utilization. The expansion that we put in are going to enable us to support the growth that we have been guiding for FY '26 and FY '27 and a little beyond that as well. Because a lot of new factory facilities are also coming up, so you can then start adding production lines to further increase. Especially on the cable side, a new 66 -acre plot is being fully developed, which would then allow, beyond whatever we are putting in the Rs. 800 crores, we can incrementally then start increasing by then putting in production lines.

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

P

Page 29 of 34

Achal Lohade: Got it. If you could quantify what is the Capex target for FY '26, '27, and '28? A ballpark number?

Ramesh Iyer: For FY '26, we have about Rs. 1,300 crores as a ballpark Capex across all

three divisions. '27 and '28, we don't have at the moment.

Achal Lohade: But is it fair to say it will be Rs. 1,000 crores plus or it could fall?

Ramesh Iyer: It's not unlikely because we are going to spend a big amount this financial year to build capacities and infrastructure that will last for the next few years. So, the Capex for the following years will be substantially lower than what we will incur in FY '26.

Kushal Desai: Let me put it in a slightly different way. Answer the same question that, we are putting in Capex, which is good for over two years of expanded capacity, and we are doing this in advance. Because in the past, what has happened is that we have always allowed capacities to reach 85 %-90% levels and then added. Given today's timeframe where capacity addition timings are much more complicated and difficult to achieve, we are putting this Capex in advance. So, the reason why Ramesh is saying that when you look out beyond this, depending on the way demand is picking up and the product lines where we are seeing more traction, we would then go in and start putting in equipment that's more specific to that. So, two years plus expansion is already clearly happening with this Capex.

Achal Lohade: Wonderful. And this last question, with respect to the reconductoring opportunity, if you could give some more sense, sorry I missed the initial part if you kind of said in that context, but if you could repeat for the reconductoring opportunity in India.

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 30 of 34

Kushal Desai: So, what I mentioned, I didn't mention anything in the opening remarks, in answering one of the questions I mentioned that the reconductoring opportunity, according to us, reconducting is absolutely the best way to go forward for the following reasons. Number one is that it's significantly cheaper than putting up a new line. Secondly, it is much faster and it is in the hands of the utility to give you the outage to actually put the lines up. So, there is no right of way required or no third-party permissions which are required. And the third thing is that if you choose the right design, you can actually increase the throughput of power by 150% more or 200% more. So, if you are carrying 100, you can go up to 250 or 300, depending on the configuration of the line that you end up choosing. So, when you look at this, in a country like India which is resource constrained, this is clearly the best way to go. So, our sense is that more and more of this reconductoring will have to come up. We have also been lobbying

with CEA saying please allow new lines to be laid with the top-end conductors which is with the HTLS, etc., which so far has been focused only on reconductoring projects. So, this is also being considered by the Central Electricity Authority because keep in mind that you hear a lot of data centers going into the U.S., but there's a lot of data centers going into

India as well. They are much smaller in size than the U.S. hyper scaler ones, but there is a lot of data centers going in, and they do require a large amount of energy to run. So, we believe that a lot of reconductoring projects are going to come up, and it will only accelerate with the addition of data centers and other energy-intensive assets which get installed.

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 31 of 34

Achal Lohade: Any quantification, sir, like in terms of annually how large is reconductoring at this point in time and how large can it become like in 3-5 years? Any quantifications?

Kushal Desai: So, actually the government is working on a reconductoring plan. So, they

have taken out a renewable energy, 500-gigawatt renewable energy blueprint for the country. So, they are working on a transmission and reconductoring plan. A transmission plan also has been released, but the reconductoring plan is something that is being worked at. Our sense is that, see, it's largely demand-driven

Chaitanya Desai: And mostly it is in the urban areas currently or in the areas where there is more power requirement to be fed. But over a period of time, you know,

what is currently like a niche application may become a more full-fledged requirement and a mainstream product.

Kushal Desai: It's difficult to gauge what percentage growth will be there, but it can really have a good growth going forward. Also a lot of expertise is required in that. It is not a very simple thing to do. A, to manufacture the HTLS and B, then to do the installation.

Achal Lohade: Understood. Thank you. I will fall back in the queue for follow-up. Thank you so much.

Moderator: Thank you. The next question is from the line of Amitoj from B&K Securities. Please go ahead.

Amitoj: Thank you, sir, for taking the question and congratulations on a great set of results. My question was on the subdued ordering activity seen in August Q2 & H1 FY'26 Earnings Conference Call October 30, 2025

Page 32 of 34

and September. I just want to clarify that this was primarily a result of Section 232 tariffs and higher metal prices or they were a result of high reciprocal tariffs?

Kushal Desai: So, I think it's a combination of both because to a large extent, it was also because of 232. So, in the case of all the tariff increases reciprocally, you would have noticed that a notice period was given of several months and then a date was declared effective so-and-so date it will happen. When India was slapped a 25% penalty, the timeframe was shorter. But in the case of 232, it allows the government to impose it as of the time that they declared it. So, it becomes effective from 12:01 the next morning. So, it was so sudden, and 400 categories of products were added in there. So, obviously it took time for an evaluation in terms of what is going to be the impact. Even local domestic suppliers took time in terms of figuring out how things were going to fix and get rebalanced. People who had materials that were already in the country obviously could sell it at a lower price. So, there was quite a lot of confusion in that timeframe. I would think that 232 was the single largest factor for it. Reciprocal tariffs of countries also did not get declared overnight in one shot. If you see, they were being announced country-by-country. So, the whole thing actually resulted in a couple of months where things needed a bit of settling time. There is also hope that everybody has had at our end as well as our customers and that there will be a deal between India and the US. There was a period where there was a complete stalemate. Nothing was happening. Now, at least in the press, it seems like there is some positive movement. And I mean, if the trade deal happens, then it will only accelerate whatever our business is over there.

Q2 & H1 FY'26 Earnings Conference Call
October 30, 2025

Page 33 of 34

Amitoj: Got it. This was because my question was mainly focused on knowing that if this was largely an effect of reciprocal tariffs, then did we see any market share erosion in the US primarily? But now that I can confirm that most of it is due to Section 232 tariffs.

Kushal Desai: Yes.

Amitoj: Got it. And on the Capex side, I just had a few questions. So, out of the 13 million CAPEX, how much of it we have incurred till 1H FY'26?

Kushal Desai: About 400 odd crores we have ...

Ramesh Iyer: For the Company as a whole, we have incurred Rs. 400 crores of Capex in the first half of the year.

Amitoj: Got it. And on the cable side, we had guided that

this Capex of Rs. 800

crores will result in revenue generating capacity of around Rs. 10,000 crores.

Kushal Desai: This Rs. 800 crores increase in Capex will result in an immediate increase that happens of around Rs. 6,000 odd crores. So, from Rs. 5,000 crores which we started with, we will be able to end up at about Rs. 10,000

crores. Plus the infrastructure is set up on the 66 acres. So, now as you

start adding new equipment and stuff, then the time frame for installing it is much faster and then you will get a much higher revenue versus the incremental Capex that you put in.

Amitoj: Got it. I think that is it from my side. Thank you for answering my questions.

Kushal Desai: Thank you.

Q2 & H 1 FY'26 Earnings Conference Call

October 30, 2025

Page 34 of 34

Moderator: Thank you. Due to time constraint, this was the last question for today's conference. I now hand the conference to Mr. Kushal Desai for closing comments.

Kushal Desai: I would like to take this opportunity to thank everyone for your time to attend our earnings call. Just a quick summary in line with the closing remarks that I had. We see that all the fundamental drivers of our business continue to remain strong. There is a short-term impact as we have explained in detail that is going to hit us in Q3, especially from business in the US. The order inflow from there has already started. So, you will start seeing a better

position happening in the fourth quarter of the year. The domestic side on conductors was affected to some extent due to right-of-way issues. Our

expectation is that as we run through the second half of the year that will also get sorted out. And once that is done, there is a wonderful execution

period available between now and 31

st of March. Overall, we stand quite

optimistic in terms of the way in which the business is growing, albeit a

short-term problem which we will see in Q3. With that, I would like to close

the call. Thank you very much for your time.

Moderator: Thank you. On behalf of APAR Industries Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

SEC/0402 /2026 By E-Filing February 4, 2026

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of the analysts and investors conference call on Un-audited Financial Results (Standalone & Consolidated) on Q3FY26 (2025-26)

Ref.: Reg. 30 read with Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations") , as amended from time to time

Dear Sir / Madam,

Kindly refer our letter dated January 29 , 2026 under Ref. no. SEC/ 2901/2026 , w.r.t. submission of Audio Recording link of the analysts and investors conference call on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 3Y26 (2025-26).

Pursuant to the provisions of Regulation 30 (6) of the Listing Regulations, we are submitting herewith the transcript of the conference call made on January 29 , 2026 on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 3FY26 (2025 -26).

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com .

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)

Company Secretary

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India

+91 22 4957 21 00/6780 0400 corporate@apar.com www.apar.com

Regd. Office: 301/306, Panorama Complex, R. C. Dutt Road, Alkapuri, Vadodara - 390007, India

+91 265 6178 740 apar.baroda@apar.com www.apar.com CIN: L91110GJ1989PLC012802

"APAR Industries Limited
Q3 FY '26 Earnings Conference Call"
January 29, 2026

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR – APAR INDUSTRIES LIMITED
M R. CHAITANYA DESAI – MANAGING DIRECTOR – APAR
INDUSTRIES LIMITED
M R. RAMESH IYER – CHIEF FINANCIAL OFFICER – APAR
INDUSTRIES LIMITED
MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

APAR Industries Limited
January 29, 2026

Page 2 of 30

Moderator: Ladies and gentlemen, good day and welcome to the APAR Industries Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies. Thank you and over to you, sir.

Ambesh Tiwari: Good afternoon, everyone. I welcome you all to the Q3 FY '26 earnings call of APAR Industries. To discuss the business performance and outlook, we have from the management side: Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer. I would now pass on to Mr. Kushal Desai for the opening remarks. Thank you and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone, and welcome to the APAR Industries Q3 earnings call. I would like to start by giving a quick overview of our performance and then follow it up with a short industry update. Post that, I would like to get into the specific segmental performance of the 3 major businesses and then finally throw open the floor to questions.

Our consolidated revenue in Q3 came in at INR5,480 crores, representing a 16.2% year-on-year increase. This was particularly characterized by a resilient domestic business performance and a favourable product mix across all business verticals. The export business was affected due to the U.S. tariff situation. If you look at the domestic revenues, it grew by 30% in Q3 FY '26 versus the previous year and 26.9% if you look at it in the 9-month period.

Exports for the quarter were down 11.2%, contributing towards 25.6% of the company's overall revenue compared with about 33.5% a year ago. The U.S. business performance remained quite subdued in Q3. This was related obviously with the tariff-related impacts and especially with an announcement that took place during the quarter of what is called Section 232 where almost 400 product categories were added under Section 232.

APAR Industries Limited
January 29, 2026

Page 3 of 30

And this covered pretty much most of the cable and conductor products and resulted in an order booking, which was very low in Q2 and the subsequent impact of that has happened in Q3. However, in Q3, the order booking has been better and I will cover that under each of the individual segments. If you look at EBITDA, the EBITDA is up 20.4% year-on-year to INR483 crores. The

EBITDA margin stands at 8.8%. Due to the enactment of this new labour code, we have had to recognize a provision towards past service cost of gratuity and we had to increase the provision amounting to approximately INR25 crores based on the best possible estimates and this has been accounted for under an exceptional loss. Profit after tax post this exceptional loss came in at INR209 crores, which is 19.4% higher than the same quarter of the previous year. The profit after tax margin is at 3.8%, which is about 10 basis points higher than in the same period previous year. Now comparing the 9-month figures. The consolidated revenue has come in at INR16,299 crores, which is up 22% year-on-year. The export revenue has grown by 12% and this was on the back of strong export revenues, especially U.S. billing in the first half of the year. We billed in the first half about INR1,600 crores, which is equal to the entire volume that we had done in the previous year. So EBITDA for 9 months is up by 23.8% and stands at INR1,483 crores. Profit after tax at the end of 9 months is INR723 crores, including the INR25 crores exceptional item, and is up 26.6%. The top line as well as the b

ottom line are both

all-time highs for a 9-month period. In terms of some general industry highlights. India has achieved its highest ever annual renewable energy capacity addition in the calendar year 2025, which is nearly 38 gigawatts of solar and 6.3 gigawatts of wind capacity.

Compared to current year 2024, the solar installations have increased by about 55% and the wind capacity additions have increased by almost 85%, underscoring a sharp escalation in the country's clean energy deployment and also the amount of hybrid installations coming in, which is a combination of wind and solar.

As of December 2025, India's total installed renewable energy capacity has approximately reached 258 gigawatts. Solar energy continues to be the dominant

APAR Industries Limited

January 29, 2026

Page 4 of 30

contributor accounting for about 53% of the total renewable energy mix. Wind power follows with 21% share and large hydro is at 20%. Bio and small hydro put together form the balance of approximately 6%.

If you look at additionally, India's power sector achieved a historic milestone in energy generation, transmission and distribution as well in 2025 with a maximum power demand of 242 gigawatts during the year and it has reduced the national energy shortage to almost Nil.

On the transmission and substation addition, there is a growth momentum in this regard. According to the latest statistics released by CA, a total of 60,260 megawatts of new substation capacity was added during the April to November time frame, which reflects approximately a 55% increase compared to the corresponding period of the previous year. However, this achievement is only 75% of the planned additions in the period.

With regard to transmission lines specifically, the pace of additions still remains well off the plan. It has improved compared to the first half where 5,077 circuit kilometers have been added in the April to December time frame and as a consequence, it is approximately 15% lower than what it was in the same period previous year.

Now this figure up to 30th September was about 27% lower. So clearly there is some catch-up to be made and the expectation is that in the fourth quarter and onwards, there will be a certain amount of catch-up taking place.

Coming to the specific segmental performances of our businesses. I would first like to start with the largest business division, which is the Conductor division. In Q3 FY '26, revenues were higher by 25.1% on the back of a good product mix.

There was also an increase in commodity prices, which provided a tailwind.

Volume actually de-grew by about 5.9%, which was largely on account of some of the delayed clearances and emanating from right of way as well as delays in transformer deliveries that are coming out of a lack of supply of bushings, which is resulting in some of the substation work getting delayed and in turn, the transmission line work getting delayed.

APAR Industries Limited

January 29, 2026

Page 5 of 30

However, we have been working towards adding several new customers and approvals from utilities overseas. The domestic revenue grew by 37% versus Q3 of FY '25. The export revenue for the Conductor division de-grew by about 11%. The export mix is about 18% compared to 25% in the previous year. The premium product mix remains healthy at 44.2% and this has grown compared to 37.4% in the previous period. If you look at EBITDA post open forex, it has grown to INR251 crores for the Conductor division. The EBITDA post forex per metric ton stands at INR44,195 as opposed to INR29,593 per metric ton in the same period previous year. Our order book is reasonably strong at INR7,396 crores, of which exports is contributing approximately 32%. The total new orders received in the 9-month period is at about INR8,052 crores. Coming to the 9-month performance. The 9-month revenue stood at INR8,948 crores, which is up 34% versus last ye

ar.

Physical volume grew 8.4%.

The export mix came in at 21%. The EBITDA post forex was up 31.2% to INR748 crores and the weighted average EBITDA margin is at INR42,311 per metric ton, which is significantly higher than the INR34,949 per metric ton in the 9-month previous year period.

Coming to our Oil business. The revenues from operations grew 18.4% with a volume growth of 21%. The transformer oil volume was up by about 10.6% and some of the other areas also contributed well. The automotive oil grew 14.6%. The industrial lubricant part of the business grew 15.7%.

Overall, exports contributed 42% to the division's revenue as compared to 43.8% a year ago. EBITDA per KL came in at INR5,331 per KL against INR6,364 a year ago. Foreign exchange depreciation did affect the profitability for this quarter.

On a 9-month period, you are looking at a revenue growth -- a volume growth of 12.3% versus a revenue growth of 5.9%. The revenue growth was a little bit lower because the price of base oil was lower in the first 6 months of the year.

Overall, revenues came in at INR4,062 crores. The domestic transformer oil business grew by 13.4% in this 9-month period. In the same period, automotive

APAR Industries Limited

January 29, 2026

Page 6 of 30

oil is up 8.9%, industrial lubricants is up 16.8%. And the export mix stood at 41% in the 9-month period.

Coming to the Cable division. The revenue in Q3 FY '26 was up by only 7.6% to reach INR1,362 crores. However, the domestic business had a strong performance and it grew by 34.6%. Overall, exports de-grew by 44.3%, which was basically because the U.S. revenues were down 65% in the third quarter over the previous year.

As I had mentioned in the opening remarks as well as in the last earnings call, we had practically no new order booking that happened in Q2, which resulted in a relatively lower execution in Q3. However, having said that, we have received approximately INR500 crores of new order inflow in Q3, a large portion of which will get billed in Q4.

So we expect the export business to have a comeback and a large portion of this is actually U.S. business. The export mix came in at 17.6% versus 34% in the 3-month period. The EBITDA post forex came in at 8.7% to reach INR132 crores. And the EBITDA margin is at 9.7% due to a favourable product mix as well as there were some gains on the cable side with respect to foreign exchange as the receivables from previous periods were collected. The pending order book is at approximately INR1,700 crores.

In the 9-month period, the Cable business grew 22.1% to reach INR4,316 crores. Domestic revenue is up 18.6% year-on-year. Export revenue grew by 30% year-on-year especially given the fact that we had a very strong first half. The U.S. revenue actually for the 9-month period is 44% higher than in the same period in the previous year and our expectation is that overall in the year, we will be equal to or greater than what we did in the previous year.

Export mix stands at 34% in the 9-month period versus 32.2% in the previous year. EBITDA post forex grew by 24% to INR431 crores with an EBITDA margin of 10%.

So in terms of just concluding remarks, I would like to mention that the 9-month numbers have been reasonably strong.

APAR Industries Limited

The Q3 was affected because of the Cable revenues, which are largely accounted on a DDP basis so they have a lag of approximately 60 to 70 days depending on where the client is located. We continue to see as we enter Q4 geopolitical issues characterized by global tensions and even there is a certain level of commodity price volatility. However, the domestic business continues to remain strong. The Cable business and orders in the U.S. have also improved to over INR500 crores in the quarter. The trade deal with the U.S., the discussions are still going on, but there is not enough clarity in terms of

which way and when the wind will

blow favourably. We just heard of an EU trade deal, the details of which are -- the fine print and the exact BTN classification numbers are still awaited.

But our expectation is that it would generally be favourable for both our Cable and Conductor business. So on this note, I'd like to conclude my presentation and would like to open up the floor to questions, please.

Moderator: The first question is from the line of Amit Anwani from PL Capital.

Amit Anwani: Sir, first question on the kind of positive surprise on the EBITDA per ton of INR44,000 and I can see on a 9-month basis, we have done roughly about INR42,000. Just wanted to understand you have highlighted better product mix. So, despite there was a challenge in U.S. also for conductor, the growth was kind of hardly 2%, 3%. So what do you mean by product mix?

Is it the premium product where we have seen the contribution of 44%, 45% in 9M versus last 9M was about 37%? So would you be able to explain more in terms of what is driving the strong EBITDA per ton for conductors?

And also would like to understand the volumes growth. So you did highlight it that there's some comeback which is happening. But what is the volumes growth expectation for conductors for 4Q and probably in medium term?

Ramesh Iyer: Yes. You're right, Amit. In terms of the EBITDA per ton, it is largely because of increase in the premium mix as compared to the total sales of the conductor. As we have discussed earlier also, U.S. is always one of the reasons for the higher EBITDA. But as we have been premiumizing our portfolio over last several years, APAR Industries Limited
January 29, 2026

this has made a big impact in terms of increasing the EBITDA margin on a per metric ton basis.

Overall, last quarter 3, we had a premium mix of about 37%, which in this particular quarter has gone to 44% due to which our EBITDA margins have been higher. And of course as you compare it with last year, last year was the lowest EBITDA margin on a per metric ton basis that we saw in the last 4 quarters of the year and this quarter because of the favourable product mix, the margins have been higher.

And also as we have discussed earlier, some of the nonpremium mix also because of the shift from ACSR to AL-59 has been giving a higher EBITDA per metric ton.

All of that has contributed to a higher margin in this particular quarter. In terms of volume, overall if you see last year, Q3, Q4 was heavy and we expect that full year should be around the YTD range that we have been getting till now on the volume growth front. That's what we expect as of now to end the year.

Amit Anwani: Which is kind of 8% to 9%?

Ramesh Iyer: Yes.

Amit Anwani: Right. Sir, second thing, so is it fair to assume that since premium is, as you rightly said, even on the EBITDA per ton basis is doing fairly well and I can understand that premium large portion of contribution is coming in the domestic market. And we are growing very strong in the domestic market. So the sustainable EBITDA per ton, are you revising that guidance of INR30,000-plus because we have been delivering exceptionally well on EBITDA per ton still despite the U.S. challenge?

Ramesh Iyer: We'll continue with the same guidance that we have been giving in the past. Of course we have been saying the tailwinds are always not so easy to predict given the various macro challenges and domestic competition that comes. But within that tailwind, as we have a more profitable order, the tailwinds are expected to be higher. But for now, we'll continue with the same guidance.

Amit Anwani: Right. Sir, in terms of commodity impact, how one should read it? So you have been highlighting that this is a pass-through and I think in the last call, you did highlight that probably the customers might be putting project or inflows on hold
APAR Industries Limited
January 29, 2026

Page 9 of 30

because of high commodity price, especially copper, aluminium. So if at all there's an impact, is there a chance that we might also have to take a hit or what exactly are you anticipating for 4Q and Q1 in terms of commodity price impact, whether on the business or the margin, conductors and cables both.
Chaitanya Desai : So you're right. Our business model is a pass-through so we are not taking any risk on the commodity prices per se. However, you also are right what you said that if the clients who have taken the risk of the commodity prices are sort of off compared to the assumptions they have made when they won the business, then sometimes they are waiting for the commodity prices to come down in order to go ahead with the deliveries. And to the extent their projects can afford to delay a little bit, they are exercising that option of delaying some of the supplies. So right now, we have seen a little bit of that affecting us in this Q3 and it is possible in Q4 also, there could be some. Although as of now as things stand, we feel that Q4 will be as per our original expectation. But again if the commodity prices go up the way they have been going up since the last couple of months, then there is a possibility that some customer may face some difficulty and postpone some of the deliveries. However, at some point, those customers will have to take the deliveries to complete the projects.

Amit Anwani: Right. Sir, in terms of tariff, which is still 50% and you did highlight it in the past calls that conductors value I think 25%, 30% is affected and for cables, almost 50%. So what is the view now? Are we back on track in terms of better performance in 4Q? You did highlight it that I think we got INR500 crores orders. So what is the status now, assuming that 50% tariff still continues? Is it Q4 or Q1 when we see the normalized business? And how is the customer response now after the ongoing projects, which might have saw they taking the hit in terms of increased tariff?

Kushal Desai: So the current tariff situation remains the same at 54%. So whatever order inflow we have got in Q3, which is approximately INR500 crores for the cable business, where we have had to adjust the prices down to some extent to keep the order flow going. So mind you, there's also been some increase that has happened across the board because other countries also have had some increase in tariffs.
APAR Industries Limited
January 29, 2026

Page 10 of 30

And the Section 232 has also raised the prices of products in the U.S. So that has provided some amount of cushion. But overall, we have had to reduce prices to some extent in order to book fresh product. I had mentioned in the last earnings call as well that for us, the U.S. market is a very strategic market. We've spent several years building access to customers.

We've got approvals now coming in from some of the data centers and critical clients, which takes a very long cycle to get approvals from. So our strategy is to continue to ride this period by making sure that we service customers there even though it means at a slightly lower margin, but that strategy is something that we will continue to follow.

And given a period of time, we are hoping that there will be some normalization that comes on the tariff front. Having said that, we've increased our efforts to pick up business from other areas. And the domestic market has been reasonably strong, which has offset at least in Q3 some of the deficits that we had on the export front. So I hope that answers your question.

Amit Anwani: Sure, sir. Sir, lastly, just clarification on U.S. revenue. You spoke about INR1,600 crores last full year and INR1,600 crores H1 and I think you did highlight it that this year, we are looking for equal to last year. So does that mean 0 U.S. revenue for H2? Is it the right understanding?

Ramesh Iyer: It will be higher is what we said.

Kushal Desai: No, no, no. Wh

at I was saying is that in the last year, the U.S. business in the first 6 months, as you rightly said, was equal to approximately what we did in the previous year. So with the gap that we've had in Q3, as we get into Q4, you'll get back into this. INR500 crores order book which we have, a significant portion of that will get executed in Q4.

And plus we are still in discussions for additional business to come in. And depending on -- most of that will get then picked up in the first quarter of 2027. But you will see close to INR500 crores of revenue that will come into Q4 of this year.

APAR Industries Limited

January 29, 2026

Page 11 of 30

Amit Anwani: Sure, sir. Sir, possible to share the U.S. revenue for 9 months basis for conductors and cables.

Kushal Desai: We don't have that number handy right now. I have the 6-month number, which was equal -- INR1,600 crores is the 6 months. I have an overall export number, which is what I gave out. Yes.

Moderator: The next question is from the line of Umesh Raut from Nomura.

Umesh Raut: Congrats for a very good set of results against I think more of a softish quarter what you guided last time for Q3. I think it was more of a positive surprise. So my first question is on recent FTA between India and EU. And I want to understand how big EU market is in terms of conductor and cable and how competition is also running over there? Are there any duties against Chinese players from EU countries and how we can approach approvals from EU countries?

Kushal Desai: Okay. So the fine print of the EU deal is still something that we need to go through. Our sense is so you have to actually look at each BTN number to see whether the specific product that we manufacture and are exporting to the EU are covered under a 0 tariff or a lower tariff situation. The European market otherwise is very large, but the access to the market has been very restricted because the utilities there tend to prefer to buy EU manufactured product locally.

So I think the assessment of this European deal and the consequence to us, it will still take us a little time before which we can really put this together. I mean it's bound to be more positive than what it was before, but to what extent, I think we still need to gauge that.

Umesh Raut: Understood. And currently, how much of your export revenues are from EU?

Kushal Desai: About 5% of our revenues have been coming from there.

Umesh Raut: Understood. Now if I look at our Conductor segment, I think if I look at domestic market since last, say, 1 year or so, there are I think delays happening in terms of transmission projects. And if you look at our volume trajectory as well, maybe for this year we will close with about 8%-plus kind of growth on volume side. So I think going into FY '27 considering that there were delays in '26 and there were also

APAR Industries Limited

January 29, 2026

Page 12 of 30

issues in FY '25 as well. I think how can one factor in volume growth for Conductor business in FY '27?

Kushal Desai: So currently, there is a backlog which is there because of, as I mentioned in my opening remarks that there is a problem of transformer deliveries because of the lack of bushing and the bushing capacity that's available. So the government is actually making a concession for import of bushings, which will kick in very shortly within the next week or so. In the meantime, the bushings capacity in India is also getting increased.

Several new plants and brownfield expansions in place. So in about 6 months' time, we expect that the domestic side will also increase. But as this import clearance comes in, you will start seeing the execution of some of these pending orders getting cleared. Some of the transformers are in a half made not a completed sort of form of situation.

So that itself will end up driving demand for transformer oil as well as some of the transmission lines which have been stalled,

they will also start getting accelerated.

There are some right-of-way issues also which have added to this. Our understanding is that there is some movement in that direction as well. So overall Q4, as I mentioned earlier, we expect a much better situation on the ground.

Umesh Raut: Yes, correct. That I understood. But going into FY '27, as you mentioned correctly, I think lot of these legacy issues are kind of getting resolved. So at an industry level, we will see much faster ordering.

Kushal Desai: Yes, our sense is that because if you see the plan which is there, we are still 15% behind the plan. And you also have a lot of new solar installations likely to be coming in both from the big business houses from the Adani side, from the Reliance side, etcetera. So the transmission line demand should continue to be there. Difficult to track it quarter-by-quarter because of these various approvals and things like that, but there is no slowdown expected in the trend.

Chaitanya Desai: As I mentioned earlier, that some of the delays which the client could afford to do they have probably been utilizing that leeway this year. But next year, it is possible they may have to catch up all that.

APAR Industries Limited

January 29, 2026

Page 13 of 30

Umesh Raut: Understood. So is it fair to assume that we will return back to double-digit kind of volume growth for...

Kushal Desai: That's clearly the target. And actually if you look at the 9-month period, the growth is still pretty strong. It's still at about 8.5% volume growth if you look at the 9-month period. But yes, we expect next year volumes to again be back double-digit.

Umesh Raut: Understood. Understood. My last question is on cable side. I think a couple of years back we guided for our strategic endeavour to grow at about 20% CAGR till FY '28 and reach at about close to INR10,000 crores. So where are we on those plans on the top line growth side for Cable business?

And second, I think on the EBITDA margin side, our endeavour is also to get into double-digit range more closer to 11%. I think for this year at least, we are slightly falling behind. So how you are planning to approach margin trajectory for this particular business?

Kushal Desai: So if you take the 9-month period, volume -- I mean our revenue is up 22%. So we are tracking on a 20%-plus CAGR growth. Given the 9-month performance and what we see in terms of visibility for Q4, we should definitely be in that 20%-plus growth range. In terms of EBITDA, 9-month EBITDA is at 10%. And of course the U.S. business actually and having to make some sacrifice on pricing in the U.S. is going to have some impact on the EBITDA in the Cable business.

But as I said, it's a strategic call we've taken and our belief is that in the long term something or the other will come up to iron that out. In the meantime, we don't want to lose access to the market, which we've developed. So overall, I mean we've been managing between other markets, domestic etcetera, to maintain both top line and bottom line so far.

Moderator: The next question is from the line of Kunal Sheth from B&K Securities.

Kunal Sheth: Congratulations on a good set of numbers. Sir, first question is around this new line of business announcement that you have made, that INR156 crores order. If you can talk more about it, our scope of work and how big the opportunity is for APAR?

APAR Industries Limited

January 29, 2026

Page 14 of 30

Kushal Desai: So actually it's really an extension of what we're trying to do in the Cable Solutions space around telecommunication and the telecom products. So really, we won 1 package in the Kavach project, which is basically increasing the security and safety in the railway lines. So that package is about INR153 crores. It will take approximately, we just formally received the order today. We received an LOI earlier.

Execution and time frame is approximately

22 to 24 months and it entails setting

up signalling for improving the safety in the railways. Now Kavach projects, actually if you see, totally the railways will be spending upwards of INR40,000 crores, INR50,000 crores in upgrading safety standards. So this is like our initial foray into that.

Kunal Sheth: Sir, my second question is related to export and this is for both Conductors and Cable business. Sir, what is the kind of conversations that customers are having now especially in the U.S. market given the commodity volatility, this tariff has

continued for too long now. Do they still continue to believe that they will keep sourcing from where they were sourcing or how are they thinking about of this situation?

Kushal Desai: So on the tariff front, you have 2 sets of products. You have products which are aluminium-based and copper-based. So the copper-based products for somebody exporting from India, the effect is very big, very huge because there is a reasonable amount of copper production within the United States and, as a consequence, the local producers are not picking up that 50% tariffs.

On the aluminium front, 90% of the U.S. aluminium is actually imported and as a consequence directly or indirectly, whether it's in the form of an ingot, rod or whatever stage, you're picking up the 50% tariff on an aluminium-based product. So the conversations that we have with clients are also varying depending on the nature of the products that we have. So for aluminium-based products by making an adjustment in the price, we are still in a position to make a positive margin and continue the access to that business. Whereas on the copper side, things are very different because the U.S. copper rates are quite competitive and if you have to pay the tariff to export to the U.S., then there will be a problem.

APAR Industries Limited

January 29, 2026

Page 15 of 30

Now having said that, most of our volume so far has been aluminium-based. And so our market access will get a little bit reduced, but it's still there and customers are still having conversations with us. We've been exporting to that market now for several years and our products are very well received in the U.S. by EPC players, by asset aggregators, etcetera. So conversations are still happening. That's how in spite of everything, we did pick up almost INR500 crores of business, new order book in Q3.

Kunal Sheth: Sure, sir. And sir, if you can quickly also give some update or status of the capex on both conductors and the cable side, where are we on that?

Kushal Desai: So we are pretty much on plan. We've already completed about INR500-plus crores worth of capex as of Q3 out of a total plan of about INR1,400 crores. We expect that in Q4 and Q1 of FY '27, a large portion of that remaining capex will actually take place. And by September, I mean by the mid of FY '27, we'll pretty much have all the facilities up and running.

Moderator: The next question is from the line of Vidit Trivedi from Asian Market Securities.

Vidit Trivedi: Congratulations, great set of numbers. Most of the questions have been answered. Just a few clarifications I wanted to know. First, you have mentioned that your share was hardly 5% from the European Union. Just wanted to know, this was as of last year or for the 9-months period?

Ramesh Iyer: It was for the last year and it's an approximate number for the last year.

Vidit Trivedi: Okay. And sir, what's the situation before the tariffs and after the tariffs? I mean how does -- what difference is there? What's the tariff situation?

Kushal Desai: So the European tariff varies between 4% and 7.5% and there was also an antidumping duty on Indian players for fiber optic products -- fiber optic cables.

So we have to see, as I said, in the fine print that where does this actually finally land up. It's definitely going to be more favourable than what it was before, but what will be the exact percent

tag for the different classes of products. That information we don't have yet. It should be something that will come out shortly.

Vidit Trivedi: Got it, sir. And sir, what will be the margin profile?

APAR Industries Limited

January 29, 2026

Page 16 of 30

Kushal Desai: The margin we have added and we were fully aware that this whole conversation was happening between India and the EU. So we have been working on getting more utility approvals in Europe and that process is also underway. Our sense is that with the EU deal being signed and if the tariffs actually fall. The utilities and other players will start taking Indian manufacturers more seriously because if you sign an FTA, it is not a short term.

It's a much longer-term sort of arrangement. So it gives much more stability in terms of what the tariff situation will be over the years. So I mean we will be able to lay our hands on this and be able to answer some of these questions in a couple

of months once data is more clearly available. But all of this is positive.

Vidit Trivedi: That's helpful, sir. And sir, what will be the margin profile in the new line of business, the Kavach project?

Kushal Desai: In specific, yes, we don't want to comment on specific projects because then that opens up. We have so many other projects which are running on the conductor side as well. But it's a profitable order and it's something that I think is very strategic because a lot of business is going to come fundamentally in that direction.

Vidit Trivedi: Good, sir. Sir, just last one. Would it be possible for you to give a breakup in terms of volume and value growth in the Cables division?

Ramesh Iyer: Cables division, we actually report the value numbers because there will be too many products involved. So we have historically always been giving the value numbers.

Kushal Desai: We have thousands of different varieties of cables. We have the largest variety of cables being manufactured by an Indian manufacturer. So the only common denominator really is value.

Moderator: The next question is from the line of Sanjeev from Antique Stock Broking.

Sanjeev: Sir, my question was regarding the demand drivers for the cables in the domestic market. I also wanted to understand what is the demand mix from the various sectors that we have in the cables.

APAR Industries Limited

January 29, 2026

Page 17 of 30

Kushal Desai: So we have continued to see for us strong growth coming from the renewable energy side, especially given the fact that APAR Cable division is the major supplier to all the windmill manufacturers. So as the wind installations are increasing, we clearly get a benefit out of that. So renewable side has grown. The railway business also has grown year-on-year. We are the main supplier to Medha, who is currently executing the first set of Vande Bharat trains.

So again the growth from the railway side has also increased. We are accessing and supplying to a number of data centers in India. So we've seen growth in that channel as well. There has been some amount of growth on the defence side. So these are the channels where we've seen most of the growth taking place.

Sanjeev: And sir, how is the affordable housing and the real estate sector doing for you in terms of demand driver?

Kushal Desai: So most of that is being serviced through a dealer distribution network. And APAR compared to some of the larger cable companies in that space, we are still relatively smaller and we are offering premium products in the wire side. So our emphasis has not been on the affordable housing.

It has been actually on more large commercial installations, bungalows and wherever people have laid a premium on safety because our products are all focused on a higher performance level with respect to safety. So we are really not very focused on the affordable housing market as much as on the more premium wires that go into commercial and reside

ntial, industrial I mean real estate.

Sanjeev: Okay. And any pricing actions we have taken in the cable side, on the wires side as well as on the cable side post the strong run-up in copper prices?

Kushal Desai: So we've actually increased prices to cover the delta in copper. So the entire copper pricing has been passed through. All the B2B orders that we take, we'll take it only on a back-to-back basis. So any order which is 25 metric tons or higher of copper that's involved or aluminium, we would take a specific hedge. In the case of smaller orders, we accumulate it until it reaches that number and then take a hedge.

APAR Industries Limited

January 29, 2026

Page 18 of 30

So the book is largely hedged. And new business, we have increased the pricing to the extent of that. So it's not only the commodity increase, but it's also the exchange rate. So the effect is the dollar increase in aluminium and copper multiplied by the exchange value. So that entire thing has been factored into the pricing.

Sanjeev: And sir, on the premiumization on the conductor side, it's largely now around 45%-odd level. To what extent it can potentially go in the medium term?

Kushal Desai: So I mean we are already in the mid-40s. It all depends on how much re-conducting work keeps coming up. And our sense is that if you look at it in the medium term, there will be a lot of re-conducting required. As you have data center projects that are coming up, even in India even though we have few projects which are in the gigawatt category, there are several projects which are in the hundreds of megawatt category. So these require a lot of energy. And so when you add that to whatever other growth is taking place, re-conducting is bound to be a larger business.

Chaitanya Desai: Also, our capex's are going more in those categories where there's more premiumization. So as the phase-wise expansion happens, then some of these premium products will increase in the volume for us.

Kushal Desai: It can cross 50% in revenues. But it's all a question of how the adoption of these things come. We are ready with our capex. We are ready with our capacities, with approvals and everything. So moment tenders come in and the spending takes place, we are right there to be able to pick up our share.

Chaitanya Desai And some of these premium products that we are making are in the copper category. So value-wise, they will have a higher pro rata value.

Moderator: The next question is from the line of Nikhil Abhyankar from UTI Mutual Fund.

Nikhil Abhyankar: I've got couple of questions. Sir, you mentioned that the order book has improved significantly from U.S. in Q3. But on the Cables division, we see that there has been a dip Q-o-Q. So just can you clarify on that? And also can you highlight how has been the ordering trend in Q4?

APAR Industries Limited

January 29, 2026

Page 19 of 30

Ramesh Iyer: Sorry, can you repeat your question?

Kushal Desai: I think Ramesh, the question was that the order book has improved whereas the numbers for Q3 are low.

Nikhil Abhyankar: I was saying, sir, you mentioned that the order book, order inflow has started to improve from Q3, but we see a dip in the order book for the Cables division Q-o-Q. So just some clarity on that. And how has been the order inflow trend in Q4 if you can tell us?

Ramesh Iyer: What we mentioned is that the U.S. orders dipped in Q2 due to which there was less sales in Q3. So what we mentioned is that the order inflow in Q3 has gone up as compared to Q2 in the U.S. market. And cable business typically operates on a low order book period so even if there are a lot of orders that comes during the quarter and also gets executed in the quarter. So even if there are quarter-on-quarter order book reductions, typically it gets made up from the new orders that comes and gets executed in the quarter.

Kushal Desai: So these days from order to delivery, th

e expectation is a bit shorter. So you will

find that the order book may vary especially when you've got things like windmills coming up and solar, every month you keep getting orders and you execute fundamentally in 3 to 4 weeks. So I would not be very bothered about the pending order situation on the cable side. On the conductor side, it's a much longer cycle business and I think that number then is far more important.

Nikhil Abhyankar: Understood. And sir, on the domestic side, are we seeing some kind of slowdown in ordering?

Kushal Desai: Not really. If you see our domestic Q3 number is up 33.4%.

Nikhil Abhyankar: Going forward, I mean in terms of inquiry and the pipeline?

Kushal Desai: Sorry?

Nikhil Abhyankar: In terms of inquiries, future inquiries and pipeline?

Kushal Desai: We are reasonably well placed on the domestic side. In fact we see the domestic side on the cable business particularly being quite strong.

APAR Industries Limited

January 29, 2026

Page 20 of 30

Nikhil Abhyankar: Okay. And just a final question. You mentioned that you have also -- you're also getting orders for data centers. If you can share what is the ticket size of these orders?

Kushal Desai: So in India, the data center sizes are varying very dramatically. So you have right from smaller data centers, which are in the 10 megawatts, 15 megawatts. These

data centers are measured in terms of the amount of power they consume. And you've got in Ghansoli, Adani setting up a 1 gigawatt data center, which is New Bombay. So it's really rarely in terms of size. But there's a lot of more data centers coming up and the requirement of cables has been continuously increasing for that application.

Nikhil Abhyankar: I mean in terms of wallet share, what would be our wallet share in total project cost for data center?

Kushal Desai: It's in the same range as what you would see in renewables and stuff where you're looking at it at around 3%, 4% or so.

Moderator: The next question is from the line of Mahesh Patil from ICICI Securities.

Mahesh Patil: My first question is on the cables exports. So if you see the exports were down 65% from the U.S. market. However, the overall exports are down 44%. So clearly there is some increase in other markets. So if you can highlight how we have grown in other markets and how is the growth sustainable?

Kushal Desai: So we have -- besides the U.S., we've been exporting products to Latin America, some products to Europe and Australia. We also have a presence in some of the African countries. So that presence continues. There is Chinese competition in all the geographies that I mentioned. But there are pockets where we have the products, we have the approvals and we continue to grow in those areas. Some of them are utilities like NL where we would be supplying directly to the utilities.

Mahesh Patil: Okay. So nothing extra in this quarter that has happened, right? I mean this is just business as usual?

Kushal Desai: This is a relatively steady business. The U.S. piece is relatively large. As you can see, there was less business in 1 quarter, the number fell. In the next quarter, we

APAR Industries Limited

January 29, 2026

Page 21 of 30

started getting a new order inflow. And so in Q4, you will see that INR500 crores is approximately the order book signed up in Q3, which will be largely executed in Q4 of this year.

Mahesh Patil: Okay. And sir, second question is on the conductor side. So if we see various premium conductors, HTLS, AL-59, etcetera. So if you can highlight -- so as far as I understand, HTLS is mostly going into re-conducting, AL-59 is used in coastal areas. So if you can highlight the demand trend for these conductor types?

Chaitanya Desai: So AL-59 is also used in TBCB not just the coastal area. So it is almost currently along with the conventional ACSR conductor comprising of maybe 98% of the market in India. 2% right now is almost like the r

e-conducting, very small right now. It's more of a niche area.

Mahesh Patil: Okay. And sir, there were some news around many of the states going for premium conductors compared to replace the existing ACSR network. So how do you see the opportunity?

Chaitanya Desai: AL-59 is what people are using nowadays in India in a major way. So it is relatively better than the ACSR, but it is still in the category of conventional, this AL-59.

Mahesh Patil: Okay. So AL-59 is categorized -- when you say premium products, AL-59 is not part of that, correct?

Kushal Desai: Correct. It is also getting very competitive.

Mahesh Patil: Okay. And sir, last question on the cable side. If we are saying that the Cables business is likely to grow at 25% rate year-on-year. Just wanted to understand if we look at sub-segments like power, cables, RE cables or the domestic cables, etcetera, I guess power cables is the majority part of the capex in that sub-segment. So just wanted to understand, sir, sub-segments will be growing at -- 15%, 20% sub will be growing at more than 30%. So if you can highlight some of the key growth drivers in Cables business?

Kushal Desai: So as I mentioned earlier, for us the key growth drivers really are coming from the addition of renewable energy, the addition in the Indian Railways, some of the growth that's happening on the defence front. And then if you look at infrastructure

APAR Industries Limited

January 29, 2026

Page 22 of 30

side, the presence that we have in MVCC and data centers. So these are the major areas where we see the growth taking place and our sense is that this is going to

continue. These segments will continue into the next year and beyond.

Mahesh Patil: Okay. And sir is it possible to give the share of, let's say, power cables in our overall business?

Kushal Desai: We've not been actually giving the detailed breakup of that.

Mahesh Patil: Got it. Thank you.

Moderator: Thank you. The next question is from the line of CA Garvit Goyal from Serene Alpha. Please go ahead.

Garvit Goyal: Congrats for a good set of numbers. Just 1 question on the kavach side only.

Despite it is our initial contract that we got, I just want to understand what is our exact role going to be here in future as well in the upcoming contracts as well as in this contract as well?

Kushal Desai: So it's a complete turnkey so it's the supply and installation of the entire system. So there is a fiber optic and a cable portion, which is part of that and then you have towers, you have the installation, there are some passive components, some active components. So it's a complete turnkey. So all these projects are awarded on a full turnkey basis.

Garvit Goyal: Understood. And from whom we got this contract, sir?

Kushal Desai: Contract is from the Indian Railways.

Garvit Goyal: Okay. Understood. That is it from my side. All the best for the future.

Moderator: Thank you. The next question is from the line of Nikhil from Kizuna Wealth. Please go ahead.

Nikhil: So my first question is like in our investor presentation press release that we uploaded, you stated that volume for the connectors were impacted due to increased competition from the non-U.S. geography. So can you elaborate more

APAR Industries Limited

January 29, 2026

Page 23 of 30

on that? As per your initial remarks, you said that it was due to the transformers.

So can you elaborate more on that part?

Chaitanya Desai: Actually the line was not very clear, but was your question to do with the Chinese competition?

Nikhil: No, sir. Am I audible, sir?

Kushal Desai: Yes, now you're audible.

Nikhil: As per our investor press release that we uploaded, you have said that the conductor volumes were impacted due to increased competition from non-U.S. geographies. In our initial commentary, we stated that we also have the volume problem due to -- in the domestic market due to transformers. So can you elaborate more

on this volume? How are we looking at the trends going ahead too from both the non-U.S. geography perspective and domestic perspective?

Chaitanya Desai: There are two different matters I think, which probably you have got mixed up in your question. One part is to do with the non-U.S. geographies, which are like the rest of Asia other than India, then Africa, Middle East, Europe, Latin America, et cetera. So there we have been impacted due to the Chinese competition. That is one part.

And the second part is to do the transformers where we were saying that the transformer manufacturers were not getting certain inputs like the bushings. As a result, their delays were happening for the execution. And therefore, they were delaying some of the requirement of transformer oil and the CTC. So that had impacted in a different way the demand for us.

And the substation also is getting delayed because the transformer is at the heart of the substation. So there to relax this particular supply situation, the government is now allowing Chinese manufacturers bushings to be also used in the execution of transformers to alleviate this problem.

Nikhil: Okay, sir. That's really good to hear. Sir, my second question is also like we had the global approval from the Microsoft for data center cables. So are we also going

APAR Industries Limited

January 29, 2026

Page 24 of 30

to look at like the impact on the cable segment from the data center perspective in the U.S. geography?

Kushal Desai: We have been looking at that. Unfortunately, for us, the U.S. data centers largely

use copper-based cables. And as I explained earlier, the pricing of copper in the U.S. is very competitive relative to the rest of the world. It is competitive. In the case of aluminium, we import 90% of the aluminium. So the effect of the Section 232 is 50% tariff is much more on aluminium-based products and relatively less on copper-based products.

So as we try to export copper-based cables from India, we would face a significant tariff differential compared to in the case of aluminium. So we are not able to export very much of copper-based products at the moment until this tariff situation changes. And until it changes, we won't be able to access most of the data center requirements.

Nikhil: Okay, sir. So sir, now on the respect of our order inflows on the cable segment. So we saw like in the month of post September like there were 2 months that we had a muted order book in the Cable segment. So how does it look from the November, December, January perspective till now? And how do we expect the trend post July like you already said that post Q1, we will be able to normalize the business order inflows. So how has been the month of November, December and January, sir?

Kushal Desai: So last year, we mentioned that we had an order inflow of cables of about INR500 crores from the U.S. So there is an inflow of business that has started coming in now.

Nikhil: So sir, my question is like was it like a consistent business or it was lumpy one order flow or something like that?

Kushal Desai: No, several orders meaning from several different customers and different projects which are in involves. These are all project-related orders, which we've received and are executing or largely project-related orders. So it's not just one lumpy project.

APAR Industries Limited
January 29, 2026

Page 25 of 30

Moderator: The next question is from the line of Swastik Ghadge from Ekvity Wealth Management. Please go ahead.

Swastik Ghadge: Congratulations on a good set of numbers. So I have few questions. So the first one is time and again you have been alluding to or saying that we are looking to set up manufacturing in U.S.A. And if I recall clearly in the last call, you mentioned that U.S. utilities usually don't buy from exporters, they buy directly from domestic players. So what is stopping us actually? Are we still thinking wh

at are the metrics that we are looking to so that it fits our thought process there? That's my first question?

Chaitanya Desai: So basically we are doing our studies, but as you know, the situation is quite fluid. So we are also watching the situation and then appropriately we'll take decisions.

Swastik Ghadge: Okay. Second question, sir, is more on the recent management change that we saw in the Cable Solutions business where the CEO sort of resigned and then we saw that the CEO joined our competitor. So currently who is heading the Cable Solutions division? Is it directly overlooked by you or are we looking to...?

Kushal Desai: So we have -- Mr. Chandrashekhar Shrotri has joined the Cable business. He joined on the 4th of December so he's been in the role for almost a little over 1.5 months. Previous to this, he worked for Siemens for 30 years and was in charge of the low voltage business across 27 or 28 different countries. So very seasoned individual who has been involved not directly in cables, but very familiar with the customer base as well as the channels.

Swastik Ghadge: Okay. And also, sir, on the wires and cable side so we have guided that we will grow 25% to be precise with 10% to 11% margin rate. So we have achieved that 10%, but 25% growth we fell quite short in this quarter and if we see 9 months, it is 22%. So do you think that this Q4 and whatever order we have from the U.S. because we are losing margins there so we will be able to suffice that growth? And of course we can't get both, but can we get the volume growth that we are looking or the revenue growth we are looking at?

Kushal Desai: So that's the guidance which we've given that we will be for the year definitely 20%-plus on the revenue front. And we are trying to track an EBITDA, which is

APAR Industries Limited
January 29, 2026

Page 26 of 30

close to what we've delivered for 9 months in spite of having to sacrifice some amount of margins on the U.S. business.

Swastik Ghadge: And only 1 last question, sir, if I may. I think we have been developing good products and technical products over the years and now with this new capex coming up in cables as well as some part of it going to conductors, are we looking for more higher technical products like HVDC or HVAC sort of where the industry might go going ahead due to all the surge in energy demand? And also your quick comments on the new draft NEP that we saw that was announced by the Government of India?

Kushal Desai: The expansions what we are doing are having a mix of the premium area as well as fungibility with the normal requirement, conventional requirements also. And our efforts will be always to use our assets for the more premium products. But with the backup that in case we don't get enough orders of premium, then we can utilize those assets for the general purpose type also.

Swastik Ghadge: And your comment on the NEP, sir, if you could give some color?

Kushal Desai: Are you talking about the announcement for the India EU deal you're saying?

Swastik Ghadge: No, no. The new National Electric Plan that the Government of India announced wherein we have increased the guidance for FY '32 too -- I think we have increased that guidance on National Electric Plan?

Kushal Desai: Yes. So we are generally positive that the demand in India will continue to be good. We've put in capex, which is if you see the commentary from some of the previous earnings calls, we've gone ahead and put capex 1 to 2 years ahead of the actual sale likely to take place simply because we are bullish on demand going forward.

And these days to set up the capex, the capex cycle itself is much longer especially if you go to some of the best equipment manufacturers. So the capacity is going to be in place for us to be able to take into account increased business flow coming in. So if demand exceeds whatever has been projected, we should still be in a position to pursue t

hat opportunity.

APAR Industries Limited

January 29, 2026

Page 27 of 30

Moderator: The next question is from the line of from Raman KV from Sequent Investments.

Raman KV: It's not a question. It's just a doubt. From what I'm hearing, there has been -- with respect to renewables, the PPAs which have been signed, there is a -- how do I put it, decrease in the new PPAs that has been signing in terms of renewables mainly because of fearing overcapacity of modules and cells coming up in India. So how are you seeing the overall demand with respect to the renewables as the end user?

A follow-up on that is due to the recent increase in the silver prices, renewables are -- how do I say, are not -- are becoming expensive in terms of capex cost. So is that putting difficulties in terms of new renewables project, which the government plans to tender out? Or I just want to understand the entire current dynamics of the renewable energy ecosystem in India playing out?

Kushal Desai: So we are seeing currently a demand coming in from wherever PPAs have already been signed and the executions are taking place. So that's 1 aspect. Second side is this rooftop solar is increasing everywhere. So even that is a segment that results in increased requirements of wires and cables. Thirdly, the wind side, as I mentioned earlier, is growing at a faster pace than solar simply because the base is currently lower.

But that forms the third sort of vertical where we are seeing growth on the renewable side. So overall, we've not seen any major slowdown, even the projections that we have for Q4 coming from solar and wind additions, both of them seem to be reasonably strong. So we've not really seen any major slowdown on this front.

Raman KV: Okay, sir. And sir, I just have just a follow-up on this. Among the Cable division, what kind of cables are you seeing a tremendous growth? Is it like a high voltage cable or a low voltage cable?

Kushal Desai: So in our case, we are very focused on certain verticals, As I mentioned a couple of times earlier in the call that we've seen growth on the renewable side. We've seen growth in the railways. We've seen growth in defence and we've seen growth taking place in data centers and in our medium voltage covered conductors, in

MVCC. So these are the areas where we are seeing growth. Overall, I'm sure there's growth even on the industrial and commercial side, et cetera, but we are not the strongest player in that category.

Raman KV: Understood, sir. So basically solar and telecom cables -- telecommunication cables?

Kushal Desai: All of these areas. As I said, railways, defence, data center has also got a lot of power cable requirement that's copper-based or aluminium-based. And MVCC is all aluminium, which is the upgradation of the last mile distribution -- overhead distribution lines. So these are all the areas APAR is seeing growth.

Moderator: The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Question on the INR500 crores order win, which you said has happened in the U.S. So what's the impact we took versus pre-tariff? Was there an impact on margin? What are the terms for these orders and what can we expect for upcoming orders? You last time highlighted that for the older projects, the customers are willing to absorb, but how about these newer projects which you have?

Kushal Desai: It's a variety of cables and from a variety of customers. So depending on what the local competition is, we've had to make some adjustments in prices. So it's varying across the product categories. But clearly there is -- I don't want to specifically talk about how much is the margin hit, but there is clearly a compromise to be made on margins, but we've seen that as that compromise is made, the order inflow is taking place.

Amit Anwani: Sure. But there would be some imp

act, right, pre-tariff impact?

Kushal Desai: There is, but I don't want to comment specifically because it's a big variety of cables and orders. There is some impact. But overall, as we said, we are still targeting hitting what our guidance is for the year and this INR500 crores is going to help definitely achieve the top line. And as far as the bottom line is concerned, we are trying to be within the same range as we are in today.

Amit Anwani: So is that the cables margin still will be impacted for 4Q?

APAR Industries Limited
January 29, 2026

Ramesh Iyer: So there are a range of products, Amit, as you know, that we sell in cables and different products will have different margin profile. So as we said that we don't want to divulge specific information on this U.S. project, how much the margins will behave. But overall, we have been like -- we've been guiding about 9.5%, 10% margin and we expect it should be around this level. YTD already we are at 10%.

We expect that our margin profile should be in similar range more or less.

Amit Anwani: All right. Sir, more details on re-conducting. You said it's a big opportunity. So any color in terms of market whether in terms of maybe circuit kilometer or the value which came in, let's say, for F '20 -- current financial year and what is the expectation for next 2 financial year? Any data on that in terms of circuit kilometer or value? And then how APAR is standing? Are there a competition or what is the wallet share currently in terms of re-conducting? If you could explain more?

Kushal Desai: So unfortunately, there is no published data. In our own way, we are making our assessment. And our year-to-year slightly fluctuates also as to how much is the breakup between the conventional type and the HTLS type. But our current estimate is roughly 2% by volume. In HTLS though, there is a service component of the labour to actually put up the line and some designing aspects also, which is little more value-add for us.

And as far as the future is concerned, we expect that higher growth pro rata it has a low base or it may have percentage-wise little faster growth of the HTLS compared to the conventional. But it is a much more expensive product so clients are choosy when to use the HTLS and especially when there's some -- no choice is there due to ROWs, then they may go for that option. But if they find that there is another option, then they may go for a new line instead.

Ramesh Iyer: And on the competitive strength, I think we have elaborated it more in detail in this corporate presentation. We've completed more than 175 projects in difficult

terrains, et cetera and it's more appropriately elaborated there. So you may want to have a look at that to see what are our competitive strengths in this particular re-conducting opportunity.

APAR Industries Limited

January 29, 2026

Page 30 of 30

Amit Anwani: Sure. Sir, this MVCC, this is also included in re-conducting, the upgradation of overhead distribution through MVCC you highlighted? Is it also part of re-conducting?

Kushal Desai: The manufacturing of medium voltage covered conductors are actually done in the cable business because it's an insulated product. But if you take it on a turnkey basis, then our projects division actually takes it on a turnkey basis. So they do the execution of the projects. Today, bulk of our supply has been going through third-party APC players.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you, sir.

Kushal Desai: Yes. I'd like to take this opportunity to thank all of you for joining our Q3 earnings call. And as I mentioned, we continue to remain optimistic in terms of delivering whatever guidance that we had for this year. We will clearly see a higher revenue coming in from our U.S. exports in Q4.

We also see that the fu

ndamental demand drivers continue to remain intact. And the company is on track with respect to its capex plan and look forward to actually improved utilization of all the new equipment that comes in over the next few years as the demand for our products continues to increase. APAR is clearly the leader in carrying current in all different -- between conductors, cables, transformer oil, et cetera. And carrying current business is going to only increase as the years come by. So with that, I'd like to end and thank you very much for joining us today.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2026

SEC/0406/2026 By E-filing June 4, 2026

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra- Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of the analysts and investors conference call on Audited Financial Results (Standalone & Consolidated) on Q4 FY26 (2025-26)

Ref.: Reg. 30 read with Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer our letter dated May 28, 2026 under Ref. no. SEC/2805/2026, w.r.t. submission of Audio Recording link of the analysts and investors conference call made on the Audited Financial Results (Standalone & Consolidated) of the Company for Q4 FY26 (2025-26).

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are now submitting herewith the transcript of the conference call made on May 28, 2026 on the Audited Financial Results (Standalone & Consolidated) of the Company for Q4 FY26 (2025-26).

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com.

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India
+91 22 6780 0400 / 49572100 corporate@apar.com www.apar.com

“APAR Industries Limited
Q4 FY26 Earnings Conference Call ”
May 28, 202 6

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR – APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI – MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED
MR. RAMESH IYER – CHIEF FINANCIAL OFFICER –
APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

APAR Industries Limited
May 28, 202 6

Moderator: Ladies and gentlemen, good day, and welcome to the APAR Industries Limited Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S -Ancial Technologies. Thank you, and over to you, sir.

Ambesh Tiwari : Thank you. Good afternoon, everyone, and I welcome you all to the Q4 FY26 earnings call for APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and CFO, Mr. Ramesh Iyer.

I will now pass over to Mr. Kushal Desai for opening remarks. Thank you, and over to you, sir.

Kushal Desai : Yes. Thank you, Ambesh, and good afternoon, everyone, and welcome to APAR Industries Q4 and annual FY26 earnings call. I would like to start by giving a quick outline of our performance, followed by a short industry update. I will follow this up with more details then on the individual segment performances of the three major segments. And then finally, we can open the floor up to questions.

We have concluded FY26 with a reasonably healthy growth trajectory, reaching an all -time high revenue of INR22,902 crores. APAR has come a long way over the last 5 years, scaling up its top line from INR6,406 crores in FY21 to now INR22,902 crores in FY26. So this represents a CAGR of approximately 29% over these 5 years.

The consolidated revenue for the quarter stands at INR6,603 crores, which was almost equal to the annual sales of FY21, representing a growth of 26.7% over the last year of Q4. This performance can be attributed to growth primarily coming from the domestic business and improved product mix as well as operating discipline. Shipments to the United States were also higher i n this quarter.

Domestic revenues grew 33.6% over Q4 FY25 and exports grew by 13.3%. On a sequential quarter basis, exports have grown by 30% as the U.S. business started scaling up, especially post the realigned U.S. tariffs. The U.S. revenues are higher than the same period last year by about 28.8% and 250% h igher over the sequential quarter. So export as a mix is approximately 2 7.6% in Q4 FY26 compared to about 31 .3% in Q4 FY25.

EBITDA post forex for the quarter came in at INR584 crores, representing a year -on-year growth of approximately 19.3%. The PAT margin is at 3.8%, which is only 100 basis points lower than

the same period previous year. However, this number, is to give you a better idea of the operating performance and putting it in context, I'd like to state that if you look at just the operating activities, there are a few onetime provisions that have been made that have impacted the fourth quarter.

APAR Industries Limited

May 28, 2026

Page 3 of 17

That includes an impact of gratuity and leave encashment, which we have further increased by approximately INR8 crores. There is a mark -to-market impact of an ECB loan that the company has due to the sharp depreciation of the rupee that happened in the first quarter. And then there is a one -off provision for an old legal case based on the recommendations of our auditors that we have moved from contingent liabilities into a provision.

So if you exclude these non -operating impacts which are amounting to INR31 crores, the PAT which came in at INR254 crores would have been at INR285 crores. And so on an operating basis, the growth would be at around 14% compared to the same period previous year.

On an annual basis, the revenues have reached INR22,902 crore

s, as I explained, which is 23.3%

higher than FY25. Domestic revenue is up by 2.9%. Export revenue is up by about 1.2%. The U.S. revenues have grown by almost 50% versus the same period last year. The export mix stands at about 30% for the year. EBITDA post open period forex grew by 23% to INR2,067 crores at an EBITDA margin of 9%. The PAT has grown by 19% to INR977 crores at a margin of 4.3%.

So, I'd like to also cover some industry highlights. There has been a substantial increase in the clean energy additions which have happened, the non -fossil fuel -based capacity additions, which for the last quarter has been 50 gigawatts plus, which is the highest ever in a financial year. This brings the country's total non -fossil capacity to anywhere between 250 crores and 270 crores, propelling India to be the third largest in the world in renewable energy deployment.

Solar power has been the leader in terms of additions, which has now crossed 140 gigawatts, and there has been a record annual addition of about 54 gigawatts in FY26 alone. Wind power has also increased with a capacity increase of approximately 6 gigawatts in FY26. Both of these are significant milestones in the country's renewable energy journey and is almost double of what it was in the previous years.

On the data center front, India is rapidly expanding in this sector. The current data center capacity in India is anywhere between 1.5 and 1.7 gigawatts, which is expected to scale in a base case to 5 gigawatts by 2030 with a more optimistic estimate going up to 7 to 8 gigawatts. This will attract more than 30 billion in investments, powering India's move towards being a trillion - dollar digital economy.

On the transmission infrastructure and grid side, there has been a transformation capacity addition in FY26 of 113,000 MVA, which is 30% higher than what existed in FY25, though it is short of the planned target of 126,000 MVA. So, we have about 13,000 MVA short, which is approximately 11% lower than what had been planned. Nearly 48% of the transformation capacity added in FY26 was at the high voltage, which is at 7.65 KV voltage level, with 54,000 MVA already commissioned. And this is again the highest ever annual addition in this voltage class. This significantly strengthened the ISPS, which is the interstate transmission system grid for bulk power and renewable energy transfer.

The government had adopted a planning and implementation approach that prioritizes grid - readiness, transmission expansion and energy storage deployment as integral components of the

APAR Industries Limited

May 28, 2026

Page 4 of 17

renewable energy across the country. As for the National Electricity Plan, the transmission network is expected to expand from approximately 5 lakh circuit kilometers to about 6.5 lakh circuit kilometers by 2032 with transformation capacity scaling from about 1,429 gigavolt to 2,354 gigavolt amps. And the interregional transmission capacity is also set to increase from 120 gigawatts to about 143 gigawatts by 2027 and by a further 168 gigawatts by 2032.

Now coming to the segmental performance. I would first like to cover our Conductor division.

So, we concluded Q4 FY26 with the highest top line for the Conductor division. Revenue for the quarter reached INR3,764 crores, representing a significant 29.9% year -on-year growth. This growth was driven by increase in volume, improvement in the product mix, and also there was the tailwind of commodity price increases that happened.

Sales volume is up by 9%. The domestic business grew 34.8%. Export revenue grew by 14.6% compared to last year. And on a sequential basis, it is up by 48.7%. The export mix is at around

21.6% in Q4 FY26 versus 24.5% a year ago. This difference is primarily because the domestic business in the last quarter was fairly strong. The U.S. business, as I stated earlier, started scaling up, and in Q4 FY26, it is almost at pa

r with Q4 FY25 for the Conductor division, but compared to Q3 FY26 is up by over 150%.

Premium products continue to grow. And in this quarter, the premium products came in at 49.3% versus 44.3% in the last year. EBITDA post open period forex stands at INR44,919 per metric ton compared to INR41,430 a metric ton a year ago. So, the EBITDA margins have grown largely on account of the improved product mix.

On a full year basis, the revenues are up 32.7% to reach INR12,712 crores. And with this, the Conductor division has crossed the INR10,000 crore s milestone, which is a historic milestone for us. Volumes have grown in the year by 8.6%. Domestic revenues are up 38.3%. Export revenues are up by about 15%, and premium product contributions to revenue stands at 45.8% for the year. The EBITDA margin post forex came in at INR43,012 per metric ton compared to INR36,683 per metric ton a year ago.

Order inflow during the year came in at INR11,450 crores. The order book as on March 31 stands at a healthy INR7,671 crores. So this year marks the highest ever installation that our project division have also done, which is about 1,949 circuit kilometers, and that helped address the growing power demand for residential and industrial users and farmers and also debottleneck the grid coming into Mumbai and helping Navi Mumbai become the data center capital of India thus far. Both CTC and busbars, which are our main copper products, have also recorded a strong growth in the year.

Coming to the oil division. Our revenues from operations grew to 5.6 lakh kiloliters and the volume level is at par with -- sorry, our revenue from operations grew by 5.6%. The volume is approximately at par with the same period previous year, and this was largely because exports were very severely affected in the month of March due to the Middle East disruption, both in terms of supply chain as well as in terms of a sudden increase taking place in the freight, which required the company to go back to customers and negotiate a higher freight increase.

APAR Industries Limited

May 28, 2026

Page 5 of 17

In fact, the supply chain for petroleum products came to a grinding halt with all major refineries curtailing production and also reducing contract volumes which were signed up with us. There was also no visibility of what would happen in the month of April as we started the month of April, and there was uncertainty even in terms of what the price level would be in the month of April. We stopped booking fresh orders in March by the first week and only focused on completing execution of all the pending orders.

There were increases in freight. There were increases in packing charges and other incidental costs, and the company systematically negotiated that with all its customers and executed all the pending orders in the March period. We only started booking right towards the end of the month and in the beginning of April. The supplies against contracts to APAR reduced by 50% from the key contracted refineries in the month of April. And in the month of May now it is expected to get largely restored but, of course, at significantly higher prices.

So if you look at the global transformer oil volume, it was marginally down by 1.4%, and the domestic transformer volume, in spite of all these problems, was up by 8.5%. Automotive oil grew by 19.5%. Industrial lubricant grew by 6.1%. Exports contributed 36.3% to the overall oil division revenues in Q4 as compared to 41.7% a year ago.

EBITDA per KL post foreign exchange stands at about INR5,656 per KL as against INR5,873 per KL. There was a fairly large provision made for foreign exchange which is almost INR15 crores in the month of March with the sliding of the rupee taking place post the war starting.

On a 12-month revenue basis, revenues have grown by 6%, posting INR5,373 crores. The transformer oil business grew by 3.5% overall at a global level. The d

omestic transformer oil

business grew by 12.2%, even though we were on target to actually cross 15% as the quarter has started. Automotive oil is up 11.1% versus the previous year. Industrial oil is up 13.8%. Export mix stands at 39.8% for the year compared to 44.4% for the year ago. EBITDA per KL came in at INR5,943 per KL as against INR6,145 per KL year ago

Now moving to the Cable division. Revenues for the quarter reached INR1,903 crores, up 35% over Q4 of FY25. Domestic revenues grew by 35.4% and exports grew by 33.6% over Q4. The U.S. revenues are up 52.2% over the last year Q4. Export mix was at 28.1% in Q4 FY26 versus 28.4% in the fourth quarter of '25. The EBITDA post forex grew 34.5% year-on-year to reach INR202 crores at an EBITDA margin of 10.6%. The pending order remains at approximately INR1,800 crores.

For the full year, revenues for the 12 -month FY26 came in at INR6,220 crores, which is up 25.8% year -on-year. This year, our Cable division overtook the oil division to be the second largest business segment for APAR. The domestic revenues are up 23.6%. Export revenues are up 30.6% year -on-year. The U.S. revenue is high by 46.7%. The export mix stands at 32.3% in this period. The EBITDA post forex grew by 27.1% to INR633 crores at a margin of 10.2%. Our B2B channel business which we have started, this is only the second year of its operation, has now crossed INR500 crores. We also expanded our distribution network by adding 120 new B2C distributors and 25 new B2B distributors. There's clearly been an impact from the war on

APAR Industries Limited

May 28, 2026

Page 6 of 17

both the price and availability of specialty polymers, many of these were being sourced from multinational plants that are located in the Middle East area, notably in Abu Dhabi. The prices have also increased our aluminum and copper and polymers in general across the board. This has limited the ability of the company to aggressively book orders for specialty cables in the short term given the shortage that has been there of these polymers. There will be a near -term impact in both volumes and margins.

In terms of concluding remarks, I would like to conclude that the financial year 2026 has been a good year in spite of all the volatility and the war at the end of the period disrupting supplies.

Despite the multiple iterations in the U.S. tariffs throughout the year, the increase in LME prices and the recent Middle East war, the company has still reported a strong growth. However, as I mentioned earlier, the short -term period, as mentioned, will see slowing demand.

And there are several factors for this. You have significantly higher metal prices. Added to that are higher premiums both for aluminum and copper. There is higher freight costs involved, including the war premiums that have been applied on all export shipments. The Middle East is where the maximum amount of problems are there because the containers are being transferred without complete insurance cover, resulting in some of the projects being actually deferred or delayed.

There have been several manpower issues in the recent months at various project sites with the elections coming up in the East, and this has impacted the transit of goods to some extent within the country, but much larger in the form of the operation of the ports. So with these effects, some of the customers are actually preferring to postpone the delivery of their materials.

We also see, in addition to this, that domestic players have started increasing their capacities, and this is increasing some amount of pricing pressure. The Chinese competition is still quite severe in certain parts of the world. There is a fairly large difference between LME and the Shanghai Metal Exchange, what we call the SH FE prices which, for aluminum, has increased to about \$330 to \$360 a ton.

However, having said that, structurally, energy infrastructure f

undamentals remain intact with

the growth in T&D, rising electricity demand and evacuation infrastructure being increased, data center expansion, the growing presence of EVs, more opportunities for reconducting and upgradation of aging lines and, finally, the significant investment happening in ultra -high voltage transmission infrastructure and HVDC. All of these opportunities continue to provide a robust growth runway for the company, and we are quite focused and well positioned to capitalize on this.

We plan to increase our capex for FY27 to about INR1,500 crores in addition to the FY26 capex that we have incurred of INR740 crores. This is to ensure that we have a capacity in place to meet future demand given the longer capex cycle that is taking place. So with this, I would like to leave you all with an optimistic note that in spite of the short -term problems that are there, we still see a very strong future coming up.

APAR Industries Limited

May 28, 2026

Page 7 of 17

With this update, I'd like to conclude my presentation. I'd like to thank all of you for joining this call and would like to open up the floor to questions, please.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Nitin Arora with Axis Mutual Fund.

Nitin Arora: Hi. Thanks for taking my questions.

Moderator: I'm sorry to interrupt, Nitin. You are not quite audible.

Nitin Arora: Am I audible?

Moderator: Yes, now it's much better. Please go ahead.

Nitin Arora: All right. Thank you for taking my question, sir. Just on your outlook on U.S. market. I remember

a few calls back, you also talked about the data center opportunity which you were seeing. You mentioned Microsoft and everyone as well. How big is these opportunities are becoming for you? Because given such tariff challenging yield, you're still able to deliver such high profitability on the conductor side despite U.S. being down for us. So going in FY27-FY28, how this U.S. opportunity looks like to you because you're increasing again the capex, which looks like a very high visibility you are seeing? So just your take first on a little detailed way on the U.S. capex.

Kushal Desai: So Nitin, the U.S. market, we are seeing actually a very strong traction in the U.S. market. It is being clearly led by the data center opportunity there. All the major public companies, data is already available from the numbers that they have given, from the Q1 earnings call that the Metas and the Amazons, Google of the world have already had. So we have already taken positive steps in this direction. We've supplied to 3 major data center projects so far in the U.S. The total of cables that have gone in there is in the range of about \$15 million.

And with this, we are now slowly getting more and more access and RFQs which we are being asked to bid upon. So we see the cable side on the data center growing and being a larger opportunity for APAR as time passes by. We have also made certain capex provisions for adding specific capacity to produce the data center cables which are required in the U.S. that are of a significantly higher specification than the data center cables that are going into India.

On the conductor side, we have had extensive discussions with various utilities there, both public utilities and the IOUs. And from whatever we see of the amount of capital that they are allocating to improve their transmission line capacities and modernization of the grid, we see that this business will only continue to increase year-on-year. So we are seeing fairly strong signal and visibility across the board in the U.S.

What has helped is that it is a tariff situation. Even though there are tariffs, it has settled down. And this is also helpful in terms of customers having to take decisions. Last year was a very difficult period, and in spite of that, we grew because the

end customer, the moment they have

had an imported product from India, they were not clear what the landed cost will be, which really affects their decision-making. And as a consequence, that had an effect in terms of where APAR Industries Limited

May 28, 2026

Page 8 of 17

we stood. That, I think, is today something that is much more settled. And so you will see in FY27, a larger APAR presence in terms of sales in the U.S.

Nitin Arora: Okay. And when you announced this capex, is it something that these hyperscalers are trying to block ...?

Moderator: You're still not audible. Could you please use your phone on the handset mode?

Nitin Arora: Am I audible now?

Moderator: No, not really.

Kushal Desai: Yes, we can hear. Yes. Go ahead, Nitin.

Kushal Desai: No, I think, Nitin, the line is totally garbled right now. Hello?

Nitin Arora: Yes. Am I audible?

Kushal Desai: Yes, yes, now. Please go ahead.

Nitin Arora: Yes. So I'm asking on this capex, which we have announced and upsized again. Is it like coming more from the U.S. data center hyperscaler side, where they are trying to block your capacity the way they are doing for all the vendors around the world? Or is it a mix of both India capex and U.S. capex altogether?

Kushal Desai: So it's looking at all the opportunities. If you will see that even as I mentioned earlier that even in India, the data center expansion is there. There is also an expansion happening on solar and wind in India. There is a significant increase in solar capacity that we are seeing getting lined up in the U.S. as well.

So the U.S. is being led by data centers. But unlike in the case of fiber and some of the other things that are going directly and blocking capacities here, these are largely projects which are awarded to EPC players. And then EPC players in turn go into the market and start picking up or ordering the business. The capex increase we are seeing is fundamentally overall demand growing with the U.S. being one market where we see significant growth besides India. So these are the two markets which APAR is really focusing on.

Nitin Arora: Just last question, sir, on the profitability. Even if U.S. increases next year in exposure and you're already able to do 44,000 in conductor for the whole year, how one should think about profitability of the conductor business next year?

Ramesh Iyer: So Nitin, we typically give guidance for medium to long-term perspective as we have always been doing consistently in the past. And based on the historical EBITDA margin that we have made, we expect that from a medium to long-term perspective, our conductor margins could be in the range of INR35,000 to INR36,000 per metric ton.

And this has been resulting because of the impact of high premium products, the reconducting opportunity as well as the copper mix that is going up. So in line with that, we expect this margin to be high.

Also to note is that with the increase in the metal prices, you will see higher interest costs also coming in because the metal price is going up. So as we are looking at EBITDA, which is earnings before interest, so to that extent, our interest cost, the EBITDA will also grow. And of course, these are, of course, excluding the tailwinds. We always talk about EBITDA plus tailwind. So it's in the range of INR35,000 to INR36,000 per metric ton plus the tailwinds coming our way.

Kushal Desai: See, one thing, Nitin, I'll add to this is that there is still -- whether it's the U.S. or whether it's India, there is a short-term slowdown in ordering because especially with aluminum, aluminum moves along with the cost of energy. And because of this whole war-related problem, as I mentioned in my opening remarks, there is very sharp increase in the price of aluminum. There is a premium increase.

So if you look at the MJP, which is a me

an premium of Japan, that also has increased. And the freight costs have increased everywhere. In the U.S., they are at all-time high, prices of diesel, gasoline and everything.

So there is a small -- meaning I expect a short-term slowdown. But the kind of budgets which are being allocated, and these are being allocated right from the big data center companies, the budgets which are getting approved in the Board meetings of these big utilities is showing a very strong picture going forward.

You may not be able to place things like what you are asking in the exact buckets, Nitin, because of the uncertainty in the current environment. But the makings of an allocation, very serious allocations from all these different players, that will drive the market in the future.

And that's one of the reasons why we have committed to a larger capex because given that the current scenario, the capex cycle also is significantly longer than what it was 2 to 3 years ago.

From the time you order equipment from a top equipment suppliers at the time, you get the equipment coming in and the installation takes place. That cycle has got dragged out. So I hope that answers your question. Hello?

Moderator: So the participant has dropped so we'll move to the next participant. That would be Umesh Raut with Nomura Holdings. Please go ahead.

Umesh Raut: Hi, sir. Good evening. And congrats for a strong set of numbers in cable and conductor division. My first question is pertaining to our current capacity utilization in these 3 divisions and, at the same time, if you can give us a further detailed breakup of INR1,500 crores of capex that you are planning for FY27.

Ramesh Iyer : Yes. So on the conductor division, our capacity utilization currently will be about 90% to 95%. And similarly, for cables, it could be close to about 85% to 90%. Oil division, as the operation

are not so capital intensive, we would have enough capacity because it would be in the range of 65% to 70% capacity.

Kushal Desai: Lubricants is higher at the moment. Lubricant capacity is running at almost 85% to 90% for the small can and the bucket filling because as you've seen, there's been a substantial growth in the last year. And the company is making some further investments as part of this capex to debottleneck that.

Ramesh Iyer: Anything else you wanted, Umesh?

Umesh Raut: Yes. A breakup of INR1,500 crores of capex that you are planning for FY27.

Ramesh Iyer: Around INR400 crores would be coming from conductor division, around INR200-odd crores on oil division, and cable would be in the range of INR850 crores.

Umesh Raut: Okay. Got it. My second question is pertaining to domestic market. Now that a lot of these large HVDC projects are entering into execution mode, so just wanted to know whether the material awarding for these projects are already being done or it is expected to come up in FY27. And second, any kind of delay in tender finalization that you've seen in domestic market for transmission lines?

Kushal Desai: So the answer to the first question is no. These HVDC projects have just been awarded. So both conductor and the oil will come significantly later. Fortunately, the 2 main players in this -- or rather, the 3 main players in this are Hitachi Energy, your GE and Siemens. And APAR is the

principal and only supplier to all of these 3 companies so far in terms of the HVDC transformer oil. So none of these orders have started getting awarded. I think the business will run through FY27, FY28 also in terms of the awards taking place. Second question you had, Umesh?

Umesh Raut: Regarding current tendering pipeline in terms of finalization, how it is happening, whether you are seeing any delays because of inflationary pressures, where earlier probable estimates for transmission lines could be different now given that copper and aluminium have

both seen

significant inflation. Any kind of revision to that as it will take approval times. So any kind of delays that you can anticipate in first half FY27 in domestic market?

Kushal Desai: So we've seen effect of both. In some cases where we already have the orders and where the customer needs to actually block the metal, they have been delaying the delivery of those supplies. Also, there is some amount of postponement that is happening because the factor is not just metal.

Manpower is a big problem in India at the moment, especially with Bihar -- with the West Bengal elections and the elections in the Northeast. A lot of the workforce at project sites come from those areas and those jurisdictions. So there has been a little bit of a slowdown that's coming from these things.

But our sense is that the time should pass and you will have a pickup. If you see last year, the second half of the year had a tremendous execution intensity compared to the first half. So maybe a similar sort of phenomenon may come up in this year.

APAR Industries Limited

May 28, 2026

Page 11 of 17

But short term, as I mentioned, they definitely are all these moving parts which have resulted in higher costs, and people are postponing decisions and deliveries wherever they can, even on all the fiber optic OPGW, all that because the fiber costs have gone up 3x and 4x what they were compared to about a year ago.

Umesh Raut: Understood. My last question is pertaining to data center. Now three parts to this question. One, any rough idea about how much of value of cable supply that you can give to 1 megawatt or 1 gigawatt of data infrastructure, suppose, in the U.S.?

Second, do you see pricing in data center user industry to be relatively far better than the other user industries? And third, any color on potential long-term contracts that you can get on the lines of similarly what we have seen on the fiber side in domestic market from U.S. customers? So any kind of long-term contracts or tying up of capacity that you are now discussing with the large players in U.S. data center market?

Kushal Desai: So the last question, I can tell you that as far as our wires and cables are concerned, there is no blocking of capacity that we are seeing with not only as per any of the major players around the world. Because the way it runs is that is then placed on an EPC contractor. EPC contractor then places it on to an electrical contractor who then does the contracting.

First question, the data center is very, very dramatically. So if you see the kind of spec that runs in India is totally different than what runs in the U.S. Also, the spec that runs in a data center, which is a general data center versus an AI data center, is also vastly different.

And the third thing is that we are seeing that the bill of materials is also evolving as NVIDIA's new chips are being utilized and things like that, the electrical requirements are also starting to change.

But to give you an idea, a medium-sized data center that you would supply in the U.S. would be taking about \$10 million to \$12 million worth of cables -- of just the medium voltage cable. And you would probably have something equivalent in terms of the other low voltage cables in this. About \$25 million, \$30 million for a medium-sized data center in the U.S.

Over here in India, you are looking at about INR2 crores worth of cables for a 50-megawatt kind of facility. Yes, 50 megawatts. Correct. So if it's 100 megawatts, it would be about INR5 crores to INR6 crores, like that.

Umesh Raut: Okay. Got it. Sir, last question. I mean, I know that you are guiding for INR35,000 to INR36,000 of EBITDA per ton on its conductor side. But if I look at our pending order backlog where export mix is relatively higher at about 39%, while we did about 21% export sales in conductor in last year, and probably I think there is also a higher room

to supply to U.S. because this especially

in last year was weak. So considering all these things, it looks like you can report probably improvement on last year's EBITDA per ton number, put it at about INR43,000. So any color over here?

Ramesh Iyer: So that's what we always indicate, INR35,000 to INR36,000 plus tailwinds. And as you can see, the order book is not representing the entire requirement for the year. Also, there will be some

APAR Industries Limited

May 28, 2026

Page 12 of 17

order books -- part of some order book that could spill over to the next financial year. And as we indicated earlier, these are like our medium to long -term guidance. We don't give the guidance for next year.

So we have been increasing our guidance historically. It used to be about INR8,000 to INR10,000. And from there, gradually that has gone up now to INR35,000 to INR36,000, which even the earlier quarter was about INR30,000. So as and when we see more visibility, we would take the call on that. But for now, we feel that on a medium to long -term basis, our margins could be in the range of INR35,000 to INR36,000 plus tailwinds.

Umesh Raut: Okay, sir. Thank you so much and all the very best.

Moderator: The next question comes from the line of Mohit Kumar with ICICI Securities. Please go ahead.

Mohit Kumar : Good afternoon and thanks for the opportunity. So my first question is can you just help us with your dependence on the Middle East for Specialty Oils business in terms of sourcing and sales?

Kushal Desai: Okay. So in terms of sourcing, the refinery that we source a reasonable amount of quantity and have a long -term contract with is Saudi Aramco base oil refinery in Yanbu. So that refinery at the moment is still running. It hasn't shut down at all through the entire period. And they have been shipping product out of there.

It's one of the refineries that has actually met every quarter's requirement including in the month of April and now in the month of May. So from a sourcing standpoint, there is not a major impact from the refinery in the Middle East.

On the contrary, what has happened is that Saudi Aramco other subsidiary, S -Oil, which is our largest supplier, and Formosa, which is out of Taiwan and many of the other refineries, they had a major shock in the month of April, where the raw materials which are on the way to the refinery got stranded.

So that's the reason why in the month of April, all these issues have taken place. By the time , we came into the month of May. Alternate arrangements have been made as well as Saudi have started lowering large amount of quantities from Yanbu. So out of the 9 million to 10 million barrels that they were loading previously from Ras Tanura, that has been substituted with about 7 million barrels from Yanbu itself. So there has been a bit of a substitution that has come in.

On the sales side, our transformer oil, we have a very strong supply going into Saudi Arabia and Kuwait, and both of those had been affected. There were no shipments that went to these geographies in March. Nothing went in the month of April.

However, in May, we have made shipments after getting the increased freight costs, etcetera, from these refineries. So I would still see -- and these are suppliers that have gone into projects which are at very advanced stage, where commissioning of the transformers and all that was coming up.

APAR Industries Limited

May 28, 2026

Page 13 of 17

So I see that the Middle East business will continue to remain a little bit subdued until this war gets completed. There's also an impact in the Conductor division where we have certain contracts with Iraq and some of these places, where the deliveries will get pushed out until there's a resolution over here .

Mohit Kumar : Understood.

Kushal Desai: Does that answer your question?

Mohit Kumar : Yes, it did. My second question, can you help u

s the growth outlook in premium conductors in domestic markets and compare the inquiry pipeline with the last year. I'm specifically talking about AL59, HTLS, overhead, CTC conductors and copper pla tes. Yes.

Chaitanya Desai : Generally, we see a good growth prospect in this year. There was a little bit of holding back of tenders last year. This year, we expect more tenders to be finalized. And accordingly, the supplies will be more forthcoming.

And with regard to CTC also, there has been good growth in the transformer segment. While there has been overall more supply also because of the expansions which have come through for us as well as competitors, but overall market is growing. So we see that as a positive.

Kushal Desai : So Mohit, as you see, as I mentioned in my opening remarks, 45.8% is the mix that we had of premium products. And if you look at that as a percentage of the current order book, it's a little over 50%. So you will see continuing growth happening in these ar eas, I mean, as Chaitanya mentioned.

Mohit Kumar : Understood. Sir, last question. Is it possible to sell the CTC conductor export markets ? And where are we in terms of getting those approvals?

Kushal Desai: So there is absolutely a possibility of exporting it. So far, we had really not exported products because there was a major deficit in the domestic market. And to tell you honestly, given the deep relationship that APAR has had on the transformer oil side with all the major power transformer manufacturers across the country who are the main users of the CTC, so obviously, there was a lot of pressure to supply them as well.

Now having gone through 5 phases of expansion within APAR, we are now in a position to start exporting the product. Initially, we have got approvals from Middle East manufacturers and has started exporting to them. We are now working towards getting approvals in Europe and the United States as well. So as you see, as we look at FY27 and FY28, we will want to broaden our base ourselves and look at exports.

Europe is definitely something which is an attractive market. In the case of the U.S., there is a tariff that the India CTC faces compared to a product that's manufactured locally in the U.S. But we are in the process of exploring this because I don't think there's sufficient CTC manufactured in the U.S. by itself.

Mohit Kumar: Understood, sir. And...

APAR Industries Limited

May 28, 2026

Page 14 of 17

Kushal Desai: We'll see that as a higher percentage going forward.

Mohit Kumar: Thank you, sir. Thank you.

Kushal Desai: Okay.

Moderator: Thank you. The next question comes from the line of Amit Anwani with PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Thank you for the opportunity. Sir, first question on the Cables capex, which you said probably about INR850 crores capex, which we have envisaged for this year also. With earlier capexes, we were probably trying for roughly about INR10,000 crores revenue. So any change in terms of the volumes we want to achieve after this round of capex? As you said, you're frontloading the capex for the future years. So what's the kind of long-term outlook?

Kushal Desai: Capex is working towards getting to that INR10,000 crores. We have already spent about INR400 crores in FY26. And if you look at all the carry-forward projects which we have into FY27, that's about INR850 crores. So the total spending has actually increased by almost about INR400 crores compared to what we had planned earlier.

And most of this is going into -- there's a certain set going into expansion of medium-voltage cables, both XLP as well as rubber-based, that go into data centers going into general expansions for utilities, industries, all of that. There is a capacity increase for what we produce for the wind sector. There's a capacity increase of what we produce for solar. There's also a capacity increase for what we produce

for the railways and defence.

So it's quite a broad-based. And we are seeing -- this is a capex towards that INR10,000 crores. We're pulling it forward a little bit. We would have staged it out -- instead of spending INR1,200 crores in 2 years, we would have otherwise spent INR800 crores in 2 years and then INR400 crores in the third year, were trying to actually pull it forward.

Amit Anwani: Right, right. Sir, is the capacity kind of fungible? Since it's a data center, there would be different specs in India and also in exports and your building capabilities there. So is the current capacity fungible there? And second, like what kind of expectations we have in terms of data center kind of contribution going forward since you're building this capacity for that also?

And second, on margin, we have about 10.2%. How these margins can move? Because you also talked about some competition in the domestic market and players are actually setting up their own setups for this. So on these two aspects, yes, that's the question.

Kushal Desai: Okay. In terms of fungibility, the machineries are capable of producing a different specification of products. So the U.S. has a combination of XLP, but largely rubber-based for the data center. So that's one of the reasons why we have added a capacity expansion to produce a much larger quantity of these medium voltage EPR or polymer-based cables. So as expansion happens, the fungibility is going to remain reasonably high.

APAR Industries Limited

May 28, 2026

Page 15 of 17

Second thing is you're talking about the competition coming in. Yes, there is a competition coming in. You heard some very big names. After Ultra Tech disrupted the paints market, now they are investing and wanting to launch basically wires. We see our strength really in cables and especially in the specialty cables for all the segments that I mentioned to you.

I don't think either the current plan or the immediate launch that Ultra Tech is going to do -- the

Aditya Birla Group is going to do is going to affect the se high-value products. I think their focus is much more on the building wire s and the building segment. Similarly, the Adani Group also seems to be focused more on the wires and the LDC or the light-duty cables, which go through the distribution network.

But we feel there is a very large access that's available in the market both in India as well as overseas, and we are continuing to look at growing irrespective of what happens with respect to some of these players. There could be increased competition. To some extent, you may lose a percentage or so in EBITDA here or there. But the overall size of the pie will continue to grow.

Amit Anwani: Right. And sir, on Conductors, how the premium product volumes would have grown this year? And what's the outlook for next year in terms of the overall volume growth in Conductor and especially the premium product volumes growth in Conductors?

Kushal Desai: Overall figures, we are continuing to look at a 10% growth year -on-year on our Conductor side by volume. We are looking -- continuing to look at growing by 25% a year in our cable side of the business as well. So all these expansions are all in line with that. We needed a 25% CAGR to be able to get INR10,000 crores in that 5 -year time frame when we launched the program. So we are very much on track, in fact, maybe slightly ahead.

Amit Anwani: Right. So premium conductor, how would have been the volume growth?

Kushal Desai: So premium conductors, as I mentioned, as a percentage...

Chaitanya Desai : 45% is for the year.

Kushal Desai: 45.8%, so almost 46% for the year.

Amit Anwani: Right. Lastly, on the U.S. sales . How was the U.S. sales for this year? And then what are the expectations you're building in for FY27 in terms of U.S. sales?

Kushal Desai: So last year was, obviously, year -end was very badly affected because of that 20% p

remium that

India had to pay or a penalty because of the Russian oil purchase angle. Currently, the duty structures have got rationalized. The total duty that you pay on Indian product is 25% for both copper as well as a luminum cables because it falls under the Section 232.

So the pricing is at that level. We feel that our business will go up in FY27 . It will further go up in FY28 because we are spending a lot of time in getting approvals there and started getting from a much wider range of customers initial orders. So you'll see significant growth over the previous year in the U.S. market on the cable side.

APAR Industries Limited

May 28, 202 6

Page 16 of 17

Similarly, we see that the conductor side also will be higher than what we have seen in last year's numbers. The short -term factors are not looking good because of higher freight costs and the product cost itself being high. As I mentioned a couple of time s on the call so far, everybody in the world is pushing out decisions to the extent that they can because the moment the war gets over and energy costs come down, you will automatically see an impact happening, especially on aluminum.

Amit Anwani: Understood, sir. Thank you, sir. Thank you so much.

Moderator: Thank you. The next question comes from the line of Amitoj Singh with 360 ONE Capital. Please go ahead.

Amitoj Singh : Yes. Thank you so much sir for taking the question. My first question was on the U.S. tariff scenario. Recently, the US has changed their Section 232 tariffs . There is a flat tariff for 50% of conductors and 25% on cables. So how do we see the pipeline evolving due to these tariffs? Is it benefi cial for APAR? And how has the customer reaction been? That's first question.

Kushal Desai: So what actually it has done under 232 is with whatever rationalization has been done. It seems like that now this is here to stay for a while. So the uncertainty which was really the big problem that existed in the last financial year, that problem is now -- at least visibility is there. You can do a proper computation in terms of what the landed cost will be. So in that sense, it is positive. I guess India is still continuing to have discussions with the U.S. government, and I don't know whether there could be reduced tariffs coming in. But otherwise, in the meantime, whatever plans and whatever I'm discussing is considering the current tariffs under Section 232. And we see that with tariffs, we will grow significantly in FY27 over FY26 as far as the U.S. market is concerned.

Chaitanya Desai : Yes. Please bear in mind, even an American producer will incur the duty on the aluminum.

Kushal Desai: Exactly, of 50%. And the U.S. imports close to 90% of its aluminum, whereas it imports less than 5% of its copper. So the impact on exporting products to the U.S., which are aluminum -based products is not as high as a barrier which exists when you export copper -based products.

Amitoj Singh : Makes sense. And we export largely aluminum to the U.S. That is fair. Okay.

Kushal Desai: Yes.

Amitoj Singh : Makes sense. Yes. And sir, second question was on the competitive intensity in the domestic market. There is -- I think there's private player who has -- who is almost coming up with their carbon score technology for conductors and is, I think, close to getting a PGCIL approval. So any comments on that or any R&D that we are doing apart from our HTLS segment that would

negate that effect? Just your comments on that, sir.

Chaitanya Desai : See, even earlier on, actually, but in all these tenders with power grid and others, there is a requirement to have past performance successfully. So if the parties who are coming up new,

Call: Jul 2026

SEC/ 3107/2026 By E-Filing July 31, 2026

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department

BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of the earnings conference call on Un-audited Financial Results (Standalone & Consolidated) for Q1FY27 (2026-27)

Ref.: Reg. 30 read with Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer our letter dated July 24, 2026, under Ref. no. SEC/ 2407 /2026, w.r.t. submission of Audio Recording link of the earnings conference call made on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q1FY27 (2026-27).

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are now submitting herewith the transcript of the said conference call made on July 24, 2026 on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q1FY27 (2026-27).

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com.

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

APAR Industries Limited

Corporate Office : APAR House, Corporate Park, V. N. Purav Marg, Chembur, Mumbai - 400 071, India

"APAR Industries Limited
Q1 FY27 Earnings Conference Call "
July 24, 2026

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR – APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI – MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED
MR. RAMESH IYER – CHIEF FINANCIAL OFFICER –
APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

APAR Industries Limited
July 24, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the APAR Industries Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Ambesh Tiwari from S -Ancial Technologies. Thank you, and over to you, sir.

Ambesh Tiwari: Thank you. Good afternoon, everyone. I welcome you all to the Q1 FY27 earnings call for APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer. I will now pass on to Mr. Kushal Desai for the opening remarks. Thank you, and over to you, sir.

Kushal Desai : Yes. Thank you, Ambesh. Good afternoon, everyone, and welcome to the APAR Industries Q1 FY27 Earnings Call. Before we start, I did want to mention that the company has issued a notice to its shareholders seeking the approval under applicable law for the issuance of securities. So under these guidelines, to comply with them, we have specifically restrictions around publicity. The company will not be in a position to actually take any questions on guidance, projections, forecasts pertaining to its business and financial performance or questions related to the proposed funding requirements. So having said that, I will focus and limit myself to giving an outline of our consolidated financial performance and thereafter, deliberate on each division - wise performance, and then we can open up the floor to questions.

Coming to our financial performance, we started FY27 on a fairly strong note. Our consolidated revenues grew by over 29%. So we had 29.1% versus last year. The revenue has reached INR6,591 crores. The domestic revenue grew by 36.8%. Export revenue grew by 12.4% and the export mix is at 27.5% compared to 31.6% in the previous year.

If we come to EBITDA, EBITDA post open period forex has grown to INR814 crores, representing a growth of 62.7% year -on-year. The margin came in at 12.4% compared to 9.8% a year ago. The steep growth in EBITDA is attributed to higher sales realization as well as unit profitability across all three divisions, with our oil division being the highest incremental contributor.

So if you look at profit after tax, profit after tax has increased by 77.7% to reach INR467 crores from a year ago. The PAT margin came in at 7.1%, so it's up about 200 basis points. This incidentally is the highest quarterly sales as well as profit number that we have achieved in the history of the company.

Otherwise, this has been a fairly challenging quarter from an external perspective, given the impact of the U.S. -Iran war, various logistics difficulties that have happened in the export markets and fairly significant manpower -related shortages in the month of May, which coincided with holidays as well as local elections. However, in spite of all this, the teams at APAR have

managed to deliver a very good result, demonstrating superior risk management as well as strong discipline in execution.

Coming to the conductor division. Our revenues grew by 19.9% to reach INR3,338 crores.

Volume for the quarter was down 6.7% compared to a year ago. This can be attributed fundamentally to a surge in the metal prices that have impacted delivery schedules of orders which are in hand, where customers have withheld manufacturing clearance, especially due to the sudden increase in the price of aluminum and where customers were not having

hedged

metal. So, in most of these contracts, there is a certain leeway in terms of delivery, where the end contract has to be delivered, say, in 18 months or 24 months or 36 months. So, there is a little bit of a leeway.

In this case, we attribute this that in the absence of the aluminum hedge, because of the sudden increase in prices, there are some customers who are waiting for prices to come down and then hedge the metal and give manufacturing clearance. So overall, we see this as temporary because the orders have already been placed. And there is only a certain time line to which a delay can be done as there are very stringent penalties for the overall delay in the project execution.

Domestic revenue is up 19.3%, while export revenues grew 22.2%. The export mix stands at 20.5%, which is marginally higher than what it was a year ago. What is heartening to know is that the premium segment of the Conductors division contributed well to overall revenues of 50.3% compared to 43.7% a year ago.

So most of these delays, which I spoke about, of manufacturing clearance has been largely for conventional conductors going into the domestic market against TBCB projects and other projects of that type, whereas the premium products continue to get executed. And that's how the mix has actually increased.

It has also had a direct relationship with the higher EBITDA that I'm going to explain later. So EBITDA post foreign exchange grew 14% year -on-year to INR285 crores. EBITDA growth is attributable to a higher share of the premium mix due to which despite a slightly lower volume of conventional conductors, the absolute EBITDA has grown, which came in at INR53,418 per ton compared to INR43,688 per ton a year earlier.

This quarter, APAR has also achieved its all -time highest reconducting installations. APAR also has got an approval from one of the largest U.S. utilities for OPGW with 144 counts, which is a very critical approval for the U.S. market. The trend of products is that it has been increasing in terms of the fiber count given the fact that there is more and more data transfer that is taking place. The pending order book stands at around INR10,190 crores with an export proportion of 56.8%. New orders received by the conductor division were INR5,245 crores in the quarter, of which exports contributed to 65.8%.

This includes large orders exceeding INR2,800 crores from two major overseas electric utility companies, one in the U.S. and the other one in Europe, with a delivery schedule that is spread over the next few years. Coming to the oil division. Revenue here grew by 34.7% year -on-year to reach INR1,701 crores.

Volume for the quarter stands at 129,085 kL, down 13.7% compared to a year ago and down -- yes, the volumes were affected really because of our facility in the UAE, which because of this crisis and the resulting closure of the Hamriyah port was restricted to only making local deliveries of the product that it had in inventory .

The India volume is down only by 4.4%. And this is quite creditable given the fact that in the very first month, which was in the month of April, the brunt of the initial impact of the war and the movement of vessels took place during that time frame.

Domestic transformer oil volumes reduced by 6.2%. Global transformer volumes were down by about 8%. However, auto oil volumes grew by 6.6% and our industrial lubricant volumes grew by 12.1%. So the company managed to navigate this volatile environment quite adroitly by executing all the pending orders that were there at the start of the year and then maximizing the realizable value of the inventory, which we had on hand.

So, with the price of crude oil and gas oil having risen very sharply at the beginning of the quarter and then falling quite sharply at the end of the period, the company has followed the requirements of

accounting standards and has provided for approximately INR94 crores for the oil division in the quarter.

However, post taking this provision into account, the EBITDA margins came in at a substantially higher level of INR25,482 per kL compared to INR7,004 per kL a year ago. The overall EBITDA has grown by 214% to reach INR329 crores. And this is about 290% more than what it was in the sequential quarter.

Coming to the cable division. Cable revenues grew 29.5% to reach INR1,838 crores. Domestic revenue grew 59.9%. Export revenue is down by 13.7%. Export mix stands at 27.6%, with the U.S. revenue actually growing 2.5% year-on-year. The new order inflow has started increasing from the U.S. Today, APAR is approved in the U.S. for cables being supplied to data centers of Meta, Microsoft and Google by various major electrical contractors.

The U.S. market is actually 66% copper and 33% aluminum. With these approvals, APAR has started receiving orders and participating in RFQs, which are for copper cables that cover both low voltage as well as medium voltage segments and are of the PVC variety, XLPE variety as well as rubber.

Thus far, cable exports to the U.S. have been mostly aluminum cables. The pending order today stands at INR1,925 crores. So it largely covers the plan or the requirement for the current -- for the coming quarter compared to INR1,653 crores from a year ago. EBITDA post open ForEx came in at INR194 crores, which is up 36.7%.

The EBITDA margin has come in at 10.6% in Q1, which is up by 60 basis points over a year ago. So, in conclusion, the company has produced a good result with demonstrating strong execution capabilities with all three divisions increasing profitability year-on-year, making this the all-time high quarterly sales and profit of any quarter in APAR's history.

APAR Industries Limited

July 24, 2026

Page 5 of 18

With this, I would like to end my comments and now open the floor to questions and answers. I would like to remind that the company will not be able to take questions on guidance, projections, forecasts pertaining to the business or any questions related to the proposed funding requirements as per the regulations. I'd also like to thank all of you for attending this call. And with that, we are open for questions, please. Thank you.

Moderator: We have a first question from the line of Amit Anwani from PL Capital.

Amit Anwani: Congratulations for a very strong set of numbers. So, first question on the oil business, I understand you cannot guide, but how one should think why there was like the INR25,000 per kL? You have given some explanation in the press. But just wanted to understand, shall we consider that business will be as usual in the remaining period? And why this INR25,000 per kL, which came this quarter?

Ramesh Iyer : So Amit, as we have already mentioned earlier, in the case of oil, we typically carry inventory in the system, which has historical cost. And in terms of rising gasoline price, the IC gas price when it rises, you are able to get a premium pricing in the market. So with the historical cost based on which you have procured and the current price, which is on a higher side, the margins look disproportionately higher, which is the reason -- due to which we have got the high margin in this particular quarter.

And that's the reason -- that's what explains why the margin is so high. And as you can see that the current situation is volatile in terms of how the crude oil price, how the gas oil price moves. So that's -- we'll have those volatility as long as this price keeps on fluctuating in times to come. On your second question, whether we'll get the similar margin in the future or not, that's something, as we explained, we won't be able to answer that at this stage. At the same time, as we have already mentioned that depending on the prices of the products, in line with the requirements of ac

counting standards, we have made provisions to the extent it is necessary as on 30th of June.

Amit Anwani: Right. Sir, second question on the premium products where we saw a very strong contribution there. And you explained two things. One, the premium product was good. And second, there was a higher contribution of reconducting. So on premium product, just wanted to understand what exactly is contributing to the volume drives as you did highlight, probably if you could highlight the key products where the growth is happening.

And second, we saw the export probably, especially in the U.S., the numbers are not highly encouraging this quarter. So any color on that would help. The premium products, what is -- which products are driving the growth in domestic market? And when are we really expecting the bounce back in the U.S. for this business?

Kushal Desai : So let me answer both the questions one by one. So first, when we're talking about the premium product, the entire category has grown in the quarter. So whether it's the HTLS, as we mentioned, that it's been the highest quarter in which we've done the physical installation that has happened. There's also been growth across the copper range of products, which is your copper transposed

conductors. There's been supply that's gone to the railways, busbars.
APAR Industries Limited
July 24, 2026

Page 6 of 18

The whole range has actually gone up. Why you see a higher EBITDA per ton, as was explained earlier, is that the orders on hand for which the manufacturing clearance got postponed were none of these premium product ranges, but it was mostly the conventional conductors, either AL-59 or other conventional types, which customers have pushed out taking delivery of the product.

So that's why you see a drop in the volume, even though you actually have the order on hand. But the profitability was high because of basically the HTLS reconductoring as well as these products.

On the U.S. front, if you recall in the last earnings call that we had, which was not very long ago, basically, there was a quarter when the Section 232 was initially -- put all these grades -- or classifications came under 232. Because of which, for one quarter, there was very little ordering. There was a lot of confusion in the market, even with the local players in terms of what the pricing would be like, etcetera, etcetera, what the legislation was like.

So we are kind of facing the corollary of that period where there were no orders, which have spilled into this period. And keep in mind that most of the U.S. deliveries are on a DDP basis. So as a consequence, even if the product is manufactured, unless and until it reaches the client side, the revenue cannot be recognized.

So there is a bit of a lag in terms of the recognition of U.S. revenues. The quarter has otherwise seen good business in the U.S. because we've completed receiving approvals, as I mentioned, on the cable side from the three -- from three companies, which are very large in terms of data center expenditures.

In addition to that, two major utilities, one in Europe and one in the U.S., have finalized in this current quarter, big rate contract. So I think the lower shipments, which have been there is primarily attributed to just the timing. The rest of it is the order books, which are representative of whatever we've got in this quarter itself, are showing that the export deliveries will take place as these orders get executed.

Amit Anwani: Right. Sir, lastly, on the cables, you did highlighted about participating in the RFQs for the copper. And I think you highlighted about 66% and 33% copper and aluminum portion there.

So just a clarification. Currently, we are doing aluminum and now we will be participating in RFQs for copper. Is it the understanding?

Kushal Desai : Yes. So I mean, it's not that we did not have the range of products, but the market access is

important. And with these approvals coming in place, they not only form why are they so important? They're important not only because these major infrastructure builders on the data center side can now -- meaning contractors who are servicing their data centers can procure from us, but it also forms a reference for other data center, meaning for other electrical contractors. So once you have approvals of these three, then market access automatically improves. So, so far, whatever business you saw at APAR, it was largely just aluminum. Going forward, we will be able to participate now in aluminum and copper because of these approvals which have come in, in this quarter.

APAR Industries Limited
July 24, 2026

Page 7 of 18

Amit Anwani: Right. Sir, what explains the margin increase? Because I can see domestic has grown by 60% for cables and also the margins have gone up by 60 bps. So is it...

Kushal Desai : It is the domestic market, which is there. We've been continuing to supply to defense, railways, Indian Railways bought quite a lot of product in the last quarter. Defense bought some products in the last quarter. So it's just a good product mix that has been sold in the domestic market.

Ramesh Iyer : And it's also, Amit, in line with the guidance that we give, about 10% to 11%, it's hovering around that particular number.

Amit Anwani: Correct. Sir, lastly, and I'll close that, U.S. sales, if you could share for cables and conductors this quarter?

Ramesh Iyer : We don't give specific sales for that geography, Amit.

Moderator: We have a next question from the line of Umesh Raut from Nomura.

Umesh Raut: Yes. Sir, my first question is on the conductor side. So if I look at our existing order backlog, that is now touching closer to INR10,000 crores. And out of that, I think there are two large orders contributing about INR3,000 crores, which are executable over the course of next 4 years. So first, I want to have a color about remaining backlog, how much of that is executable during

the course of next couple of years? If you can guide in terms of execution time line for remaining order backlog. And in terms of geographical mix as well, out of INR10,000 crores, how much of is being contributed by the U.S. or Europe?

Ramesh Iyer : Yes. So barring those two orders, we'll have a large part of it being executable in about close to the year or so. There may be a few orders that may spill over the next year. And what was your second question?

Umesh Raut: In general overall backlog mix in between, say, India, U.S., Europe, Africa and then rest of Asia.

Kushal Desai : Even, geography mix. Most of it is domestic...

Ramesh Iyer : The export mix, are you asking?

Umesh Raut: Total backlog mix. Yes, even -- I mean, within the exports, export contributed about, I think, 66% now. I think if you can give mix between exports or...

Ramesh Iyer : It's actually -- exports are spread across the different continents between U.S., Africa, Asia, Latin America. It's actually spread out.

Umesh Raut: So I'm asking how much being contributed by Europe and North America within the total backlog?

Kushal Desai : The bulk of the product is coming from the America, North America, Latin America and Europe. And it's the backlog. So out of that INR10,190 crores, export is about -- as I mentioned in the

APAR Industries Limited

July 24, 2026

Page 8 of 18

earlier statement, it's about 56.8%. That's coming from the America and Europe -- I mean, North and South America and Europe. The rest of it is all domestic.

Umesh Raut: Understood. Understood. Second question is basically about these two large orders that you have received in the conductor business. So is it fair to assume that this is just a start that you are seeing good opportunities on the utility side in overseas market and probably now, approvals are also there for you? So in future, we can expect a recurr

ence of similar kind of orders? And

second , to kind of fulfill these requirements, if there is any plan to kind of set up manufacturing presence beyond APAR.

Kushal Desai : Unfortunately, you're putting -- you're going into a territory where that Lakshman Rekha is drawn. I would urge you to look at all the commentary that has come in, in previous earnings calls. And from that, you will be able to figure out where exactly the company stands. So these are, of course, two very large utilities.

They are amongst the largest utilities in their geographies. And so very prestigious to have actually got this business. It's multiyear business because many of these utilities work on a plan that runs across a few years. And for one line, they usually would take a single vendor to supply.

That's the best answer I can give.

Umesh Raut: Okay. Okay. Understood. Just if you can give me color about the breakup in between, say, conventional products and premium products in these two orders? Is it more towards premium or it is traditional...

Kushal Desai : Overseas markets are largely taking -- overseas markets still largely take varieties of conventional ACSR or AAAC. There is some small quantities which are there of some of the premium ACCC and OPGW, etcetera , also embedded in this. So it's a combination of it, but largely conventional.

Moderator: We have a next question from the line of Vidit Trivedi from Asian Markets Securities.

Vidit Trivedi: Congratulations on great set of numbers. Sir, last quarter, you indicated that material ordering from the large HVDC projects would gradually flow through FY27. So, could you please help us understand what proportion of the current order book is now related to HVDC and premium products? And would it be possible for you to tell us when can we start all these orders to contributing meaningfully to the volumes and margins?

Chaitanya Desai : So, in the last quarter, we did receive a very small part, which was pertaining to HVDC. We are -- we've already mentioned in the past, as you correctly mentioned, that other orders will be flowing in. So there -- I had mentioned in the last quarter that as -- that high-voltage products are actually -- not only in India building infrastructure for this, but also in the overseas markets, there's more and more high voltage that's going in.

So in this quarter, part of the large order that we've got from a U.S. utility involves actually a high-voltage transmission line. Much of India's ordering is still to come. So just as Chaitanya mentioned, some of it has started now, but this is like a multi year sort of transmission lines that are going to come in, not only transmission, the entire HVDC system. So they have just recently

APAR Industries Limited

July 24, 2026

Page 9 of 18

been awarded. So most -- a little bit of the ordering has come in this quarter, but most of that ordering is still to come.

Vidit Trivedi: Got it, sir. Sir, conductor volumes, as you've mentioned, they were -- they took a hit during this quarter. So just wanted to check, have orders, inquiries and booking activity normalized after the recent moderation in copper and aluminum prices?

Kushal Desai : Yes.

Vidit Trivedi: Sir, what's the capacity utilization across all the three divisions?

Ramesh Iyer : It ranges for different products, and it ranges anywhere between 80% to 90% for different product categories across the division.

Chaitanya Desai : And as you know, we are doing a fair amount of capex . So we are building our capacity for the growth.

Kushal Desai : Yes. So you see, in the last couple of earnings calls, a lot of details have been provided on the capex , etcetera. So the current capacities, as Ramesh has mentioned, are running very high as a high percentage, and that will get debottlenecked through these capex investments that are taking place.

Moderator: We have our next question from the line of Ganeshram

from Unifi Capital.

Ganeshram: The first question I wanted to ask was just when I look at the conductor segment, on the order book, you have about 57% in exports, largely in the conventionals. And this quarter, we've had a good domestic premium mix. My reading is that typically, the export in conventionals comes at a lower realization EBITDA per ton. Would that understanding be correct?

Ramesh Iyer : Actually, it will depend on different product specifications. It may not be true to generalize that export comes at a lower margin because each product has its own specifications requirement and the margins for each product are different.

Ganeshram: Got it. But as you have it on your order book now, would it be lower than what you've seen this quarter? Or how is it?

Kushal Desai : No, no. So if you take the pecking order, which we've spoken about even in the past, you typically have HTLS, which is the highest. Then you've got, fundamentally, in the domestic market, you have conventional products, which are -- in the domestic market, conventional products are at much lower relative margin compared to the same products being sent overseas. The fundamental difference is the quality standards that are required as well as the acceptance criteria that is there for it. So our strategy has been -- which we've spoken about very much in the past, that we focus on premium products in the domestic market and the standard product range, we would rather focus on the export markets. So this is pretty much what has happened in this quarter. It is exactly in line with that. Otherwise, you're comparing basically apples and oranges.

APAR Industries Limited

July 24, 2026

Page 10 of 18

Ganeshram: Exactly. Sorry, go ahead. That's exactly why I was asking that question, right? Because this quarter, the exports from what you're saying, I mean, there was obviously a decline. I mean, in the volume terms, I think you -- there are some orders being held back. So domestically, we've sold more of the premium variant, right? So the export mix this quarter is 22%. But in your order book, it's 57%. So as you start executing the conventional exports, they might be at a lesser realization than the premium in domestic.

Kushal Desai : Yes.

Ganeshram: Although higher than the -- yes, that's the clarification I wanted basically.

Kushal Desai : So let me just clarify. What has happened in this quarter is that where the orders are in place, but the manufacturing clearance has been delayed is largely in the domestic market.

Chaitanya Desai : Also, I'd like to clarify the order book also has these two orders, which are over a few years. So the premium business will come, but with a shorter cycle compared to these two export orders, which are over a few years. So it is possible that the ratio between the premium and the conventional will be similar, except that the order book position will vary depending on, time to time, what sort of orders we receive.

Ganeshram: Got it. Got it. Got it. That's very clear. And in volume terms, we've degrown 7%. If you could just break that up by exports and domestic for the quarter, what was the growth -- degrowth in each -- per conductor?

Kushal Desai : I had given that data earlier. If you see the domestic revenue is up 19.3% in the conductor division. Domestic revenue grew by 19.3%. Export revenues grew by 22.2%. So the export mix came in at 20.5%, and the domestic sales was at 79.5%. What is different is that the premium products in the conductor division contributed to 50.3% in this quarter compared to 43.7% from a year ago.

Ganeshram: Yes. I think the reason I'm asking that question, just as a follow-up, is because at the realization level, you're right, I have the number. But because I don't know the realization for domestic and

export separately, I'm not able to understand the volume.

Kushal Desai : I think you're getting confused that -- when we

said that the volumes for the quarter were down by 6.7%, it's largely because of what happened in the domestic market.

Ganeshram: Okay. Exports have grown.

Kushal Desai : Not in the overseas market. In the overseas market, actually, it's -- the revenues came -- grew by 22.2%.

Ganeshram: Okay. And just the last question on working capital. If you could just tell us where the position is compared to last year.

Ramesh Iyer : Working capital is in the range of 45 to 50 days. That has been fairly constant over the period.

APAR Industries Limited

July 24, 2026

Page 11 of 18

Kushal Desai : In fact, in this quarter, we have actually improved our working capital number of days, debtors and inventory in the conductor division compared to what it was previously. And I think part of the execution discipline, which has shown in the results of this quarter is that in spite of the price of the commodities having shot up so much, the number of days that are involved in terms of -- outstanding have still been maintained at the same level, pretty much, both in terms of debtors as well as in terms of inventory. So the working capital management has been handled relatively very well in this quarter in spite of all these disruptions.

Moderator: We have our next question from the line of Anany Ranjan from PhillipCapital.

Anany Ranjan : Congratulations on a good set of numbers for the last quarter. My question is, could you clarify the EBITDA per metric ton for the premium product mix as compared to the standard product mix in the conductor division?

Ramesh Iyer : We don't actually give this breakup, Anand. So we just give a blended number based on the actual number. So we don't give the breakup of this EBITDA margins.

Kushal Desai : So this year's number is INR53,148 per ton and last year was, at the same time, was INR43,688. So almost INR10,000 higher than last year.

Moderator: We have our next question from the line of Natasha Jain from PhillipCapital.

Natasha Jain: Congratulations on a great set of numbers. A few questions. One, could you call out the volume growth in cables, both on the domestic and export front?

Kushal Desai : So in cables, I can give you the revenue growth because we produce such a huge variety of cables that the physical volume number makes -- has no relevance. So the revenue has grown by 29.5%. Of that, the domestic revenue has grown by almost 60%, whereas the export revenue is down by 13.7% compared to a year ago. And the export mix is at 27.6%, with the U.S. revenues having grown by around 2.5% quarter-on-quarter -- I mean, from a year ago.

Natasha Jain: Got it. And sir, you mentioned that you've done -- until now you've done majority aluminum cables and now, you shift to copper. So is there a difference -- a stark difference in terms of margin there?

Kushal Desai : No. So it's not that we will switch to copper. The -- previously, the -- see, there are two fundamental segments in terms of copper cables that go into the U.S. One of them are low-voltage cables that go into just day-to-day products. Like in India, for example, you've got house wires, you have wires that -- for residential complexes and things like that, where the pricing and the competition levels are very high. The other range of copper products fundamentally goes into the data centers and for medium voltage. So to utilities as well as data centers, those sort of things where you carry a higher amount of power.

So erstwhile, we were in a position to compete in the aluminum cable side, but we did not have access to the market on the medium voltage and some of these requirements which were coming in from data centers, etcetera, etcetera. Now having got these approvals by -- in this quarter, we

APAR Industries Limited

July 24, 2026

Page 12 of 18

actually ended up completing the approval process for all the three, which is Meta, Micr

osoft

and Google. We are now in a position to be able to start filling in these RFQs.

In this quarter, we've already filled in a whole lot of RFQs for which -- as in this quarter, I mean April to June. And our business in this area is going to start increasing. A few orders in this quarter have already come in from this segment. So the aluminum business will still continue.

The copper business will actually be something which we were not able to do earlier, which based on the approvals which have come in, in the April, June quarter, we can now start

participating.

Natasha Jain: Got it. And sir, between our entire cable split into LV, MV, HV, is -- can you give that split, if possible, what do we cater to maximum here?

Kushal Desai : So in our cable side, the elastomeric cable is -- has a small component, which is medium voltage, which is the cables that go into the windmills. Everything else is actually low voltage because it's going into the railways, defense, solar, DC solar, all that sort of stuff. It's the power cable side where this sort of a breakup actually makes sense.

And there, APAR is largely in the medium voltage, 11 kV and 33 kV. These are the two categories that we are largely involved in the power cable side. The specialty cables are all basically all in the low -voltage category only, but they have special polymer s or special construction, etcetera .

Natasha Jain: Got it. Sir, just two more quick questions. One, if you could throw some color as to how your wires portfolio is doing. And I understand you cannot give guidance, but I'm asking more from an industry point of view. So metal prices have been extremely volatile.

When copper just rose sharply, we heard from the trade that there has been severe downtrading that happened to cheaper brands. Now the reverse has also happened because aluminum fell so sharply, so people just postponed or they fear about inventory devaluation. So how do we look at this at least from a near -term point of view where extreme volatility is there in metal?

Kushal Desai : So I would say that as far as APAR is concerned, we are still a very new player in this area. Specifically, if you take, in this quarter, sales for wires grew 46%, and our focus has been on increasing distributor and retailer presence.

So we've -- the number of active towns that our presence is in has increased 17%. Our distributor addition has been 25% in the quarter compared to a year ago. And the retail account presence has increased by 51%, which has resulted in an overall increase in sales by 46% in the B2C retail.

We also have a B2B channel business, where the channel business for us has grown 92% year -on-year. There, the distributor presence has increased by 60% and the number of active towns that we are selling our L DC cables and other cables through the distribution setup has increased by 73%. So overall, the channel business has actually been a very large component of the domestic increase that has happened.

APAR Industries Limited

July 24, 2026

Page 13 of 18

Natasha Jain: Understood. And sir, on the volatility side of it?

Kushal Desai : So volatility is something that it has affected everybody. As Chaitanya had mentioned that in the quarter, you had copper price go up, you had aluminum price go up. Even in the case of oil, some of the lower volumes, part of the lower volumes are attributed that in the first month, there was a huge disruption in the supply chain itself. But subsequently, as the product started coming in with the supply chain improving, many customers have just postponed their purchase and they're running down their inventories.

I don't think fundamental demand has changed very much in the quarter. So if you track secondary sales that we have had for our wires and the secondary sales that we have had for our B2B channel, it's not really been affected too much. It's the stocking. Even in our lubricant si

de,

we saw a destocking taking place because in th e -- there was an anticipation that with the Strait of Hormuz opening up, you would have commodity prices all falling. But that has not entirely happened. So it's really secondary sales not having got so badly affected, it's the primary sales that has got reduced.

Moderator: We have our next question from the line of Siddhartha Biyanee from GEF Capital.

Siddhartha Biyanee So just wanted to understand a little bit more on this metal volatility that we are just discussing. From the time the war has actually started, the MJP premiums have really increased significantly. Just if you could throw us some guidance on -- not guidance specifically, just how the premiums have been now? And have they fallen off from the highs of the war?

Chaitanya Desai : So one part is to do with the LME. So the LME has gone up, and that is a much bigger delta compared to the premium, which is the M JP. So basically, what we were saying is that when both these two increased because of the war, the customers who have contracts with APAR and they have placed orders on us, but they give manufacturing clearance after they hedge their metal prices. But if t he metal price of LME in their case has gone up much higher compared to what they have budgeted, they had the flexibility to postpone their deliveries to a small extent.

So that phenomena happened where they postponed the deliveries. And accordingly, some of the conventional conductors, which we talked about in this last quarter, those manufacturing clearances got delayed and hence, our volume dropped. And subsequently, we clarified that when the Strait of Hormuz had been temporarily sort of somewhat opened up, that time the metal prices had reduced.

And they have remained at the lower numbers since then compared to the peaks that happened at the beginning of the war. And since that has happened, the customers who had the little bit leeway to postpone, they exhausted that, and now they have started giving manufacturing clearances to kind of cope up and complete the projects on time. I hope I could clarify. Siddhartha Biyanee This was clarification, sir. My only other question and follow-up to this is, while obviously, LME can be hedged typically and that sort of mitigates the movement up and down over the period of time. This MJP premium, which is over and above the LME, is something which we understand cannot be hedged in the market, right? So is APAR exposed to the vagaries of movement of these MJP premiums, so to say?

APAR Industries Limited
July 24, 2026

Page 14 of 18

Chaitanya Desai : Yes, we are, and there is no way to hedge it. The only thing is we do make contracts with suppliers. So we kind of effectively hedge ourselves to the extent we lock in the premium with the suppliers through a mutually agreed contract. Siddhartha Biyanee Okay. And where are you seeing currently the MJP premiums today, sir? Just for my reference. Chaitanya Desai : So it's a public knowledge. So it has gone up quarter-to-quarter. Moderator: We have our next question from the line of Vedansh Dokania from ZTO Capital Advisors. Please go ahead. Hello Vedansh, are you there? So, the participant got disconnected. We have a next question from the line of Ganeshram from Unifi Capital. Ganeshram: So, on specialty oils, I wanted to understand, in simple terms, basically, you had low-cost inventory, but you were selling at market prices, so you made a larger realization, right? So, if the situation reverses, right, and I'm just asking a theoretical question, not forward assumption. But if you're sitting on higher cost inventory, which you procured and market prices decline, what would happen to the EBITDA per kiloliter? Kushal Desai : So, the thing is -- let me clarify in terms of lower cost inventory. What happens is that APAR buys under two routes. You end up buying on the basis of contracts a

nd spot. So roughly, we

buy about 65-odd percent on contracts and around 35% on a spot basis. You take the overall purchase.

So, all contracts are backward looking because there is some index or there is a time frame that is taken into account. So, when prices are rising, those contracts are usually -- the contract price is lower than spot prices. When the market starts falling, then the contract prices generally are higher than spot prices.

So, in this particular case, obviously, there has been a benefit, which is what we explained, that in the rising price trends, anybody who buys on contract would end up benefiting more than anyone who buys -- relies more on spot. And when the reversal takes place, the exact reverse effect happens.

So, part of the provision that APAR has made of this INR94 crores has also been taking into account the accounting principles that are in place, which fundamentally -- so if you see at the end of the quarter, the prices had actually come quite a bit off the peak because at that time, there was no issue. I mean, the current problem is a very recent problem that's happened only a few days ago.

So as a consequence, when you follow the accounting principles, you end up taking the provision. So we've actually played absolutely by the book. General trend, what you're saying is that when the prices start falling, then a reversal takes place. One of the actions that APAR has taken in this quarter is that we have degrossed our total inventory.

So, it limits the problem that will happen or it reduces the problem that will happen if a reversal takes place. Because if you were normally working on, say, 100, today, you're working on an

APAR Industries Limited
July 24, 2026

Page 15 of 18

inventory which is lower than 100. So there's a little bit more -- the inventory has gone down.

There's more just in-time sort of supplies that are taking place.

Ganeshram: Got it. Got it. Got it. Got it. That is very clear. And another question was just on the U.S., right?

So generally, what's the tariff that is actually being applied on conductors and cables separately?

And why do we see cables in the U.S. is growing, however, conductors, I think you explained partly that they wanted to wait and watch and now that the order flow has come up. Going forward, do we think that both of them will converge on the growth path? Or do you see there is some difference in how we should view these two segments in the U.S. market?

Kushal Desai : So, the -- first, let me answer the conductor side. So, the conductor side, there is a certain -- so there are public utilities there and there are what I call independent-owned utilities or IOUs.

They are all governed -- they are all geographic monopolies. So, they are governed basically by a regulator, and the regulator determines everything.

So, in the U.S., the regulators ensure that a larger portion is bought from locally produced product. So about 70% of the U.S. market is based on local U.S. production of conductors. The market that APAR is a major player in is in the 30% market, which is the import component of what U.S. utilities have.

So it's not that the conductor market is not growing. It depends on if the utilities are getting approvals from the regulator of only using local U.S. product, and if the local U.S. product is available, then they have to buy that. If the U.S. local product is not available, then there is a certain system by which they can get a limited quantity from an overseas supplier.

On the cable side, the market is not regulated in the same manner. I mean it is regulated as far as the utilities is concerned, but the utilities are a very small proportion -- or I wouldn't say very small, a smaller proportion of the total market. There's a lot of cables that go into residential, industrial and now, data center applications as well. And these guys are not regulated by the way the conduc

tor or the utility market is regulated. So that's the reason why you're finding the export of cables taking place.

But having said that, our conductor business also has been exporting to the U.S. That export has been growing. And we've just got this fairly large INR2,800 crores between two utilities is amongst the largest orders that we've ever got in our history. So one of them is out of the U.S., one of them is out of Europe.

Ganeshram: Yes. Yes. Got it. Okay. And just a clarification on the tariffs, what is the actual tariff being paid on cables and conductors separately?

Kushal Desai : So depending on the type of product and the tariff classification, it goes into all different sections and different tariff levels. So the lowest tariff level is the basic -- whatever the basic tariff is, which varies, I think, from 2.5% to 5%.

And then on top of that, if you are under Section 232, then it can be anywhere between 25% and 50%. And if you are under the Section 122, it's just getting obsoleted today and is being replaced

APAR Industries Limited

July 24, 2026

Page 16 of 18

by Section 301. So 301 for India at the moment, it appears, because we have to still see the exact fine print and everything, appears to be 10%.

Ganeshram: Got it. Got it. But generally, conductors tend to carry a higher Section 232 tariff from what I've seen, right?

Kushal Desai : All bare products are covered under 232 with a 50% duty. So aluminum is 50%, rods are at 50% and conductors are also at 50%.

Ganeshram: And are customers willing to absorb this tariff? Or are they on wait -and-watch to see if there'll be more relief? I mean, going by the order you received, I'm assuming they are ready, but just to get -- hear your thoughts.

Chaitanya Desai : Yes. No. As of now, the things have now more or less crystallized or stabilized there on Section 232 with regard to aluminum and the customers are paying this 50% tariff duty because even in the local market, the conductor manufacturer in the U.S. has to pay 50% duty on the aluminum. So everything has gone up to the extent of 50%.

Kushal Desai : There's a large amount of aluminum that is imported in the U.S. If you actually see some of the commentary that we've had in our previous earnings calls, copper -- U.S. is pretty self-sufficient in copper, whereas in the case of aluminum, the U.S. imports a large amount of aluminum .

Canada is one of the major suppliers to the U.S. where the 232 also applied. Also, they were importing aluminum from many other countries, including India. So aluminum side is all at 50%, no matter what stage you bring it in, whether you bring it in as a n ingot, you bring it as a rod or you bring it in as a conductor.

Ganeshram: No, fair point. The only reason I asked that question is because the last time around, they were -- it seems like they were assessing the tariff on the metal portion of the finished product, which means it's whatever value add we do, that arbitrage is ther e to capture. But in the new tariff list that they released, it seems that they're capturing that 50% on the value of the entire product, not just the metal content. So I just wanted to clarify because of that ?

Chaitanya Desai : You're right. There was a change made in the Section 232 precisely to simplify things.

Moderator: We have our next question from the line of Amit Anwani from PL Capital.

Amit Anwani: Sir, just one follow -up question on the approvals from Meta, Microsoft and Google. So will we be servicing only the requirement in the U.S. market for them? Or will it be for any data centers coming in India or elsewhere in the geography? Is there any spec ial...

Kushal Desai : The thing is that we have been supplying everybody in India. The difference that is there -- but the approvals and your credentials of supply in India don't count at all in the United States because the quality of the wire that is being bought or the cable

that is being bought in India is of a very low standard.

And in fact, it's similar to what would be supplied in a residential complex or in some industrial -- to an industrial shed or whatever. Whereas the U.S. standard is a completely different standard
APAR Industries Limited
July 24, 2026

Page 17 of 18

and it's far more complex as well as the material content is far more intensive. So it's a different design and everything -- there's no commonality between the two.

So initially, we were under the impression that, oh, we've been supplying these data centers here in India, and we should get automatic -- that would give us an automatic entry into a calling card in the U.S., but we discovered that these are totally two different sets of products, and you had to build your credentials from scratch in the U.S. So today, we have approvals from all these three guys.

We have received orders from various electrical contractors that are supplying to these three companies, data centers. And we have now been able to start participating in RFQs that are coming out of building data centers for these three companies.

Amit Anwani: Right. And does it require any approvals of -- are we -- our current factories capable to -- since you said it's a complex product. So will you be supplying from India? Is there any requirement to do any investment in the U.S.?

Kushal Desai: We have the manufacturing capability in place. That's how all the assessments and everything have been done. So it entails some of these big contractors, they do not only product assessment, they also do manufacturing infrastructure, quality systems, all that. So all that assessment has been done after that, only these approvals are in place.

Amit Anwani: Right. Any quantum, like what's the size of each order or any quantum we are expecting this year?

Kushal Desai: There are so many data centers. First of all, I can't make any forward-looking statements. But in general, there are many, many sizes of data centers even amongst these players. And the orders come fundamentally from the main electric contractors. So the way it operates is that they would have approved brands which are there, that the Microsoft or a Meta or a Google finds acceptable. So the contractor can use any of those brands within that set of brands when they bid on the job. So you get various sizes, meaning various quantities also because some people place the entire order at one time, somebody wants to place it month by month. So it's really entirely up to the electrical contractor of how they want to go about their ordering. Ultimately, they are just working towards a time line for final delivery.

They may also do a combination of some products from local manufacturers in the U.S. and some import. So it's a completely flexible game. I mean there's no single rule to it yet. I mean we are also relatively new. So I guess a pattern will emerge in due course of time.

Moderator: We have our next question from the line of Arya Biju, an Individual Investor.

Arya Biju: Sir, can you give a clarity on the inventory. Sir you mentioned you had decreased the inventory. So can you -- like was it for semiconductor section?

Kushal Desai: Sorry, no. You're talking about -- I didn't follow. Can you come again? Which...

APAR Industries Limited
July 24, 2026

Page 18 of 18

Arya Biju: So you mentioned about degrowing your total inventory in Q1. So can you specify which segment you are talking about?

Kushal Desai: You're talking about the inventory which we are holding in our specialty oils division.

Arya Biju: Okay. And just one more thing. You mentioned about a decline in India volumes of 4% because of the port closure. So can you give some more details on that?

Kushal Desai: No, no, we said our domestic volumes in the quarter compared to a year ago have reduced by 4.4% in the oil division. So more of it came in the fi

rst month where the supplies were a little

bit constrained, and then got caught up in the second and third month of the quarter. So when the quarter started, we weren't sure. We thought maybe there could be a larger shortfall. But in the end, it was only 4.4% for us by volume.

The Hamriyah plant of ours in the UAE actually had a significant reduction because the Hamriyah port and, in fact, pretty much most of the liquid ports there are closed. And as a consequence, we had to only sell what was in stock in the tanks when the war started, in short.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Kushal Desai: I'd like to take this opportunity to thank everyone for continuing to be -- attending our earnings calls. And just as concluding remarks, I was going to say that the quarter has been a reasonably

strong quarter. All three divisions have done well and increased their profitability year-on-year. And this was the highest quarter in terms of revenues and margins for APAR. So thank you very much for attending the call.

Moderator: Thank you very much, sir. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.